



— A Maharatna CPSE —
Hindustan Aeronautics Limited



63RD
ANNUAL
REPORT
2025-26



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Chairman's Statement

Dear Shareholders,

It gives me immense pleasure to welcome you all for the 63rd Annual General Meeting of Hindustan Aeronautics Limited.

I am pleased to share your Company's annual performance highlights for the Financial Year 2025-26. During the year, despite of supply chain disruption caused by the current global scenario, the Company's performance was impressive and considerable progress was made in terms of revenue, profitability, order book and productivity.

This achievement would not have been possible without the strong commitment of our people, the trust of our esteemed customers, support from the government and backing of our shareholders. I, on behalf of the Board of Directors, sincerely thank each one of you for your invaluable contributions.

Financial and Performance Highlights of the Year

On the financial parameters, the Company recorded an all-time high turnover of ₹ 31,792 Crore for FY 2025-26 driven by consistent order execution and growing demand for indigenous defence platforms. The Company's operational

resilience and agility led to a 6% growth from the previous year, despite disruptions in the supply chain. The Profit Before Tax for the year increased by 12% to ₹ 12,112 Crore from ₹ 10,820 Crore in the previous year. The Profit after Tax (PAT) increased by 9% to ₹ 9,076 Crore from ₹ 8,317 Crore in the previous year. As of March 2026, the order book position of the Company stood at a healthy ₹ 2,54,538 Crore.

The Company has paid an interim dividend of ₹ 35/- per equity share of face value of ₹ 5/- each for the FY 2025-26, totalling to ₹ 2,341 Crore. Further, the Board of Directors of the Company has recommended a final dividend of ₹ 10/- per share of ₹ 5/- each for approval of

Innovation, resilience and self-reliance continue to define HAL's journey towards strengthening India's aerospace leadership.

shareholders, with a cash outflow of ₹ 669 Crore. On approval of shareholders, the total cash outflow for payment of dividend for the FY 2025-26 would be ₹ 3,010 Crore.

The Company incurred Capital Expenditure (CAPEX) of ₹ 2,465 Crore during FY 2025-26 (PY ₹ 2,026 Crore). The investments are mainly channelised towards Green Field Helicopter Project at Tumakuru, augmentation of facilities of LCA, ROH of SU-30, ROH of AL-31FP Engine, IT Infrastructure, besides the regular replacement and rationalisation of the existing facilities etc on the infrastructure development front and on the projects like IMRH, CATS, UHM, Civil ALH & LUH on the Research & Development front.

Aligned with its strategic objectives, the Company has drawn up a robust capital



expenditure (CAPEX) plan for the next five years, with a projected investment of around ₹14,000 Crore. The planned investment will primarily be directed towards expanding manufacturing capacities and establishing Repair and Overhaul (ROH) facilities for various platforms, strengthening the Company's production capabilities and long-term growth.

Research and Development (R&D)

The Company has incurred an expenditure of ₹ 2,794 Crore on R&D during FY 2025-26, which is 8.79 % of the turnover. The Company also transferred a sum of ₹ 945 Crore to R&D reserve for contribution to R&D corpus.

Significant Achievements

Your Company accomplished several significant achievements during the year, some of which are highlighted as under:

- To enhance the production capacity of LCA Mk1A, a 3rd production line was established at HAL Nasik.
- Indigenously designed & developed Advanced Light Helicopter (ALH) Dhruv-NG took maiden flight in presence of Hon'ble Minister of Civil Aviation.
- The maiden sortie of the first series production Hindustan Turbo Trainer-40 (HTT-40) aircraft successfully completed.
- Certification for 'Indigenous manufacturing of Shakti Civil Engine' from the Directorate General of Civil Aviation (DGCA) was received.

➤ Contributed to ISRO's successful launch of LVM3-M5/CMS-03 mission and LVM3-M6 mission that deployed the massive Blue Bird Block 2 satellite, by on-time supply of space worthy hardware.

➤ Signed the SSLV Technology Transfer Agreement with ISRO, IN-SPACe & NSIL, securing a non-exclusive license to manufacture the SSLV.

➤ Exported 02 H-228 (Civil variant) aircraft to M/s JAGS Aviation, Guyana in a record two months of signing the contract, due to proactive approach of the company.

➤ Signed an MoU on October 27, 2025 with Public Joint Stock Company United Aircraft Corporation (PJSC-UAC) Russia for production of civil commuter aircraft SJ-100 in India.

➤ Signed an agreement with Safran Aircraft Engines in June, 2025, for the industrialization and production of rotating parts for LEAP engines, which powers the single-aisle civil aircraft such as Airbus A320neo, Boeing 737 MAX, etc.

New Initiatives

During the year, your Company has taken many new initiatives which will propel the Company in the future. Some of the significant new initiatives, are as under:

- Attained a significant milestone in its aerospace journey with inauguration of "First Indigenously Developed High Thrust Engine Test Bed- PRAJWALAN" for AL-31FP Engine at HAL Koraput Division.
- Memorandum of Understanding (MoU) was signed with Mishra Dhatu Nigam Limited (MIDHANI) for Setting up a Strategic Metal Bank for critical raw materials at MIDHANI.
- Indigenous FADEC design for HTSE-1200 engine has been taken up.
- Prototype of Rotary Unmanned Aerial Vehicle (RUAV), capable of deployment at high altitudes for cargo delivery and Intelligence, Surveillance, Reconnaissance (ISR) role is built and performance runs are progressing.

➤ Ab-initio designed & developed technologies for LCA Mk2 platform.

- Data Acquisition technology has been introduced in Electrical LRUs i.e., AC & DC Power Management Units for Contactor status, AC/DC source Input current, Essential Bus Voltage, Frequency etc. and their transmission on RS422 line for health monitoring and recording purpose.
- Optical Level Sensing technology has been developed for aircraft Fuel Tanks Low Level & High-Level warning indication to improve the accuracy, in place of existing capacitance based sensing.

Future Outlook

The Company is intensifying efforts to expand its global footprint through exports and strategic collaborations with international partners. Emerging opportunities in areas such as unmanned systems, advanced materials, digital manufacturing, and space applications are expected to open new growth avenues.

The Company is poised to sustain its growth trajectory and reinforce its position as a key enabler of India's aerospace and defence capabilities while progressively enhancing its competitiveness in the global market.

Human Resource Development

People remain HAL's most enduring institutional asset. In 2025-26, Human Resources focused on strengthening organisational effectiveness, deepening employee engagement, and building the workforce capabilities for our expanding programmes demand. All HR manuals were consolidated into a unified Corporate HR Manual, accessible through a dedicated digital HR Bot, simplifying governance and improving the employee experience. Service recognition frameworks, travel entitlements, medical benefits for dependent parents, and separation settlements were comprehensively revised, reflecting our sustained commitment to employees welfare. A renegotiated Incentive Scheme for



Workmen, reinforces the link between performance and reward, sustaining a stable industrial relation environment. HAL's recognition by Department of Public Enterprises (DPE) as a Mentor Organisation for Succession Planning and Leadership Development across peer DPSUs affirms the maturity of our people practices.

Building capability for the future, the Leadership Development Programme continues to groom our senior leadership pipeline, while the Sponsorship programmes deepens the technical foundation. HAL Management Academy, now an Authorised Training Partner of the Project Management Institute, USA, has broadened its reach considerably. Project Management Teams with certified professionals have been constituted across the Company to drive focused execution and coordination across HAL's growing portfolio of projects. A new Flight Test Engineer Scheme builds the specialised capability in-house, and initiatives such as Mission Abhyudaya and the Critical Skill Transfer programme are systematically preparing our workforce for smart manufacturing and next-generation aerospace demands.

Corporate Governance

Your Company always strives to conduct the business with integrity, in an ethical and transparent manner to attain the highest standard of Corporate Governance practice in the letter & spirit by framing & implementing various policies & procedures mandated under the Companies Act and SEBI (LODR) Regulations, DPE Guidelines, Public Procurement Policy, CVC Guidelines, MoD directives issued from time to time. The Company has complied with the Guidelines on Corporate Governance framed by the Department of Public Enterprises (DPE) and SEBI Listing Regulations except for the appointment of the requisite number of Independent Directors including Woman Independent Director which led to the non-compliance related to composition of the Board and some of its Committee as indicated in the Corporate Governance Report, forms part

of Annual Report. The Company has established systems and procedures to ensure that its Board of Directors is well informed about the policies of the Company, to enable them to discharge their responsibilities and to enhance the overall value of all stakeholders. Your Company has been continuously rated 'Excellent' grade for the past 24 years with respect to MoU signed with Department of Public Enterprises.

Environment, Social and Governance (ESG)

HAL's commitment to ESG is evident through its focus on environmental responsibility, social development, and robust corporate governance. From reducing water consumption and implementing emission control technologies to its impactful CSR initiatives, and dedication to employee well-being, the Company is actively shaping a sustainable future for India, its stakeholders, and its workforce.

During the year, 200 KW capacity rooftop solar power plants have been installed at various locations of the Company. The Company has installed a cumulative capacity of 50.15 MW capacity Renewable Energy (RE) plants out of which 14.7 MW is from wind and balance from solar (ground & roof top). The Company also procured Green power to the tune of 140 Lakh Kwh from DISCOMS. The Company has met around 40% of its electricity requirement from RE sources in FY 2025-26.

The Renewable Energy consumption has avoided around 71000 Tons of CO₂e emissions in the reporting year thereby contributing to the mitigation of climate change.

Corporate Social Responsibility and Sustainability Development

Your Company is committed to its social responsibility. In this endeavour, the Company has undertaken various CSR programmes and projects, towards integrating our social and business goals in a sustainable manner in line with Schedule VII of the Companies Act, 2013.

During the year, an amount of ₹ 181 Crore has been spent under CSR against the CSR budget/ obligation of ₹ 169 Crore.

Acknowledgement

I take this opportunity to extend my sincere gratitude to the Department of Defence Production, Defence Acquisition Council, Defence Finance, Department of Civil Aviation and our valuable customers viz., the Indian Air Force, Indian Army, Indian Navy, Indian Coast Guard, Border Security Force, ISRO, other Global Aviation Companies and private industry.

I thank DGAQA, DRDO, CEMILAC, Principal Controller of Defence Accounts, Principal Director of Commercial Audit, C&AG, Auditors, Bankers, Legal Advisors, Collaborators, Suppliers, Shareholders and other Agencies and acknowledge their contributions to the Company's achievements.

I am grateful, once again, to the members of the Board for their valuable guidance and acknowledge the immense contribution and dedication of the employees at all levels.

JAI HIND

(Ravi K)

Chairman and Managing Director
with Addl. Charge of Director (Operations)

Place : Bengaluru

Date : July 17, 2026



VISION



To be a global leader in
the Aerospace & Defence Industry

MISSION



We are committed to deliver superior technology solutions to the customers by leveraging our infrastructure and Design, Manufacture & Service skills, for achieving business excellence





Corporate Information (as on July 17, 2026)

BOARD OF DIRECTORS

Shri Ravi K

Chairman and Managing Director (CMD),
Addl. Charge of Director (Operations)

Dr. Barennya Senapati

Director (Finance) & CFO

Shri M. G. Balasubrahmanya

Director (Human Resources)

Shri Ajay Kumar Shrivastava

Director (Engineering and R&D)

Ms. Manisha Chandra, IAS

Joint Secretary (Aero)
Ministry of Defence
Govt. Nominee Director

Dr. Rajalakshmi Menon

Distinguished Scientist & Director General
(Aeronautical Systems), DRDO
Govt. Nominee Director

CA Rakesh Bhawsar

Independent Director

COMPANY SECRETARY

Shri Shailesh Bansal

Company Secretary





Bankers

State Bank of India
Punjab National Bank
Indian Bank
Indian Overseas Bank
Bank of Baroda
Canara Bank
Union Bank of India

Statutory Auditor

M/s. Gupta Nayar & Co.

Chartered Accountants, Bengaluru

Branch Auditors

M/s. Om Rastogi & Co.

Chartered Accountants, Lucknow

M/s. R Kabra & Co LLP

Chartered Accountants, Mumbai

M/s G G & Company

Chartered Accountants, Hyderabad

M/s. G R V & P K

Chartered Accountants, Bengaluru

M/s. Vasu & Associates

Chartered Accountants, Koraput

M/s. Chhparia & Associates

Chartered Accountants, Barrakpore

M/s. Kapoor Tandon & Co.

Chartered Accountants, Kanpur

M/s. Nagarajan & Co.

Chartered Accountants, Bengaluru

M/s. R Singhvi & Associates

Chartered Accountants, Bengaluru

M/s T. Sriram, Mehta & Tadimalla

Chartered Accountants, Bengaluru

M/s. Singh Agarwal & Associates

Chartered Accountants, Lucknow

M/s. B.P. Rao & Co

Chartered Accountants, Bengaluru

M/s. NSVM & Associates

Chartered Accountants, Bengaluru

M/s Babu and Badat

Chartered Accountants, Bengaluru

M/s. C S M R & Associates

Chartered Accountants, Bengaluru

M/s. T Murali & Co.

Chartered Accountants, Bengaluru

M/s. S V Bhat & Co.

Chartered Accountants, Bengaluru

M/s K C Khanna & Co.

Chartered Accountants, Bengaluru

M/s Vinay & Keshava LLP

Chartered Accountants, Bengaluru

Cost Auditor

M/s. Murthy & Co. LLP

Cost & Management Accountants, Bengaluru

Legal Advisor

M/s. Sundaraswamy & Ramdas

Advocates, Bengaluru

Tax Consultants

Deloitte Touche Tohmatsu India LLP

Bengaluru

Credit Rating Agencies

M/s. ICRA Limited

M/s. CARE Ratings Limited



Board of Directors (as on July 17, 2026)



Shri Ravi K

Chairman and Managing Director
Addl. Charge of Director (Operations)

Shri Ravi K was appointed as Chairman and Managing Director (CMD) w.e.f May 1, 2026. Prior to this position, Shri Ravi was holding the post of Director (Operations) of the Company.

Shri Ravi K is a Mechanical Engineering graduate from Malnad College of

Engineering, Karnataka and is an alumnus of IIM Ahmedabad and IAS, Toulouse, France. Shri Ravi K brings over 30 years of experience across various sectors such as A&D, manufacturing and electronics.

During his tenure, he concluded various big-ticket contracts for HAL such as contract to supply 180 LCA Tejas to the Indian Air Force, 156 LCH Prachand to Indian Army and Indian Air Force and is credited with the operationalisation of the LCA Tejas fleet in IAF. He boosted fleet serviceability through various customer-centric initiatives, established seamless data communication with IAF bases and created a Single Point of Contact (SPOC) for timely customer support.

He has been a driving force in strengthening indigenous capabilities within the LCA Tejas programme by

increasing local content and expanding production capacity in Nasik. He also played a pivotal role in developing a robust manufacturing ecosystem by outsourcing major fuselage assemblies to private sector partners, a strategy that is now delivering tangible results through ongoing deliveries.

His initiatives have diversified HAL into Civil manufacturing and MRO, creating new revenue streams and expanding HAL's market presence.

In addition to holding leadership position at HAL, Shri Ravi serves as Nominee Director on the board of Multi-Role Transport Aircraft Ltd (MTAL), Defence Innovation Organisation (DIO) and Aerospace & Aviation Sector Skill Council (AASSC).

Shri Ravi K is also holding additional charge of Director (Operations) of the Company w.e.f May 1, 2026.



Dr. Barenya Senapati

Director (Finance) & Chief Finance Officer

Dr. Barenya Senapati was appointed as the Director (Finance) w.e.f October 22, 2024 and Chief Financial Officer of the Company w.e.f November 14, 2024.

Dr. Senapati is a Fellow Member of The Institute of Chartered Accountants of India and Ph.D in Commerce.

He joined HAL in 1995 and has a rich experience of 31 years in varied roles

at Divisional level and in the Corporate Finance. Prior to his appointment as the Director (Finance), Dr. Senapati has been holding the position as Executive Director (Finance), of the Company and handling overall Finance and Accounts related function of HAL. He has the diverse experience in all the areas of Finance encompassing the Accounts, Financial planning, Treasury Management, Pricing and Taxation of the Company.

During his tenure in HAL, Dr. Senapati played a key role in finalization of several contracts for supply of Fighter Aircraft & Helicopters. He is also instrumental in finalization of the pricing of Repair & Overhaul activities carried out by HAL which constitutes substantial revenue stream.

He has an active role in implementation of Online Claims Bills Realization system (e-CBRS) and Centralized Payroll Processing Centre for efficient functioning of Finance Department of the Company.

He took the lead in settlement of old long standing Sales Tax disputes with the Govt of Karnataka, Govt. of Odisha and Govt. of Telengana, Government of Maharashtra in coordination with Defence Services and MoD.

He played an active role in obtaining the Maharatna Status for HAL which is a historical milestone of the Company.

Dr. Senapati has been elected to the Executive Board of Standing Conference of Public Enterprises (SCOPE), an apex body of PSEs.

Dr. Senapati has been conferred prestigious award "CA, CFO – Large Corporates PSU" by the Institute of Chartered Accountants of India (ICAI) for his exemplary contributions and professional excellence at the prestigious World Forum of Accountants (WOFA) 2025.



Shri M.G. Balasubrahmanya
Director (Human Resources)

Shri M.G. Balasubrahmanya has been appointed as Director (Human Resources) of the Company w.e.f. May 6, 2025. Prior to his appointment, he was holding the position of Executive Director (Human Resources) at HAL Corporate Office and

handling Corporate HR & other Allied areas viz. Training & Skill Development, Medical & Health, Security & Fire, Media Communications, and Estates.

He holds Master of Social Work (Personnel Management & Industrial Relations) from School of Social Work, Roshni Nilaya, Mangalore University as well as Bachelor of Laws (LLB) from Osmania University. He is also certified Internal Assessor for the Competency Assessment.

Shri M.G. Balasubrahmanya started his career in HAL as a Management Trainee (Personnel) in the year 1989. During his career spanning over 36 years in HAL, he has contributed significantly in entire spectrum of Human Resources including Industrial Relations, Legal & Disciplinary matters, Training & Skill Development,

Corporate Social Responsibility, Facility & Estate Management and Vigilance at Divisional, Complex & Corporate level.

Under dynamic leadership of Shri M.G. Balasubrahmanya, HAL's HR functions is focused on attracting and retaining best talent, encouraging and creating a culture of continuous learning, process improvement and automation, employees' engagement and in turn productivity improvement. Shri M.G. Balasubrahmanya is also instrumental in effectively developing and aligning various HR policies and interventions with the Business needs and challenges in HAL.

In addition to holding leadership position at HAL, Shri M.G. Balasubrahmanya serves as Nominee Director on the board of Aerospace & Aviation Sector Skill Council (AASSC).



Shri Ajay Kumar Shrivastava
Director (Engineering and Research & Development)

Shri Ajay Kumar Shrivastava was appointed as Director (Engineering and Research & Development) of the Company w.e.f. July 15, 2025. Prior to his appointment as Director (Engineering and Research & Development), he was holding the position of Executive Director (ARDC), HAL.

He is a graduate in Electronics Engineering from HBTI Kanpur and a

postgraduate in MS (Aviation Safety & Aircraft Airworthiness) from ENAC/ ENSICA, Toulouse, France. He is also a certified Project Management Professional.

Shri Ajay Kumar Shrivastava joined HAL as a Management Trainee (Technical) in July 1988 and has 38 years of experience in Design, Development & Certification of Trainer, Fighter and Transport Aircraft as well as Rotary Wing Aircraft.

He was instrumental in carrying out Avionics Upgrade of entire HS-748 fleet of IAF and also took up the project for Avionics upgrade of Do-228 of Indian Coast Guard, India Air Force and Indian Navy, Sea king Helicopter of Indian Navy and IL-78 aircraft of IAF.

Shri Ajay Kumar Shrivastava played key role in getting successfully type certification of Hi-228 aircraft, which makes it the first Indigenous Transport civil passenger aircraft in India to be Type Certified. He was also instrumental in obtaining DGCA certification for

2 civil HAL Do-228 aircraft. Under his leadership, the Company has successfully completed the Indigenization of several critical aircraft components.

During his tenure as Head of ARDC, HAL, the RMTD RSD certification for the HTT-40 trainer aircraft was obtained and the Avionics upgrade of HJT-36 was carried out which was successfully demonstrated during Aero India 2025.

After taking over as Director (Engg, R&D), Shri Ajay Kumar Shrivastava spearheaded the benchmarking of HAL R&D framework with Global Aerospace and Defence companies, subsequent to which a revised R&D manual released.

He led the creation of tenth R&D centre of HAL - Space Research & Design Centre for research in Space Technologies.

In addition to holding leadership position at HAL, Shri Ajay Kumar Shrivastava serves as Nominee Director on the Board of Multi-Role Transport Aircraft Ltd (MTAL).



Ms. Manisha Chandra, IAS

Joint Secretary (Aerospace), MoD
Government Nominee Director

Ms. Manisha Chandra was appointed as Government Nominee Director of the Company w.e.f July 15, 2025.

She is an Indian Administrative Service officer of 2004 Batch of Gujarat Cadre and is currently serving as Joint Secretary (Aerospace) in the Department of Defence Production, Ministry of Defence. She holds a Masters Degree in Public Policy and Management from the prestigious King's College, London in addition to a Masters Degree in Political Science from the University of Allahabad.

She has served in three districts and in five major departments of the State and possesses a vast experience in development sector. As Secretary, Expenditure Department of Finance, Government of Gujarat she has also served on the board of key State PSUs of Gujarat like Gujarat Urja Vikas

Nigam Ltd. (GUVNL), Gujarat Electricity Transmission Company (GETCO), Gujarat State Financial Services Ltd. (GSFS). She has been instrumental in taking several citizen centric pathbreaking initiatives involving the use of technology to improve the service delivery that have been duly recognised by national institutions like NITI AYOJ.

Ms. Manisha Chandra also serves as Govt. Nominee Director on the Board of Yantra India Limited.



Dr. Rajalakshmi Menon

Distinguished Scientist and Director General (Aeronautics Systems), DRDO
Government Nominee Director

Dr. Rajalakshmi Menon, Distinguished Scientist and Director General (Aeronautics Systems), was appointed as Government Nominee Director of the Company w.e.f September 13, 2024. She has done M.Sc. in Computer Science from University of Poona, Masters in Engineering in the area of

Clutter Characterisation from Airborne Platform and PhD in the area of Target Recognition from Department of Aerospace Engineering, Indian Institute of Science.

Dr. Menon has played a pivotal role in the design, development, integration, testing and delivery of indigenous Airborne Early Warning & Control System (AEW&C). She has been pioneer in evolving the platform requirements for the AEW&C role and managing the interfaces for the complex system of systems program and leading the aircraft integration, operation and maintenance activities. As coordinator for indigenous datalinks development, she has successfully demonstrated the communication capability between AEW&C and Ground Exploitation System meeting the operational role.

Dr. Menon has made significant contributions in design and development of Airborne Surveillance Systems.

Her area of expertise includes System Engineering of Complex Systems, Command, Control, Communications, Computers, Intelligence, Surveillance and Reconnaissance (C4ISR), Image Intelligence, Guidance and Control, Battle Management, System Design and System Analysis of Airborne Radars and EW sensors.

She is a recipient of DRDO Award for Path Breaking Research for developing critical technologies for AEW&C in 2012, DRDO Scientist of the year Award in 2015 and DRDO Technology Group Award for the design and development of Intercept Control and Battle Management System for AEW&C in 2018.

She is also a recipient of Outstanding Women Scientist/Technologist/ Engineer Award for 2018 from Aeronautical Society of India and Distinguished Alumni Award for 2019 from the prestigious Indian Institute of Science.



CA Rakesh Bhawsar
Independent Director

CA Rakesh Bhawsar has been appointed as Non-Official (Independent) Director of the Company w.e.f May 15, 2025.

CA Rakesh Bhawsar is a practicing fellow member of the Institute of Chartered Accountants of India since 2002. He has done Bachelor's degree in Science from Vikram University, Ujjain and having rich experience of more than 23 years in various kind of Audit including Central Statutory Audit of Bank, Audit of Government Companies, Audit of Private companies and other entities including NGOs.

His area of specialization is Management, Taxation and Legal Consultancy, Internal audits, Strategic Planning, etc.

He is also representing various social organizations and is a Managing Trustee of Saraswati Bal Kalyan Nyas, a publisher of well-known monthly children magazine "Devputra". He is also an Independent Director on the Board of Jash Engineering Limited.

Chief Executive Officers (CEOs) (as on July 17, 2026)



Shri Jayakrishnan S
Chief Executive Officer,
Bangalore Complex

Shri Jayakrishnan S, Chief Executive Officer, Bangalore Complex, is a B. Tech in Production Engineering from TKM College of Engineering, University of Kerala. He started his career in HAL as a Management Trainee in the year 1989. During his career spanning of 37 years in HAL, he has worked in various functions viz., Production Engineering, IT, Supply Chain, Aircraft Assembly, Customer Services, Project Management, Marketing, Export, Business development. He has made valuable contributions in the Production

of Hawk Mk 132 Advanced Jet Trainer by leading the assembly for the batch II of the program and successfully delivered all Hawks for the Indian Air Force & Navy. He led the team of Aircraft Division for establishment of 2nd LCA production line. Under his leadership first LCA Mk 1A was produced. Prior to his appointment as Chief Executive Officer of Bangalore Complex w.e.f July 1, 2024, he served as General Manager of Aircraft, IJT (Intermediate Jet Trainer) and Airport Services Centre (ASC) Divisions at HAL.



Shri M Satyanarayana
Chief Executive Officer,
Accessories Complex

Shri M. Satyanarayana holds a B.Tech in Electronics & Communication Engineering from D.M.S.S.V.H. College of Engineering, Machilipatnam, Nagarjuna University, Andhra Pradesh, and an M.Tech in Aircraft Production Engineering from IIT Madras.

Starting his career at HAL as a Management Trainee in 1989, Shri Satyanarayana has served in diverse capacities across Assembly & Test (A&T), indigenization, technical services, and missile avionics manufacturing. With over 37 years of experience at HAL, he has contributed to Russian, Western, and Indigenous platforms, ranging from

legacy systems to advanced avionics technologies. His key contributions include establishing production facilities for AESA radar and Electronic Warfare (EW) suite, reducing the ROH cycle time of Su-30 MKI avionics systems to bolster fleet serviceability, and pioneering the development of indigenous repair technologies for Su-30 MKI LRUs to reduce OEM dependence.

Prior to assuming charge as Chief Executive Officer of Accessories Complex w.e.f. January 1, 2025, he served as General Manager of HAL's Accessories Division at Lucknow and Avionics Division at Hyderabad



Shri P B Rangarao

Chief Executive Officer,
Helicopter Complex

Shri P B Rangarao, Chief Executive Officer, Helicopter Complex, holds Bachelor's degree in Mechanical Engineering from Regional Engineering College, Warangal, a Post Graduate Diploma in Business Management from XIME, Bengaluru and has completed a Leadership Development Program from the Indian Institute of Management (IIM), Ahmedabad. He started his career in HAL as a Design Trainee in the year

1995. During his career span of 31 years in HAL, he has served in several key roles across departments including Plant Maintenance, ALH Manufacturing Shops, Ch/CK Transmission and Blade Shop, Head of Ch/CK project, Outsourcing and Planning. Prior to his appointment as Chief Executive Officer of Helicopter Complex w.e.f July 1, 2025, he was Executive Director, Helicopter Division.



Shri Shishir Kumar Patra

Chief Executive Officer,
MiG Complex

Shri Shishir Kumar Patra, Chief Executive Office, MiG Complex, holds degree in Metallurgical Engineering from NIT Rourkela and had completed Leadership Development Programme from IIM, Ahmedabad and IAS, Toulouse, France. He has vast experience of more than 34 years in private and public sector industries. He started his career in HAL in 2004. He was pivotal in establishment of facilities for manufacturing & productionization of AL-31FP engine

of Su-30MKI fighter aircraft. He has also established the critical facilities for special processes like Manned Chamber Welding, Electron Beam Welding, Plasma Coating, Isothermal Forming, Super Plastic Forming etc. used in manufacturing of AL-31FP engine. Prior to his appointment as Chief Executive Officer of MiG Complex w.e.f April 1, 2026, he has served as Executive Director, Aircraft Manufacturing Division, HAL Nasik.



MAJOR ACHIEVEMENTS



Hon'ble Raksha Mantri Shri Rajnath Singh inaugurated the 3rd Production Line of LCA Mk1A and 2nd Production Line of HTT-40 at HAL's Nashik Division on October 17, 2025



HAL's Dhruv New Generation (NG) helicopter made its inaugural flight on December 30, 2025 in Bengaluru marking a firm entry into civil aviation sector. The Hon'ble Minister for Civil Aviation, Shri Ram Mohan Naidu flagged off the first flight.



The first Hindustan Turbo Trainer-40 (HTT-40) Series Production aircraft, TH 4001 made its maiden flight on October 24, 2025



ISRO successfully launched CMS-03 communication satellite on November 2, 2025 using India's Heaviest Launch Vehicle LVM3. HAL provided critical hardware for the CMS-03 mission.



HAL signed SSLV Technology Transfer Agreement with ISRO, IN-SPaCe & NSIL for the transfer of the Small Satellite Launch Vehicle (SSLV) technology on September 10, 2025 in Bengaluru



HAL and UAC Signed a Memorandum of Understanding (MoU) in Moscow for the production of SJ-100 on October 27, 2025



Dr. D.K. Sunil, CMD, HAL, and Dr. Barenja Senapati, Director (Finance) and CFO received the SCOPE Eminence Award for Institutional Excellence from the Hon'ble President of India, Smt. Droupadi Murmu in New Delhi on August 29, 2025



HAL signed a contract with Pawan Hans Ltd on January 29, 2026 for the supply of 10 Dhruv Next Generation (NG) helicopters, during Wings India 2026, held in Hyderabad.



HAL and the Ministry of Defence (MoD), signed a contract for the supply of eight Do-228 aircraft to Indian Coast Guard on February 12, 2026.



The Ministry of Defence signed a contract with HAL for supply of 97 LCA Mk1A aircraft for IAF on September 25, 2025.



HAL signed a contract with HENSOLDT Sensors GmbH, Germany, at Dubai Air Show 2025 for the Transfer of Design ToT and Intellectual Property Rights (IPR) for Obstacle Avoidance System (OAS) and Degraded Visual Environment (DVE) for helicopter platforms.



Shri Sanjeev Kumar, Secretary (Defence Production) inaugurated LCH Production Line and an Automated Storage and Retrieval System (ASRS) facility at HAL's New Helicopter Factory in Tumakuru on April 13, 2026 in the presence of HAL CMD & Directors



VISITS



Dr. P. K. Mishra, Principal Secretary to the Hon'ble Prime Minister
visited HAL facilities in Bengaluru on July 8, 2025



Air Chief Marshal A P Singh, Chief of the Air Staff, Indian Air Force, visited
HAL-Aircraft Research and Design Centre on December 6, 2025



General Anil Chauhan, Chief of the Defence Staff (CDS) visited HAL on February 17, 2026



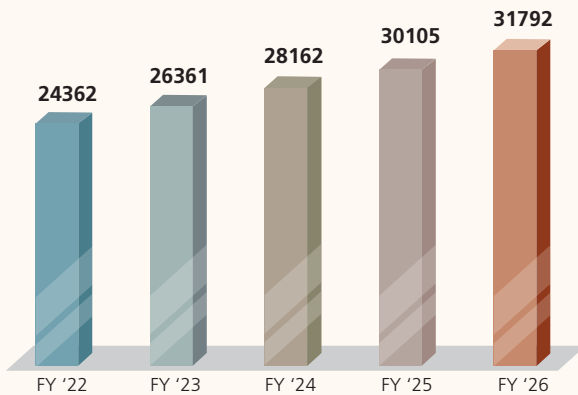
General Upendra Dwivedi, Chief of the Army Staff, visited Hindustan Aeronautics Limited on April 8, 2026 and undertook a sortie in the Prachand Light Combat Helicopter.



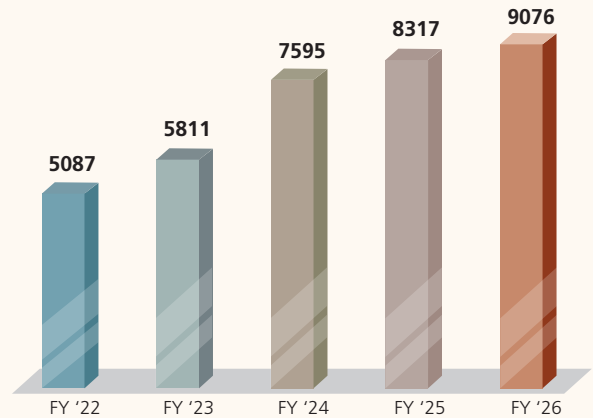


Financial Highlights

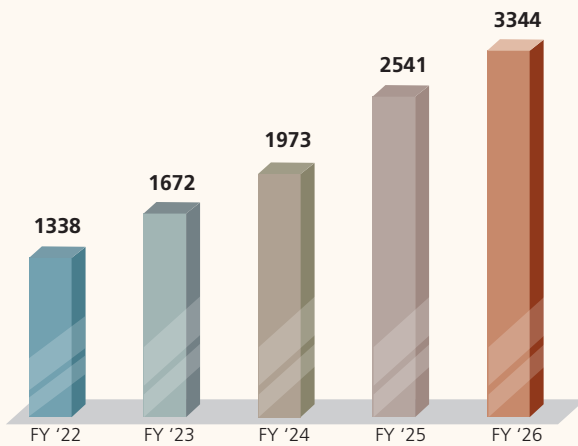
Turnover (₹ in Crores)



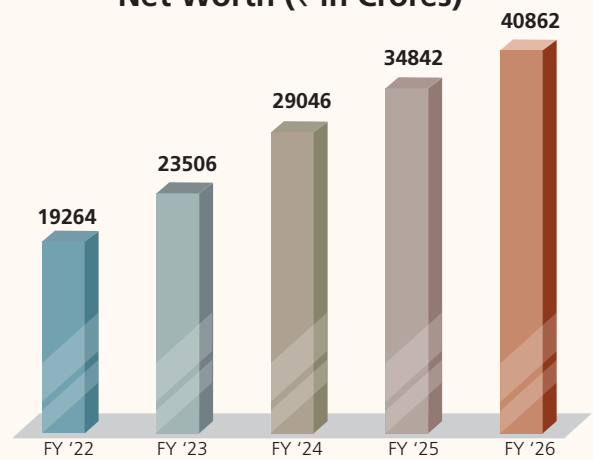
Profit After Tax (PAT) (₹ in Crores)



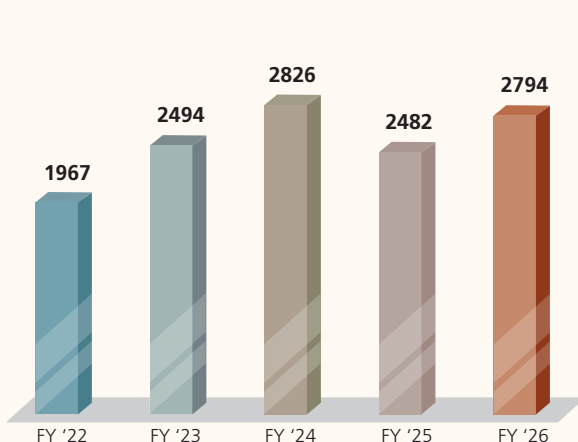
Dividend (₹ in Crores)



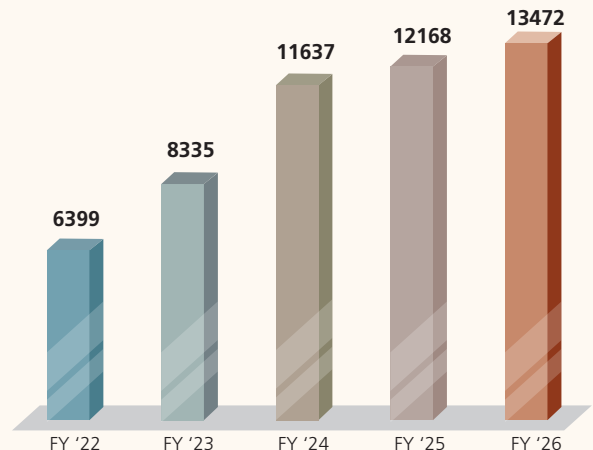
Net Worth (₹ in Crores)



R&D Expenditure (₹ in Crores)



EBITDA (₹ in Crores)





Financial Highlights

Sl. No.	Particulars	Units	2011-12	2012-13	2013-14	2014-15	2015-16
A	Our Earnings						
	Sales - Inland	₹ Cr.	13856	13941	14688	15131	16140
	Export Sales	₹ Cr.	348	383	440	490	446
	Total Sales	₹ Cr.	14204	14324	15128	15621	16586
	Changes in WIP & SIT & FG	₹ Cr.	-1511	-122	740	667	566
	Total	₹ Cr.	12693	14202	15868	16288	17152
B	Our Outgoings						
	Cost of Materials	₹ Cr.	5761	8008	9149	8882	9172
	Manpower Cost	₹ Cr.	2721	2446	2685	3379	3274
	Net Operating Cost	₹ Cr.	2813	2383	2349	2215	2734
	Net Financing Cost	₹ Cr.	-2107	-2316	-2064	-1622	-1549
	Depreciation	₹ Cr.	177	184	171	262	314
	Total	₹ Cr.	9365	10705	12290	13116	13945
C	Our Savings						
	Profit Before Tax	₹ Cr.	3328	3497	3578	3172	3207
	Provision For Tax	₹ Cr.	789	500	885	784	1209
	Profit After Tax For Appropriation	₹ Cr.	2539	2997	2693	2388	1998
D	We Own						
	Net Block	₹ Cr.	1556	1548	1582	1559	1694
	Other Assets (Net)	₹ Cr.	11260	13397	15794	13996	10140
	Total	₹ Cr.	12816	14945	17376	15555	11834
E	We Owe						
	Equity	₹ Cr.	121	121	482	482	362
	Reserves and Surplus	₹ Cr.	11218	13257	14533	14412	10657
	Shareholders' Funds	₹ Cr.	11339	13378	15015	14894	11019
F	Deferred Tax Liability	₹ Cr.	1477	1567	1682	661	815
	Long Term Borrowings	₹ Cr.					
	Short Term Borrowings	₹ Cr.			679		
	Total	₹ Cr.	12816	14945	17376	15555	11834
G	Financial Statistics						
	Revenue from Operations (Net)	₹ Cr.	14211	14328	15135	15730	16758
	Value of Production	₹ Cr.	12693	14202	15868	16288	17152
	Value Added	₹ Cr.	6932	6194	6719	7406	7980



	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26
	17139	17970	19416	21016	22261	24194	26067	27851	29705	31291
	465	314	405	212	240	168	294	311	400	501
	17604	18284	19821	21228	22501	24362	26361	28162	30105	31792
	-501	-731	-1171	-638	-2457	-592	694	1956	7624	10027
	17103	17553	18650	20590	20044	23770	27055	30118	37729	41819
	8692	8046	7664	8760	8740	9412	10809	13035	19937	24478
	3569	4299	4295	4764	4291	4590	4896	5276	5718	6097
	1873	2296	2645	2471	2197	4529	5327	2789	2881	1670
	-880	-610	-14	347	239	-288	-778	-1499	-1971	-2962
	266	282	318	310	300	296	308	318	344	424
	13520	14313	14908	16652	15767	18539	20562	19919	26909	29707
	3583	3240	3742	3938	4277	5231	6493	10199	10820	12112
	967	1253	1396	1096	1038	144	682	2604	2503	3036
	2616	1987	2346	2842	3239	5087	5811	7595	8317	9076
	1985	2391	2728	2882	2690	2535	2888	2890	3008	3317
	12462	8936	13463	16204	12687	16729	20618	26156	31834	37545
	14447	11327	16191	19086	15377	19264	23506	29046	34842	40862
	362	334	334	334	334	334	334	334	334	334
	12175	9151	11741	12865	15034	18930	23172	28712	34508	40528
	12537	9485	12075	13199	15368	19264	23506	29046	34842	40862
	960	978	0	0	0	0	0	0	0	0
		100	100	0	0	0	0	0	0	0
	950	764	4016	5887	9	0	0	0	0	0
	14447	11327	16191	19086	15377	19264	23506	29046	34842	40862
	17950	18519	20008	21445	22882	24620	26928	30381	30981	33090
	17103	17553	18650	20590	20044	23770	27055	30118	37729	41819
	8411	9507	10986	11830	11304	14358	16246	17083	17792	17341



Sl. No.	Particulars	Units	2011-12	2012-13	2013-14	2014-15	2015-16
	Dividend						
	Dividend	₹ Cr.	814	824	890	480	510
	Dividend Tax	₹ Cr.	132	134	151	96	104
	Total	₹ Cr.	946	957	1041	576	614
	Government Share						
	Dividend	₹ Cr.	814	824	890	480	510
	Dividend Tax	₹ Cr.	132	134	151	96	104
	Total	₹ Cr.	946	957	1041	576	614
	Other than Government Share						
	Dividend	₹ Cr.					
	Dividend TAX	₹ Cr.					
	Total	₹ Cr.					
	R & D Expenditure	₹ Cr.	968	1949	1083	1042	1191
	EBITDA	₹ Cr.	4051	4098	4181	3987	4060
	Inventory	₹ Cr.	16153	17980	22361	24965	23998
	Trade Receivables	₹ Cr.	3917	5530	6917	6108	4836
	No. of Employees	Nos.	32659	32644	32108	31144	30300
	No of Equity Shares	Cr.	12.05	12.05	48.20	48.20	36.15
H	Financial Ratios						
	Sales Per Employee	₹	4349184	4387943	4711598	5015733	5473927
	Value Added Per Employee	₹	2122539	1897439	2092625	2377986	2633663
	PBT to Sales	%	23	24	24	20	19
	Earnings Per Share	₹	210.71	62.18	55.87	49.54	41.45
	Dividend as %age of Equity (including Dividend Tax)	%	785	199	216	120	170

- 1 The Shareholders of the Company, at the 60th Annual General Meeting held on 31 August 2023, had approved the sub-division of one equity share of the face value of ₹10 each into two equity shares of face value ₹ 5 each. The record date for the said sub-division was 29 September 2023.

The basic and diluted EPS for the previous year 22-23 have been restated considering the face value of ₹ 5 each in accordance with Ind AS 33- "Earnings per Share" on account of the above mentioned sub-division of equity shares.

- 2 To achieve the mandatory threshold of 25% minimum public shareholding in the Company, Government of India (GoI) had offered 3.5% (1,17,03,563) equity shares of the Company to non-Retail Investors and Retail Investors on March 23-24, 2023, out of its shareholding of 75.15% in the Company, through Offer for Sale (OFS) by Stock Exchange Mechanism. Consequent to the OFS, the Government of India shareholding stands at 71.65% as at 31st March 2023.

Apart from above, as part of the OFS, GoI had also allotted 37,632 equity shares to the eligible employees of the Company during April, 2023 under Employee OFS. Consequent to the Employee OFS, the GoI shareholding stands at 71.64%.



	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26
	917	1076	662	1112	1003	1338	1672	1973	2541	3344
	187	219	136	229	0	0	0	0	0	0
	1104	1295	798	1341	1003	1338	1672	1973	2541	3344
	917	1048	596	1000	754	1006	1257	1413	1820	2396
	187	213	122	206	0	0	0	0	0	0
	1104	1261	718	1206	754	1006	1257	1413	1820	2396
		28	66	112	249	332	415	560	721	948
		6	14	23	0	0	0	0	0	0
		34	80	135	249	332	415	560	721	948
	1284	1612	1464	1232	1687	1967	2494	2826	2482	2794
	4273	4215	4936	5284	5694	6399	8335	11637	12168	13472
	21340	19375	19685	19454	16689	14364	12161	13226	21676	30851
	4220	6751	12459	11235	5670	4642	4719	4617	4648	4066
	29526	29035	28345	27384	26432	25412	24457	23766	23999	23502
	36.15	33.44	33.44	33.44	33.44	33.44	33.44	66.88	66.88	66.88
	5962130	6297179	6992768	7751972	8512788	9586809	10778509	11849701	12544273	13527359
	2848508	3274259	3875816	4320041	4276634	5650087	6642679	7188000	7413642	7378521
	20	18	19	19	19	21	25	36	36	38
	72.35	56.15	70.16	84.99	96.88	152.11	86.89	113.57	124.36	135.71
	305	388	239	401	300	401	501	591	761	1001

- 3 The Government of India, on 27/08/2020 – 28/08/2020 made an offer for sale (OFS) upto 15% of the paid up equity share capital, out of its shareholding of 89.97%, in order to achieve the mandatory threshold of 25% minimum public shareholding by a listed Company. Consequent to the OFS, the Government of India shareholding stood at 75.15%.
- 4 During the Financial Year 2017-18, Government of India divested 3,35,32,320 Equity Shares of ₹ 10/- each equivalent to 10.03% of the paid up capital of the Company. Consequently, the Company's shares was listed on 28th March 2018.
- 5 The Company has bought back 2,71,12,500 Equity Shares of ₹ 10/- each on 19th Dec 2017. The effect of buy-back is considered for the purpose of calculation of Earnings Per Share.
- 6 The Company has bought back 12,05,00,000 Equity Shares of ₹10/- each on 30th March 2016. The effect of buy-back is not considered for the purpose of calculation of Earnings Per Share, as there is no significant change in value of the same.
- 7 The Company has issued 36,15,00,000 Equity Shares as Bonus Shares on 7th Feb 2014.



Notice of 63rd AGM

NOTICE is hereby given that the 63rd Annual General Meeting (AGM) of Hindustan Aeronautics Limited will be held on **Friday, August 28, 2026 at 03.30 P.M. (IST)** through Video Conferencing (VC) / Other Audio Visual Means (OAVM) to transact the following business:

ORDINARY BUSINESS

1. To receive, consider and adopt the audited financial statements (including audited consolidated financial statements) for the financial year ended 31st March, 2026 and the Reports of the Board of Directors and Auditors thereon and Comments of the Comptroller & Auditor General of India.
2. To confirm payment of interim dividend of ₹35/- per equity share and to declare a final dividend of ₹10/- per equity share for the financial year 2025-26.
3. To appoint a director in place of Dr. Barenia Senapati, (DIN: 08525943) who retires by rotation and being eligible, offers himself for re-appointment.
4. To appoint a director in place of Shri M. G. Balasubrahmanya, (DIN: 11048733) who retires by rotation and being eligible, offers himself for re-appointment.
5. To fix remuneration of Statutory Auditors for the financial year 2026-27.

In terms of provisions of Section 142 of the Companies Act, 2013, the remuneration of the Auditors shall be fixed by the Company in General Meeting or in such manner as the Company in General Meeting may determine. Hence, it is proposed that the Members may authorize the Board to fix the remuneration of the Statutory Auditors of the Company for the financial year 2026-27, as may deem fit.

SPECIAL BUSINESS

6. Ratification of remuneration of Cost Auditor for the financial year 2026-27.

To consider and if thought fit, to pass with or without modification(s), the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the provisions of Section 148(3) of the Companies Act, 2013 read with Rule 14 of Companies (Audit and Auditors) Rules, 2014 and

other applicable provisions of the Companies Act, 2013 (including any statutory modification(s) or re-enactment(s) thereof for the time being in force), the remuneration of ₹1,50,000/- (Rupees One Lakh and Fifty Thousand Only) excluding applicable tax payable to M/s Murthy & Co., LLP, Cost and Management Accountants, Bengaluru, for conducting cost audit of the Company for the financial year 2026-27, as approved by the Board of Directors of the Company, be and is hereby ratified."

7. Appointment of Shri Ravi K. (DIN: 10807781) as Chairman & Managing Director of the Company.

To consider and if thought fit, to pass with or without modification(s), the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the provisions of Section 152 and other applicable provisions, if any, of the Companies Act, 2013, and the Rules made thereunder and Regulation 17(1C) of SEBI (LODR) Regulations, 2015 (including any statutory modifications or re-enactment thereof, for the time being in force) and provisions of the Articles of Association, Shri Ravi K. Director (Operations), (DIN: 10807781), who was appointed by the Board of Directors as Chairman and Managing Director subject to approval of shareholders with effect from 1st May, 2026 in terms of MoD, Gol Letter No. 49016/01/2025-D (HAL-III) dated 30th April, 2026, be and is hereby appointed as Chairman and Managing Director of the Company, not liable to retire by rotation, on such terms and conditions as stipulated by the Government of India."

By Order of the Board of Directors
For Hindustan Aeronautics Limited

(Shailesh Bansal)
Company Secretary

Place: Bengaluru
Date: July 17, 2026



NOTES:

1. An Explanatory Statement pursuant to Section 102 of the Companies Act, 2013 ('the Act') relating to the Special Business to be transacted at the Annual General Meeting ('AGM') is annexed hereto. The Board of Directors have considered and decided to include Item No. 6 & 7 as Special Business in the forthcoming AGM.
2. In-line with the provisions of the Companies Act, 2013 ("Act"), SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations") and various Circulars issued by the Ministry of Corporate Affairs (MCA) and Securities and Exchange Board of India (SEBI) from time to time, the 63rd AGM of the Company is being held through VC/ OAVM, without the physical presence of Members at a common venue. The deemed venue for the AGM will be the Registered Office of the Company.
3. The Company has enabled the members to participate at the 63rd AGM through VC facility provided by the KFin Technologies Limited ("KFinTech") (formerly known as "KFin Technologies Private Limited"). The participation at the AGM through VC shall be allowed on a first-come-first-served basis.
4. In compliance with the MCA and SEBI Circulars issued from time to time, Notice of the AGM along with the Annual Report 2025-26 is being sent through electronic mode to those Members whose email addresses are registered with the Depository Participants (DPs) / Depositories. Further, in compliance with Regulation 36(1)(b) of the Listing Regulations, a letter providing the web-link, including the exact path, where Annual Report for the financial year 2025-26 is available, is being sent to those members whose e-mail address is not registered with the Depository Participants (DPs) / Depositories. However, Members who require physical copy of the Annual Report, may request for the same. Members may note that the Notice and Annual Report 2025-26 will also be available on the Company's Website www.hal-india.co.in, websites of the Stock Exchanges i.e BSE Limited and National Stock Exchange of India Limited at www.bseindia.com and www.nseindia.com respectively, and on the website of KFinTech at <https://evoting.kfintech.com> at download section.
5. We desire members to support 'Green Initiative' by receiving the Company's communication through email. Members who have not registered their email addresses and mobile number so far, are requested to validate/ register their details with the Depository Participant, for receiving all communication including Annual Report and other Notices from the Company electronically. In case of queries, Members are requested to write to einward.ris@kfintech.com or call at the toll free number 1800 309 4001.
6. In compliance with the provisions of Section 108 of the Act, the Rules made thereunder and Regulation 44 of the SEBI Listing Regulations, the Members are provided with the facility to cast their vote electronically, through e-voting services provided by KFin Technologies Limited, on all the resolutions set forth in this Notice. Members attending the AGM through VC/ OAVM, can cast their vote through e-voting during the AGM, if not casted earlier by remote e-voting. Members, who have cast their vote by remote e-voting prior to the AGM, may attend the AGM through VC/ OAVM but shall not be entitled to cast their vote again. **The Procedure / Instruction for e-voting and joining AGM are provided in this notice.**
7. The remote e-voting period commences on **Monday, August 24, 2026 (9.00 A.M. IST) and ends on Thursday, August 27, 2026 (5.00 P.M. IST)**. During this period, the Members, whose names appear in the Register of Members / list of Beneficial Owners, as on the **cut-off date i.e. Friday, August 21, 2026**, can cast their votes electronically. The remote e-voting module shall be disabled by KFin Technologies Limited for voting thereafter. Once the vote on a resolution(s) is cast by the Member, the Member shall not be allowed to change it subsequently.
8. Members attending the AGM through VC / OAVM shall be counted for the purpose of reckoning the quorum under Section 103 of the Act.
9. Pursuant to the provisions under Section 105 of the Act, a member who is entitled to attend and vote at a General Meeting, shall be entitled to appoint another person as a proxy to attend and vote on his/her behalf, and the proxy need not be a Member of the Company. Since, this AGM is being held through VC / OAVM, physical attendance of members has been dispensed with. Accordingly, the facility for appointment of proxies by the Members will not be available for the AGM. Hence, the Proxy Form and Attendance Slip is not annexed to this Notice. However, pursuant to Section 112 and 113 of the Act, the President of India or Body Corporate, who are members, are required to send a scanned copy of its Board or Governing Body Resolution / Authorization, etc., authorizing its representative to attend the AGM through VC / OAVM on its behalf and to vote through remote electronic - voting (e-voting). The said resolutions / authorizations can be forwarded to RTA on evoting@kfintech.com or may be sent to the Company by email through its registered email address to investors@hal-india.co.in



10. As per Regulation 40(1) of SEBI Listing Regulations, as amended, transfer, transmission or transposition of securities of the Company shall not be processed unless the securities are held in the dematerialised form with a depository.
11. The following documents will be available for inspection by the Members electronically during the AGM:
 - (a) The Register of Directors and Key Managerial Personnel and their shareholding maintained under Section 170 of the Companies Act, 2013.
 - (b) The Register of Contracts or arrangements in which the Directors are interested, maintained under Section 189 of the Companies Act, 2013.

Members seeking to inspect such documents can send an email to investors@hal-india.co.in mentioning his / her / its folio number / DP ID and Client ID.
12. Brief profile of the Directors seeking appointment/ re-appointment, as mandated under Regulation 36(3) of the SEBI Listing Regulations forms part of the Notice.
13. The Board of Directors of the Company in its 505th meeting held on June 29, 2026 has recommended a final dividend of ₹ 10/- per share of ₹ 5/- each, subject to approval of shareholders at its 63rd AGM.
14. The Company has fixed Friday, August 14, 2026 as the "Record Date" for determining entitlement of Members to final dividend for the financial year ended March 31, 2026.
15. If the final dividend, as recommended by the Board of Directors, is approved at the AGM, payment of such dividend subject to deduction of tax at source will be made only through electronic mode, on or before September 27, 2026 to all Beneficial Owners as per the data as may be made available by the National Securities Depository Limited ("NSDL") and the Central Depository Services (India) Limited ("CDSL"), collectively "Depositories", as on record date.
16. Pursuant to Income Tax Act, 2025, the Company is required to deduct tax at source (TDS) from dividend payable to shareholders at applicable rates, at the time of making payment of the dividend. In order to enable the Company to determine the appropriate TDS/ withholding tax rate applicability and to verify the documents and provide exemption, Members are requested to upload the requisite documents at <https://ris.kfintech.com/form15/default.aspx> on or before Record Date i.e. August 14, 2026. No communication on the tax determination / deduction shall be entertained thereafter. The shareholders are requested to update their PAN with the Depository Participants/ Depositories.
17. Members are requested to address all the correspondences including dividend related matters to the Registrar & Share Transfer Agent (RTA) of the Company i.e. KFin Technologies Limited (formerly known as "KFin Technologies Private Limited"), Selenium Building, Tower B, Plot 31 & 32, Financial District, Nanakramguda, Serilingampally Mandal, Hyderabad - 500 032, Telangana, Toll free number 1800 309 4001 e-mail ID: einward.ris@kfintech.com.
18. Members wishing to claim dividends that remain unclaimed are requested to correspond with the RTA at their address mentioned above or the Company Secretary of the Company at investors@hal-india.co.in.
19. Pursuant to Section 139(5) read with Section 142 of the Companies Act, 2013, the Auditors of a Government Company are appointed or re-appointed by the Comptroller and Auditor General (C&AG) of India and their remuneration is to be fixed by the Company in the AGM. The members may authorise the Board to fix an appropriate remuneration of Auditors for the year 2026-27.
20. The Board has appointed M/s SNM & Associates, Company Secretaries, Bengaluru as the Scrutinizer to scrutinize the e-voting in a fair and transparent manner.
21. The results of the above resolutions shall be declared within 2 working days from the conclusion of the AGM of the Company. The same along with the scrutinizer's report will be published on the website of the Company (www.hal-india.co.in) and on website of RTA (<https://evoting.kfintech.com>) within 2 working days from the conclusion of the AGM and the same shall also be simultaneously communicated to the BSE Limited and the National Stock Exchange of India Limited. The Resolutions will be deemed to be passed on the date of the AGM, subject to receipt of the requisite number of votes in favour of the resolutions.
22. In terms of Section 72 of the Companies Act, 2013, Members may contact their respective DPs for registration of nomination.
23. Members are requested:
 - I. To quote their DP & Client identification No. in all correspondence.
 - II. To update immediately any change of their address, E-mail ID and bank particulars (Bank account number, IFSC, MICR Code, etc.) with their Depository Participants to get communication, dividend and other benefits in a timely manner.
 - III. In case of joint holders attending the meeting, only such joint holder who is higher in the order of names will be entitled to vote.



24. The Company has designated an exclusive e-mail ID called investors@hal-india.co.in for redressal of shareholders'/ investors' complaints/grievances. In case you have any queries/complaints or grievances, then please write to us at the above e-mail address.
25. Since the AGM will be held through VC /OAVM, the Route Map is not annexed in this AGM Notice.

EXPLANATORY STATEMENT PURSUANT TO SECTION 102 OF THE COMPANIES ACT, 2013

Item No. 6 – Ratification of remuneration of Cost Auditor for the financial year 2026-27

The Board in its 505th meeting held on June 29, 2026, has approved the appointment of M/s Murthy & Co. LLP, Cost and Management Accountants, Bengaluru, at a remuneration of ₹1,50,000/- (Rupees One Lakh and Fifty Thousand only) excluding applicable tax, to conduct the Cost Audit of the Company for the financial year 2026-27.

In accordance with the provisions of Section 148(3) of the Companies Act, 2013 read with Rule 14 of Companies (Audit & Auditor Rules), 2014, the remuneration payable to the Cost Auditor is required to be ratified by the members of the Company. Accordingly, the proposal is placed for approval of members.

M/s Murthy & Co. LLP have furnished a certificate dated 4th May, 2026 regarding their eligibility for appointment as Cost Auditors of the Company. Further, they have relevant experience in the field of cost audit.

The Auditor has conducted the audit of the cost records of the Company for previous years under the provisions of the Act and the performance was satisfactory.

None of the Directors, Key Managerial Personnel of the Company or their relatives is in any way, concerned or interested, financially or otherwise, in the resolution.

The Board of Directors recommends the Resolution as an Ordinary Resolution for your approval.

Item No. 7 – Appointment of Shri Ravi K. (DIN: 10807781) as Chairman & Managing Director of the Company

The Board of Directors of the Company has appointed Shri Ravi K. as Chairman & Managing Director (CMD) w.e.f. 1st May, 2026, in terms of Letter No. 49016/01/2025-D (HAL-III) dated 30th April, 2026 issued by Ministry of Defence, Govt. of India, subject to approval of the Members in General Meeting. Shri Ravi K. if appointed as CMD, will not be liable to retire by rotation under Section 152 of the Act.

Shri Ravi K. is not disqualified from being appointed as a Director in terms of Section 164 of the Companies Act, 2013.

Born on June 17, 1969, Shri Ravi K. is a Graduate in Mechanical Engineering and is an alumnus of IIM, Ahmedabad & IAS,

Toulouse-France. He is also a Nominee Director on the board of Multi-Role Transport Aircraft Ltd. Defence Innovation Organization and Aerospace & Aviation Sector Skill Council.

Shri Ravi K, has experience of over 30 years across various sectors such as A&D, manufacturing and electronics. Prior to his appointment as CMD, he was holding the post of Director (Operations) of the Company w.e.f November 26, 2024. He has also been entrusted with the additional charge of Director (Operations) w.e.f. 1st May, 2026.

Since, Shri Ravi K, has vast and diversified experience in various fields, the Board is of the opinion that the Company will be immensely benefitted on his appointment as CMD on the Board of the Company. Accordingly, the Board recommends the appointment of Shri Ravi K. as CMD proposed at Item No. 7 of the accompanying Notice for approval by the Members.

Other particulars as per Reg. 36(3) of SEBI (LODR) Regulations, 2015 are provided as under:

- Disclosure of relationship between directors *inter-se*: Nil
- Directorship held in other listed Companies: Nil
- Membership/ Chairmanship of the Committee in other listed Companies: Nil
- Name of listed entities from which the person has resigned in the past three years: Nil
- Shareholding in Hindustan Aeronautics Ltd: Nil
- The skills /expertise/ competency of Shri Ravi K. as required in the context of the business pertaining to the Company are identified by the Government of India and accordingly selection of the Director on the Board of the Company is made by the Government of India.
- Terms and conditions of appointment: As stipulated in the MoD letter No. 49016/01/2025-D (HAL-III) dated 30th April, 2026.
- Number of Board Meetings attended during the year: Ten meetings.

None of the Directors, Key Managerial Personnel of the Company or their relatives except Shri Ravi K, is in any way, concerned or interested, financially or otherwise, in the resolution.

The Board of Directors recommends the Resolution as an Ordinary Resolution for your approval.

By Order of the Board of Directors
For Hindustan Aeronautics Limited



(Shailesh Bansal)
Company Secretary

Place: Bengaluru
Date: July 17, 2026



Additional information on Directors being re-appointed as required under Regulation 36 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Name of the Director	Dr. Barennya Senapati	Shri M. G. Balasubrahmanya
DIN	08525943	11048733
Date of Birth	25.11.1967	31.05.1967
Date of appointment	22.10.2024	06.05.2025
Brief Resume and nature of expertise	Dr. Barennya Senapati, Director (Finance) & CFO is a Fellow Member of The Institute of Chartered Accountants of India and has 32 years of post-qualification experience in the field of Finance and related field. He has diverse experience in all the areas of Finance encompassing the Accounts, Financial planning, Treasury Management, Pricing and Taxation of the Company.	Shri Balasubrahmanya holds Master of Social Work (Personnel Management & Industrial Relations) from School of Social Work, Mangalore University and Bachelor of Laws (LLB) from Osmania University. Shri Balasubrahmanya having more than 36 years of experience in the Company, has contributed significantly in entire spectrum of Human Resources including Industrial Relations, Legal & Disciplinary matters, Training & Skill Development, Corporate Social Responsibility, Facility & Estate Management and Vigilance at Divisional, Complex & Corporate level.
Directorship held in other Listed Companies	Nil	Nil
Membership/ Chairmanship in other listed Companies	Nil	Nil
Name of the listed entities from which the person has resigned in past three years	Nil	Nil
Shareholding in the Company	Nil	216 equity shares
Relationship with other directors and Key Managerial Personnel of the Company	Nil	Nil
Terms and conditions of re-appointment	Re-appointment in terms of Section 152(6) of the Companies Act, 2013	Re-appointment in terms of Section 152(6) of the Companies Act, 2013
Number of Board Meetings attended during the year	Ten Meetings	Nine meetings

PROCEDURE AND INSTRUCTIONS FOR e-VOTING

PROCEDURE FOR REMOTE E-VOTING

- Pursuant to SEBI Master Circular bearing reference no. HO/49/14/14(7)2025-CFD-POD2/I/3762/2026 dated January 30, 2026, as amended, e-Voting process has been enabled to all the individual demat account holders, by way of single login credential, through their demat accounts / websites of Depositories / DPs. Individual demat account holders would now be able to cast their vote without having any further requirement to register with the E-Voting Service Provider (ESP), thereby not only facilitating seamless authentication but also ease and convenience of participating in e-Voting process. Shareholders are advised to update their mobile number and e-mail ID with their DPs to access e-Voting facility.
- The remote e-Voting period commences on **Monday, August 24, 2026 (9.00 A.M. IST) and ends on Thursday, August 27, 2026 (5.00 P.M. IST).**
- The voting rights of Members shall be in proportion to their shares in the paid-up equity share capital of the Company as on the cut-off date.
- Any non-individual shareholders, who acquires shares of the Company and becomes a Member of the Company after sending of the Notice and holding shares as of the cut-off date, may obtain the login ID and password by sending a request at evoting@kfintech.com. However, if he / she is already registered with Kfintech for remote e-Voting, then he /she can use his / her existing User ID and password for casting the vote.



- v. In case of Individual Shareholders who acquires shares of the Company and becomes a Member of the Company after sending of the Notice, and holding shares as of the cut-off date, may follow steps mentioned below under "Login method for remote e-Voting and joining virtual meeting for Individual shareholders holding securities in demat mode."

THE DETAILS OF THE PROCESS AND MANNER FOR REMOTE E-VOTING ARE AS UNDER:

I) Login method for remote e-Voting for Individual shareholders holding securities in demat mode.

Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL	Member already registered for IDeAS facility may follow the below steps: - Visit the URL: https://eservices.nsdl.com - Click on the "Beneficial Owner" icon under "Login" under 'IDeAS' section. - On the new page, enter User ID and Password. Post successful authentication, click on "Access to e-Voting" under e-voting services. - Click on company name or e-Voting service provider i.e. KFintech and you will be re-directed to KFintech website for casting your vote. Members who have not registered for IDeAS facility may follow the below steps: - To register click on link : https://eservices.nsdl.com - Select "Register Online for IDeAS" or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp - On completion of the registration formality, follow the steps provided above. Members may alternatively vote by directly accessing the e-Voting website of NSDL: - Visit the URL: https://www.evoting.nsdl.com/ - Click on the icon "Login" which is available under 'Shareholder/Member' section. - Enter your User ID (i.e. your sixteen digit demat account number held with NSDL), Password / OTP and a Verification Code as shown on the screen. - Post successful authentication, you will requested to select the name of the company or the e-Voting Service Provider name, i.e. KFintech. - On successful selection, you will be redirected to KFintech e-Voting page for casting your vote during the remote e-Voting period.
Individual Shareholders holding securities in demat mode with CDSL	Members already registered for Easi/Easiest facility may follow the below steps: - Visit the following URL: https://web.cdslindia.com/myeasitoken/home/login/ or www.cdslindia.com - Click on the "Login" icon and opt for "My Easi New(Token)" (only applicable when using the URL: www.cdslindia.com) - On the new screen, enter User ID and Password. Without any further authentication, the e-voting page will be made available. - Click on Company name or e- voting service provider name, i.e., KFintech to cast your vote. Members who have not registered for Easi/ Easiest facility may follow the below steps: - To register for this facility, visit the URL: https://web.cdslindia.com/myeasitoken/Home/EasiRegistration https://web.cdslindia.com/myeasitoken/Home/EasiestRegistration - On completion of the registration formality, follow the steps provided above.



Type of shareholders	Login Method
	3. Members may alternatively vote by directly accessing the e-Voting website of CDSL: - Visit the URL: https://evoting.cdslindia.com/Evoting/EvotingLogin - Enter the demat account number and PAN. - Enter OTP received on mobile number & email registered with the demat account for authentication. - Post successful authentication, the shareholder will receive links for the respective e-voting service provider, i.e., Kfintech where the e-voting is in progress.
Individual Shareholder login through their demat accounts / Website of Depository Participant	- Members may alternatively login using the credentials of the demat account through their DP registered with NSDL /CDSL for e-Voting facility. - On clicking the E-voting icon, members will be redirected to NSDL / CDSL Depository site on successful authentication. - Members may then click on Company name or e-Voting service provider – Kfintech and will be redirected to e-Voting website of Kfintech for casting their vote without any further authentication.

Important note: Members who are unable to retrieve User ID / Password are advised to use Forgot user ID and Forgot Password option available at respective websites.

Helpdesk details for Individual Shareholders holding securities in demat mode related to login through Depository i.e. NSDL and CDSL are as under:

Login type	Helpdesk details
Securities held with NSDL	Please contact NSDL helpdesk by sending a request at evoting@nsdl.co.in or call at Toll free no.: 1800 1020 990
Securities held with CDSL	Please contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or contact at 022-62343625, 022-62343626, 022-62343259, Toll free no. 1800-21-09911

II) Login method for e-Voting for shareholders other than Individual's shareholders holding securities in demat mode.

Members whose email IDs are registered with the Depository Participant(s), will receive an email from Kfintech which will include details of E-Voting Event Number (EVEN), USER ID and password. They will have to follow the following process:

- Visit the URL: <https://evoting.kfintech.com/>
- Enter the login credentials (i.e. User ID and password). User ID will be your DP ID and Client ID. However, if you are already registered with Kfintech for e-voting, you can use your existing User ID and password for casting the vote.
- After entering these details appropriately, click on "LOGIN".
- You will now reach password change Menu wherein you are required to mandatorily change your password. The

new password shall comprise of minimum 8 characters with at least one upper case (A- Z), one lower case (a-z), one numeric value (0-9) and a special character (@,#,\$, etc.). The system will prompt you to change your password and update your contact details like mobile number, email ID etc. on first login. You may also enter a secret question and answer of your choice to retrieve your password in case you forget it. It is strongly recommended that you do not share your password with any other person and that you take utmost care to keep your password confidential.

- You need to login again with the new credentials.
- On successful login, the system will prompt you to select the "EVEN" i.e., 'Hindustan Aeronautics Limited' and click on "Submit".
- On the voting page, enter the number of shares (which represents the number of votes) as on the Cut-off Date under "FOR/AGAINST" or alternatively, you may partially enter any number in "FOR" and partially "AGAINST" but the total number in "FOR/AGAINST" taken together shall



not exceed your total shareholding as mentioned herein above. You may also choose the option ABSTAIN. If the Member does not indicate either "FOR" or "AGAINST" it will be treated as "ABSTAIN" and the shares held will not be counted under either head.

- viii. Members holding multiple folios/demat accounts shall choose the voting process separately for each folio/ demat accounts.
- ix. Voting has to be done for each item of the notice separately. In case you do not desire to cast your vote on any specific item, it will be treated as abstained.
- x. You may then cast your vote by selecting an appropriate option and click on "Submit".
- xi. A confirmation box will be displayed. Click "OK" to confirm else "CANCEL" to modify. Once you have voted on the resolution(s), you will not be allowed to modify your vote. During the voting period, Members can login any number of times till they have voted on the Resolution(s).
- xii. Corporate/Institutional Members (i.e. other than Individuals, HUF, NRI etc.) are also required to send scanned certified true copy (PDF Format) of the Board Resolution/Authority Letter etc., authorizing its representative to attend the AGM through VC / OAVM on its behalf and to cast its vote through remote e-voting together with attested specimen signature(s) of the duly authorised representative(s), to the Scrutinizer at e-mail ID i.e. mishra@snmassociates.in with a copy marked to evoting@kfintech.com. The scanned image of the above-mentioned documents should be in the naming format "Corporate Name Even No."

INSTRUCTIONS FOR ALL THE MEMBERS FOR ATTENDING THE AGM OF THE COMPANY THROUGH VC/OAVM AND E-VOTING DURING THE MEETING

- i. Member will be provided with a facility to attend the AGM through **VC / OAVM** platform provided by Kfintech. Members may access the same at <https://emeetings.kfintech.com/> by using the e-voting login credentials provided in the email received from Kfintech. After logging in, click on the Video Conference tab and select the EVEN of the Company. Click on the video symbol and accept the meeting etiquettes to join the meeting. Please note that the members who do not have the User ID and Password for e-Voting or have forgotten the User ID and Password may retrieve the same by following the remote e-Voting instructions mentioned above.
- ii. Facility for joining AGM through VC/ OAVM shall open at least 30 minutes before the commencement of the Meeting.

- iii. Members are encouraged to join the Meeting through Laptops/ Desktops with Google Chrome (preferred browser), Safari, Internet Explorer, Microsoft Edge, Mozilla Firefox 22.
- iv. Members will be required to grant access to the webcam to enable VC / OAVM. Further, Members connecting from Mobile Devices or Tablets or through Laptop connecting via Mobile Hotspot may experience Audio/Video loss due to fluctuation in their respective network. It is therefore recommended to use Stable Wi-Fi or LAN Connection to mitigate any kind of aforesaid glitches.
- v. As the AGM is being conducted through VC / OAVM, for the smooth conduct of proceedings of the AGM, Members are encouraged to express their views / send their queries in advance mentioning their name, demat account number, email id, and mobile number at investors@hal-india.co.in. Questions/ queries received by the Company till August 25, 2026 (5.00 P.M.) shall only be considered for response during the AGM.
- vi. The Members who have not cast their vote through remote e-voting shall be eligible to cast their vote through e-voting system available during the AGM. E-voting during the AGM is integrated with the VC / OAVM platform. The Members may click on the voting icon displayed on the screen to cast their votes.
- vii. A Member can opt for only single mode of voting i.e., through Remote e-voting or voting at the AGM. If a Member casts votes by both modes, then voting done through Remote e-voting shall prevail and vote at the AGM shall be treated as invalid.
- viii. Facility of joining the AGM through VC / OAVM shall be available for members on first come first served basis.
- ix. Institutional Members are encouraged to attend and vote at the AGM.

OTHER INSTRUCTIONS

- I. **Speaker Registration:** The Members who wish to speak during the meeting may register themselves as speakers for the AGM to express their views. They can visit <https://emeetings.kfintech.com> and login through the user ID and password received from Kfintech in the mail. On successful login, select 'Speaker Registration' which will open from August 22, 2026 (9.00 A.M.) to August 25, 2026 (5.00 P.M.). The Company reserves the right to restrict the speakers at the AGM to only those Members who have registered themselves, depending on the availability of time for the AGM.



- II. Post your Question:** The Members who wish to post their questions prior to the meeting can do so by visiting <https://emeetings.kfintech.com> and login through the user ID and password provided in the mail received from Kfintech. On successful login, select 'Post Your Question' option, which will opened from August 22, 2026 (9.00 A.M.) to August 25, 2026 (5.00 P.M.)
- III.** In case of any query and/or grievance, in respect of voting by electronic means, Members may refer to the Help & Frequently Asked Questions (FAQs) and E-voting user manual available at the download section of <https://evoting.kfintech.com> (Kfintech Website) or contact Ms B. Swati Reddy, at einward.ris@kfintech.com and/ or at evoting@kfintech.com or call Kfintech's toll free No. 1-800-309-4001 for any further clarifications.
- IV.** The Members, whose names appear in the Register of Members / list of Beneficial Owners as on August 21, 2026, being the cut-off date, are only entitled to vote on the Resolutions set forth in this Notice. Once the vote on a resolution(s) is cast by the Member, the Member shall not be allowed to change it subsequently.
- V.** In case a person has become a Member of the Company after dispatch of AGM Notice but on or before the cut-off-date for E-voting, he/she may obtain the User ID and Password in the manner as mentioned below:
- i If the mobile number of the member is registered against DP ID Client ID, the member may send SMS: MYEPWD <space> DP ID Client ID to 9212993399
 1. Example for NSDL:
MYEPWD <SPACE> IN12345612345678
 2. Example for CDSL:
MYEPWD <SPACE> 1402345612345678
 - ii. If e-mail address or mobile number of the member is registered against DP ID Client ID, then on the home page of <https://evoting.kfintech.com/> the member may click "Forgot Password" and enter DP ID Client ID and PAN to generate a password.
 - iii. Members who may require any technical assistance or support before or during the AGM are requested to contact Kfintech at toll free number 1800 309 4001 or write to them at evoting@kfintech.com.



Board's Report

Dear Members,

Your Board of Directors takes great pleasure in presenting the Report on the performance of the Company ("the Company" or "HAL"), and its Audited Financial Statements for the Financial Year ended March 31, 2026, together with Reports of the Statutory Auditors and the Comptroller & Auditor General of India (C&AG) thereon.

FINANCIAL HIGHLIGHTS

The financial highlights for the year ended March 31, 2026 are summarised as under:

(₹ in Lakh)		
Particulars	2025-26	2024-25
Revenue from Operations	33,08,979	30,98,092
Turnover	31,79,183	30,10,465
Exports	50,131	39,992
Profit Before Tax (PBT)	12,11,208	10,82,001
Provision for Tax	3,03,641	2,50,321
Profit After Tax (PAT)	9,07,567	8,31,680
R&D Expenditure	2,79,447	2,48,233
Earnings/ Share (in ₹) (Face value of ₹ 5 each)	135.71	124.36
Book Value / Share (in ₹)	611.01	520.99

During the year, the Revenue from Operations of the Company has increased by 7% to ₹ 33,08,979 Lakh from ₹ 30,98,092 Lakh in the previous year. The turnover of the Company has increased by 6% to ₹ 31,79,183 Lakh from ₹ 30,10,465 Lakh in the previous year. The Profit before Tax for the year has increased by 12% to ₹ 12,11,208 Lakh from ₹ 10,82,001 Lakh in the previous year. The Profit After Tax (PAT) has increased by 9% to ₹ 9,07,567 Lakh from ₹ 8,31,680 Lakh in the previous year.

PRODUCTION HIGHLIGHTS

During the year, the Company has produced new Aircraft and Helicopters, covering Light Combat Aircraft LCA Mk1A (Tejas), LCA Mk1 (Trainer), Hindustan Turbo Trainer (HTT-40), Do-228, Advanced Light Helicopter (ALH) and Light Utility Helicopter (LUH) in addition to the production of New Engines and Accessories, at its various Divisions. The Company has also carried out Repair and Overhaul of Aircraft & Helicopters and Engines in addition to providing required spares support to the customers.

ORDER BOOK POSITION

The Order Book position of the Company stands at ₹ 2,54,53,848 Lakh as on March 31, 2026.

During the year, the Company has received manufacturing contracts of over ₹ 69,60,000 Lakh and ROH Contracts of over ₹ 17,30,000 Lakh. Major Orders bagged include Contracts for supply of Qty 97 LCA Mk1A, Qty 06 ALH MkIII MR and Qty 8 Do-228 to Indian Armed Forces, Qty 10 ALH Dhruv NG to M/s Pawan Hans Ltd, Qty 2 Hindustan-228 to Guyana.

DIVIDEND

During the year, your Company has declared and paid interim dividend of ₹ 35/- per equity share of ₹ 5 each (700%) for the financial year 2025-26, amounting to ₹ 2,34,071.25 Lakh.

To comply with the Guidelines of Department of Investment and Public Asset Management (DIPAM) on capital restructuring with respect to payment of minimum dividend, the Board of Directors of the Company has recommended a final dividend of ₹ 10/- per equity share of ₹ 5 each. The Final Dividend if approved by the shareholders, would involve cash outflow of ₹ 66,877.50 Lakh.

Thus, the total dividend including final dividend for the financial year 2025-26 would be ₹ 45/- per equity share (900%), amounting to ₹ 3,00,948.75 Lakh.

In terms of the provisions of Regulation 43A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 [SEBI (LODR) Regulations] and the Guidelines of DIPAM, the Company has formulated a Dividend Distribution Policy and the same is available on the Company's website at https://hal-india.co.in/backend/wp-content/uploads/2023/07/Dividend-Distribution-Policy_13.02.2025.pdf

CAPEX

In order to maintain the state-of-the-art infrastructure and technologies to meet Aerospace Standard and also to develop systems/platforms for meeting the requirements of the Defence Forces and to become Atmanirbhar, the Company has incurred Capital Expenditure (CAPEX) of ₹ 2,46,535 Lakh in FY 2025-26 (PY: ₹ 2,02,584 Lakh). The investments are mainly channelised towards Green Field Helicopter Project at Tumakuru, augmentation of facilities of LCA, ROH of SU-30, ROH of AL-31FP Engine, IT Infrastructure, besides the regular replacement and rationalisation of the existing facilities, etc. on the infrastructure development front, and on the projects like IMRH, CATS, UHM, Civil ALH & LUH on the Research & Development front.

RESERVES

During the year, ₹ 94,506 Lakh was transferred to Research & Development Reserve, ₹ 18,901 Lakh to Indigenisation Fund Reserve and ₹ 4,88,559 Lakh to General Reserve.



BORROWINGS

As on March 31, 2026, short term and long-term borrowings of the Company was Nil.

INTERNAL FINANCIAL CONTROLS

Your Company has in place adequate internal financial controls with reference to financial reporting.

A detailed note on internal control system and their adequacy is provided in the Management Discussion and Analysis Report.

LOANS, GUARANTEES AND INVESTMENTS

Details of Loans, Guarantees and Investments form part of Notes to the Financial Statements.

RELATED PARTY TRANSACTIONS

During the year, your Company has entered into transactions with related parties after obtaining approval of the Audit Committee and/ or Board, as the case may be. However, as the Audit Committee was not in valid constitution during the period from April 1, 2025 to June 1, 2025, the transactions requiring recommendation/ approval of the Audit Committee were put up directly to the Board.

As per the threshold mentioned in the Related Party Transactions (RPTs) Policy, there were no material related party transactions with any of the related parties.

The disclosures related to RPTs, in accordance with the applicable accounting standards, are provided in Clause No. 45A of the Notes to the financial statements. Details of contract(s) or arrangement(s) with related parties referred to in Section 188(1) of the Companies Act read with Rule 8(2) of the Companies (Accounts) Rules, 2014, in the prescribed form AOC-2, is attached to this Report as **Annexure-I**.

CONSOLIDATED FINANCIAL STATEMENTS

The Consolidated Financial Statements of the Company for the year ended March 31, 2026 have been prepared in accordance with the provisions of Section 129(3) of the Companies Act and applicable Accounting Standards, and form part of this Report.

Pursuant to the first proviso of Section 129(3) of the Companies Act read with Rule 5 of the Companies (Accounts) Rules, 2014, a separate statement containing salient features of the Financial Statements of Subsidiaries / Associate / Joint Venture Companies in Form **AOC-1** is appended to this Report, which forms part of the Financial Statements. The separate Audited Financial Statements in respect of the Subsidiaries are also available on the website of the Company at www.hal-india.co.in

SUBSIDIARY/ ASSOCIATE/ JOINT VENTURE COMPANIES

As on March 31, 2026, your Company has 2 Subsidiaries including 1 Wholly Owned Subsidiary and 19 Joint Venture Companies (JVCs) including 7 Not-for-Profit Companies (Section 8 Companies).

Due to non-performance of Infotech HAL Ltd, a JVC, an application for its voluntary winding up had been submitted to NCLT on March 19, 2024. The NCLT has since passed an order appointing an Interim Resolution Professional (IRP) to take charge of the accounts and other records of Infotech HAL Ltd. The IRP has submitted a Preliminary Report to the NCLT. The final order for closure of the JVC is awaited.

Pursuant to the provisions of Section 134(3)(q) of the Companies Act read with Rule 8(1) of the Companies (Accounts) Rules, 2014, a Report on the performance and financial position of each of the JVCs and Subsidiary Companies is attached to this Report as **Annexure-II**.

SIGNIFICANT ACHIEVEMENTS

Significant achievements of the Company during the year are as follows:

- ❖ To enhance the production capacity of LCA Mk1A, a 3rd production line was established at HAL Nasik.
- ❖ Indigenously designed & developed Advanced Light Helicopter (ALH) Dhruv-NG took maiden flight in presence of Hon'ble Minister of Civil Aviation on December 30, 2025.
- ❖ The maiden sortie of the first series production of Hindustan Turbo Trainer-40 (HTT-40) aircraft successfully completed on October 24, 2025.
- ❖ Certification for 'Indigenous manufacturing of Shakti Civil Engine' from the Directorate General of Civil Aviation (DGCA) was received on December 30, 2025.
- ❖ Contributed to ISRO's successful launch of LVM3-M5/CMS-03 mission on November 2, 2025 and LVM3-M6 mission that deployed the massive Blue Bird Block 2 satellite on December 24, 2025, by on- time supply of space worthy hardware.
- ❖ Signed the SSLV Technology Transfer Agreement with ISRO, IN-SPACe & NSIL on September 10, 2025, securing a non-exclusive license to manufacture the SSLV.
- ❖ Signed an MoU on October 27, 2025 with Public Joint Stock Company United Aircraft Corporation (PJSC-UAC) Russia for production of civil commuter aircraft SJ-100 in India.



- ❖ Signed an MoU with Mishra Dhatu Nigam Limited (MIDHANI) on November 3, 2025, for setting up a strategic metal bank for critical raw materials at MIDHANI, to mitigate future raw material supply chain issue.
- ❖ Signed an MoU with Yantra India Limited (YIL) on September 23, 2025, for funding the establishment of 10,000 Ton extrusion press.
- ❖ Signed an agreement with Safran Aircraft Engines in June 19, 2025, for industrialization and production of rotating parts for LEAP engines, which powers the single-aisle civil aircraft such as Airbus A320neo, Boeing 737 MAX, etc.
- ❖ Exported two H-228 (Civil variant) aircraft to M/s JAGS Aviation, Guyana in a record time within two months of signing the contract, due to proactive approach of the Company.

DESIGN AND DEVELOPMENT PROGRAMS

The Company continued to boost the “Atmanirbhar Bharat Abhiyan” of Govt. of India with its focused efforts towards design and development of products, technologies and capabilities to meet the future requirements of Indian Defence Forces and non-military aerospace market in India.

The Company has made considerable progress towards the realization of our indigenous programmes viz. Light Combat Aircraft (LCA) MK1A, Light Combat Helicopter (LCH), Light Utility Helicopter (LUH), Indian Multi-Role Helicopter (IMRH) and Development of Engines.

The progress achieved in respect of these projects during the year is as under:

LIGHT COMBAT AIRCRAFT (LCA) MK 1A

LCA Mk1A is an advanced variant of indigenously developed LCA MK1, equipped with Active Electronically Scanned Array (AESA) Radar, unified Electronic Warfare (EW) suite, Mission Computer (MC), Digital Map Generator (DMG), Smart Multi-Function Display (SMFD), Software Defined Radio (SDR), Combined Interrogator and Transponder (CIT), and Advanced Radio Altimeter.

The design and development activities for LCA Mk1A systems were undertaken with modification of two aircraft to Mk1A specific systems.

LIGHT COMBAT HELICOPTER (LCH)

Light Combat Helicopter (LCH), also known as Prachand, is a 5.8-ton class multi-role combat helicopter indigenously designed and developed by the Company.

LCH, powered by twin Shakti engines is the only helicopter capable of landing and taking off at high altitudes with significant weapons and fuel loads, meeting Indian Armed Forces’ high-altitude needs like Siachen operations.

At present, the Company is executing LCH Series Production order with 07 new and 04 upgraded systems. To meet contractual timelines, HAL is establishing an additional production line at its Helicopter Division in Tumakuru (HDT), Asia’s largest helicopter facility, spanning 615 acres and built on Industry 4.0 standards.

LIGHT UTILITY HELICOPTER (LUH)

LUH is a new generation helicopter in the 3-ton class incorporating the state-of-the-art technology features like Glass cockpit with Multi-Function Displays (MFD) and powered by single Turbo Shaft Engine with sufficient power margin to cater high altitude missions. Three flying prototypes have been built and were extensively flight tested.

The Company initiated production of LUH Limited Series Production (LSP) against Letter of Intent (LOI) for Helicopters received from IA and IAF and all helicopters has been produced. Post Initial Operational Clearance (IOC), Mission & Role equipment are being integrated and flight evaluation tests are progressing. Work on Automatic Flight Control System (AFCS), Auto-rotation, Emergency Flotation System (EFS), Helmet Mounted Display System (HMDS) is progressing.

INDIAN MULTI ROLE HELICOPTER (IMRH)

The Company has undertaken the design and development of two major next-generation rotary platforms, i.e., the Indian Multi-Role Helicopter (IMRH), a 13-tonne class aircraft tailored for the Indian Air Force and Army, and the Deck-Based Multi-Role Helicopter (DBMRH), a 12.5-tonne class platform optimized for the Indian Navy.

The IMRH will be an all-weather, all-terrain platform capable of executing multi-role, multi-mission operations, with a specific emphasis on high-altitude take-offs and landings. Key operational roles include Tactical Troop Carriage and VIP/VVIP Transport, Combat Search and Rescue and Casualty Evacuation, Special Operations and Commando Insertion, External Cargo Carriage, Aerial Firefighting etc.

The DBMRH will exclusively meet the stringent operational requirements of the Indian Navy, featuring a compact structural footprint optimized for shipboard and flight deck operations with automatic main rotor blade folding and a folding tail boom for optimized hangar storage. DBMRH will be utilized in various roles like Anti-Submarine Warfare, Anti-Surface Warfare, Air Surveillance, Troop Transport etc.



The preliminary design studies of IMRH have been completed. The Company is progressing with the D & D activities as a Lead agency by adapting the following strategy for development:

- ❖ Design, development and production of Airframe, Mechanical Systems, Electrical & Avionics, Flight Control System, Mission System and Weapons Integration with participation of Indian Private Sector.
- ❖ Design, development and production of Engines for IMRH/ DBMRH through a Joint Venture Company "SAFHAL Helicopter Engines Pvt Ltd".
- ❖ Design & Development of Rotor System through specialized global consultancy.

SU30 MKI INDIGENOUS UPGRADE

The Company as the Lead System Integrator has undertaken design and development for indigenous upgrade of Su30 MKI, to enhance the operational capabilities.

The aircraft upgrade involves revamp of avionic architecture with integration of Indigenous systems like Mission Computer, Improved Sensors, AESA Radar, Electro Optic / Infra-Red (EO/ IR), Improved EW suite, Indigenous weapon control systems and weapons, Higher Size displays, Sensor fusion, Net Centric warfare capability and other associated indigenous avionic systems.

COMBAT AIR TEAMING SYSTEMS (CATS)

The Company has undertaken development of Manned/ Unmanned Teaming systems christened as Combat Air Teaming System (CATS). The CATS family under development includes the CATS Warrior unmanned wingman capable of autonomous operations and carriage of precision munitions; the CATS OMCA (Kiran Mk II converted to an optionally manned combat UAV / decoy); the CATS Hunter air launched explosive carrier (loitering / strike system); CATS ALFA swarming drones; HALE UAVs and the CATS MAX mother ship for command and control. Presently, the Company is focusing on the development of CATS-W and CATS OMCA. The engine ground run of a full-scale demonstrator CATS Warrior has already been carried out. Ground run, Taxi trials and flight test are planned in FY 2026-27.

UTILITY HELICOPTER-MARITIME (UH-M)

Utility Helicopter – Maritime (UH-M) is a 5.7 tonne dedicated Naval Helicopter for deck-based operations with all four Main Rotor Blades foldable, to reduce the size of the helicopter to enable stowage in Indian Navy ships.

Defence Acquisition Council (DAC) accorded Acceptance of Necessity (AoN) for procurement of Utility Helicopter-Maritime,

on April 3, 2023. Design and Development activities are progressing with internal funding.

25 kN TURBOFAN ENGINE (HTFE-25)

The Company has undertaken design and development of a 25kN thrust class turboprop engine, which can be used on Basic/ Advanced military trainers, small business jets and large UAV applications. The engine can be used on a 5-ton weight class aircraft in single engine configuration and on aircraft of up to 9-ton weight class with twin-engine configuration. Two core engines and one full engine have been built and is under testing. Core engine tested for light up, acceleration and speeds upto 99.5%. Further trials are progressing.

1200 kW TURBOSHAFT ENGINE (HTSE-1200)

Design and development of a 1200 kW Turbo shaft engine is being undertaken for 3 to 6-ton category helicopters. Two prototype engines (Jet mode engine & Power mode engine) have been built. Components like radial straightener, diffuser, and rear bearing support have been 3-D printed and evaluated in the Jet mode version engine. Engine has been tested upto 650 kW power rating at HAL test cell and further testing is in progress.

ROTARY UNMANNED AERIAL VEHICLE (RUAV)

The Company has undertaken design and development of Rotary Unmanned Aerial Vehicle (RUAV), a Vertical Take Off and Landing (VTOL) Helicopter Drone capable for deployment at High Altitude Zones in Cargo delivery and Intelligence, Surveillance, Reconnaissance (ISR) roles.

RESEARCH AND DEVELOPMENT ACHIEVEMENTS

During the year, the Company has incurred a total R&D expenditure of ₹ 2,79,447 Lakh, which is 8.79% of the Turnover. The Company has transferred a sum of ₹ 94,506 Lakh (15% of Operating PAT) to R&D Reserve for contribution to R&D corpus.

The significant R&D achievements are as under:

- ❖ A robust R&D policy framework and a process driven R&D Manual framework formulated and released by Hon'ble RM for uniform implementation across all R&D Centres.
- ❖ R&D Centres Modernisation plan of phase-I approved by Board, will pave the way for establishing modern infra and test facilities for upcoming R&D programs.
- ❖ Inaugurated the SSLV Design office of the Space Research and Design Centre (SRDC) at ARDC on December 1, 2025 to mark the formal establishment of Space Research and Design Centre.



- ❖ Unification of Weapons Integration on Su-30MKI - Flight trials of Phase II completed on D&D aircraft at AFS Jodhpur and AFS Pune in September, 2025.
- ❖ Type Approval certificate received from CEMILAC for AP (Air Producer)-Jaguar engine.
- ❖ Successfully completed maiden sea trials of LM2500 Engines on First Ship of M/s. GRSE, Kolkata.
- ❖ First Flight of Indigenous Mission Computing & Display Suite (MCDS) on Dhruv Wheeled Demo Maritime (DWDM) Helicopter was carried out on December 13, 2025.
- ❖ Maiden flight of LCH with Indigenous AFCS and IADS successfully completed on December 23, 2025.
- ❖ Achieved maiden flight on ALH MkIII with two-segmented Main Rotor Blade (MRB) on February 5, 2026.
- ❖ Integration of Spice 1000 on wing store stations of Mirage 2000 I/TI aircraft completed, Carriage & Handling and System evaluation flight trials completed.
- ❖ RCMA approval obtained for Total Technical Life (TTL) extension of AL-31FP engines from existing 2000 hours to 2500 hours and the first engine was handed over to IAF on January 8, 2026, after overhaul.

During the year, the Company has filed 223 IPR applications and 84 IPRs have been granted.

Further, out of total number of 2842 IPRs filed by the Company, 1226 IPRs have been granted so far (Patents –382, Industrial Designs – 207, Copyrights – 635, Trademark - 2).

BOARD AND ITS COMMITTEE MEETINGS

During the year, 10 (Ten) Board Meetings were held and the maximum interval between any two meetings was not more than 120 days.

The details of meetings of the Board and Committees thereof held during the year are furnished in the Corporate Governance Report, which forms part of this Report.

COMMITTEES OF THE BOARD

As on March 31, 2026, the Board has five Statutory Committees, namely Audit Committee, Nomination & Remuneration Committee, Corporate Social Responsibility & Sustainable Development Committee (CSR &SD), Stakeholders Relationship Committee (SRC) and Risk Management Committee (RMC). However, due to non-appointment of requisite number of Independent Directors, Audit Committee and Nomination & Remuneration Committee were not in valid constitution during the financial year till June 1, 2025. Apart from these, CSR & SD, SRC and RMC were also not in valid constitution during the period from April 28, 2025 till June 1, 2025.

A detailed note on the composition, terms of reference and meetings of the Board and its Committees is provided in the Corporate Governance Report.

CHANGES IN BOARD OF DIRECTORS AND KEY MANAGERIAL PERSONNEL

During the year, following changes took place in the Board of Directors and Key Managerial Personnel (KMP) of the Company:

Appointment

- ❖ Shri M. G. Balasubrahmanya, Executive Director (Human Resources) was appointed as Director (Human Resources) w.e.f. May 6, 2025.
- ❖ CA Rakesh Bhawsar was appointed as Independent Director w.e.f. May 15, 2025.
- ❖ Dr. S. D. Premkumar was appointed as Independent Director w.e.f. May 15, 2025.
- ❖ Shri Amit Satija, Joint Secretary (DIP), MoD was appointed as Government Nominee Director w.e.f. May 21, 2025.
- ❖ Shri Ajay Kumar Shrivastava, Executive Director (ARDC) was appointed as Director (Engineering and R&D) w.e.f. July 15, 2025.
- ❖ Ms Manisha Chandra, IAS, Joint Secretary (Aerospace), MoD was appointed as Government Nominee Director w.e.f. July 15, 2025.

Cessation

- ❖ Shri Deepak Abasaheb Shinde ceased as Independent Director on completion of his tenure w.e.f. April 27, 2025.
- ❖ Shri Shalabh Tyagi, Joint Secretary (P&C), MoD ceased as Government Nominee Director due to withdrawal of nomination w.e.f. May 21, 2025.
- ❖ Shri Amit Satija, Joint Secretary (DIP), MoD ceased as Government Nominee Director due to withdrawal of nomination w.e.f. July 15, 2025.

DECLARATION OF INDEPENDENCE

Declarations from Independent Directors of the Company have been received, confirming that they are meeting the criteria of independence as prescribed under Section 149(6) of the Companies Act and Regulation 25(8) of the SEBI (LODR) Regulations.

COMPANY'S POLICY ON DIRECTORS' APPOINTMENT AND REMUNERATION

The Company being a Government Company, the appointment, tenure and remuneration of Functional Directors including Chairman and Managing Director (CMD) are determined by the Government of India. The Terms & Conditions of appointment, including the period of appointment, the Scale of Pay and other entitlements are notified by the Government of India.



Government Nominee Directors are appointed by the Department of Defence Production, Ministry of Defence and are not entitled to any remuneration / sitting fees.

Independent Directors are appointed by the Government of India and are entitled to sitting fees for attending the Board / Committee meetings as prescribed by the Board in line with the Companies Act and Rules made thereunder.

As per Gazette Notification No. GSR 463 (E) dated June 5, 2015 of the Ministry of Corporate Affairs (MCA), the Company, being a Government Company, is not required to frame a Policy on Directors' appointment and remuneration, including criteria for determining qualifications etc. under Section 134(3)(e) of the Companies Act. Further, SEBI has granted specific exemption to the Company with respect to the Terms of Reference of the NRC for recommending the policy relating to the remuneration of directors.

The appointment/remuneration and other matters in respect of Key Managerial Personnel and Senior Management Personnel are governed by the Recruitment Rules and Procedures of the Company. Pay scales of the KMPs and Senior Management Personnel are governed by Presidential Directives received from the Ministry of Defence.

BOARD EVALUATION

Pursuant to the Gazette Notification No GSR 463 (E) dated June 5, 2015 of the MCA, formal annual evaluation by the Board of its own performance, its committees and individual directors, are exempted for the Company.

However, the performance of the Functional Directors and the Board as a whole is evaluated by the Independent Directors in their meeting. The performance evaluation of Independent Directors is carried out by the Board without the presence of Independent Directors.

ANNUAL RETURN

In accordance with the provisions of the Companies Act, Annual Return in the prescribed format has been hosted on website of the Company at <https://hal-india.co.in/backend/wp-content/uploads/2026/07/Draft-MGT-7-17072026.pdf>

COMPLIANCE WITH SECRETARIAL STANDARDS

The Company complies with all applicable mandatory Secretarial Standards issued by the Institute of Company Secretaries of India.

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO

Your Company being a defence Central Public Sector Enterprise (CPSE), the disclosure of information with respect to conservation of energy, technology absorption, foreign exchange earnings and outgo under the provisions of Section

134(3)(m) read with Rule 8(3) of the Companies (Accounts) Rules, 2014, is exempted vide Notification GSR No.680 (E) dated September 4, 2015.

CORPORATE SOCIAL RESPONSIBILITY (CSR)

Pursuant to the provisions of Section 135 of the Companies Act, Companies (Corporate Social Responsibility Policy) Rules, 2014 & Amendment thereof and DPE Guidelines, the Company has undertaken various activities during the year as per its CSR Policy. The projects / programmes / activities taken up are in line with Schedule VII of the Companies Act. The thrust areas under CSR are Health Care, Education, Skill Development, Women Empowerment, Rural Development, Promotion of Sports etc. The Company has spent an amount of ₹ 18,099 Lakh under CSR for the Financial Year 2025-26 against the CSR budget/obligation of ₹ 16,867 Lakh.

The Corporate Social Responsibility Policy, Composition of the Committee and CSR Projects/ Activities of the Company is available on the Company's website at <https://hal-india.co.in/investors/corporate-social-responsibility-2> Salient features of the Policy form part of the Annual Report.

Annual Report on CSR activities undertaken by the Company during the year, pursuant to Section 135 of the Companies Act read with Companies (Corporate Social Responsibility Policy) Rules, 2014, as amended, is attached to this Report as **Annexure-III**.

BUSINESS RESPONSIBILITY AND SUSTAINABILITY REPORT

In terms of Regulation 34(2)(f) of SEBI (LODR) Regulations, the Company has prepared Business Responsibility and Sustainability Report (BRSR) on Environment, Social and Governance (ESG) parameters in the prescribed format for the year 2025-26 and attached to this Report, along with reasonable assessment or assurance Report of BRSR Core, received from Independent Assessment or Assurance Provider.

DEVELOPMENT AND IMPLEMENTATION OF RISK MANAGEMENT POLICY

The Company has a Board approved Risk Management Policy, in place. The Policy aims at elimination or reduction of risk exposures through identification and analysis of various types of risks and facilitating timely action for taking risk mitigation measures.

In line with Regulation 21 of the SEBI (LODR), Regulations, the Company has constituted the Risk Management Committee for monitoring and reviewing of the risk management plan and such other functions as it may deem fit, including Financial, Operational, ESG, Cyber Security and Business Continuity Plan, etc. The details of the Committee, its Terms of Reference and Risk Management Policy are set out in the Corporate Governance Report.



SIGNIFICANT AND MATERIAL ORDERS

During the year, no significant and material orders were passed by the Regulators or Courts or Tribunals which impact the going concern status and operation of the Company in future.

PUBLIC DEPOSITS

The Company has not accepted any deposit during the year. Further, there was no outstanding deposit and/or unpaid or unclaimed principal amount or interest against any deposit either at the beginning or at the end of the financial year 2025-26.

ISSUE OF EQUITY SHARES WITH DIFFERENTIAL RIGHTS

During the year, the Company has not issued any equity shares with differential rights as to dividend, voting or otherwise.

MATERIAL CHANGES SUBSEQUENT TO THE DATE OF FINANCIAL STATEMENTS

There are no material changes and commitments affecting the financial position of the Company which occurred between March 31, 2026 and the date of signing of this Report.

PARTICULARS OF EMPLOYEES AND RELATED DISCLOSURES

Pursuant to Gazette Notification No. G.S.R. 463 (E) dated June 5, 2015 issued by the MCA, disclosure of particulars of employees drawing remuneration in excess of the limits specified under provisions of Section 197 of the Companies Act and the relevant Rules thereof, are exempted for the Company.

MOU WITH GOVERNMENT

The Company has signed Memorandum of Understanding (MoU) with the Ministry of Defence (MoD), Government of India (GoI) for the financial year 2025-26, the performance rating of which is awaited.

However, your Company has achieved "Excellent" performance rating with a score of 92.07 for the financial year 2024-25.

INDIGENISATION AND ATMANIRBHAR BHARAT

In line with the Atmanirbhar Bharat Mission of Govt of India, the Company continues to put concerted efforts to realize higher achievements in indigenization. Towards achieving this, the Company has taken up indigenization of various Systems, Line Replaceable Units (LRUs), Spares etc of foreign origin fitted on HAL platforms to reduce dependence on imports, thus fostering self-reliance. Some of the efforts/ initiatives taken up in this regard are as under:

- ❖ Created a dedicated indigenization fund by transferring 3% of operating profit after tax of the Company every year.

- ❖ Uploaded more than 19,898 nos. of imported items in the MoD launched Srijan Defence Portal for information and inviting Industry to participate in the indigenization programs of the Company.
- ❖ Execution of Indigenization projects through HAL Make-II procedure which envisages the assured order quantity after successful development of items by the industry.
- ❖ Identified and hosted some of its testing facilities on website of the Company & Defence Testing Portal for utilization by Private & Govt. industries and Academia, on payment basis.
- ❖ Organized/ participated in various Industry development programs/ seminars/ webinars/ conclaves/ exhibitions across the Country to sensitize Indian Industry Partners for opportunities available for Indigenization and their enhanced participation in indigenization programs of the Company.
- ❖ Uploaded technical Challenges/ projects under MoD's iDEX program aimed at promoting innovation and technology development in the defence and aerospace sectors in India.

EXPORTS

During the year, the Company has received export order of ₹ 33,026 Lakh and achieved export sales of ₹ 50,131 Lakh. Some of the countries to which your Company has exported its products are Guyana, UK, USA, Russia, Mauritius, Malaysia, Singapore, Algeria, Israel, Nepal, Seychelles, Kenya, Suriname.

To boost export, following initiatives have been taken by the Company:

- ❖ New Channel partners in Africa, Middle East and South East Asia have been appointed to increase the global presence.
- ❖ The Company has participated in International Airshows / Exhibitions / Defence Expo in Paris, Dubai, Algeria, Malaysia, for promotion and publicity of its products.

VENDOR DEVELOPMENT

During the year, the Company has taken several vendor development initiatives to increase the number of vendors.

The Company has conducted 43 Vendor Development Programmes, of which 7 were for Micro & Small Enterprises (MSEs) owned by SC/ST Entrepreneurs & Women Entrepreneurs and the balance 36 were for all MSMEs in general.

The Company has registered with all the five RBI authorized TReDS platforms, for enabling payments to MSMEs through these platforms and all efforts are made to bring the MSMEs



on TReDS platform, as per the following details:

Sl. No	Name of TReDS Platform	Date of Onboarding
1	RXIL by Receivables & Exchange India Ltd	01.06.2018
2	M1xchange by Myd Solution Pvt Ltd	14.08.2018
3	InvoiceMart by A.Treds Ltd	28.02.2023
4	DTX by KredX Platform Pvt Ltd	09.01.2026
5	C2 TReDs by C2FO Factoring Solutions Pvt Ltd	28.02.2026

A total of 140 Invoices amounting ₹7,300 Lakh were settled through TReDS platform in the financial year 2025-26, which shows an increase of 75% in number of Invoices uploaded by MSMEs w.r.t previous year.

The Company has registered with MSME SAMBANDH Portal and the procurement details are being updated monthly in this Portal. The Company has also registered with MSME SAMADHAAN and CHAMPION Portal and the same is being monitored regularly for resolution of payment or procedural complaints of MSEs, if any.

The Company has implemented companywide e-Procurement system through its own e-Procurement portal which is adopted for tenders issued outside GeM Portal. A 24X7 e-Procurement help desk has been established to provide information, support, training, operational issues/clarifications to the vendors.

To encourage 'Make in India' and promote manufacturing and production of goods & services in India, the Company has implemented the Public Procurement (Preference to Make in India), Order 2017, and amendments thereof, issued by Department for Promotion of Industry and Internal Trade (DPIIT).

Special provisions are incorporated in Purchase Manual to facilitate MSEs & Startups in Supply Chain.

PROCUREMENT THROUGH GeM PORTAL

The Company has implemented companywide procurement through GeM portal. All efforts are continuously being made to persuade the potential domestic suppliers (covering area of Goods, Services and Outsourcing) to on-board them on the GeM Portal.

During the year, a total 13,133 orders were placed through GeM portal amounting to over ₹ 7,96,600 Lakh against the target procurement value of ₹ 3,50,000 Lakh.

PROCUREMENT FROM MICRO & SMALL ENTERPRISES (MSEs)

The Company has implemented the Public Procurement Policy for Micro and Small Enterprises (MSEs) Order, 2012 & its amendments issued by Ministry of MSME vide order No. 21(22)-2018-MA dated November 9, 2018. During the year, out of total domestic procurement of ₹ 11,30,100 Lakh, the value of procurement made from MSEs was ₹ 5,57,200 Lakh, as per the following details:

Sl. No	Particulars	Target	Achieved
1	Total Procurement (in ₹ Crore)	-	11,301
2	Procurement from MSEs (in %)	25%	49%
3	Procurement from MSEs owned by SC/ ST entrepreneurs (in %)	4%	0.4%*
4	Procurement from MSEs owned by Women entrepreneurs (in %)	3%	4%

*Note: Para 4 of S.O. S81(E) PPP for MSE 2012 states that, in event of failure of such Micro and Small Enterprises to participate in tender process or to meet tender requirements and L1 price, 4 per cent sub-target for procurement earmarked for Micro and Small Enterprises owned by Scheduled Caste or Scheduled Tribe entrepreneurs shall be met from other Micro and Small Enterprises.

The Company has made payment to all its MSE vendors within the specified time in compliance with Micro, Small and Medium Enterprises Development (MSMED) Act, 2006. During the year, the Company has made MSE payments of ₹ 1,93,500 Lakh as per the following details:

Details of Payment	No of Suppliers involved	No. of Invoices	Total Amount (in ₹ Lakh)
Total Payments Due to MSMEs	4181	61,560	2,08,800
Total Payments Due to MSEs	4113	60,223	1,93,500
Payments made to MSEs within time	4113	60,223	1,93,500

INTEGRITY PACT (IP)

Your Company has system of signing of Integrity Pact (IP) with vendors for all procurement of Goods, Services & Works / contracts having value of ₹ 5 Crore and above. Only those vendors/ bidders, who commit themselves to IP with the



Company would be considered competent to participate in the bidding process. Further, to encourage competition in procurement and to reduce processing lead time, the Company has implemented the Omnibus Integrity Pact with effect from January 1, 2018. This Omnibus IP shall be valid upto 5 years and the same can be proposed by bidder for consideration against other offers submitted by the vendor during the validity period of Omnibus IP.

HUMAN RESOURCE DEVELOPMENT

The strength of employees as on March 31, 2026 stood at 23,502.

As on March 31, 2026, a total of 3,882 apprentices were engaged in the Company in various Trades, which forms 11.19% of the total manpower strength including contractual staff.

EMPLOYEE WELFARE

The Company continues to provide a wide range of welfare measures for employees and their families, including comprehensive Medical Facilities, Housing Facilities, Educational

Facilities for employees' children, and Sports Facilities, among others. With a view to support employee well-being and overall development, various initiatives are undertaken from time to time. In line with this, HAL Sabbatical Scheme, now available to both Executives and Workmen, enables staff to take leave for self-renewal, skill development, or personal pursuits, offering flexibility to address social obligations, family support needs, or wellness journeys.

In furtherance of its employee-centric approach, the Company continues to provide financial security through multi-layered Insurance Policies covering Life and Accident disabilities for all employees. Additionally, the Financial Assistance Scheme offers monthly monetary support ranging from ₹ 15,000/- p.m. to ₹ 50,000/- p.m., based on the Grade / Scale of the employee, to dependents of deceased employees upto the notional retirement date, reaffirming the Company's dedication to comprehensive employee welfare beyond the workplace. The Group Health Insurance coverage for retired employees (retired before 01.01.07) and their spouses was enhanced from ₹ 4 lakhs to ₹ 5 lakhs per annum.

REPRESENTATION OF SC/STs RECRUITED / PROMOTED:

Representation of SC/STs in the total strength of the Company as on March 31, 2026 is as under:

Category (Grade / Scale of Pay)	Total Strength as on		Number of SCs as on		Number of STs as on	
	31.3.2025	31.3.2026	31.3.2025	31.3.2026	31.3.2025	31.3.2026
Group – A (Grade – II & above)	7,265	7,109	1,329	1,307	465	458
Group – B (Grade-I)	125	222	23	39	7	14
Group – C (Scale-3 to Special Scale)	16,608	16,170	2,991	2,928	1,341	1,329
Group – D (Scales – 1 & 2)	1	1	-	-	-	-
(i) Excluding Safai Karmacharis	-	-	-	-	-	-
(ii) Safai Karmacharis	-	-	-	-	-	-
Total	23,999	23,502	4,343	4,274	1,813	1,801

Recruitments made during the period April 1, 2025 to March 31, 2026 and the SC/STs amongst them.

Category (Grade / Scale of Pay)	Total number of Post filled	No. of Reservations made for		No. of Posts filled by appointment of	
		SCs	STs	SCs	STs
Group – A (Grade – II & above)	16	3	1	3	1
Group – B (Grade-I)	1	-	-	-	-
Group – C (Scale-3 to Special Scale)	270	43	22	43	16
Group – D (Scales – 1 & 2)	-	-	-	-	-
(i) Excluding Safai Karmacharis	-	-	-	-	-
(ii) Safai Karmacharis	-	-	-	-	-
Total	287	46	23	46	17



Vacancy based Promotions made during the period April 1, 2025 to March 31, 2026 and the SC/STs amongst them.

Category (Grade / Scale of Pay)	Total number Promoted	No. of Reservations made for		No. of Posts filled by Promotion of	
		SCs	STs	SCs	STs
Group – A (Grade – II & above)	922	NA	NA	191	56
Group – B (Grade-I)	100	17	7	17	7
Group – C (Scale-3 to Special Scale)	-	-	-	-	-
Group – D (Scales – 1 & 2)	-	-	-	-	-
(i) Excluding Safai Karmacharis	-	-	-	-	-
(ii) Safai Karmacharis	-	-	-	-	-
Total	1,022	17	7	208	63

EMPLOYEE RELATIONS (ER) / INDUSTRIAL RELATIONS (IR)

The Employee Relations / Industrial Relations Scenario remained peaceful & cordial during the year. Effective communication between the Management and the Trade Unions / Associations paved way for maintenance of industrial harmony and to eliminate any scope of conflicts & misunderstandings. Meetings with the representatives of the Recognized Unions / Officers Associations at the Divisional, Complex & Corporate Levels were held periodically to discuss various issues and its resolutions.

Plant Level, Shop Level and various bi-partite Committees with representatives from the Management / Union are functioning in the Divisions to discuss & resolve production related & other matters. In order to address Employee Grievance / Representations, Grievance Redressal Mechanisms are also in place in the Company.

WOMEN EMPOWERMENT

Women Empowerment & Leadership Programs are being regularly conducted by the Company. The main objective of the programs is to enhance self-awareness & self-management, enhance competencies to drive business results, enhance ability to influence & harness the power of effective networking and to build essential leadership competencies. At present, around 92 Women Employees hold Senior Management posts i.e., Grade VII and above.

The Company is a Corporate Life Member of Women in Public Sector (WIPS) Forum. Women employees are encouraged to participate in programmes / activities of WIPS Forum. During the 36th National Meet of WIPS Forum held on 11th & 12th February, 2026 at CIDCO Auditorium, Navi Mumbai, the Company was conferred with “Best Enterprise Award”, under Maharatna Category. Further, ‘Best Women Employee Award’ (Non-Executive category) was awarded to one of the women employee.

Ladies Clubs / Families Welfare Associations are also functioning at different locations to take up various philanthropic / socio-

cultural activities. Women's Day is celebrated on 8th March every year.

PROHIBITION OF SEXUAL HARASSMENT OF WOMEN AT WORKPLACE

The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 has been notified in the Company. In line with the Guidelines received from time to time, necessary actions have been taken to prevent Sexual Harassment of Women at Workplace. The CDA Rules of the Company applicable to the Officers, and the Certified Standing Orders applicable to the Workmen, have the required provisions in this regard.

Internal Complaints Committees (ICCs) as per Section 4 of the Act have been constituted in all the Divisions/Offices. The ICCs details are being updated under the SHE-Box as mandated by the Ministry of Women and Child Development. Information for the financial year 2025-2026 in terms of Section 22 of the Act and Schedule V of SEBI (LODR) Regulations, is as indicated below:

(i) Number of Cases pending as on 01.04.2025	:	2
(ii) Number of Complaints of Sexual Harassment received in the Financial Year 2025-26	:	2
(iii) Number of Complaints disposed of during the Financial Year 2025-26	:	4
(iv) Number of Cases pending as on 31.03.2026	:	Nil
(v) Number of Cases pending for more than 90 days	:	Nil

During the year, 39 Nos. of Awareness Programme on Sexual Harassment were also conducted at Divisions / Offices.



HEALTH & SAFETY INITIATIVES FOR HUMAN RESOURCES

The target prescribed by the MoD with respect to Compliance Parameter on “Health and Safety initiatives for Human Resources” for FY 2025-26 has been achieved successfully. The detail status of Compliance Parameter is as under:

Sl. No.	Action Points	Target/Timelines		Status
I	Conduct of EHS Audit	15/03/2026		Completed
II	Renewal of “ISO 45001:2018 Certificate”	15/03/2026		Completed
III	House-keeping	150 Projects by 28/02/2026		Completed (303 Projects)
IV	Conducting Mock Drills on Emergency Preparedness	Half-yearly Basis		Completed
V	To avoid incidents of fire, grass cutting to be carried out	Half-yearly Basis		Completed
VI	Shop Floor Inspection by the respective Shop In-charge along with Safety Officer	100% of the Direct Departments by 15/02/2026		Completed
VII	Health and Safety Awareness Program (for Employees, Contract Labour & Apprentice Trainees)	40% of the Total Strength by 31/03/2026		Completed
VIII	Wellness Programs	20 % of the target population by 15/03/2026		Completed
IX	Celebration of Health Day, as part of Health Awareness Campaign	International Women's Health Day	28/05/2025	Completed
		National Nutrition Week	01/09/2025 to 07/09/2025	Completed
		World Heart Day	29/09/2025	Completed
		World Mental Health Day	10/10/2025	Completed
		World Cancer Day	04/02/2026	Completed
		World Obesity Day	04/03/2026	Completed

COMPLIANCE ON MATERNITY BENEFIT UNDER LABOUR CODE

During the year, the Company has ensured the compliance of the provisions of the maternity benefit under labour Code.

RAJBHASHA IMPLEMENTATION

The Company is constantly taking efforts in implementing Official Language in all the Divisions/ Offices effectively, as per directives issued by Dept. of Official Language, Ministry of Home Affairs and Dept. of Defence Production, Ministry of Defence. The inspection reports pertaining to Parliamentary Committee inspections and compliance reports related to the assurances given to the Committees are being forwarded to the concerned Authorities/ Offices in time after reviewing the report at the Corporate Office level.

During the year, the Company has organized two half-yearly meetings of Town Official Language Implementation Committee

(Undertakings), Bengaluru under the Chairmanship of the Company. In the first meeting, TOLIC Member Offices were encouraged for best OL Implementation for the year and also motivated the Member Offices for sponsoring the competitions organized during Rajbhasha Sauhard Utsav-2025-26. Under the aegis of TOLIC, special lectures were organized on various topics like ‘Discussion of Questionnaire related to Inspection of Committee of Parliament on Official Language’, ‘Translation and IT Tools’ by eminent personalities.

The meetings of Official Language Implementation Committee in all the Divisions of the Company including Corporate Office are being conducted regularly. Necessary new guidelines issued by the Dept. of Official Language, Ministry of Home Affairs, New Delhi are also being circulated to all the Divisions of the Company to make aware of latest orders pertaining to implementation of Official Language. The periodical reports are also being sent online as per directives issued by the



Department of Official Language, Ministry of Home Affairs, New Delhi.

Hindi Incentive Scheme has been implemented effectively amongst the Divisions of the Company. In accordance with the Official Language guidelines, Hindi workshops and seminars are also being conducted on various topics from time to time by HAL, so that employees could do their routine work in Hindi as far as possible. And also, major translation works were carried out during the year.

The Inspection meetings were successfully carried out by Committee of Parliament on Official Language at various Divisions of the Company such as Overhaul Division, Bengaluru and Avionics Division, Hyderabad by Dy. Director (Implementation), Regional Implementation Office (South), Bengaluru.

INFORMATION TECHNOLOGY (IT) INITIATIVES

During the year, your Company has taken many IT initiatives towards adopting the latest technology, increasing customer satisfaction, implementing paperless processes and improving cyber security. Some of the major IT initiatives and achievements of the Company during the year are:

- ❖ **Project Parivartan (Centralised ERP):** Project Parivartan was conceptualised as a strategic initiative aimed at standardising business processes across the Company. The Project involves upgrading the existing IFS system to a higher version (IFS Apps 10) and deploying it on a centralised, next-generation hardware platform with built-in redundancy, along with the establishment of a Disaster Recovery (DR) site at Bengaluru. Key initial phases—such as the “as-is” business process study, finalisation of “to-be” processes, project office and hardware setup, process demonstrations, and preparation of the Business Blueprint (Conference Room Pilot)—have been completed. Development of customisations, reports, and dashboards is currently in progress.
- ❖ **Establishment of Centralised Data Center:** The Company has conceptualised and planned for establishing a Tier-3+ centralised Data Center, which will form the foundation for the HAL Private Cloud. This initiative is intended to accelerate digital transformation by enhancing security, control, and regulatory compliance for critical data and workloads.
- ❖ **Implementation of SD-WAN Solution:** In line with the centralisation of IT applications and the establishment of a centralised Data Center, MPLS circuits continue to serve as the primary backbone for inter-divisional communication. To strengthen network resilience and performance, a contract has been signed with M/s BSNL for the implementation of a high-speed SD-WAN solution. This includes upgrading the bandwidth of existing MPLS

circuits and provisioning an alternate communication link through an additional service provider.

- ❖ **Cyber Security Posture:** The Company has strengthened its cybersecurity framework through the deployment of ‘Maya’, a hardened Linux-based operating system developed by Cyber Information Research Agency (CIRA), aimed at minimising the impact of potential security breaches. Logs from critical devices, servers, and firewalls have been integrated with the MoD Security Operations Centre (SOC) ‘NANDI’, which enables continuous monitoring, analysis and feedback for timely corrective action. Additionally, Virtual Desktop Infrastructure (VDI) functionality has been implemented by hardening desktop environments, centralising data storage on secure Linux-based servers, and enabling controlled access through biometric and facial recognition mechanisms, thereby enhancing the overall cybersecurity posture.

AWARDS & RECOGNITIONS

During the year, the Company has received various Awards and Recognitions. Some of the important accolades conferred to the Company are as under:

- ❖ “SCOPE Eminence Award” for Institutional Excellence in the Maharatna/Navratna PSEs category for the year 2022-23 on August 29, 2025 at New Delhi.
- ❖ “Champion of Civil-Defence Convergence Award” during the 7th Aerospace and Defence MRO South Asia summit 2026 held at New Delhi on March 11-12, 2026.
- ❖ “SIDM Champion Award 2025” for the project “Design and Development of Air Producer Engine for Jaguar Aircraft”.
- ❖ “Performance Excellence Award-2025” by the Indian Institution of Industrial Engineering (IIIE) for its outstanding contributions on May 9, 2025 at Shillong, Meghalaya.
- ❖ “Best Enterprise Award’ under the Maharatna category during the 36th National Meet of Forum of Women in Public Sector (WIPS), at Navi Mumbai.
- ❖ “Platinum Award” under Operational Performance Excellence category and “Silver Award” under Corporate Governance category at 15th PSE Excellence Awards event held on February, 27, 2026 at New Delhi.
- ❖ “Governance Now - 12th PSU Award” in the category of Excellence in Learning & Development on March 11, 2026 in New Delhi.

VIGILANCE

The Company has a well-established and dedicated vigilance department headed by Chief Vigilance Officer (CVO). To



uphold high ethical standards, transparency, accountability and responsibility in the workplace, the Company has implemented various initiatives. Towards this, vigilance officers are posted at various divisions and offices of the Company. Preventive Vigilance has been the thrust area of the Vigilance Department and the same received focussed attention during the current year.

Some of the key activities that have been carried out by Vigilance Department during the year are as under:

i. Preventive Vigilance: 174 complaints were handled, 383 regular scrutiny/surprise checks and 07 CTE type intensive examinations were carried out across the Company. Four system studies were also carried out on various topics and system improvement suggestions were made.

A total of 141 awareness sessions were conducted on various topics. Key note address by eminent speakers were organized to spread vigilance awareness among employees on various topics.

ii. Vigilance Publications: Three in-house vigilance e-magazines were published, as under:

- ❖ Marg Darshan Vol. XXII", an annual magazine was released on the theme "Classroom to Community - Shaping ethical leaders of tomorrow".
- ❖ "Vishleshan-V, A Compendium of Vigilance Interventions"- The booklet aims to enhance vigilance awareness, educate on various aspects of vigilance and preventive measures, share best practices and interventions to prevent corruption and irregularities.
- ❖ Integrity circle booklet "दृष्टि- Ethical Behavior - A way of life" - This booklet features articles, poems, short stories & posters contributed by students from integrity circle group which demonstrates the importance of integrity and honesty.

iii. System Improvement measures: Based on the recommendations of vigilance, several system improvements have been implemented by the management in the areas of HR, IMM, Stores, Works, Finance etc.

iv. Vigilance Awareness Week: Vigilance Awareness Week was observed from October 27, 2025 to November 02, 2025 on the theme "Vigilance: Our Shared Responsibility". Further, in line with CVC's directions, a three months' campaign was also carried out from August 18, 2025 to November 17, 2025 focusing the following areas:

- ❖ Disposal of pending complaints
- ❖ Disposal of pending cases

- ❖ Capacity Building programs
- ❖ Asset Management
- ❖ Digital initiatives

v. Capacity Building Program for Vigilance Officers: 27th Annual conference of vigilance officers of the Company was conducted during December, 2025. Also, training programs were conducted for officers and staff in premier training institutions of the Country.

vi. Digital Initiatives: The following 4 digital initiatives were launched during the year 2025:

- a) Asset Information Management System.
- b) Online application for vigilance clearance for private visit to foreign country.
- c) MPR-PO-Payment monitoring dashboard.
- d) Chatbot-covering all vigilance intervention circulars/policies/ guidelines.

QUALITY INITIATIVES AND FLIGHT SAFETY

During the year, following Quality Initiative and Flight Safety measures were taken:

❖ **Industry 4.0/ Quality Assurance (QA) 4.0** – A total of 94 Industry 4.0 / QA 4.0 projects under various categories i.e., Automation in various Processes, IOT, real-time data collection, Digitalization, Predictive maintenance analysis, AR/VR Technology for training have been completed by Divisions and R&D Centers.

❖ **Quality Rating Manual** - Quality Rating Manual for Accessories Division Lucknow and Avionics Division Hyderabad to qualify for enhanced delegation from DGAQA was released. Total 22 Quality Performance Index (QPIs) were evolved jointly by HAL, IAF and DGAQA for both divisions and their SOPs approved by DGAQA and Customer for further assessment.

❖ **Process / Product Improvement / Audits** - AMD Nasik has established various process modification such as forming of wind screen bubble, annealing of glass cloth, CNC milling of sheet metal parts, in place of chemical milling, HT hardening process for steel control rods of HTT-40 Basic Trainer Aircraft to improve product quality and cycle time reduction.

HAL Production Divisions have constituted Reliability & Maintainability (R&M) Cell to carry out analysis on aggregates reported under defect/ repair, to enhance their Average Service Life Assessment Parameter (ASLAP). Last year, Divisions have targeted 90 aggregates and continuous efforts have been made to improve the



reliability through MODs, SIs, STIs, Training, Indigenisation etc. in consultation with various OEMs.

- ❖ **Certification and Achievements** - 55 Indigenous Suppliers and 75 Sub-Contractors have been awarded ASQMS Certification (Approval of Supplier / Sub-contractor & its Quality Management System) by Production Divisions and R&D Centres enabling the clearance and supply of Products produced by them under Certificate of Conformity ("COC").
- ❖ **Conference and Training** - Barrackpore Division and DGAQA, Barrackpore had jointly organised a QA Conference on Chetak, Cheetah and Cheetal Helicopter Fleet during January, 2026, with the objective of reviewing and strengthening quality assurance practices, enhancing operational reliability and reinforcing safety and airworthiness aspects of the fleet.
- ❖ **Quality Circle** - Quality Circle teams from various HAL Divisions have participated in Chapter Convention on Quality Concepts (CCQC) & National Convention on Quality Concepts (NCQC) and have won 40 'Gold', 21 'Excellence', 16 'Par Excellence', 1 'Silver', 2 'Best of Manufacturing' and 1 'Distinguish' category awards.

AUDITORS

Statutory Auditors

The Company being a CPSE, Statutory Auditors were appointed by the Comptroller & Auditor General of India (C&AG). M/s Gupta Nayar & Co, Chartered Accountants, Bengaluru was appointed as Statutory Auditors for auditing the Accounts of the Company for the year and 19 firms of Chartered Accountants were appointed as Branch Auditors. The Auditors' Report does not contain any qualification, reservation or adverse remarks.

The Auditors' Report on financial statements for the FY 2025-26 and comments of the Comptroller & Auditor General of India (C&AG) under Section 143(6) of the Companies Act are attached to this Report, which is self-explanatory.

Cost Auditors

The Company has appointed M/s Murthy & Co. LLP, Cost and Management Accountants, Bengaluru as Cost Auditors for conducting the Cost Audit of the Company for the FY 2025-26. The Company maintains cost records as specified by the Central Government under Section 148(1) of the Companies Act, which are audited by Cost Auditors.

Internal Auditors

The Company has appointed 13 firms of Chartered Accountants and 1 firm of Cost and Management Accountants for carrying out internal audit of the Company for the FY 2025-26.

Secretarial Auditors

In pursuant to the provisions of Section 204 of the Companies Act, M/s. SNM & Associates, Practicing Company Secretaries, Bengaluru has been appointed as Secretarial Auditor of the Company for a consecutive period of five (5) years i.e., from FY 2025-26 upto FY 2029-30.

The Secretarial Audit Report for the FY 2025-26 is annexed to this Report as **Annexure - IV**.

The Secretarial Auditor in his report observed that:

- 5 posts of Independent Directors including Woman Independent Director remained vacant. The Company is not in compliance with Section 149 (4) of the Companies Act, 2013 read with the Rule 3 & 4 of Companies (Appointment & Qualification of Directors) Rules, 2014 and Regulation 17(1)(a) & 17(1)(b) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 during the reporting period.
- Quorum requirement under Regulation 17(2A) of SEBI LODR for Board Meeting held on May 14, 2025 was not met.
- The Company did not have valid constituted Audit Committee and Nomination & Remuneration Committee respectively from 1st April 2025 to 1st June, 2025 and further the Company did not have validly constituted Stakeholders Relationship Committee, CSR & Sustainable Development Committee and Risk Management Committee from 28th April, 2025 to 1st June, 2025.

In response to the observations, it was informed that, all the above referred non-compliances was due to non-appointment of Independent Directors by the Government of India in the Company. Hence, the matter was beyond the control of the Company.

As per Regulation 24A of the SEBI (LODR) Regulations, the Company has filed the Annual Secretarial Compliance Report for the FY 2025-26, signed by the Secretarial Auditor with the BSE Limited and National Stock Exchange of India Limited within the stipulated time.

Reporting of Frauds by Auditors

During the year, neither the Statutory Auditor nor the Secretarial Auditor have reported to the Audit Committee under Section 143(12) of the Companies Act, any instance of fraud committed against the Company by its officers or employees, the details of which would need to be mentioned.

CORPORATE GOVERNANCE REPORT

In terms of Regulations 34 read with Schedule V of SEBI (LODR) Regulations and DPE Guidelines, a report on Corporate



Governance for the FY 2025-26 along with Compliance Certificate on Corporate Governance issued by the Secretarial Auditor of the Company, is attached to this Report.

MANAGEMENT DISCUSSION AND ANALYSIS REPORT

As per Regulations 34(2)(e) of the SEBI (LODR) Regulations, the Management Discussion and Analysis Report (MDAR) forms part of the Annual Report.

VIGIL MECHANISM

The Company has a Whistle-blower Policy approved by the Board. The details of the Whistle-blower Policy are explained in the Corporate Governance Report and is hosted on the Company's website at www.hal-india.co.in/investors

Employees are encouraged to blow the whistle for raising their concerns.

None of the employees have been denied access to the Chairman of the Audit Committee.

DIRECTORS' RESPONSIBILITY STATEMENT

Pursuant to the provisions of Section 134(3)(c) of the Companies Act, your Directors state that:

- (a) In the preparation of the annual accounts for the year ended March 31, 2026, the applicable accounting standards have been followed along with proper explanation relating to material departures;
- (b) the directors have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent, so as to give a true and fair view of the state of affairs of the Company as on March 31, 2026 and of the profit and loss of the Company for the year ended on that date;
- (c) the directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- (d) the directors have prepared the annual accounts on a "going concern" basis;
- (e) the directors have laid down internal financial controls which are being followed by the Company and that such internal controls are adequate and are operating effectively;

- (f) the directors have devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

ACKNOWLEDGEMENT

Your Directors are extremely thankful and acknowledge the excellent support extended by the Government of India, in particular the Ministry of Defence, Department of Defence Production, Defence Acquisition and Defence Finance as well as other Ministries of the Government of India in all the endeavours of the Company.

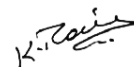
Your Directors also place on record their sincere appreciation towards the Company's valued customers, in particular the Indian Defence Services, for the support and confidence reposed by them in the Management of the Company, and look forward to the continuance of this mutually supportive relationship in the future.

The Company wishes to place on record its appreciation for the co-operation extended and services provided by the Comptroller & Auditor General of India (C&AG), the Principal Director of Commercial Audit & Ex-officio Member, Audit Board, Statutory/ Internal Auditors, Cost Auditors, Secretarial Auditor, Bankers, Collaborators, JV Partners and Suppliers.

Your Directors are also thankful to the shareholders for the trust and confidence reposed in the Company and look forward to their continued support to propel the Company to greater heights.

Your Directors also wish to place on record their deep sense of appreciation for the committed services by the Company's Executives and Workmen for progress and prosperity of the Company.

For and on behalf of the Board of Directors
Hindustan Aeronautics Limited



(Ravi K)

Chairman and Managing Director
with Addl Charge of Director (Operations)

Place : Bengaluru
Date : July 17, 2026

Annexure I to Board's Report

Form No. AOC-2

(Pursuant to clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Form for disclosure of particulars of contracts/arrangements entered into by the company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 including certain arm's length transactions under third proviso thereto

1. Details of contracts or arrangement or transactions not at arm's length basis:

Number of contracts or arrangements or transactions entered during the FY 2025-26, which are not at arm's length basis:									
11									
Sl. No.	Name(s) of the related party and Corporate identity number (CIN)	Nature of relationship	Nature of contracts / arrangements / transactions	Duration of the contracts / arrangements / transactions	Salient terms of the contracts or arrangements or transactions including actual / expected contractual amount	Justification for entering into such contracts or arrangements or transactions	Date(s) of approval by the Board	Amount paid as advances, if any:	Date on which the special resolution was passed in General Meeting as required under Section 188 and SRN of MGT-14
1	Naini Aerospace Ltd. (NAeL)	Subsidiary Company	Service Contract through Nomination basis	3 years	In line with the terms of the MoU approved by the Board, 5 Nos of PO with value of ₹1,563 Lakhs were placed on NAeL.	As per MoU signed between HAL and NAeL.	Transactions entered under the MoU for the Quarter ended June, 2025, were noted by the Board on August 12, 2025.	-	-
2.	HATSOFF Helicopter Training Pvt. Ltd. (HATSOFF)	Joint Venture	Renewal of Lease Agreement	2 years	Renewal of the lease of 1.5 acres of land to HATSOFF for a total lease rent of ₹ 34.87 Lakh exclusive of statutory dues	The Company has given unutilized land to HATSOFF, a JVC, on lease basis, to carry on their business.	August 12, 2025	-	-
3	Indo Avia Services Limited (IASL)	Joint Venture	Service Contract on Nomination basis	-	Signing of MoU for sourcing of manpower from IASL at the rate of ₹9,180/- plus taxes as applicable per day per person	To avail experienced manpower from IASL.	August 12, 2025	-	-





Sl. No.	Name(s) of the related party and Corporate identity number (CIN)	Nature of relationship	Nature of contracts / arrangements / transactions	Duration of the contracts / arrangements / transactions	Salient terms of the contracts or arrangements or actual / expected contractual amount	Justification for entering into such contracts or arrangements or transactions	Date(s) of approval by the Board	Amount paid as advances, if any:	Date on which the special resolution was passed in General Meeting as required under Section 188 and SRN of MGT-14
4	HALBIT Avionics Pvt. Ltd.	Joint Venture	Supply contract on Single Tender Basis	-	Supply and integration of 5 types of Replica Control Panels for Cockpit Procedure Trainer (CPTs) and Fixed Base Full Mission Simulator of HTT-40 Aircraft for a total value of ₹194.67 Lakhs inclusive of GST.	HALBIT has designed and developed Replica Control Panels used in HJT-36 Simulator, which are compatible with HTT-40 Simulator.	November 12, 2025	-	-
5	Samtel HAL Display Systems Ltd. (SHDS)	Joint Venture	Supply Contract on Proprietary Basis	-	Supply of 60 Nos. of Multi-Function Display Systems (MFD86) etc. for HJT-36 program, on proprietary basis at a total value of ₹703.53 Lakhs inclusive of GST.	SHDS is the OEM of Multi-Function Display (MFD).	November 12, 2025	-	-
6	Naini Aerospace Ltd. (NAEL)	Subsidiary Company	Service Contract through Nomination basis	3 years	In line with the terms of the MoU approved by the Board, 6 Nos of PO with value of ₹550 Lakhs were placed on NAEL.	As per MoU signed between HAL and NAEL.	Transactions entered under the MoU for the Quarter ended Sept, 2025, were noted by the Board on December 22, 2025.	-	-
7	Samtel HAL Display Systems Ltd. (SHDS)	Joint Venture	Supply Contract on Proprietary Basis	-	Supply of 9 Nos. of Multi-Function Display Systems (MFD86) etc. for LCH SP, at a total value of ₹119.41 Lakhs inclusive of GST.	SHDS is the OEM of Multi-Function Display (MFD).	December 22, 2025	-	-
8	Samtel HAL Display Systems Ltd. (SHDS)	Joint Venture	Supply Contract on Proprietary Basis	-	Supply of 773 Nos. of Multi-Function Display Systems (MFD) for 156 LCH, at a total value of ₹9,865 Lakhs inclusive of GST.	SHDS is the OEM of Multi-Function Display (MFD).	December 22, 2025	15% of Order Value excluding GST without Bank Guarantee.	-
9	Naini Aerospace Ltd. (NAEL)	Subsidiary Company	Service Contract through Nomination basis	3 years	In line with the terms of the MoU approved by the Board, 11 Nos of PO with value of ₹2,438 Lakhs were placed on NAEL.	As per MoU signed between HAL and NAEL.	Transactions entered under the MoU for the Quarter ended December, 2025, were noted by the Board on February 12, 2026.	-	-



Sl. No.	Name(s) of the related party and Corporate identity number (CIN)	Nature of relationship	Nature of contracts / arrangements / transactions	Duration of the contracts / arrangements / transactions	Salient terms of the contracts or arrangements including actual / expected contractual amount	Justification for entering into such contracts or arrangements or transactions	Date(s) of approval by the Board	Amount paid as advances, if any:	Date on which the special resolution was passed in General Meeting as required under Section 188 and SRN of MGT-14
10	Samtel HAL Display Systems Ltd. (SHDS)	Joint Venture	Supply Contract on Proprietary Basis	-	Supply of Color Multi-Function Display Systems (CMFD55 & CMFD66) etc. for Su-30MKI Aircraft Project & RMSO task at a total value of ₹3,477.14 Lakhs inclusive of GST.	SHDS is the OEM of Multi-Function Display (MFD).	February 12, 2026.	12.5% advance payment of basic order value on submission of indemnity bond of equivalent amount.	-
11	Naini Aerospace Ltd. (NAeL)	Subsidiary Company	Service Contract through Nomination basis	3 years	In line with the terms of the MoU approved by the Board, 11 Nos of PO with value of ₹991 Lakhs were placed on NAeL.	As per MoU signed between HAL and NAeL.	Transactions entered under the MoU for the Quarter ended March, 2026, were noted by the Board on April 29, 2026.	-	-

2. Details of material contracts or arrangements or transactions at arm's length basis

Number of material contracts or arrangements or transactions entered during the FY 2025-26, which are at arm's length basis: -

Sl No.	Name(s) of the related party and corporate identity number (CIN)	Nature of relationship	Nature of contracts / arrangements / transactions	Duration of the contracts / arrangements / transactions	Salient terms of the contracts or arrangements or transactions including actual / expected contractual amount	Date of approval by the Board	Amount paid as advances, if any
				NIL			

For and on behalf of the Board of Directors
Hindustan Aeronautics Limited

(Ravi K)
Chairman and Managing Director
with Addl. Charge of Director (Operations)

Place : Bengaluru
Date : July 17, 2026



Annexure II to Board's Report

REPORT ON FINANCIAL PERFORMANCE OF THE JOINT VENTURE COMPANIES AND SUBSIDIARY COMPANIES

- (a) As on March 31, 2026, HAL has two Subsidiaries including one wholly-owned Subsidiary and Nineteen Joint Venture Companies (JVCs) including Seven Not-for-Profit Companies (Section 8 Companies).

During the year under review, the total turnover reported by the JVCs/Subsidiaries is ₹ 931.64 Crs, as per details given below:

(Amount in ₹ Crores)

Sl. No.	Name of the JVCs / Subsidiaries	HAL Share Holding (%)	Revenue from operations	Profit Before Tax/(Loss)
I	Operational JVCs			
1	BAeHAL Software Limited	49	37.78	9.43
2	Indo Avia Services Limited	48	47.42	14.48
3	Safran HAL Aircraft Engines Private Limited	50	247.48	24.67
4	Samtel HAL Display Systems Limited	40	32.01	1.30
5	HALBIT Avionics Private Limited	50	2.84	(2.66)
6	HATSOFF Helicopter Training Private Limited	50	80.95	26.73
7	International Aerospace Manufacturing Private Limited	50	462.93	53.67
8	Helicopter Engines MRO Private Limited	50	-	(1.19)
9	SAFHAL Helicopter Engines Private Limited	50	-	(0.08)
	Sub - Total		911.41	126.35
II	Non-Operational JVCs			
10	HAL-Edgewood Technologies Private Limited	50	-	-
11	Multi-Role Transport Aircraft Limited	50	-	14.65
12	Infotech HAL Limited (Under Closure)	50	-	-
	Sub - Total		-	14.65
III	Section-8 Company (Not-for-profit)			
13	Aerospace & Aviation Sector Skill Council	50	-	-
14	Defence Innovation Organisation	50	-	-
15	UAS Testing Foundation	33.33	-	-
16	Electronic Warfare (Defence) Testing Foundation	20	-	-
17	Communication (Defence) Testing Foundation	25	-	-
18	Advanced Materials (Defence) Testing Foundation	20	-	-
19	System Testing and Research for Advanced Materials Foundation (STREAM)	20	-	-
	Sub - Total		-	-
	A - Total		911.41	141.00



Sl. No.	Name of the JVCs / Subsidiaries	HAL Share Holding (%)	Revenue from operations	Profit Before Tax/(Loss)
IV	Subsidiaries			
20	Indo-Russian Helicopters Limited	50.5	-	(0.16)
21	Naini Aerospace Limited	100	20.23	3.09
	B - Total		20.23	2.93
	Grand Total (A + B)		931.64	143.93

Note: Figures in brackets () indicate loss

- (b) During the current financial year, 2 (two) JVCs viz. Indo Avia Services Limited and International Aerospace Manufacturing Pvt. Ltd. have together paid a dividend of ₹ 5.80 Crs. to HAL.

Sl. No.	Name of JVCs	₹ in Crore
1	Indo Avia Services Limited	3.67
2	International Aerospace Manufacturing Private Limited	2.13
	Total	5.80

For and on behalf of the Board of Directors
Hindustan Aeronautics Limited

(Ravi K)

Chairman and Managing Director
with Addl. Charge of Director (Operations)

Place : Bengaluru
Date : July 17, 2026



Annexure III to Board's Report

ANNUAL REPORT ON CSR ACTIVITIES FOR THE FINANCIAL YEAR 2025-26

1. Brief outline on CSR Policy of the Company:

- ❖ The CSR Policy of the Company has been approved by the Board and is in consonance with the CSR Policy framework enshrined in the Section 135 of Companies Act, 2013, Companies (CSR Policy) Rules, 2014 as amended from time to time by Ministry of Corporate Affairs, Government of India and Guidelines on Corporate Social Responsibility and Sustainability for Central Public Sector Enterprises issue by Department of Public Enterprises, Government of India.
- ❖ All the CSR activities of the Company is carried out in an economically, socially and environmentally sustainable manner that is transparent and ethical, for the interest of all the stakeholders.
- ❖ The thrust areas under CSR are Health Care, Education, Skill Development, Women Empowerment, Rural Development, Promotion of Sports etc., Interventions in the healthcare sector including the provisioning of state-of-the-art medical equipment to government hospitals and organizing health camps in rural and tribal regions etc. In the field of education, focus has been towards enhancement of both access and quality by developing school infrastructure, hostel facilities for students and ensuring a safe and conducive learning environment for girl students in Kasturba Gandhi Balika Vidyalayas. Rural Development projects have been undertaken which involves infrastructure enhancement. The Skill development programs have been implemented to empower youth with employable skills, with targeted initiatives to promote women empowerment through vocational training. Further, the construction of High-Performance Sports Science Centre, a project of national importance is progressing well at the Sports Authority of India, Bengaluru which would significantly enhance the sports performance of athletes at the National and International level through a high-tech support and advanced training infrastructure.
- ❖ The policy provides for undertaking CSR projects / programs preferably in local areas / vicinity of the Divisions / Complexes where it operates focusing on the theme as identified by the Department of Public Enterprise (DPE) for undertaking CSR activities by Central Public Sector Enterprises (CPSEs).

2. Composition of CSR Committee:

Sl No.	Name of Director	Designation / Nature of Directorship	Number of meetings of CSR Committee held during the year	Number of meetings of CSR Committee attended during the year
1	Dr D K Sunil (till 06.05.2025)	Chairperson / Chairman and Managing Director	1	1
2	Shri Deepak Abasaheb Shinde (till 27.04.2025)	Member / Independent Director	1	1
3	Shri M G Balasubrahmanya (w.e.f 06.05.2025)	Chairperson/ Director (HR)	4	4
4	Shri Ravi K (till 02.06.2025)	Member / Director (Operations)	1	1
5	Dr S D Premkumar (w.e.f 02.06.2025)	Member / Independent Director	4	4
6	Dr Barenaya Senapati	Member / Director (Finance) & CFO	5	5



3. The web-link(s) where Composition of CSR committee, CSR Policy and CSR projects approved by the board are disclosed on the website of the company.

The web-links are as under:

- Composition of CSR Committee:
<https://hal-india.co.in/backend/wp-content/uploads/2025/04/Composition-of-CSR-Committee-2.pdf>
- CSR Policy approved by the Board:
https://hal-india.co.in/backend/wp-content/uploads/2025/04/CSR_Policy.pdf
- Projects approved by the Board:
<https://hal-india.co.in/backend/wp-content/uploads/2025/04/CSR-Projects.pdf>

4. Executive summary along with web-link(s) of Impact Assessment of CSR Projects carried out in pursuance of sub-rule (3) of rule 8, if applicable.

The executive summary of Impact Assessment of following CSR Projects, conducted by Independent Agencies are enclosed to this report:

- Installation of Plant for Conversion of Bio Waste to Compressed Natural Gas (CNG) at Kukatpally Zone, Hyderabad
- Supply of Equipments & Accessories for Liver Transplantation, Plastic Surgery & Neuro Surgery Depts. of Osmania General Hospital, Hyderabad
- To support the Nizam Institute of Medical Science (Government Hospital) in Hyderabad with Level – 3, 4 & 5 Critical Care Capabilities – Enhancement of ICU and Emergency Facilities
- Establishment of Government ITI exclusively for Girls at Ghatkesar Mandal, Medchal-Malkajgiri District, Telangana
- Establishment of furnished Apparel Unit for Engaging Tribal Women for employment Generation
- Construction of Health Care & Rehabilitation Centre for Homeless & Mentally Challenged Women at Koraput
- Gyan Arpan for Imparting remedial Tutions coaching for Students
- Infrastructure Development in Kasturba Gandhi Residential Girls Schools of Amethi District
- Construction of HAL - RGIPT Innovation & Skill Development Centre at Rajiv Gandhi Institute of Petroleum Technology, Jais, Amethi
- Improvement in Healthcare facility at District Civil Hospital, Nasik
- Installation of High Mast Lights in Nearby Villages at Nasik Division
- Construction of New ZP School Buildings Village : Mohadi, Taluka - Dindori, Nasik
- Construction of New ZP School Buildings Village : Umrle, Taluka - Dindori, Nasik
- Construction of New ZP School Buildings Village : Pachore Wani, Taluka - Niphad, Nasik
- Construction of New ZP School Buildings Village : Mahatma Phule Samaj Shikashan, Wadala - Pathardi Road, Nasik
- Construction of New Kitchen Shed Village: Bharveer Khurd, Taluka: Igatpuri, Nasik
- Multipurpose Hall and Library Village: Chatori, Taluk: Chandwad, Nasik



- Apprentice Training in Nasik Division FY 2021-22
- Apprentice Training in Nasik Division FY 2022-23

The web-link(s) of Impact Assessment of above CSR Projects is as under:

<https://hal-india.co.in/backend/wp-content/uploads/2025/04/Impact-Assessment-2025-26.pdf>

5.	(a)	Average net profit of the company as per sub-section (5) of section 135	₹ 9,16,277 Lakh
	(b)	Two percent of average net profit of the company as per sub-section (5) of section 135	₹ 18,326 Lakh
	(c)	Surplus arising out of the CSR Projects or programmes or activities of the previous financial years	₹ 841 Lakh
	(d)	Amount required to be set-off for the financial year, if any	₹ 2,300 Lakh
	(e)	Total CSR obligation for the financial year [(b) +(c)-(d)]	₹ 16,867 Lakh
6.	(a)	Amount spent on CSR Projects (both Ongoing Project and other than Ongoing Project)	₹ 17,382 Lakh
	(b)	Amount spent in Administrative Overheads	₹ 705 Lakh
	(c)	Amount spent on Impact Assessment, if applicable	₹ 12 Lakh
	(d)	Total amount spent for the Financial Year [(a) + (b) +(c)]	₹ 18,099 Lakhs

(e) CSR amount spent or unspent for the Financial Year:

Total Amount Spent for the Financial Year (in ₹ Lakh)	Amount Unspent (in ₹)				
	Total Amount transferred to Unspent CSR Account as per sub-section (6) of section 135		Amount transferred to any fund specified under Schedule VII as per second proviso to sub-section (5) of section 135		
	Amount	Date of transfer	Name of the Fund	Amount	Date of transfer
18,099	Nil	NA	Nil	Nil	NA

(f) Excess amount for set off, if any

Sl. No.	Particular	Amount (₹ in Lakh)
(i)	Two percent of average net profit of the company as per sub-section (5) of section 135	18,326
(ii)	Total amount spent for the Financial Year	18,099
(iii)	Excess amount spent for the financial year	1,232(*)
(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	841
(v)	Amount available for set off in succeeding financial years	1,232 (*)

- (*) a) Total CSR Amount Spent for the Financial Year: ₹ 18,099 Lakh
- b) Total CSR Obligation for the Financial Year 2025-26: ₹ 16,867 Lakh
- c) Amount available for set off in succeeding financial years (a-b): ₹ 1,232 Lakh



7. Details of Unspent CSR amount for the preceding three financial years:

Sl. No.	Preceding Financial Year(s)	Amount transferred to Unspent CSR Account under sub-section (6) of section 135 (in ₹ Lakh)	Balance Amount in Unspent CSR Account under sub-section (6) of Section 135 (in ₹ Lakh)	Amount spent in Financial Year (in ₹)	Amount transferred to a fund as specified under Schedule VII as per second proviso to sub-section (5) of section 135, if any.		Amount remaining to be spent in succeeding financial years. (in ₹ Lakh)	Deficiency, if any
					Amount (in ₹ Lakh)	Date of transfer		
1.	2022-23	Nil	NA	NA	NA	NA	NA	NA
2.	2023-24	NIL	NA	NA	NA	NA	NA	NA
3.	2024-25	NIL	NA	NA	NA	NA	NA	NA

8. Whether any capital assets have been created or acquired through Corporate Social Responsibility amount in the financial year: YES / NO

No

If Yes, enter the number of Capital assets created/ acquired: **NA**

Furnish the details relating to such asset(s) so created or acquired through Corporate Social Responsibility amount spent in the Financial Year:

Sl. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pincode of the property or asset(s)	Date of creation	Amount of CSR amount spent	Details of entity/ Authority/ beneficiary of the registered owner		
					CSR Registration Number, if applicable	Name	Registered address
				NA			

(All the fields should be captured as appearing in the revenue record, flat no, house no, Municipal Office/Municipal Corporation/ Gram panchayat are to be specified and also the area of the immovable property as well as boundaries)

9. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per sub-section (5) of section 135.

- Not Applicable.

Director (Finance) & CFO

Director (HR)
(Chairman of CSR Committee)



Executive Summary (Report) – CSR Project Impact Assessment.
Conducted by External Agencies during FY 2025-26

Project Name:	Installation of Plant for Conversion of Bio Waste to Compressed Natural Gas (CNG) at Kukatpally Zone, Hyderabad (20 Ton per day organic waste to 1000m3 Bio-gas plant)
Sector:	Environment Sustainability and Renewable Energy
Location:	Kukatpally Zone, Hyderabad, Telangana
Start Date:	01/04/2022
Completion Date:	31/03/2024
Impact Assessment Conducted by:	Rural Education and Community Awareness Programmes Development Society, Hyderabad

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	The project was chosen based on a baseline survey identifying significant organic waste generation (~3000 TPD) in Hyderabad, especially from markets and dairies in Kukatpally. There was a pressing need to manage this bio-degradable waste efficiently and generate renewable energy (biogas), aligned with national and urban sustainability goals.
2.	Fulfilment of the objectives for the activity/ project	The project successfully achieved the SMART objectives defined, such as reducing waste, generating clean fuel, and producing organic manure. The conversion of waste into Bio-CNG and fertilizer directly addressed energy security, sanitation, and environmental concerns.
3.	a. Beneficiaries of the activity/ project b. Approximate Numbers	a. Urban sanitation departments (GHMC), Local auto-rickshaw/trolley drivers using Bio-CNG, Farmers benefiting from organic manure. b. Direct: 500+ (local waste collectors, CNG users, plant workers) Indirect: 2000+ (farmers, surrounding communities, vendors, residents)
4.	Budget utilization	Total Budget: ₹ 506 lakhs Utilisation: 100% as per phased payment plan
5.	Implementation aspects	The Project was implemented through GHMC via a tendering process. All civil, mechanical, and utility works were completed as per schedule. The project leveraged technology transfer and consultancy services for optimal plant setup and operation.
6.	Timely completion of the targets	The Project was completed in the defined two-years period. The timeline adherence ensured efficient commissioning and timely utilization of generated resources
7.	Impact of the activity/ project on social, economic and environment perspective	Social: Improved hygiene, reduced health risks due to proper waste management. Economic: Provided employment, reduced fuel cost for local transport, manure support to agriculture. Environmental: Methane capture reduced GHG emissions, organic waste diverted from landfills, groundwater quality improvements, enhanced soil health through organic slurry usage.
8.	Any other relevant points	The biogas plant acts as a model for circular economy and green energy initiatives. It demonstrated replicability for other urban zones in India facing similar waste challenges. No major environmental compliance issues reported.



Project Name:	Supply of Equipments & Accessories for Liver Transplantation, Plastic Surgery & Neuro Surgery Depts. of Osmania General Hospital, Hyderabad
Sector:	Health Care and Education
Location:	Osmania General Hospital, Afzalgunj, Hyderabad, Telangana
Start Date:	01/04/2022
Completion Date:	31/03/2024
Impact Assessment Conducted by:	Rural Education and Community Awareness Programmes Development Society, Hyderabad

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/project (conduct by Baseline survey)	The project was chosen due to critical shortage of infrastructure for liver transplantation, neurosurgery, and reconstructive plastic surgeries in a major Government Hospital serving poor and marginalized communities. Government hospitals lacked advanced medical equipment necessary for complex life-saving surgeries.
2.	Fulfilment of the objectives for the activity/ project	Objectives fully met: liver transplantation unit operationalized, complex neurosurgical and reconstructive surgeries being successfully performed; reduction in patient waiting times; enhancement in academic training for M. Ch students.
3.	a. Beneficiaries of the activity/ project.	a. Urban poor patients, critical care patients, postgraduate medical students (M. Ch courses) -
	b. Approximate Numbers	b. Approx. 4200 Annually including 1500+ direct patients and Students
4.	Budget utilization	₹ 949.97 lakhs fully utilized as per project scope across Surgical Gastroenterology, Neurosurgery and Plastic Surgery Departments.
5.	Implementation aspects	Equipment identified through hospital needs analysis; procurement through transparent tendering; installation, commissioning, and staff training completed successfully. Assets handed over with proper documentation.
6.	Timely completion of the targets.	Yes. Completed and handed over within the scheduled timelines. Projects completed for 2022-23 on 31/03/2023 and for 2023-24 on 12/05/2023. Final handing over on 26/05/2023.
7.	Impact of the activity/ project on social, economic and environment perspective.	Social: Access to critical life-saving surgeries for poor patients at no cost. Economic: Reduced out-of-pocket health expenditures for marginalized services. Environmental: Indirect positive impact by strengthening public health infrastructure, thus reducing healthcare inequalities.
8.	Any other relevant points	Osmania General Hospital has gained state-wide recognition for its Liver Transplant Unit and advanced surgery departments. HAL's contribution has been acknowledged through plaques and official communications. Sustainability plans are in place for equipment maintenance and continuous training.



Project Name:	Enhancement of ICU and Emergency Facilities at Nizam Institute of Medical Sciences (NIMS), Hyderabad
Sector:	Health Care
Location:	Nizam Institute of Medical Sciences (NIMS), Hyderabad, Telangana
Start Date:	01/04/2021
Completion Date:	31/03/2022
Impact Assessment Conducted by:	Rural Education and Community Awareness Programmes Development Society, Hyderabad

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	During the COVID-19 pandemic, there was an acute need for enhancing critical care infrastructure in government hospitals. A baseline assessment identified gaps in ICU capacity and emergency facilities at NIMS, necessitating urgent upgrades to support the growing healthcare demand.
2.	Fulfilment of the objectives for the activity/ project	The project successfully fulfilled its objective by establishing new level 3, level 4 and level 5 ICU capabilities and emergency wards, significantly enhancing the hospital's critical care services.
3.	a. Beneficiaries of the activity/ project. b. Approximate Numbers	a. Patients requiring critical and emergency healthcare services. b. An additional 350-400 patients benefited monthly, translating to approximately 3,700 - 4,200 patients annually.
4.	Budget utilization	₹ 800.46 Lakhs
5.	Implementation aspects	HAL, in Collaboration with Tata Education and Development Trust, successfully executed the project by providing state-of-the-art medical equipment. The initiative was completed efficiently, adhering to healthcare quality and safety standards.
6.	Timely completion of the targets	The Project was completed and inaugurated on 10 th June, 2022, meeting the planned timelines.
7.	Impact of the activity/ project on social, economic and environment perspective	Social: Significant improvement in the quality of critical care services available to the public. Economic: Reduced burden on private healthcare costs for critical care; strengthened public healthcare infrastructure. Environmental: Indirect positive impact through reduced need for patient transfers and optimized use of healthcare resources.
8.	Any other relevant points	The project stands as one of HAL' s major CSR contributions towards strengthening healthcare infrastructure, especially vital in the post- COVID-19 context. Continuous benefits expected due to durable healthcare equipment and enhanced treatment capacity.



Project Name:	Establishment of new Government ITI exclusively for Girls at Ghatkesar Mandal, Medchal-Malkajgiri District, Telangana
Sector:	Education/Vocational/ Skill Training
Location:	Ghatkesar Mandal, Medchal-Malkajgiri District, Telangana
Start Date:	01/04/2021
Completion Date:	31/03/2024
Impact Assessment Conducted by:	Rural Education and Community Awareness Programmes Development Society, Hyderabad

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	A baseline study and consultation with the Department of Employment and Training, Government of Telangana, revealed the lack of exclusive vocational training facilities for girls in rural areas. The Ghatkesar region, with a significant population from economically and socially disadvantaged backgrounds, was identified as a critical area to establish an ITI to enhance women empowerment, employability, and skill development.
2.	Fulfilment of the objectives for the activity/ project	The core objective of providing free vocational training to girls from underprivileged backgrounds has been successfully fulfilled. The Establishment of a fully residential ITI with necessary infrastructure and trained faculty ensured that 200 girls per year received high-quality technical education and industry exposure.
3.	a. Beneficiaries of the activity/ project.	a. Rural Girls Students from SC, ST, OBC, Minority & EWS Communities
	b. Approximate Numbers	b. 200 Girls Students per year
4.	Budget utilization	₹ 796.00 Lakhs
5.	Implementation aspects	The Project was implemented in collaboration with Telangana State Education & Welfare Infrastructure Development Corporation (TSEWIDC), ensuring timely and quality execution. The ITI is equipped with trade-specific labs, hostels, green infrastructure (Solar panels, rain water harvesting), and incinerators to support both educational and environmental needs.
6.	Timely completion of the targets	The Project was completed within the time-frame of three years (FY 2021-24). Construction, recruitment, trade affiliation, and student intake processes were completed as per planned schedule.
7.	Impact of the activity/ project on social, economic and environment perspective	Social: The project empowered young women from marginalized communities through education and skill training. Economic: It has increased their employability and earning potential in public and private sectors as well as through self-employment. Environment: the ITI campus is designed with sustainability features like solar panels, rain water harvesting, and greenery. The positive psychological impact of an exclusive Institution for girls was evident through improved self-confidence, discipline and aspiration amongst the trainee.
8.	Any other relevant points	The ITI is the first of its kind in Telangana catering exclusively to girls and has set a benchmark for gender focused CSR in vocational training. Recommendations include scaling this model to other Districts and linking trained students with job placement cells and entrepreneurship development programmes. The integration with existing Government schemes further strengthens its sustainability and reach.



Project Name:	Establishment of furnished Apparel Unit for Engaging Tribal Women for Employment Generation
Sector:	Women Empowerment & Livelihood Generation
Location:	Kotpad, Koraput District, Odisha
Start Date:	01/04/2022
Completion Date:	31/03/2024
Impact Assessment Conducted by:	Deputy Director (P&S) DPMU, Koraput

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	Tribal women in Kotpad had limited and employment opportunities. The Project was needed for skill training and livelihood support.
2.	Fulfilment of the objectives for the activity/ project	The project achieved its goal by providing training machinery and employment related skills to women.
3.	a. Beneficiaries of the activity/ project.	a. Rural and Tribal women
	b. Approximate Numbers	b. Present strength is 35 women per batch.
4.	Budget utilization	₹ 230.79 lakhs utilised during the project period
5.	Implementation aspects	The Project was implemented smoothly with proper planning, infrastructure and machinery support by HAL.
6.	Timely completion of the targets.	The project has been completed in time.
7.	Impact of the activity/ project on social, economic and environment perspective.	Improved skill, income generation, women empowerment and promotion of eco-friendly Kotpad cotton.
8.	Any other relevant points	The project created sustainable livelihood opportunities and preserved traditional Kotpad cotton.



Project Name:	Construction of Surakhya Health Care & Rehabilitation Centre for Homeless and Mentally Challenged Women at Koraput, Odisha
Sector:	Promoting healthcare including preventive healthcare and sanitation
Location:	Koraput District, Odisha
Start Date:	01/04/2022
Completion Date:	23/04/2024
Impact Assessment Conducted by:	Deputy Director (P & S) DPMU, Koraput

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	The project was chosen because there was no proper facility in Koraput to provide shelter, healthcare and support for homeless and mentally challenged women, who were living in unsafe conditions.
2.	Fulfilment of the objectives for the activity/ project	The project successfully fulfilled its objectives by providing safe shelter, healthcare, counselling and rehabilitation support to homeless and mentally challenged women.
3.	a. Beneficiaries of the activity/ project. b. Approximate Numbers	a. Homeless and mentally challenged women in Koraput District b. Approximately 50 to 60 beneficiaries, at any time.
4.	Budget utilization	Total budget of ₹ 200 Lakhs was fully utilised
5.	Implementation aspects	The Project was implemented by the HAL Koraput Division in collaboration with the District Administration in a phased manner, with proper planning, monitoring and coordination to ensure quality construction.
6.	Timely completion of the targets.	The Project was completed on time within the planned two-year period.
7.	Impact of the activity/ project on social, economic and environment perspective.	The project improved social conditions by providing safe shelter and care, supported economic well-being through skill activities and ensured a clean and hygienic environment for residents.
8.	Any other relevant points	The project was chosen because there was no proper facility in Koraput to provide shelter, healthcare and support for homeless and mentally challenged women, who were living in unsafe conditions by providing, Healthcare services, Mental health support, Proper nutrition, Maintaining hygiene and sanitation, safety of residents, etc.



Project Name:	Gyan Arpan for Imparting remedial Tuitions coaching for Students at Korwa
Sector:	Promotion of education
Location:	Jais, Amethi, U.P
Start Date:	01/04/2020
Completion Date:	31/03/2024
Impact Assessment Conducted by:	University of Lucknow , Lucknow, U.P

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	The project has been conceived in consultation with various stakeholders of Amethi District.
2.	Fulfilment of the objectives for the activity/ project	Yes
3.	a. Beneficiaries of the activity/ project.	a. Students and Teachers of Schools at various Blocks in Amethi District
	b. Approximate Numbers	b. 4800
4.	Budget utilization	₹ 185.44 lakhs
5.	Implementation aspects	The project was implemented by Rajiv Gandhi Institute of Petroleum Technology, Jais (Amethi, U.P.) and funded by HAL.
6.	Timely completion of the targets.	Yes
7.	Impact of the activity/ project on social, economic and environment perspective.	Positive (very good). The HAL-supported Gyan Arpan programme has evolved into an effective hybrid learning model that combines remedial education, volunteer mentoring, and digital learning support. The initiative has strengthened learning outcomes and expanded access to educational resources, while demonstrating adaptability and innovation.
8.	Any other relevant points	None



Project Name:	Infrastructure Development in Kasturba Gandhi Residential Girls Schools of Amethi District, Korwa
Sector:	Promotion of education, Healthcare including preventive healthcare and sanitation
Location:	Amethi, Uttar Pradesh
Start Date:	01/04/2023
Completion Date:	31/03/2024
Impact Assessment Conducted by:	University of Lucknow, Lucknow. U.P

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	Need Assessment were conducted by the Basic Education and Welfare Department, Amethi & HAL officials in respect of these Kasturba Gandhi Residential Girls Schools of Amethi District.
2.	Fulfilment of the objectives for the activity/ project	Yes
3.	a. Beneficiaries of the activity/ project b. Approximate Numbers	a. Students and Teachers of Kasturba Gandhi Residential Girls Schools at various Blocks in Amethi, District, UP. b. 1300
4.	Budget utilization	₹ 165.49 Lakhs
5.	Implementation aspects	The Project was implemented by the U.P.PACSFED (Uttar Pradesh Cooperative Processing and Cold Storage Federation Limited), Lucknow through its Amethi Unit and funded by HAL.
6.	Timely completion of the targets.	Yes
7.	Impact of the activity/ project on social, economic and environment perspective.	Positive (Very Good) The HAL Korwa-supported KGBV hostel upgrades have significantly improved the safety, dignity, comfort, and learning environment for resident girls across 13 KGBVs. Enhanced infrastructure has strengthened students' well-being, confidence, and study conditions.
8.	Any other relevant points	The KGBV infrastructure upgrades represent a high-impact, beneficiary-centric investment that has enhanced the dignity, safety, and learning environment of resident girls. The improvements have been well received by students and their families. To sustain these benefits, regular maintenance, clearly defined Operation and Maintenance (O&M) responsibilities, and timely monitoring is suggested. The intervention is well positioned to deliver lasting improvements in girls' well-being and educational experience.



Project Name:	Construction of HAL- RGIPT Innovation & Skill Development Centre at Rajiv Gandhi Institute of Petroleum Technology, Jais, Amethi
Sector:	Skill Development
Location:	Amethi
Start Date:	01/04/2020
Completion Date:	31/03/2023
Impact Assessment Conducted by:	University of Lucknow, Lucknow, UP.

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	The project has been conceived in consultation with various stakeholders of Amethi District.
2.	Fulfilment of the objectives for the activity/ project	Yes
3.	a. Beneficiaries of the activity/ project.	a. Youth of Amethi District.
	b. Approximate Numbers	b. 5000
4.	Budget utilization	₹ 225.00 lakhs
5.	Implementation aspects	The Project was implemented by the Rajiv Gandhi Institute of Petroleum Technology, Jais, Amethi, and was funded by HAL.
6.	Timely completion of the targets.	The Project was completed in time in FY 2025-26, well within time.
7.	Impact of the activity/ project on social, economic and environment perspective.	Positive (Very Good). The ISDC has significantly enhanced students' practical skills through hands-on training in avionics and advanced manufacturing. By providing industry-relevant infrastructure and aligning training with national skilling standards, the Centre has improved students' technical competence, confidence, and employability while creating lasting value for Rajiv Gandhi Institute of Petroleum Technology and Hindustan Aeronautics Limited Korwa.
8.	Any other relevant points	The HAL- RGIPT Innovation & Skill Development Centre is a solid, promising platform that is improving practical skills.



Project Name:	Improvement in Healthcare facility at District Civil Hospital, Nasik
Sector:	Rural Development
Location:	District Civil Hospital, Trimbakeshwar Road, Nasik
Start Date:	01/09/2021
Completion Date:	31/03/2022
Impact Assessment Conducted by:	M/s SNJB's Late Sau K.B. Jain College of Engineering, Chandwad.

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	The baseline survey revealed inadequate infrastructure and overcrowding at the District Civil Hospital, which was affecting healthcare delivery. The local population lacked access to modern medical facilities. This prompted the need for infrastructure development and equipment upgrading.
2.	Fulfilment of the objectives for the activity/ project	The project successfully enhanced healthcare service delivery by improving infrastructure, adding essential medical equipment, and reducing patient waiting time. Patient Satisfaction and access to healthcare services significantly improved.
3.	a. Beneficiaries of the activity/ project b. Approximate Numbers	a. Rural and Urban patients visiting the hospital, including senior citizens and economically weaker sections. b. Approx. 1,20,000+ patients annually benefitted directly through improved healthcare services. Additionally, the centralized dispatch and treatment facility benefitted patients across 15 talukas of Nasik District, improving regional healthcare access and emergency response.
4.	Budget utilization	₹ 147.45 lakhs.
5.	Implementation aspects	The Project was implemented in coordination with Hospital authorities and local contractors under the supervision of HAL. Timely inspections and quality assurance were carried out.
6.	Timely completion of the targets.	The Project was completed in time during FY 2021-22, well within time, despite minor COVID-related challenges.
7.	Impact of the activity/ project on social, economic and environment perspective.	Social- Improved healthcare delivery and access to quality treatment. Economic- Reduced medical travel costs for poor families. Environmental- Energy-efficient equipment and sustainable construction practices were adopted.
8.	Any other relevant points	Feedback from Hospital staff and Patients is positive.



Project Name:	Provision of High Mast Lights in Nearby Villages at Nasik Division
Sector:	Rural Development
Location:	Villages in Dindori Taluka, Niphad Taluka, Chandwad Taluka and Sinnar Taluka
Start Date:	01/03/2022
Completion Date:	31/03/2022
Impact Assessment Conducted by:	M/s SNJB's Late Sau K.B. Jain College of Engineering, Chandwad.

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	The baseline survey and community feedback revealed inadequate street lighting in rural areas, leading to safety concerns, especially for women, children, and senior citizens during night hours. Villages lacked proper infrastructure for night-time visibility.
2.	Fulfilment of the objectives for the activity/ project	The installation of high mast lights improved public safety, reduced theft and accidents, and enabled extended community activities after dark. Objectives were achieved as per the project scope.
3.	a. Beneficiaries of the activity/ project.	a. Rural residents, women, senior citizens, school children.
	b. Approximate Numbers	b. Approx. 1,00,000+ people directly benefitted across 4 talukas: Dindori, Niphad, Chandwad, and Sinnar.
4.	Budget utilization	₹ 150.60 lakhs.
5.	Implementation aspects	The Project executed in collaboration with local Gram Panchayats. Site selection and technical supervision ensured strategic coverage. Installation completed by certified vendors.
6.	Timely completion of the targets.	All installations were completed within the stipulated time frame in FY 2021-22, despite minor logistic delays due to monsoon season.
7.	Impact of the activity/ project on social, economic and environment perspective.	Social- Increased sense of safety and mobility at night. Economic-Enabled small vendors and local markets to extend hours. Environmental- Reduced the need for multiple sub-lights, thereby lowering energy consumption and maintenance requirements.
8.	Any other relevant points	Local community expressed satisfaction. Women and senior citizens reported increased participation in evening social and cultural events. Response was positive.



Project Name:	Construction of New ZP School Buildings Village : Mohadi, Taluka- Dindori, Nasik
Sector:	Rural Development
Location:	Village: Mohadi, Taluka-Dindori, District: Nasik
Start Date:	20/10/2022
Completion Date:	31/03/2023
Impact Assessment Conducted by:	M/s SNJB's Late Sau K.B. Jain College of Engineering, Chandwad.

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	Surveys highlighted the need for additional classrooms and kitchen facilities in rural schools to improve learning and nutrition outcomes.
2.	Fulfilment of the objectives for the activity/ project	Construction of classrooms enhanced educational infrastructure thus improving the academic ambience, contributing in promotion of education
3.	a. Beneficiaries of the activity/ project b. Approximate Numbers	a. School children, teachers, and rural communities b. Approx.2,000+students and staff across 5 locations benefited.
4.	Budget utilization	₹ 225.68 lakhs.
5.	Implementation aspects	Construction was carried out at all listed locations by expert contractors in coordination with the respective Gram Panchayats and local representatives, ensuring timely execution and quality control.
6.	Timely completion of the targets.	The Project was completed in time in FY 2022-23, well within time.
7.	Impact of the activity/ project on social, economic and environment perspective	Social - Improved access to education and learning. Economic - Boosted local employment during construction. Environmental - Sustainable construction practices were followed.
8.	Any other relevant points	The project was well received by the community and school staff. Improved infrastructure enhanced the learning environment



Project Name:	Construction of New ZP School Buildings Village : Umrale, Taluka- Dindori, Nasik
Sector:	Rural Development
Location:	Village: Umrale, Taluka-Dindori, District: Nasik
Start Date:	03/10/2022
Completion Date:	31/03/2023
Impact Assessment Conducted by:	M/s SNJB's Late Sau K.B. Jain College of Engineering, Chandwad.

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	Surveys highlighted the need for additional classrooms and kitchen facilities in rural schools to improve learning and nutrition outcomes.
2.	Fulfilment of the objectives for the activity/ project	Construction of classrooms enhanced educational infrastructure thus improving the academic ambience, contributing in promotion of education
3.	a. Beneficiaries of the activity/ project b. Approximate Numbers	a. School children, teachers, and rural communities b. Approx.2,000+students and staff across 5 locations benefited
4.	Budget utilization	₹ 175.00 lakhs
5.	Implementation aspects	Construction was carried out at all listed locations by expert contractors in coordination with the respective Gram Panchayats and local representatives, ensuring timely execution and quality control.
6.	Timely completion of the targets.	All work was completed within FY 2022-23, Minor delays due to weather were effectively resolved.
7.	Impact of the activity/ project on social, economic and environment perspective	The project improved the learning environment, encouraged community involvement, and supported local employment through construction activities. Sustainable practices minimised environment impact.
8.	Any other relevant points	The project was well received by the community and school staff. Improved infrastructure enhanced the learning environment and school operations.



Project Name:	Construction of New ZP School Buildings Village : Pachore Wani, Taluka- Niphad, Nasik
Sector:	Rural Development
Location:	Village: Pachore Wani, Taluka-Niphad, District: Nasik
Start Date:	01/10/2022
Completion Date:	31/03/2023
Impact Assessment Conducted by:	M/s SNJB's Late Sau K.B. Jain College of Engineering, Chandwad.

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	Surveys highlighted the need for additional classrooms and kitchen facilities in rural schools to improve learning and nutrition outcomes.
2.	Fulfilment of the objectives for the activity/ project	Construction of classrooms enhanced educational infrastructure thus improving the academic ambience, contributing in promotion of education
3.	a. Beneficiaries of the activity/ project b. Approximate Numbers	a. School children, teachers, and rural communities b. Approx.300+ students and staff benefitted.
4.	Budget utilization	₹ 180.06 lakhs
5.	Implementation aspects	Construction was carried out at all listed locations by expert contractors in coordination with the respective Gram Panchayats and local representatives, ensuring timely execution and quality control.
6.	Timely completion of the targets.	The Project was completed in time in FY 2022-23, well within time.
7.	Impact of the activity/ project on social, economic and environment perspective.	Social - Improved access to education and learning. Economic - Boosted local employment during construction. Environmental - Sustainable construction practices were followed.
8.	Any other relevant points	The project was well received by the community and school staff. Improved infrastructure enhanced the learning environment and school operations.



Project Name:	Construction of New ZP School Buildings Village: Mahatma Phule Samaj Shikashan, Wadala-Pathardi Road, Nasik.
Sector:	Rural Development
Location:	Mahatma Phule Samaj Shikashan Sanstha, Wadala-Pathardi Road, Nasik
Start Date:	03/10/2022
Completion Date:	31/03/2023
Impact Assessment Conducted by:	M/s SNJB's Late Sau K.B. Jain College of Engineering, Chandwad.

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	Surveys highlighted the need for additional classrooms and kitchen facilities in rural schools to improve learning and nutrition outcomes.
2.	Fulfilment of the objectives for the activity/ project	Construction of classrooms enhanced educational infrastructure thus improving the academic ambience, contributing in promotion of education
3.	a. Beneficiaries of the activity/ project b. Approximate Numbers	a. School children, teachers, and rural communities b. Approx.350+ students and staff across 5 locations benefitted.
4.	Budget utilization	₹ 200.00 lakhs
5.	Implementation aspects	Construction was carried out at all listed locations by expert contractors in coordination with the respective Gram Panchayats and local representatives, ensuring timely execution and quality control.
6.	Timely completion of the targets.	All work was completed within FY 2022-23, Minor delays due to weather were effectively resolved.
7.	Impact of the activity/ project on social, economic and environment perspective.	Social - Improved access to education and learning. Economic - Boosted local employment during construction. Environmental - Sustainable construction practices were followed.
8.	Any other relevant points	The project was well received by the community and school staff, leading to noticeable improvements in the learning environment through upgraded infrastructure.



Project Name:	Construction of New Kitchen Shed Village: Bharveer Khurd, Taluka: Igatpuri, Nasik
Sector:	Rural Development
Location:	Village - Bharveer Khurd, Taluka-Igatpuri, District-Nasik
Start Date:	08/10/2022
Completion Date:	31/03/2023
Impact Assessment Conducted by:	M/s SNJB's Late Sau K.B. Jain College of Engineering, Chandwad.

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	The school lacked adequate infrastructure to support hygienic food preparation. A need was identified through local feedback and field visits, indicating the requirement for a dedicated kitchen shed to improve health and sanitation conditions.
2.	Fulfilment of the objectives for the activity/ project	The objective of providing a safe, clean, and functional kitchen facility was successfully met, contribution to improve hygiene standards and support for the school's operational needs.
3.	a. Beneficiaries of the activity/ project b. Approximate Numbers	a. Rural Children b. Approximately 200+ Students and Staff
4.	Budget utilization	₹ 22.23 lakhs
5.	Implementation aspects	The Project was implemented through proper planning and coordination with local authorities and school staff. Materials and labour were sourced locally, and construction was completed in a phased, timely manner.
6.	Timely completion of the targets.	The Project was completed in time in FY 2022-23, well within time.
7.	Impact of the activity/ project on social, economic and environment perspective.	The project enhanced the learning environment and encouraged community engagement. Local employment was supported during construction. Sustainable practices and eco-friendly materials helped reduce the environmental footprint.
8.	Any other relevant points	The project was well-received by the school and the local community. Improved infrastructure has uplifted the school environment and supported long-term development goals.



Project Name:	Multipurpose Hall and Library Village: Chatori, Taluk :Chandwad, Nasik
Sector:	Rural Development
Location:	Village- Chatori, Taluka- Chandwad, District- Nasik
Start Date:	03/09/2022
Completion Date:	31/03/2023
Impact Assessment Conducted by:	M/s SNJB's Late Sau K.B. Jain College of Engineering, Chandwad.

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	The village lacked dedicated spaces for educational, community, and cultural activities. A baseline survey revealed the need for a multipurpose facility to host gatherings, promote learning, and support student engagement.
2.	Fulfilment of the objectives for the activity/ project	The objectives were successfully met with the construction of a multipurpose hall and library, which now serve as a vital hub for educational and social development in the village.
3.	a. Beneficiaries of the activity/ project b. Approximate Numbers	a. Rural Community (School Children, Youth, Sr. Citizens) b. Approximately 1,800-2,000 residents, including students, youth groups, and senior citizens.
4.	Budget utilization	₹ 52.00 lakhs
5.	Implementation aspects	The Project was implemented through structured planning, involving community participation and regular monitoring. The building was constructed using durable materials, ensuring functionality and long-term usage.
6.	Timely completion of the targets.	The Project was completed as per the timelines, and the facility was made available to the community without delays.
7.	Impact of the activity/ project on social, economic and environment perspective.	Socially - it enhanced access to education, literacy, and community programs. Economically - it generated local employment during construction. Environmentally - the structure was designed with ventilation and lighting efficiency in mind.
8.	Any other relevant points	The hall and library have become central to village's educational and social activities. The project was welcomed by the community and is helping build a stronger, informed, and cohesive rural society.



Project Name:	Apprentice Training in Nasik Division
Sector:	Skill Development
Location:	Nasik Division
Start Date:	01/04/2021
Completion Date:	31/03/2022
Impact Assessment Conducted by:	M/s SNJB's Late Sau K.B. Jain College of Engineering, Chandwad.

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	The baseline survey highlighted a skills gap among local youth, with limited exposure to industrial practices and modern manufacturing technologies. There was a need to enhance employability and create a skilled workforce to meet industry requirements in Nasik and surrounding areas.
2.	Fulfilment of the objectives for the activity/ project	The program successfully trained apprentices in various technical trades, equipping them with practical knowledge, industry exposure, and hands-on experience. This addressed the employability gap and aligned with the goal of sustainable skill development.
3.	a. Beneficiaries of the activity/ project b. Approximate Numbers	a. Rural / Urban youth, including fresh graduates and diploma holders. b. 600+ apprentices trained during the project period.
4.	Budget utilization	₹ 158.55 lakhs
5.	Implementation aspects	The Project was implemented following structured training modules, industry best practices, and periodic assessments. Trainees were placed in relevant departments under supervision.
6.	Timely completion of the targets.	All training targets were achieved within the planned financial year with no significant delays.
7.	Impact of the activity/ project on social, economic and environment perspective.	The training enhanced employability, reduced unemployment rates in the region, and provided industries with a pool of skilled manpower. Economically, it contributed to improved household incomes for the beneficiaries. It promoted sustainable livelihoods through skill-based employment.
8.	Any other relevant points	Post training support to the Apprentice trainee was also extended.



Project Name:	Apprentice Training in Nasik Division
Sector:	Skill Development
Location:	Nasik Division
Start Date:	01/04/2022
Completion Date:	31/03/2023
Impact Assessment Conducted by:	M/s SNJB's Late Sau K.B. Jain College of Engineering, Chandwad.

The external agency has evaluated the Projects / activities w.r.t. the following information:

Sl. No.	Particulars	Details
1.	Need for choosing the activity/ project (Conduct of Baseline Survey)	The baseline survey highlighted a skills gap among local youth, with limited exposure to industrial practices and modern manufacturing technologies. There was a need to enhance employability and create a skilled workforce to meet industry requirements in Nasik and surrounding areas.
2.	Fulfilment of the objectives for the activity/ project	The program successfully trained apprentices in various technical trades, equipping them with practical knowledge, industry exposure, and hands-on experience. This addressed the employability gap and aligned with the goal of sustainable skill development.
3.	a. Beneficiaries of the activity/ project b. Approximate Numbers	a. Rural / Urban youth, including fresh graduates and diploma holders. b. 900+ apprentices trained during the project period.
4.	Budget utilization	₹ 268.02 lakhs
5.	Implementation aspects	The Project was implemented following structured training modules, industry best practices, and periodic assessments. Trainees were placed in relevant departments under supervision.
6.	Timely completion of the targets.	All training targets were achieved within the planned financial year with no significant delays.
7.	Impact of the activity/ project on social, economic and environment perspective.	The training enhanced employability, reduced unemployment rates in the region, and provided industries with a pool of skilled manpower. Economically, it contributed to improved household incomes for the beneficiaries. It promoted sustainable livelihoods through skill-based employment.
8.	Any other relevant points	Post training support to the Apprentice trainee was also extended.



CSR Activities



Contribution to IIT (Madras) for establishment of HAL Endowment Merit Scholarship Scheme for Engineering Students coming from the economically underprivileged background.



Construction of High-Performance Sports Science Centre, at the Sports Authority of India, Bengaluru.



Development of Infrastructural Facilities in Tribal Schools at Jawadhu Hills Block, Tiruvannamalai, Tamil Nadu.



Construction of Anganwadi Centres at Chitrakoot (Aspirational District), Uttar Pradesh by Kanpur Division, provisioning of basic infrastructure to enhance Safety, Hygiene and Better Storage of Supplementary Nutrition



Providing Assistive devices to Differently Abled persons at Naihati, West Bengal



HAL has developed a state-of-art Cultural (Sanskritik) Community Centres at Lucknow, aimed at providing a platform for conducting various Social Ceremonial Activities to the nearby villages.



The comprehensive street lighting system pertaining to Sunabeda Municipality, Koraput Odisha focuses on the deployment of energy-efficient LED luminaires and robust electrical infrastructure to ensure consistent illumination.



Contribution of e-shuttles to AIIMS, New Delhi for facilitating in patient transportation.



Project Vidushi - The in-house initiative of HAL, aimed at Development of infrastructure facilities at Kasturba Gandhi Balika Vidyalaya (KGBVs) across various states viz. Karnataka, Telangana, Odisha, Uttar Pradesh, and Maharashtra aims at strengthening infrastructure and ensuring a safe and conducive learning environment for the girl students by addressing key areas of development.



Annexure IV to Board's Report

FORM NO. MR-3

SECRETARIAL AUDIT REPORT

(FOR THE FINANCIAL YEAR ENDED 31st March 2026)

[pursuant to Section 204(1) of the Companies Act, 2013 and Rule No. 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members
Hindustan Aeronautics Limited
15/1, Cubbon Road,
Bangalore - 560001

I, S.N. Mishra, proprietor of SNM & Associates, Bengaluru bearing Membership No. 6143 and C.P. No. 4684, have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate governance practices by Hindustan Aeronautics Limited, CIN: L35301KA1963GOI001622 listed at the BSE Limited (BSE) and National Stock Exchange of India Limited (NSE) (hereinafter called "the Company") for the financial year ended **March 31, 2026**. Secretarial Audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing my opinion thereon.

Based on my verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, I hereby report that in my opinion, the Company has, during the audit period covering the financial year ended on **March 31, 2026** complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms, registers and returns filed and other records maintained by the Company for the financial year ended on March 31, 2026 according to the provisions of:

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) The Securities Contracts (Regulation) Act, 1956 and the Rules made there-under;
- (iii) The Depositories Act, 1996 and the Regulations and the by-laws framed there-under;
- (iv) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'):-
 - SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI LODR)
 - SEBI (Prohibitions of Insider Trading) Regulations, 2015
 - SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011
 - SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018 - **Not Applicable during the audit period**
 - SEBI (Issue and Listing of Non-Convertible Securities) Regulations, 2021 - **Not Applicable during the audit period**
 - SEBI (Depositories and Participants) Regulations, 2018
 - SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 - **Not Applicable during the audit period**
 - The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client;
 - The Securities and Exchange Board of India (Buyback of Securities) Regulations, 1998 - **Not Applicable during the audit period**



- (v) Secretarial Standards with respect to Meetings of Board of Directors (SS-1) and General Meetings (SS-2) issued by the Institute of Company Secretaries of India;
- (vi) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings;
- (vii) Guidelines issued by Department of Public Enterprises;
- (viii) Guidelines issued by Department of Investment and Public Asset Management (DIPAM);
- (ix) Labour Laws as applicable and the rules and regulations made thereunder;
- (x) The Industries (Development and Regulation) Act, 1951.

I have conducted physical verification & examination of records, as facilitated by the Company, for the purpose of issuing this Report. I have not reviewed the applicable financial laws, direct and indirect tax laws since the same have been subject to review and audit by the Statutory Auditors of the Company.

During the period under review, based on verification of the records maintained by the Company and also on the review of compliance reports / statements made by respective department heads / Company Secretary, which was taken on record by the Board of Directors of the Company, in my opinion, substantially adequate systems and process and control mechanism exists in the Company to monitor and ensure compliance with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc.

I report that:

1. The Company being a Government Company, the Board of Directors are appointed by the concerned Administrative Ministry of the Government of India. During the period under audit, 5 posts of Independent Directors including Woman Independent Director remained vacant. The Company is not in compliance with Section 149(4) of the Companies Act, 2013 read with the Rule 3 & 4 of Companies (Appointment & Qualification of Directors) Rules, 2014 and Regulation 17(1)(a) & 17(1)(b) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 during the reporting period.

The Board met 10 (Ten) times during the year. The intervening gap between the Meetings was within the period prescribed under Section 173(1) of the Companies Act, 2013 and Regulation 17(2) of SEBI LODR.

Based on the duly recorded and signed Board minutes, I opined that during the period under review the requisite quorum was present in all the Board Meetings except for meeting held on May 14, 2025 where the quorum requirement under Regulation 17(2A) of SEBI LODR was not met. The NSE (Designated Stock Exchange for the purpose) has waived off the fine levied for the specific meeting, considering that the matter was beyond the control of the Company.

Notices of Board Meetings were given to all the directors. Agenda and detailed notes on agenda were also sent for all board meetings held during the year under consideration. The Company has a system for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting. The Company is in compliance with Regulation 29 of SEBI LODR w.r.t. prior intimation of Board Meetings as applicable.

Circular resolutions passed during the period under review were duly recorded in the subsequent meetings.

All the decisions were carried out unanimously and the members' views are captured and recorded as part of the minutes.

2. The annual general meeting for the financial year ending on 31st March, 2025 was held on August 28, 2025 through electronic mode [Video Conferencing/Other Audio-Visual Means] pursuant to the circulars issued by the Ministry of Corporate Affairs (MCA) and by Securities Exchange Board of India (SEBI) in that respect; after giving due notice to the members of the Company, with the requisite quorum and the resolutions passed thereat were duly recorded in Minutes Book maintained for the purpose.

No resolutions were passed by postal ballot during the year under review.

No extraordinary general meeting was conducted by the Company during the period under review.



3. The Company has the following committees which are required under the Companies Act, 2013 and the SEBI LODR.

- Audit Committee
- Nomination and Remuneration Committee
- Stakeholders Relationship Committee
- Risk Management Committee
- CSR & Sustainable Development Committee

During the period under audit, the Company did not have valid constituted Audit Committee and Nomination & Remuneration Committee respectively from 1st April, 2025 to 1st June, 2025 and further the Company did not have validly constituted Stakeholders Relationship Committee, CSR & Sustainable Development Committee and Risk Management committee from 28th April, 2025 to 1st June, 2025. All these committees were duly re-constituted on 2nd June, 2025 after the appointment of 2 independent directors by the government of India. During the period under review the members of the committees met at regular intervals to discuss and execute the relevant functions/operations as per the terms of the policy framed for the purpose.

The certificate required from the Chief Financial Officer under Rule 4(5) of the Companies (Corporate Social Responsibility Policy) Rules, 2014, confirming that the funds disbursed for CSR activities had been utilised for the purposes and in the manner approved by the Board, was obtained.

4. The Company is in compliance with the Department of Investment and Public Asset Management, Ministry of Finance guidelines and has received exemption in October 2025 for issue of Bonus Shares during F.Y. 2025-26.
5. The Company has, in all material respects, complied with the applicable Corporate Governance Guidelines issued by the Department of Public Enterprises (DPE).
6. In accordance with Schedule IV of the Companies Act, 2013 and Regulation 25(3) of SEBI (LODR), 2015, an exclusive meeting of Independent Directors was held without the presence of Non-independent Directors & members of management, on December 23, 2025 at which all Independent Directors were present.
7. The Company is in compliance with filing forms and returns with the Registrar of Companies, and other statutory bodies as applicable from time to time within the time prescribed under the Act and the rules made there-under and with additional fees wherever there is a delay.
8. The Company is in regular compliance with Regulation 76 of the SEBI (Depositories and Participants) Regulations, 2018.
9. The Company has appointed a Registrar and Transfer Agent, who are duly registered as per The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 who on behalf of the Company, maintains the records of holders of securities issued by the company and deals with all matters connected with the transfer and redemption of securities.
10. The Company is listed on the BSE Limited and the National Stock Exchange of India Limited and has generally complied with the requirements prescribed under Chapter IV of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. However, certain observations relating to the composition of the Board of Directors, its Committees and requirement of quorum were noted during the year under review for which the Stock Exchanges levied fines in accordance with the applicable regulatory framework. Waivers were granted for composition of committees and Quorum for Board Meeting as the matter was beyond the control of the Company.
11. The Company is in regular compliance with the applicable rules and regulations of SEBI as detailed in Point (iv) of this report.
12. The Company did not have any transactions pertaining to Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings requiring compliance with the Foreign Exchange Management Act, 1999 and the rules and regulations thereunder.
13. The Company has framed a policy on Prevention and Prohibition of Sexual Harassment at Workplace and has constituted an Internal Committee to handle matters under the Sexual Harassment of Women at Workplace Act, 2013 and its corresponding rules and regulations. The Company is in compliance with the requirements under the Sexual Harassment of Women at Workplace Act, 2013.



14. The compliances under the following Labour Laws have been scrutinised by me:

- a. The Karnataka Shops and Establishments Act, 1961
- b. The Minimum Wages Act, 1948
- c. The Payment of Wages Act, 1936
- d. The Payment of Bonus Act, 1965
- e. Equal Remuneration Act, 1976
- f. The Payment of Gratuity Act, 1972
- g. The Employees' Compensation Act, 1923
- h. The Maternity Benefit Act, 1961
- i. The Child Labour (Prohibition and Regulation) Act, 1986
- j. The Contract Labour (Regulation and Abolition) Act, 1970
- k. The Employment Exchanges (Compulsory Notification of Vacancies) Act, 1959
- l. The Apprentices Act, 1961
- m. Industrial Employment (Standing Orders) Act, 1946 read with Industrial Employment (Standing Orders) (Karnataka) Rules, 1961
- n. Labour Welfare Fund Act
- o. The Rights of Persons with Disabilities Act, 2016

The Company has complied with the applicable provisions, registrations, filing of returns, maintenance of records and display of abstracts as required under these various Labour laws and their corresponding rules, regulations and guidelines thereunder.

15. During the period under review, the Company has complied with the applicable provisions of the Acts, Rules, Regulations, Guidelines, Standards, etc. mentioned above. Certain non-material findings as highlighted by me during audit have been addressed suitably by the management by initiating necessary steps.
16. There are adequate systems and processes in the Company commensurate with the size and operations of the Company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

This report is to be read with my letter of even date which is annexed as Annexure A and forms an integral part of this report.

S. N. Mishra

Company Secretary

C. P. No.: 4684

FCS No.: 6143

P.R. No.: 1603/2021

UDIN: F006143H000638918

Place: Bangalore
Date: 17-06-2026



'ANNEXURE A'

To,
The Members
Hindustan Aeronautics Limited
15/1, Cubbon Road,
Bangalore - 560001

My Secretarial Audit Report for the financial year ended March 31, 2026 of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the Company. My responsibility is to express an opinion on these secretarial records based on our audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. I believe that processes and practices I followed provide a reasonable basis for my opinion.
3. I have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
4. Wherever required, I have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of corporate and other applicable laws, rules regulations, standards is the responsibility of management. My examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit Report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.



S. N. Mishra

Company Secretary

C. P. No.: 4684

FCS No.: 6143

P.R. No.: 1603/2021

UDIN: F006143H000638918

Place: Bangalore
Date: 17-06-2026



Management Discussion & Analysis Report

1. INDUSTRY STRUCTURE AND DEVELOPMENT

The aerospace and defence sector is undergoing a significant structural shift driven by evolving geopolitical dynamics, rapid technological advancements and increasing emphasis on self-reliance, witnessed sustained momentum during FY 2025-26, supported by the Government's continued focus on "Atmanirbhar Bharat", indigenisation, and modernisation of the Armed Forces. Geopolitical uncertainties and the need to enhance operational readiness drove higher demand for indigenous platforms, including fighter aircraft, helicopters, engines, and related systems.

Key structural shifts included greater private sector participation in the defence ecosystem, policy support through positive indigenisation lists, export promotion measures, and infrastructure development for aerospace manufacturing. The sector is transitioning towards higher self-reliance, with increased emphasis on design, development, and production of advanced platforms such as the Light Combat Aircraft (LCA) Tejas, Advanced Light Helicopter (ALH) Dhruv variants, Light Combat Helicopter (LCH) Prachand, and trainer aircraft.

HAL as India's leading aerospace and defence Maharatna PSU, maintains its pivotal role in design, development, Manufacturing, Repair, Overhaul (MRO), and upgrade of a wide range of aircraft, helicopters, engines, and avionics systems. The Company has contributed significantly to fleet availability and indigenisation efforts, while the industry as a whole saw record-level order inflows and production ramp-ups in select segments.

2. ORGANISATION STRUCTURE

Presently, the Company has 20 Divisions and 10 R&D Centres. These Divisions and R&D Centres are located at ten geographic locations in seven states across the Country. HAL's Divisions and R&D Centres are organized into five Complexes with current & future operations given below:

- ❖ Bangalore Complex (BC): Production, MRO and upgrade of Fixed-wing Aircraft and Engines of Indian and Western origin, Aerospace Structures & Castings, Forgings & Rolled Rings.
- ❖ MiG Complex (MC): Production of indigenous Fixed wing aircraft, Production, MRO and upgrade of Fixed-wing aircraft and Engines of mainly Russian origin, Civil MRO and UAV Projects.

- ❖ Helicopter Complex (HC): Production, MRO and upgrade of Helicopters of Indian and Western origin. Production of Composite parts for Fixed and Rotary wing platforms.
- ❖ Accessories Complex (AC): Production, MRO and upgrade of Transport Aircraft. Production and MRO of Accessories and Avionics for Fixed-wing and Rotary-wing Platforms (Indian, Russian and Western origin). Depot Level Maintenance of UAVs.
- ❖ Design Complex (DC): R&D of Fixed-wing and Rotary-wing aircraft, Unmanned Aerial Vehicles (UAV), Aero-engines, Avionics and Accessories.

BC, MC, HC and AC are headed by Chief Executive Officers (CEOs). Head of Divisions under each Complex reports to the respective CEOs, whereas Head of R&D Centres under Design Complex report to Director (Engineering and R&D). All the Functional Directors and CEOs report to Chairman & Managing Director (CMD).

3. SWOT ANALYSIS

SWOT Analysis is the tool to identify potential opportunities and threats in the external environment and assess internal strengths and weaknesses of the organization. The SWOT analysis of the Company is as follows:

Strengths

- ❖ Integrated aerospace business which includes R&D, Production and MRO including PBL solutions of the Fixed-wing aircraft, Rotary-wing aircraft, Aero-engines, LRUs and airborne systems.
- ❖ Strong order book ensuring long-term revenue visibility.
- ❖ Expertise in aircraft upgrade for the Defence Customers which includes major changes like re-engining, avionics upgrade, and weapon system integration.
- ❖ Expertise in execution of Transfer of Technology (ToT) projects. The Company has successfully absorbed ToT and produced MiG-21, MiG-27, Su-30MKI, Jaguar, Hawk, Dornier-228 and AVRO.
- ❖ Expertise in Design & Development of a wide range of helicopters including Utility and Combat helicopters. The Company has developed flagship platforms like ALH Variants, LCH, LUH in 3.5-to-5.5-ton class. Also, the Company has foray into Civil Helicopter by developing ALH Dhruv-NG (Next Generation). Further,



the Company is developing IMRH and DBMRH in 10–15-ton class, proving D&D capabilities in wide range of helicopters.

- ❖ Trusted partner of Indian Defence Forces for providing support to aging fleets, some of which are more than 60 years old.

Weaknesses

- ❖ Dependency on foreign OEMs for critical materials and LRUs.
- ❖ Long gestation periods and complexities in project execution.
- ❖ Limited presence in high-value global export markets.

Opportunities

- ❖ Atmanirbhar Bharat Abhiyan and other policy reforms such as Positive Indigenisation List (PIL) by the Government promoting self-reliance and indigenous products.
- ❖ Focus of Government to develop A&D ecosystem in the Country to reduce import bill and make India A&D hub.
- ❖ Civil MRO opportunities in India, expansion in MRO and lifecycle support services.
- ❖ Development of new potential market in India such as for regional jets, UAVs etc.

Threats

- ❖ Collaborations of Indian Private Companies with Global OEMs and capability building by their entities.
- ❖ Change in preference of regular customers by moving from nomination to competitive procurement.
- ❖ Rapid technological disruptions requiring continuous upgradation.
- ❖ Direct competition from foreign companies entering into Indian market and pricing pressures in international markets.
- ❖ Mainly dependent on MoD for the contracts. Any change in procurement policy / preference can adversely affect our ability to grow or maintain our sales, earnings and cash flow.
- ❖ Supply chain disruptions due to geopolitical issues.

4. OUR STRATEGIES

We intend to pursue the following principal strategies to leverage our strengths and grow our business:

- ❖ Enhance Indigenisation content in our products.
- ❖ Enhance export sales.
- ❖ Expanding production capabilities to meet growing demand.
- ❖ Enhance customer satisfaction and improved quality of products and services.
- ❖ Investing in R&D and adopting advanced manufacturing technologies.
- ❖ Opening Export Offices in the target geographies to explore global market and export opportunities.
- ❖ Progress Design and Development programs with initial company funding for Indian Defence Services.
- ❖ Focus on increasing operational efficiencies by adapting technologies such as Industry 4.0, automation, additive manufacturing, etc.

5. SEGMENT-WISE OR PRODUCT-WISE PERFORMANCE

The Ministry of Corporate Affairs vide Notification No. 1/2/2014-CL-V dated February 23, 2018 has exempted Government companies engaged in Defence Production to the extent of application of Ind AS 108 on "Operating Segment". Disclosure in this regard has been made at Clause No. 37 of Note No. 49 to the Accounts.

6. OUTLOOK

The outlook for FY 2026-27 and beyond will remain positive, supported by a strong order book providing 7-8 years of revenue visibility. The Company expects improved growth through better supply chain stabilization, capacity expansion (including significant infrastructure investments) and faster production ramp-up for key platforms.

Focus areas include:

- Achieving higher production rates for LCA Mk1A (targeting 24+ aircraft annually in coming years).
- Expediting the production rate of HTT-40.
- Expanding civil and export segments.
- Enhancing indigenisation levels (aiming 65-75%+ for major platforms).



- Digital transformation, AI integration, and R&D for future programs like IMRH, LCA Mk2, CATS, HLFT and UAVs.

The Company is well-positioned to capitalize on these opportunities, across aircraft, helicopters, aero engines, avionics, and Maintenance, Repair and Overhaul (MRO) projects. Execution of ongoing programmes, coupled with anticipated new orders in fighter aircraft, rotary-wing platforms, and upgrade projects, is expected to provide revenue visibility over the medium to long term.

In parallel, the Company is intensifying efforts to expand its global footprint through exports and strategic collaborations with international partners. Emerging opportunities in areas such as unmanned systems, advanced materials, digital manufacturing, and space applications are expected to open new growth avenues.

However, the outlook is subject to certain challenges, which includes, evolving technological requirements, supply chain constraints and increasing competition both from private sector and global players. The Company's focus on enhancing operational efficiency, strengthening its supply chain ecosystem, accelerating indigenisation, and investing in research and development is expected to mitigate these risks.

The Company is poised to sustain its growth trajectory and reinforce its position as a key enabler of India's aerospace and defence capabilities while progressively enhancing its competitiveness in the global market.

7. RISKS AND CONCERNS

The major risks and concerns for the Company are:

- ❖ Dependence on foreign OEMs for supply of critical components and Spares.
- ❖ Dependence on limited customers for new contracts.
- ❖ Competition from domestic and foreign players.
- ❖ Rapid advancements leading to obsolescence of existing systems.
- ❖ Challenges in meeting aggressive timelines for complex indigenous platforms, integration issues, and certification requirements.

8. MEASURES TO TACKLE CHALLENGES, CONCERNS AND RISKS

The Company has identified the following focus areas to address the challenges, concerns and risks:

- ❖ Indigenisation and Technology Initiatives: Accelerated R&D, partnerships for technology transfer (e.g., higher

localization in engines), and vendor development programs to reduce import dependence.

- ❖ Diversification of suppliers, development of alternate indigenous sources, and closer coordination with global suppliers (including resolution of engine supply issues observed in prior periods). Building strategic inventories for critical items.
- ❖ Capacity and Infrastructure Build-up: Significant CAPEX investments in new production facilities, modernization of existing lines and establishment of additional assembly lines to de-risk execution.
- ❖ Dedicated marketing efforts and government-supported export initiatives.
- ❖ Market-oriented products and technology developments to complement with company goals to expand in commercial and export market.
- ❖ Enhanced digitalization and IT & AI enabled systems for speedy communication and decision-making.
- ❖ Use of advanced materials, Advanced Manufacturing Technologies and automation to improve product quality and achieve operational efficiencies.

9. CUSTOMER ORIENTATION

The Company is committed for providing timely support to its customers. Also, focussing on continuous improvements and responsiveness to the needs of Customers. Achieving Customer satisfaction is not merely a goal for us but a core responsibility. The Company continues to devise innovative solutions and ensure effective implementation towards achieving total customer satisfaction.

During the year, the Company has undertaken following initiatives towards customer orientation:

- Indian Army-HAL Vayu (Virtual Automation Yielding Unification) Portal** - The Portal has been officially launched for integration of Army and HAL ERP databases towards ensuring transparent & real-time aviation logistic supply chain.
- Digitisation of Supply Chain** - Actions have been initiated for full scale digitization of supply chain. Quality certification digitized in Helicopter, Overhaul, Aircraft & LCA Divisions.
- Dedicated RMSO Management Team at Divisional Level** - Dedicated RMSO Management Team are set up at all Divisions towards ensuring serviceability of HAL Platforms and spares supply.



- iv. Visit of Senior Management to Customer Bases / Commands** - Visit of Senior officers to Customer Bases / Commands for interactions and understanding the Customer issues / concerns, if any, and faster resolution of the same.

10. INTERNAL CONTROL SYSTEM AND THEIR ADEQUACY

The Company has an Internal Control System commensurate with the size, scale and complexity of its operations. The Company has in place adequate Internal Financial Controls for ensuring efficient conduct of its business. The Company has documented various policies and procedures on Purchase/ Outsourcing, Works Contract, Accounting, HR, IT and Security, Delegation of Powers, etc. covering all financial and operating functions for smooth functioning.

To evaluate the effectiveness of internal controls, systems and procedures across different functions in the organisation, the Company has an independent Systems Audit Department with teams of professionally qualified personnel, which conduct regular and comprehensive internal audits, to ensure that all checks and internal control systems are in place. The Department evaluates the design and effectiveness of internal controls, identifies weaknesses and recommends improvements to mitigate risks. It also monitors compliance with laws, regulations and internal policies. Necessary systems improvement guidelines are also issued by the Department. The major observations of Systems Audit are placed before the Audit Committee for review.

The Company has sub-committee of the Board viz. Audit Committee (AC) to keep a close watch on compliance with Internal Control Systems. The Audit Committee, regularly reviews the significant audit findings, adequacy of internal controls, and compliance with accounting standards and policies from time to time and issues directives for compliance to further strengthen the Internal Control Systems keeping in view the dynamic environment in which the Company is operating.

Also, being a Government Company, the Company is subject to Audit by Comptroller & Auditor General of India (C&AG). Further, an independent Vigilance Department headed by Chief Vigilance Officer is in place, to oversee and control any unethical practise in the Company. The Company continues its efforts to align all its processes and controls with global best practices, to assure the highest level of Corporate Governance.

11. ACCOUNTING TREATMENT FOR PREPARATION OF FINANCIAL STATEMENTS

The Financial Statements of the Company have been prepared in accordance with the accounting principles

generally accepted in India including the Indian Accounting Standards and no deviations in compliances to prescribed Accounting Standards.

12. DISCUSSION AND ANALYSIS OF FINANCIAL PERFORMANCE WITH RESPECT TO OPERATIONAL PERFORMANCE:

(₹ in Lakh)			
Sl. No.	Particulars	Year Ended March 31, 2026	Year Ended March 31, 2025
1	Turnover	31,79,183	30,10,465
2	Revenue from Operations	33,08,979	30,98,092
3	Value of Production	41,81,878	37,72,854
4	Gross Margin	13,47,202	12,16,833
5	Profit Before Tax	12,11,208	10,82,001
6	Tax Expense	3,03,641	2,50,321
7	Profit After Tax	9,07,567	8,31,680
8	R&D Expenditure	2,79,447	2,48,233
9	Net Worth	40,86,251	34,84,285
10	Trade Receivable	4,06,628	4,64,754
11	Cash and Bank Balance	46,19,226	38,17,076
12	Borrowings	-	-
13	Book Value Per Equity Share (Face value of ₹ 5) (₹)	611.01	520.99
14	Earnings Per Equity Share (Face value of ₹ 5) (₹)	135.71	124.36
15	Dividend Per Equity Share (Face value of ₹ 5) (₹)	35	40*
16	Debtors Turnover Ratio (No. of times)	7.30	6.50
17	Inventory Turnover Ratio (No. of times)	1.21	1.73
18	Interest Service Coverage Ratio	-	-
19	Current Ratio	2.6:1	2:1
20	Debt Equity Ratio	-	-
21	Operating Profit Margin (%) on Turnover	26	27



(₹ in Lakh)

Sl. No.	Particulars	Year Ended March 31, 2026	Year Ended March 31, 2025
22	Net Profit Margin (%) on Turnover	29	28
23	Return on net worth %	22	24

**Includes final dividend of ₹15 per equity share for face value of ₹5 each declared in the 62nd AGM for the financial year 2024-25.*

Reason for significant changes in ratios for FY 2025-26:

- ❖ Inventory Turnover Ratio has reduced during the financial year due to increase in work-in-progress in respect of manufacturing programs viz. LCA MK1A, HTT-40, ALH, LCH, Su-30 and AL-31FP engines etc.
- ❖ The Return on Net-worth % has reduced during the financial year as growth in PAT is not in proportion to growth in Net-worth.

13. MATERIAL DEVELOPMENTS IN HUMAN RESOURCES

The major HR Initiatives for the Financial Year 2025-26 aimed at enhancing employee benefits, recognizing performance excellence, leveraging technology for operational efficiency, addressing attrition in specific groups for improved employee retention, and modernizing corporate identity are summarized as under:

- ❖ **Unified Corporate HR Manual:** To enhance accessibility and ease of reference, all HR Manuals were simplified and consolidated into a single unified Corporate HR Manual, accessible through a dedicated AI-enabled HR Bot in HSS/ESS portals, streamlining governance and improving the employee experience.
- ❖ **Revised Incentive Scheme for Workmen:** A revised Incentive Scheme was implemented for Workmen to enhance productivity and recognize performance excellence. The revised Scheme provides improved incentive structure aligned with operational requirements and performance metrics, motivating workforce engagement and operational achievement.
- ❖ **Enhancement of Service Gift and Superannuation Gift Amounts:** Revised recognition framework was implemented w.e.f. August 14, 2025 to honour Employee dedication and service.
- ❖ **Enhanced Ceilings for Communication Facilities including Purchase of Mobile Instruments for Officers:** Enhanced and unified ceilings for

communication facilities were introduced w.e.f. November 1, 2025, providing Officers with improved reimbursement limits for purchase of mobile instruments and communication expenses.

- ❖ **Separation Settlement Grant for Superannuating Employees:** Provisions governing separation settlement were modified effective January 1, 2026 to assist employees and their families during transition upon separation and streamline settlement procedures. A Separation Settlement Grant equivalent to one month's Basic Pay has been introduced, applicable for employees separating through Superannuation, Voluntary Retirement, Optional Retirement, Premature Retirement, Medical Termination, and Death while in Service.

14. HAL MANAGEMENT ACADEMY (HMA)

During the year, HMA conducted 196 programs covering 3,883 Officers. Some of the initiatives undertaken in training/ development programme during the year, are as under:

- (i) **Sponsorship for Higher Education:** A batch of 05 Officers were sponsored for Online M.Tech (Aerospace Engineering) Course at IIT Madras.
- (ii) **Technical and Specialized Programs:** In order to address urgent skill development requirements in specific divisions, 75 Nos. of additional technical training programs were conducted.
- (iii) **Certification Programs:** Certification programs such as Business Law & Contracts Management by NLSIU, Digital Transformation through AI / ML by IIT-Mumbai, Public Procurement Certification Program by ASCI, were conducted, to enhance capability building of the executives.
- (iv) **Conducted Training/ Program on Project and Contracts Management, Customer Centricity and Marketing mindsets modules, Small Satellite Launch Vehicle, Industry 4.0 & Digital Technologies, Leadership Development Program (LDP-7), MOOC (Massive Open Online Courses) Programs.**
- (v) **Collaborations and MoUs:** HMA had collaborated with nine reputed Institutes such as IIIT-Dharwad, IIT-Kanpur, IIT-Kharagpur, IIT-Mumbai, IIT-Gandhinagar, DIAT, Pune, IIT-Madras, IIST and CMTI for various sessions on technical subjects. Also, collaborations have been made with Institutes such as NLSIU, IIM-Ahmedabad, IIM-Jammu, ASCI, IIM-Lucknow, PMA, IOD, ISI for techno-managerial capability development of HAL officers.



15. SKILL DEVELOPMENT

During the year, the Company has undertaken the following initiatives for skill development:

- ❖ **Critical Skill Transfer (CST):** 54 CST projects were completed under which the critical skills are captured and documented from the highly skilled employees and then transferred to others.
- ❖ 200 employees have undergone Skill Development Training on Advanced Manufacturing including Industry 4.0 Technologies at Central Manufacturing Technology Institute (CMTI), Bengaluru.
- ❖ 58 employees have undergone training on Multi-skilling/Reskilling.
- ❖ Under Skill India Mission, the Company have engaged around 3,882 Apprentices in various Trades.
- ❖ **Prime Minister Internship Scheme (PMIS):** The Company has implemented Prime Minister Internship Scheme (PMIS). During the year, 1,311 opportunities were identified against 175 job-roles across the Company. Further, the Company has set a target for issuance of 1,000 offer letters for the financial year 2025-26 under PMIS and issued 1,047 offer letters to eligible interns upon selection.

16. MANPOWER

Total Employees as on March 31, 2026	Officers	Workmen		Total Workmen
		Direct	Indirect	
23,502	7,331	10,698	5,473	16,171

17. ENVIRONMENT PROTECTION & CONSERVATION

Various Divisions of the Company located at Bangalore, Nasik, Koraput, Hyderabad, Lucknow, Kanpur, Korwa, Kasaragod and Barrackpore have taken measures towards Environment Protection and Conservation, governed by various Acts and Rules like the Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016, Solid Waste Management Rules, 2016, The Air (Prevention and Control of Pollution) Act, 1981, Environment (Protection) Act, 1986, Water (Prevention and Control of Pollution) Act, 1974, etc. All the Divisions are ISO 14001 certified and comply with the rules prescribed by respective State Pollution Control Boards. All emissions and waste generation are monitored as prescribed by the respective Pollution Control Boards.

Various measures taken by the Company for environment protection and conservations are as under:

Non-hazardous Waste Management:

Municipal Solid Waste (MSW) generated from Townships and Factories is segregated at source in Townships and Factories. Through the process of Vermi-Composting, the Bio-degradable waste comprising of domestic waste and horticulture waste is being converted to manure. For better utilization of bio-degradable waste generated from HAL Estates, the Company has installed Solid Waste Management Units like Organic Waste Converters and Bio Gas Plants at select locations. Metal scrap is stored in designated areas and disposed periodically through MSTC. The Company has taken an initiative towards recycling and reusing the waste paper generated from various offices of HAL, Bangalore by setting up a Waste Paper Recycling Unit (75kg / day). Various products made from the unit include Writing Pads, Visiting Cards, Bags, Files, Folders, etc.

Hazardous Waste Management

Effluents: The Divisions which generate hazardous effluents such as chrome, acid/alkali, cyanide etc are having independent Effluent Treatment Plants (ETPs). Effluent samples after treatment are periodically checked in the Laboratories. The sludge from the ETPs is disposed through Agencies authorized by Pollution Control Boards. The waste water discharged from the ETPs is tested and further treated in Sewage Treatment Plants (STPs) if meeting the norms. The water processed in the STPs is being used for horticulture purposes within the Divisions and no waste water is discharged outside the premises. The sludge generated from the STPs is converted into manure and reused or disposed through authorized agencies.

E-Waste: The Company, as part of its operations, generates e-waste from old Electrical and Electronics Systems such as LRUs, Avionics Control / Test Systems, Electronics Items in Plant & Machinery, Computer Systems (IT) and Communication Systems, which needs to be disposed after their life expiry or damage. Apart from production activities, e-waste is also generated in Townships which is segregated and collected at source. The e-waste generated & collected is stored in designated areas (under cover) and auctioned through MSTC Limited (Central PSU) for disposal through authorized Dismantlers / Recyclers / Refurbishers.

Used Oil/Lubricants: Used Oil and Lubricants produced during testing, maintenance / overhauling of equipment, vehicles and machinery is collected at source in leak proof containers. The same is stored safely in demarcated areas inside salvage yards and handed over to recyclers authorized by the respective Pollution Control Boards, through MSTC.



Plastic: Most of the Divisions have taken initiatives towards banning of Plastics Bags / Articles and declaring 'No-Plastics' Zones. The Non-bio-degradable waste like polythene etc., is being collected and sent to recycling agencies, as per Rules.

Other Hazardous wastes such as bio-medical waste, composite waste etc. are collected, stored and disposed through authorized agencies as per respective Pollution Control Board norms.

Rain Water Harvesting (RWH):

The Company has installed Rain Water Harvesting (RWH) systems at all its locations. The harvested water is either used for ground water recharge or stored and used for gardening. Rain Water Harvesting Systems are made compulsory in all new Buildings.

Air emissions:

The emissions from process stacks and Diesel Generators are periodically monitored for compliance with the limits prescribed by Pollution Control Board.

Renewable Energy (RE):

During the year, 200 KW capacity roof top solar power plants have been installed at various locations of the Company. The Company has installed a cumulative capacity of 50.15 MW capacity Renewable Energy plants, out of which, 14.7 MW is from wind and balance from solar (ground & roof top). The Company has also procured Green power to the tune of 140 Lakh KWh from DISCOMS. The Company has met around 40% of its electricity requirement from RE sources in FY 2025-26.

The Renewable Energy consumption has avoided around 71000 Tons of CO₂e emissions in the reporting year thereby contributing to the mitigation of climate change.



Corporate Governance Report

1. COMPANY'S PHILOSOPHY AND CODE OF GOVERNANCE

Your Company's philosophy on Corporate Governance is founded upon a rich legacy of fair, ethical and transparent governance practices, by adopting the highest standards of professionalism, honesty, integrity, accountability, timely, adequate and accurate disclosures, compliances, and ethical behaviour. The Company is committed for delivering sustainable value to stakeholders by adhering to the highest standards of ethical and responsible business conduct. The Company seeks to protect and facilitate the exercise of the right by the shareholders, provide timely, adequate and accurate information to them and ensure equitable treatment to all shareholders. Our corporate structure, business and disclosure practise have been aligned to our Corporate Governance Philosophy.

As a leading Defence Central Public Sector Enterprise (CPSE) in India, the Company places an utmost importance on fostering a culture of corporate governance that aligns with statutory requirements and global best practices.

Your Company being a Listed CPSE, adheres to Corporate Governance requirements for listed entity enunciated by Companies Act, 2013, SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations") and Department of Public Enterprises (DPE) Guidelines.

2. BOARD OF DIRECTORS

The Board of Directors headed by the Executive Chairman and Managing Director (CMD) is the apex body which oversees the overall functioning of the Company. The Board provides long-term vision, strategic thinking, major plans of action, setting performance objectives, monitoring the performance of the Company with the objective of creating long-term value for the various stakeholders and the Company. The Board has constituted various Sub-Committees with specific terms of reference to facilitate for smooth and efficient decision-making process.

The sanctioned strength of Board of Directors of the Company comprises of five Whole-time/Functional Directors including CMD, two Government Nominee Directors and seven Independent Directors.

As on March 31, 2026, the Board of Directors of the Company comprised of five Whole-time/Functional Directors including CMD, two Government Nominee Directors and two Independent Directors.

Your Company being a Government Company, all the Directors are appointed by the President of India, through Administrative Ministry. As on March 31, 2026, the position of 5 independent directors including one-woman independent director were lying vacant.

Directors of the Company are not *inter-se* related to each other.

(a) Composition and Category of Directors

As on March 31, 2026, the composition of the Board of Directors of the Company was as under:

Sl. No.	Name of Director	DIN
Whole-time / Functional Directors (Executive)		
1	Dr. D K Sunil Chairman and Managing Director	09639264
2	Dr. Barenia Senapati Director (Finance) & CFO	08525943
3	Shri Ravi K Director (Operations)	10807781
4	Shri M.G. Balasubrahmanya Director (Human Resources)	11048733
5	Shri Ajay Kumar Shrivastava Director (Engineering and R&D)	10652075
Government Nominee Directors (Non-Executive)		
1	Ms. Manisha Chandra Joint Secretary (Aero), MoD	07557312
2	Dr. Rajalakshmi Menon Distinguished Scientist & DG (AS), DRDO	10776165
Independent Director (Non-Executive)		
1	CA Rakesh Bhawsar	11102892
2	Dr. S.D. Premkumar	11103113



(b) Meeting and attendance of Directors and their Committee details:

Sl. No	Name of Director	Board Meeting held during respective tenure of Director	No. of Meetings attended	Attendance at the 62 nd AGM	No. of other Directorship	Name of other listed entity in which Directorship held & category	No. of Committee memberships across all Companies #	
							Chairman	Member
Whole-time/ Functional Director (Executive)								
1	Dr. D K Sunil	10	10	Yes	2	Nil	Nil	Nil
2	Dr. Barenya Senapati	10	10	Yes	Nil	Nil	Nil	2
3	Shri Ravi K	10	10	Yes	1	Nil	Nil	Nil
4	Shri M G Balasubrahmanya*	9	9	Yes	1	Nil	Nil	1
5	Shri Ajay Kumar Shrivastava*	7	7	Yes	1	Nil	Nil	Nil
Government Nominee Director (Non-Executive)								
6	Shri Shalabh Tyagi*	2	1	NA	NA	NA	NA	NA
7	Shri Amit Satija*	1	1	NA	NA	NA	NA	NA
8	Ms. Manisha Chandra*	7	7	No	1	Nil	Nil	Nil
9	Dr. Rajalakshmi Menon	10	5	Yes	Nil	Nil	Nil	Nil
Independent Director (Non-Executive)								
10	Shri Deepak Abasaheb Shinde*	1	1	NA	NA	NA	NA	NA
11	CA Rakesh Bhawsar*	8	8	Yes	1	Jash Engineering Ltd – Independent Director	1	2
12	Dr. S D Premkumar*	8	8	Yes	Nil	Nil	1	2

NA – Not Applicable

* In accordance with Regulation 26 of the Listing Regulations, Membership/Chairpersonship of only Audit Committee and Stakeholders' Relationship Committee have been considered.

***Notes:**

- ❖ Shri M G Balasubrahmanya appointed as Director (HR) w.e.f. May 6, 2025.
- ❖ Shri Ajay Kumar Shrivastava appointed as Director (Engineering and R&D) w.e.f. July 15, 2025.
- ❖ Shri Shalabh Tyagi ceased as Government Nominee Director due to withdrawal of nomination w.e.f. May 21, 2025.
- ❖ Shri Amit Satija appointed as Government Nominee Director w.e.f. May 21, 2025 and ceased as Government Nominee Director due to withdrawal of nomination w.e.f. July 15, 2025.
- ❖ Ms. Manisha Chandra appointed as Government Nominee Director w.e.f. July 15, 2025.
- ❖ Shri Deepak Abasaheb Shinde ceased as Independent Director on completion of his tenure w.e.f. April 27, 2025.
- ❖ CA Rakesh Bhawsar appointed as Independent Director w.e.f. May 15, 2025.
- ❖ Dr S. D. Premkumar appointed as Independent Director w.e.f. May 15, 2025.



Notes:

- i) None of the Directors is a member of more than 10 Committees or Chairman of more than 5 Committees, across all the Companies in which he is a director;
- ii) None of the Directors serves as a director in more than 7 listed Companies;
- iii) As on March 31, 2026, Shri M.G. Balasubrahmanya is holding 216 equity shares and Ms. Manisha Chandra is holding 20 equity shares in the Company. No other Director is holding any share of the Company.
- iv) The Directorships / Committee Memberships in other companies are based on the latest disclosure received from respective Directors.

(c) Meetings of the Board of Directors

During the year, 10 (Ten) Board Meetings were held. The details are as under:

Sl. No.	Date of Board Meeting	Sl. No.	Date of Board Meeting
1	April 17, 2025	6	October 16, 2025
2	May 14, 2025	7	November 12, 2025
3	June 27, 2025	8	December 22, 2025
4	August 12, 2025	9	February 12, 2026
5	September 19, 2025	10	March 25, 2026

(d) Web-link of familiarisation programmes imparted to Independent Directors

In order to familiarise the Independent Directors with their roles, rights, responsibilities, business model, nature of the industry in which the Company operates, various policies and processes etc., the Company undertakes / facilitates various familiarisation programmes from time to time.

The details of the familiarisation programs imparted to Independent Directors are hosted on the website of the Company at <https://hal-india.co.in/backend/wp-content/uploads/2025/08/Familiarization-programmes-imparted-to-Independent-Directors-1.pdf>

(e) Skills/ Expertise/ Competence of the Board

Being a Government Company, all the Directors viz., Functional Directors, Government Nominee Directors and Independent Directors are appointed / re-appointed by the President of India through the Administrative Ministry. The skills /expertise/ competency of the Directors as required in the context of the business of the Company are identified by the Government of India and accordingly, the selection of Directors on the Board of the Company is made by the Government as per the well-defined procedure.

The Board of the Company comprises of qualified members who bring in the required skills, competence and expertise that allow them to make effective contribution in the proceedings of the Board and its Sub-committees.

The desirable qualification and experience of the whole-time Director are set as per the requirement of functional areas i.e. Finance, Operations, Human Resource, Engineering and Research & Development. At the time of recruitment of the Functional Directors, job description, desirable qualifications & experience of candidates are sent to the Public Enterprises Selection Board through the Administrative Ministry for announcement of vacancy and recruitment of candidates.

3. AUDIT COMMITTEE

(a) **Terms of Reference:** The Terms of Reference of the Audit Committee are provided on the website of the Company www.hal-india.co.in

(b) **No. of Meetings:** During the year, 7 (Seven) Meetings of the Committee were held. The details are as under:

Sl. No.	Date of Board Meeting	Sl. No.	Date of Board Meeting
1	June 27, 2025	5	December 22, 2025
2	August 12, 2025	6	February 12, 2026
3	September 20, 2025	7	March 25, 2026
4	November 12, 2025		



(c) Composition of the Committee as on March 31, 2026 and Meetings attended by each member:

Sl. No.	Name of Member	Category	Position	Meeting	
				Held during the tenure of respective member	Attended
1	Shri Deepak Abasaheb Shinde	Independent Director	Member & Chairman till 27.04.2025	-	-
2	CA Rakesh Bhawsar	Independent Director	Chairman w.e.f. 02.06.2025	7	7
3	Dr. S D Premkumar	Independent Director	Member w.e.f. 02.06.2025	7	7
4	Dr. Barenya Senapati	Director (Finance) & CFO	Member	7	7

Director (Operations) of the Company is the permanent invitee to the Committee.

The Company Secretary of the Company is the Secretary to the Committee.

During the year, the Committee was not in valid constitution till June 1, 2025. However, on appointment of requisite number of Independent Directors, the Committee was reconstituted w.e.f. June 2, 2025.

4. NOMINATION & REMUNERATION COMMITTEE (NRC)

(a) Terms of Reference: The Terms of Reference of the Nomination & Remuneration Committee are provided on the website of the Company www.hal-india.co.in

The appointment/ remuneration and other matters in respect of Directors, Key Managerial Personnel (KMP) and Officers at the level of General Manager & above are governed by the Policies and Procedures framed by the Company in line with the Government Guidelines.

(b) No. of Meetings: During the year, 6 (Six) meetings of the Committee were held. The details are as under.

Sl. No.	Date of Board Meeting	Sl. No.	Date of Board Meeting
1	June 27, 2025	4	December 22, 2025
2	September 19, 2025	5	January 29, 2026
3	November 12, 2025	6	March 25, 2026

(c) Composition of the Committee as on March 31, 2026 and Meetings attended by each member:

Sl. No.	Name of Member	Category	Position	Meeting	
				Held	Attended
1	Shri Deepak Abasaheb Shinde	Independent Director	Member and Chairman till 27.04.2025	-	-
2	Shri Shalabh Tyagi	Government Nominee Director	Member till 21.05.2025	-	-
3	CA Rakesh Bhawsar	Independent Director	Chairman w.e.f. 02.06.2025	6	6
4	Dr. S D Premkumar	Independent Director	Member w.e.f. 02.06.2025	6	6
5	Dr. Rajalakshmi Menon	Government Nominee Director	Member w.e.f. 02.06.2025	6	5



Director (Finance) and Director (HR) of the Company are the permanent invitees to the Committee.

The Company Secretary of the Company is the Secretary to the Committee.

During the year, the Committee was not in valid constitution till June 1, 2025. However, on appointment of requisite number of Independent Directors, the Committee was reconstituted w.e.f. June 2, 2025.

- (d) Performance evaluation of Independent Directors are made based on their contribution in decision-making during meetings of Board and its Sub-committees.

5. STAKEHOLDERS RELATIONSHIP COMMITTEE (SRC)

- (a) **Terms of Reference:** The Terms of Reference of the Stakeholders Relationship Committee are provided on the website of the Company www.hal-india.co.in

- (b) **No. of Meetings:** During the year, One (1) meeting of the Committee was held on September 19, 2025.

- (c) **Composition of the Committee as on March 31, 2026 and Meetings attended by each member:**

Sl. No.	Name of Member	Category	Position	Meeting	
				Held	Attended
1	Dr. Rajalakshmi Menon	Govt Nominee Director	Member & Chairperson till 02.06.2025	-	-
2	Dr. S D Premkumar	Independent Director	Chairman w.e.f. 02.06.2025	1	1
3	Shri Deepak Abasaheb Shinde	Independent Director	Member till 27.04.2025	-	-
4	Dr. Barenja Senapati	Director (Finance) & CFO	Member	1	1
5	Shri M G Balasubrahmanya	Director (HR)	Member w.e.f. 02.06.2025	1	1

The Company Secretary of the Company is the Secretary of the Committee.

During the year, the Committee was not in valid constitution from April 28, 2025 till June 1, 2025. However, on appointment of requisite number of Independent Directors, the Committee was reconstituted w.e.f. June 2, 2025.

- (d) **Name and Designation of Compliance Officer:**

Shri Shailesh Bansal,
Company Secretary & Compliance Officer,
Hindustan Aeronautics Limited,
15/1, Cubbon Road, Bengaluru – 560 001, Karnataka.
Phone: (080) 2232 0001
Email: investors@hal-india.co.in

- (e) **Details of Shareholders' complaints received and redressed:**

- ❖ Number of shareholders' complaints pending as on April 1, 2025: **20**
- ❖ Number of shareholders' complaints received during the year: **535**
- ❖ Number of shareholders' complaints resolved during the year: **550**
- ❖ Number of pending complaints as on March 31, 2026: **5**



6. CSR & SUSTAINABLE DEVELOPMENT COMMITTEE (CSR & SD)

(a) **Terms of Reference:** The Terms of Reference of the CSR & SD Committee are provided on the website of the Company www.hal-india.co.in

(b) **No. of Meetings:** During the year, 5 (Five) meetings of the Committee were held. The details are as under:

Sl. No.	Date of Board Meeting	Sl. No.	Date of Board Meeting
1	April 17, 2025	4	November 25, 2025
2	June 27, 2025	5	March 25, 2026
3	November 12, 2025		

(c) **Composition of the Committee as on March 31, 2026 and Meetings attended by each member:**

Sl. No.	Name of Member	Category	Position	Meeting	
				Held	Attended
1	Dr. D K Sunil*	Chairman and Managing Director	Chairman till 06.05.2025	1	1
2	Shri M G Balasubrahmanya	Director (HR)	Chairman w.e.f. 06.05.2025	4	4
3	Shri Deepak Abasaheb Shinde	Independent Director	Member till 27.04.2025	1	1
4	Shri Ravi K	Director (Operations)	Member till 02.06.2025	1	1
5	Dr S D Premkumar	Independent Director	Member w.e.f. 02.06.2025	4	4
6	Dr. Barenia Senapati	Director (Finance) & CFO	Member	5	5

*Notes:

❖ Dr. D K Sunil was the Chairman of the Committee from March 1, 2025 to May 6, 2025 by virtue of holding additional charge of Director (HR).

All CEOs of the Complexes, Head of Corporate Finance and Head of Corporate CSR are the permanent invitees to the Committee.

The Company Secretary of the Company is the Secretary of the Committee.

During the year, the Committee was not in valid constitution from April 28, 2025 till June 1, 2025. However, on appointment of requisite number of Independent Directors, the Committee was reconstituted w.e.f. June 2, 2025.

7. RISK MANAGEMENT COMMITTEE

(a) **Terms of Reference:** The Terms of Reference of the Risk Management Committee are provided on the website of the Company www.hal-india.co.in

(b) **No. of Meetings:** During the year, 2 (Two) meeting of the Committee were held on September 17, 2025 and March 25, 2026.



(c) Composition of the Committee as on March 31, 2026 and Meetings attended by each member:

Sl. No.	Name of Member	Category	Position	Meeting	
				Held	Attended
1	Dr. D K Sunil*	Chairman and Managing Director	Chairman till 02.06.2025 and member till 15.07.2025	-	-
2	Shri Ravi K	Director (Operations)	Chairman w.e.f 02.06.2025	2	2
3	Shri Deepak Abasaheb Shinde	Independent Director	Member till 27.04.2025	-	-
4	Shri M G Balasubrahmanya	Director (HR)	Member from 06.05.2025 till 02.06.2025	-	-
5	Dr. Barenia Senapati	Director (Finance) & CFO	Member	2	2
6	CA Rakesh Bhawsar	Independent Director	Member w.e.f. 02.06.2025	2	2
7	Shri Ajay Kumar Shrivastava	Director (Engg. and R&D)	Member w.e.f. 15.07.2025	2	2

***Notes:**

- ❖ Dr. D. K. Sunil was the Chairman of the Committee till 02.06.2025 by virtue of holding additional charge of Director (Engg. and R&D). After re-constitution of the Committee on 02.06.2025, he continued to be a member of the Committee by virtue of holding addl. charge of Director (HR) till 06.05.2025 and Director (Engg. and R&D) till 15.07.2025.

All CEOs of the Complexes and General Manager (Joint Venture) are the permanent invitees to the Committee.

The Company Secretary of the Company is the Secretary of the Committee.

During the year, the Committee was not in valid constitution from April 28, 2025 till June 1, 2025. However, on appointment of requisite number of Independent Directors, the Committee was reconstituted w.e.f. June 2, 2025.

8. OTHER COMMITTEES OF THE BOARD

Apart from the statutory committees, the Board also have Management Committee, Technology & Design Policy Committee and Procurement Committee for smooth operations of the Company.

9. SENIOR MANAGEMENT PERSONNEL

Particulars of Senior Management Personnel including the changes therein since the close of the previous financial year:

Sl. No.	Name	Designation	Changes during the year
1	Shri M G Balasubrahmanya	Executive Director (HR)	Till May 6, 2025 i.e., the date of his appointment as Director (HR)
2	Shri S Anbuvelan	Chief Executive Officer, HC	Superannuated on 30.06.2025
3	Shri Saket Chaturvedi	Chief Executive Officer, MC	Superannuated on 31.03.2026
4	Shri Jayakrishnan S	Chief Executive Officer, BC	-
5	Shri M. Satyanarayana	Chief Executive Officer, AC	-
6	Shri Ranga Rao P B	Chief Executive Officer, HC	-



Sl. No.	Name	Designation	Changes during the year
7	Shri Sriram R	Executive Director (Finance)	-
8	Shri Pradeep Kumar	Executive Director (HR)	-
9	Shri Sunil Bhati	Executive Director (COORD)	-
10	Shri Sandip Barman	General Manager (MS & IT)	-
11	Shri Venkatesh K T	General Manager (Finance)	-
12	Shri Mallikarjuna Rao P	General Manager (IMM)	Superannuated on 31.08.2025.
13	Shri Shantanu Chakraborty	General Manager (Finance)	-
14	Shri Puneet Kumar	General Manager (CS&QA)	-
15	Ms Madhurambal A	General Manager (Systems Audit)	-
16	Shri Suji Abraham	General Manager (Plg.)	-
17	Shri V K Koila	General Manager (IMM & OS)	Appointment w.e.f. 01.07.2025
18	Shri Prabhat Ranjan	General Manager (JV)	Appointment w.e.f. 01.07.2025
19	Ms Isabella Molly F	General Manager (HR)	Appointment w.e.f. 01.07.2025
20	Shri Shailesh Bansal	Company Secretary & Compliance Officer	-

Note: Disclosure of Senior Management and changes therein are made in line with the existing Code of Conduct of the Company.

10. REMUNERATION OF DIRECTORS

Being a Government Company, the remuneration, benefits and Performance Related Pay (PRP) of Functional Directors of the Company are as per extant DPE Guidelines. Ministry of Corporate Affairs (MCA) vide Notification No. G.S.R. 463 (E) dated June 5, 2015 has exempted Government Companies from formulating policy relating to remuneration of Directors required under Section 178 of the Companies Act.

The details of remuneration paid to Functional Directors during the year, were as follows:

(₹ in Lakh)

Sl. No.	Name of Directors	Salaries & Allowances	Performance Linked Incentives	Other Benefits & Perquisites	Total Salaries, Allowances and Perquisites as per Section 17(1) & (2) of the Income Tax Act, 1961
1	Dr. D K Sunil	47.34	22.17	12.33	81.84
2	Dr. Barenaya Senapati	39.68	15.50	9.42	64.60
3	Shri Ravi K	46.22	13.12	4.37	63.71
4	Shri M G Balasubrahmanya	50.85	16.67	5.77	73.29
5	Shri Ajay Kumar Shrivastava	40.87	16.44	9.70	67.01

Government Nominee Directors (Part-time Official Directors) are not entitled to any remuneration / sitting fees.

Independent Directors (Part-Time Non-Official Directors) are paid a sitting fee of ₹ 40,000/- per meeting of the Board and ₹ 30,000/- per Committee meeting of the Board, as approved by the Board.



During the year, sitting fee paid to the Independent Directors for attending the meetings of the Board and Committees were as follows:

(₹ in Lakh)

Sl. No.	Name of Independent Director	Board Meetings	Committee Meetings	Total Sitting Fees
1	Shri Deepak Abasaheb Shinde	0.40	0.30	0.70
2	CA Rakesh Bhawsar	3.20	4.80	8.00
3	Dr. S D Premkumar	3.20	5.70	8.90

The Company does not pay any commission to its directors. The Company has not issued any stock options to its directors. Apart from receiving the sitting fee and reimbursement of expenses incurred by Independent Directors for discharge of their duties, none of the Non-Executive Directors had any pecuniary relationship or transactions with the Company during FY 2025-26.

11. INDEPENDENT DIRECTORS' MEETING

The Independent Directors reviewed the performance of the Functional/ Whole-time Directors and the Board as a whole in separate meetings of Independent Directors held on December 23, 2025.

12. DECLARATION FROM INDEPENDENT DIRECTORS

As per the provisions of the Companies Act and Listing Regulations, the Company has received necessary declaration from all the Independent Directors that they have met the criteria of independence.

Based on the declaration received from the Independent Directors, the Board has determined that, they have met the criteria of independence laid down under the provisions of the Companies Act and Listing Regulations, and are independent from the management.

13. CODE OF BUSINESS CONDUCT AND ETHICS FOR BOARD MEMBERS AND SENIOR MANAGEMENT

The Board of Directors of the Company has laid down a Code of Business Conduct and Ethics for all Board Members and Senior Management ("Code of Conduct") of the Company and the same is available on the Company's website at www.hal-india.co.in/Investors.

All members of the Board and Senior Management have confirmed their compliance with the Code of Conduct for the year under review. A declaration signed by the Chairman & Managing Director in this regard is appended to this Report.

14. COMPLAINTS PERTAINING TO SEXUAL HARASSMENT

Details of complaints pertaining to Sexual Harassment have been provided in the Board's Report.

15. INSIDER TRADING POLICY

In pursuance of SEBI (Prohibition of Insider Trading) Regulations, 2015, the Company has Insider Trading Policy for dealing in securities of the Company by insiders and the same is available on the Company's website www.hal-india.co.in/Investors

The Policy is framed to ensure that, insiders do not derive any benefit or assist others to derive any benefit from access to and possession of unpublished price sensitive information related to the Company.

The Company is maintaining Structural Digital Database (SDD) for capturing the Unpublished Price Sensitive Information (UPSI).

16. CEO/CFO CERTIFICATION

As required under Regulation 17(8) of Listing Regulations and DPE Guidelines, CEO/CFO Certificate on the Financial Statements and Internal Controls relating to financial reporting for the financial year 2025-26, as submitted to the Board, forms part of this Report.



17. SHAREHOLDING PATTERN AS ON MARCH 31, 2026

Sl. No.	Category	Number of shareholders	Number of shares held	% of total holding
1	President of India	1	47,91,02,424	71.64
2	Mutual Funds	300	3,88,52,195	5.81
3	Alternative Investment Fund	23	5,58,320	0.08
4	Banks	9	1,95,470	0.03
5	Qualified Institutional Buyer	124	3,06,24,112	4.58
6	NBFC	9	5,350	0.00
7	Foreign Portfolio Investors	3	1,852	0.00
8	Foreign Portfolio - Corp	752	6,82,45,314	10.21
9	Resident Individuals	12,84,194	4,48,48,017	6.71
10	Non-Resident Indian Non-Repatriable	11,444	8,50,335	0.13
11	Non-Resident Indians Repatriable	12,518	13,51,767	0.20
12	Foreign Nationals	3	38	0.00
13	Bodies Corporates	3,625	24,87,802	0.37
14	HUF	16,958	14,37,434	0.21
15	Trusts	51	46,299	0.01
16	Clearing Members	12	1,67,039	0.02
17	Directors and Their Relatives	2	236	0.00
18	IEPF Authority	1	996	0.00
Total		13,30,029	66,87,75,000	100.00

17.1 Top 10 Shareholders as on March 31, 2026 (PAN based)

Sl. No.	Name	Number of shares held	% of total holding
1	President Of India	47,91,02,424	71.64
2	Life Insurance Corporation of India	2,08,00,509	3.11
3	ICICI Prudential India Opportunities Fund	83,46,815	1.25
4	Government Of Singapore	64,50,753	0.96
5	HDFC Mutual Fund - HDFC Defence Fund	52,40,985	0.78
6	Nippon Life India Trustee Ltd A/C Nippon India NIF	47,57,708	0.71
7	NPS Trust - A/C LIC Pension Fund Scheme - State Govt.	38,62,855	0.58
8	Motilal Oswal Nifty India Defence ETF	28,81,985	0.43
9	Vanguard Total International Stock Index Fund	27,79,579	0.42
10	Vanguard Emerging Markets Stock Index Fund, A SERI	26,20,471	0.39



17.2 Distribution of Shareholding by Size as on March 31, 2026

Category	Number of Shareholders	% of Shareholders	Total Number of Shares	% of Shareholding
1-5000	13,28,847	99.91	4,68,41,171	7.00
5001- 10000	373	0.03	26,75,309	0.40
10001- 20000	222	0.02	32,10,648	0.48
20001- 30000	98	0.01	23,94,995	0.36
30001- 40000	68	0.01	23,19,304	0.35
40001- 50000	48	0.00	21,53,973	0.32
50001- 100000	128	0.01	91,82,025	1.37
100001 & Above	245	0.02	59,99,97,575	89.72
Total:	13,30,029	100.00	66,87,75,000	100.00

18. GENERAL BODY MEETINGS

(a) Details of the last three Annual General Meetings are as follows:

Meeting No.	Financial Year	Venue	Date & Time
60 th	2022-23	Through Video Conferencing (VC) from Hindustan Aeronautics Limited, Corporate Office, 15/1, Cubbon Road, Bengaluru-560001	August 31, 2023 at 1500 Hrs.
61 st	2023-24	Through Video Conferencing (VC) from Hindustan Aeronautics Limited, Corporate Office, 15/1, Cubbon Road, Bengaluru-560001	August 28, 2024 at 1500 Hrs.
62 nd	2024-25	Through Video Conferencing (VC) from Hindustan Aeronautics Limited, Corporate Office, 15/1, Cubbon Road, Bengaluru-560001	August 28, 2025 at 1530 Hrs.

(b) Special Resolutions:

- No Special Resolution was put up during 60th and 61st Annual General Meeting.
- During the 62nd Annual General Meeting, two special resolutions were passed w.r.t. Appointment of CA Rakesh Bhawsar and Dr. S.D. Premkumar as Part-Time Non-Official (Independent) Directors of the Company.

(c) No Special Resolution was passed last year through postal ballot.

(d) No Special Resolution is proposed to be passed through postal ballot.

19. MEANS OF COMMUNICATION

(a) **Quarterly / Annual Results:** The Company regularly updates its audited financial results with the Stock Exchanges, in compliance with the Listing Regulations. These financial results are generally published in at least one leading English newspaper having wide circulation across the Country, in one Kannada newspaper having wide circulation across the region and one Hindi newspaper. The results are also made available on the Company's website.

(b) **News Release, Presentation etc.:** The relevant official news releases, detailed presentations, if any, made to institutional investors and financial analysts etc. are posted on the website of the Stock Exchanges and displayed on the Company's website www.hal-india.co.in

(c) **Website:** The Company's website www.hal-india.co.in contains separate section "Investors" where information for shareholders is made available as per Listing Regulations.



- (d) **Annual Report:** Annual Report containing Financial Statements, Auditors' Report, Board's Report, Management Discussion and Analysis Report (MDAR), Corporate Governance Report and Business Responsibility and Sustainability Report and other important information is circulated through electronic mode to the members and others entitled thereto, in-line with the relevant circulars issued by MCA & SEBI from time to time.

20. SHAREHOLDERS' INFORMATION

(a) Annual General Meeting

In-line with the relevant circulars issued by MCA & SEBI from time to time, the 63rd Annual General Meeting of the Company for the financial year 2025-26 will be held through Video Conferencing from Hindustan Aeronautics Limited, Corporate Office, 15/1, Cubbon Road, Bengaluru-560001, as per the following details:

Date	Friday, August 28, 2026
Time	03.30 P.M. (IST)

(b) Financial Calendar

The financial calendar to approve quarterly/ annual audited financial results for the financial year 2026-27 is as under:

Approval of quarterly/ annual audited financial results	Tentative date of the Meeting of the Board
June 30, 2026	On or before August 14, 2026
September 30, 2026	On or before November 14, 2026
December 31, 2026	On or before February 14, 2027
March 31, 2027	On or before May 30, 2027

(c) Dividend Payment date

During the year, your Company has paid Final Dividend of ₹ 15/- per equity share for the financial year 2024-25 on September 9, 2025. Further for FY 2025-26, the 1st Interim Dividend of ₹ 35/- per equity share was paid on February 27, 2026. The Final Dividend for the FY 2025-26, if approved, will be paid within 30 days from the date of AGM.

(d) Listing on Stock Exchanges

The equity shares of the Company are listed on the following Stock Exchanges:

BSE Ltd. P.J. Towers, Dalal Street, Fort, Mumbai-400001	National Stock Exchange of India Ltd. (NSE) Exchange Plaza, C-1, G Block, Bandra-Kurla Complex, Bandra (E), Mumbai-400051
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The annual listing fees for the financial year 2025-26, as applicable, have been paid to the Stock Exchanges.

(e) Custody/ Issuer charges to Depositories

The Company has paid custody/ issuer charges for the financial year 2025-26 to the National Securities Depository Limited (NSDL) and the Central Depository Services (India) Limited (CDSL).

(f) Registrar to an issue and Share Transfer Agent

KFin Technologies Ltd.
(Formerly known as KFin Technologies Pvt Ltd.)
"Selenium Tower B", Plot No. 31 & 32,
Financial District, Nanakramguda,
Serilingampally Mandal, Hyderabad-500032
Telangana
Toll free number: 1800 309 4001
Email: einward.ris@kfintech.com
Website: <https://www.kfintech.com> and/ or <https://ris.kfintech.com>



(g) Share transfer system

The shares of the Company are traded in dematerialised form. The Company has constituted a Share Transfer Committee comprising of Director (Finance), Director (Operations) and Company Secretary for approving requests related to Dematerialization/ Rematerialization/ Transfer/ Transmission/ Splitting/ Consolidation/ Reissue of share certificates etc. received from shareholders from time to time.

(h) Dematerialisation of shares and liquidity

As on March 31, 2026, all the equity shares of the Company are held in dematerialised form with NSDL and CDSL. The details are as under:

Sl. No.	Description	No. of Shareholders	No. of Shares	% of Equity
1	NSDL	3,80,397	64,12,74,579	95.89
2	CDSL	9,49,632	2,75,00,421	4.11
	Total	13,30,029	66,87,75,000	100

(i) Commodity price risk or foreign exchange risk and hedging activities

Relevant information in this regard is given in Clause No. 33(a) of Note 49 to the Financial Statements provided in this Annual Report.

(j) Registered / Corporate Office / Correspondence Address and Division / Plant Locations:

(a) Registered / Corporate Office / Correspondence Address:

Hindustan Aeronautics Limited
15/1, Cubbon Road, Bengaluru – 560 001, Karnataka
Phone: (080) 2232 0001
Email: cosec@hal-india.co.in
website: www.hal-india.co.in

(b) Divisions:

Aircraft Division, Bengaluru, Karnataka Airport Service Centre Bengaluru, Karnataka	Helicopter Division, Tumakuru, Karnataka	Engine Division, Koraput, Odisha
LCA Tejas Division Bengaluru, Karnataka	Helicopter MRO Division, Bengaluru, Karnataka	Sukhoi Engine Division, Koraput, Odisha
Engine Division, Bengaluru, Karnataka	Aerospace Composites Division, Bengaluru, Karnataka	Transport Aircraft Division, Kanpur, Uttar Pradesh
Overhaul Division, Bengaluru, Karnataka	Barrackpore Division, Barrackpore, West Bengal	Accessories Division, Lucknow, Uttar Pradesh
Aerospace Division, Bengaluru, Karnataka	Aircraft Manufacturing Division, Nashik, Maharashtra	Avionics Division, Korwa, Uttar Pradesh
Foundry and Forge Division, Bengaluru, Karnataka	Aircraft Overhaul Division, Nashik, Maharashtra	Avionics Division, Hyderabad, Telangana Strategic Electronic Factory, Kasargod, Kerala (Branch Factory of Avionics Division Hyderabad)
Helicopter Division, Bengaluru, Karnataka	Facilities Management Division, Bengaluru, Karnataka	



(c) R & D Centres:

Aircraft Research and Design Centre (ARDC), Bengaluru, Karnataka	Transport Aircraft R&D Centre, (TARDC) Kanpur, Uttar Pradesh
Rotary Wing Research and Design Centre (RWR&DC), Bengaluru, Karnataka	Aerospace Systems & Equipment R&D Centre (ASERDC), Lucknow, Uttar Pradesh
Aero Engine R&D Centre (AERDC), Bengaluru, Karnataka	Strategic Electronics R&D Centre (SLRDC), Hyderabad, Telangana
Mission & Combat Systems R&D Centre (MCSRDC), Bengaluru, Karnataka	Aerospace Systems & Equipment R&D Centre (ASERDC), Korwa, Uttar Pradesh
Aircraft Upgrade R&D Centre (AURDC), Nashik, Maharashtra	Space Research & Design Centre (SRDC), Bengaluru, Karnataka

21. DISCLOSURE

(a) Material Related Party Transactions

During the year, there were no material related party transactions that had or may have potential conflict with the interest of the Company at large. A comprehensive Policy on Related Party Transactions (RPT) has been approved by the Board as per the Listing Regulations and Companies Act.

The details of transactions with Related Parties are disclosed in Clause No. 45A of Note No. 49 of the Notes to the Financial Statements for the year ended March 31, 2026. The Company has disclosed details of transactions with Related Parties as per the disclosure requirements of Ind AS-24 on Related Party disclosures. The Policy on Related Party Transactions of the Company may be accessed at <https://hal-india.co.in/backend/wp-content/uploads/2023/07/Policy-on-Related-Party-Transactions.pdf>

(b) Details of non-compliances on matters related to capital markets, during the last three years

The Company has received several notices from the Stock Exchanges during last 3 years for non-compliances with the provisions of the Listing Regulations with respect to Composition of Board, Quorum for Board Meeting and Composition of various Committees, due to non-appointment of requisite number of Independent Directors by the Government.

Since, the matter was beyond the control of the Company, multiple requests were made to the Government of India for filling up the vacant posts of Independent Directors.

As the Company was having only one independent director w.e.f. December 28, 2024 and no independent director w.e.f. April 28, 2025, apart from non-compliance under Regulation 17 of Listing Regulations related to composition of Board, the

Company became non-compliant under Regulation 18, 19, 20 & 21 with respect to composition of Audit Committee, Nomination & Remuneration Committee, Stakeholders Relationship Committee and Risk Management Committee, respectively.

Consequent to the appointment of two Independent Directors on May 15, 2025, the quorum for board meeting and composition of various Committees were regularised. Being the matter was beyond the control of the Company, based on the application, waiver of fines was granted to the Company against the said non-compliances.

However, since the Company is still not in compliance with respect to composition of Board of Directors, it was advised by the Stock Exchanges to apply for waiver after compliance.

Apart from that, Stock Exchanges had also imposed fines for delay in submission of voting results of 61st Annual General Meeting, irrespective of the fact that the same was submitted well within the prescribed timelines in PDF mode. However, the same was not agreed quoting the requirement of filing the same in the XBRL mode.

(c) Vigil Mechanism / Whistle Blower Policy

In terms of Regulation 22 of Listing Regulations and Section 177 of the Companies Act, to report concerns about unethical behaviour, actual or suspected fraud or violation of the Company's Code of Conduct or Ethics, the Company has formulated a Whistle Blower Policy, which is available on the Company's website www.hal-india.co.in/Investors

The Company has provided ample opportunities to encourage the employees to become whistle blowers (employees who voluntarily and confidentially want to bring the unethical practices, actual or suspected fraudulent transactions or violation of the Company's Code of Conduct or Ethics in the organization to the



notice of the competent authority for the greater interest of the organization and the Nation). The Policy also ensures the availability of robust mechanism to protect whistle blowers from any kind of harm. It is hereby affirmed that no employee has been denied access to the Chairman of Audit Committee.

(d) Details of compliance with mandatory requirements and adoption of non-mandatory requirements

Unless otherwise specified in the Report, the Company has complied with all the applicable mandatory requirements under the Listing Regulations. However, the Company has not adopted any discretionary requirements provided under Part-E of Schedule II of Listing Regulations.

(e) Policy for Determining Material Subsidiaries

A Policy for Determining Material Subsidiaries has been formulated with the approval of the Board of Directors, which may be accessed at following link: https://hal-india.co.in/backend/wp-content/uploads/2023/07/Material-Subsidiary-Policy_13.02.2025.pdf

The Company does not have any material subsidiary.

(f) Credit Rating

During the year, Credit Analysis and Research Limited (CARE) have granted to the Company a Credit Rating CARE/AAA/Stable/ for short term credit facilities of ₹ 4,00,000 Lakh and CARE A1+ for non-fund based limit of ₹2,05,000 Lakh.

Further ICRA Ltd. have granted to the Company a Credit Rating of [ICRA]AAA/Stable for short-term for fund based / cash credit amounting to ₹4,00,000 Lakh, and ICRA A1+ non-fund based limit amount to ₹2,05,000 Lakh.

Both the rating Agencies have accorded highest Rating in the respective category.

(g) Disqualification of Directors

None of the Directors was debarred / disqualified from being appointed or continuing as Director of the Company during the year, and a certificate in this regard obtained from the Company Secretary in practice forms part of this Report.

(h) Corporate Governance Compliance

The Company has duly complied with the DPE Guidelines on Corporate Governance and requirements specified in the Regulations 17 to

27 and Clause (b) to (i) of Regulation 46 (2) of Listing Regulations except to the extent that, half of the Board was not independent and no woman independent director on the Board for the whole year; Quorum requirement was not met for Board Meeting held on May 14, 2025; Audit Committee and Nomination & Remuneration Committee were not in valid constitution during the period from April 1, 2025 to June 1, 2025; Stakeholders Relationship Committee and Risk Management Committee were not in valid constitution from April 28, 2025 to June 1, 2025. The Certificate on Corporate Governance obtained from Company Secretary in Practice forms part of this Report.

(i) DPE Grading

The DPE Guidelines on Corporate Governance for the CPSEs provide that the CPSEs would be graded on the basis of their compliance with the Guidelines. The DPE has graded the Company as 'Excellent' for the financial year 2025-26.

(j) Fees paid to Statutory Auditors

Details of the total fees for all services paid by the Company and its subsidiaries, on a consolidated basis to statutory auditors during the year are given below:

(₹ In Lakh)

Particulars	Amount
Audit Fees	71
Tax Audit Fees	7
Other Services	83
Reimbursement of expenses	-

(k) Details of Unpaid Dividend as on March 31, 2026

The details of the dividend which remains unpaid as on March 31, 2026, are given below:

Financial Year	Amount (In ₹)
2018-19	2,29,324
2019-20	3,60,895
2020-21	4,94,105
2021-22	5,26,514
2022-23	7,27,952
2023-24	17,62,549
2024-25	21,19,947
2025-26	38,87,719
Total	1,01,09,004

The dividend on equity shares which remain unclaimed/ unpaid for 7 years from the date of



transfer to Unclaimed Dividend Account shall be transferred by the Company to Investor Education and Protection Fund (IEPF). The details of unclaimed/unpaid dividend have been uploaded on the website of the Company at www.hal-india.co.in/Investors/Dividend

(l) Transfer to Investor Education and Protection Fund (IEPF)

Pursuant to Sections 124 and 125 of the Act read with the Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016 (as amended), dividend, if not claimed for a period of seven years from the date of transfer to Unpaid Dividend Account of the Company, are liable to be transferred to the Investor Education and Protection Fund (IEPF). Further, all the shares in respect of which the dividend has remained unclaimed for seven consecutive years or more from the date of transfer to the unpaid dividend account shall also be transferred to the IEPF Authority. The said requirement does not apply to shares in respect of which there is a specific order of Court, Tribunal or Statutory Authority, restraining any transfer of the shares.

The unclaimed / unpaid dividend pertaining to FY 2017-18 and FY 2018-19 was transferred to IEPF on May 29, 2025 and May 14, 2026, respectively.

Details of shares transferred to IEPF have been uploaded on the website of IEPF as well as of the Company. In respect of dividends/shares which have been transferred to the IEPF, shareholders can claim the same from the IEPF authority by following the procedure prescribed under IEPF Authority (Accounting, Audit, Transfer and Refund) Rules, 2016.

(m) Release of dividends/shares by IEPF

During the financial year 2025-26, 24 equity shares of the Company along with ₹ 99/- against unpaid interim dividend of FY 2017-18, were released by the IEPF Authority, which pertain to one claim, to the Shareholder.

(n) Reconciliation of Share Capital

Reconciliation of Share Capital was carried out by the Secretarial Auditor of the Company on quarterly basis. The Report(s) confirms that the total issued / paid-up capital is in agreement with the total number of shares of the Company.

(o) Accounting Standards

The Company is in compliance with all applicable Indian Accounting Standards (Ind AS).

Ministry of Corporate Affairs vide notification no 1/2/2014-CL-V dated February 23, 2018 has exempted companies engaged in defence production to the extent of application of Ind AS 108 on "Operating Segment". Disclosure in this regard has been made at Clause No. 37 of Note No. 49 to the Accounts.

(p) Loans and advances in the nature of loans to entities in which directors are interested

The details of Loans and advances in the nature of loans provided by the Company to Firms/ Companies in which directors are interested are provided at Clause No. 55B of Note No. 49 to the Accounts.

Loan and advances in the nature of loans provided by the Subsidiary to the firms in which Directors are interested are provided at Clause No. 34(a) of Note No. 49 to the Accounts of Consolidated Financial Statement (CFS).

(q) Audited Financial Statements of Subsidiaries

The Audited Financial Statements of subsidiaries has been uploaded on the website of the Company at <https://hal-india.co.in/investors/subsidiary-companies>

(r) Training of Directors

The Company undertakes training programmes for its Directors on Company's performance, business models, corporate plan and future outlook on their induction in the Board. Further, Directors also visit various plants/ factories of the Company located at different places to familiarize with business and operations of the Company. In addition, at the meeting of the Board/ Committee/ other meetings, detailed presentations are made on business related issues, risk assessment, risk policy etc.

(s) Right to Information

In order to address the provisions of the Right to Information Act, 2005 (RTI Act), First Appellate Authority, Central Public Information Officer and Assistant Public Information Officers responsible for providing information sought by stakeholders have been appointed. In compliance with Government directives, the Company has successfully introduced the online processing of applications under the RTI Act from September, 2014 onwards.



During the year, 703 Nos. of RTI applications were received & 37 Nos. were carried forward from FY 2024-25 under the RTI Act, of which 730 applications have been disposed-off as of March 31, 2026 and the balance 10 Nos. of application were carried forward to the FY 2026-27.

During the year, 115 Nos. of appeals were received & 7 Nos. were carried forward from FY 2024-25, of which 116 appeals have been disposed-off as of March 31, 2026 and the balance 6 Nos. of application were carried forward to the FY 2026-27.

The Hon'ble Central Information Commission (CIC), New Delhi, issued 9 notices of hearings during the year and the same were attended by HAL Officials and were disposed-of by the Hon'ble CIC.

(t) Redressal of Public Grievances

In order to facilitate resolution of grievances in a transparent and time bound manner, the Department of Administrative Reforms & Public Grievances, Government of India has initiated a web-based monitoring system at www.pgportal.gov.in.

The Company is committed for the resolution of public grievances in an efficient and time bound manner. Chief Manager (HR) Corporate Office has been designated as the Nodal Officer (Grievance) to facilitate the earliest resolution of public grievances received through the online portal from the President's Secretariat, Prime Minister's Office and the Ministry of Defence. As per the directions of Gol, public grievances are resolved within the stipulated time frame.

(u) Presidential Directives Regarding Reservations

All the Presidential Directives and Guidelines issued by the Government of India from time to time regarding reservations for SCs, STs, OBCs, Persons with Disabilities, Ex-Servicemen and Economically Weaker Sections (EWS) are complied with by the Company. Liaison Officers are appointed in all the Divisions / Offices located across the Country to ensure effective implementation of the Government Directives. Officers who are entrusted with the responsibility of looking after reservation in Recruitment and Promotion are provided with necessary training to enable them to update their knowledge on the subject and carry out their job effectively.

The representation of SCs/STs/OBCs in HAL as on March 31, 2026 was as under:

Category of Employees	Group – A	Group – B	Group – C	Group – D	Total
Scheduled Caste	1,307	39	2,928	0	4,274
Scheduled Tribe	458	14	1,329	0	1,801
Other Backward Classes	1,994	52	5,024	1	7,071

The representation of Persons with Disabilities and Ex-Servicemen as on March 31, 2026 was as under:

Category of Employees	Group – A	Group – B	Group – C	Group – D	Total
Persons with Disabilities	144	5	434	0	583
Ex-Servicemen	70	2	623	0	695

(v) Integrity Pact

The Company has adopted and provided for signing of Integrity Pact (IP) with bidders, and accordingly, a clause has been introduced in the Purchase Manual. Pre-contract IP is a binding agreement between the Company and bidders for a specific contract in which the parties promise that it will not resort to any corrupt practices in any aspect or stage of the contract.

The IP has strengthened the established systems and procedures by creating trust and has full support of the Central Vigilance Commission.

(w) Items of expenditure debited in Books of Accounts, which are not for the purpose of business

There are no items of expenditure in the books of account, which are not for the purpose of Business.



(x) Expenses incurred, which are personal in nature and incurred for the Board of Directors and Top Management

Expenses incurred for the Board of Directors and Top Management are in the nature of salaries, allowances, perquisites, benefits and sitting fees as permissible under the Rules of the Company. No other expenses, which are personal in nature, were incurred for the Board of Directors and Top Management during the year.

(y) Administrative and Office expenditure

The Administrative and Office expenditure of the Company for FY 2025-26 was 3.75% of total expenditure as against 2.80% in FY 2024-25. The financial expenditure stood at 0.02% of total expenditure in FY 2025-26 as against 0.04% in previous year.

For and on behalf of the Board of Directors
Hindustan Aeronautics Limited

(Ravi K)

Chairman and Managing Director
with Addl. Charge of Director (Operations)

Place : Bengaluru
Date : July 17, 2026



Declaration of Compliance with the Code of Conduct

Pursuant to Regulation 26(3) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and DPE Guidelines on Corporate Governance for Central Public Sector Enterprises, all Board Members and Senior Management Personnel of the Company have affirmed compliance with the Code of Business Conduct & Ethics for Board Members & Senior Management of Hindustan Aeronautics Limited, for the year ended March 31, 2026.

For and on behalf of the Board of Directors
Hindustan Aeronautics Limited



(Ravi K)

Chairman and Managing Director
with Addl. Charge of Director (Operations)

Place : Bengaluru
Date : July 17, 2026

CEO and CFO Certification Under Regulation 17(8) of the SEBI (LODR) Regulations, 2015 and DPE Guideline on Corporate Governance.

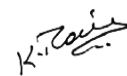
To,
The Board of Directors
Hindustan Aeronautics Limited

1. We have reviewed financial statements and the cash flow statement of Hindustan Aeronautics Limited for twelve months period ended 31st March, 2026 and that to the best of knowledge and belief:
 - i. these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
 - ii. these statements together present a true and fair view of the company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.
2. There are, to the best of our knowledge and belief, no transactions entered into by the company during the year which are fraudulent, illegal or violative of the company's code of conduct.
3. We accept responsibility for establishing and maintaining internal controls for financial reporting and that we have evaluated the effectiveness of internal control systems of the Company pertaining to financial reporting.
4. We have indicated to the auditors and the Audit Committee/ Board:
 - i. that there are no significant changes in internal control over financial reporting during the period;
 - ii. that there are no significant changes in accounting policies during the period.
 - iii. that there are no instances of significant fraud to which we have become aware.



(Dr. Barenja Senapati)

Director (Finance) & CFO
DIN: 08525943



(Ravi K)

Chairman and Managing Director
with Addl. Charge of Director (Operations)
DIN: 10807781



Certificate of Non-Disqualification of Directors

(Pursuant to Regulation 34(3) read with Schedule V Part C Clause 10(i) of the SEBI
(Listing Obligations and Disclosure Requirements) Regulations, 2015)

To,
The Members,
Hindustan Aeronautics Limited
15/1, Cubbon Road,
Bengaluru – 560001

I, S.N. Mishra, proprietor of SNM & Associates, Bengaluru, Practicing Company Secretary, have examined all the relevant documents and records made available to me by Hindustan Aeronautics Limited, CIN: L35301KA1963GOI001622 for the period ended on March 31st 2026 for the purpose of issuing this certificate, in accordance with Regulation 34(3) read with Schedule V Para-C Clause 10(i) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and hereby certify as follows:

None of the directors on the Board of Hindustan Aeronautics Limited for the financial year ended 31st March, 2026, have been debarred or disqualified from being appointed or continuing as directors of companies by the Security and Exchange Board of India ("SEBI") or Ministry of Corporate Affairs ("MCA") or any other statutory authorities.

Basis of Certification:

The Company is a Government Company within the meaning of Section 2(45) of the Companies Act, 2013. The Functional, Government Nominee Directors and Independent Directors on the Board are appointed by the President of India. Accordingly, the verification carried out by me is restricted to records, documents and information made available by the Company and records accessible through public databases.

Ensuring the eligibility of the appointment / continuity of every Director on the Board is the responsibility of the management of the Company. My responsibility is to express an opinion on these based on my verification. This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

S. N. Mishra

Company Secretary

C. P. No.: 4684

FCS No.: 6143

P.R. No.: 1603/2021

UDIN: F006143H000638984

Place: Bangalore
Date: 17-06-2026



Corporate Governance Compliance Certificate

To,
The Members,
Hindustan Aeronautics Limited
15/1, Cubbon Road,
Bengaluru – 560001

We have examined all relevant records of Hindustan Aeronautics Limited ("Company"), for the purpose of certifying compliance of the conditions of Corporate Governance pursuant with SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015 for the year ended on March 31, 2026.

Compliance of the conditions of Corporate Governance is the responsibility of the management. Our examination was limited to the review of procedures and implementation thereof adopted by the Company for ensuring compliance of the conditions of Corporate Governance as stipulated in the said Regulation.

In our opinion from the examination of the records produced and to the best of our information and according to the explanations given to us and representations made to us by the Management, we certify that the Company, has complied with the conditions of Corporate Governance as stipulated in Regulations 17 to 27, clauses (b) to (i) and (t) of sub-regulation (2) of Regulation 46 and Para C, D and E of Schedule V of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015 and Guidelines on Corporate Governance for Central Public Sector Enterprises issued by the Department of Public Enterprises except to the extent of the following:

1. *Regulation 17(1A) and 17(1B) pertaining to Board Composition wherein 5 posts of Independent Directors*

including Woman Independent Director remained vacant during the reporting period.

2. *Regulation 17(2A) pertaining to quorum of Board Meeting held on May 14, 2025.*
3. *Regulation 18(1) and 19(1) pertaining to constitution of audit committee and nomination and remuneration committee respectively from 1st April, 2025 to 1st June, 2025.*
4. *Regulation 20(2A) and 21(2A) pertaining to constitution of Stakeholders Relationship Committee and Risk Management Committee respectively from 28th April, 2025 to 1st June, 2025*

The Company being a Government Company, the Board of Directors are appointed by the concerned Administrative Ministry of the Government of India and the above non-compliances were beyond the control of the company.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.



S. N. Mishra

Company Secretary

C. P. No.: 4684

FCS No.: 6143

P.R. No.: 1603/2021

UDIN: F006143H000638951

Place: Bangalore
Date: 17-06-2026



Business Responsibility & Sustainability Report

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1. Corporate Identity Number (CIN) of the Listed Entity	L35301KA1963GOI001622
2. Name of the Listed Entity	Hindustan Aeronautics Limited
3. Year of incorporation	16/08/1963
4. Registered office address	15/1, Cubbon Road, Bengaluru – 560001
5. Corporate office address	15/1, Cubbon Road, Bengaluru - 560001
6. E-mail	investors@hal-india.co.in
7. Telephone	080-22320001
8. Website	www.hal-india.co.in
9. Financial year for which reporting is being done	2025-26
10. Name of the Stock Exchange(s) where shares are listed	1. National Stock Exchange of India Ltd (NSE) 2. BSE Ltd (BSE)
11. Paid-up Capital	₹ 334,38,75,000/-
12. Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Shri Shailesh Bansal Company Secretary & Compliance Officer Hindustan Aeronautics Limited 15/1, Cubbon Road, Bengaluru – 560 001. Karnataka Phone: (080) 2232 0001, Email: investors@hal-india.co.in
13. Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together).	Standalone Basis
14. Name of assessment or assurance provider	Sustainability Actions Private Limited, Gurgaon
15. Type of assessment or assurance obtained	Reasonable Assurance

II. Products / Services

16. Details of business activities (accounting for 90% of the turnover):

Sl. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1.	Manufacturing	Manufacture of Aircraft, Helicopters and its Engines, Accessories	30
2.	Service	Repair, Overhaul and Maintenance, Upgrade of Aircraft, Helicopters and its Engines, Accessories	65



17. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

Sl. No.	Product/Service	NIC Code	% of total Turnover contributed
1	Manufacture of Aircraft, Helicopters	30301, 30302 & 30305	30
2	Repair and Maintenance of Aircraft, Helicopters and Engines	3315	65

III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	30	5	35
International	0	3	3

19. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	36 (including 8 Union Territories)
International (No. of Countries)	During the FY 2025-26, HAL has exported its platforms/ Products to 13 countries. Over the years HAL has exported its platforms/products to 30 countries.

b. What is the contribution of exports as a percentage of the total turnover of the entity?

1.58%

c. A brief on types of customers

HAL supports both national and international Defence Customers as well as Civil Customers. Indian Air Force, Indian Navy, Indian Army and Indian Coast Guard are the primary Customers of the Company for supplies of aircraft, helicopters, engines, accessories and repair & maintenance services.

IV. Employees

20. Details as at the end of Financial Year:

a Employees and workers (including differently abled):

Sl. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
EMPLOYEES						
1.	Permanent (D)	21444	19395	90.44	2049	9.56
2.	Other than Permanent (E)	2058	1903	92.47	155	7.53
3.	Total employees (D + E)	23502	21298	90.62	2204	9.38
WORKERS						
4.	Permanent (F)	14122	12820	90.78	1302	9.22
5.	Other than Permanent (G)	2049	1899	92.68	150	7.32
6.	Total workers (F + G)	16171	14719	91.02	1452	8.98



b. Differently abled Employees and workers:

Sl. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	560	511	91.25	49	8.75
2.	Other than Permanent (E)	23	21	91.30	2	8.70
3.	Total differently abled Employees (D + E)	583	532	91.25	51	8.75
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)	411	372	90.51	39	9.49
5.	Other than permanent (G)	23	21	91.30	2	8.70
6.	Total differently abled workers (F + G)	434	393	90.55	41	9.45

21. Participation/ Inclusion/ Representation of women

	Total (A)	No. and percentage of Females	
		No. (B)	% (B / A)
Board of Directors	9	2	22
Key Management Personnel*	1	0	0

*Since, CMD and Director (Finance) & CFO has been covered under Board of Directors, Company Secretary has only been considered under Key Managerial Personnel.

22. Turnover rate for permanent employees and workers

(Disclose trends for the past 3 years)

	FY 2025-26 (Turnover rate in current FY)			FY 2024-25 (Turnover rate in previous FY)			FY 2023-24 (Turnover rate in the year prior to the previous FY)		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	0.17	0.06	0.23	0.21	0.04	0.25	0.21	0.05	0.26
Permanent Workers	0.02	0.02	0.04	0.05	–	0.05	0.11	–	0.11

V. Holding, Subsidiary and Associate Companies (including joint ventures)

23. Names of holding / subsidiary / associate companies / joint ventures

Sl. No.	Name of the holding / subsidiary/ associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	BAeHAL Software Ltd.	Joint Venture	49	No
2	Indo Avia Services Ltd. (IASL)	Joint Venture	48	No
3	Safran HAL Aircraft Engines Pvt. Ltd.	Joint Venture	50	No
4	Samtel HAL Display Systems Ltd.	Joint Venture	40	No



Sl. No.	Name of the holding / subsidiary/ associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
5	HAL-Edgewood Technologies Pvt. Ltd.	Joint Venture	50	No
6	HALBIT Avionics Pvt. Ltd.	Joint Venture	50	No
7	Infotech HAL Ltd.	Joint Venture	50	No
8	HATSOFF Helicopter Training Pvt. Ltd.	Joint Venture	50	No
9	International Aerospace Manufacturing Pvt. Ltd.	Joint Venture	50	No
10	Multi-Role Transport Aircraft Ltd.	Joint Venture	50	No
11	Helicopter Engines MRO Private Ltd.	Joint Venture	50	No
12	SAFHAL Helicopter Engines Pvt Ltd	Joint Venture	50	No
13	Aerospace & Aviation Sector Skill Council (AASSC)	Joint Venture	50	No
14	Defence Innovation Organisation	Joint Venture	50	No
15	UAS Testing Foundation	Joint Venture	33.33	No
16	Electronic Warfare (Defence) Testing Foundation	Joint Venture	20	No
17	Communication (Defence) Testing Foundation	Joint Venture	25	No
18	Advanced Materials (Defence) Testing Foundation	Joint Venture	20	No
19	System Testing and Research for Advanced Materials Foundation (STREAM)	Joint Venture	20	No
20	Indo-Russian Helicopters Limited	Subsidiary	50.5	No
21	Naini Aerospace Limited	Subsidiary	100	No

VI. CSR Details

24. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013(Yes/No) : Yes

(ii) Turnover (in ₹) : 31,79,183 Lakh

(iii) Net worth (in ₹) : 40,86,251 Lakh



VII. Transparency and Disclosures Compliances

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2025-26			FY 2024-25		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes, Centralized Public Grievance Redress and Monitoring System (CPGRAM) under the Department of Administrative reforms & Public Grievance (www.pgportal.gov.in). The web-link is provided at*	127	01	-	127	-	-
Investors (other than shareholders)	NA	-	-	-	-	-	-
Shareholders	Yes, https://kprism.kfintech.com/ Email: investors@hal-india.co.in	535	5	-	522	20	-
Employees and workers	Yes**	210#	0	-	36	35	-
Customers	NA\$	77	13	-	158	0	-
Value Chain Partners	Yes, The web-link is provided at ***. In addition, MSME Champion & Samadhaan Portals on MSME website (www.msme.gov.in) can be used for redressal for grievance.	15	Nil	-	14	Nil	-
Other (please specify)	-	-	-	-	-	-	-

* <https://pgportal.gov.in/Home/Preview/Q29tcHJlGVuc2I2ZUd1aWRlbGluZXNGb3JlYW5kbGluZ1RoZVB1YmxpY0dyaWV2YW5jZXMucGRm>

** Officers – HAL Single Sign On → Personal → Grievance

Workmen - Employee Self Service → Other Application → Grievance

Since the grievance portal link was under ESS portal, all the attendance and payroll related queries were raised under Grievance Portal.

\$ HAL deals with Defence Customers and therefore all the communication are through confidential mode as per the requirement of Customer. So, there is no web link.

***https://hal-india.co.in/backend/wp-content/uploads/2026/04/Purchase-Manual-with-Amdt-3_website-ver.pdf.



26. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format.

Sl. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1	Health and Safety	Risk	Since, health & safety issues may affect operational efficiency, it has been identified as risk.	Training/ Awareness/ technological upgradation/ review at senior level.	Negative
2	Positive labour practices	Opportunity	Opportunity towards improving industrial relations leading to improvement in productivity.	Not applicable	Positive
3	Human Capital Development	Opportunity	Opportunity towards talent development and retention leading to improvement in productivity and intellectual property.	Not applicable	Positive
4	Emission reduction and energy management	Opportunity	Opportunity to move towards energy efficiency, use of renewable energy, more efficient use of materials, biofuels, and hybrid technology to address climate change	Not Applicable	Positive
5	Corporate Governance	Risk	Lack of required number of Independent Directors In the Company.	Continuous follow up are being made with Administrative Ministry, GoI, for filling up of vacant posts.	Negative
6	Waste Management	Opportunity	Opportunity to move towards reduction in waste generation, meeting statutory requirements and improving resource usage	Not Applicable	Positive
7	Cyber Security	Risk	As a strategic defence organization undergoing rapid digitization, the Company is vulnerable to targeted cyber-attack that may adversely affect privacy, data protection and information security.	Implemented measures as per IT Security Policy for protecting the Company from Cyber-attacks and continuously strengthening its information security framework.	Negative



SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Policy and management processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
b. Has the policy been approved by the Board? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
c. Web Link of the Policies, if available	Policies of the Company are available at https://www.hal-india.co.in/investors/code-and-policies								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
4. Name of the national and international codes/certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustee) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.									
AS 9100 / 9110: Quality Management System requirements for Aviation, Space and Defence Organizations	√	√	√	√	-	√	-	-	√
CAR-21 / CAR-145 / CAR-147 (DGCA): Civil Aviation Requirements for Production / Maintenance / Training Organization	√	√	-	√	-	-	-	-	√
AFQMS: Approval of Firm and its Quality Management System by DGAQA	√	√	-	√	-	-	√	-	√
AS 7003 (NADCAP): Aerospace Standard document / requirements for implementing industry consensus-based accreditation / certification Program for specific services (Special Processes)	-	√	-	√	-	-	-	-	√
ISO 14001: Environmental Management System Requirements	√	√	√	√	-	√	-	-	-
ISO 45001: Occupational Health & Safety Management System (OHSMS) Requirements	√	√	√	√	-	-	-	-	-
ISO 50001: Energy Management System Requirements	-	-	-	√	-	√	-	-	-
ISO/IEC 17025: General requirements for the competence of Testing & Calibration Laboratories	√	-	-	√	-	-	-	-	-
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	Usage of 100% electricity from renewable energy sources by 2030 by the Company.								
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	During the FY 2025-26, the Company has achieved around 40% electricity usage from renewable energy sources.								



Disclosure Questions

P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
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Governance, leadership and oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)

At HAL, we are conscious of the impact of our operations on environment & stakeholders and endeavor to make them sustainable by addressing the material issues and feedback from stakeholders. Over the years, we have made investments to adopt renewable energy, conserve natural resources, responsibly treat and dispose solid and liquid waste, and optimize the use of water.

Our renewable energy portfolio has increased to 50.13MW capacity with more solar plants installed during the current year. During the year, we have consumed around 40% of our electricity requirement from our captive power plant and other RE sources. We intend to increase the share of Renewable Energy in our operations over the next few years. We also continue to make investments in energy efficient equipment such as LED lighting, star rated Air-conditioners and other star rated equipment. We are investing in building in-house waste management facilities to reduce the disposal outside our premises.

On social front, we have robust practices to address issues such as human rights, human capital development and health and safety of our employees, contractors and customers. HAL is certified for ISO 14001-2015 Environment Management Systems and ISO 45001-2018 OHSMS (Occupational Health and Safety Monitoring System).

On the governance front, being CPSE, we are compliant with the various rules, regulations, and best practices prescribed by local and national regulatory bodies and have robust governance mechanisms to address any related issues. Further, to enhance better governance practices in the Company, various policies are implemented in the Company in letter and spirit.

We are committed for ensuring sustainable environment and social practices across our supply chain and in the communities we serve.

8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).

Shri M. G. Balasubrahmanya,
Director (Human Resources)
(DIN : 11048733)

9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details

Yes, BRSR Committee

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Performance against above policies and follow up action	The Board and its Committee									As and when required.								
Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances	The Board and its Committee									As and when required								



11. Has the entity carried out independent assessment/evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency. –	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
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No

12. If answer to question (1) above is “No” i.e. not all Principles are covered by a policy, reasons to be stated:

Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
The entity does not consider the Principles material to its business (Yes/No)									
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

Not Applicable

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

This section is aimed at helping entities to demonstrate their performance in integrating the Principles and Core Elements with key processes and decisions. The information sought is categorized as “Essential” and “Leadership”. While the essential indicators are expected to be disclosed by every entity that is mandated to file this report, the leadership indicators may be voluntarily disclosed by entities which aspire to progress to a higher level in their quest to be socially, environmentally and ethically responsible.

PRINCIPLE 1

BUSINESSES SHOULD CONDUCT AND GOVERN THEMSELVES WITH INTEGRITY, AND IN A MANNER THAT IS ETHICAL, TRANSPARENT AND ACCOUNTABLE.

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	8	➤ Review of the Company's product and its processes including indigenization programme and quality assessment.	
Key Managerial Personnel	3	➤ Amendments in SEBI (LODR) Regulations, 2015 ➤ Internal Financial Controls ➤ Related Party Transactions (RPTs) ➤ Corporate Social Responsibility (CSR) ➤ Training on Corporate Governance	100%



Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Employees other than BoD and KMPs	340 (For Officers)	(1) Training / Awareness Programme pertaining to CDA Rules, Safety & Wellness of the Employees, Leadership, Cyber Security, Industry 4.0, Quality Management, Lean Manufacturing, Environment & Sustainability Concepts, Labour Codes.	88%
Workers	124 (for Workmen)	(2) These trainings / awareness Programmes will enable the employees acquire knowledge / skills for enhancement of their capabilities.	89%

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/Fine	Principle 3 & 4	XXIX Additional Chief Judicial Magistrate, Mayo Hall, Bangalore	30,000/-	Death of one of the contract labour Mr. Durgesh Gupta from M/s Bharuka Constructions Pvt. Ltd. while working in clean room facility at the new production building at HAL Aerospace Composite Division.	No
Settlement	-	-	-	-	-
Compounding fee	-	-	-	-	-

Non-Monetary				
	NGRBC Principle	Name of the regulatory / enforcement agencies / judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/No)
Imprisonment	-	-	-	-
Punishment	-	-	-	-

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
-	-



4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes, the Company believes in the conduct of the affairs of its constituents in a fair and transparent manner by adopting highest standards of professionalism, honesty, integrity and ethical behavior. Towards this end, the Company has adopted the Code of Conduct which is part of the Service Rules, which lays down the principles and standards that should govern the actions of the employees of the Company. Further, Whistle Blower Policy has been formulated in the Company with a view to provide a mechanism for employees of the Company to bring the unethical practices, actual or suspected fraudulent transactions or violation of the Company's Code of Conduct or Ethics in the organization to the notice of the Chairman of the Audit Committee / Director (HR) / Head of Systems Audit of the Company.

Web link of the policy is <https://hal-india.co.in/backend/wp-content/uploads/2023/07/Whistle-Blower-Policy-28.04.2025-1.pdf>

Further, integrity pacts are being signed with the vendors for procurement value of ₹ 5 Crore and above.

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2025-26	FY 2024-25
Directors	0	0
KMPs	0	0
Employees	0	0
Workers	0	0

6. Details of complaints with regard to conflict of interest:

	FY 2025-26		FY 2024-25	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	0	-	0	-
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	0	-	0	-

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Not Applicable

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format:

	FY 2025-26	FY 2024-25
Number of days of accounts payables	66	94



9. Open-ness of business:

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2025-26	FY 2024-25
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	NIL*	NIL*
	b. Number of trading houses where purchases are made from	NA	NA
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	NA	NA
Concentration of Sales	a. Sales to dealers / distributors as % of total sales	Nil	Nil
	b. Number of dealers / distributors to whom sales are made	NA	NA
	c. Sales to top 10 dealers / distributors as % of total sales to dealers / distributors	NA	NA
Share of RPTs in	a. Purchases (Purchases with related parties / Total Purchases)	0.52%	0.46%
	b. Sales (Sales to related parties / Total Sales)	0.12%	0.10%
	c. Loans & advances (Loans & advances given to related parties / Total loans & advances)	0.82%	0.00%
	d. Investments (Investments in related parties / Total Investments made)	8.47%	8.68%

* **Note:** HAL procures materials either directly from OEMs or their authorized distributor/stockiest i.e., qualified suppliers and not from any trade houses.

PRINCIPLE 2

BUSINESSES SHOULD PROVIDE GOODS AND SERVICES IN A MANNER THAT IS SUSTAINABLE AND SAFE

Essential Indicators

1. **Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

	FY 2025-26	FY 2024-25	Details of improvements in environmental and social impacts
R&D	Not tracked	Not tracked	HAL's R&D expenditure is primarily directed toward development of indigenous aerospace platforms in support of national defence requirements. To list few important parameters which help in making Environment & Social impact are: • Weight reduction / structural efficiency designs: Lighter airframes reduce fuel burn and emissions over an aircraft's lifecycle. • Noise and emission reduction aerodynamic design: Better aerodynamic design reduces engine noises and improves fuel efficiency of platforms. • Digital/simulation investments: Moving from physical prototype testing to digital simulation (CFD, FEM analysis tools) reduces material waste and energy, this has a safety and environmental dimension.
Capex	0.48%	0.25%	As part of Energy conservation efforts, energy efficient transformers, HVAC equipment, LED lighting, energy monitoring systems etc have been procured.



2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No):

Yes, the sustainability aspects that are to be complied by the supply chain partners are indicated in Tender documents and Purchase orders.

b. If yes, what percentage of inputs were sourced sustainably?

In FY 2025-26, the Company has sourced 75% of inputs by value, through vendors who declared adopting sustainable processes in delivering the goods or rendering the services. The balance 25% are sourced from business units whose reports are not in public domain.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

The main products of the Company are Aircraft, Helicopters, Engines and other accessories for use in strategic/national security applications. Once the product is sold, it does not come back to the Company. Hence Company is not in a position to reclaim the products. However, HAL has a defined process in place for reuse, recycle and safe end-of-life disposal for the products used in its operations.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

No (Refer reply to Q. 3).

PRINCIPLE 3

BUSINESSES SHOULD RESPECT AND PROMOTE THE WELL-BEING OF ALL EMPLOYEES, INCLUDING THOSE IN THEIR VALUE CHAINS

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	% of Employees covered by										
	Total (A)	Health Insurance		Accident Insurance #		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		No. (B)	% (B/A)	No. (C)	% (C/A)	No. (D)	% (D/A)	No. (E)	% (E/A)	No. (F)	% (F/A)
Permanent Employees											
Male	19395	100% Ref Note. (i)		19261	99.30%	NA	-	19395	100%	NA	-
Female	2049			2007	97.95%	2049	100%	NA	-	2049	100%
Total	21444			21268	99.17%	2049	9.55%	19395	90.44%	2049	9.56%
Other than Permanent Employees											
Male	1903	100% Ref. Note (i)		1714	90.06%	NA	-	1903	100%	NA	-
Female	155			133	85.81%	155	100%	NA	-	155	100%
Total	2058			1847	89.74%	155	7.53%	1903	92.47%	155	7.53%



b. Details of measures for the well-being of workers:

Category	% of Workers covered by										
	Total (A)	Health Insurance		Accident Insurance #		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		No. (B)	% (B/A)	No. (C)	% (C/A)	No. (D)	% (D/A)	No. (E)	% (E/A)	No. (F)	% (F/A)
Permanent Workers											
Male	12820	100% Ref Note. (i)		12809	99.91%	NA	-	12820	100%	NA	-
Female	1302			1281	98.38%	1302	100%	NA	-	1302	10%
Total	14122			14090	99.77%	1302	9.22%	12820	90.78%	1302	9.22%
Other than Permanent Workers											
Male	1899	100% Ref. Note (i)		1713	90.20%	NA	-	1899	100%	NA	-
Female	150			130	86.66%	150	100%	NA	-	150	100%
Total	2049			1843	89.94%	150	7.32%	1899	92.68%	150	7.32%

Notes for (i) :

- (i) Medical needs of permanent employees / workers have been taken care by the Company Industrial Health Centers (IHC) set up in the Divisions / Offices. In case of specialized treatment, employees / workers are referred to empaneled Hospitals. Since medical needs of the permanent employees / workers have been taken care by the Company, no separate Health Insurance is taken.

On voluntary basis and premium is borne by the employees.

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format:

	FY 2025-26	FY 2024-25
Cost incurred on well- being measures as a % of total revenue of the company	0.48%	0.55%

2. Details of retirement benefits, for Current FY and Previous Financial Year.

Benefits	FY 2025-26			FY 2024-25		
	No. of employee covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	100%	Y	100%	100%	Y
Gratuity	100%	100%	NA	100%	100%	NA
ESI	Nil	Nil	NA	Nil	Nil	NA
Others –						
1. Defined Contribution Pension Scheme	100%	100%	Y	100%	100%	Y
2. Post Superannuation Group Health Insurance Schemes	100%	100%	NA	100%	100%	NA



3. Accessibility of workplaces.

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Yes

The web-link to the Policy is <https://hal-india.co.in/human-resources>

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	100%	100%	100%
Female	100%	100%	100%	100%
Total	100%	100%	100%	100%

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	Yes
Other than Permanent Workers	Three Stage Grievance Procedure i.r.of Workmen exists in the Company. (i) Stage 1: Representing to the Section Head in the 1st Stage; (ii) Stage 2: If not satisfied / beyond the prescribed time limit, the grievance is directed to Department Head; (iii) Stage 3: If not satisfied then grievance is addressed to Grievance Redressal Committee. Upon exhausting all the 3 Stages, option is available to the Workmen for making petition to the General Manager if not satisfied with the decision of the Grievance Redressal Committee. Thereafter, if not satisfied with the decision of the General Manager, option for preferring Appeal to the CEO/Director concerned through the Recognized Union also exists wherein the decision of the CEO/Director will be final.
Permanent Employees	Yes, In addition to the Grievance Procedure i.r.of Workmen as above, there also exists Grievance Procedure i.r.of Officers (upto Gr. VI) as indicated below:
Other than Permanent Employees	(i) Representing to the Dept. Head in the 1st Stage. (ii) Thereafter, representing to the Grievance Redressal Committee, wherein, based on the recommendations of the Committee, General Manager would communicate his decision. (iii) In exceptional cases, if not satisfied with the decision of the General Manager, the Officer concerned may Appeal to the CEO / Director concerned, whose decision shall be final and binding on aggrieved Officer.



7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2025-26			FY 2024-25		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees/ workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D/C)
Total Permanent Employees	21444	20168	94.04	22033	20944	95.06
- Male	19395	18209	93.89	19954	18977	95.10
- Female	2049	1959	95.60	2079	1967	94.61
Total Permanent Workers	14122	13115	92.87	14662	13945	95.11
- Male	12820	11859	92.5	13337	12662	94.94
- Female	1302	1256	96.47	1325	1283	96.83

8. Details of training given to employees and workers:

Category	FY 2025-26					FY 2024-25				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Male	19395	14387	74.18	8414	43.38	19954	13449	67.40	7597	38.07
Female	2049	1523	74.33	1189	58.03	2079	1472	70.80	570	27.42
Total	21444	15910	74.19	9603	44.78	22033	14921	67.72	8167	37.07
Workers										
Male	12820	9897	77.20	7069	55.14	13337	9305	69.77	7574	56.79
Female	1302	998	76.65	1009	77.50	1325	938	70.79	570	43.02
Total	14122	10895	77.15	8078	57.20	14662	10243	69.86	8144	55.54

9. Details of performance and career development reviews of employees and worker:

Category	FY 2025-26			FY 2024-25		
	Total (A)	No. (B)	% (B / A)	Total (C)	No. (D)	% (D / C)
Employees						
Male	6579	5276	80.19	5860	5084	86.76
Female	755	590	78.15	645	573	88.83
Total	7334	5866	79.98	6505	5657	86.96
Workers						
Male	12820			13337		
Female	1302			1325		
Total	14122			14662		



Notes:

The Total Number indicated in column (A) of part-I above (i.e. Employees (Officer)) refers to Performance Appraisal Reports (PARs) (including Annual, Probationary (Regular & Extended), Split, Special Reports) raised during the Year. 02 Nos. of Probationary PARs are raised for Officers under Probation.

The Company's Policy provides for conduct of Performance Review Board for moderation of Annual PARs. The numbers indicated in column (B) above refers to the total number of Annual PARs raised and the Numbers indicated in the Percentage column indicates the percentage against the total number of PARs (i.e. Annual, Probationary, Split, Special PARs together) raised.

In case of workers, the figures indicate the workers covered under the Performance Appraisal System for non-executives of the Company. Annual and Probationary Performance Appraisal Reports are raised for workers. However, no performance appraisal report is raised where-in the duration of service in the Assessment year is less than 03 months.

10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

Yes. The Company has an Occupational Health & Safety Management System (OHMS) in place, aligned with ISO 45001:2018 standards and implemented across its divisions. The system covers all operational areas, including manufacturing, maintenance, and support functions, and extends to employees, contract workers, and trainees.

The Occupational Health & Safety Management System is monitored through defined action plans, audits, training, and compliance mechanisms. The OHMS framework is institutionalized and has established processes, certification, and governance mechanisms.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

A Safety Directory is maintained wherein all operational areas have been mapped and hazardous activities identified, covering mechanical, electrical, chemical, ergonomic and fire hazards, as well as process-specific and equipment-specific risks.

Risk Assessment is carried out through Hazard Identification and Risk Assessment (HIRA). Internal audits and periodic surveillance audits are conducted to evaluate the effectiveness of hazard identification and risk control measures, along with regular shop floor monitoring and supervisory checks.

The Plant Safety Committee meetings are conducted periodically with equal participation of workers and management ensuring a structured and participative approach to continuous improvement in workplace safety.

c. Whether you have processes for workers to report the work related hazards and to remove themselves from such risks. (Y/N)

Yes. Established processes for workers is available in the Company, to report work-related hazards to protect themselves from unsafe conditions. The Safety surveys are conducted periodically and the recommendations from such surveys are implemented in a time-bound manner.

Complaint Registers are kept in the Shop Floor for reporting the Work-related Hazards.

Safety Officers are appointed in accordance with the provisions of the Factories Act, 1948/ Labour Code.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Yes. The Company has in-house dispensary facility which provides access to non-occupational medical and healthcare services. In addition, various Multi/Super-speciality hospitals have been empanelled to provide comprehensive medical facilities and healthcare support to employees/workers.



11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category*	FY 2025-26	FY 2024-25
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0.19	0.17
	Workers	0.24	0.2
Total recordable work-related injuries	Employees	15	12
	Workers	15	11
No. of fatalities	Employees	0	-
	Workers	0	1
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	-
	Workers	0	2

*Note:

- (1) The number reported against Employees are total incidents covering all Officers, workmen and contract labours as per the definition of "Employees". Out of total numbers shown against Employees, Workmen numbers are shown separately against worker category under LTIFR and total recordable work related injuries.

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

- A robust Occupational Health, Safety and Environment (OHSE) management system is in place in line with applicable statutory requirements and internationally recognized standards to ensure a Safe & Healthy Workplace.
- Safety Audits, Inspections, Risk Assessments and Hazard Identification studies are conducted to identify and mitigate workplace risks, regularly.
- Large size LED screens are installed in the Divisions to display various Safety & Health related topics for creating awareness. Safety Sign Boards are displayed in prominent places in offices/shop floor.
- Periodical Health and Safety Training viz., Health Awareness programmes, toolbox talks, mock drills, fire safety exercises are conducted to create awareness amongst all employees including Contract Labour.
- Well Equipped Occupational Health Centres under the supervision of Medical Practitioner is established in Divisions with dedicated Ambulance.
- Periodical Medical examination is carried out to monitor the health of the employees.
- Safety Officers and qualified safety professionals are appointed as per the provisions of the Factories Act, 1948/ Labour Code.
- Standard Operating Procedures (SOPs), work permits and safe work practices are implemented for hazardous and critical activities.
- Best in class PPEs are procured and provided to the employees and Steps for removal & disposal of Hazardous & Non-Hazardous waste are taken by the Divisions.
- Safety Committee meetings are conducted on regular basis.
- Safety Day is celebrated widely in the Divisions to promote Safety Culture.
- Measures to reduce the consumption of energy by changing over hangar lights from HPMV to LED is taken.
- Rain Water Harvesting is constructed in Divisions, to conserve water.
- The Divisions are equipped with Fire Alarm System for all the hangars along with Fire Hydrant System to protect from any fire emergency.
- Daily Walk-through Surveys are carried out.



- Fire Mock Drills are conducted on regular basis.
- Testing of Tools and Tackles, Pressure Vessels etc., is carried out by Competent Persons.
- Employee participation is encouraged in safety suggestion schemes, reporting of unsafe conditions and regular interaction with management on safety-related matters.
- Continuous monitoring of workplace conditions such as noise, illumination, ventilation, air quality and ergonomics is undertaken to maintain a healthy working environment.

13. Number of of Complaints on the following made by employees and workers:

	FY 2025-26			FY 2024-25		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	0	0	-	2	2	-
Health & Safety	0	0	-	-	-	-

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%
Working Conditions	100%

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

- Hazard identification and Risk Assessment is being carried out in each Department for identifying the hazards and implementing the mitigation plans or suitable controls are established;
- Safety Walk / Audit, accident investigations are being carried out for further study and for improving of working conditions;
- Awareness is given on wearing Personal Protective Equipment's (PPEs);
- Organized Safety Training Programmes to create awareness on Safety;
- Work Instructions and Safe Work Practices were made and readily available in the intranet for reference;
- Electrical safety Audit & Arc Flash Assessment were carried out;
- Implementation of Log Out & Tag Out (LO & TO);
- Personal Protective Equipment Assessment;
- Evaluation of Building Stability;
- Safety Barricades for the Electrical panel;
- Emergency exit stairs are provisioned in Commission building;
- Celebration of Health Day as part of Health Awareness Campaign viz. World Asthama Day, World No-Tobacco Day, World Hepatitis Day, World Alzheimer's Day, World Mental Health Day & World Cancer Day.



PRINCIPLE 4:

BUSINESSES SHOULD RESPECT THE INTERESTS OF AND BE RESPONSIVE TO ALL ITS STAKEHOLDERS

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity.

The Company identifies its key stakeholder group through a structured and continuous engagement process that considers the interests, influence, expectations and impact of various internal and external stakeholders on the Company's operation and strategic objectives. The process involves mapping stakeholders such as Customers, employees, shareholders, vendors, regulatory authorities, industry and academic partners, Joint Ventures, Auditors, Bankers, Collaborators, subsidiaries, all community members within vicinity of the Division and Government agencies based on their level of interaction and significance to business sustainability. Inputs are gathered through meetings, consultations, performance reviews, surveys, audits, statutory compliance interactions, and CSR engagements to understand stakeholders concern and expectations. The identified stakeholder groups are periodically reviewed and prioritized to ensure effective communication, transparency, risk management and alignment with HAL's organizational goals and national aerospace objectives.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/ others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Customers	No	Email, Letters, Meeting	As and when required	Sorting out Technical & Logistic Issues
Employees	No	Notice Board, E-Newsletter	As and when required	Information on Company Activities
Shareholders	No	Website, Email, Letters, Meetings, Newspaper Publications, Annual Reports	As and when required	Timely disclosure of all the information necessary for the Shareholders and resolution of their grievances
Vendors / Suppliers	No	a) Website b) Email c) HAL e-procurement portal, d) Govt e-Marketplace CPP Portal	As and when required	- Details of Open and Limited Tenders Published - Summary of Orders placed during each month - Summary of Payments made during each month - Details of Procurement made on nomination basis
MSME	Yes	a) Website b) Email c) HAL e-procurement portal d) Govt e-Marketplace CPP Portal	As and when required	- Details of Tenders Published - Summary of Orders placed during each month - Summary of Payments made during each month - Procurement made on nomination basis - Nodal Officer for MSME



Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/ others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Governments, Regulators and Industry bodies	No	Email, Letters, Meeting	As and when required	- Communicate HAL performance and strategy; - Share and contribute to insight into public and business concerns; - Discuss HAL response to responsible business issues; - Compliance of applicable laws.
Auditors	No	Website, Email, Letters, Meeting	As and when required	Audit
NGOs; local communities; media, industry analysts, society at large	No	Website, Advertisement, Email, Letters, Meeting	As and when required	Information about CSR and other activities carried out by the Company and their impact assessment for furtherance.

PRINCIPLE 5

BUSINESSES SHOULD RESPECT AND PROMOTE HUMAN RIGHTS

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2025-26			FY 2024-25		
	Total (A)	No. of employees / workers covered (B)	% (B / A)	Total (C)	No. of employees / workers covered (D)	% (D / C)
Employees						
Permanent	21444	708	3.33%	22033	687	3.09%
Other than permanent	2058	74		1966	56	
Total Employees	23502	782		23999	743	
Workers						
Permanent	14122	188	1.57%	14662	182	1.43%
Other than permanent	2049	66		1947	56	
Total Workers	16171	254		16609	238	



2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2025-26					FY 2024-25				
	Total (A)	Equal Minimum Wage		More than Minimum Wage		Total (D)	Equal Minimum Wage		More than Minimum Wage	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
	Employees									
Permanent	21444	-	-	21444	100	22033	-	-	22033	100
Male	19395	-	-	19395	100	19954	-	-	19954	100
Female	2049	-	-	2049	100	2079	-	-	2079	100
Other than Permanent	2058	-	-	2058	100	1966	-	-	1966	100
Male	1903	-	-	1903	100	1845	-	-	1845	100
Female	155	-	-	155	100	121	-	-	121	100
	Workers									
Permanent	14122	-	-	14122	100	14662	-	-	14662	100
Male	12820	-	-	12820	100	13337	-	-	13337	100
Female	1302	-	-	1302	100	1325	-	-	1325	100
Other than Permanent	2049	-	-	2049	100	1947	-	-	1947	100
Male	1899	-	-	1899	100	1834	-	-	1834	100
Female	150	-	-	150	100	113	-	-	113	100

3. Details of remuneration/salary/wages

a. Median remuneration / wages:

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category (in ₹)	Number	Median remuneration/ salary/ wages of respective category (in ₹)
(a) Board of Directors (BoD)				
Functional Directors	5	67,01,464	-	-
Govt. Nominee Director	-	-	2	-
Independent Director	2	-	-	-
(b) Key Managerial Personnel	1	49,36,140	-	-
(c) Employees other than BoD and KMP	21,292	19,76,273	2,204	18,77,860
(d) Workers	14,719	14,90,585	1,452	13,55,679

Note:

- Board of Directors and KMPs as on 31.03.2026 has been considered. Median salary arrived based on Salary & perquisite as per Section 17(1) & 17(2) of the Income Tax Act, 1961 for the year 2025-26.
- Since, remuneration of CMD and Director (Finance) & CFO has been covered under Functional Director, remuneration of Company Secretary has only been considered under Key Managerial Personnel.



- c. Remuneration details of Board of Directors and KMPs are as covered under Corporate Governance Report, which is part of the Annual Report 2025-26.
- d. Government Nominee Director does not receive any remuneration from the Company.
- e. Independent Director receives the sitting fees for attending the meeting of Board and its Committees.

b. Gross wages paid to females as % of total wages paid by the entity, in the following format:

	FY 2025-26	FY 2024-25
Gross wages paid to females as % of total wages	8.95%	9.00%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes. HR Heads of the Company and the respective Divisions of HAL are responsible.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

Company has a robust grievance redressal system. Refer Q.No.6 under Principle-3. Contracts with value chain partners which involve deployment of labour include specific conditions towards health & safety, working hours, and remuneration. Company complies with applicable labour Laws and a compliance report is submitted by Heads of Divisions.

For contractual employees, the Engineer-in-Charge / Office-in-Charge / Dept. concerned handling the Contracts in the Divisions / Offices looks after issues related to remuneration, health & safety within the premises and working hours.

Further, Internal Complaints Committee under the provisions of Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, is constituted in the Divisions / Offices of HAL to deal with Complaints related to Sexual Harassment and conduct enquiries on such issues.

6. Number of Complaints on the following made by employees and workers:

	FY 2025-26			FY 2024-25		
	Filed during the year	Pending Resolution at the end of the year	Remarks	Filed during the year	Pending Resolution at the end of the year	Remarks
Sexual Harassment	2	0	-	5	2	2 Cases pending at the end of the previous year were disposed in 2025-26
Discrimination at Workplace	0	0	-	0	0	-
Child Labour	0	0	-	0	0	-
Forced Labour / Involuntary Labour	0	0	-	0	0	-
Wages	0	0	-	0	0	-
Other Human Rights related issues	0	0	-	0	0	-



7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY 2025-26	FY 2024-25
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	2	5
Complaints on POSH as a % of female employees / workers	0.06%	0.14%
Complaints on POSH upheld	0	1

Note: Female Contract workforce engaged through Contractors are also taken into account for percentage calculation.

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

It is ensured that no work-related adverse consequences are meted out to the Complainant by placing the Complainant & Respondent in different work places, in case both were in the same work place. Moreover, the Complainant is encouraged to report any such incidences to the higher authorities for appropriate action.

9. Do human rights requirements form part of your business agreements and contracts? (Yes / No)

Yes, HAL being a DPSU follows all rules and regulations set by the Government.

10. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	
Forced/involuntary labour	
Sexual harassment	100%.
Discrimination at workplace	Internal Assessment done by the Entity and other statutory authorities.
Wages	
Others – please specify	

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.

No significant risks / concerns were reported.



PRINCIPLE 6:

BUSINESSES SHOULD RESPECT AND MAKE EFFORTS TO PROTECT AND RESTORE THE ENVIRONMENT

Essential Indicators

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format: -

Parameter	FY 2025-26	FY 2024-25
From renewable sources		
Total electricity consumption (A)	347,037 GJ	312,044 GJ
Total fuel consumption (B)	-	-
Energy consumption – through other sources (C)	-	-
Total energy consumed from renewable sources (A+B+C)	347,037 GJ	312,044 GJ
From non-renewable sources		
Total electricity consumption (D)	524,437 GJ	527,423 GJ
Total fuel consumption (E)	760,250 GJ	834,656 GJ
Energy consumption – through other sources (F)	-	-
Total energy consumed from non-renewable sources (D+E+F)	1,284,687 GJ	1,362,079 GJ
Total energy consumed (A+B+C+D+E+F)	1,631,724 GJ	1,674,123 GJ
Energy intensity per rupee of turnover (Total energy consumed / Revenue from operations)	49.31 GJ per ₹ Crore	54.04 GJ per ₹ Crore
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP)	100.30 GJ per Million USD	111.64 GJ per Million USD
Energy intensity in terms of physical output	-	-
Energy intensity per rupee of Value of Production (Total energy consumed/ Value of Production)	39.02 GJ per ₹ Crore	44.37 GJ per ₹ Crore

Note:

- Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency: **Yes, Sustainability Actions Pvt Ltd.**
- The information on consumption of various sources of energy is collected from all the Divisions of the HAL through a centralized portal and consolidated.
- The energy from fuels has been derived based on conversion factors in Table 1.2 of 2006 IPCC Guidelines for National Green House Gas Inventories. For electricity, conversion factor of 3.6 Million Joules per unit of electricity is used.
- The PPP adjusted revenue is derived based on the PPP rate published by IMF at <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC>

2. Does the entity have any sites / facilities identified as Designated Consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

No



3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2025-26	FY 2024-25
Water withdrawal by source (in kilolitres)		
(i) Surface water	-	-
(ii) Groundwater	3,620,626	3,398,807
(iii) Third party water	10,111,900	11,278,126
(iv) Seawater / desalinated water	-	-
(v) Others	-	-
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	13,732,526	14,676,933
Total volume of water consumption (in kilolitres)	13,679,322	14,620,304
Water intensity per rupee of turnover (Total water consumption / Revenue from operations)	413.40 KL per ₹ Crore	471.91 KL per ₹ Crore
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP)	840.86 KL per Million USD	974.97 KL per Million USD
Water intensity in terms of physical output	-	-
Water intensity per rupee of Value of Production (Total water consumption / Value of Production)	327.11 KL per ₹ Crore	387.51 KL per ₹ Crore

Note:

- Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. **Yes, Sustainability Actions Pvt Ltd**
- The information on consumption of various sources of water is collected from all the Divisions of the HAL based on water bills, meter readings, log books etc through a centralized portal and consolidated.
- Data includes consumption of HAL Township.
- The PPP adjusted revenue is derived based on the PPP rate published by IMF at <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC>

4. Provide the following details related to water discharged:

Parameter	FY 2025-26	FY 2024-25
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(ii) To Groundwater		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iii) To Seawater		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iv) Sent to third-parties		
- No treatment	53,204	56,629
- With treatment – please specify level of treatment	-	-
(v) Others		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
Total water discharged (in kilolitres)	53,204	56,629



Note:

- (a) Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, M/s Sustainability Actions Pvt Ltd.

- (b) All the production locations of HAL have captive STPs/ETPs for treating the waste/effluent water. The treated water is used for non-potable purposes and to some extent in process. Offices discharge the waste water to local utility for further treatment. The discharge is estimated assuming 80% of the water withdrawn reaches the treatment plants.

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

HAL has made investments in effluent treatment plant with Zero Liquid discharge (ZLD) system.

STPs and ETPs have been installed at all our major production locations for treating waste water/effluent. The treated water is used for gardening and other non-potable uses.

HAL disposes used oil, e-waste and Hazardous waste such as ETP Sludge, Paint Sludge, Waste water soluble coolant, Used Grease, Oil soaked cotton waste through Pollution Control Board authorized agencies.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify unit	FY 2025-26	FY 2024-25
NOx	Metric Tonnes	37.98	58.88
SOx	Metric Tonnes	16.76	31.28
Particulate matter (PM)	Metric Tonnes	65.95	139.05
Persistent Organic Pollutants (POP)	Metric Tonnes	-	-
Volatile Organic Compounds (VOC)	Metric Tonnes	-	-
Hazardous Air Pollutants (HAP)	Metric Tonnes	-	-
Others – (CO, Acid mist, alkali mist)	Metric Tonnes	9.54	10.86

Note:

- (a) Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. **Yes, Sustainability Actions Pvt Ltd**
- (b) The air emissions from production processes are derived based on the specific Gas Concentration from actual testing of exhaust gases and period of operation at each Division.
- (c) The information on air emissions is then collected from all the Divisions of the HAL through a centralized portal and consolidated.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY 2025-26	FY 2024-25
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	67,396	75,808
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	103,431	106,510
Total Scope 1 and Scope 2 emission intensity per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	Metric tones of CO ₂ Equivalent per ₹ Crore	5.16	5.88
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)	Metric tones of CO ₂ Equivalent per US Million Dollars	10.50	12.16



Parameter	Unit	FY 2025-26	FY 2024-25
Total Scope 1 and Scope 2 emission intensity in terms of physical output		-	-
Total Scope 1 and Scope 2 emission intensity per rupee of Value of Production (Total Scope 1 and Scope 2 GHG emissions /Value of Production)	Metric tones of CO ₂ Equivalent per ₹ Crore	4.08	4.58

Note:

- Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. **Yes, Sustainability Actions Pvt Ltd**
- The information on emission of GHG is derived based on the consumption date of fuels, electricity and refrigerants collected from all the Divisions of the HAL through a centralized portal and consolidated.
- The Scope 1 emissions from fuel use have been derived based on conversion factors in Table 2.3 of 2006 IPCC Guidelines for National Greenhouse Gas Inventories.
- The Scope 2 emissions from electricity use have been derived based on conversion factor published by Central Electricity Authority Document Version 21.
- The PPP adjusted revenue is derived based on the PPP rate published by IMF at <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC>

8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

HAL has made investments towards installation of energy efficient chillers / Air Conditioners and ceiling fans.

The Company also uses renewable energy for captive consumption at production sites. Details of the renewable energy are:

- ❖ **Rooftop solar:** HAL has installed a total of 8.53 MW capacity Rooftop based Solar Energy Systems.
- ❖ **Ground mounted solar:** HAL has installed a total of 26.95 MW capacity solar power plants.
- ❖ **Wind Energy:** HAL has installed 14.7 MW capacity wind power plants in Karnataka.

9. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2025-26	FY 2024-25
Total Waste generated (in metric tonnes)		
Plastic waste (A)	15.65	30.54
E-waste (B)	13.61	17.48
Bio-medical waste (C)	27.62	26.37
Construction and demolition waste (D)	1,585.79	4,638.97
Battery waste (E)	21.39	55.02
Radioactive waste (F)	0	0
Other Hazardous waste. Please specify, if any. (G)		
(i) ETP/Paint/Magnesium sludge	68.44	63.71
(ii) Used Oil/Coolant oil (KL)	500.75	504.02
(iii) Waste residue containing oil	20.04	5.38
(iv) Spent hardening salt/grease/chemicals	145.65	18.55
(v) Others	53.89	194.61
Sub-total (G)	788.87	786.27
Other Non-hazardous waste generated (H) . Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)		



Parameter	FY 2025-26	FY 2024-25
(i) Metal Scrap	762.38	1,585.18
(ii) Non-Metal Scrap	1,737.01	2,636.28
(iii) Mixed waste	4,728.55	8,510.15
(iv) Others (Cu.m)	-	-
Sub-total (H)	7,227.94	12,731.61
Total (A + B + C + D + E + F + G + H)	9,680.77	18,286.26
Waste intensity per rupee of turnover (Total waste generated / Revenue from operations)	0.29 MT per ₹ Crore	0.59 MT per ₹ Crore
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP)	0.60 MT per Million USD	1.22 MT per Million USD
Waste intensity in terms of physical output	-	-
Waste intensity per rupee of Value of Production (Total waste generated / Value of Production)	0.23 MT per ₹ Crore	0.48 MT per ₹ Crore
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste (Plastic waste)		
(i) Recycled	0	2.14
(ii) Re-used	0	0
(iii) Other recovery operations	1.02	3.50
Total	1.02	5.64
Category of waste (E-waste)		
(i) Recycled	0.26	2.18
(ii) Re-used	0	0
(iii) Other recovery operations	0	0
Total	0.26	2.18
Category of waste (Bio-medical waste)		
(i) Recycled	0	0
(ii) Re-used	0	0
(iii) Other recovery operations	0	0
Total	0	0
Category of waste (Construction and demolition waste)		
(i) Recycled	0	0
(ii) Re-used	0	0
(iii) Other recovery operations	0	0
Total	0	0
Category of waste (Battery waste)		
(i) Recycled	7.10	13.75
(ii) Re-used	0	0
(iii) Other recovery operations	0	1.40
Total	7.10	15.15
Category of waste (Used/Coolant Oil)		
(i) Recycled (KL)	0	0
(ii) Re-used	0	0
(iii) Other recovery operations	0	0
Total (KL)	0	0



For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)

Category of waste (Other Hazardous waste)		
(i) Recycled	0	0
(ii) Re-used	0	0
(iii) Other recovery operations	0	0
Total	0	0
Category of waste (Other Non-Hazardous waste)		
(i) Recycled	0	0
(ii) Re-used	0	0
(iii) Other recovery operations	0	0
Total	0	0

For each category of waste generated, total waste disposed by nature of disposal method (in Metric tonnes)

Category of waste (Plastic waste)		
(i) Incineration	0	0
(ii) Landfilling	0.12	2.30
(iii) Other disposal operations	14.50	22.60
Total	14.62	24.90
Category of waste (E-waste)		
(i) Incineration	0	0
(ii) Landfilling	0	0
(iii) Other disposal operations	13.35	15.30
Total	13.35	15.30
Category of waste (Bio-medical waste)		
(i) Incineration	24.82	22.72
(ii) Landfilling	0	0
(iii) Other disposal operations	2.81	3.65
Total	27.63	26.37
Category of waste (Construction and demolition waste)		
(i) Incineration	0	0
(ii) Landfilling	879.06	3067.61
(iii) Other disposal operations	706.72	1571.36
Total	1585.78	4638.97
Category of waste (Battery waste)		
(i) Incineration	0	0
(ii) Landfilling	0	0
(iii) Other disposal operations	14.29	39.87
Total	14.29	39.87
Category of waste (Used/Coolant Oil)		
(i) Incineration (KL)	35.8	38.80
(ii) Landfilling	0	0
(iii) Other disposal operations	464.95	465.22
Total (KL)	500.75	504.02
Category of waste (Other hazardous waste)		
(i) Incineration	17.81	171.39
(ii) Landfilling	0	0
(iii) Other disposal operations	270.26	110.86
Total	288.07	282.25



For each category of waste generated, total waste disposed by nature of disposal method (in Metric tonnes)

Category of waste (Other Non-hazardous waste)

(i) Incineration	0	0
(ii) Landfilling	0	0
(iii) Other disposal operations (cu.m)	7227.94	12,918.12
Total	7227.94	12,918.12

Note:

- Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency?
Yes, Sustainability Actions Pvt Ltd.
- The information on disposal of various types of waste is collected from all the Divisions of the HAL through a centralized portal and consolidated.
- The various waste generated are disposed by auction/contractors. Hazardous waste is disposed through Pollution Control Board authorized agencies either for recycling/incineration/ other disposal as per applicable waste management rules. Non-hazardous waste such as metal and non-metal scrap is disposed by auction through MSTC portal. Mixed waste consisting of municipal waste is disposed through local authorized agencies.
- The PPP adjusted revenue is derived based on the PPP rate published by IMF at <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC>

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

The Company has adopted a strong waste management system to meet the compliance with respect to local regulations. The well-established system is supporting our operations to properly segregate the waste at source & adopt the 3R concept to reduce, reuse & recycle. The waste generated within our premises is recycled through authorized recyclers and on-site composting machines (in facilities and residential establishments) and remaining waste is disposed through State Pollution Control Board approved landfill /incineration facilities.

HAL is governed by various Acts and Rules like the Hazardous and Other Wastes (Management and Trans boundary Movement) Rules, 2016, Solid Waste Management Rules, 2016, Air Prevention and Control of Pollution Act (1981), Environment (Protection) Act, 1986, Water Act 1974 (Prevention and Control of Pollution), etc.

All the Divisions are ISO 14001 certified and comply with the rules prescribed by respective State Pollution Control Boards. All emissions and waste generation is monitored as prescribed by the Pollution Control Boards.

Municipal Solid Waste (MSW) generated from Townships and Factories is segregated at source in Townships and Factories (Wet, Dry, Garden, Sanitary and Rejects). Through the process of Vermi-Composting, the Bio-degradable waste comprising of domestic waste and horticulture waste is being converted to manure. For better utilization of biodegradable waste generated from HAL Estates, the Company has installed Solid Waste Management Units like Organic Waste Converters and Bio Gas Plants at select places.

The Divisions which use and generate hazardous effluents such as chrome, acid/alkali, cyanide etc. have independent Effluent Treatment Plants (ETPs) for treatment.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

Sl. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
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The Company does not have any operations/ offices in/ around ecologically sensitive areas.



12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
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NOT APPLICABLE

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N).

Yes,

If not, provide details of all such non-compliances, in the following format:

Sl. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non- compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
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NOT APPLICABLE

PRINCIPLE 7

BUSINESSES, WHEN ENGAGING IN INFLUENCING PUBLIC AND REGULATORY POLICY, SHOULD DO SO IN A MANNER THAT IS RESPONSIBLE AND TRANSPARENT

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations.

The Company has taken Corporate Membership with eight (8) Nos. of trade and industry chambers/ associations.

- b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

Sl. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	Federation of Indian Chambers of Commerce & Industry (FICCI)	National
2	The Associated Chambers of Commerce & Industry of India (ASSOCHAM India)	National
3	Confederation of Indian Industry (CII)	National
4	Engineering Export Promotion Council India (EETPC)	National
5	Society of Indian Defence Manufacturers (SIDM)	National
6	Standing Conference of Public Enterprises (SCOPE)	National
7	Society of Defence Technologists (SODET)	National
8	Indian National Academy of Engineering (INAE)	National

2. Provide details of corrective action taken or underway on any issues related to anti- competitive conduct by the entity, based on adverse orders from regulatory authorities.

Name of authority	Brief of the case	Corrective action taken
Nil	-	-



PRINCIPLE 8

BUSINESSES SHOULD PROMOTE INCLUSIVE GROWTH AND EQUITABLE DEVELOPMENT

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Name and brief details of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
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NOT APPLICABLE

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

Sl. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (In INR)
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NOT APPLICABLE

3. Describe the mechanisms to receive and redress grievances of the community.

Centralised Public Grievance Redress and Monitoring System (CPGRAMS) which is available through the web link pgportal.gov.in and also through standalone mobile application downloadable through Google Play store and mobile application integrated with UMANG is an online platform available to the citizens to lodge their grievances to the public authorities including HAL. It is a single portal connected to all the Ministries /Departments /PSU's of Government of India and States.

The portal can be used by the citizens to lodge their grievance on any subject related to service delivery. However, issues concerning RTI matters, Court related / Subjudice matters, Religious matters, Suggestions, Grievances of employees concerning their service matters including disciplinary proceedings etc. are not taken up for redress in the portal.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2025-26	FY 2024-25
Directly sourced from MSMEs/small Producers*	49%	53%
Directly from within India**	24%	23%

* Procurement from MSME/ Total Domestic Procurement

** Local Material consumption / Total material consumption.

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost.

Location	FY 2025-26	FY 2024-25
Rural	2%	3%
Semi-urban	23%	22%
Urban	2%	2%
Metropolitan	73%	73%

(Place to be categorized as per RBI Classification System - rural / semi-urban / urban / metropolitan)



PRINCIPLE 9

Businesses should engage with and provide value to their consumers in a responsible manner

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

The Company has a well-established, structured and periodic meeting schedule, with all our customers, for discussions on issues pertaining to various Projects, Effective and efficient operationalization of Air assets, MRO, Upgrade etc. The issues are swiftly resolved to the satisfaction of the customers.

All the Divisions of the Company are having full-fledged Customer services department. They engage with all the stakeholders for time bound resolution of issues. Divisional heads convene regular meetings to review the customer complaints. In addition, customer issues are being monitored at Complex & Corporate level also. Moreover, a monthly update is also forwarded to the Customers.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental and social parameters relevant to the product	100%
Safe and responsible usage	100%
Recycling and/or safe disposal	100%

3. Number of consumer complaints in respect of the following:

	FY 2025-26		Remarks	FY 2024-25		Remarks
	Received during the year	Pending resolution at end of year		Received during the year	Pending resolution at end of year	
Data privacy	0	0	-	0	0	-
Advertising	0	0	-	0	0	-
Cyber-security	0	0	-	0	0	-
Delivery of essential services	0	0	-	0	0	-
Restrictive Trade Practices	0	0	-	0	0	-
Unfair Trade Practices	0	0	-	0	0	-
Other (Complaints related to products and services from customers)	77	13	-	158	0	-

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	Nil	NA
Forced recalls	Nil	NA



5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes

https://hal-india.co.in/backend/wp-content/uploads/2023/03/Cyber_Security_Policy.pdf

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

Nil

7. Provide the following information relating to data breaches:

- Number of instances of data breaches : Nil
- Percentage of data breaches involving personally identifiable information of customers: Not Applicable
- Impact, if any, of the data breaches: Not Applicable



Independent Assurance Statement

To,
The Board of Directors
Hindustan Aeronautics Limited
15/1, Cubbon Road,
Bengaluru – 560 001, Karnataka.

Scope and Approach

Sustainability Actions Private Limited (“SAPL”) has been engaged by the management of Hindustan Aeronautics Limited (“HAL” or “the Company”), to perform an Independent Reasonable Assurance Provider of the Company’s Business Responsibility and Sustainability Report (“BRSR”) Core Matrices (refer to annexure 1) for the Financial Year 2025-2026.

Reporting Criteria for Reasonable Assurance Opinion

Identified Sustainability Information subject to assurance	Period subject to assurance	Level of assurance	Reporting Criteria
BRSR Core Attributes	From 1 st April, 2025 to 31 st March, 2026	Reasonable Assurance	- Regulation 34(2)(f) of the Securities and Exchange Board of India (SEBI) Listing Obligations and Disclosure Requirements (SEBI LODR) - Guidance note for BRSR format issued by SEBI - Greenhouse Gas (GHG) Protocol (A Corporate Accounting and Reporting Standard) (Revised) developed by World Resources Institute (WRI) / World Business Council for Sustainable Development (WBCSD) - SEBI/HO/CFD/PoD-1/P/CIR/2024/177 dated December 20, 2024 – Industry Standards Note on Reporting of BRSR Core. - SEBI/HO/CFD/PoD-1/P/CIR/2025/42 dated 28th March 2025 - Measures to facilitate ease of doing business with respect to framework for assurance or assessment, ESG disclosures for value chain, and introduction of voluntary disclosures on green credits.

Reasonable Assurance Opinion

Based on our review and procedures followed for a reasonable level of assurance and evidence obtained, we are of the opinion that, the information covered by Reasonable Assurance in the Business Responsibility and Sustainability Report for the FY25-26 is prepared, in all material respects, in accordance with the Reporting Criteria and the Reporting Boundary as set out in Section A: General Disclosures 13 of the Business Responsibility and Sustainability Report.

Basis For Opinion and Conclusion

We conducted our engagement in accordance with Standard on Sustainability Assurance Engagements (ISAE - Revised) 3000. As part of our assurance process, a multi-disciplinary team of

sustainability and assurance specialists reviewed the disclosures presented within the Report and referenced information. The procedures conducted were based on professional judgement and included inquiries, observation of processes performed, inspection of documents, evaluation of quantification methods and reporting policies, analytical procedures, and reconciliation with underlying records.

We interviewed with selected senior managers responsible for management of disclosures and review of selected evidence to support environmental KPIs and metrics disclosed in the Report. We were free to choose interviewees and interviewed those with overall responsibility of monitoring, data collation and reporting the selected indicators.



Given the circumstances of the engagement, in executing the procedures outlined above, we:

- Reviewed the disclosures under BRSR Core, encompassing the framework for assurance consisting of a set of Key Performance Indicators (KPIs) under 9 ESG attributes.
- Evaluation of the design and implementation of key systems, processes and controls for collecting, managing and reporting the BRSR Core indicators. Assessment of operational control and reporting boundaries.
- Seek extensive evidence across all relevant areas, ensuring a detailed examination of BRSR Core indicators. Engaged directly with stakeholders to gather insights and corroborative evidence for each disclosed indicator.
- The audit team conducted on-site audits for data testing and also, to assess the uniformity in reporting processes and also, quality checks at different locations of the Company. Sites for data testing and reporting system checks were selected based on the percentage contribution each site makes to the reported indicator, complexity of operations at each location (high/low/medium) and reporting system within the organization.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our reasonable assurance opinion.

Management Responsibilities

The Company's Management is responsible for identification of key aspects, content and presentation of the Business Responsibility and Sustainability Report in accordance with the Criteria mentioned above. This responsibility includes:

- The design, implementation and maintenance of internal control relevant to the preparation of the Business Responsibility and Sustainability Report and measurement of BRSR Core and other Matrices, which are free from material misstatement, whether due to fraud or error.
- Selecting or developing suitable criteria for preparing the Assured Sustainability Information and appropriately referring to or describing the criteria.
- Ensuring compliance with law, regulation or applicable contracts.
- Making judgements and estimates that are reasonable in the circumstances.

- Identifying and describing any inherent limitations in the measurement or evaluation of information covered by assurance in accordance with the reporting criteria.

Independence and Quality Control

We are independent from the entity in accordance with the requirements of independence and quality assurance set out in BRSR provisions and professional pronouncements and have fulfilled our additional professional obligations in accordance with these requirements.

Our assurance engagements are based on the assumption that the data and information provided by the company to us as part of our review have been provided in good faith and free from material misstatements. We were not involved in the preparation of any statements or data included in the Report except for Assurance Statement. Our firm applies International Standard on Quality Management and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements. We apply SQC 1 for quality control in assurance and related services.

Our Responsibility

Our responsibility is to express a reasonable assurance opinion and limited assurance conclusion on the identified sustainability indicators, based on the procedures we have performed and the evidence we have obtained. We conducted our engagement in accordance with the International Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information ('ISAE 3000'), and the terms of reference for this engagement as agreed with the Company. Those standards require that we plan and perform our engagement to obtain assurance about whether, in all material respects, the Identified Sustainability Subject Information is presented in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

Inherent Limitations

We have relied on the information, documents, records, data, and explanations provided to us by the Company for the purpose of our review. The assurance scope excludes:

- Any disclosure other than those mentioned in the scope section above



- Data and information outside the defined reporting period
- Data related to Company's financial performance, strategy and other related linkages expressed in the Report.
- The reported financial data are based on audited financial statements issued by the Company's statutory auditors which is subject to a separate audit process. We were not involved in the review of financial data from the Annual Report.
- The Company's statements that describe expression of opinion, belief, aspiration, expectation, forward looking statements provided by the Company and assertions related to Intellectual Property Rights and other competitive issues.
- Mapping of the Report with reporting frameworks other than those mentioned in Reporting Criteria above.
- While we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls.
- The procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

For and behalf of Sustainability Actions Pvt. Ltd.
(CIN – U74999HR2021PTC093811)



Saket Sinha
(Director)

Place: Gurgaon
Date: 17th June 2026



Annexure – I

BRSR Core attributes - Reasonable assurance for financial year 2025-26

BRSR CORE Indicator	Description of Indicator
Section C - Principle 1 - E8	Number of days of accounts payable
Section C - Principle 1 - E9	Concentration of purchases & sales done with trading houses, dealers and related parties Loans and advances & investments with related parties
Section C – Principle 3 - E1(c)	Spending on measures towards well-being of employees and workers – cost incurred as a % of total revenue of the company
Section C – Principle 3 - E11	Details of safety related incidents including lost time injury frequency rate, recordable work-related injuries, no. of fatalities
Section C – Principle 5 - E3(b)	Gross wages paid to females as % of wages paid
Section C – Principle 5 - E7	Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, including complaints reported, complaints as a % of female employees and complaints upheld
Section C – Principle 6 - E1	Details of total energy consumption (in Joules or multiples) and its intensity
Section C – Principle 6 - E1	Details of total energy intensity
Section C – Principle 6 - E3	Details of water withdrawal by source
Section C – Principle 6 - E3	Details of water consumption and its intensity
Section C – Principle 6 - E4	Details of water discharged by destination and level of treatment
Section C – Principle 6 - E6	Details of Air Emissions (Other than GHG emissions)
Section C – Principle 6 - E7	Details of greenhouse gas emissions (Scope 1)
Section C – Principle 6 - E7	Details of greenhouse gas emissions (Scope 2)
Section C – Principle 6 - E7	Details of greenhouse gas emissions (Scope 1 and Scope 2) and its intensity
Section C – Principle 6 - E9	Details related to waste generated by category of waste
Section C – Principle 6 - E9	Details related to waste recovered through recycling, re-using or other recovery operations
Section C – Principle 6 - E9	Details related to waste disposed by nature of disposal method
Section C – Principle 8 - E4	Input material sourced from following sources as % of total purchases – Directly sourced from MSMEs/ small producers and from within India
Section C – Principle 8 - E5	Job creation in smaller towns
Section C – Principle 9 - E7	Instances involving loss/breach of data of customers as a percentage of total data breaches or cyber security events



Independent Auditor's Report

TO THE MEMBERS OF HINDUSTAN AERONAUTICS LIMITED

Report on the Audit of Standalone Financial Statements

Opinion

We have audited the accompanying Standalone Financial Statements of **Hindustan Aeronautics Limited** ("the Company") which comprise the Balance Sheet as at 31st March 2026, and the Statement of Profit and Loss (including Other Comprehensive Income), Statement of Changes in Equity and the Statement of Cash Flows for the year then ended, and Notes to the Standalone Financial Statements, including a summary of the Material Accounting Policies and other explanatory information (hereinafter referred to as "the standalone financial statements") in which are included the returns of 26 divisions for the period ended on that date audited by the Division Auditors of the company.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Standalone Financial Statements give the information required by the Companies Act, 2013 ("Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March 2026, and its Profit, Total comprehensive income, Changes in Equity and its Cash Flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the Standalone Financial Statements in accordance with the Standards on Auditing (SA's) specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the *Auditor's Responsibilities for the Audit of the Standalone Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the Standalone Financial Statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

(I) Attention is invited to Notes to the Standalone Financial Statements extracted below:

Note 49: Clause - 43G

Revision of pay scales of executives and workmen, with effect from 01.01.2017 was implemented in accordance with the guidelines issued by Department of Public Enterprises vide OM dated 03.08.2017 for Executives and in accordance with the Wage Agreement entered into between Management and Employees Union representative in 2019-20 in respect of Workmen.

On an interpretation on pay refixation and pursuant to the directives of the Administrative Ministry, the pay fixation to be revised and the excess amount paid is to be recovered from the employees. Based on the directives Company issued a Circular dated 24.07.2021 and the communication dated 26.07.2021 for recovery of the excess amount.

While so, the Employees Union and Officers Association have filed Writ Petition with Hon'ble High Court of Karnataka to stay recovery of excess amount of salary paid by the Company. The H'ble High court given verdict in favour of Officers Associations by setting aside the Circular dated 24.07.2021 and the communication dated 26.07.2021 issued by the Management during 2024-25. The order of the H'ble High Court in favour of Officers was put up to the Board in its 490th Meeting held on 12.02.2025. Board has noted the judgement of the H'ble High Court and accorded approval to abide by the Court order. Accordingly, the differential amount withheld by the Management in respect of Ex-officers has to be released /refunded to the concerned Ex-officers / Nominees along with applicable interest. Further, in respect of officers an amount of ₹18565 lakhs credited to salaries and wages in the earlier years and kept under claims receivable has been reversed during 2024-25.

In respect of Workmen, The Hon'ble High court vide order dated 10.03.2026 has allowed the Writ petition filed by Employees Union. Accordingly in line with the orders of Hon'ble High Court of Karnataka, the differential amount withheld



by the division along with Interest in respect of Ex-workmen to be released /refunded during FY 2026-27 to the concerned Ex-workmen / Nominees.

Further, in respect of workmen impact of one increment an amount of ₹ 16390 lakhs credited to salaries and wages in the earlier years (upto 31.03.2025) and kept under claims receivable has been reversed during 2025-26. Accordingly, employees cost for the current year is not comparable with the corresponding previous year.

Note 49: Clause - 43D(ii)

Ministry vide OM dated 12.07.2023 has conveyed the approval for increasing the Company's contribution to the Pension Scheme of Executives from existing 7% to 10% of Basic Pay + DA w.e.f. 01.01.2017. Revision of Pension contribution from 7% to 10% of Basic Pay + DA w.e.f. 01.01.2017 has been made in respect of Executives who are on the rolls of the Company as on the date of implementation of the revised ceiling i.e. 01.01.2017 implemented during 2023-24.

In respect of Workmen, Company issued Circular dated 24.04.2025 has conveyed the approval for increasing the Company's contribution to the Pension Scheme from existing 7% to 10% of Basic Pay + DA w.e.f. 01.01.2025. Revision of Pension contribution from 7% to 10% of Basic Pay + DA w.e.f. 01.01.2025 has been made in respect of workmen who were on the rolls of the Company as on the date of implementation of the revised ceiling during March 2025.

The additional liability accruing to the Company due to the increased ceiling in respect of workmen is ₹ 4145 lakh pertaining to the year ended 31.03.2026 (previous year: ₹1051 lakhs [01.01.2025 to 31.03.2025]). Accordingly, employees cost for the current year 31.03.2026 is not comparable with the corresponding previous year 31.03.2025.

Note 49: Clause – 13B

Exceptional item shown during 2024-25 represents ₹ 589 Lakhs received on 12th September 2024 for compensation received from the Office of Special Land Acquisition Officer, Bangalore under KIADB Act, on compulsory acquisition of 315 Sq. Mtrs. (0.078 Acres) of HAL land at Beninganahalli Village, Bangalore by M/s. Bangalore Metro Rail Corporation Ltd.

Note 49: Clause – 31B

Inventory items (both Company and Customer owned) held at the LCA TD store were damaged due to flood in September 2022. In respect of Company-owned items, the actual loss was assessed at ₹ 1,033 lakhs, for which a provision was created in the books of accounts. Following the division's insurance claim, the Insurance Surveyor confirmed the loss at ₹ 1,033 lakhs, and the full and final settlement was received from the insurance company in March 2026. Consequently, as of March 31, 2026, there is no damaged Company-owned inventory remaining in the books.

Regarding Customer-owned items, the initial loss was assessed at ₹ 5,590 lakhs, and a provision for replacement charges was established. However, based on feedback from OEMs regarding the retrieval of these items, the loss was reassessed at ₹ 1,091 lakhs. Accordingly, the excess provision of ₹ 4,499 lakhs was reversed by March 31, 2026. A provision of ₹ 1,091 lakhs for flood-affected Customer-owned inventory is being maintained as a future liability.

Note 49: Clause – 31D

One overhauled Su-30 Aircraft having tail no. SB-182 got crashed during a flight near Ozar, Nashik on 04th June 2024. HAL has taken an insurance policy for efforts and material used in overhaul, and preferred the claim with the Insurance Company for ₹ 14435 lakhs. An amount of ₹ 14071 lakhs have been advised for payment by Insurance Company after deducting policy Administration charges. The disbursement has been received by HAL Nasik on 17th January 2025.

Further, Brought on Charge (BOC) action of SB-182 was not completed and Aircraft was under custody & control of HAL. Board of Investigation (BOI) has been setup for finding the exact reason for the accident of aircraft. Customer is also demanding for the replacement of equivalent Aircraft. As there is no replacement aircraft (Cat-B) available, out of prudence, provision of ₹ 84336 lakhs for new aircraft have been created during 2024-25.

Note 49: Clause – 31C

Existing FPQ, arising out of 3rd PPRC, is up to 2022-23. 4th PPRC is under progress, due to which the prices for the year 2023-24 and onwards is yet to be firmed up.



For the year 2023-24, FPQ sales has been provisionally recognised by considering the approved FPQ price of 2022-23 and applying indices for 2023-24.

For the year 2024-25, FPQ sales has been provisionally recognised by considering the prices of 2023-24, as arrived above and applying indices for 2024-25.

For the year 2025-26, FPQ sales has been provisionally recognised by considering the prices of 2024-25 as arrived above.

Since FPQ finalisation has taken more than two years, on conservative basis the prices of 2024-25 has been considered for the financial year 2025-26 without any escalation.

Note 49: Clause – 43C(ii)

During the year 2011, C&AG observed that the profits earned from short-term deposits is an incidental activity and not a core activity of the Company and inclusion of the interest income from these deposits for PRP computation had led to excess of payment of ₹ 4318 lakhs to its executives. Based on HAL reply on difficulties in recovery, the C&AG vide letter dated 11th November 2024, suggested that the issue of difficulties in retrospective recovery of excess amount of ₹ 4318 lakhs paid on account of PRP for the year 2009-10 to 2011-12 be placed before the Board for obtaining waiver and disclose in the Financial statements.

In compliance with the C&AG letter, the issue of difficulties in retrospective recovery of excess amount paid on account of PRP for the year 2009-10 to 2011-12 to its Executives was placed before HAL Board in its 488th Meeting held on 16th December 2024.

After deliberation, HAL Board approved the waiver from recovery of ₹ 4318 lakhs of excess payment of PRP for the Year 2009-10 to 2011-12 to its Executives.

Necessary accounting treatment has been done in the accounts for the year ended 31.03.2025.

Note 49: Clause – 27

Balance shown under Trade Receivables, Trade Payable, Claims Receivable, Advance against Goods and Services, Capital Advances, deposits and stock / materials lying with sub-contractors / fabricators are under reconciliation. Since the Company is a Government entity under the control of Ministry of Defence (MoD), around 98% of the Company's turnover, around 99% of Trade receivables and Contract Assets, around 98% of Claims receivables and around 100% of the customer advances is with respect to Government and Government related entities. The bills are raised on the customers by the divisions located at various places and reconciliation is carried out on an ongoing basis. However, management does not expect to have any material financial impact of such pending confirmation / reconciliation.

Note 49: Clause – 43A

The ceiling of Gratuity payable to Officers & Workmen was ₹ 20 lakhs w.e.f. 1.1.2017. In terms of the DPE OM dated 3.8.17, the ceiling of Gratuity shall increase by 25% whenever Industrial Dearness Allowance (IDA) rises by 50%. From 01.10.2025 IDA has been revised to 51.80% as notified vide Circular dated 8.10.2025. Accordingly, ceiling of Gratuity to eligible Officers and Workmen of the Company have been revised from ₹ 20 lakhs to ₹ 25 lakhs from 01.10.2025.

The additional liability accruing to the Company due to the increased ceiling in respect of officers and workmen is ₹ 32733 lakh given effect in the year ended 31.03.2026 (previous year : ₹ Nil lakhs). Accordingly, employees cost for the year ended 31.03.2026 is not comparable with the corresponding previous year.

Note 49: Clause – 55L

The Government of India has notified four Labour Codes, collectively referred to as New Labour Codes effective from 21st November 2025. The incremental impact of these changes assessed by the company, on the basis of the information available, consistent with the guidance provided by the Institute of Chartered Accountants of India is not material and has been recognised in the financial results of the company for the year ended 31st March 2026 based on actuarial valuation.



Note 49: Clause – 24D:

During the audit of accounts for the financial year 2024–25, the Comptroller and Auditor General of India (C&AG) raised an observation regarding the accounting treatment of “Offset Credit benefits received free of charge as per the Purchase Order terms from foreign suppliers”. Accordingly, the Company referred the matter to the Expert Advisory Committee (EAC) of the Institute of Chartered Accountants of India (ICAI) on 24 September 2025 for its opinion on the appropriate accounting treatment. The opinion of the EAC was received on 07 March 2026.

Based on the opinion received from the EAC and the fair valuation assessed by the duly constituted committee, the Company has accounted for the Offset Credit benefits during the current year. Considering the immaterial impact on earlier periods and the impracticability involved in retrospective application, the accounting treatment has been applied prospectively in accordance with the principles of Ind AS 8 relating to accounting policies, changes in accounting estimates and errors.

Accordingly, during the year, the Company has recognised Revenue amounting to ₹ 11,317 lakhs, Intangible Assets amounting to ₹ 10,841 lakhs, Amortisation on Intangible Assets amounting to ₹ 1,790 lakhs, Claim receivable amounting of ₹ 2,944 lakhs, and Other Liability amounting to ₹ 3,831 lakhs. Consequently, the profit for the year has increased by ₹ 9,527 lakhs.

- (II) We draw attention that the Company is not complying with Regulation 17(1) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, and Section 149(4) of the Companies Act, 2013 pertaining to the required composition of its Board of Directors.
- (III) We draw attention to the fact that, during the year, up to 1st June 2025, the Company was not in compliance with the provisions of Section 177 and Section 178 of the Companies Act, 2013 and Regulations 18(1), 19(1), 19(2), 20(2), 20(2A), 21(2) and 17(2A) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, relating to the constitution of the Audit Committee, Nomination and Remuneration Committee, Stakeholders Relationship Committee and Risk Management Committee, as well as the quorum requirements for Board Meetings, due to the absence of the requisite number of Independent Directors. Subsequently, the said Committees were duly reconstituted and the quorum requirements for Board Meetings were complied with.

Our opinion is not modified in respect of these matters.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Standalone Financial Statements of the current period. These matters were addressed in the context of our audit of Standalone Financial Statements as a whole, and in forming our opinion thereon and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Key Audit Matters	Response to Key Audit Matters & Conclusion
a) Revenue recognition (Ind AS 115) The revenue standard establishes a comprehensive framework for determining whether, how much and when revenue is recognized. This involves certain key judgments relating to identification of distinct performance obligations, determination of transaction price of identified performance obligation, the appropriateness of the basis used to measure revenue recognized over a period. Additionally, the standard mandates robust disclosures in respect of revenue and periods over which the remaining performance obligations will be satisfied subsequent to the balance sheet date.	Our audit approach consisted testing of the design and operating effectiveness of the internal controls and substantive testing as follows: - Evaluated the appropriateness of the disclosures provided under the revenue standard and assessed the completeness and mathematical accuracy of the relevant disclosures. - Evaluated the design of internal controls relating to implementation of the revenue standard.



Key Audit Matters	Response to Key Audit Matters & Conclusion
	- Selected a sample of continuing and new contracts, and tested the operating effectiveness of the internal control, relating to identification of the distinct performance obligations and determination of transaction price. We carried out a combination of procedures involving enquiry and observation, reperformance and inspection of evidence in respect of operation of these controls. - Selected a sample of continuing and new contracts and performed the following procedures: - Read, analysed and identified the distinct performance obligations in these contracts. - Compared these performance obligations with that of identified and recorded by the Company. - Considered the terms of the contracts to determine the transaction price including any variable consideration to verify the transaction price used to compute revenue and to test the basis of estimation of the variable revenue. - Examination of the correspondence relating to price revision and ascertained the reasonableness of the estimates. - Sample of revenues disaggregated by type and service offerings was tested with the performance obligations specified in the underlying contracts. Due to detailed procedures, a portion of is recognised based on the most likely amount based on past experience and the consistent practices followed. We have verified the procedures related to revenue recognition including unbilled revenue.
b) Impairment of Trade Receivables In respect of receivables from Government the company does not make any impairment provision based on past experience. The amount involved being significant balance and management judgment we consider this as a Key Audit Matter.	We have verified the i) Effectiveness of internal controls in place and procedures followed in identifying the recoverability of long outstanding dues. ii) The procedures and follow-up actions in ascertaining the impairment of receivables. Our audit procedures include evaluation of provisions made for impairment in earlier years. We also made test checks of invoice wise collection details provided made in respect of in the five preceding financial years and we concluded the management assumption is reasonable.
c) Contract Asset Contract asset represents the revenue recognized but yet to be invoiced to the customer.	Contract Assets represents the Company's right to receive the consideration in exchange for the Goods or Services that the Company has transferred to the Customer, when that right is conditioned on something other than passage of time.



Key Audit Matters

d) Liquidated damages

The Company's contract with the customers has standard clause for Liquidated damages for delayed delivery. The company's product has extended period of manufacturing; design approvals and inspection by customer at various stages which result in delay in certain cases leading to liquidated damages. The liquidated damages recognized being significant in the statement of profit and loss, is considered a key audit matter in our opinion.

e) Work-in-Progress (WIP) - Inventories

Inventories include Work-in-Progress which have been physically verified by the management based on physical verification instructions.

f) Impairment Assessment of Intangible Assets and Intangible Assets Under Development

The Company has recognised significant intangible assets comprising software, documentation charges, development expenditure, and license fees. In addition, the Company also has intangible assets under development representing ongoing development charges. These assets are recognised and measured in accordance with Ind AS 38 – *Intangible Assets* and are subject to impairment testing under Ind AS 36 – *Impairment of Assets*.

The assessment of impairment for both completed intangible assets and those under development involves significant management judgment. This includes evaluating technical feasibility, future economic benefits, project viability, useful life estimations, and expected completion and commercialisation timelines for assets under development.

The Company has instituted an Impairment Review Committee, which conducts a structured evaluation of all HAL-funded R&D projects. The review includes analysis of approvals, project status, expenditure incurred, estimated completion costs, future economic benefits, and other relevant technical and financial parameters. Based on this review, the Committee recommends appropriate accounting actions such as recognition of impairment, amortisation, or deferral of costs.

Response to Key Audit Matters & Conclusion

We have verified the controls, period of delay, the expected days of delay as on 31.03.2026 and also the calculation for the liquidated damages recognized and found the system followed and calculation to be in order.

Our Audit Procedures generally include review of

- Physical Verification instructions
- Physical verification reports
- Roll back procedures
- Examining the basis of valuation on a test check basis

Currently, the verification of WIP is done on annual basis. The division wise WIP inventory was submitted from Divisions and consolidated at H.O. level.

Based on the above audit procedures we conclude that the valuation of WIP is proper.

Our audit procedures included, among others:

- Understanding and evaluating the Company's policy and procedures for identifying and assessing impairment indicators for both recognised intangible assets and those under development.
- Reviewing the functioning and documentation of the Impairment Review Committee, including its evaluation of project status, economic viability, and accounting recommendations.
- Reviewing the basis for management's judgments and estimates, including technical reviews, projected benefits, and cost-to-completion assumptions for selected projects.
- Verifying whether the impairment testing methodology was in accordance with Ind AS 36 and that capitalization criteria under Ind AS 38 were met for assets under development.
- Evaluating the adequacy and appropriateness of disclosures in the financial statements relating to intangible assets and their impairment assessment.

Based on the audit procedures performed, we found that the impairment assessment process was reasonable, and the judgments and estimates made by the management were supported by appropriate documentation.



Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the consolidated financial statements, Standalone Financial Statements and our Auditor's Report thereon. The Company's Annual report is expected to be made available to us after the date of this auditor's report.

Our opinion on the Standalone Financial Statements does not cover the other information and, we do not express any form of assurance conclusion thereon.

In connection with our audit of the Standalone Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Standalone Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibility of Management and Those Charged with Governance for the Standalone Financial Statements

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these Standalone Financial Statements that give a true and fair view of the Financial Position, Financial Performance (including Other Comprehensive Income), Changes in Equity and Cash Flows of the Company in accordance with the accounting principles generally accepted in India including the Indian Accounting Standards specified under Section 133 of the Companies Act, 2013. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Standalone Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Standalone Financial Statements, the Board of directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the board of directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the Standalone Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Standalone Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit.

We also:

- Identify and assess the risks of material misstatement of the Standalone Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.



- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Standalone Financial Statements, including the disclosures, and whether the Standalone Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the standalone financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Standalone Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Standalone Financial Statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings including any significant deficiencies in Internal Control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Standalone Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

The Standalone Financial Statements also include the audited Standalone Financial Statements of 26 Divisions of the Company, whose financial statements / financial information reflect the total assets of ₹ 135,35,704 lakh as at March 31, 2026, total income of ₹ 36,79,354 lakhs and Net profit before Tax of ₹ 12,11,208 lakhs for the year ended 31st March 2026, as considered in the Standalone Financial Statements which have been audited by the respective independent divisional auditors.

The Independent Auditors Reports on the Standalone Financial Statements of these Divisions have been furnished to us, and our opinion in so far as it relates to the amounts and disclosures included in respect of these Divisions, are based solely on the report of such auditors and the procedures performed by us are as stated in paragraph above.

Our opinion is not modified in respect of these matters.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143(3) of the Act, based on our audit we report, that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books, and proper return adequate for the purpose of an audit have been received from the branches not visited by us.



- c) The reports on the accounts of the branch offices of the Company audited under section 143(8) of the act by the branch auditors have been sent to us and have been properly dealt with us in preparing this report.
- d) The Balance Sheet, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows dealt with by this Report are in agreement with the books of account and with the returns received from the branches not visited by us.
- e) In our opinion, the aforesaid Standalone Financial Statements comply with the Indian Accounting Standards prescribed under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015 as amended.
- f) In terms of Circular No. GSR 463(E) dated 05th June 2015 issued by the Ministry of Corporate Affairs, Government of India, the company being Government Company, is exempt from the provisions of section 164(2) of the Act regarding disqualification of Directors.
- g) Ministry of Corporate Affairs vide notification no 1/2/2014-CL-V dated 23rd February 2018 has exempted the companies engaged in defence production to the extent of application of relevant Accounting Standard on Segment Reporting. In view of the above, no disclosure is made by the company as required by Ind AS 108. Subject to the above, we state that, in our opinion, the aforesaid Standalone Financial Statements comply with the Accounting Standards specified under Section 133 of the Act.
- h) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in **"Annexure A"**. Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls over financial reporting.
- i) As per Notification number G.S.R. 463 (E) dated 5th June, 2015 issued by Ministry of Corporate Affairs, section 197 of the Act regarding remuneration to director is not applicable to the Company, since it is a Government Company.
- j) With respect to the other matters to be included in the Auditors' Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company has disclosed the impact of pending litigations on its financial position in its Standalone Financial Statements as on 31.03.2026 except 221 cases pertaining to employee related issues for which the financial implication is not ascertainable - Refer Note 49 (2a), 49 (2b), 49 (20), 49 (21A), 49 (21B) to the financial statements.
 - ii. The Company has made provision, as required under the applicable law or accounting standards, for material foreseeable losses, on long-term contracts. The company does not have any derivative contracts.
 - iii. There has been no delay in transferring amounts required to be transferred to the Investor Education and Protection Fund by the company.
 - iv. (a) The management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other persons or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities Identified in any manner whatsoever by or on behalf of the company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
 - (b) The management has represented, that, to the best of its knowledge and belief, no funds have been received by the Company from any persons or entities, including foreign entities ("funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and



- (c) Based on such audit procedures we have considered reasonable and appropriate in the circumstances; nothing has come to the notice that has caused us to believe that the representations under sub-clause (i) and (ii) contain any material misstatement.
- v. (a) The final dividend paid by the Company during the year, in respect of the same declared for the previous year is in accordance with Section 123 of the Act to the extent it applies to payment of dividend.
- (b) The interim dividend declared and paid by the Company during the year and until the date of this audit report is in accordance with Section 123 of the Act.
- (c) The Company has not proposed any final dividend for FY 2025-26 up to the date of our report.
- vi. Based on our examination which included test checks, performed by us on the Company, the company has used accounting software for maintaining their respective books of account for the period ended 31st March 2026, which has a feature of recording audit trail (edit log) facility. The audit trail facility has been operating throughout the period 1st April 2025 to 31st March 2026 for all relevant transactions recorded in the software. Further, during the course of our audit we did not come across any instance of audit trail feature being tampered with.

Based on our examination which included test checks, performed by us on the Company, and information provided to us, the company is preserving the audit trail as per the statutory requirements for record retention as per proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014, as amended.

2. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013 we give in the **"Annexure-B"** statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
3. As required by section 143(5) of the Act, we give in **"Annexure C"** a statement on the matters specified by the Comptroller and Audit General of India for the Company.

FOR GUPTA NAYAR & CO.

Chartered Accountants
Firm Reg. No. 008376N

Nandlal Agarwal

Partner

M. No. 091272

UDIN: 26091272AKTDBQ3320

Place: Bengaluru
Date: 14.05.2026



ANNEXURE "A" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 1(h) under 'Report on Other Legal and Regulatory Requirements' section of our report to the Members of HINDUSTAN AERONAUTICS LIMITED of even date)

Report on the Internal Financial Controls with reference to Standalone Financial Statements under Clause (i) of sub-section 3 of Section 143 of the Companies Act, 2013 (the "Act")

We have audited the Internal Financial controls with reference to standalone financial statements of **HINDUSTAN AERONAUTICS LIMITED** ("the Company") as of 31 March, 2026 in conjunction with our audit of the Standalone Financial Statements of the Company for the year ended on that date.

Management's and Board of Directors' Responsibility for Internal Financial Controls

The Company's Management and the Board of directors are responsible for establishing and maintaining Internal Financial controls with reference to standalone financial statements criteria established by the Company, considering the essential components of Internal Control stated in the Guidance Note on Audit of Internal Financial controls with reference to financial statements, issued by the Institute of Chartered Accountants of India (ICAI). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records and the timely preparation of reliable financial information, as required under the Act.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's Internal Financial controls with reference to standalone financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial controls with reference to financial statements (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of Internal Financial Controls, with reference to financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate Internal Financial controls with reference to standalone financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the Internal Financial Controls System with reference to over Financial Reporting and their operating effectiveness. Our audit of Internal Financial controls with reference to standalone financial statements included obtaining an understanding of Internal Financial controls with reference to standalone financial statements, assessing the risk that a material weakness exists and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the Auditors' judgement, including the assessment of the risks of material misstatement of the standalone Financial Statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to standalone financial statements.

Meaning of Internal Financial controls with reference to Standalone Financial Statements

A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements include those policies and procedures that

- (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
- (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and
- (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.



Inherent Limitations of Internal Financial controls with reference to Standalone Financial Statements

Because of the inherent limitations of Internal Financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the Internal Financial controls with reference to financial statements to future periods are subject to the risk that the Internal Financial Control over Financial Reporting may become inadequate because of changes in conditions or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the company has, in all material respects, an adequate Internal Financial Controls System over Financial Reporting and such Internal Financial controls with reference to financial statements were operating effectively as at March 31, 2026, based on the Internal Control over Financial Reporting criteria established by the Company, considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial controls with reference to financial statements issued by ICAI.

Our opinion is not modified in respect of this matter

FOR GUPTA NAYAR & CO.

Chartered Accountants
Firm Reg. No. 008376N

Nandlal Agarwal

Partner

M. No. 091272

UDIN: 26091272AKTDBQ3320

Place: Bengaluru
Date: 14.05.2026



ANNEXURE “B” TO THE INDEPENDENT AUDITOR’S REPORT (Referred to in paragraph 2 under ‘Report on Other Legal and Regulatory Requirements’ section of our report to the Members of HINDUSTAN AERONAUTICS LIMITED of even date)

In terms of the information and explanations sought by us and provided to us by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief we state that;

- (i) In respect of the Company’s property, plant and equipment, right-of-use assets and intangible assets
- (a) (A) The Company has maintained proper records showing full particulars including quantitative details and situation of Property Plant and Equipment and relevant details of right-of-use-assets.
- (B) The Company has maintained proper records showing full particulars of intangible assets.
- (b) The Company has a programme of physical verification of these Property, Plant and Equipment so as to cover all the assets once in every five years, which in our opinion is reasonable having regard to the size of the company division and nature of its assets. Pursuant to the programme, certain Property, Plant and Equipment’s and right of use assets were due for verification during the year and were physically verified by the management during the year. According to the information and explanations given to us no material discrepancies were noticed on such verification.
- (c) The title deeds of all the immovable properties (other than properties where the company is the lessee and the lease agreements are duly executed in favour of the lessee) disclosed in the financial statements are held in the name of the company, except the following:

Description of item of property	Gross Carrying value	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/ director of employee of promoter/director	Property held since which date	Reason for not being held in the name of the company
Land 76.475 acres	5	Various Persons, Bangalore	N/A	1950’s Approx.	Compendium Error. Estate department in possession of Hand book with land acquired in various survey numbers called as Compendium. Few title documents are not available as per the compendium.
Land - 39.32 Acres	286	Lucknow Development Authority	N/A	5/19/1986	The land is in the possessions of the division. However, same is to be registered in the name of the division by Lucknow Development Authority.
Land at Kasbe Sukena Railway Station : Approx. 196.22 Acres of rail siding	-	Government of Maharashtra	No	Since Inception of Nasik Division (1964)	196.22 Acre Land being Railway siding land is not in use by HAL & to be returned to Appropriate authority of State Government. Division is continuously following up the matter.
Land at Ojhar : Approx. 69.477 Acres of land given by State Government	-	Government of Maharashtra	No	Since Inception of Nasik Division (1964)	Matter of 69.477 Acre of Land is being followed with Sub Divisional Magistrates Niphad for making Indenture.



Description of item of property	Gross Carrying value	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/ director of employee of promoter/director	Property held since which date	Reason for not being held in the name of the company
Land at Ghaukhera-Kanpur 16.81 acres	0	Exhibited as Audhyogik Krishik, Land in Govt. record	N/A	12/13/1965	Land acquired and handed over to HAL by District Land Acquisition Officer, case filed with SDM for transfer of name in title deed. Award & Possession certificate in the name of HAL.
Land at Chak kuriyan-Kanpur 7.92 acres	0	Not appearing in govt. record	N/A	12/22/1965	
Land at Dahli Sujapur-Kanpur 3.11 acres	0	Appearing as Vayuyaan Colony	N/A	12/15/1965	
Land-Kanpur 401.19 acres	4	No title deed	N/A	Since inception 1964-65	Possession of the immovable property was handed over to Hindustan Aeronautics Limited (HAL) by district Land Acquisition Officer and Indian Air Force, therefore no title deed is required to be executed under Government Grants Act, 1895. (Section 2 Government Grants are exempted from the operation of the Transfer of Property Act). Property held since beginning but date not available, award & possession certificate in the name of HAL 346.89 acres of land. The remaining 54.3 acres of land is transferred to HAL by IAF by way of transfer of land.
Building	35				
Land - 7.115 Acres		Govt. of India	NA	3/31/1969	7.115 acres of Land received from Army by Barrackpore division in exchange of 5 acres of Land at Bangalore, which was received free of cost from State Government before 31 st March 1969. Therefore, no title deed is required to be executed under Government Grant Act, 1895 (Section 2 Government Grants are exempted from operation of the Transfer of Property Act).
Land - 282.4 Acres		Various persons, Korwa Village	NA	11/26/1982	As informed vide UP Govt ltr No. 606/B/DT 08.05.1990 in the instant case sale deed or gift deed is not necessary. However the land is in the possession of the division.



- (d) The Company has not revalued any of its Property, Plant and Equipment and intangible assets during the year.
- (e) No proceedings have been initiated during the year or are pending against the Company as of 31st March 2026 for holding any benami property under Benami Transaction (Prohibition) Act, 1988 (has amended in 2016) and rules made thereunder.
- (ii) (a) The management has conducted physical verification of inventory at reasonable intervals and no discrepancies of 10% or more in the aggregate for each class of the inventory were noticed.
- (b) The Company has been sanctioned working capital limits in excess of ₹ 5 crore, in aggregate, during the year from banks on the basis of security of current assets. The Quarterly stock statement filed by the company and the books of accounts are in agreement. Refer note 35C of note 49 to financial statements.
- (iii) (a) The company has not provided any loans or advances in the nature of loan or stood guarantee or provided securities to any other entities during the year. Hence reporting under clause (iii)(a) of the Order is not applicable.
- (b) In our opinion, the Investment made during the year and the terms and conditions of the grant of loans during the year are, prima facie, not prejudicial to the Companies Interest.
- (c) The repayment of principal and payment of interest for employees' loan has been stipulated and the repayments are regular.
- (d) There are no overdue amount for more than ninety days.
- (e) The company has not granted any loan or renewed or extended or fresh loans granted to settle the overdues of existing loans given to the same parties. Hence, reporting under clause 3(iii)(e) of the Order is not applicable.
- (f) The Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying and terms or period of repayment during the year. Hence, reporting under clause 3(iii)(f) is not applicable.
- (iv) In terms of Circular No. GSR 463 (E) dated 5th June 2015 issued by Ministry of Corporate Affairs, Government of India, the Company being a Government Company engaged in Defence production is exempt from Section 185 and 186 of Companies Act, 2013 and hence reporting under clause 3(iv) is not applicable.
- (v) The Company has not accepted any deposits or amount which are deemed to be deposits. Hence, reporting under Clause 3 (v) of the order is not applicable.
- (vi) We have broadly reviewed the books of accounts relating to materials, labour and other items of cost maintained by the Company pursuant to the Rules made by the Central Government for the maintenance of cost records under Section 148 (1) of the Act and we are of the opinion that prima facie the prescribed accounts and records have been made and maintained. We have not, however made a detailed examination of the records with a view to determine whether they are accurate or complete.
- (vii) (a) The company is regular in depositing undisputed statutory dues, including Goods and Service Tax, Provident Fund, Employees' State Insurance, Income Tax, Sales Tax, Service Tax, Duty of Customs, Duty of Excise, Value Added Tax, Cess, Goods and Service Tax and any other Statutory Dues to the appropriate authorities and there were no undisputed amounts payable which were in arrears as at 31st March 2026 for a period of more than six months from the date they became payable except in case of LCA Division, details given below:

Name of the Statute	Amount (in lakhs)	Period to which amount related to
Sales Tax	0.46	2016
Value added Tax	8.24	2017
Service Tax	0.19	2017



- (b) Details of dues of Goods and Service Tax, Income Tax or Sales Tax or Service Tax or Duty of Customs or Duty of Excise or Value Added Tax, and Cess that have not been deposited as on 31st March 2026 on account of disputes are given below:

Service Tax (The Finance Act, 1994)

Assessment Year	Amount (in lakhs)	Appeal by	Forum Where Dispute is pending
August 2013 to March 2017	13	By Company	CESTAT, Bangalore
April 2008 to March 2009	387	By Company	CESTAT, Bangalore
April 2013 to March 2017	136	By Company	CESTAT, Bangalore
April 2017 to June 2017	6	By Company	CESTAT, Bangalore
FY 2009-10 & FY 2010-11	84	By Company	CESTAT
2012-13 till 2017-18	55	By Company	Commissioner of Central Tax (Appeals) East Commissionerate Domlur
2007-08	324	By Company	ST/134/1 0-MUM Dated 23.03.2010 17/ST/2009. Marter decided by CESTAT Mumbai in HAL Favour.
2008-09	260	By Company	ST/134/1 0-MUM Dated 23.03.2010 17/ST/2009. Marter decided by CESTAT Mumbai in HAL Favour.
2012-13,2013-14 and 2014-15	1244	By Company	ST/85782/2022-DB dt 25.03.2022-Appeal Disposed on 20.03.2024 and Remanded back to Lower Authority
2015-16	8	By Company	CESTAT
2016-17	5	By Company	CESTAT
2017-18	0	By Company	CESTAT
2012-13	9	By Company	CESTAT
2013-14	7	By Company	CESTAT Awaited
2014-15	8	By Company	CESTAT
2015-16	1261	By Company	Commissioner of CGST and Central Excise, Audit Commissionerate, Bhubaneswar
2016-17 & 2017-18	412	By Company	CESTAT EZB at Kolkata
2005-06 to 2009-10	385	By Company	CESTAT
2010-11	38	By Company	CESTAT
2011-12	340	By Company	CESTAT
2010-11	38	By Company	CESTAT
2015-16	280	By Company	CESTAT
2016-17 & 2017-18	242	By Company	CESTAT
2004-05 to 2008-09	426	By Company	Central Excise and Service Tax Appellate Tribunal New Delhi
Various years	166	By Company	Appeal
2005-06	62	By Company	CESTAT - Tribunal
2009-10	282	By Company	CESTAT - Tribunal
2016-17	13974	By Company	CESTAT - Tribunal



Assessment Year	Amount (in lakhs)	Appeal by	Forum Where Dispute is pending
2017-18	1904	By Company	CESTAT - Tribunal
2019-20	326	By Company	CESTAT - Tribunal
2012-13	42	By Company	CESTAT
2012-13 to 2017-18	1	By Company	Commissioner (Appeals)

Customs Duty (Customs Act, 1962)

Assessment Year	Amount (in lakhs)	Appeal by	Forum Where Dispute is pending
2015-16 to 2019-20	4098	By Company	CESTAT
FY 2018-19 and FY 2019-20	699	By Company	Demand and Show Cause Notice received. Appeal is yet to be filed
FY 2024-25	3665	By Company	Demand and Show Cause Notice received. Appeal is yet to be filed
FY 2012-13	64	By Company	CESTAT
FY 2012-13	10289	By Company	CESTAT
FY 2012-13	95	By Company	CESTAT
FY 2012-13	13121	By Company	CESTAT
FY 2016-20	264	By Company	CESTAT
FY 2017-18	22	By Company	CESTAT
FY 2022-23	60	By Company	Commissioner (Appeals)
FY 2023-24	243	By Company	Commissioner (Appeals)
2017-18	5532	By Company	CESTAT Mumbai
2024-25	5315	By Company	CESTAT Mumbai
2024	42	By Company	Pending before the Adjudicating Authority/ Commissioner of Customs
2017	8846	By Company	Appeal filed with Customs Excise and Tax Appellate Tribunal, Mumbai (Co-ordinated by Lucknow Division)
2024-25	1488	By Company	CESTAT, Mumbai
2017-18 to 2022-23	27896	By Company	CESTAT
2020-21 to 2022-23	1	By Company	CESTAT/ Tribunal
2018-19 and 2019-20	1463	By Company	CESTAT/ Tribunal
2020	6	By Company	Commissioner of Customs, Bengaluru

GST (Goods and Service Tax Act, 2017)

Assessment Year	Amount (in lakhs)	Appeal by	Forum Where Dispute is pending
2020-21	173	By Company	GST dept, Bequmpet
2020-21	6	By Company	GST dept, Bequmpet
2021-22	2013	By Company	GST dept, Bequmpet
2021-22	1408	By Company	Commissioner Appeals, GST.
2021-22	1931	By Company	Appeal
2021-22	1548	By Company	Asst. Commissioner (Appeals), Lucknow



Sales Tax (Value Added Tax for various States)

Assessment Year	Amount (in lakhs)	Appeal by	Forum Where Dispute is pending
2010-11	372	By Company	Appellate Tribunal Lucknow
2011-12	1432	By Company	High Court
2012-13	4156	By Company	High Court
2013-14	4859	By Company	High Court
2014-15	8310	By Company	High Court
2015-16	15268	By Company	Appellate Tribunal Lucknow
2016-17	14326	By Company	Appellate Tribunal Lucknow
2017-18	4602	By Company	Appellate Tribunal Lucknow
2004-05 to 2017-18	30273	By Company	Commissioner (Appeals) Tribunal
2005-06	102	By Company	WB Commercial Taxes Appellate and Revisional Board, Kolkata
2006-07	448	By Company	WB Commercial Taxes Appellate and Revisional Board, Kolkata
2007-08	348	By Company	WB Commercial Taxes Appellate and Revisional Board, Kolkata
2008-09	849	By Company	WB Commercial Taxes Appellate and Revisional Board, Kolkata
2016-17	83	By Company	West Bengal Taxation Tribunal, Kolkata
2015-16	12	By Company	Appellate Tribunal

Income Tax (Income Tax Act, 1961)

Assessment Year	Amount (in lakhs)	Appeal by	Forum Where Dispute is pending
2009-10, 2010-11, 2017-18	1	By Company	Assessing Officer
2011-12	33	By Company	Asst. Commissioner Income Tax, Kanpur
2013-14	162	By Company	Asst. Commissioner Income Tax, Kanpur
2017-18	4248	By Company	Commissioner of Appeals
2023-24	21015	By Company	Commissioner of Appeals
2024-25	17646	By Company	Commissioner of Appeals
2008-09 to 2024-25	19	By Company	Rectification / Correction is pending

Others

Assessment Year	Amount (in lakhs)	Appeal by	Forum Where Dispute is pending
April 2019 to Sept 2020	16	By Company	Arrears of ESI Contribution - ESIC Regional Director
2001-02 to 2025-2026	2917	By Company	Bombay High Court
2001-02 to 2025-2026	546	By Company	Bombay High Court
2011 onwards	773	By Company	Employees and Contractors

(viii) There were no transactions relating to previously unrecorded income that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961).



- (ix) (a) The company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.
- (b) The Company has not been declared wilful defaulter by any bank or financial institution or government or any government authority.
- (c) The Company has not taken any term loan during the year and there are no outstanding term loans at the beginning of the year and hence, reporting under clause 3(ix)(c) of the Order is not applicable.
- (d) On an overall examination of the financial statements of the Company, funds raised on short-term basis have, prima facie, not been used during the year for long-term purposes by the Company.
- (e) On an overall examination of the financial statement of the Company, the Company has not taken any funds from any entity or person on account of or to meet the obligation of its subsidiaries.
- (f) The Company has not raised any loans during the year and hence reporting under clause 3(ix)(f) of the order is not applicable.
- (x) (a) The Company has not raised moneys by way of initial public offer or further public offer (including debt instruments) during the year and hence reporting under clause 3(x)(a) of the Order is not applicable.
- (b) During the year, the Company has not made any preferential allotment or private placement of shares or convertible debentures (fully or partly or optionally) and hence reporting under clause 3(x)(b) of the Order is not applicable.
- (xi) (a) No fraud by the Company and no material fraud on the Company has been noticed or reported during the year.
- (b) Report under sub-section (12) of section 143 of the Companies Act is not required to file in Form ADT-4 as prescribed under rule 13 of the Companies (Audit and Auditors) Rules, 2014 with the Central Government, during the year and up to the date of this report.
- (c) As per the information and explanations provided to us, no whistle blower complaints are received during the year by the Company.
- (xii) The Company is not a Nidhi Company and hence complying with the provisions of the Nidhi Rules, 2014 does not arise.
- (xiii) All transactions with the related parties are in compliance with Sections 177 and 188 of the Companies Act, 2013 where applicable and the details have been disclosed in the Financial Statements etc, as required by the applicable Accounting Standards.
- (xiv) (a) In our opinion, the Company has an adequate internal audit system commensurate with the size and nature of its business.
- (b) We have considered, the internal audit reports for the year under audit, issued till date to the divisions during the year and till date.
- (xv) The Company has not entered into any non-cash transactions with Directors or persons connected with him.
- (xvi) a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Hence reporting under clause 3(xvi)(a), (b) and (c) of the Order is not applicable.
- b) In our opinion, there is no core Investment Company within Group (as defined in the Core Investment companies (Reserve Bank Directions, 2016) and accordingly reporting under clause 3(xvi)(d) of the order is not applicable.
- (xvii) The Company has not incurred cash losses during the financial year covered by our audit and the immediately preceding financial year.
- (xviii) There has been no resignation of the statutory auditor of the Company during the Year.
- (xix) On the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payments of financial liabilities, other information accompanying the financial statements and our knowledge of the Board of Directors and Management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our



attention, which causes us to believe that any material uncertainty exists as on the date of the audit report indicating that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date.

We, however, state that this is not an assurance as to the future viability of the Company.

We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

- (xx) a) There are no unspent amounts towards Corporate Social Responsibility ("CSR") on other than ongoing projects requiring a transfer to a Fund specified in Schedule VII to the Companies Act, 2013 in compliance with second proviso to sub-section (5) of Section 135 of the said Act. Accordingly, reporting under clause 3(xx)(a) of the Order is not applicable for the year.
- b) There is no unspent amount towards Corporate Social responsibility (CSR) on ongoing projects requiring a transfer to a special account in compliance with provisions of sub-section (6) of section 135 of the said act.

FOR GUPTA NAYAR & CO.

Chartered Accountants

Firm Reg. No. 008376N

Nandlal Agarwal

Partner

M. No. 091272

UDIN: 26091272AKTDBQ3320

Place: Bengaluru
Date: 14.05.2026



ANNEXURE "C" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 3 under 'Report on Other Legal and Regulatory Requirements' section of our report to the Members of HINDUSTAN AERONAUTICS LIMITED of even date)

Report on directions issued by the Comptroller and Auditor General of India under Section 143(5) of the Companies Act, 2013

Sl. No.	Areas Examined	Observation/Finding
1	Assess the fair valuation of all the investments, both quoted and unquoted, made directly by the Company or through Trusts, for Post-retirement benefits of the employees. This includes verifying valuation methodologies, ensuring consistency with Ind AS and reviewing supporting documentation. The auditor shall provide a brief note on the valuation approach, its reasonability, and compliance with applicable regulations, reporting any material deviations or misstatements.	The investments, made directly by the Company or through Trusts, for Post-retirement benefits of the employees have been valued appropriately in accordance with the applicable financial reporting framework and applicable regulations. The valuation approach and valuation methodologies applied by the company for these investments is appropriate.
2	Whether the Company has a system in place to process all the accounting transactions through IT system? If yes, whether review of this system and controls that are significant to the Companies financial reporting process as well as cyber security has been done by Information Security Auditing Organization empaneled by Cert-In at a minimum frequency of once in a year and material discrepancies found, if any, have been suitably reported? The implications of processing of accounting transactions outside IT system on the integrity of the accounts along with the financial implications, may also be reported.	Yes. The Company has ERP System in place and the accounting entries are generated in the system as and when transactions are undertaken. The ERP system is not linked to internet and the modules in the ERP system are not interlinked. In view of the same, certain journal entries are required to be passed for accounting of adjustments derived from the system and are subsequently fed into the system through the prescribed accounting process incorporating maker-checker controls to ensure the integrity of the system. Based on the audit procedures performed by us and the reports of reviews conducted by Information Security Auditing Organizations empanelled by CERT-In, the review of the IT systems, related controls significant to financial reporting and cyber security has been carried out during the year. No material weaknesses in such IT systems, controls or cyber security, which could result in material misstatement of the financial statements of the Company, have been reported in the aforesaid review reports or have come to our notice during the course of our audit, except that: - The Company has also obtained a Cyber Security Audit Report dated 03 June 2025 covering, inter alia, Network Architecture Review, Vulnerability Assessment Findings, Configuration Audit Findings of Network Devices, Firewall, WAF and NIPS, and Firewall Rule Review, wherein certain observations/recommendations categorised as Critical/ High/ Medium/ Low severity levels were reported. Further as explained, management is under process in compliance of this report. - Review by Information Security Auditing Organization empanelled by CERT-In was not conducted during the year in respect of Engine & IMGT (Last Done in October 2024), Nasik (Last Done in June 2024), Korwa, LOD and DPIT Divisions. - In respect of RWRDC Division, the review was carried out by the internal team of the Company and not by an external Information Security Auditing Organization empanelled by CERT-In.



Sl. No.	Areas Examined	Observation/Finding
3	Whether funds (grants/ subsidy etc.) received/ receivable for specific schemes from Central/ State Government or its agencies were properly accounted for as per the applicable accounting standards or norms and whether the received funds were utilised as per its terms and conditions? Whether accounting of interest earned on grants received has been done as per terms and conditions of the Grant. List the cases of deviation.	Grant in respect of Solar Power Plant received during the year in Nasik Division and, as reported by the Division Auditor, the same has been properly accounted for/utilised in accordance with the applicable accounting standards/norms and the terms and conditions of the grant. Further, no interest has been earned on such grant and hence no case of deviation has been reported.
4	Whether the Company has identified the key Risk areas? If yes, whether the Company has formulated any Risk Management Policy to mitigate these risks? If yes, (a) whether the Risk Management Policy has been formulated considering global best practices? (b) whether the Company has identified its data assets and whether it has been valued appropriately?	The Company has identified key risk areas and has formulated a Board-approved Risk Management Policy for monitoring and mitigation of such risks. The policy is implemented across the Company's divisions, and the identified risks are periodically reviewed and monitored by the Risk Management Committee. (a) As represented by the management, the Risk Management Policy has been formulated considering the nature, scale and complexity of the Company's operations and incorporates generally accepted/global risk management practices, wherever considered appropriate. (b) The Company has identified its data assets, including operational, financial, technical, design, production, manufacturing, maintenance, vendor, procurement, pricing, contract, customer and other databases. Data assets acquired for monetary consideration are recognized and valued in accordance with the applicable accounting standards. Internally generated information/data, which cannot be reliably measured in monetary terms, are appropriately managed and safeguarded.



Sl. No.	Areas Examined	Observation/Finding
5	Whether the Company is complying with the Securities and Exchange Board of India (SEBI) (Listing Obligation and Disclosure Requirements) Regulations, 2015, and other applicable rules and regulations of SEBI, Department of Investment and Public Asset Management, Ministry of Corporate Affairs, Department of Public Enterprises, Reserve Bank of India, Telecom Regulatory Authority of India, CERT-IN, Ministry of Electronics and Information Technology and National Payments Corporation of India wherever applicable? If not, the cases of deviation may be highlighted.	Based on the information and explanations given to us, representations made by the management, and audit procedures carried out by us, the company is generally complying with the provisions of Securities and Exchange Board of India (SEBI) (Listing Obligations and Disclosure Requirements) Regulations, 2015, and other applicable rules and regulations of SEBI, Department of Investment and Public Asset Management, Ministry of Corporate Affairs, Department of Public Enterprises, Reserve Bank of India, Telecom Regulatory Authority of India, CERT-IN, Ministry of Electronics and Information Technology and National Payments Corporation of India wherever applicable, except that the matters relating to non-compliance with the provisions pertaining to composition of the Board of Directors, constitution of certain Committees of the Board and quorum requirements for Board Meetings have been referred to in the Emphasis of Matter paragraphs II & III of our Independent Auditors' Report.

FOR GUPTA NAYAR & CO.

Chartered Accountants
Firm Reg. No. 008376N



Nandlal Agarwal

Partner

M. No. 091272

UDIN: 26091272AKTDBQ3320

Place: Bengaluru

Date: 14.05.2026



Imp-II/2026-27/HALAcct8/F-584/194

प्रधान निदेशक लेखापरीक्षा (रक्षा-वाणिज्यिक) का कार्यालय,
ऑडिट भवन - II
तृतीय और चौथा तल, 68/2, एच. सिदैया रोड
अर्चना कॉम्प्लेक्स के सामने,
एच. सिदैया रोड रेफरल हॉस्पिटल के बगल में,
दोड्डमावल्ली, सुधामा नगर, बेंगलुरु - 560002



OFFICE OF THE PRINCIPAL DIRECTOR OF AUDIT
(DEFENCE - COMMERCIAL),
Audit Bhawan - II
3rd and 4th floor, 68/2, H. Siddaiah Road,
Opposite Archana Complex,
Next to H. Siddaiah Road Referral Hospital,
Doddamavalli, Sudhamanagar, Bengaluru-560002

Confidential
By Speed Post

दिनांक / DATE 16/07/2026

To
The Chairman & Managing Director
Hindustan Aeronautics Limited
Corporate Office,
No.15/1, Cubbon Road,
Bengaluru-560001.

Sir,

Sub: Comments of the Comptroller and Auditor General of India under section 143(6)(b) of the Companies Act, 2013.

I forward herewith "Nil Comments Certificate" of the Comptroller and Auditor General of India under Section 143(6)(b) of the Companies Act, 2013 on the standalone accounts and consolidated accounts of Hindustan Aeronautics Limited, Bengaluru for the year ended 31 March 2026.

It may please be ensured that the Comments are:

- printed in *toto* without any editing;
- placed next to the Statutory Auditors' Report in the Annual Report of the Company with proper indication in the index;
- Placed before the AGM as required under proviso to Section 143(6)(b) of the Companies Act, 2013.

The receipt of this letter may please be acknowledged.

Yours faithfully,

(Arun Kumar V. M.)
Director (Admin)

Encl: As above.



**COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA
UNDER SECTION 143(6)(b) OF THE COMPANIES ACT, 2013 ON THE STANDALONE
FINANCIAL STATEMENTS OF HINDUSTAN AERONAUTICS LIMITED,
BENGALURU FOR THE YEAR ENDED 31 MARCH 2026.**

The preparation of standalone financial statements of Hindustan Aeronautics Limited, Bengaluru for the year ended 31 March 2026 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the company. The statutory auditor appointed by the Comptroller and Auditor General of India under section 139(5) of the Act is responsible for expressing opinion on the financial statements under section 143 of the Act based on independent audit in accordance with the standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 14 May 2026.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit of the financial statements of **Hindustan Aeronautics Limited, Bengaluru** for the year ended 31 March 2026 under section 143(6)(a) of the Act. This supplementary audit has been carried out independently without access to the working papers of the statutory auditors and is limited primarily to inquiries of the statutory auditors and company personnel and a selective examination of some of the accounting records.

On the basis of my supplementary audit, nothing significant has come to my knowledge which would give rise to any comment upon or supplement to the statutory auditors' report under section 143(6)(b) of the Act.

**For and on behalf of the
Comptroller & Auditor General of India**



(Sudha Rajan)

Director General of Audit (Defence-Commercial)

Place: Bengaluru

Date: 16 July 2026.



Standalone Balance Sheet as at March 31, 2026

Particulars	Note No.	(₹ in Lakhs)	
		As at 31 st March 2026	As at 31 st March 2025
ASSETS			
Non-current assets			
(a) Property, Plant and Equipment	1		
Gross Block	1A	1458468	1347461
Less: Accumulated Depreciation	1B	792309	701112
Less: Impairment	1C	50059	50059
Net Block		616100	596290
(b) Capital work-in-progress	2	102563	109108
(c) Investment Property	3		
Gross Block	3A	4	4
Less: Accumulated Depreciation	3B	2	2
Less: Impairment	3C	0	0
Net Block		2	2
(d) Goodwill	4		
(e) Other Intangible assets	5		
Gross Block	5A	573893	495729
Less: Accumulated Amortization	5B	395286	360704
Less: Impairment	5C	66048	64973
Net Block		112559	70052
(f) Intangible Assets under Development	6		
Gross Block	6A	294334	266103
Less: Accumulated Amortization	6B	58518	58518
Less: Impairment	6C	7080	6918
Net Block		228736	200667
(g) Financial Assets			
(i) Investments in Subsidiaries and Joint Ventures	7	13351	12822
(ii) Investments	7A	161874	149914
(iii) Trade Receivables	8	0	0
(iv) Contract Assets	8A	0	0
(v) Loans	9	540	557
(vi) Other Financial Assets	10	39068	38186
(h) Deferred tax Assets (Net)	11	113476	156799
(i) Other Non-Current Assets	12	250918	268683
Total non-current assets		1639187	1603080
Current assets			
(a) Inventories	13	3085066	2167570
(b) Financial Assets			
(i) Investments	14	0	0
(ii) Trade receivables	15	406628	464754
(iii) Contract Assets	15A	1913004	1588916
(iv) Cash and Cash Equivalents	16	376689	454693
(v) Bank Balances other than Cash and Cash Equivalents	17	4242537	3362383
(vi) Loans	18	1273	732
(vii) Other Financial Assets	19	150110	134671
(c) Current Tax Assets (Net)	20	13111	0
(d) Other Currents Assets	21	1394776	834513
Total current assets		11583194	9008232
Assets held for Sale		0	0
Total Assets		13222381	10611312



Standalone Balance Sheet as at March 31, 2026

Particulars	Note No.	As at 31 st March 2026	(₹ in Lakhs) As at 31 st March 2025
EQUITY AND LIABILITIES			
Equity			
(a) Equity Share capital	22	33439	33439
(b) Other Equity	23	4052812	3450846
Total equity		4086251	3484285
LIABILITIES			
Non-current liabilities			
(a) Financial Liabilities			
(i) Borrowings	24	0	0
(ia) Lease Liabilities	24A	745	33
(ii) Trade payables	25		
A) total outstanding dues of micro enterprises and small enterprises		0	0
B) total outstanding dues of creditors other than micro enterprises and small enterprises		0	0
Sub Total - Trade payables		0	0
(iii) Other Financial Liabilities	26	52627	49663
(b) Provisions	27	183169	185671
(c) Deferred Tax Liabilities (Net)	28	0	0
(d) Other Non-Current Liabilities	29	4468909	2482058
Total non-current liabilities		4705450	2717425
Current Liabilities			
(a) Financial liabilities			
(i) Borrowings	30	0	0
(ia) Lease Liabilities	30A	265	2
(ii) Trade payables	31		
A) total outstanding dues of micro enterprises and small enterprises		16176	17669
B) total outstanding dues of creditors other than micro enterprises and small enterprises		427443	493415
Sub Total - Trade payables		443619	511084
(iii) Other Financial Liabilities	32	269344	282561
(b) Other Current Liabilities	33	2950015	2760278
(c) Provisions	34	767437	841716
(d) Current tax liabilities (Net)	35	0	13961
Total current liabilities		4430680	4409602
Total Equity and Liabilities		13222381	10611312

Material accounting policies and accompanying notes no.1 to 49 form an integral part of the financial statements

As per our report of even date attached

For and on behalf of the Board of Directors

For GUPTA NAYAR & CO

Chartered Accountants,
Firm Registration No: 008376N

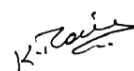


CA NANDLAL AGARWAL

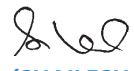
Partner
Membership No: 091272
Place: Bengaluru
Date: 14.05.2026



(Dr. BARENYA SENAPATI)
Director (Finance) & CFO
DIN: 08525943



(RAVI K)
Chairman & Managing Director
DIN: 10807781



(SHAILESH BANSAL)
Company Secretary
FCS No. 5064



Standalone Statement of Profit and Loss

for the year ended 31st March 2026

(₹ in Lakhs)

Sl. No.	Particulars	Note No.	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
	REVENUE			
I	Revenue from Operations	36	3308979	3098092
II	Other Income	37	370375	256553
III	Total Income (I+II)		3679354	3354645
IV	EXPENSES			
	Cost of Materials Consumed	38	2388698	1925790
	Purchases of Stock-in-Trade	38A	59112	67937
	Changes in Inventories of Finished Goods, Stock-in-Trade, Work-in-Progress and Scrap	39	-1002959	-762477
	Employee Benefits Expense	40	609685	571772
	Finance Costs	41	573	862
	Depreciation and Amortization Expense	42	135421	133970
	Impairment Loss	42A	1237	2474
	Other Expenses	43	209309	178169
	Direct Input to WIP / Expenses Capitalised	44	101825	37233
	Provisions	45	130495	253010
	Total Gross Expenses		2633396	2408740
	Less: Expenses relating to Capital and Other Accounts	46	165250	135507
	Total expenses (IV)		2468146	2273233
V	Profit/(Loss) before Exceptional items and Tax (III-IV)		1211208	1081412
VI	Exceptional Items	Clause 13B of Note 49	0	589
VII	Profit/(loss) before tax (V+VI)		1211208	1082001
VIII	Tax expense:			
	(1) Current Tax		270000	288000
	(2) Earlier Year Tax Refund/Liability	Clause 41B of Note 49	0	-25608
	(3) Deferred Tax		33641	-12071
IX	Profit (Loss) for the period from Continuing Operations (VII-VIII)		907567	831680
X	Profit/(loss) from Discontinued Operations			
XI	Tax expense of Discontinued Operations			
XII	Profit/(loss) from Discontinued Operations (after tax) (X-XI)		0	0
XIII	Profit/(loss) for the period (IX+XII)		907567	831680



Standalone Statement of Profit and Loss

for the year ended 31st March 2026

(₹ in Lakhs)

Sl. No.	Particulars	Note No.	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
XIV	Other Comprehensive Income (OCI)			
A	(i) Items that will not be reclassified to profit or loss	47	38468	2803
	(ii) Income tax benefit/(expense) on the items that will not be reclassified to Profit or Loss		-9682	-705
B	(i) Items that will be reclassified to profit or loss	48	0	0
	(ii) Income tax benefit/(expense) on items that will be reclassified to Profit or Loss		0	0
	Total Other Comprehensive Income (A + B)		28786	2098
XV	Total Comprehensive Income for the period (XIII+XIV) (Comprising Profit (Loss) and Other Comprehensive Income for the period)		936353	833778
XVI	Earnings per Equity Share (for Continuing Operations):	Clause 47 of Note 49		
	(1) Basic (₹)		135.71	124.36
	(2) Diluted (₹)		135.71	124.36
XVII	Earnings per Equity Share (for Discontinued Operations):			
	(1) Basic (₹)			
	(2) Diluted (₹)			
XVIII	Earnings per Equity Share (for Continuing & Discontinued Operations):			
	(1) Basic (₹)		135.71	124.36
	(2) Diluted (₹)		135.71	124.36

Material accounting policies and accompanying notes no.1 to 49 form an integral part of the financial statements

As per our report of even date attached

For and on behalf of the Board of Directors

For GUPTA NAYAR & CO

Chartered Accountants,
Firm Registration No: 008376N



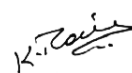
CA NANDLAL AGARWAL

Partner
Membership No: 091272
Place: Bengaluru
Date: 14.05.2026



(Dr. BARENYA SENAPATI)

Director (Finance) & CFO
DIN: 08525943



(RAVI K)

Chairman & Managing Director
DIN: 10807781



(SHAILESH BANSAL)

Company Secretary
FCS No. 5064

Standalone Statement of Changes in Equity

for the year ended 31st March 2026

A. Equity Share Capital

Particulars	Balance as at 1 April, 2025	Changes in Equity Share Capital due to prior period errors	Restated Balance as at 1 April, 2025	Changes in Equity Share Capital for the year ended 31 March, 2026	Balance as at 31 March, 2026
Equity Share Capital	33439	0	33439	0	33439

(₹ in Lakhs)

Particulars	Balance as at 1 April, 2024	Changes in Equity Share Capital due to prior period errors	Restated Balance as at 1 April, 2024	Changes in Equity Share Capital for the year ended 31 March, 2025	Balance as at 31 March, 2025
Equity Share Capital	33439	0	33439	0	33439

(₹ in Lakhs)

B. Other Equity (Refer Note 23)

Particulars	Other Equity					Total Other Equity (₹ in Lakhs)
	Reserves and Surplus			Other Comprehensive Income		
	Research and Development Reserve	Capital Redemption Reserve	Indigenization Fund Reserve	General Reserve	Remeasurements of net defined benefit liability/ asset	
Balance as at 1 April, 2025	384345	14761	36766	3014974		3450846
Changes in Other Equity due to changes in accounting policy or prior period errors						0
Restated Balance as at 1 April, 2025	384345	14761	36766	3014974	0	3450846
Changes in Other Equity for the Year ended 31 st March, 2026						
Profit for the Year ended 31 st March, 2026					907567	907567
Items that will not be reclassified to profit or loss						38468
Remeasurements of the net defined benefit liability/asset					28786	28786
Income tax relating to items that will not be reclassified to profit or loss						-9682
Transfer to Retained Earnings						-28786
Total comprehensive income for the Year ended 31 st March, 2026					936353	936353
Current year transfer	94506		18901			113407
Transfer to General Reserve on utilization	-8098		-14067			-22165
Surplus Transferred from Statement of Profit and Loss				488559		488559
Transfer from Indigenization Fund Reserve				14067		14067
Transfer from Research & Development Reserve				8098		8098
Transfer to Research & Development Reserve					-94506	-94506
Transfer to Indigenization Fund Reserve					-18901	-18901
Final Dividend (For FY 2024-25)					-100316	-100316
Interim Dividend (For FY 2025-26)					-234071	-234071
Transfer to General Reserves					-488559	-488559
Balance as at 31 st March, 2026	470753	14761	41600	3525698	0	4052812

(₹ in Lakhs)





Standalone Statement of Changes in Equity

for the year ended 31st March 2026

B. Other Equity (Refer Note 23)

Particulars	Other Equity					Total Other Equity
	Reserves and Surplus			Other Comprehensive Income		
	Research and Development Reserve	Capital Redemption Reserve	Indigenization Fund Reserve	General Reserve	Remeasurements of net defined benefit liability/ asset	
Balance as at 1 April, 2024	299646	14761	28885	2527911	0	2871203
Changes in Other Equity due to changes in accounting policy or prior period errors						
Restated Balance as at 1 April, 2024	299646	14761	28885	2527911	0	2871203
Changes in Other Equity for Year ended 31 st March, 2025						
Profit for the Year ended 31 st March, 2025						831680
Items that will not be reclassified to profit or loss						2803
Remeasurements of the net defined benefit liability/asset					2098	2098
Income tax relating to items that will not be reclassified to profit or loss						-705
Transfer to Retained Earnings						-2098
Total comprehensive income for Year ended 31 st March, 2025					833778	833778
Current year transfer	92176		18435			110611
Transfer to General Reserve on utilization	-7477		-10554			-18031
Surplus Transferred from Statement of Profit and Loss				469032		469032
Transfer from Indigenization Fund Reserve				10554		10554
Transfer from Research & Development Reserve				7477		7477
Transfer to Research & Development Reserve					-92176	-92176
Transfer to Indigenization Fund Reserve					-18435	-18435
Final Dividend (For FY 2023-24)					-86941	-86941
Interim Dividend					-167194	-167194
Transfer to General Reserves					-469032	-469032
Balance as at 31 st March, 2025	384345	14761	36766	3014974	0	3450846

Material accounting policies and accompanying notes No. 1 to 49 form an integral part of the Financial Statements

As per our report of even date attached

For and on behalf of the Board of Directors

For GUPTA NAYAR & CO

Chartered Accountants,

Firm Registration No: 008376N



CA NANDLAL AGARWAL

Partner

Membership No: 091272

Place: Bengaluru

Date: 14.05.2026



(Dr. BARENYA SENAPATI)

Director (Finance) & CFO

DIN: 08525943



(RAVI K)

Chairman & Managing Director

DIN: 10807781



(SHAILESH BANSAL)

Company Secretary

FCS No. 5064



Standalone Statement of Cash Flows

for the year ended 31st March 2026

Sl. No.	Particulars	₹ in Lakhs)	
		For the year ended 31 st March 2026	For the year ended 31 st March 2025
A	Cash flow from Operating activities		
	Profit After Tax	907567	831680
	Adjustments to reconcile net profit to net cash provided by operating activities		
	Income Tax expense	303641	250321
	(Gain)/Loss on sale of Property, Plant & Equipment	-207	-188
	Finance cost	573	862
	Interest Income	-308664	-228637
	Dividend Income	-580	-491
	Net (Gain)/Loss on Fair Value Adjustment	89	-168
	Depreciation, amortization and impairment expense	136658	136200
	Provision / (Reversal of Provision) for Impairment in Value of Investments	71	-783
	Provision for Doubtful Debts	108	83
	Provision for Doubtful Contract Assets	14338	15010
	Provision for Doubtful Claims	500	635
	Provision for Doubtful Advances	1297	240
	Provision for Replacement and Other charges	2742	126373
	Provision for Warranty	38728	37015
	Provision for Raw Materials and Components, Stores and Spare parts, Loose Tools and Equipment, Construction Materials, Work-in-progress and Inventory - Warranty	543	7678
	Provision for Liquidated Damages	72168	65843
	Operating Profit Before Working Capital Changes	1169572	1241673
	Adjustments for:		
	(Increase)/decrease in Trade Receivables	-280408	-417700
	(Increase)/decrease in Loans, Financial Assets and Other Assets	-547487	-262247
	(Increase)/decrease in Inventories	-918039	-852656
	Increase/(decrease) in Trade Payables	-67465	169617
	Increase/(decrease) in Financial Liabilities, Provisions and Other Liabilities	2034364	1839640
	Cash generated from Operations	1390537	1718327
	Income Taxes Paid	-298584	-353815
	Net Cash (used in)/generated from Operating Activities (A)	1091953	1364512
B	Cash flow from Investing activities		
	Purchase of Property, Plant & Equipment	-148475	-92974
	Purchase of Intangible Assets	-106395	-82683
	Proceeds from sale of Property, Plant & Equipment	8043	335
	Investment in Joint Ventures	-739	-1289
	Purchase of other non-current Investments	-11780	-10958
	Investment in short-term deposits	-880154	-1145615
	Interest Received	304279	255350
	Dividend Received from Joint Ventures	580	491
	Share application money paid	0	-41
	Net Cash (used in)/generated from Investing Activities (B)	-834641	-1077384



Standalone Statement of Cash Flows

for the year ended 31st March 2026

		(₹ in Lakhs)	
Sl. No.	Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
C	Cash flow from Financing Activities		
	Payment of Lease Liabilities	-132	-2
	Interest paid	-797	-3714
	Dividend Paid	-334387	-254135
	Net Cash (used in)/generated from Financing Activities (C)	-335316	-257851
	Net increase/(decrease) in Cash and Cash Equivalents (A+B+C)	-78004	29277
	Add: Cash and Cash Equivalents at the beginning of the year (Refer Note 16)	454693	425416
	Cash and Cash Equivalents at the end of the period (Refer Note 16)	376689	454693

Material Accounting Policies and accompanying notes no. 1 to 49 form an integral part of the Financial Statements

Notes:

- The above Statement of Cash Flows has been prepared under the "Indirect Method" as set out in Indian Accounting Standard 7 "Statement of Cash Flow"
- Cash & Cash equivalent include Short Term Deposits with Bank
- Cash and Cash Equivalents are available fully for use
- The Cash flow statement as above includes CSR Expenditure. Refer Clause 55J of Note 49

As per our report of even date attached

For and on behalf of the Board of Directors

For GUPTA NAYAR & CO

Chartered Accountants,
Firm Registration No: 008376N



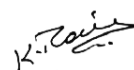
CA NANDLAL AGARWAL

Partner
Membership No: 091272
Place: Bengaluru
Date: 14.05.2026



(Dr. BARENYA SENAPATI)

Director (Finance) & CFO
DIN: 08525943



(RAVI K)

Chairman & Managing Director
DIN: 10807781



(SHAILESH BANSAL)

Company Secretary
FCS No. 5064



Material Accounting Policies for the financial year 2025-26

CORPORATE INFORMATION:

Hindustan Aeronautics Limited (the Company) is a public company domiciled in India and is incorporated under the provisions of the Companies Act applicable in India with its registered office located at Bengaluru, Karnataka, India. The Company's shares are listed on Bombay Stock Exchange (BSE) and the National Stock Exchange (NSE). The Company is a public sector enterprise and is under the administrative control of the Department of Defence Production, Ministry of Defence.

The Company is engaged in the design, development, manufacture, repair, overhaul, upgrade and servicing of a wide range of products including, aircraft, helicopters, aero-engines, avionics, accessories and aerospace structures.

1. BASIS OF PREPARATION OF FINANCIAL STATEMENTS

The Financial Statements are prepared to comply in all material aspects with Indian Accounting Standards (Ind AS) as prescribed under Section 133 of Companies Act, 2013 read together with relevant rules of the Companies (Indian Accounting Standards) Rules, 2015 (as amended). The Financial Statements have been prepared under the historical cost convention, on the accrual basis of accounting except for certain financial instruments that are qualified to be measured at fair value.

The functional currency of the Company is Indian Rupee.

2. USES OF ESTIMATES

- a) Preparation of financial statements in conformity with the recognition and the measurement principle of Ind AS requires the management of the Company to make estimates, judgments and assumptions that affects the reported balances of Assets and Liabilities, disclosure relating to contingent liabilities as on the date of the Financial Statements and the reported amount of revenues and expense for the reporting period.
- b) Estimates and the underlying assumption are reviewed on an ongoing basis. The revision to the accounting estimates, if material is recognized in the period in which the estimates are revised.
- c) Estimates and judgments made in applying accounting policies that have significant effect on the amounts recognized in the financial statements are as follows:

i. Employee Defined benefit plans

The liabilities and costs for defined benefit plans are determined using actuarial valuations. The actuarial valuation involves making assumptions. These assumptions include salary escalation rate, discount rates, expected rate of return on assets and mortality rates.

ii. Provisions and contingencies

Assessments undertaken in recognising provisions and contingencies have been made as per the best judgment of the management based on the current available information.

iii. Income Taxes

The Company's tax jurisdiction is India. Significant judgments are involved in estimating budgeted profits for the purpose of paying advance tax, determining the provision for income taxes, including amount expected to be paid/recovered for uncertain tax positions.

3. CURRENT/NON-CURRENT CLASSIFICATION

An asset is classified as current if it satisfies any of the following conditions:

- a) the asset is expected to be realized or intended to be sold or consumed in Company's normal operating cycle;
- b) the asset is held primarily for the purpose of trading;
- c) the asset is expected to be realized within twelve months after the reporting period;
- d) the asset is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting date;



Material Accounting Policies for the financial year 2025-26

All other assets are classified as non-current.

A liability is classified as current if it satisfies any of the following conditions:

- a) the liability is expected to be settled in Company's normal operating cycle;
- b) the liability is held primarily for the purpose of trading;
- c) the liability is due to be settled within 12 months after the reporting period;
- d) the Company does not have the right at the end of the reporting period to defer settlement of the liability for at least twelve months after the reporting period.

All other liabilities are classified as non-current.

The Company is having multiple business activities. For the purpose of current/non-current classification of assets and liabilities, the Company has ascertained its normal operating cycle, business activity wise as follows:

- i. For major manufacturing projects, repair and overhaul activities, spares, normal operating cycle is considered as the time period starting from the acquisition of assets for processing to their realization in cash or cash equivalents.
- ii. In respect of Design and Development projects operating cycle is considered as the time period starting from the date of implementation of the project till the date of initial operational clearance.
- iii. In respect of those activities/projects for which operating cycle cannot be determined or identified the same is taken as 12 months.

4. PROPERTY, PLANT AND EQUIPMENT (PPE)

- a) Items of Property, Plant and Equipment Property that qualifies for recognition as an asset is initially measured at its cost. Following initial recognition, the items of Property, Plant and Equipment are carried at their cost less accumulated depreciation and accumulated impairment losses if any.
- b) The cost includes purchase price, import duties and non-refundable purchase taxes after deducting trade discounts and rebates and any cost directly attributable including borrowing cost on qualifying assets to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by the management.
- c) Subsequent expenditure relating to PPE including major inspection costs, spare parts, standby and servicing equipment are capitalized only when it is probable that future economic benefits associated with these will flow to the Company and the cost of the item can be measured reliably.
- d) In accordance with Ind AS 101 - First Time Adoption of Indian Accounting Standards, the Company had chosen to consider the carrying value for all its PPE as their deemed cost at the Opening Balance Sheet as at April 01, 2015.
- e) Depreciation is calculated on straight line basis over estimated useful life as prescribed in Schedule II of the Companies Act, 2013. Where the useful life of the asset is not as per Schedule II of the Companies Act, 2013, the same is disclosed under Notes to Accounts.
- f) PPE individually costing ₹50,000 and below are fully depreciated in the year of purchase.
- g) Where part of an item of PPE with a cost significant in relation to the total cost of the item and have different useful lives, they are treated as separate components and depreciated over their estimated useful life.
- h) Certain items like Special Tools are amortized over the number of units of production expected to be obtained from the asset based on technical assessment and management estimates depending on the nature and usage of the respective assets.
- i) CSR Assets are fully depreciated in the year of capitalization.



Material Accounting Policies for the financial year 2025-26

- j) The cost and the related accumulated depreciation are eliminated from the Financial Statements upon sale or de-recognition or retirement of the asset and the resultant gains or losses are recognized in the Statement of Profit and Loss of the relevant period.
- k) The estimated useful lives, residual values and depreciation / amortisation method are reviewed at the end of each reporting period with the effect of changes in estimates accounted for on a prospective basis.

5. CAPITAL ADVANCES AND CAPITAL WORK IN PROGRESS (CWIP)

- a) Advances given towards acquisition of PPE outstanding at each Balance Sheet date are disclosed as other non-current assets.
- b) Cost of Assets not ready for its intended use as on the Balance Sheet date is shown as CWIP. Such properties are classified to the appropriate categories of PPE when completed and ready for its intended use.
- c) Depreciation on such assets commence when the assets are ready for their intended use.

6. INVESTMENT PROPERTY

- a) A property is considered as investment property only if the same is held for earning rentals and /or for capital appreciation or both. Properties held by the Company (directly or indirectly) which are used in the production of supply of goods or services for administrative purposes are not considered as Investment Property.
- b) Investment Properties are measured initially at cost. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and accumulated impairment loss, if any. In accordance with Ind AS 101, First Time Adoption of Indian Accounting Standards, the Company has chosen to consider the carrying value for all its Investment Property recognized in its Indian GAAP financial statement as their deemed cost as at the transition date viz, April 01, 2015.
- c) Depreciation is calculated on straight line basis over estimated useful life as prescribed in Schedule II of the Companies Act 2013. Where the useful life of the asset is not as per Schedule II of the Companies Act, 2013, the same is disclosed under Notes to Accounts.

7. INTANGIBLE ASSETS

- a) Intangible Assets controlled and from which future economic benefits are expected to flow and having useful life are initially measured at cost and subsequently at cost less accumulated amortization and cumulative impairment losses, if any.
- b) Development Costs having useful life and which will generate probable future economic benefits are recognized as an intangible asset and amortised over production based on technical estimate and to the extent not amortized are carried forward.
- c) Expenditure on license fees, documentation charges etc, based on the definition criteria of intangible assets in terms of reliability of measurement of cost and future economic benefits from the assets, are amortised over production based on technical estimates, and to the extent not amortised, are carried forward.
- d) The cost of software internally generated / acquired for internal use which is not an integral part of the related hardware, is recognized as an intangible asset and is amortised over three years, on straight line method. Amortisation commences when the asset is available for use.
- e) Expenditure on Research is recognized as expenditure in the period in which it is incurred.
- f) Wherever it is not possible to assess the useful life of an intangible asset (whether or not significant) the same is not amortised. Impairment on such intangible assets are reviewed annually and when there is an indication of impairment, the asset is impaired.



Material Accounting Policies for the financial year 2025-26

8. LEASE ACCOUNTING

The Company recognizes, at inception of a contract a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Company as a lessee

- a) At the date of commencement of the lease, the Company recognizes a right-of-use ("ROU") asset representing its right to use the underlying asset for the lease term and a lease liability for all lease arrangements in which it is a lessee except for leases with a term of 12 months or less (short-term leases) and leases for which the underlying assets is of low value. For such short-term and assets of low value leases, the Company recognizes the lease payment as an expense on a straight-line basis over the term of the lease.
- b) At commencement date the ROU asset is measured at cost. The cost of the ROU asset measured at inception shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred. The ROU assets are subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any.
- c) The ROU assets are depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of ROU asset. The estimated useful lives of ROU assets are determined on the same basis as those of PPE. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognized in the statement of profit and loss.
- d) At the commencement date, the Company measures the lease liability at the present value of the lease payments that are not paid at that date. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the Company's incremental borrowing rate.
- e) Lease liability and ROU asset are separately presented in the Balance Sheet and lease payments are classified as financing cash flows. Short-term lease payments and payments for leases of low value assets are classified as operating cash flows.

Company as a lessor

At the inception of the lease the Company classifies each of its leases as either an operating lease or a finance lease.

I. Finance Lease:

- a) A lease that transfers substantially all the risks and rewards incidental to ownership of an underlying asset to the Lessee is classified as a finance lease. Title may or may not eventually be transferred.
- b) At commencement date, an amount equal to the net investment in the lease is presented as receivable. The interest rate implicit in the lease is used to measure the value of net investment in the lease.
- c) The finance income is recognized over the lease term in the statement of profit and loss account so as to reflect a constant periodic rate of return on the net investment in the lease.
- d) The de-recognition and impairment requirement of the underlying asset is tested as per Ind AS 109 - Financial instruments.
- e) Any modifications in the lease are accounted as a separate lease when the recognition criteria specified in paragraph 79 of the standard are met.

II. Operating Lease:

- a) Lease other than finance leases are operating leases.
- b) The lease payment from operating leases are recognized as income on either a straight-line basis or another systematic basis, if required.
- c) The expenses including depreciation cost associated with earning of the lease income is recognized as an expense.
- d) Depreciation on underlying assets subject to operating leases are calculated on straight line basis over estimated useful life as prescribed in Schedule II of the Companies Act, 2013.



Material Accounting Policies for the financial year 2025-26

- e) Any modifications in the lease are accounted as a separate lease if the recognition criteria specified in the standard is met.

Transition to Ind AS 116

- a) Effective April 1, 2019, the Company has applied Ind AS 116 on Lease Accounting. Ind AS 116 replaces Ind AS 17. The Company has adopted Ind AS 116 using the cumulative effect method. The effect of initially applying this standard is recognized at the date of initial application (i.e. April 1, 2019) and the comparative information continues to be reported under Ind AS 17.
- b) The Company has chosen the practical expedient provided by the standard to apply Ind AS 116 only to contracts that were previously identified as leases under Ind AS 17 and therefore has not reassessed whether a contract is or contains a lease at the date of initial application.

9. NON-CURRENT INVESTMENTS

- a) In accordance with Ind AS 101, First time adoption of Indian Accounting Standards, the Company has chosen to consider the carrying amount of investment as their deemed cost as at the Opening Balance Sheet as at 01st April, 2015.
- b) The Company has elected to recognize its investments in subsidiary and joint venture companies at cost in accordance with the option available in Ind AS 27 'Separate financial statements'.
- c) Investments are carried individually at cost less accumulated impairment in the value of such Investments.
- d) Cost of Investment includes acquisition charges such as brokerage, fees and duties.
- e) The Company reviews the book value of the investment on a quarterly basis and provides for diminution in the value of the investment based on the net worth of the investee company.
- f) Impairment in the value of investment is made only if in the opinion of management when there is a permanent fall in value of investment.

10. IMPAIRMENT OF NON-FINANCIAL ASSETS

As at each reporting date the Company assesses whether there is any indication that an asset may be impaired. If any indication exists, the Company estimates the recoverable amount. If the estimated recoverable amount is found less than its carrying amount, the impairment loss is recognised and assets are written down to their recoverable amount.

11. FINANCIAL INSTRUMENTS

A financial instrument is a contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. The Company recognizes a financial asset or a financial liability only when it becomes party to the contractual provisions of the instrument.

I. Financial Assets

Initial recognition and Measurement

All financial assets are recognized at fair value on initial recognition except for trade receivables which are initially measured at transaction price.

Transaction costs that are directly attributable to the acquisition or issue of the financial asset, which are not valued at fair value through profit or loss (FVTPL), are added to the fair value on initial recognition.

Subsequent Measurement

For subsequent measurement, the Company classifies a financial asset in accordance with the below criteria:

- i. The Company's business model for managing the financial asset and
- ii. The contractual cash flow characteristics of the financial asset



Material Accounting Policies for the financial year 2025-26

Based on the above criteria, for purpose of subsequent measurement, financial assets are classified in the following categories:

a) Financial assets carried at amortised cost:

A financial asset is subsequently measured at amortized cost if it is held within a business model whose objective is to hold the financial asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

This category applies to cash and bank balances, trade receivables, loans and other financial assets of the Company.

b) Financial assets carried at fair value through other comprehensive income (FVOCI):

A financial asset is subsequently measured at fair value through other comprehensive income if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

c) Financial assets carried at fair value through profit or loss (FVTPL):

A financial asset, which is not classified in any of the above categories are subsequently measured at fair value through profit or loss.

Derecognition

The Company derecognizes (i.e removes from the Company's balance sheet) a financial asset (or where applicable a part of a financial asset) when the contractual rights to receive the cash flows from the financial asset expire or it transfers the financial asset and the transfer qualifies for derecognition under Ind AS 109.

On derecognition of a financial asset, (except as mentioned in (b) above for financial assets measured at FVTOCI), the difference between the asset's carrying amount and the consideration received is recognized in the Statement of Profit and Loss.

Impairment of Financial Assets

In accordance with Ind AS 109, the Company applies the expected credit loss (ECL) model for measurement and recognition of impairment loss on financial assets with credit risk exposure.

- a) Debts from the Government departments are generally treated as fully recoverable, based on past experience, and hence in the opinion of Management there is no increase in the credit risk of such financial assets.
- b) In respect of dues outstanding for a significant period of time, impairment on account of expected credit loss is being assessed on a case-to-case basis.
- c) Suitable provision is made for dues which are disputed.
- d) ECL impairment loss allowance (or reversal) recognized during the period is recognized as expense/income in the Statement of Profit and Loss.

II. Financial Liability

Initial recognition and Measurement

All financial liabilities are recognized at fair value on initial recognition and in the case of liabilities subsequently measured at amortized cost, net of directly attributable transaction cost.

The Company's Financial Liabilities include trade and other payables, loans and borrowings. For trade and other payables liabilities are recognized for the amounts to be paid for the goods / services received whether billed by the supplier or not.



Material Accounting Policies for the financial year 2025-26

Subsequent Measurement

All financial liabilities of the Company are subsequently measured at amortized cost.

Derecognition

A financial liability (or where applicable a part of the financial liability) is derecognized from the Company's Balance Sheet when the obligation specified in the contract is discharged or cancelled or expires.

The difference between the carrying amount of the financial liability derecognized and the consideration paid is recognized in the Statement of Profit and Loss.

III. Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the Balance Sheet wherever there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis or to realize the asset and settle the liability simultaneously.

12. FAIR VALUE MEASUREMENT

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy that categorizes into three levels, described as follows, the inputs to valuation techniques used to measure value. The fair value hierarchy gives the highest priority to quoted prices in active markets for identical assets or liabilities (Level 1 inputs) and the lowest priority to unobservable inputs (Level 3 inputs):

Level 1 – quoted (unadjusted) market prices in active markets for identical assets or liabilities.

Level 2 – inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 – inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

The Company measures financial instruments, in its financial statements at fair value at each reporting date.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy

13. DEFERRED DEBTS

Unpaid installment payments under deferred payment terms for the cost of imported materials and tooling content of the equipment / products sold are accounted as deferred debts from the customer and are recovered as and when the installments are paid.

14. INVENTORIES

- Inventories other than Saleable / Disposable scrap are valued at lower of Cost and Net Realisable Value. Saleable / Disposable scrap is valued at net realisable value.
- The cost of raw material excluding Goods-in-Transit, components and stores are assigned by using the weighted average cost formula. Goods-in-Transit are valued at cost-to-date. In the case of Finished Goods, Stock-in-Trade and Work-In-Progress, cost includes costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. Cost includes Taxes and duties (other than Taxes and duties for which input credit is available).
- Provision for redundancy is assessed on ageing at a suitable percentage / level of the value of closing inventory of raw material and components, stores and spare parts and construction material. Besides, wherever necessary, adequate provision is made for the redundancy of such materials in respect of completed / specific projects and other surplus / redundant material pending transfer to salvage stores.



Material Accounting Policies for the financial year 2025-26

- d) Stores declared surplus / unserviceable / redundant are charged to revenue in the year of such identification.
- e) Consumables issued from stores and lying unused at the end of the year are not reckoned as inventory.

15. REVENUE RECOGNITION

I. Manufacturing of Aircraft/ Helicopter/Spares/Repair Contracts

- a) Revenue on Sale of Goods and Services is recognized at a point in time when the Company satisfies the performance obligation on transfer of control of the products to the Customer in an amount that reflects the consideration the Company expects to receive in exchange for those products pursuant to the Contract with customer. It is measured at transaction price. Revenue from service Warranty is recognized on straight line basis over the period of Warranty.

Transfer of Control happens on:

- i. Acceptance by the buyer's Inspector, by way of Signaling Out Certificate (SOC)

or

Acceptance by the buyer's pilot, by way of Certificate of Conformity (COC), wherever, specifically required in the contract, in the case of Aircrafts/Helicopters,

- ii. Acceptance by the Buyer's inspection agency/SOC or as agreed to by the Buyer, in the case of Repair & Overhaul of Aircraft/Helicopter/Engine, Rotables, Site repairs, Cat 'B' repair servicing etc.,
- iii. For other deliverables like Spares, Revenue is recognized based on the Acceptance by the buyer's inspection agency or as agreed to by the buyer.
- b) In case of Performance Based Logistic Contracts, Revenue is recognized over a period of time, based on Helicopter Availability Certificate, jointly signed by Seller and Buyer.
- c) Revenue is recognized based on the prices agreed with Customers. Where the prices are yet to be agreed/ determined, the revenue is recognised at the most likely amount based on past experience. Differential revenue, if any, is recognised on receipt of approval / sanction.

II. Development Contracts

- a) Revenue is recognized over a period of time on incurrence of expenditure identifiable to work orders:
 - i. where milestones have been defined, on achievement of milestone under the output method.
 - ii. where milestones have not been defined, on incurrence of expenditure under the input method.
- b) Where the customer's sanction for revision is pending, the expenditure incurred is retained in work-in-progress/ intangible asset. Subsequent revenue is recognized on receipt of revised financial sanction from the customer.

III. Significant Financing Component

- a) For the majority of the contracts, advance payments are received, prior to commencement of work and milestone payments are paid in accordance with the terms of the contract.
- b) Payments received from customers in advance are not considered to be a significant financing component as they are given with the objective to protect the interest of the contracting parties.

IV. Contract Modification

A contract modification exists when the change in scope is agreed but the corresponding change in price is not determined. In such circumstances, revenue is recognized, based on the Company's assessment of the estimated change in the transaction price arising from the modification.



Material Accounting Policies for the financial year 2025-26

V. Other Income

Interest Income is accrued on a time proportion basis, by reference to the principal outstanding and at the effective interest rate applicable.

Dividend income from investments is recognised when the right to receive payment has been established.

VI. Receivables

Receivables represent the Company's unconditional right to consideration under the contract. The right to consideration is considered unconditional, if only passage of time is required before payment of that consideration is due.

VII. Contract Assets

Contract Assets represents the Company's right to receive the consideration in exchange for the Goods or Services that the Company has transferred to the Customer, when that right is conditioned on something other than passage of time.

16. EMPLOYEE BENEFITS

I. Short-Term Employee Benefits:

All employee benefits payable wholly within twelve months of rendering the related service are classified as short-term employee benefits and they mainly include wages & salaries, incentives, performance related pay, non-monetary benefits such as medical care, etc. They are valued on undiscounted basis and recognized as an expense in the statement of profit and loss of the period in which the employee renders the related service.

II. Post-Employment Benefits:

a) The Company operates Defined Contribution Pension Scheme and Post Superannuation Group Health Insurance Scheme for employees which are considered as defined contribution plans. The schemes are managed by duly constituted trusts. The Company periodically contributes to the trust fund. The Company recognizes contribution payable to a defined contribution plan as an expense in the statement of profit and loss account. The Company's liability is limited to the extent of contribution made to these trusts.

b) Provident Fund Scheme

Eligible employees of the Company receive benefits from a provident fund, which is a defined benefit plan. The Company makes specified monthly contributions towards Employee Provident Fund scheme to separate trusts established for the purpose based on a fixed percentage of the eligible employee's salary and the same is charged to the Statement of Profit and Loss.

The minimum rate at which annual interest is payable by the trust to the beneficiaries is being notified by the Government. The Company has an obligation to make good the shortfall, if any, between the return on investments of the trust and the notified interest rate. Such shortfall is determined at each Balance Sheet date based on actuarial valuation and charged to the Statement of Profit and Loss.

c) Gratuity Scheme

The Company provides for gratuity covering eligible employees. The same is considered as a defined benefit retirement plan. The Company contributes Gratuity liabilities to the Gratuity Trust.

Recognition and measurement of defined benefit plans:

The cost of providing defined benefits is determined on the basis of actuarial valuation using the Projected Unit Credit method with valuation being carried out at each Balance Sheet date.

The Company recognises the net obligation of a defined benefit plan in its Balance Sheet as an asset or liability. The net defined benefit obligations recognised in the Balance Sheet represent the present value of the defined benefit obligations as reduced by the fair value of plan assets.



Material Accounting Policies for the financial year 2025-26

The Company recognises the following changes in the net defined benefit obligation as an expense in the statement of profit and loss.

- i. Service cost comprising current service costs, past service costs.
- ii. Net interest on the defined benefit liability (asset). Net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of plan assets.

Gains and losses through re-measurements of the net defined benefit liability/(asset) comprising actuarial gains and losses and the return on the plan assets (excluding amounts included in net interest on the net defined benefit liability/asset), are recognized in the balance sheet with a corresponding debit or credit to retained earnings through other comprehensive income in the period in which they occur. Re-measurements are not classified to the statement of profit and loss in the subsequent period. The effect of any plan amendments is recognized in net profit in the Statement of Profit and Loss.

III. Compensated Absences:

The Company has a policy on compensated absences like Vacation leave which are accumulating in nature. Vacation leave can either be availed or encashed subject to restrictions on the maximum number of accumulations of leave. The Company determines the liability for such accumulated leaves using the Project Unit Credit method with actuarial valuations being carried out at each Balance Sheet date. The obligation is funded through qualifying insurance policies made with insurance companies.

17. FOREIGN CURRENCY TRANSACTION/TRANSLATION

Initial Recognition:

On initial recognition, transaction in foreign currencies, entered into by the Company, are recorded in the functional currency by applying to the foreign currency amount the spot exchange rate between the functional currency and the foreign currency at the date of the transaction.

Measurement of Foreign currency items at reporting date:

Foreign currency monetary items are translated at closing exchange rates. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of transaction. Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rate at the date when the fair value is measured.

Recognition of Exchange Difference:

Exchange differences arising on the settlement of monetary items or on translating monetary items at rates different from those at which they are translated on initial recognition during the period or in previous financial statement is recognized in statement of profit and loss in the period in which they arise.

18. INCOME TAXES

- a) Current Tax is the amount of tax payable on the taxable income for the year as determined in accordance with the provisions of Income Tax Act, 1961 (the "Act").
- b) Deferred Tax is recognized using the Balance Sheet method, providing for temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred Tax Assets in excess of Deferred Tax Liability are recognized to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilized. Deferred Tax Assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

19. CLAIMS BY THE COMPANY

Claims on suppliers / underwriters / carriers towards loss / damages, claims for export subsidy, duty drawbacks, and claims on Customs department for refunds are accounted when claims are preferred.



Material Accounting Policies for the financial year 2025-26

20. PROVISION AND CONTINGENT LIABILITIES

- A provision is recognised, when the Company has the present obligation as result of past events and it is probable that an outflow of resources will be required to settle the obligation in respect of which reliable estimate can be made.
- Where no reliable estimate can be made or when there is a possible obligation or present obligations that may, but probably will not, require an outflow of resources, disclosure is made as Contingent Liability. Expected reimbursement, if any, is disclosed under Notes to Accounts.
- When there is a possible obligation or a present obligation in respect of which the likelihood of outflow of resources is remote, no provision or disclosure is made.

I. PROVISION FOR WARRANTY

Provision for warranty is recognized on actuarial valuation for Manufacturing and Repair and Overhaul of Aircraft/Helicopter/Engine/Rotables and Spares and development activities etc.

II. PROVISION FOR LIQUIDATED DAMAGES

Provision for Liquidated Damages is recognized when the expected date of delivery of Goods / rendering of Service in respect of Manufacturing and Repair and Overhaul of Aircraft/Helicopter/Engine/Rotables, Spares and Development activities etc. is beyond the due date as per delivery schedule and at the rates specified in the Contract with the Customer.

III. PROVISION FOR ONEROUS CONTRACTS

A provision for onerous contract is recognized when the expected benefits to be derived by the Company from the contract are lower than the unavoidable cost of meeting its obligations under the contract. Before a provision is established, the Company recognizes any impairment loss on the assets associated with that contract.

21. BORROWING COSTS

Borrowing cost includes interest, and other costs incurred in connection with the borrowing of funds and exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to the interest cost.

Borrowing costs, if any, directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale, are capitalized as part of the cost of the asset. All other borrowing costs are expensed in the period in which they are incurred.

22. ESTIMATES AND ERRORS

The Company revises its accounting policies if the change is required due to a change in Ind AS or if the change will provide more relevant and reliable information to the users of the financial statements. Changes in accounting policies are applied retrospectively unless it is impracticable to apply.

A change in an accounting estimate that results in changes in the carrying amounts of recognised assets or liabilities or to statement of profit and loss is applied prospectively in the period(s) of change.

When it is difficult to distinguish a change in an accounting policy from a change in an accounting estimate, the change is treated as a change in an accounting estimate.

Discovery of material errors results in revisions retrospectively by restating the comparative amounts of assets, liabilities, and equity of the earliest prior period in which the error is discovered. The opening balances of the earliest period presented are also restated.

23. EVENTS AFTER THE REPORTING PERIOD

Adjusting events are events that provide further evidence of conditions that existed at the end of the reporting period. The financial statements are adjusted for such events before authorisation for issue.



Material Accounting Policies for the financial year 2025-26

Non-adjusting events are events that are indicative of conditions that arose after the end of the reporting period. Non-adjusting events after the reporting date are not accounted.

24. EARNINGS PER SHARE

The Company presents basic and diluted earnings per share for its ordinary shares. Basic earnings per share is calculated by dividing the net profit or loss attributable to equity holders of the Company by the weighted average number of equity shares outstanding during the period.

Diluted earnings per share is determined by dividing the net profit or loss attributable to equity holders of the Company by the weighted average number of equity shares outstanding during the period adjusted for the effects of all dilutive potential equity shares.

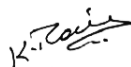
25. CASH AND CASH EQUIVALENTS

Cash and cash equivalents for the purpose of Cash Flow Statement comprises Cash on hand, cheques and drafts on hand, bank balances and short-term deposits with banks which are readily convertible into known amounts of cash, are subject to an insignificant risk of change in value and where the original maturity is three months or less.



(DR. BARENYA SENAPATI)

Director (Finance) & CFO
DIN: 08525943



(RAVI K)

Chairman & Managing Director
DIN: 10807781



(SHAILESH BANSAL)

Company Secretary
FCS No.5064

Place: Bengaluru
Date: 14.05.2026



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 1 - Property, Plant and Equipment

Note - 1A - Gross Block - Property, Plant and Equipment

The changes in the carrying value of property, plant and equipment for the year ended 31st March 2026 are as follows:

(₹ in Lakhs)

Particulars	Gross block As at 1 st April 2025	Additions	Reclassification / Adjustment	Disposals	Gross Block As at 31 st March 2026
Own Assets:					
Land -					
- Leasehold	0	0	0	0	0
- Freehold	1948	0	0	0	1948
Buildings	168882	9657	-23	8342	170174
Plant and Equipment	294692	44892	20	7157	332447
Furniture and Fixtures	12941	6467	-1	550	18857
Vehicles	11189	2194	0	209	13174
Office Equipment	30585	10929	4	807	40711
Others					
Assets used for CSR Activities	4525	0	0	0	4525
Roads and Drains	12078	5492	0	236	17334
Water Supply	7993	514	0	162	8345
Runways	4112	0	0	0	4112
Aircraft/Helicopters	38471	9	0	0	38480
Sub Total	587416	80154	0	17463	650107
Special Tools	750720	47277	0	0	797997
Total Own Assets	1338136	127431	0	17463	1448104
Right-of-Use Asset:					
Land	822	0	0	15	807
Buildings	8503	0	0	0	8503
Vehicles	0	1054	0	0	1054
Total Right-of-Use Asset	9325	1054	0	15	10364
Total	1347461	128485	0	17478	1458468

- (i) The amount of contractual commitments for the acquisition of Property, Plant and Equipment is disclosed under Clause 3 of Note 49
- (ii) There is no charge or lien on Property, Plant and Equipment
- (iii) Refer Clause 14 to 14.9 of Note 49



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note - 1B - Accumulated Depreciation - Property, Plant and Equipment

(₹ in Lakhs)

Particulars	Provision As at 1 st April 2025	Additions	Reclassification / Adjustment	Disposals	Provisions As at 31 st March 2026
Own Assets:					
Land -					
- Leasehold	0	0	0	0	0
- Freehold	0	0	0	0	0
Buildings	40645	5173	-23	2241	43554
Plant and Equipment	179521	20756	21	6016	194282
Furniture and Fixtures	11007	3885	-1	420	14471
Vehicles	7479	1053	0	151	8381
Office Equipment	18384	7794	3	535	25646
Others					
Assets used for CSR Activities	4525	0	0	0	4525
Roads and Drains	6694	565	0	209	7050
Water Supply	4088	641	0	70	4659
Runways	2067	313	0	0	2380
Aircraft/Helicopters	20280	1716	0	0	21996
Sub Total	294690	41896	0	9642	326944
Special Tools	405139	58395	0	0	463534
Total Own Assets	699829	100291	0	9642	790478
Right-of-Use Asset:					
Land	124	11	0	0	135
Buildings	1159	398	0	0	1557
Vehicles	0	139	0	0	139
Total Right-of-Use Asset	1283	548	0	0	1831
Total	701112	100839	0	9642	792309

Above Includes:

	As at 31 st March 2026
Gross Value of Assets with M/s. Midhani	1195
Cumulative Depreciation in respect of Assets with M/s. Midhani	1195
	0

	As at 31 st March 2026
Gross Value of Assets retired from Active Use	821
Less : Cumulative Depreciated Value of Assets retired from Active Use.	821
WDV of Assets Retired from Active Use.	0



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note - 1C - Impairment Loss - Property, Plant and Equipment

(₹ in Lakhs)

Particulars	Impairment Loss As at 1 st April 2025	Additions	Reclassification / Adjustment	Disposals	Impairment Loss As at 31 st March 2026	Net Block As at 31 st March 2026	Net Block As at 31 st March 2025
Own Assets:							
Land -							
- Leasehold					0	0	0
- Freehold					0	1948	1948
Buildings					0	126620	128237
Plant and Equipment					0	138165	115171
Furniture and Fixtures					0	4386	1934
Vehicles					0	4793	3710
Office Equipment					0	15065	12201
Others							
Assets used for CSR Activities					0	0	0
Roads and Drains					0	10284	5384
Water Supply					0	3686	3905
Runways					0	1732	2045
Aircraft/Helicopters					0	16484	18191
Subtotal	0	0	0	0	0	323163	292726
Special Tools	50059	0	0	0	50059	284404	295522
Total Own Assets	50059	0	0	0	50059	607567	588248
Right-of-Use Asset:							
Land					0	672	698
Buildings						6946	7344
Vehicles					0	915	0
Total Right-of-Use Asset	0	0	0	0	0	8533	8042
Total	50059	0	0	0	50059	616100	596290



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 1 - Property, Plant and Equipment

Note - 1A - Gross Block - Property, Plant and Equipment

The changes in the carrying value of property, plant and equipment for the year ended 31st March 2025 are as follows:

(₹ in Lakhs)

Particulars	Gross Block As at 1 st April 2024	Additions	Reclassification / Adjustment	Disposals	Gross Block As at 31 st March 2025
Own Assets:					
Land -					
- Leasehold	0	0	0	0	0
- Freehold	1948	0	0	0	1948
Buildings	160753	8145	-16	0	168882
Plant and Equipment	270812	23922	243	285	294692
Furniture and Fixtures	11125	1924	0	108	12941
Vehicles	10234	1223	0	268	11189
Office Equipment	20168	10544	0	127	30585
Others					
Assets used for CSR Activities	4525	0	0	0	4525
Roads and Drains	11931	132	15	0	12078
Water Supply	7554	439	0	0	7993
Runways	4112	0	0	0	4112
Aircraft/Helicopters	38713	0	-242	0	38471
Sub Total	541875	46329	0	788	587416
Special Tools	705031	45689	0	0	750720
Total Own Assets	1246906	92018	0	788	1338136
Right-of-Use Asset:					
Land	822	0	0	0	822
Buildings	8503	0	0	0	8503
Total Right-of-Use Asset	9325	0	0	0	9325
Total	1256231	92018	0	788	1347461

- (i) The amount of contractual commitments for the acquisition of Property, Plant and Equipment is disclosed under Clause 3 of Note 49
- (ii) There is no charge or lien on Property, Plant and Equipment
- (iii) Refer Clause 14 to 14.9 of Note 49



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 1B - Accumulated Depreciation - Property, Plant and Equipment

(₹ in Lakhs)

Particulars	Provision As at 1 st April 2024	Additions	Reclassification / Adjustment	Disposals	Provisions As at 31 st March 2025
Own Assets:					
Land -					
- Leasehold	0	0	0	0	0
- Freehold	0	0	0	0	0
Buildings	35597	5049	-1	0	40645
Plant and Equipment	160241	19298	243	261	179521
Furniture and Fixtures	9576	1541	0	110	11007
Vehicles	6739	900	0	160	7479
Office Equipment	14758	3736	0	110	18384
Others					
Assets used for CSR Activities	4525	0	0	0	4525
Roads and Drains	5826	868	0	0	6694
Water Supply	3460	628	0	0	4088
Runways	1753	314	0	0	2067
Aircraft/Helicopters	18728	1794	-242	0	20280
Subtotal	261203	34128	0	641	294690
Special Tools	366405	38734	0	0	405139
Total Own Assets	627608	72862	0	641	699829
Right-of-Use Asset:					
Land	109	15	0	0	124
Buildings	875	284	0	0	1159
Total Right-of-Use Asset:	984	299	0	0	1283
Total	628592	73161	0	641	701112

Above Includes:

As at 31st March 2025

Gross Value of Assets with M/s. Midhani	1195
Cumulative Depreciation in respect of Assets with M/s. Midhani	1195
	0

As at 31st March 2025

Gross Value of Assets retired from Active Use	714
Less : Cumulative Depreciated Value of Assets retired from Active Use.	714
WDV of Assets Retired from Active Use.	0



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 1C - Impairment Loss - Property, Plant and Equipment

(₹ in Lakhs)

Particulars	Impairment Loss As at 1 st April 2024	Additions	Reclassification / Adjustment	Disposals	Impairment Loss As at 31 st March 2025	Net Block As at 31 st March 2025	Net Block As at 31 st March 2024
Own Assets:							
Land -							
- Leasehold					0	0	0
- Freehold					0	1948	1948
Buildings					0	128237	125156
Plant and Equipment					0	115171	110571
Furniture and Fixtures					0	1934	1549
Vehicles					0	3710	3495
Office Equipment					0	12201	5410
Others							
Assets used for CSR Activities					0	0	0
Roads and Drains					0	5384	6105
Water Supply					0	3905	4094
Runways					0	2045	2359
Aircraft/Helicopters					0	18191	19985
Subtotal	0	0	0	0	0	292726	280672
Special Tools	50303	0	0	244	50059	295522	288323
Total Own Assets	50303	0	0	244	50059	588248	568995
Right-of-Use Asset:							
Land					0	698	713
Buildings					0	7344	7628
Total Right-of-Use Asset	0	0	0	0	0	8042	8341
Total	50303	0	0	244	50059	596290	577336



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 2 - Capital Work-in-Progress

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Buildings	54208	49704
Plant and Equipment	36158	38377
Furniture and Fixtures	90	0
Office Equipment	1025	819
Water Supply	47	47
Roads and Drains	0	122
Plant and Equipment under Inspection and in Transit	5210	6303
Special Tools	5825	13736
TOTAL	102563	109108

- (i) Refer Clause 9D, 9E & 9F of Note 49 for further disclosures on capital work-in-progress
- (ii) The amount of contractual commitments for the acquisition of Property, Plant and Equipment is disclosed under Clause 3 of Note 49

Note 3 - Investment Property

The changes in the carrying value of investment property for the year ended 31st March 2026 are as follows:

Note 3A - Gross Block - Investment Property

(₹ in Lakhs)

Particulars	Gross block As at 1 st April 2025	Additions	Disposals	Gross Block As at 31 st March 2026
Buildings	4		0	4
Total	4		0	4

Refer Clause 14.11 of Note 49

Note 3B - Accumulated Depreciation - Investment Property

(₹ in Lakhs)

Particulars	Provision As at 1 st April 2025	Additions	Disposals	Provisions As at 31 st March 2026	Net Block As at 31 st March 2026	Net Block As at 31 st March 2025
Buildings	2	0	0	2	2	2
Total	2	0	0	2	2	2



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 3 - Investment Property

The changes in the carrying value of investment property for the year ended 31st March 2025 are as follows:

Note 3A - Gross Block - Investment Property

(₹ in Lakhs)

Particulars	Gross block As at 1 st April 2024	Additions	Disposals	Gross Block As at 31 st March 2025
Buildings	4		0	4
Total	4		0	4

Refer Clause 14.11 of Note 49

Note 3B - Accumulated Depreciation - Investment Property

(₹ in Lakhs)

Particulars	Provision As at 1 st April 2024	Additions	Disposals	Provisions As at 31 st March 2025	Net Block As at 31 st March 2025	Net Block As at 31 st March 2024
Buildings	2	0	0	2	2	2
Total	2	0	0	2	2	2

Note 5 - Other Intangible assets

The changes in the carrying value of other intangible assets for the year ended 31st March 2026 are as follows:

Note 5A - Gross Block - Other Intangible Assets

(₹ in Lakhs)

Particulars	As at 1 st April 2025	Additions	Adjustment*	As at 31 st March 2026
Licence Fees	148179	12023	-303	159899
Computer Software	14803	2090	-1	16892
Documentation	71995	4432	304	76731
Development Expenditure	260752	26393	33226	320371
Total	495729	44938	33226	573893

*The Intangible assets under development has been completed and transferred to other intangible assets (Refer Note 6A)

Note 5B - Accumulated Amortization - Other Intangible assets

(₹ in Lakhs)

Particulars	As at 1 st April 2025	Amortisation	Adjustment	As at 31 st March 2026
Licence Fees	85185	2192	0	87377
Computer Software	10506	2327	0	12833
Documentation	60015	2993	0	63008
Development Expenditure	204998	27070	0	232068
Total	360704	34582	0	395286



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 5C - Impairment Loss - Other Intangible assets

(₹ in Lakhs)

Particulars	As at 1 st April 2025	Impairment Loss	Adjustment	As at 31 st March 2026
Licence Fees	18484	0	0	18484
Computer Software	0	0	0	0
Documentation	1081	0	0	1081
Development Expenditure	45408	1075	0	46483
Total	64973	1075	0	66048

Note 5 - Other Intangible assets

The changes in the carrying value of other intangible assets for the year ended 31st March 2025 are as follows:

Note 5A - Gross Block - Other Intangible Assets

(₹ in Lakhs)

Particulars	As at 1 st April 2024	Additions	Adjustment*	As at 31 st March 2025
Licence Fees	144898	3281	0	148179
Computer Software	11318	3485	0	14803
Documentation	69239	2756	0	71995
Development Expenditure	233947	26970	-165	260752
Total	459402	36492	-165	495729

*The Intangible assets under development has been completed and transferred to other intangible assets (Refer Note 6A)

Note 5B - Accumulated Amortization - Other Intangible assets

(₹ in Lakhs)

Particulars	As at 1 st April 2024	Amortisation	Adjustment	As at 31 st March 2025
Licence Fees	84125	1060	0	85185
Computer Software	8487	2019	0	10506
Documentation	28174	31841	0	60015
Development Expenditure	179109	25889	0	204998
Total	299895	60809	0	360704

Note 5C - Impairment Loss - Other Intangible assets

(₹ in Lakhs)

Particulars	As at 1 st April 2024	Impairment Loss	Adjustment	As at 31 st March 2025
Licence Fees	18484	0	0	18484
Computer Software	0	0	0	0
Documentation	1081	0	0	1081
Development Expenditure	44278	1130	0	45408
Total	63843	1130	0	64973



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 6 - Intangible Assets under Development

The changes in the carrying value of intangible assets under development for the year ended 31st March 2026 are as follows:

Note 6A - Gross Carrying cost - Intangible assets under Development

(₹ in Lakhs)

Particulars	As at 1 st April 2025	Additions	Adjustment*	As at 31 st March 2026
Development Expenditure	266103	61457	-33226	294334
Total	266103	61457	-33226	294334

* (i) The Intangible assets under development has been completed and transferred to other intangible assets (Refer Note 5A)

(ii) The amount of contractual commitments for the acquisition of intangible assets is disclosed under Clause 3 of Note 49.

(iii) Refer Clause 9G & 9H of Note 49 for further disclosures on Intangible assets under development.

Note 6B - Accumulated Amortization - Intangible assets under Development

(₹ in Lakhs)

Particulars	As at 1 st April 2025	Amortisation	Adjustment	As at 31 st March 2026
Development Expenditure	58518	0	0	58518
Total	58518	0	0	58518

Note 6C - Impairment Loss - Intangible assets under Development

(₹ in Lakhs)

Particulars	As at 1 st April 2025	Impairment Loss	Adjustment	As at 31 st March 2026
Development Expenditure	6918	162	0	7080
Total	6918	162	0	7080

Note 6 - Intangible Assets under Development

The changes in the carrying value of intangible assets underdevelopment for the year ended 31st March 2025 are as follows:

Note 6A - Gross Carrying cost - Intangible assets under Development

(₹ in Lakhs)

Particulars	As at 1 st April 2024	Additions	Adjustment*	As at 31 st March 2025
Development Expenditure	219747	46191	165	266103
Total	219747	46191	165	266103

* (i) The Intangible assets under development has been completed and transferred to other intangible assets (Refer Note 5A)

(ii) The amount of contractual commitments for the acquisition of intangible assets is disclosed under Clause 3 of Note 49.

(iii) Refer Clause 9G & 9H of Note 49 for further disclosures on Intangible assets under development

Note 6B - Accumulated Amortization - Intangible assets under Development

(₹ in Lakhs)

Particulars	As at 1 st April 2024	Amortisation	Adjustment	As at 31 st March 2025
Development Expenditure	58518	0	0	58518
Total	58518	0	0	58518



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 6C - Impairment Loss - Intangible assets under Development

(₹ in Lakhs)

Particulars	As at 1 st April 2024	Impairment Loss	Adjustment	As at 31 st March 2025
Development Expenditure	5574	1344	0	6918
Total	5574	1344	0	6918

Note 7 - Financial Asset - Investments - Subsidiaries & Joint Ventures at Cost less Provision

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
INVESTMENTS AT COST LESS PROVISION (UN-QUOTED)		
Investment in Equity Instruments		
1. Investment in Subsidiaries		
Naini Aerospace Limited - 6,50,00,000 (6,50,00,000PY) Shares of ₹ 10 FV each fully paid	6500	6500
Less Provision for Impairment in value of Investment	6500	6500
Net - Naini Aerospace Limited	0	0
Indo Russian Helicopters Limited (IRHL) 5,05,000 (5,05,000 PY) Shares of ₹ 100 FV each fully paid	505	505
Less Provision for Impairment in value of Investment	149	142
Net -Indo Russian Helicopters Limited (IRHL)	356	363
Total In Equity of Subsidiaries (1)	356	363
2. Investment in Joint Ventures		
BAe-HAL Software Ltd-29,40,000 (29,40,000-P.Y) shares of ₹10 FV each fully paid	294	294
Less Provision for Impairment in value of Investment	0	0
Net - BAe-HAL Software Ltd.	294	294
Safran HAL Aircraft Engines Private Ltd -11,40,000 (11,40,000-P.Y) Shares of ₹100 F.V. each fully paid	1140	1140
Less Provision for Impairment in value of Investment	0	0
Net - Safran HAL Aircraft Engines Private Ltd.	1140	1140
Indo Avia Services Ltd (Formerly Indo Russian Aviation Ltd) - 9,36,525 (9,36,525-P.Y) shares of ₹ 10 FV each fully paid	94	94
Less Provision for Impairment in value of Investment	0	0
Net - Indo Avia Services Ltd.	94	94
HALBIT Avionics Pvt Ltd -3,82,500 (3,82,500 - P.Y) Shares of ₹100 FV each fully paid	383	383
Less Provision for Impairment in value of Investment	383	383
Net - HALBIT Avionics Pvt. Ltd.	0	0
HAL Edgewood Technologies Pvt Ltd 3,00,000 (3,00,000-P.Y) Shares of ₹100 FV each fully paid	300	300
Less Provision for Impairment in value of Investment	300	300
Net- HAL Edgewood Technologies Pvt. Ltd.	0	0
SAMTEL HAL Display Systems Ltd -1,60,000 (1,60,000-P.Y) Shares of ₹100 FV each fully paid	160	160
Less Provision for Impairment in value of Investment	160	160
Net - SAMTEL HAL Display Systems Ltd.	0	0
INFOTECH HAL Ltd - 20,00,000 (20,00,000-P.Y) Shares of ₹10 FV each fully paid	200	200



Notes to the Standalone Financial Statements for the year ended March 31, 2026

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Less Provision for Impairment in value of Investment	200	200
Net- INFOTECH HAL Ltd.	0	0
HATSOFF Helicopter Training Pvt Ltd - 3,84,04,205 (3,84,04,205 P.Y) Shares of ₹10 FV each fully paid	3840	3840
Less Provision for Impairment in value of Investment	3840	3840
Net - HATSOFF Helicopter Training Pvt. Ltd.	0	0
International Aerospace Manufacturing Pvt Ltd - 42,50,000 (42,50,000 - P.Y) Shares of ₹100 FV each fully paid	4250	4250
Less Provision for Impairment in value of Investment	0	0
Net - International Aerospace Manufacturing Pvt Ltd.	4250	4250
Multirole Transport Aircraft Ltd. - 1,13,46,564 (1,13,46,564 P.Y.) Shares of ₹100 FV each fully paid	11347	11347
Less Provision for Impairment in value of Investment	6678	6678
Net - Multirole Transport Aircraft Ltd.	4669	4669
Helicopter Engines MRO Pvt Ltd - 30,59,986 (24,59,986 P.Y.) Shares of ₹100 FV each fully paid	3060	2460
Less Provision for Impairment in value of Investment	577	517
Net - Helicopter Engines MRO Pvt Ltd.	2483	1943
SAFHAL Helicopter Engines Private Limited - 10,00,000 (10,00,000 P.Y.) Shares of ₹10 FV each fully paid	100	100
Less Provision for Impairment in value of Investment	35	31
Net - SAFAL Helicopter Engines Private Ltd.	65	69
Total In Equity of Joint Ventures (2)	12995	12459
TOTAL (1+2)	13351	12822
Disclosure		
(i) Aggregate amount of Quoted Investment and Market Value.		
(ii) Aggregate amount of Unquoted Investments (net)	13351	12822
(iii) Aggregate amount of impairment in value of investments	18822	18751
(iv) Refer Clause 45B, 45B (i) & 45E of Note 49 for further details on Investment in Joint Ventures		

Note 7A - Financial Asset - Investments at Cost

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Investments in Structured Entities (UNQUOTED)		
a) HAE Co-operative Society of 25 (25 P.Y) Shares of ₹ 100 FV each fully paid*	0	0
b) Satnam Apartment Ltd - 41 (41 P.Y) Shares of ₹100 each at cost for acquisition of a Flat**	0	0
c) Aerospace & Aviation Sector Skill Council(AASSC) - 125 (125 P.Y.) Shares of ₹ 10000 FV each fully paid	13	13
d) Defence Innovation Organisation - 50 (P.Y 50) Shares of ₹ 1000 FV each fully paid	1	1



Notes to the Standalone Financial Statements for the year ended March 31, 2026

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
e) Communication (Defence) Testing Foundation - 26131 (P.Y 26131) Shares of ₹ 1000 FV each fully paid***	261	261
f) Electronic Warfare (Defence) Testing Foundation - 23480 (P.Y 23480) Shares of ₹ 1000 FV each fully paid***	235	235
g) UAS Testing Foundation - 50000 (P.Y 50000) Shares of ₹ 1000 FV each fully paid***	500	500
h) Advance Material (Defence) Testing Foundation. - 27320 (P.Y 27320) Shares of ₹ 1000 FV each fully paid***	273	273
i) Systyem Testing And Research For Advanced Materials Foundation - 200000 (P.Y 200000) Shares of ₹ 100 FV each fully paid***	200	20
Total In Equity of Others (A)	1483	1303
B. Other Investments (UNQUOTED)		
LIC of India (For Funding Vacation Leave)	160391	148611
Total In Other Investments (B)	160391	148611
TOTAL (A+B)	161874	149914
* Total ₹2500 (P.Y ₹2500) (absolute figure) are held by Kanpur division which is rounded off.		
** Total ₹7220 (P.Y ₹7220) (absolute figure) are held by Nasik division which is rounded off.		
*** Refer Clause 45C & 45E (i), (ii), (iii), (iv) & (v) of Note 49 for further details on the Investment		
(i) Aggregate amount of Quoted Investment and Market Value		
(ii) Aggregate amount of Unquoted Investments (net)	161874	149914
(iii) Aggregate amount of impairment in value of investments	Nil	Nil

Note 8 - Financial Asset - Trade Receivables

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Trade Receivables	0	0
TOTAL	0	0

Note 8A - Financial Asset-Contract Assets

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Contract Assets		
- Contract Assets	0	0
TOTAL	0	0



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 9 - Financial Asset - Loans

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
A. Considered Good - Secured		
a) Loans to Related Parties	0	0
b) Others		
Loans and advances to employees	10	10
Sub-Total (A)	10	10
B. Considered Good - Unsecured		
a) Loans to Related Parties	0	0
b) Others		
Loans and advances to employees	530	547
Sub-Total (B)	530	547
C. Loans which have significant increase in credit risk		
Sub-Total (C)	0	0
D. Loans - Credit Impaired		
Sub-Total (D)	0	0
TOTAL (A+B+C+D)	540	557

Note 10 - Other Financial Assets

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
A. Claims Receivable Unsecured		
Receivable - Credit Impaired	7456	8171
Sub-Total	7456	8171
Less: Provision for Doubtful Claims	7456	8171
Sub-Total (A)	0	0
B. Security Deposit		
Govt Departments for Customs Duty and for Supplies	12	12
Public Utility Concerns	2719	2702
Others	992	1220
Sub-Total (B)	3723	3934
C. Balances with Bank		
Bank deposit with more than 12 Months maturity*	5	0
Sub-Total (C)	5	0
D. Others		
Deferred Debts**	35340	34252
Sub-Total (D)	35340	34252
TOTAL (A+B+C+D)	39068	38186
(i) Above balances of Claims Receivable include balances with related parties (Refer Receivables of Clause No. 45A(g) of Note 49)	549	521
(ii) Above balances of Provision for Doubtful Claims include balances with related parties (Refer Clause No. 45A(o) of Note 49)	549	521
*(iii) Fully Earmarked for Committed Liabilities of more than 12 months	0	0
** (iv) Refer Clause No. 44 (b) of Note 49		



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 11 - Deferred Tax Assets (Net)

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
The tax effect of significant temporary differences that resulted in deferred tax assets:		
As per last Balance Sheet	156799	145433
Add / (Less): Current Year's Assets	-43323	11366
TOTAL	113476	156799

Refer Clause 40 of Note 49

Note 12 - Other Non-Current assets

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
A. Capital Advances	36695	26429
Less: Provision for Bad and Doubtful	494	240
B. Advance Other than Capital Advances		
Advances against Goods and Services	6511	12623
Other Advances	899	918
	43611	39730
C. Others		
Balances with Revenue Authorities		
Income tax	194928	215623
Others-under dispute	12328	13310
Prepaid Expenses	51	20
TOTAL (A+B+C)	250918	268683

Note 13 - Inventories

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
Inventories (At Lower of Cost and Net Realisable Value)#		
(i) Raw Materials and Components	585826	630878
Less: Provision for Redundancy	161187	207403
	424639	423475
(ii) Work-in-Progress	2556891	1553975
Less: Provision for Redundancy	26589	26589
	2530302	1527386
(iii) Finished Goods	0	0
(iv) Stock-in-Trade	1273	1494
(v) Stores and Spares	28067	23146
Less: Provision for Redundancy	4003	4980
	24064	18166
(vi) Loose Tools	7898	7022
Less: Provision for Redundancy	1585	1572
	6313	5450



Notes to the Standalone Financial Statements for the year ended March 31, 2026

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
(vii) Construction Materials	37	42
Less: Provision for Redundancy	10	10
	27	32
(viii) Disposable Scrap (at Net Realisable Value)	1094	830
(ix) Goods under Inspection and in Transit		
Raw material and Components	85431	179536
Stores and Spares	2015	556
Loose Tools	481	686
	87927	180778
(x) Inventory - Warranty	14133	12566
Less: Provision for Redundancy	4706	2607
	9427	9959
TOTAL	3085066	2167570
(#) (i) includes those issued to Sub-Contractors for Job Works	47268	36651

Note 14 - Financial Asset - Investments

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
INVESTMENTS AT COST LESS PROVISION (UN-QUOTED)	0	0
TOTAL	0	0

Note 15 - Financial Asset - Trade Receivables

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Trade Receivables		
Considered Good - Unsecured	406628	464754
Credit Impaired	12420	14411
	419048	479165
Less: Allowance for Doubtful Debts	12420	14411
TOTAL	406628	464754
(i) Above balances of trade receivables include balances with related parties (Refer Receivables of Clause No. 45A(g) of Note 49)	1374	875
(ii) Above balances of Allowance for Doubtful Debts include balances with related parties (Refer Clause No. 45A(o) of Note 49).	150	150
(iii) Refer Clause 53 (a) of Note 49 for ageing schedule of Trade Receivables		



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 15A - Financial Asset-Contract Assets

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Contract Assets		
- Contract Assets	1948704	1610278
Less: Allowance for Doubtful Debts	35700	21362
TOTAL	1913004	1588916

Refer Clause 53 (b) of Note 49 for ageing schedule of Contract Assets

Note 16 - Financial Asset- Cash & Cash Equivalents

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Balances with Bank		
In Current Account	206689	134693
Term Deposits with original maturity up to 3 months	170000	320000
B. Cheques, Drafts on Hand	0	0
C. Cash on Hand	0	0
TOTAL (A+B+C)	376689	454693

Note 17 - Financial Asset - Bank Balances other than Cash and Cash Equivalents

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Term Deposits with original maturity for more than 3 months but less than 12 months	4242436	3362284
Earmarked balances with banks for Unpaid Dividend	101	99
TOTAL	4242537	3362383



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 18 - Financial Asset - Loans

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
A. Considered Good - Secured		
a) Loans to Related Parties	0	0
b) Others		
Loans and advances to employees	4	4
Sub-Total (A)	4	4
B. Considered Good - Unsecured		
a) Loans to Related Parties	0	0
b) Others		
Loans and advances to employees	1269	728
Sub-Total (B)	1269	728
C. Loans which have Significant Increase in credit risk		
Sub-Total (C)	0	0
D. Loans - Credit Impaired		
Sub-Total (D)	0	0
TOTAL (A+B+C+D)	1273	732

Note 19 - Other Financial Assets

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
Claims Receivable*		
Unsecured Considered Good	44094	56453
Credit Impaired	15632	18570
	59726	75023
Less: Provision for Doubtful Claims	15632	18570
Sub-Total	44094	56453
Security Deposit		
Public Utility Concerns	45	42
Others	206	184
Interest Accrued and not Due on Term and Other Deposits	94792	67923
Current Maturities of Deferred Debt**	10973	10028
Share Application Money Paid***	0	41
TOTAL	150110	134671
(i) Above balances of Claims Receivable include balances with related parties (Refer Receivables of Clause No. 45A(g) of Note 49)	11540	14346
(ii) Above balances of Provision for Doubtful Claims include balances with related parties (Refer Clause No. 45A(o) of Note 49)	1964	2194

*(iii) Refer Clause 43G of Note 49

** (iv) Refer Clause No. 44 (b) of Note 49

*** (v) Refer Clause 45E (v) of Note 49



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 20 - Current Tax Assets (Net)

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
Current Tax (Net)	13111	0
TOTAL	13111	0

Note 21 - Other Current Assets

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
A. Advance Other than Capital Advances		
Advances against Goods and Services	980477	640862
Less: Provision for Bad and Doubtful	1441	398
Other Loans and Advances	18214	380
Advances to Related Parties	8306	11
B. Others		
Prepaid Expenses	3255	2426
Balances with revenue Authorities		
Others	57078	11
Balance with GST Electronic Ledger	328886	191220
Balances in Franking Machine	1	1
TOTAL	1394776	834513

EQUITY

Note 22 - Equity Share Capital

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
Authorised Capital 1,40,00,00,000 Equity Shares of ₹ 5 each (March 31, 2025: 1,40,00,00,000 Equity Shares of ₹ 5 each)	70000	70000
Issued, Subscribed and Fully Paid-up Capital 66,87,75,000 Equity Shares of ₹ 5 each fully paid-up (March 31, 2025: 66,87,75,000 Equity Shares of ₹ 5 each fully paid-up)	33439	33439
Par Value per Share (₹)	5	5
Reconciliation of the number of shares outstanding at the beginning and at the end of the reporting period		
Opening Equity Shares (Nos.)	668775000	668775000
Add: Additions during the year (Nos.)		
Closing Equity Shares (Nos.)	668775000	668775000
Shares in the Company held by each shareholder holding more than 5 per cent shares specifying the number of shares held		
President of India and Nominees	479102424	479102424



Notes to the Standalone Financial Statements for the year ended March 31, 2026

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
% of Shareholding of President of India and Nominees	71.64%	71.64%
Shares held by promoters at the end of the reporting period		
Promoters Name:		
President of India and Nominees		
No. of Shares	479102424	479102424
% of total Shares	71.64%	71.64%
% Change during the year	0.00%	0.00%

Terms/ Rights attached to Equity shares

The Company has one (1) Class of Shares i.e Equity Shares

The Equity Shares rank Pari Passu in all respects including right to Dividend, Issue of New Shares, Voting Rights and in the Assets of the Company in the event of Liquidation.

Refer Clause 48 A of Note 49 for details regarding buy back of shares

Note 23 - Other Equity

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Research & Development Reserve		
Opening Balance	384345	299646
Add: Current Year Transfer	94506	92176
Less: Transfer to General Reserve on utilisation	8098	7477
Closing Balance (A)	470753	384345
B. Capital Redemption Reserve		
Opening Balance	14761	14761
Add: Current Year Transfer	0	0
Less: Written Back in Current Year	0	0
Closing Balance (B)	14761	14761
C. Indigenization Fund Reserve		
Opening Balance	36766	28885
Add: Current Year Transfer	18901	18435
Less: Transfer to General Reserve on utilisation	14067	10554
Closing Balance (C)	41600	36766
D. General Reserve as per last Balance Sheet	3014974	2527911
(+/-) Surplus Transferred from statement of Profit and Loss	488559	469032
Add: Transfer from Research & Development Reserve	8098	7477
Add: Transfer from Indigenization Fund Reserve	14067	10554
Closing Balance (D)	3525698	3014974



Notes to the Standalone Financial Statements for the year ended March 31, 2026

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
E. Retained earnings - Surplus in the statement of Profit & Loss		
Opening Balance	0	0
Add/(Less): Net Profit / (Net Loss) for the current financial year	907567	831680
Add/(Less): Remeasurement of the defined benefit plans	28786	2098
Sub total (i)	936353	833778
Less: Appropriations / Allocations		
Transfer to Indigenization Fund Reserve	18901	18435
Transfer to Research & Development Reserve	94506	92176
Interim Dividend	234071	167194
Final Dividend	100316	86941
Sub total (ii)	447794	364746
Transfer To General Reserves (i)-(ii)	488559	469032
Closing Balance (E)	0	0
F. Other Components of Equity		
Fair Value through Other Comprehensive Income (FVOCI) (\$)		
Opening Balance	0	0
Add/(Less): Additions made during the year	28786	2098
Add/(Less): Remeasurement of the defined benefit plans	-28786	-2098
Closing Balance (F)	0	0
TOTAL (A+B+C+D+E+F)	4052812	3450846

\$ Breakup is given separately in Statement of Changes in Equity

Nature and Purpose of each Reserve:

1. Research & Development Reserve:

Research and Development Reserve is created by transfer from Retained Earnings, an annual contribution of 15% of Operating Profit After Tax. Research & Development Reserve is created to bring technological superiority to the products in order to cope with the future technological challenges. The amount of utilisation for Research and Development purposes during the year is transferred from Research and Development Research to General Reserve.

2. Capital Redemption Reserve:

Capital Redemption Reserve is created on redemption/buyback of equity shares.

3. Indigenization Fund Reserve:

Indigenization Fund Reserve is created by transfer from Retained Earnings an amount equal to 3% of Operating Profit After Tax which will be utilised to encourage Indigenization of items which are being sourced from foreign sources at present.

4. General Reserve:

General Reserve is created out of the profits of the Company and out of Research & Development Reserve on utilization of Research & Development purposes. This is a free reserve.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 24 - Borrowings

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Secured		
a) Term Loans		
(i) From Banks	0	0
Sub-Total (A)	0	0
B. Unsecured		
Sub-Total (B)	0	0
TOTAL (A + B)	0	0

Note 24A - Lease Liabilities

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Lease Liabilities	745	33
TOTAL	745	33

Refer Clause 9B of Note 49 for further disclosures on lease

Note 25 - Trade Payables

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Trade Payables	0	0
TOTAL	0	0

Note 26 - Other financial liabilities

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Dues to Employees	24	46
Deposits	0	0
Deferred liabilities*	35431	34387
Other Liabilities**	17172	15230
TOTAL	52627	49663

*(i) Refer Clause No. 44 (b) of Note 49

** (ii) Refer Clause No. 10 of Note 49



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 27 - Provisions

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Provisions for Employee Benefits		
Gratuity	0	0
Earned Leave	135621	135417
Sub-Total (A)	135621	135417
B. Others*		
Replacement and Other Charges	37285	39937
Warranty	138	270
Liquidated Damages	10125	10047
Sub-Total (B)	47548	50254
TOTAL (A + B)	183169	185671

*Refer Clause 49 of Note 49 for movement of Provisions

Note 28 - Deferred tax liabilities (Net)

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
As per last Balance Sheet	0	0
Add / Less: Current Year's Provisions	0	0
TOTAL	0	0

Refer Clause 40 of Note 49

Note 29 - Other Non-current Liabilities

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Advances from Customers (Contract Liability)		
Defence	2591719	1651671
Others	176	0
Sub-Total (A)	2591895	1651671
B. Milestone Receipt (Contract Liability)		
Defence	1876942	830315
Others	72	72
Sub-Total (B)	1877014	830387
TOTAL (A+B)	4468909	2482058



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 30 - Borrowings

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Secured Short Term Borrowings:		
a) Loans Repayable on Demand		
(i) From Banks	0	0
Working Capital Loan-Cash Credit		
Sub-Total (A)	0	0
B. Unsecured Short Term Borrowings:		
a) Loans Repayable on Demand		
Sub-Total (B)	0	0
TOTAL (A + B)	0	0

- (i) Refer Clause No. 35A and 35B of Note No.49 for further details on Borrowings
- (ii) Working Capital Loan is secured by first charge on Current Assets (All kinds of Stocks and Receivables of the Company both present and future)

Note 30A - Lease Liabilities

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Lease Liabilities	265	2
TOTAL	265	2

Refer Clause 9B of Note 49 for further disclosures on lease

Note 31 - Trade Payables

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Trade Payables		
A) total outstanding dues of micro enterprises and small enterprises	16176	17669
B) total outstanding dues of creditors other than micro enterprises and small enterprises	427443	493415
TOTAL	443619	511084
Disclosures		
(i) Above balances of Trade Payable include balances with related parties (Refer Payable of Clause No.45A(f) of Note 49).	3743	4682
(ii) Refer Clause 54(a) of Note 49 for ageing schedule of Trade Payables.		
(iii) Refer Clause No. 19 of Note No.49 for dues of micro and small enterprises		



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 32 - Other Financial Liabilities

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Liability for Outstanding Expenses	51634	45939
Deposits	21122	15007
Royalty	9940	7548
Dues to Employees	81807	74524
Current Maturities of Deferred Debts/Liabilities*	5485	5028
Due to Capital Creditors - Micro enterprises and small enterprises	3134	3461
Due to Capital Creditors - other than micro enterprises and small enterprises	38019	55015
Unpaid Dividend Account	101	99
Other Liabilities	58102	75940
TOTAL	269344	282561
(i) Above balances of Other Liabilities include balances with related parties (Refer Payable of Clause No. 45A(f) of Note 49).	185	139
(ii) No amount is due and outstanding to be transferred to Investor Education and Protection Fund at the period end in respect of Unpaid Dividend.		
(iii) Refer Clause No. 19 of Note No.49 for dues of micro and small enterprises		
* (iv) Refer Clause No. 44 (b) of Note 49		

Note 33 - Other Current Liabilities

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Advances from Customers (Contract Liability)		
Advances from Customers		
Defence	803351	967362
Others	17357	11543
Sub-total (A)	820708	978905
B. Milestone Receipt (Contract Liability)		
Defence	2028932	1679500
Others	75044	81424
Sub-total (B)	2103976	1760924
Advances from Customers (A + B)	2924684	2739829
C. Other Payables		
Taxes (Other than Taxes on Income)	9786	8264
GST Payable	1157	1769
Others	14388	10416
TOTAL (A+B+C)	2950015	2760278



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 34 - Provisions

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Provision for Employee Benefits		
Gratuity	0	8038
Earned Leave	11055	10988
Others (Performance Related Pay)	41382	41020
Sub-Total (A)	52437	60046
B. Others*		
Replacement and Other Charges	400365	492442
Warranty	143367	134169
Liquidated Damages	171268	155059
Sub-Total (B)	715000	781670
TOTAL (A + B)	767437	841716

*Refer Clause 49 of Note 49 for movement of Provisions

Note 35 - Current tax liability (Net)

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Current tax liability (Net)	0	13961
TOTAL	0	13961

Note 36 - Revenue from Operations

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
A. Sale of Products		
(i) Inland Sales		
Finished Goods	922742	705670
Spares	490537	562234
Development	95147	109241
Miscellaneous	51621	53320
Total Inland Sale of Products	1560047	1430465
(ii) Export Sales		
Finished Goods	35481	19302
Spares	7508	10818
Development	0	103
Total Export Sale of Products	42989	30223
Total Sale of Products (A)	1603036	1460688



Notes to the Standalone Financial Statements for the year ended March 31, 2026

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
B. Sale of Services		
(i) Inland Sale of Services		
Repair & Overhaul	1561906	1534645
Other Services	7099	5363
Total Inland Sale of Services	1569005	1540008
(ii) Export Sale of Services		
Repair & Overhaul	6925	9644
Other Services	217	125
Total Export Sale of Services	7142	9769
Total Sale of Services (B)	1576147	1549777
Total Sales (A+B)*	3179183	3010465
C. Other Operating Revenues		
(i) Disposal of Scrap and Surplus / Unserviceable Stores	1753	2164
(ii) Provisions no Longer Required**	115466	83500
(iii) Income from Overseas	11317	0
(iv) Others	1260	1963
Total Other Operating Revenues (C)	129796	87627
Revenue from Operations (A+B+C)	3308979	3098092

*(i) Refer Clause 1 (b) of Note 49 for disaggregation of revenue recognised against contract with customers

** (ii) Refer Clause 49 of Note 49 for movement of Provisions

Note 37 - Other Income

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Interest Income		
Short term Deposits / Loans / Others	296723	197961
Sundry Advances - Employees	46	43
Other Deposits	11895	11085
Sub-total	308664	209089
Dividend Income		
Dividend from Non- Current Investments in Joint Ventures	580	491
Other Non-Operating Income		
Gain on Foreign Currency Transaction and Translation	0	0
Gain on Sale of Property, Plant & Equipment (Net)	207	188
Gain on Fair Value Adjustment	2657	3117
Interest on Income Tax Refund*	0	19548
Miscellaneous	58267	24120
TOTAL	370375	256553

(i) Refer Clause 9A of Note 49 for further disclosure on Gain on Sale of Property, Plant & Equipment (Net)

*(ii) Refer Clause 41B of Note 49



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 38 - Cost of materials consumed

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Consumption of Raw Material, Components, Stores and Spare Parts		
Opening Stock	666632	738628
Add: Purchases	2357137	1876094
Add: Subcontracting, Fabrication and Machining Charges.	49858	34254
Less: Closing stock	628063	666632
	2445564	1982344
Less: Transfer to		
Special Tools and Equipment	45957	43905
Capital Works	576	588
Development Expenditure	943	2304
Expense Accounts and Others	9390	9757
	56866	56554
TOTAL	2388698	1925790

Note 38A - Purchase of Stock-in-Trade

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Purchase of Stock-in-Trade	59112	67937

Note 39 - Changes in Inventories of Finished Goods, Stock-in-Trade, Work-In-Progress and Scrap

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Changes in Inventories of Finished Goods, Stock-in-Trade and Work-in-progress		
Opening Balance		
(i) Finished Goods	0	0
(ii) Work-in-progress	1553975	788931
(iii) Stock in Trade	1494	4149
	1555469	793080
Closing Balance		
(i) Finished Goods	0	0
(ii) Work-in-progress	2556891	1553975
(iii) Stock in Trade	1273	1494
	2558164	1555469
Accretion / (Decretion) - A	1002695	762389
Change in Disposables Scrap		
Opening Balance	830	742
Closing Balance	1094	830
Accretion / (Decretion) - B	264	88
TOTAL (A+B)	1002959	762477



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 40 - Employee benefits expense

Particulars	(₹ in Lakhs)	
	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Salaries and Wages	462576	462755
Contribution to Provident Fund and Others	85580	79239
Contribution to Gratuity	45596	12672
Staff Welfare Expenses(Net)	15878	17029
Rent for Hiring Accommodation for Officers	55	77
TOTAL	609685	571772

Note 41 - Finance costs

Particulars	(₹ in Lakhs)	
	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Interest on Cash Credit	0	0
Interest on Lease Liabilities	53	2
Interest on Income Tax	0	277
Interest on micro and small enterprises	0	0
Interest - Others	520	583
TOTAL	573	862

Refer Clause No. 19 of Note No.49 for dues of micro and small enterprises

Note 42 - Depreciation and Amortization expense

Particulars	(₹ in Lakhs)	
	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
A. Depreciation on Property, Plant and Equipment	42444	34427
B. Amortisation		
Intangible assets - Development Expenditure	27070	25889
Other Intangible assets		
Licence Fees	2192	1060
Computer Software	2327	2019
Documentation	2993	31841
Special Tools	58395	38734
Sub-Total (B)	92977	99543
TOTAL (A+B)	135421	133970

Note 42A - Impairment Loss

Particulars	(₹ in Lakhs)	
	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Impairment Loss on Intangible Asset	1237	2474
TOTAL	1237	2474

Refer Clause No.50 of Note 49



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 43 - Other expenses

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Shop Supplies	11399	10282
Power and Fuel	20287	18994
Less: Savings in energy charges from Company owned wind & solar power plant	3235	3314
Net Power and Fuel	17052	15680
Water Charges	5680	5472
Rent for Office Premises etc.	104	85
Travelling (includes Foreign Travel)	9238	8797
Training (includes Foreign Training)	560	1504
Repairs:		
Buildings	14002	11228
Plant, Machinery and Equipment	23100	20019
Others	5855	5010
Expenses on Tools and Equipment	4328	5528
Insurance	6929	4841
Rates and Taxes	3044	3846
Postage and Telephones	1513	809
Printing and Stationery	1041	1202
Publicity	2095	3271
Advertisement	558	460
Bank Charges	1771	1294
Loss on Foreign Currency Transaction and Translation	16132	2479
Legal Expenses	270	467
Auditors' Remuneration:		
For Audit Fee	70	63
For Tax Audit Fee	7	6
For Other Services-Interim Audit & Other Certification fees	82	81
Selling Agents Commission	45	18
Handling Charges	128	256
Write Off:		
Fixed Assets	0	0
Stores	5048	3097
Shortages / Rejections	88	5
Others	1471	4318
Freight and Insurance	2479	2233
Corporate Social Responsibility	17258	15838
Loss on Fair Value Adjustment	2746	2949
Miscellaneous Operating Expenses	55216	47031
TOTAL	209309	178169
(i) Miscellaneous Operating Expenses includes Director's Sitting Fees, excluding GST for the current financial year is ₹18 Lakh (For the year ended 31 st March 2025 is ₹18 Lakh)	18	18
(ii) Refer Clause No. 55J of Note 49 for further disclosures on Corporate Social Responsibility		



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 44 - Direct Input to Work in Progress/ Expenses Capitalised

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
A) DIRECT INPUT TO WIP		
Project related Travel	1148	1075
Project related Training	167	160
Project related other Expenditure	2697	1397
Royalty	1711	1369
Foreign Technician Fee	1096	1673
Ground Risk Insurance	3758	2958
Quality Audit Expenses	4	12
Design and Development	68551	19067
Sundry Direct Charges - Others	4148	0
Sub-Total (A)	83280	27711
B) EXPENSES CAPITALISED TO INTANGIBLE ASSET		
Licence Fees	12023	3281
Computer software	2090	3485
Documentation	4432	2756
Sub-Total (B)	18545	9522
TOTAL (A + B)	101825	37233

Note 45 - Provisions

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Replacement and Other Charges	2742	126373
Warranty	38728	37015
Redundancy provision - Raw Materials and Components, Stores and Spare parts, Loose Tools and Equipment, Construction Materials, Inventory - Warranty and Work-in-Progress	543	7678
Liquidated Damages	72168	65843
Doubtful Debts	108	83
Doubtful Claims	500	635
Impairment of Investments	71	133
Doubtful Advances	1297	240
Doubtful Contract Assets	14338	15010
TOTAL	130495	253010

Refer Clause 49 of Note 49 for movement of Provisions



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 46 - Expenses relating to Capital and Other Accounts

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Expenses allocated to:		
Other Intangible assets	18545	9522
Special Tools	1320	1784
Capital Works	0	0
Development Expenditure	86907	70857
Others	58478	53344
TOTAL	165250	135507

Other Comprehensive Income

Note 47 - Items that will not be reclassified to Profit or Loss

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Remeasurements of the defined benefit plans	38468	2803
TOTAL	38468	2803

Note 48 - Items that will be reclassified to profit or loss

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
TOTAL	0	0



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
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1(a) Company Overview:

Hindustan Aeronautics Limited ("HAL") herein after referred to as, "the Company" is a limited Company incorporated in India. It is presently a Government Company within the meaning of Section 2(45) of the Companies Act, 2013 as the President of India acting through the Ministry of Defence (MoD) holds 71.64% equity shares of the Company.

The Company is engaged in the design, development, manufacture, repair, overhaul, upgrade and servicing of a wide range of products including, aircraft, helicopters, aero-engines, avionics, accessories and aerospace structures. The Company has been set up to meet the requirement of Indian Defence Forces (namely Indian Air Force, Indian Army, Indian Navy and Indian Coast Guard) in the area of Aerospace.

The Company's operations are organised into five complexes, namely the Bangalore Complex, MiG Complex, Helicopter Complex, Accessories Complex and Design Complex, which together include 20 production divisions and 12 research and design centres ("R&D Centres") and 8 support offices located across India and outside India. For the purpose of Financial Statements 26 Divisions (PY - 29 Divisions) are consolidated by merging R&D Centres and support offices with the main production division. The Company relies on Indigenous research as well as enter into technology transfer and licence agreements to manufacture its products. In addition, the Company has established 12 Commercial Joint Venture Companies(JVCs) in collaboration with leading international aviation and Indian Organizations and 2 Subsidiary Companies to grow its operations. Besides, the Company also formed 7 Section-8 (non-profit) Companies. For operational requirements, the Accounts of ASC division & IJT division merged with Aircraft division w.e.f Sep 2025 and IMGT division merged with Engine division w.e.f. November 2025 onwards. Accordingly C&AG made appointment of Auditors for 2025-26.

The financial statements are prepared to comply in all material aspects with Indian Accounting Standards (Ind AS) as prescribed under Section 133 of Companies Act, 2013 read with relevant rules of the Companies (Indian Accounting Standards) Rules.

1(b) Disaggregation of revenue as per Ind AS 115

Particulars	For the year ended 31 st March 2026								
	Sale of Products					Sale of Services			
	Finished Goods	Spares	Development		Miscellaneous	Repair & Overhaul		Others	Total
Timing of revenue recognition	Point in time	Point in time	Point in time	Point over time	Point in time	Point in time	Point over time	Point in time	
Revenue by geography									
India	922742	490537	15,894	79253	51621	1558727	3179	7099	3129052
Outside India	35481	7508		-		6925	-	217	50131
TOTAL	958223	498045	15894	79253	51621	1565652	3179	7316	3179183

Particulars	For the year ended 31 st March 2025								
	Sale of Products					Sale of Services			
	Finished Goods	Spares	Development		Miscella neous	Repair & Overhaul		Others	Total
Timing of revenue recognition	Point in time	Point in time	Point in time	Point over time	Point in time	Point in time	Point over time	Point in time	
Revenue by geography									
India	705670	562234	24,830	84411	53320	1513618	21027	5363	2970473
Outside India	19302	10818	103	-		9644	-	125	39992
TOTAL	724972	573052	24933	84411	53320	1523262	21027	5488	3010465

1(c) Changes have been made in the Accounting Policies to comply with the MCA notification dated 13th August 2025, Financial Reporting Review Board(FRRB) of ICAI's observations on Financial Statements and Auditors Report of the Company and to bring the better clarity in disclosure and to the accounting practices that are followed by the Company. Proposed changes in the Accounting Policies were placed before the Board in its 499th meeting held on 22nd December 2025 and the same was approved by the Board. Financial impact of these changes is nil in the Accounts.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
------------	-------------

2(a) Claims / Demands against the Company contested and are not acknowledged as Debts (Gross) - as reimbursements are available from the customers as per contract *.

Particulars	As at 1 st April 2025	Additions (net)	Removal (from Opening Balance)	As at 31 st March 2026
(i) Sales Tax / Entry Tax#	85440			85440
(ii) Goods and Service Tax	2389	6900	2210	7079
(iii) Service Tax	23156	222	650	22728
(iv) Customs Duty	64720	21437	2948	83209
Total	175705	28559	5808	198456

*In terms of Pricing Policy agreed with Indian Defence Services, prices approved are exclusive of taxes and duties i.e. Sales Tax, Entry Tax, Goods and Service Tax, Service Tax, Customs Duty etc. In case, the customer do not submit an exemption certificate, taxes would be levied and the same would be re-imbursed by the customer.

Sales Tax disputes for the year 1986-87 to 2017-18 was pending in various Authority/Tribunal /Courts in the state of Maharashtra. During the year 2024-25, an out of court settlement was reached between the Company, Government of Maharashtra and the Customer. As per the settlement the disputed tax demand of ₹ 1001841 lakhs have been reduced to ₹ 273724 lakhs. In view of the above, the Company paid an amount of ₹ 247097 lakhs in March 2025 after adjusting an amount of ₹ 26627 lakhs deposited in earlier years with the revenue authority. The amount so paid has been claimed by the Company and reimbursed by IAF in the month of March 2025.

2(b) Contingent Liability not acknowledged as Debts (Gross)

Particulars	As at 1 st April 2025	Additions (net)	Removal (from Opening Balance)	As at 31 st March 2026
(i) Income Tax	47392	17656	21924	43124
(ii) Others	8296	223	490	8029
TOTAL	55688	17879	22414	51153

Employee related 221 cases (31.03.2025 : 218) against HAL pertaining to employee related issues in various forums. The financial impact of the same not ascertainable as on date. Hence, the financial impact are not included in "others" above.

Particulars	As at 31 st March 2026	As at 31 st March 2025
2(c) Guarantees excluding financial guarantees	-	-

3 Commitments

Estimated amount of contracts remaining to be executed and not provided for:

Particulars	As at 31 st March 2026	As at 31 st March 2025
on Capital Account	262650	215016

In view of the nature of business, being long term contracts there may be other commitments for purchase of material etc., which has been considered as normal business process, hence not been disclosed.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars		
	Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
4	Value of Imports calculated on CIF basis:		
	(i) Raw Materials	538073	513258
	(ii) Components and Spares	1381012	1043215
	(iii) Capital Goods	2087	3202
	(iv) Special Tools	9008	11927
	Total	1930180	1571602
5	Raw Materials, Spare Parts and Components consumed :		
	(i) Imported (including Customs Duty)	1945871	1527110
	(% to total)	80	77
	(ii) Indigenous	499693	455234
	(% to total)	20	23
	Total (Gross)	2445564	1982344
	(Total %)	100	100
6	Expenditure in Foreign currency on account of :		
	(i) Royalty	1711	1369
	(ii) License Fee	12023	3281
	(iii) Documentation	4432	2756
	(iv) Professional, Consultancy and Foreign Technician Fees	1096	1737
	(v) Foreign Travel	651	910
	(vi) Liason Office Abroad	1326	1004
	(vii) Others	4560	4362
	Total	25799	15419
7	Earnings in Foreign Exchange :		
	(i) FOB value of exports made by the Company	42989	30223
	(ii) Services	7142	9769
	(iii) Income from Overseas	11317	
	Total	61448	39992

8A The Property, Plant and Equipment does not include assets funded by the customer for use of their jobs but held by the Company on their behalf.

Particulars	As at 31 st March 2026	As at 31 st March 2025
Opening Balance	218429	215344
Additions	1012	3085
Closing Balance	219441	218429

8B Certain Capital items specific to projects for manufacturing facility have been funded by the customer either upfront or is reimbursed through product cost spread over the duration of the projects. The revenue in respect of funds received from the Customer for the manufacturing facility would be recognised as and when the control over manufacturing facility is transferred to the Customer as per the requirement of Ind AS 115.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars		
9A	Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025
	Gain on Sale of Property, Plant & Equipment	207	188
	Loss on Sale of Property, Plant & Equipment		
	Net (Note 37 & Note 43)	207	188

9B Disclosure under Ind AS 116 as lessee:

Particulars	31 st March 2026	31 st March 2025
depreciation on right-of-use assets for the year ended	548	299
interest expense on Lease liabilities for the year ended	53	2
total cash outflow for leases for the year ended	132	2
additions to right-of-use assets	1054	
carrying amount of right-of-use assets	8533	8042

One Avro Aircraft (BH 572) is on lease from Indian Air Force for a period of 1 year for an amount of ₹322 lakhs. The charges for the same has been accounted as expenditure for the year ended 31st March 2026. The company has an option to renew the lease subject to increase of 9% over previous year.

Vehicles (Right-of-use) assets under Property, Plant and Equipment includes Electric Cars taken on lease. HAL (Lessee) has entered a Lease agreement with Convergence Energy Services Limited (CESL-Lessor) for Lease of Electric Cars for 5 years. As per the agreement, Electric cars to be provided by Lessor on monthly lease payments for 5 years.

As per Ind AS 116, the leased Electric Cars have been recognised in the books of account as "Right Of Use (ROU) Asset" under Property, Plant and Equipment. Fair value of ROU assets calculated based on the Present Value (PV) of Lease rentals to be paid during the Lease period of 60 months.

9C as lessor:

The Company leases out its Investment property and Property, Plant and Equipment. The Company has classified these lease as operating leases, as there is no transfer substantially all the risks and rewards incidental to the ownership of the assets. Clause 14.11 of Note 49 gives information about the operating leases of Investment Property.

Operating Lease	31 st March 2026	31 st March 2025
Lease income	1831	1581

The Property, Plant and Equipment disclosed under Note 1A includes the following assets given on Operating Lease:

Particulars	As at 31 st March 2026				As at 31 st March 2025			
	Gross Block	Accumulated Depreciation	Net Block	Depreciation for the year	Gross Block	Accumulated Depreciation	Net Block	Depreciation for the year
Land - Freehold	85		85		85		85	
Buildings	272	142	130	6	14	12	2	
Aircraft/ Helicopters	6182	2627	3555	356	6173	2271	3902	356
Total	6539	2769	3770	362	6272	2283	3989	356



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars	
	The maturity analysis of lease payments (including payments from Investment Property) showing the undiscounted minimum lease payments to be received over the remaining non-cancellable term on an annual basis are as follows:	
Term	31 st March 2026	31 st March 2025
Less than one year	830	1035
One to Two years	731	345
Two to Three years	615	332
Three to Four years	235	218
Four to Five years	228	226
More than Five years	4422	4381
Total undiscounted lease payments	7061	6537

Credit Risk

The Company has leased out its Properties to Joint Ventures, Subsidiaries and Other agencies. Lease payments are structured with periodic escalations consistent with the prevailing market conditions. Based on the Credit Risk in lease payments, suitable provision has been made in the books of accounts.

9D	Capital Work-in-progress	As at 31 st March 2026	As at 31 st March 2025
	Opening Balance	109108	93579
	Additions	89389	84964
	Deletions	95934	69435
	Closing Balance (refer clause No. 9E and 9F)	102563	109108

9E Capital Work-in-Progress Ageing schedule

CWIP	As at 31 st March 2026					As at 31 st March 2025				
	Amount in capital work in progress for a period of					Amount in capital work in progress for a period of				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Projects in progress	36912	23947	28228	13476	102563	39319	44591	14701	10497	109108
(ii) Projects temporarily suspended	-	-	-	-	-	-	-	-	-	-
Total	36912	23947	28228	13476	102563	39319	44591	14701	10497	109108



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars							
9F	Capital Work-in-Progress, whose completion is overdue or has exceeded its cost compared to its original plan: CWIP completion Schedule							
CWIP	As at 31 st March 2026				As at 31 st March 2025			
	To be completed in				To be completed in			
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Less than 1 year	1-2 years	2-3 years	More than 3 years
Project in progress								
(i) Su-30	-	-	-	-	-	-	-	-
(ii) LCA	-	-	-	-	-	-	-	-
(iii) General purpose CWIP	-	-	-	-	794	-	-	-
Projects where activity has been suspended	-	-	-	-	-	-	-	-
Total	-	-	-	-	794	-	-	-

9G Intangible assets under development - Ageing schedule

Intangible assets under development	As at 31 st March 2026					As at 31 st March 2025				
	Amount in Intangible assets under development for a period of					Amount in Intangible assets under development for a period of				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Projects in progress	28231	48480	31269	186354	294334	46880	32869	29319	157035	266103
(ii) Projects temporarily suspended	0	0	0	0	0	0	0	0	0	0
Total	28231	48480	31269	186354	294334	46880	32869	29319	157035	266103

9H For Intangible assets under development, whose completion is overdue or has exceeded its cost compared to its original plan: Intangible assets under development completion Schedule

Intangible assets under development	As at 31 st March 2026				As at 31 st March 2025			
	To be completed in				To be completed in			
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Less than 1 year	1-2 years	2-3 years	More than 3 years
Projects in progress								
(i) VHF and DAMS	-	-	-	-	-	-	-	-
Projects where activity has been suspended	-	-	-	-	-	-	-	-
Total	-	-	-	-	-	-	-	-



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars						
10	The Company has received a sum of ₹ 13229 lakhs from Ministry of Defence (MoD), Government of India (GOI) on 28 th January 2011 towards subscription of Share capital of Multirole Transport Aircraft Limited (MTAL). Out of the above, the Company has invested a sum of ₹ 11347 lakhs and the balance of ₹ 1882 lakhs has been paid during the year 2020-21. Interest of ₹ 3326 lakhs has been provided on the unutilised portion up to the date of repayment during 2020-21 and the same is included in other financial liabilities. (refer clause no. 45B).						
11	The aggregate amount of Research and Development Expenditure recognised as expenses during the period is as below:						
	Expenditure on Research and Development included in :		For the year ended 31 st March 2026		For the year ended 31 st March 2025		
	Raw Material Consumption		59588		54101		
	Direct Expenses		73526		21456		
	Salaries and Wages		82117		86028		
	Others		64216		86648		
	Total R & D Expenditure		279447		248233		
12	R&D Corpus						
	Considering the futuristic business interest of the Company and to maintain the yearly growth in Revenues of the Company, the Board has enhanced the existing fund allocation for creation of R&D Corpus (excluding customer funded R&D) with an annual contribution from 10 % to 15% of Operational Profit After Tax from 2022-23.						
13	Indigenization Corpus						
	Notification on Policy for Indigenization of Components and spares used in Defence platforms for DPSUs/OFB was issued on 8 th March 2019.						
	As per the guidelines from Department of Defence Production(DDP) Board has approved creation of Indigenization Corpus with an annual contribution of 3% of Operating Profit After Tax from 2022-23.						
13B	Exceptional item shown during 2024-25 represents ₹ 589 Lakhs received on 12 th September 2024 for compensation received from the Office of Special Land Acquisition Officer, Bangalore under KIADB Act, on compulsory acquisition of 315 Sq. Mtrs (0.078 Acres) of HAL land at Beninganahalli Village, Bangalore by M/s Bangalore Metro Rail Corporation Ltd.						
14	Particulars		As at 31 st March 2026		As at 31 st March 2025		
	Total Land held (in acres). (Refer Note -1A)		12009.840		12014.011		
14.1	Instruments of transfer in respect of land and building have not been executed, even though in possession by the Company	Division	Assets	Acres	Amount	Acres	Amount
		Lucknow/ Nasik / FMD/Korwa/Kanpur/ Barrackpore	Land	1100.037	295	1100.037	295
14.2	Land handed over /earmarked to the Government / other agencies pending execution of instruments of transfer	FMD/ Hyderabad/ Koraput	Land	137.253	56	137.253	56



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars						
		Division	Assets	Acres	Amount	Acres	Amount
14.3	Land given on lease to the Government / other agencies	FMD/ Nasik/ Koraput/ Hyderabad/ Lucknow/Korwa/ Kanpur	Land	657.553	85	648.149	85

14.4 The Company's Barrackpore Division is in possession of 23.385 acres (previous year: 23.385 acres) of land on which the Division has its Buildings, Hangar, Plant and Machinery etc. The instruments of transfer in favour of Division / Company either by way of lease or transfer in respect of this land is pending execution. Provision for lease rental amounting to ₹ 36.50 Lakhs up to the year ended 31st March 2026 (previous year: ₹ 36 Lakhs) has been made. The transfer of the land is being pursued with Defence Estate Officer, Kolkata.

The above does not includes 7.115 acres of Land received from Army in exchange of 5 acres of Land at Bangalore which was received free of cost from State Government before 31st March 1969. Since the value of 5 acres land was nil, the value of 7.115 acres land received in exchange of 5 acres land is also taken as Nil.

The title deeds of immovable properties are not held in the name of the HAL.

Land(Right-of-Use) under Property Plant and Equipment includes 200 acres land taken on lease for establishing a unit at Kasaragod at a cost of ₹ 708 lakhs during 2008. This cost is amortised over the lease period of 90 years. The Lease charges for the period amounting to ₹ 5 Lakhs (previous year: ₹ 8 lakhs) has been considered under depreciation during the year. However 4.171 acres(previous year: 4.171 acres) of land shortage due to surrender of certain tracts of land against local disputes by Kerala Industrial Infrastructure Development Corporation (KINFRA). Land shortage issue has been taken up with KINFRA for compensation of shortfall in the land. HAL Board has accorded approval in their 472nd Meeting held on 27.09.2023, for proposal of acceptance of refund amount without interest from M/s KINFRA towards shortfall of land. During the year, the Board of KINFRA has remitted the lease premium of ₹ 14.78 Lakhs towards 4.171 acres of disputed land. Execution of amended Lease deed for 195.829 acres of land by Strategic Electronics Factory(SEF), Kasaragod was completed during the year 2025-26.

Land under Clause 14.3 includes 12 acres of land given on lease to M/s LNB Renewable Energy Pvt Ltd., Hyderabad for 25 years, giving vendor the 'Right to Use' specific land for establishing solar PV Power Plant project only and not for any other purpose with a Purchase Agreement for a period of 25 years for purchase of electricity generated by the Solar PV Power Plant project at the fixed tariff of ₹ 3.23/KWh.

The Board in its 98th Meeting held on 29th September 1975, had approved transfer of 25 acres of land to National Remote Sensing Centre (NRSC), (erstwhile called NRSA) subject to clearance from Defence Ministry and the Govt. of Andhra Pradesh. After clearance and obtaining necessary approvals, the Division had handed over 23.01 acres of land to NRSC in 1976. However, Conveyance Deed of the land in favour of NRSC was not registered and kept pending by the Sub-Registrar for want of clarification from the then Govt. of Andhra Pradesh regarding exemption of stamp duty, Transfer Deed could not be executed between NRSC and HAL at that point of time. In order to ascertain the exact amount of land in possession of NRSC, the Division had conducted land survey of HAL Land and after post assessment, a proposal was placed before Board for execution of transfer deed for transfer of 22.20 Acres Land to NRSC and approval was accorded by the Board in its 479th Meeting held on 16th May 2024. Accordingly, Transfer deed was executed in June 2024 for transfer of Land to NRSC.

Land (Right-of-Use) under Property, Plant and Equipment includes land 0.273 acres taken on lease for Liaison Office Mumbai at a cost of ₹ 3 lakhs (including development cost). This cost is amortised over the lease period of 30 years. The amount of amortisation has been considered under depreciation for the year. Lease rental is ₹ 2304/- payable annually.

Land under clause 14.3 include 39.79 acres of land to M/s Ordnance Factory Board, 0.115 acres to RCMA, 0.37 acres to AFLE and 3.08 acres to M/s DAV College Trust on lease basis by Korwa Division.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
14.5	a) Facilities Management Division (FMD) is holding 2117.289 acres (previous year: 2117.289 acres) land, out of which free hold land of 2096.189 acres (previous year: 2096.189 acres) is located in Bangalore and 15.1 acres (previous year: 15.1 acres) located at Bagalkot, Karnataka and Lease hold Land of 6 acres (previous year: 6 acres) is located at Harapanahalli, Davanagere, of which 17.737 acres (previous year: 17.737 acres) is under litigation / encroachment by third parties and 10.152 acres (previous year: 10.152 acres) is under dispute with M/s Bharat Earth Movers Limited(BEML). Out of freehold land, 315 Sq. mtrs. (0.078 acres) of HAL land at Benniganahalli has been handed over to BMRCL for Construction of metro rail project work on 3rd May 2024 under compulsory acquisition. b) Titles to land are not in the name of the Company in respect of 30 survey numbers totalling to 76.475 acres(previous year: 76.475 acres) at FMD division, However, Records of Tenancy Certificate is available. c) Pending dispute settlement, an amount of ₹3716 lakhs (previous year: ₹3572 Lakhs) towards cumulative lease rental income with various parties has not been considered in the books of accounts, The applicable revised lease rental will be considered only after settlement of dispute and renewal of the lease agreements. d) Approval has been given by the Board in its 439th and 458th Meeting for Monetization of 2.925 acres of land at Okalipuram, Bengaluru. Accordingly, the Company advertised for outright sale of 2.925 acres for which e-auction was conducted on 12th January 2023 and two parties submitted applications. The premium offered by H1 bidder is proposed for acceptance of the Competent Authority. In the meanwhile, Govt. Audit raised an Audit Enquiry that the projected realizable land value is lesser than the Govt. guidance value. Accordingly, the Company engaged three valuers to independently undertake the valuation of 2.925 acres of land at Okalipuram afresh. A Committee constituted by the Competent Authority reviewed the Valuation Reports submitted by the Valuers and Committee analysed and submitted its report dated 28th April 2023, recommending to cancel the sale of land and go for fresh asset monetization exercise by keeping the Reserve price of the land as ₹ 9780 lakhs. Based on approval of the Competent Authority on 4th July 2023, the process of sale of land has been annulled and is in the process to monetize the land at a Reserve Price of ₹ 9780 lakhs. e) Freehold Land of 4620.13 acres of Nasik division includes a land of 7 Acres - 13 Guntas which has been acquired by Maharashtra Government and transferred to HAL along with Durga Devi Temple and one tree. The title deeds of the land is in the name of HAL and there is no encroachment. Further, the Land at Nasik division includes 0.0516 acres (previous year: 0.0516 Acres) of land encroached by 9 persons. HAL Board in its 212th Board meeting had accorded approval for leasing of land 2.47 Acres to Maharashtra State Road Transport Corporation (MSRTC) at Ojhar Nasik adjoining the National Highway to MSRTC for construction of bus stand for initial period of 30 years on a nominal rent of ₹ 1/- per annum per acre, in exchange of one acre of MSRTC land to be leased to HAL at Nasik City located at SL. No.287/A, Aurangabad Road, Nasik measuring 4050 Sq. Mtrs. (i.e.1 acre of land). Division has obtained 7/12 extract from revenue authorities Gut No.128 which indicates that land belongs to HAL. f) About 50.21 acres(previous year: 50.21 acres) of the land belonging to the Koraput Division is encroached upon by the nearby villagers for cultivation. g) "Land at Corporate office includes 711.22 sq.mtrs (previous year: 711.22 Sq. mtrs) of land that has been acquired for the Metro Rail Project by M/s. Bangalore Metro Rail Corporation Limited (BMRCL). The compensation awarded of ₹549 lakhs (previous year: ₹549 lakhs) by M/s. Karnataka Industrial Area Development Board (KIADB) was contested by Company in the City Civil Court at Bangalore. Currently, the case is pending before the City Civil Court at Bangalore . Meanwhile, a Joint Committee comprising the Company & BMRCL Officials



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
	was formed to arrive at an out of court settlement. On completion of the Metro Rail project, the land utilized is restricted to 272.94 sq.mt. (previous year : 272.94 sq. mt.) area to the extent of 438.28 sq. mt. has been conveyed back to the Company through Deed of transfer. Compensation amount for remaining area, i.e 272.94 sq. mt. is yet to be received by the Company. Company has filed memos in the pending cases requesting the Court to disburse ₹ 348 lakhs along with interest as compensation for remaining area of land (i.e. 272.94 sq.mt.). Further, Special Land Acquisition Officer (SLAO) has filed an application before Court requesting the Court to refund the entire amount with interest to it and for closing the case. Company has filed objections to the said application filed by SLAO. Company has also filed an application before the Court for disbursing ₹ 348 lakhs along with interest as compensation for remaining area of land (i.e. 272.94 sq.mt.) on 07.08.2025, the Court rejected application filed by HAL and directed that HAL is entitled for release for amount only after disposal of case on merits.. HAL has preferred Writ Petition No. 640 of 2026 challenging the order dated 7.8.2025 of the City Civil Court. The matter was listed before the High Court. The Court heard the matter for sometime and adjourned. No next date is given by the Court. As the matter is subjudice no adjustment has been made in the books.
14.6	Land under clause 14.1 includes (i) 376.76 acres (previous year: 376.76 acres) of the land acquired by State Government of Uttar Pradesh for HAL and possession was handed over to HAL by District Land Acquisition Officer. (ii) The factory area 54.30 acres was transferred during 1973 from Indian Air Force to HAL. (iii) Out of total land of 431.06 acres, 2.03 acres of land was sold to NHAI. In the above cases, as per the legal position, all the parties are Government bodies. According to Government Grants Act, 15 of 1895, Section-2 Governments Grants are exempted from the operation of the transfer of property Act. Thus, there is no need of execution of the sale deed / transfer deed. Hence, the title deeds are not in the name of the Company. Land under clause 14.3 does not include, the ownership of 27 acres (previous year: 27 acres) of land on which labour colony has been built by Labour Commissioner, Kanpur, belongs to the Company as per Revenue records. Out of the above said land, Joint Secretary, UP government vide its orders transferred 6.617 acres of land to UP State Electricity Board. The encroachment of 44.552 acres (previous year: 41.69 acres as per Drone Survey Report) has been identified as per Re-survey Report by Remote sensing Application Centre, UP. HAL has taken suitable and necessary steps towards eviction of the encroachers. Land of 25.49 acres is under litigation out of the total land of 429.03 acres. The Additional 5.14 acres of land was given on lease to DAV College Trust as per the lease agreement signed on 25th September 2025.
14.7	a) Approval has given by the Board for acquiring 7.41 acres of land on lease at Sattari Goa for undertaking MRO activity during December 2017 Subsequently, as per the Board Approval in its 431st and 434th Meeting, tripartite lease deed was executed on the 18th May 2023 between Goa Industrial Development Corporation (GIDC), M/s Helicopter Engines MRO Private Limited (HE MRO) and HAL MRO Division for transfer of Lease hold rights of land admeasuring 7.41 acres to HE-MRO. b) The Company acquired during January 2021, 5 acres of defence land on lease at Akabil village, Missamari, District Sonitpur for establishing MRO Hub Facilities for an annual lease rental of ₹1.00 per annum without any premium and registration charges, processing fees etc as per actual. c) The Company acquired during March 2021, 4.34 acres of defence land on lease at Mamun Military station for establishing MRO Hub facilities at an annual lease rental of ₹1.00 per annum without any premium along with necessary registration charges, processing fees etc as per actual.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars					
14.8	Title deeds of Immovable Property not held in name of the Company as at 31 st March 2026					
Relevant line item in the Balance Sheet	Description of item of property	Gross Carrying value	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/ director of employee of promoter/ director	Property held since which date	Reason for not being held in the name of the company
PPE	Land 76.475 acres	5	Various Persons, Bangalore	No	1950's Approx.	Compendium Error. Estate department in possession of Hand book with land acquired in various survey numbers called as Compendium. Few title documents are not available as per the compendium.
	Land - 39.32 Acres	286	Lucknow Development Authority	No	19/05/1986	The land is in the possessions of the division. However, same is to be registered in the name of the division by Lucknow Development Authority.
	Land at Kasbe Sukena Railway Station : Approx. 196.22 Acres of rail siding	-	Government of Maharashtra	No	Since Inception of Nasik Division (1964)	196.22 Acre Land being Railway siding land is not in use by HAL & to be returned to Appropriate authority of State Government. Division is continuously following up the matter.
	Land at Ojhar : Approx. 69.477 Acres of land given by State Government.	-	Government of Maharashtra	No	Since Inception of Nasik Division (1964)	Matter of 69.477 Acre of Land is being followed with Sub Divisional Magistrates Niphad for making Indenture.
	Land at Ghaukhera-Kanpur 16.81 acres	0	Exhibited as Audhyogik krishik, Land in Govt. record	No	13/12/1965	Land acquired and handed over to HAL by District Land Acquisition Officer, case filed with SDM for transfer of name in title deed. Award & Possession certificate in the name of HAL
	Land at Chak kuriyan-Kanpur 7.92 acres	0	Shown as HAL Factory Kanpur as per new Khasara no. after Land demarcation in Govt. record.	No	22/12/1965	
	Land at Dahli Sujapur-Kanpur 3.11 acres	0	Appearing as Vayuyaan Colony	No	15/12/1965	
	Land-Kanpur 401.19 acres	4	No title deed	No	Year 1964-65	Possession of the immovable property was handed over to Hindustan Aeronautics Limited (HAL) by district Land Acquisition Officer and Indian Air Force, therefore no title deed is required to be executed under Government Grants Act, 1895.(Section 2 Government Grants are exempted from the operation of the Transfer of Property Act). Property held since beginning but date not available, Award & Possession certificate in the name of HAL 346.89 acres of land. The remaining 54.3 acres of land is transferred to HAL by IAF by way of transfer of land
	Building	35				



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars						
	Relevant line item in the Balance Sheet	Description of item of property	Gross Carrying value	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/ director of employee of promoter/ director	Property held since which date	Reason for not being held in the name of the company
		Land - 7.115 Acres		Govt. of India	No	31/03/1969	7.115 acres of Land received from Army by Barrackpore division in exchange of 5 acres of Land at Bangalore, which was received free of cost from State Government before 31 st March 1969. Therefore, no title deed is required to be executed under Government Grant Act, 1895 (Section 2 Government Grants are exempted from operation of the Transfer of Property Act)
		Land - 282.40 acers		Various persons, Korwa Village	No	26/11/1982	As informed vide UP Govt ltr No. 606/B/DT 08.05.1990 in the instant case sale deed or gift deed is not necessary. However the land is in the possession of the division.

Title deeds of Immovable Property not held in name of the Company as at 31st March 2025

	Relevant line item in the Balance Sheet	Description of item of property	Gross Carrying value	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/ director of employee of promoter/ director	Property held since which date	Reason for not being held in the name of the company
PPE		Land 76.475 acres	5	Various Persons, Bangalore	No	1950's Approx.	Compendium Error. Estate department in possession of Hand book with land acquired in various survey numbers called as Compendium. Few title documents are not available as per the compendium.
		Land - 39.32 Acres	286	Lucknow Development Authority	No	19/05/1986	The land is in the possessions of the division. However, same is to be registered in the name of the division by Lucknow Development Authority.
		Land at Kasbe Sukena Railway Station : Approx. 196.22 Acres of rail siding	-	Government of Maharashtra	No	Since Inception of Nasik Division (1964)	196.22 Acre Land being Railway siding land is not in use by HAL & to be returned to Appropriate authority of State Government. Division is continuously following up the matter.
		Land at Ojhar : Approx. 69.477 Acres of land given by State Government.	-	Government of Maharashtra	No	Since Inception of Nasik Division (1964)	Matter of 69.477 Acre of Land is being followed with Sub Divisional Magistrates Niphad for making Indenture.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars						
	Relevant line item in the Balance Sheet	Description of item of property	Gross Carrying value	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/ director of promoter/ director	Property held since which date	Reason for not being held in the name of the company
		Land at Ghaukhera-Kanpur 16.81 acres	0	Exhibited as Audhyogik krishik, Land in Govt. record	No	13/12/1965	Land acquired and handed over to HAL by District Land Acquisition Officer, case filed with SDM for transfer of name in title deed. Award & Possession certificate in the name of HAL
		Land at Chak kuriyan-Kanpur 7.92 acres	0	Not appearing in govt. record	No	22/12/1965	
		Land at Dahli Sujanpur-Kanpur 3.11 acres	0	Appearing as Vayuyaan Colony	No	15/12/1965	
		Land-Kanpur 401.19 acres	4	No title deed	No	Year 1964-65	Possession of the immovable property was handed over to Hindustan Aeronautics Limited (HAL) by district Land Acquisition Officer and Indian Air Force, therefore no title deed is required to be executed under Government Grants Act, 1895.(Section 2 Government Grants are exempted from the operation of the Transfer of Property Act). Property held since beginning but date not available, Award & Possession certificate in the name of HAL 346.89 acres of land. The remaining 54.3 acres of land is transferred to HAL by IAF by way of transfer of land
		Building	35				
		Land - 7.115 Acres		Govt. of India	No	31/03/1969	7.115 acres of Land received from Army by Barrackpore division in exchange of 5 acres of Land at Bangalore, which was received free of cost from State Government before 31 st March 1969. Therefore, no title deed is required to be executed under Government Grant Act, 1895 (Section 2 Government Grants are exempted from operation of the Transfer of Property Act)
		Land - 282.40 acers		Various persons, Korwa Village	No	26/11/1982	As informed vide UP Govt Ltr No. 606/B/DT 08.05.1990 in the instant case sale deed or gift deed is not necessary. However the land is in the possession of the division.

14.9 The Company has not revalued its Property, Plant and Equipment, and therefore disclosure, whether the revaluation is based on the valuation by a registered valuer as defined under rule 2 of the Companies (Registered Valuers and Valuation) Rules, 2017 does not arise.

14.10 The Company has not revalued its intangible assets, and therefore disclosure, whether the revaluation is based on the valuation by a registered valuer as defined under rule 2 of the Companies (Registered Valuers and Valuation) Rules, 2017 does not arise.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars		
14.11	Information regarding income and expenditure of Investment property As per Ind AS 40 - Investment property:		
	Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025
	Rental income derived from investment properties	885	783
	Direct operating expenses (including repairs and maintenance) generating rental income	-	-
	Direct operating expenses (including repairs and maintenance) that did not generate rental income	-	-
	Profit arising from investment properties before depreciation and Indirect expenses	885	783
	Less – Depreciation	-	-
	Profit arising from investment properties before Indirect expenses	885	783
	Fair value of investment property		
	As at 31 st March 2026, the Fair value of the investment properties is ₹ 47087 lakhs as valued by a Registered valuer as defined under rule 2 of Companies (Registered Valuers and Valuation) Rules, 2017.		
15	In respect of the materials received under bulk contracts with the Russian Federation where the suppliers do not indicate itemized prices, the value of materials issued is assessed on technical estimates to exhibit a fair value of the closing work-in-progress and inventory of these materials is subject to adjustment at the end of the project.		
16		As at 31st March 2026	As at 31st March 2025
	The total inventory does not include materials belonging to customers but held by the Company on their behalf	78014	77330
17A	Claims Receivable(Note 19) includes ₹978 lakhs (previous year: ₹1746 Lakhs) settled under Sabka Saath Sabka Vikas scheme, is fully reimbursable by customer as per terms of pricing policy with Defence Services and the amount so paid in the earlier years in the scheme has been claimed by the Company and reimbursed by Customer of ₹768 during the year 2025-26, since, the balance amount of ₹978 lakhs long pending, provision has been created against the claims receivable.		
17B	The Board in its 479 th meeting accorded approval for upgrading Helicopter Factory, Tumakuru currently operating as extension of Helicopter Division to a new division named as Helicopter Division, Tumakuru (HFT) reporting to Helicopter Complex. Accounts of Helicopter Division, Tumakuru has been merged with Helicopter Division, Bangalore.		
17C	The Board in its 498 th Meeting held on 12 th Nov 2025 has accorded approval for the establishment of a new R&D Centre "Space Research & Design Centre (SRDC)" which shall function as an integral part of the Design Complex. Expenditure incurred by SRDC of ₹183 lakhs for the year ended has been included in ARDC division.		
18A	DIVIDEND POLICY:		
	As per extant Memorandum F.No. 5/2/2016-Policy dated 18 th November 2024 of the Department of Investment & Public Asset Management, Ministry of Finance, Government of India, all central public sector enterprises are required to pay a minimum annual dividend of 30% of Profit After Tax (PAT) or 4% of the net-worth, whichever is higher, subject to the limit, if any extant legal provision and the conditions mentioned in the aforesaid memorandum.		
	However, the declaration and payment of dividends on our Equity Shares will be recommended by our Board and approved by our shareholders, at their discretion, subject to the provisions of the Articles, the Companies Act, 2013. Further, the dividends, if any, will depend on a number of factors, including but not limited to our earnings, guidelines issued by the Ministry, capital requirements and overall financial position of our Company. In addition, our ability to pay dividends may be impacted by a number of factors, including the results of operations, financial condition, contractual restrictions, restrictive covenants under the loan or financing arrangements the Company may enter into.		



(₹ in Lakhs)

Clause No.	Particulars		
18B	Particulars	As at 31st March 2026*	As at 31st March 2025[#]
	Dividend paid to Resident shareholders - President of India and nominees (including Interim Dividend)	239551	182059
18C	Dividend paid to Resident shareholders - Other than President of India and nominees (including Interim Dividend)	61579	42912
18D	The Company as at 31.03.2026, 24298 Shareholders (previous year: 20715 shareholders) who are Non-Resident shareholders. The Dividend Paid to the Non-Resident shareholders has been paid in Indian Rupees to their respective Non-Resident Ordinary Rupee Accounts.		
	Dividend paid to Non-Resident shareholders (including Interim Dividend)	33257	29164
18E	Final Dividend:		
	(a) The amount of dividend proposed to be distributed to Equity share holders		
	* Final Dividend for the year 2024-25 ₹100316 lakhs paid during 2025-26		
	[#] Final Dividend for the year 2023-24 ₹86941 lakhs paid during 2024-25		

19	Particulars	31 st March 2026	31 st March 2025
	The Information regarding dues to Micro and Small Enterprises*		
	1. The Principal and the Interest due thereon		
	a) Principal	19011	20708
	b) Interest	299	422
	2. The amounts paid by the Company beyond the appointed day during the year ended		
	a) Principal		
	b) Interest	-	-
	3. The Interest due and payable for the period of delay (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the Act.		
	4. The interest accrued and remaining unpaid	299	422
	5. The amount of further Interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the Small Enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the MSMED Act.		

*The information has been given in respect of such suppliers on the basis of information available with the Company based on information received from such suppliers.

20 HAL has initiated criminal proceedings against the accused in 2011-12 and during 2012-13, two civil suits have been filed for recovery of fraudulently drawn amounts against the accused, his accomplices and institutions namely, the State Bank of India (SBI) for ₹ 289 Lakhs (COM.OS.5322/2012) and Shri Krishna Souharda credit Co-operative Limited for ₹ 102 lakhs (COM.OS.8225/2012), totalling to ₹ 391 lakhs at Aerospace Division. Both the civil cases and criminal case are under progress in the court. Properties of the accused amounting to ₹138 lakhs have also been attached by the court. An amount of ₹ 243 lakhs has been received from SBI on 25.04.19 and the balance amount of ₹148 lakhs has been provided in the financials of 2018-19.

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

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Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
24D	During the audit of accounts for the financial year 2024–25, the Comptroller and Auditor General of India (C&AG) raised an observation regarding the accounting treatment of “Offset Credit benefits received free of charge as per the Purchase Order terms from foreign suppliers”. Accordingly, the Company referred the matter to the Expert Advisory Committee (EAC) of the Institute of Chartered Accountants of India (ICAI) on 24 September 2025 for its opinion on the appropriate accounting treatment. The opinion of the EAC was received on 07 March 2026. Based on the opinion received from the EAC and the fair valuation assessed by the duly constituted committee, the Company has accounted for the Offset Credit benefits during the current year. Considering the immaterial impact on earlier periods and the impracticability involved in retrospective application, the accounting treatment has been applied prospectively in accordance with the principles of Ind AS 8 relating to accounting policies, changes in accounting estimates and errors. Accordingly, during the year, the Company has recognised Revenue amounting to ₹ 11,317 lakhs, Intangible Assets amounting to ₹ 10,841 lakhs, Amortisation on Intangible Assets amounting to ₹ 1,790 lakhs, Claims Receivable amounting to ₹ 2,944 lakhs and Other Liability amounting to ₹ 3,831 lakhs. Consequently, the profit for the year has increased by ₹ 9,527 lakhs.
25	Seasonality of business: The Company experiences cyclicity in respect of recognition of revenue from operations, which is attributable to the delivery of a majority of our products happening in the second half of the year. The Company recognise sales upon acceptance of the product by customers and issuance of a signalling out certificate(SOC) /certificate of conformity(COC) by them. The sales are dependent on the certification process which needs to be completed before the customers can take deliveries. The certification process typically takes place in the third and fourth quarter due to favourable weather conditions for flight tests during this period. This leads to bunching up of sales during the third and fourth quarter of each financial year and consequently, the revenue varies significantly between the first and second half of the year.
26	Aircraft have been accepted and signalled out by customers’ inspector with fitment of Cat-B items taken on Loan, in case of non availability of Cat-A items. As the aircraft is flight worthy and the customers have accepted the same, the sales are accounted, consistently, on the basis of Signalling Out Certificate (SOC) / Certificate of Conformity(COC). As a principle, Loan items fitted on the aircraft are excluded in value for recognising Sales. Sales in respect of such Cat-A items are recognized on supply of Cat-A items, within the contract period.
27	Balance shown under Trade Receivables, Trade Payable, Claims Receivable, Advance against Goods and Services, Capital Advances, deposits and stock / materials lying with sub-contractors / fabricators are under reconciliation. Since the Company is a Government entity under the control of Ministry of Defence (MoD), around 98% of the Company’s turnover, around 99% of Trade receivables and Contract Assets, around 98% of Claims receivables and around 100% of the customer advances is with respect to Government and Government related entities. The bills are raised on the customers by the divisions located at various places and reconciliation is carried out on an ongoing basis. However, management does not expect to have any material financial impact of such pending confirmation / reconciliation.
28	In the opinion of the Board, the Company do not have any assets other than fixed assets and Non-current investments having a value on realisation in the ordinary course of business less than the amount stated.
29A	Sales, based on Accounting Policy of the Company, is accounted on issuance of Signalling Out Certificate (SOC) by the customers. There is a time lag between SOC and Ferry out of Aircraft / Helicopter in view of the time involved in deputation of Ferry team by the customers, their handling flights and rectification of snags involved, if any, formation of the new squadron, training of pilots etc. The details of Aircraft /Helicopters which are yet to be ferried out (for which sales has been setup) as on the date of approval of financial statement is as under:

Year	Sales (₹ in Lakhs)	Value of the Aircraft / Helicopters yet to be ferried out								Date of approval of Accounts	
		ALH		LCA		DORNIER		Total			% of Sales
		Qty.	Value	Qty.	Value	Qty.	Value	Qty.	Value		
2025-26	3179183	7	90108					7	90108	2.83%	14-05-2026



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
	The expenditure involved in the work carried out post SOC date is absorbed against the provision for replacement charges. The Company has taken up with Ministry of Defence (MoD) for amendment of ALH contract in respect of both Indian Air Force and Indian Army to bring them in line with the accounting policy of the Company. In respect of Indian Air Force, MoD have concurred "in principle" to above, with the stipulation that the contract amendment can be made only after similar contract amendment in respect of Indian Army contract with the Company is finalized. In respect of Indian Army contracts, the matter is under discussion.
29B	The PSLV contract contains a clause that the acceptance of hardware takes in two places. The preliminary acceptance will be based on the inspection and quality reports and test carried out at the contractor's premises and will be for the purpose of movement of hardware. Final acceptance will be at the site based on the final inspection / functional checks to be carried out on receipt at site.
30	HTFE 25 Project: The project is pursued as technology development project to develop the critical technologies required for engine development of future projects. The Company has taken up the design and development of Hindustan Turbo Fan Engine (HTFE-25) in 2013-14 with a time frame of 6 years for completion. The Core Engine 2, run completed and development activities of TD Full Engine run and Design Configuration review are under progress. An amount of ₹20172 Lakhs (31.03.2025: ₹ 19097 Lakhs) has been accounted under Intangible Assets under Development. It is assessed that, further activities for Engine development and associated technologies are of strategic importance to the country, therefore the current efforts are pursued towards engine certification in the next 4 – 5 years. Keeping this in view and also that there is no visibility of any progress of any commitment/ orders for the Product, the Intangible Asset review Committee has recommended for impairment of total expenditure incurred on this project. Accordingly, ₹20172 lakhs has been impaired up to the year ended 31st March 2026 (up to 31.03.2025: ₹19097 lakhs).
31A	DDP/MoD paid an advance of ₹ 20812 lakhs to HAL towards conducting Def Expo-2022 at Gandhinagar from 10th - 13th Mar 2022. The event got postponed and held in the month of October 2022, HAL had incurred an expenditure of ₹ 23367 lakhs, audit of expenditure completed by the O/o PCDA Bangalore, and recommended payment to DEO, MOD. Payment is awaited, hence, the balance of ₹2555 lakhs shown under claims receivable from 2023-24.
31B	Inventory items (both Company and Customer owned) held at the LCA TD store were damaged due to flood in September 2022. In respect of Company-owned items, the actual loss was assessed at ₹ 1,033 lakhs, for which a provision was created in the books of accounts. Following the division's insurance claim, the Insurance Surveyor confirmed the loss at ₹ 1,033 lakhs, and the full and final settlement was received from the insurance company in March 2026. Consequently, as of March 31, 2026, there is no damaged Company-owned inventory remaining in the books. Regarding Customer-owned items, the initial loss was assessed at ₹ 5,590 lakhs, and a provision for replacement charges was established. However, based on feedback from OEMs regarding the retrieval of these items, the loss was reassessed at ₹ 1,091 lakhs. Accordingly, the excess provision of ₹ 4,499 lakhs was reversed by March 31, 2026. A provision of ₹ 1,091 lakhs for flood-affected Customer-owned inventory is being maintained as a future liability.
31C	Existing FPQ, arising out of 3rd PPRC, is up to 2022-23. 4th PPRC is under progress, due to which the prices for the year 2023-24 and onwards is yet to be firmed up. For the year 2023-24, FPQ sales has been provisionally recognised by considering the approved FPQ price of 2022-23 and applying indices for 2023-24.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
	For the year 2024-25, FPQ sales has been provisionally recognised by considering the prices of 2023-24, as arrived above and applying indices for 2024-25. For the year 2025-26, FPQ sales has been provisionally recognised by considering the prices of 2024-25 as arrived above. Since FPQ finalisation has taken more than two years, on conservative basis the prices of 2024-25 has been considered for the financial year 2025-26 without any escalation.
31D	One overhauled Su-30 Aircraft having tail no. SB-182 got crashed during a flight near Ozar, Nashik on 04th June 2024. HAL has taken an insurance policy for efforts and material used in overhaul, and preferred the claim with the Insurance Company for ₹14435 lakhs. An amount of ₹ 14071 lakhs have been advised for payment by Insurance Company after deducting policy Administration charges. The disbursement has been received by HAL Nasik on 17th January 2025. Further, Brought on Charge (BOC) action of SB-182 was not completed and Aircraft was under custody & control of HAL. Board of Investigation (BOI) has been setup for finding the exact reason for the accident of aircraft. Customer is also demanding for the replacement of equivalent Aircraft. As there is no replacement aircraft (Cat-B) available, out of prudence, provision of ₹ 84336 lakhs for new aircraft have been created during 2024-25.
31E	As per the LCA Mk 1A Contract, HAL has to deliver 3 Aircrafts during 2023-24, 16 Aircrafts during 2024-25 and 16 Aircrafts during 2025-26. As on date, no LCA Mk 1A has been issued Signaled out Certificate (SOC). LD has been provided for 19 LCA MK 1A Aircraft up to 2024-25. Now, in line with Ind AS 37 and Accounting Policy, considering the expected delivery of 19 LCA Mk 1A has to be delivered during 2025-26 to be happen by March 2027, LD provision has been made for the remaining all 16 LCA Mk 1A during 2025-26.

32 Financial instruments by category

(a) The following table presents the carrying value and fair value of each category of financial assets and liabilities as at 31st March 2026:

Particulars	Amor- tised costs	Fair value through profit & loss	Fair value through other comprehensive income	Total carry- ing value	Total Fair Value
Financial Assets:					
(i) Investments	175225			175225	175225
(ii) Trade receivables	406628			406628	406628
(iii) Contract Assets	1913004			1913004	1913004
(iv) Cash and Cash equivalents	376689			376689	376689
(v) Bank Balances other than Cash and Cash equivalents	4242537			4242537	4242537
(vi) Loans	1813			1813	1813
(vii) Other financial assets	189178			189178	189178
Financial Liabilities:					
(i) Borrowings					
(ii) Lease Liabilities	1010			1010	1010
(iii) Trade payables	443619			443619	443619
(iv) Other financial liabilities	321971			321971	321971



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
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(b) The following table presents the carrying value and fair value of each category of financial assets and liabilities as at 31st March 2025:

Particulars	Amor- tised costs	Fair value through profit & loss	Fair value through other comprehensive income	Total carry- ing value	Total Fair Value
Financial Assets:					
(i) Investments	162736			162736	162736
(ii) Trade receivables	464754			464754	464754
(iii) Contract Assets	1588916			1588916	1588916
(iv) Cash and Cash equivalents	454693			454693	454693
(v) Bank Balances other than Cash and Cash equivalents	3362383			3362383	3362383
(vi) Loans	1289			1289	1289
(vii) Other financial assets	172857			172857	172857
Financial Liabilities:					
(i) Borrowings					
(ii) Lease Liabilities	35			35	35
(iii) Trade payables	511084			511084	511084
(iv) Other financial liabilities	332224			332224	332224

(c) Interest income/(expenses), gains/(losses) recognised on financial assets and liabilities:

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
(i) Financial assets at amortised cost		
- Interest income from bank deposits	296723	197961
- Interest income from other financial assets	11941	11128
- Gain/(Loss) on amortisation of financial assets	2657	3117
(ii) Financial liabilities at amortised cost		
- Gain/(Loss) on amortisation of financial liabilities	-2746	-2949

33 Financial Risk Management

The Company is exposed to market risk, credit risk and liquidity risk which may impact the fair value of its financial instruments. The Company, based on its business operation, evaluated the following risks:

a) Foreign currency risk:

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in exchange rates. The Company's exposure to the risk of changes in exchange rates relates primarily to the Company's imports for which the payment has to be done in currencies other than the functional currency of the Company. The fluctuation in exchange rates in respect to the Indian rupee may have very restricted impact on company as any fluctuations in foreign exchange are in general reimbursed by the customers of the Company in terms of the contractual obligations which the Company has with its customers.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
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b) Credit risk:

Credit risk is the risk of financial loss to the Company if a customer or counter party to a financial instrument fails to meet its contractual obligations resulting in a financial loss to the Company. Credit risk arises principally from trade receivables, loans & advances, advances given to suppliers (for procurement of goods, services and capital goods), cash & cash equivalents and deposits with banks and financial institutions. The Company for the Financial Year (FY) derived 97% (Previous year: 97%) of its total sales from sales to the Indian Defence Services. The Company expects to continue to derive most of its sales from the Indian Defence Services under the contracts of the Ministry of Defence (MoD), Government of India (GoI) the Company's principal shareholder and administrative ministry.

Ageing Analysis of Trade Receivables :

Ageing	0-30 days past due	31-60 days past due	61-90 days past due	91-120 days past due	121-180 days past due	more than 181 days past due	Total
Net carrying amount as at 31 st March 2026	133320	29447	11332	75162	24299	133068	406628
Net carrying amount as at 31 st March 2025	149022	30774	38811	31576	18826	195744	464754

c) Provision for expected credit losses:

As the Company's debtors are predominantly the Government of India (Indian Defence Services, Ministry of External Affairs), Central Public Sector Undertakings where the counter - parties have sufficient capacity to meet the obligations and where the risk of default is nil / negligible. Accordingly, impairment on account of expected credit losses is being assessed on a case to case basis in respect of dues outstanding for significant period of time as per the accounting policy of the Company. Further, management believes that the unimpaired amounts that are due is collectable in full, based on historical payment behaviour and extensive analysis of customer credit risk.

d) Liquidity risk:

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. Typically, the Company ensures that it has sufficient cash on demand to meet expected operational expenses including the servicing of financial obligations. The Company's standard contract terms provide that, the Company receives advance payments from customers pursuant to the applicable contracts, including the Government of India and the Indian Defence Services at the time of signing of any contract and milestone payments on achievement of physical milestones. These payments are utilized to meet the Company's working capital needs (for the Company required to maintain a high level of working capital because the Company's activities are characterized by long product development periods and production cycles). A majority of the Company's research, design and development costs are funded by the Indian Defence services. Services and supply of spares are governed by the Fixed Price Quotation (FPQ) policy for fixation of the prices wherein the prices are fixed for the base year with escalation parameters for a pricing period of 5-7 years. The process of fixation of prices and approvals takes a minimum period of two years after the expiry of previous pricing period. In the interim, the approved prices of the previous pricing period are continued and payments are accordingly realised and on finalisation of the revised prices, the differential prices are paid to the Company. Further, certain costs not forming part of selling price are reimbursed by customer on incurrance of expenditure. The reimbursement is based on verification and issuance of audit certificate by the payees. There are delays in the above process due to unanticipated variations/ adjustments in the scope and schedule of the Company's obligations due to subsequent modifications by the customers and delays in receipt of approvals from the customer. Further, payments to the Company by the Indian Defence Services are reliant on the continuing availability of budgetary appropriations by Government of India and any disruptions to the availability of such appropriations could adversely affect the Company's cashflows.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
e)	Market risk: The Ministry of Defence (MoD) and the Government of India (GoI) have continued efforts to reform defence related policies such as the Defence Acquisition Procedure 2020 ("DAP 2020") to promote private participation, a level playing field and the domestic defence manufacturing Industry and eco-system. While the MoD has given the highest priority to Indigenously Designed, Developed and Manufactured ("IDDM") products for capital procurement, the Company faces competition to be selected as the Indian production agency for such contracts. These policies have raised the level of market competition in the areas in which the Company operates.
f)	Risk Mitigation Process: As a step of institutionalizing the risk management in the Company, an elaborate framework has been developed and the Company's top management has overall responsibility for the establishment and oversight of the Company's risk management framework. An important purpose of the framework is to have a structured and comprehensive risk management system across the Company which ensures that the risks are being properly identified and effectively managed. The Company has a risk management policy to manage & mitigate these risks. The risk management process includes risk identification, risk assessment, risk evaluation, risk mitigation and regular review and monitoring of risks. The Company's risk management policy aims to reduce volatility in financial statements while maintaining balance between providing predictability in the Company's business plan along with reasonable participation in market movement.

34 Capital Management:

For the purpose of the Company's capital management, capital includes issued equity capital and all other equity reserves attributable to the equity holders of the parent. The primary objective of the Company's capital management is to maximise the shareholder value.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and requirements. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares.

The Company monitors capital by using debt equity ratio, which is borrowings divided by Equity.

Particulars	As at 31 st March 2026	As at 31 st March 2025
Debt	-	-
Equity (including Reserves & Surplus)	4086251	3484285
No. of times	-	-

No changes were made in the objectives, policies or processes for managing capital during the year ended 31st March 2026 and 31st March 2025.

35A Borrowing Cash Credit (Note 30)

Details of lender	A Consortium of 7 banks comprising of State Bank of India (lead bank), Bank of Baroda, Indian Bank, Canara Bank, Punjab National Bank, Union Bank of India and Indian Overseas Bank.
Limit	₹ 400000 lakhs as Cash Credit (including ₹ 240000 Lakh of Commercial Paper)
Purpose	Working Capital Requirements
Security	Paripassu first charge on stocks and receivables of the Company with other consortium banks
Interest Rate	Interest rates ranging between TBLR to MCLR based at monthly rests.
Credit Rating (other than Commercial Paper)	[ICRA]AAA/Stable/ICRA A1+ by ICRA & CARE AAA/Stable/ CARE A1+ by CARE



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars			
35B	Working Capital Facilities			
The total Cash Credit limits ₹ 400000 lakhs including ₹ 240000 lakhs of Commercial Paper(previous year: ₹ 400000 lakhs including ₹ 240000 lakhs of Commercial Paper) and Corporate Loan of ₹ NIL lakhs and Non-Fund based limit ₹ 205000 lakhs (previous year: ₹ 205000 lakhs) sanctioned by consortium of bankers. The said limits are secured by hypothecation of inventories and receivables.				
35C	Where the Company has borrowings from banks or financial institutions on the basis of security of current assets	As at 31 st March 2026	As at 31 st March 2025	
	Quarterly returns or statements of current assets filed by the Company with banks or financial institutions are in agreement with the books of accounts.	The Company has been sanctioned working capital limits of ₹ 400000 lakhs, non fund based limit of ₹ 205000 lakhs and Corporate loan of ₹ Nil lakhs by the consortium bankers. As at 31.03.2026, no fund based limit were utilised and non fund based limits of ₹ 135296 lakhs were utilised by the Company against the sanctioned limits. The Quarterly stock statement filed by the company and the books of Accounts are in agreement.	The Company has been sanctioned working capital limits of ₹ 400000 lakhs, non fund based limit of ₹ 205000 lakhs and Corporate loan of ₹ Nil lakhs by the consortium bankers. As at 31.03.2025, no fund based limit were utilised and non fund based limit of ₹ 124035 lakhs were utilised by the Company against the sanctioned limits. The Quarterly stock statement filed by the Company and the books of Accounts are in agreement.	
35D	Wilful Defaulter	As at 31 st March 2026	As at 31 st March 2025	
	The Company has not defaulted in payment of any dues to a Bank or Financial institutions.			
	(a) Date of declaration as wilful defaulter	NA	NA	
	(b) Details of defaults(amount and nature of defaults)	NA	NA	
36	UN-HEDGED FOREIGN CURRENCY EXPOSURE			
Particulars	As at 31 st March 2026		As at 31 st March 2025	
	Foreign Currency	Amount in INR (in lakhs)	Foreign Currency	Amount in INR (in lakhs)
Receivables				
GBP	55027	67	14019	15
EURO	4783879	5067	1388955	1260
USD	28354988	26414	24633256	20877
RBL				
Payables				
GBP	52719455	66300	25864609	29108
EURO	66178544	72353	60950747	57197
USD	153553988	145337	244265765	210679
CHF	775225	929	290220	287
NOK			1543750	127
CAD	348025	238	826458	501



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
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37 Segment Reporting

The Ministry of Corporate Affairs vide notification no 1/2/2014-CL-V dated 23rd February 2018 has exempted the Government companies engaged in Defence production to the extent of application of Ind AS 108 on "Operating Segment".

38 As per Ind AS-109 relating to Accounting for Investments, amount being Dividend received from Joint Venture companies, which is recognised when right to receive Dividend is established.

39 Disclosure with regard to Joint Working Groups

The Company has entered into two Joint Working Agreements with Air India (AIJWG) to start Ramp Handling Business and with CONCOR(HALCON) to carry out Air Cargo Handling Business. The Joint Working Group pools together the resources for carrying out its business activity and ownership of the assets vests with the respective working group.

Share of profit from Joint Working Groups of the Company with Air India and CONCOR:	31 st March 2026	31 st March 2025
AIJWG	392	317
HALCON	319	253
Total	711	570

Disclosure with regard to Joint Working Group

Name of the Joint Working Group	AIJWG		HALCON	
	31 st March 2026	31 st March 2025	31 st March 2026	31 st March 2025
Country of Operation	India	India	India	India
Share of Company/ Ownership Interest	50.00%	50.00%	50.00%	50.00%
Principal Activities	Flight Handling	Flight Handling	Cargo Handling	Cargo Handling
Liabilities - Company's Share	2388	1942	574	567
Non-Current Assets - Company's share	-	-	148	142
Current Assets - Company's share	2388	1942	426	425
Income - Company's Share	433	384	642	438
Expenditure - Company's Share	41	67	323	185
Profit / (Loss) Company's Share	392	317	319	253
Contingent Liability				



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars			
40	Break-up of Deferred Tax Assets and Liabilities are given below:			
	(a) As at 31 st March 2026			
Particulars	As at 1 st April 2025	Additions / (reversals) in Income statement	Additions/ (reversals) recognized in Equity	As at 31 st March 2026
Deferred Tax Liability				
Tangible Assets	11613	-1609		10004
Intangible Assets	60087	15730		75817
Special Tools and Equipment	74377	-2798		71579
TOTAL	146077	11323		157400
Deferred Tax Asset				
Provision for Earned Leave Salary	36847	68		36915
Provision for Replacement charges, Warranty, Raw Material, Doubtful debts and claims	211082	-32673		178409
Provision for onerous contract and Liquidated Damages	41554	4099		45653
OCI Items	13393	-3494		9899
TOTAL	302876	-32000		270876
Net Deferred Tax Assets	156799	-43323		113476
	(b) As at 31 st March 2025			
Particulars	As at 1 st April 2024	Additions / (reversals) in Income statement	Additions/ (reversals) recognised in Equity	As at 31 st March 2025
Deferred Tax Liability				
Tangible Assets	11853	-240		11613
Intangible Assets	55167	4920		60087
Special Tools and Equipment	72565	1812		74377
TOTAL	139585	6492		146077
Deferred Tax Asset				
Provision for Earned Leave Salary	33005	3842		36847
Provision for Replacement charges, Warranty, Raw Material, Doubtful debts and claims	202252	8830		211082
Provision for onerous contract and Liquidated Damages	36829	4725		41554
OCI Items	12932	461		13393
TOTAL	285018	17858		302876
Net Deferred Tax Assets	145433	11366		156799



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars		
	Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
41A	A reconciliation of the income tax provision to the amount computed by applying the statutory income tax rate to the income before taxes is summarised below:		
	Profit before taxes	1211208	1082001
	Enacted tax rates	25.168%	25.168%
	Expected tax expense/(benefit)	304837	272318
	Effect of:		
	Deductible expense for tax purpose:		
	Other Deductible Expenditure	-63	464
	Non-deductible expenses for tax purposes:		
	Sustainable Development and Corporate Social Responsibility	4343	3986
	Diminution provision for long term investment	18	33
	Earlier year tax		-25608
	Taxation impact on Ind AS Adjustment	22	-42
	Gratuity and PF	-6188	-1166
	Rounding off	672	336
	Tax Expense	303641	250321
	Amount of Income Tax relating to each component of OCI:		
	Remeasurement of Defined Benefit Plans	9682	705
	Exchange Differences in translating the financials statements of a foreign Operations		
41B	Pursuant to refund order passed by Assessing Officer for the AY 2011-12, refund amount of ₹ 42302 Lakhs received on 11 th December 2025. During 2024-25, giving effect to the order passed by the Appellate authority, Rectification Order was passed by the assessing officer on 5 th February, 2024 for the Assessment year 2009-10, intimated during May 2024. Based on the rectification order for the assessment year 2009-10, ₹ 25608 Lakhs income tax refund accounted by the company under tax expenses and consequent interest on income tax refund of ₹ 18895 Lakhs accounted under other income during 2024-25.		
42A	Particulars	As at 31st March 2026	As at 31st March 2025
	Earned Leave		
	The Actuarial Liability of Earned Leave of the employees of the Company for the period ended	146676	146405
	Discounting Rate	7.40%	6.80%
	Salary escalation rate	8.50%	8.50%
	Retirement Age	60 Years	60 Years



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars		
42B	Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
	Provident Fund		
	During the period, the Company has recognized the following amount in the Statement of Profit and Loss account		
	Defined Benefit Plan		
	Contribution to Provident Fund and Family Pension	34982	33348
42C	Pension & Post Superannuation Group Health Insurance Schemes		
	During the period, the Company has recognized the following amount in the Statement of Profit and Loss account		
	Defined Contribution Plan		
	Contribution to Pension	26405	22869
	Contribution to Post Superannuation Group Health Insurance Schemes	24193	23022

43 Provision for Gratuity and Earned Leave has been made based on Actuarial Valuation. The date of Actuarial valuation as of 31.03.2026

Employee Benefits:

The Company has adopted the Ind AS-19 on Employee Benefits. Consequently, the liability thereon is accounted on the basis of actuarial valuation, and is being recognised as short-term benefits / long term benefits.

43A Gratuity:

The Company has a Gratuity Scheme for its employees, which is a funded plan. Every year the Company funds to the Gratuity Trust to the extent of shortfall of the assets over the fund obligations, which is determined through actuarial valuation. As per the Gratuity Scheme, Gratuity is payable to an employee on the cessation of his employment after he has rendered continuous service for not less than 5 (five) years in the Company. For every completed year of service or part thereof in excess of six months, the Company shall pay Gratuity to an employee at the rate of 15 (fifteen) days' emoluments based on the emoluments last drawn.

The ceiling of Gratuity payable to Officers & Workmen was ₹ 20 lakhs w.e.f. 1.1.2017. In terms of the DPE OM dated 3.8.17, the ceiling of Gratuity shall increase by 25% whenever Industrial Dearness Allowance (IDA) rises by 50%. From 01.10.2025 IDA has been revised to 51.80% as notified vide Circular dated 8.10.2025. Accordingly ceiling of Gratuity to eligible Officers and Workmen of the Company have been revised from ₹ 20 lakhs to ₹ 25 lakhs from 01.10.2025.

The additional liability accruing to the Company due to the increased ceiling in respect of officers and workmen is ₹ 32733 lakh given effect in the year ended 31.03.2026 (previous year : ₹ Nil lakhs). Accordingly, employees cost for the year ended 31.03.2026 is not comparable with the corresponding previous year.

The following tables summarise the components of net benefit expense recognised in the Statement of Profit and Loss and the funded status and amounts recognised in the Balance Sheet for the plan as furnished in the Disclosure Report provided by the Actuary:



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
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Gratuity:

Analysis of Defined Benefit Obligation (DBO):

A split of the defined benefit obligation as at the valuation date between liability which has not vested and that which has fully vested is presented in the table below:

	For the year ended	
	31 st March 2026	31 st March 2025
DBO in respect of non vested employees	1085	770
DBO in respect of vested employees	209032	183124
Total defined benefit obligation	210116	183895

The component of the defined benefit obligation which is attributable to future salary increases is shown in the table below:

	For the year ended	
	31 st March 2026	31 st March 2025
Liability without projected salary increases	123836	119709
Effect of projected salary increases	86281	64186
Defined benefit obligation with projected salary growth	210116	183895

Sensitivity Analysis:

Gratuity is a lump sum plan and the cost of providing these benefits is typically less sensitive to small changes in demographic assumptions. Sensitivity analysis indicates the influence of a reasonable change in certain significant assumptions on the outcome of the Present value of obligation (PVO) and aids in understanding the uncertainty of reported amounts. Sensitivity analysis is done by varying one parameter at a time and studying its impact. The key actuarial assumptions to which the benefit obligation results are particularly sensitive to are discount rate and future salary escalation rate. The following table summarizes the impact in percentage terms on the reported defined benefit obligation at the end of the reporting period arising on account of an increase or decrease in the reported assumption by 100 basis points.

Particulars	For the year ended	
	31 st March 2026	
	Discount Rate	Salary Escalation Rate
Impact of decrease in 100 bps on DBO	10.76%	(2.91%)
Impact of increase in 100 bps on DBO	(9.36%)	2.14%

Particulars	For the year ended	
	31 st March 2025	
	Discount Rate	Salary Escalation Rate
Impact of decrease in 100 bps on DBO	11.36%	(1.77%)
Impact of increase in 100 bps on DBO	(9.80%)	1.27%

These sensitivities have been calculated to show the movement in defined benefit obligation in isolation and assuming there are no other changes in market conditions at the accounting date. There have been no changes from the previous periods in the methods and assumptions used in preparing the sensitivity analysis.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars		
Projected Plan Cash Flow			
	Maturity Profile	31st March 2026	31st March 2025
	Expected benefits for year 1	13,140	12,596
	Expected benefits for year 2	9,855	8,084
	Expected benefits for year 3	11,732	8,916
	Expected benefits for year 4	11,827	10,506
	Expected benefits for year 5	13,088	10,207
	Expected benefits for year 6	15,366	11,201
	Expected benefits for year 7	17,023	12,839
	Expected benefits for year 8	20,884	14,270
	Expected benefits for year 9	22,944	16,802
	Expected benefits for year 10 and above	413,736	345,562
	The weighted average duration to the payment of these cash flows is	10.08 years	10.53 years
Changes in present value of obligations:			
		31st March 2026	31st March 2025
	Present value of obligation as at the beginning of the period	183,895	173,736
	Interest Expense	12,179	12,079
	Past Service Cost	32,733	
	Current service cost	13,500	12,340
	Benefits paid	(9,572)	(11,941)
	Remeasurements on obligation - (Gain) / Loss	(22,618)	(2,319)
	Present value of obligation as at the end of the period	210,116	183,895
Changes in fair value of plan assets:			
A reconciliation of the plan assets during the inter-valuation period is given below:			
		31st March 2026	31st March 2025
	Fair value of plan assets at the beginning of the period	175,856	164,506
	Adjustment to opening fund		
	Interest Income	12,816	11,747
	Employer contributions	34,803	9,230
	Benefits paid	(9,572)	(11,941)
	Return on plan assets, excluding amount recognized in Interest Income - Gain / (Loss)	1,971	2,315
	Fair value of plan assets at the end of the period	215,874	175,856
	Actual return on plan assets	14787	14,062
Net interest (income)/expense :			
		31st March 2026	31st March 2025
	Interest (Income) / Expense - Obligation	12,179	12,079
	Interest (Income) / Expense - Plan assets	(12,816)	(11,747)
	Net interest (Income) / Expense for the year	(637)	332



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars		
	Remeasurements for the year (actuarial (gain)/loss):		
		31st March 2026	31st March 2025
	Experience (Gain) / Loss on plan liabilities	(9,438)	(9,846)
	Demographic (Gain) / Loss on plan liabilities	-	-
	Financial (Gain) / Loss on plan liabilities	(13,180)	7,527
	Experience (Gain) / Loss on plan assets	(2,724)	(2,804)
	Financial (Gain) / Loss on plan assets	754	489
	Amounts recognised in statement of other comprehensive income(OCI):		
		31st March 2026	31st March 2025
	Opening amount recognised in OCI outside profit and loss account	21,574	26,208
	Remeasurement for the year - obligation (Gain) / Loss	(22,618)	(2,319)
	Remeasurement for the year - plan assets (Gain) / Loss	(1,971)	(2,315)
	Total Remeasurements Cost / (Credit) for the year recognised in OCI	(24,588)	(4,634)
	Closing amount recognised in OCI outside Profit and Loss account	(3,014)	21,574
	Amounts recognised in the balance sheet:		
		31st March 2026	31st March 2025
	Present value of obligation at the end of year	210,116	183,895
	Fair value of the plan assets at the end of year	215,874	175,856
	Surplus / (Deficit)	5,757	(8,038)
	Current liability		8,000
	Non-current liability	210,116	175,895
	Amount not recognised due to asset ceiling		-
	Net asset / (liability) recognised in balance sheet	5,757	(8,038)
	Expense recognised in the statement of profit and loss:		
		31st March 2026	31st March 2025
	Service Cost	13,500	12,340
	Past Service cost	32,733	
	Net interest (Income)/ Expense	(637)	332
	Net periodic benefit cost recognised in the statement of profit & loss at the end of period	45,596	12,672



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars		
Reconciliation of Net Asset / (Liability) recognised:			
	31 st March 2026	31 st March 2025	
Net asset / (laibility) recognised at the beginning of the period	(8,038)	(9,230)	
Adjustments to opening fund		-	
Company contributions	34,803	9,230	
Amount recognized outside profit & loss account for the year	24,588	4,634	
Expense recognized at the end of year	(45,596)	(12,672)	
Net asset / (liability) recognised at the end of the period	5,757	(8,038)	
Major categories of plan assets:			
	31 st March 2026		
	Quoted Value	Non Quoted value	Total
Government securities		500	500
Funds managed by insurer		215,341	215,341
Others		33	33
Total	-	215,874	215,874
	31 st March 2025		
	Quoted Value	Non Quoted Value	Total
Government securities		500	500
Funds managed by insurer		175,317	175,317
Others		39	39
Total	-	175,856	175,856
Principal Assumptions :			
	31 st March 2026	31 st March 2025	
Discounting Rate (p.a.)	7.40%	6.80%	
Salary escalation rate (p.a.)	8.50%	8.50%	



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
43B(i)	The exempt provident fund set up by the Company is a defined benefit plan under Ind AS 19 Employee Benefits. Provident Fund for eligible employees is managed by the Company through a trust in line with the Provident Fund and Miscellaneous Provision Act, 1952. The plan guarantees interest as notified by the Provident Fund Authorities. The contribution by the employer and employee together with the interest accumulated thereon are payable to employees at the time of separation from the Company or retirement, whichever is earlier. The benefits vests immediately on rendering of the services by the employee. The minimum interest rate payable by the trust to the beneficiaries every year is notified by the Government. The Company has an obligation to make good the shortfall, if any, between the return from the investments of the trust (including investment risk fall) and the notified interest rate. The Company has obtained report on the determination and disclosure of interest rate Guarantee & Diminution of Asset Values as per Ind AS19 of Employees Exempt Provident Fund of HAL for the period ended 31st March 2026. Based on the actuarial valuation of provident fund the liability for the year has been reversed of ₹10094 lakhs (Previous year: created of liability ₹ 4602 lakhs).



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory Notes to the Standalone Financial Statements

(₹ in Lakhs)

Clause No.	Particulars									
	As at 31 st March 2026									
43B(ii)	The Total Amount of net liability / asset to be recorded in the Balance Sheet									
	HAL(BC)	NASIK	KORAPUT	HYDERABAD	LUCKNOW	KORWA	KANPUR	HQ	Total	
EMPLOYEES' PROVIDENT FUND TRUST										
Expense recognised in the Statement of Profit & Loss:										
Current service cost	17,926	4,600	3,077	2,183	2,041	755	1,581	650	32,812	
Net Interest (Income) / Expense	554	103	280	(142)	0	14	69	(16)	863	
Net periodic benefit cost recognised in the statement of profit & loss at the end of period	18,480	4,703	3,357	2,041	2,041	769	1,650	634	33,676	
Amounts recognised in statement of Other Comprehensive Income(OCI):										
Opening amount recognized in OCI outside profit and loss account	29,301	8,615	7,146	1,326	2,366	1,127	2,770	723	53,373	
Remeasurements for the period - Obligation (Gain) / Loss	(1,315)	(9,689)	(2,346)	(1,134)	(2,059)	(496)	(621)	57	(17,603)	
Remeasurement for the period - Plan assets (Gain) / Loss	(5,104)	7,379	(624)	589	2,133	(39)	(274)	(337)	3,723	
Total Remeasurements Cost / (Credit) for the year recognised in OCI	(6,419)	(2,310)	(2,970)	(545)	74	(535)	(895)	(280)	(13,880)	
Closing amount recognised in OCI outside profit and loss account	22,882	6,305	4,176	780	2,440	592	1,876	443	39,494	
Reconciliation of Net Asset / (Liability) recognised :										
Net asset / (liability) recognised at the beginning of the period	(32,438)	(7,779)	(8,760)	(720)	(2,396)	(1,094)	(3,025)	(561)	(56,772)	
Employer's Contributions	16,159	4,550	2,950	1,970	1,596	669	1,413	584	29,890	



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory Notes to the Standalone Financial Statements

(₹ in Lakhs)

Clause No.	Particulars									
	The Total Amount of net liability / asset to be recorded in the Balance Sheet									
43B(ii)	As at 31 st March 2026									
	EMPLOYEES' PROVIDENT FUND TRUST	HAL(BC)	NASIK	KORAPUT	HYDERABAD	LUCKNOW	KORWA	KANPUR	HQ	Total
	Benefits directly paid by Company			-	-	-	-	-	-	-
	Amount recognized outside profit & loss account for the year	6,419	2,310	2,970	545	(74)	535	895	280	13,880
	Expense recognised at the end of period	(18,480)	(4,703)	(3,357)	(2,041)	(2,041)	(769)	(1,650)	(634)	(33,676)
	Impact of Transfer (In) / Out				-					-
	Net asset / (liability) recognised at the end of the period	(28,340)	(5,623)	(6,197)	(246)	(2,914)	(659)	(2,367)	(331)	(46,678)
	Changes in present value of Benefit obligation:									
	Present value of benefit obligation as at the beginning of the period	336,112	151,356	117,726	39,024	60,617	26,382	54,473	16,266	801,955
	Transfer in / (out)*	3,565	1,229	1,025	1,040	146	(1,979)	(1,763)	2,907	6,170
	Interest cost	21,476	10,024	7,672	2,510	4,012	1,722	3,614	969	51,999
	Current Service Cost	17,926	4,600	3,077	2,183	2,041	755	1,581	650	32,812
	Employee Contribution	32,423	7,965	6,333	3,632	3,194	1,100	2,608	995	58,251
	Benefits paid	(40,572)	(7,885)	(9,807)	(4,215)	(3,242)	(2,119)	(2,664)	(4,031)	(74,535)
	Remeasurements due to:									-
	Actuarial loss/(gain) arising from change in financial assumptions	(3,718)	(2,629)	(2,850)	(722)	(1,200)	(417)	(657)	(281)	(12,473)
	Actuarial loss/(gain) arising from change in demographic assumptions				-	-	-	-		-
	Actuarial loss/(gain) arising on account of experience changes	2,403	(7,060)	504	(412)	(859)	(79)	36	338	(5,130)
	Closing of defined benefit obligation	369,615	157,600	123,680	43,040	64,708	25,365	57,228	17,813	859,049



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory Notes to the Standalone Financial Statements

(₹ in Lakhs)

Clause No.	Particulars									
	As at 31 st March 2026									
43B(ii)	The Total Amount of net liability / asset to be recorded in the Balance Sheet									
	HAL(BC)	NASIK	KORAPUT	HYDERABAD	LUCKNOW	KORWA	KANPUR	HQ	Total	
EMPLOYEES' PROVIDENT FUND TRUST										
Changes in Fair value of Plan Assets:										
Fair value of plan assets as at the beginning of the period	303,675	143,578	108,966	38,304	58,221	25,289	51,448	15,704	745,183	
Transfer in / (out)*	3,565	1,229	1,025	1,040	146	(1,979)	(1,763)	2,907	6,170	
Interest Income	20,922	9,921	7,392	2,652	4,012	1,708	3,545	985	51,136	
Employer's Contributions	16,159	4,550	2,950	1,970	1,596	669	1,413	584	29,890	
Employee's Contributions	32,423	7,965	6,333	3,632	3,194	1,100	2,608	995	58,251	
Benefits paid	(40,572)	(7,885)	(9,807)	(4,215)	(3,242)	(2,119)	(2,664)	(4,031)	(74,535)	
Shortfall arising on account to asset diminution									-	
Amount paid on settlement									-	
Actuarial Gain / (Loss) on plan assets	5,104	(7,379)	624	(589)	(2,133)	39	274	337	(3,723)	
Fair value of plan assets as at the end of the period	341,275	151,978	117,483	42,794	61,793	24,706	54,861	17,481	812,371	

* On account of business combination or inter group transfer



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory Notes to the Standalone Financial Statements

Clause No.	Particulars										(₹ in Lakhs)
	The Total Amount of net liability / asset to be recorded in the Balance Sheet										
	As at 31 st March 2025										
43B(ii)	EMPLOYEES' PROVIDENT FUND TRUST	HAL(BC)	NASIK	KORAPUT	HYDERABAD	LUCKNOW	KORWA	KANPUR	HQ	Total	
	Expense recognised in the Statement of Profit & Loss:										
	Current service cost	16,783	4,359	2,906	1,951	1,818	786	1,525	714	30,844	
	Net Interest (Income) / Expense	541	16	356	(164)	(76)	(19)	39	(42)	651	
	Net periodic benefit cost recognised in the statement of profit & loss at the end of period	17,324	4,375	3,262	1,788	1,742	767	1,564	672	31,494	
	Amounts recognised in statement of Other Comprehensive Income(OCI):										
	Opening amount recognized in OCI outside profit and loss account	29,770	7,172	8,582	815	1,474	793	2,462	474	51,542	
	Remeasurements for the period - Obligation (Gain) / Loss	5,340	(3,942)	2,418	(815)	755	1,089	2,202	454	7,502	
	Remeasurement for the period - Plan assets (Gain) / Loss	(5,809)	5,385	(3,855)	1,325	137	(755)	(1,894)	(204)	(5,670)	
	Total Remeasurements Cost / (Credit) for the year recognised in OCI	(469)	1,443	(1,437)	510	892	334	308	250	1,832	
	Closing amount recognised in OCI outside profit and loss account	29,301	8,615	7,146	1,326	2,366	1,127	2,770	723	53,373	
	Reconciliation of Net Asset / (Liability) recognised :										
	Net asset / (liability) recognised at the beginning of the period	(31,005)	(6,284)	(9,757)	(227)	(1,327)	(717)	(2,538)	(314)	(52,170)	
	Employer's Contributions	15,422	4,323	2,823	1,805	1,566	724	1,386	675	28,724	



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory Notes to the Standalone Financial Statements

Clause No.	Particulars									
43B(ii)	The Total Amount of net liability / asset to be recorded in the Balance Sheet									
	As at 31 st March 2025									
EMPLOYEES' PROVIDENT FUND TRUST	HAL(BC)	NASIK	KORAPUT	HYDERABAD	LUCKNOW	KORWA	KANPUR	HQ	Total	
Benefits directly paid by Company										
Amount recognized outside profit & loss account for the year	469	(1,443)	1,437	(510)	(892)	(334)	(308)	(250)	(1,832)	
Expense recognised at the end of period	(17,324)	(4,375)	(3,262)	(1,788)	(1,742)	(767)	(1,564)	(672)	(31,494)	
Impact of Transfer (In) / Out										
Net asset / (liability) recognised at the end of the period	(32,438)	(7,779)	(8,760)	(720)	(2,396)	(1,094)	(3,025)	(561)	(56,772)	
Changes in present value of Benefit obligation:										
Present value of benefit obligation as at the beginning of the period	310,920	154,609	109,398	36,070	56,815	28,046	48,025	15,765	759,649	
Transfer in / (out)*	(84)	1,701	331	678	95	(987)	(301)	2,212	3,645	
Interest cost	20,621	10,287	7,459	2,435	3,877	1,817	3,352	957	50,806	
Current Service Cost	16,783	4,359	2,906	1,951	1,818	786	1,525	714	30,844	
Employee Contribution	31,560	7,809	6,810	3,196	3,193	1,244	2,617	1,111	57,539	
Benefits paid	(49,027)	(23,468)	(11,597)	(4,492)	(5,936)	(5,614)	(2,949)	(4,947)	(108,029)	
Remeasurements due to:									-	
Actuarial loss/(gain) arising from change in financial assumptions	2,403	1,477	2,223	581	936	342	694	220	8,876	
Actuarial loss/(gain) arising from change in demographic assumptions									-	
Actuarial loss/(gain) arising on account of experience changes	2,937	(5,419)	195	(1,396)	(180)	747	1,508	234	(1,374)	
Closing of defined benefit obligation	336,112	151,356	117,726	39,024	60,617	26,382	54,473	16,266	801,955	

(₹ in Lakhs)



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory Notes to the Standalone Financial Statements

Clause No.	Particulars										(₹ in Lakhs)
	The Total Amount of net liability / asset to be recorded in the Balance Sheet										
	As at 31 st March 2025										
43B(ii)	EMPLOYEES' PROVIDENT FUND TRUST	HAL(BC)	NASIK	KORAPUT	HYDERABAD	LUCKNOW	KORWA	KANPUR	HQ	Total	
	Changes in Fair value of Plan Assets:										
	Fair value of plan assets as at the beginning of the period	279,915	148,325	99,641	35,843	55,488	27,329	45,487	15,451	707,479	
	Transfer in / (out)*	(84)	1,701	331	678	95	(987)	(301)	2,212	3,645	
	Interest Income	20,080	10,271	7,103	2,599	3,953	1,836	3,313	999	50,155	
	Employer's Contributions	15,422	4,323	2,823	1,805	1,566	724	1,386	675	28,724	
	Employee's Contributions	31,560	7,809	6,810	3,196	3,193	1,244	2,617	1,111	57,539	
	Benefits paid	(49,027)	(23,468)	(11,597)	(4,492)	(5,936)	(5,614)	(2,949)	(4,947)	(108,029)	
	Shortfall arising on account to asset diminution									-	
	Amount paid on settlement									-	
	Actuarial Gain / (Loss) on plan assets	5,809	(5,385)	3,855	(1,325)	(137)	755	1,894	204	5,670	
	Fair value of plan assets as at the end of the period	303,675	143,578	108,966	38,304	58,221	25,289	51,448	15,704	745,183	

* On account of business combination or inter group transfer



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory Notes to the Standalone Financial Statements

(₹ in Lakhs)

Clause No.	Particulars	KORAPUT	HYDERABAD	LUCKNOW	KORWA	KANPUR	HQ	Total
43B(iii)	The following table summarizes the disclosure report provided by the Actuary: As at 31 st March 2026 (Ind AS 19)							
	EMPLOYEES' PROVIDENT FUND TRUST*							
	Summary of Data:							
	Total PF Account Balance	361,540	43,040	63,344	24,706	55,920	17,481	840,777
	Investment in (Default/Stress)	(20,865)	-	(1,550)	-	(1,058)		(28,815)
	Surplus investment income	599	(246)	-	-	-		408
	Weighted Average Remaining Tenure of the investment Portfolio (in years)	7.66	6.50	4.47	8.39	6.28	8.24	
	Amounts to be Recognized in Balance Sheet:							
	Present Value of Obligation at the end of the period	369,615	43,040	64,708	25,365	57,228	17,812	859,049
	Fair Value of the Plan Assets at the end of the year	341,275	42,794	61,793	24,706	54,861	17,481	812,371
	Net asset / (liability) recognised in balance sheet	(28,340)	(246)	(2,914)	(659)	(2,367)	(331)	(46,678)
	Major Categories of Plan Assets (as % of Total Plan Assets):							
	Government of India Securities	54%	58%	64%	80%	53%	82%	
	High Quality Corporate Bonds	28%	7%	5%	6%	26%	10%	
	Equity shares of listed companies	7%	2%			13%		
	Bank Balance	1%			8%	3%	1%	
	Special deposit scheme	2%		4%			2%	
	Receivable from HAL	1%				3%		
	Others (refundable loans)	7%	33%	27%	6%	2%	5%	
	Total	100%	100%	100%	100%	100%	100%	
	Summary of Principal Actuarial Assumptions:							
	Discount Rate (p.a)	7.40%	7.40%	7.40%	7.40%	7.40%	7.40%	
	Interest Rate declared by EPFO for the year	8.25%	8.25%	8.25%	8.25%	8.25%	8.25%	
	Yield Spread	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	
	Expected rate of return on plan assets	6.80%	6.80%	6.80%	6.80%	6.80%	6.80%	
	Average Historic Yield on the Investment	8.09%	8.22%	7.52%	8.22%	8.22%	7.81%	

* In case of inter-divisional transfer of employees moneys standing to the credit of the employees in the trust accounts will be transferred to the trust accounts of the division to which he is posted.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory Notes to the Standalone Financial Statements

Clause No.	Particulars										(₹ in Lakhs)
43B(iii)	The following table summarizes the disclosure report provided by the Actuary: As at 31 st March 2025 (Ind AS 19)										
	EMPLOYEES' PROVIDENT FUND TRUST*	HAL(BC)	NASIK	KORAPUT	HYDERABAD	LUCKNOW	KORWA	KANPUR	HQ	Total	
	Summary of Data:										
	Total PF Account Balance	325,508	145,761	112,266	39,024	58,221	25,289	52,543	15,704	774,316	
	Investments (Default/Stress)	(22,317)	(2,183)	(3,320)	(720)	-	-	(1,095)	-	(29,636)	
	Surplus investment income	484	-	20	-	-	-	-	-	504	
	Weighted Average Remaining Tenure of the investment Portfolio (in years)	7.46	6.94	6.45	5.79	4.47	7.80	6.54	7.25		
	Amounts to be Recognized in Balance Sheet:										
	Present Value of Obligation at the end of the period	336,112	151,356	117,726	39,024	60,617	26,382	54,473	16,266	801,955	
	Fair Value of the Plan Assets at the end of the year	303,675	143,578	108,966	38,304	58,221	25,289	51,448	15,704	745,183	
	Net asset / (liability) recognised in balance sheet	(32,438)	(7,779)	(8,760)	(720)	(2,396)	(1,094)	(3,025)	(561)	(56,772)	
	Major Categories of Plan Assets (as % of Total Plan Assets):										
	Government of India Securities	52%	78%	77%	63%	64%	83%	53%	85%		
	High Quality Corporate Bonds	30%	0%	0%	0%	0%	0%	32%	0%		
	Equity shares of listed companies	6%	7%	7%	5%	4%	6%	9%	8%		
	Bank Balance	3%	0%	2%	1%	1%	5%	2%	0%		
	Special deposit scheme	3%	5%	6%	1%	4%	0%	0%	2%		
	Receivable from HAL	0%	0%	0%	0%	0%	0%	2%	0%		
	Others (refundable loans)	6%	10%	8%	30%	27%	6%	2%	5%		
	Total	100%	100%	100%	100%	100%	100%	100%	100%		
	Summary of Principal Actuarial Assumptions:										
	Discount Rate (p.a)	6.80%	6.80%	6.80%	6.80%	6.80%	6.80%	6.80%	6.80%		
	Interest Rate declared by EPFO for the year	8.25%	8.25%	8.25%	8.25%	8.25%	8.25%	8.25%	8.25%		
	Yield Spread	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%		
	Expected rate of return on plan assets	7.20%	7.20%	7.20%	7.20%	7.20%	7.20%	7.20%	7.20%		
	Average Historic Yield on the Investment	7.98%	8.17%	7.72%	8.17%	7.52%	8.17%	8.17%	7.77%		

* In case of inter-divisional transfer of employees moneys standing to the credit of the employees in the trust accounts will be transferred to the trust accounts of the division to which he is posted.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
43C(i)	The Company has provided Performance Related Pay for the year as per the Guidelines issued by Department of Public Enterprises.
43C(ii)	During the year 2011, C&AG observed that the profits earned from short term deposits is an incidental activity and not a core activity of the Company and inclusion of the interest income from these deposits for PRP computation had led to excess of payment of ₹ 4318 lakhs to its executives. Based on HAL reply on difficulties in recovery, the C&AG vide letter dated 11th November 2024, suggested that the issue of difficulties in retrospective recovery of excess amount of ₹ 4318 lakhs paid on account of PRP for the year 2009-10 to 2011-12 be placed before the Board for obtaining waiver and disclose in the Financial statements. In compliance with the C&AG letter, the issue of difficulties in retrospective recovery of excess amount paid on account of PRP for the year 2009-10 to 2011-12 to its Executives was placed before HAL Board in its 488th Meeting held on 16th December 2024. After deliberation, HAL Board approved the waiver from recovery of ₹ 4318 lakhs of excess payment of PRP for the Year 2009-10 to 2011-12 to its Executives. Necessary accounting treatment has been done in the accounts for the year ended 31.03.2025.
43D(i) Pension:	In line with the Guidelines issued by the Department of Public Enterprises, Ministry of Heavy Industries & Public Enterprises, Govt. of India for revision of the Salary Structure of Executives of CPSEs with effect from 1st January, 2007 and as per the approval accorded by the Board of Directors and Department of Defence Production, Ministry of defence, a Defined Contribution Pension Scheme was notified in the Company on 16th July, 2014 in respect of Executives retired etc., from 1st January, 2007. A Defined Contribution Pension Scheme in respect of Workmen retired after 1st January, 2012 was notified on 2nd June, 2015 which was agreed as a part of the Workmen's Wage Revision effective from 1st January, 2012. Contribution to the corpus of the above schemes by the Management may vary from year to year as the same is dependent on profits generated, affordability & sustainability by the Company. The Scheme is managed by a duly constituted Trust.
43D(ii)	Ministry vide OM dated 12.07.2023 has conveyed the approval for increasing the Company's contribution to the Pension Scheme of Executives from existing 7% to 10% of Basic Pay + DA w.e.f. 01.01.2017. Revision of Pension contribution from 7% to 10% of Basic Pay + DA w.e.f 01.01.2017 has been made in respect of Executives who are on the rolls of the Company as on the date of implementation of the revised ceiling i.e. 01.01.2017 implemented during 2023-24. In respect of Workmen, Company issued Circular dated 24.04.2025 has conveyed the approval for increasing the Company's contribution to the Pension Scheme from existing 7% to 10% of Basic Pay + DA w.e.f. 01.01.2025. Revision of Pension contribution from 7% to 10% of Basic Pay + DA w.e.f 01.01.2025 has been made in respect of workmen who were on the rolls of the Company as on the date of implementation of the revised ceiling during March 2025. The additional liability accruing to the Company due to the increased ceiling in respect of workmen is ₹ 4145 lakh pertaining to the year ended 31.03.2026 (previous year: ₹1051 lakhs [01.01.2025 to 31.03.2025]). Accordingly, employees cost for the current year 31.03.2026 is not comparable with the corresponding previous year 31.03.2025.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
43E	Post Superannuation Group Health Insurance Schemes: In line with the Guidelines issued by the Department of Public Enterprises, Ministry of Heavy Industries & Public Enterprises, Government of India and as per the approval accorded by the Board of Directors and Department of Defence Production, Ministry of defence, Post Superannuation Group Health Insurance Schemes in respect of (a) Employees (Officers & Workmen) retired before 1st January, 2007 and (b) Executives retired on or after 1st January, 2007 were introduced with effect from 1st February, 2014. A Post Superannuation Group Health Insurance Scheme in respect of Workmen of the Company retired, etc. after 1st January, 2007 has been introduced in the Company with effect from 1st February, 2015 which was agreed as a part of the Workmen's Wage Revision effective from 1st January, 2012. Benefits under the Schemes may vary from year to year, as contribution to the Corpus of the Schemes is dependent on Profits generated, Affordability & Sustainability by the Company. The Schemes are managed by a duly constituted Trust.
43F	HAL Employees Group Life Insurance Trust: As per the approval accorded by the Board, the Company has notified an insurance scheme namely the HAL Employees Group Life Insurance Trust to cover its employees, in case of death due to any reason other than suicide. The contribution towards the scheme are borne equally by employees and the Management. In the event of Death of an employee due to any reason other than suicide, the dependent family members will be paid the sum assured (₹ 10 lakhs). The Company has made contribution of ₹ 147 lakhs (previous year : ₹ 118 lakhs) to the trust for the year ended 31.03.2025 with employees contributing an equal amount.
43G	Revision of pay scales of executives and workmen, with effect from 01.01.2017 was implemented in accordance with the guidelines issued by Department of Public Enterprises vide OM dated 03.08.2017 for Executives and in accordance with the Wage Agreement entered into between Management and Employees Union representative in 2019-20 in respect of Workmen. On an interpretation on pay refixation and pursuant to the directives of the Administrative Ministry, the pay fixation to be revised and the excess amount paid is to be recovered from the employees. Based on the directives Company issued a Circular dated 24.07.2021 and the communication dated 26.07.2021 for recovery of the excess amount. While so, the Employees Union and Officers Association have filed Writ Petition with Hon'ble High Court of Karnataka to stay recovery of excess amount of salary paid by the Company. The H'ble High court given verdict in favour of Officers Associations by setting aside the Circular dated 24.07.2021 and the communication dated 26.07.2021 issued by the Management during 2024-25. The order of the H'ble High Court in favour of Officers was put up to the Board in its 490th Meeting held on 12.02.2025. Board has noted the judgement of the H'ble High Court and accorded approval to abide by the Court order. Accordingly, the differential amount withheld by the Management in respect of Ex-officers has to be released /refunded to the concerned Ex-officers / Nominees along with applicable interest. Further, in respect of officers an amount of ₹ 18565 lakhs credited to salaries and wages in the earlier years and kept under claims receivable has been reversed during 2024-25. In respect of Workmen, The Hon'ble High court vide order dated 10.03.2026 has allowed the Writ petition filed by Employees Union. Accordingly in line with the orders of Hon'ble High Court of Karnataka, the differential amount withheld by the division along with Interest in respect of Ex-workmen to be released /refunded during FY 2026-27 to the concerned Ex-workmen / Nominees. Further, in respect of workmen impact of one increment an amount of ₹ 16390 lakhs credited to salaries and wages in the earlier years (upto 31.03.2025) and kept under claims receivable has been reversed during 2025-26. Accordingly, employees cost for the current year is not comparable with the corresponding previous year.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars						
43H	Financial Assistance Scheme for Dependents of Deceased Employee As per the approval accorded by the Board, the Company has notified “Financial Assistance Scheme for dependents of Deceased Employees (FASDDE)” to pay a fixed amount on monthly basis to surviving spouse or dependent children if the spouse is not surviving, till the notional date of superannuation of the deceased employee. The prime objective of the scheme is to provide financial support for dependent beneficiaries of the employees who expire while in service, to enable them to lead a normal life. The scheme will be applicable in all cases of Death of an employee due to any other reason other than suicide. Fund of ₹ 4000 lakhs during 2021-22 & ₹ 1500 lakhs during 2022-23 transferred to trust for management of the Corpus. The income generated from the Corpus which will be invested with M/s LIC will be utilized to make payments under the Scheme. During the year ₹ NIL lakhs (previous year: ₹ NIL lakhs) has been incurred as expenditure under Financial Assistance Scheme for Dependents of Deceased Employee which is included in Note 40 - Staff Welfare expenditure.						
44	As per Ind AS-21 relating to accounting for the effects of changes in the Foreign Exchange rates, <table><tr><th>Particulars</th><th>As at 31st March 2026</th><th>As at 31st March 2025</th></tr><tr><td>(a) Exchange rate variation recognised in Statement of Profit and Loss towards Capital Assets.</td><td>51</td><td>-178</td></tr></table> (b) As and when the instalments in respect of deferred debts falls due for payment to the Russian Federation, the same is paid by applying the exchange rate ruling on the date of actual payment and liability discharged. The differences arising due to recalculation of debts at the applicable /ruling rate is charged to the revenue at the time of payment and recognised as sales when realised from the customer except to the extent it pertains to Capital Assets. The sales for Exchange Rate Variation (ERV) considered is ₹ 5369 lakhs (Previous year - ₹ 6074 lakhs). The Assets and Liabilities relating to deferred credit transaction are reinstated under Non-current Other Financial Assets, Current Other Financial Assets (recoverable within one year), Non-current Other Financial Liabilities and Current Other Financial Liabilities (to be settled within one year).	Particulars	As at 31 st March 2026	As at 31 st March 2025	(a) Exchange rate variation recognised in Statement of Profit and Loss towards Capital Assets.	51	-178
Particulars	As at 31 st March 2026	As at 31 st March 2025					
(a) Exchange rate variation recognised in Statement of Profit and Loss towards Capital Assets.	51	-178					



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory Notes to the Standalone Financial Statements

(₹ in Lakhs)

Clause No.	Particulars																						
45A	DISCLOSURE RELATING TO Ind AS-24 ON RELATED PARTY																						
	The name of the transacting related party	M/s. Indo Avia Services Limited	M/s. BAE HAL Software Limited	M/s. Safran HAL Aircraft Engines Private Limited	M/s. SAMTEL HAL Display Systems Limited	M/s. HAL Edge-Tech Private Limited	M/s. HALBIT Avionics Private Limited*	M/s. Infotech HAL Limited	M/s. HATSOFF Helicopter Training Private Limited	M/s. International Aerospace Manufacturing Private Limited	M/s. Multirole Transport Aircraft Limited	M/s. Aero-space & Aviation Sector Skill Council	M/s. Helicopter Engines MRO Private Limited	M/s. Defence Innovation Organisation	M/s. SAHAL Aircraft Engines Private Limited	M/s. Naini Aero-space Limited	M/s. Indo Russian Helicopters Limited	M/s. Electronic Warfare Testing Foundation (EWDTF)	M/s. Communication (Defence) Testing Foundation (CDTF)	M/s. UAS Testing Foundation (UASTF)	M/s. Advanced Materials Testing Foundation (AMDTF)	M/s. Systems Testing and Research for Advanced Materials Foundation (STREAM)	
(a)	Country of incorporation	India	India	India	India	India	India	India	India	India	India	India	India	India	India	India	India	India	India	India	India	India	
	Proportion of Ownership Interest	48%	49%	50%	40%	50%	50%	50%	50%	50%	50%	50%	50%	50%	50%	100%	50.50%	20.00%	25.00%	33.33%	20.00%	20.00%	
(b)	Description of the relationship between the parties	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Subsidiary	Subsidiary	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	
(c)	Description of the nature of the transactions	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	
(d)	Volume of the transactions either as an amount or as an appropriate proportion on Purchase of Goods and Services and other expenses	4727	1803	-	3459	65	71	-	-	1	-	-	-	-	-	2382	-	-	-	-	-	-	
(e)	Volume of the transactions either as an amount or as an appropriate proportion on Sale of Goods and Services	(4,168)	(618)	-	(2,073)	(50)	(34)	-	3	3,741	-	-	-	-	-	(2,068)	-	-	-	-	-	-	
(f)	Amounts or appropriate proportions of outstanding items pertaining to related parties at the Balance Sheet date on Purchase of Goods and Services and other expenses	2,320	307	-	311	-	335	-	7	12	-	-	-	-	-	636	-	-	-	-	-	-	
(g)	Amounts or appropriate proportions of outstanding items pertaining to related parties at the Balance Sheet date on Sale of Goods and Services and other expenses	(3,482)	(90)	-	(348)	(329)	(1)	(12)	13	1,224	8	-	-	-	-	(559)	27	-	-	-	-	-	
(h)	Income on Rent, Water and Electricity Expenses	5	123	-	-	-	80	-	277	315	12	-	-	-	-	-	7	-	-	-	-	-	
(i)	Advances Outstanding on Purchases of Goods and Services	(5)	(117)	-	-	-	(134)	-	(221)	(255)	(10)	-	-	-	-	-	(6)	-	-	-	-	-	
(j)	Advances Outstanding on Sale of Goods and Services	-	-	-	2,543	-	-	-	-	-	-	-	-	-	-	-	6	-	-	-	-	-	
	Previous year	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(11)	-	-	-	-	-	
	Previous year	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	



Note 49 - Explanatory Notes to the Standalone Financial Statements

(₹ in Lakhs)

Clause No.		Particulars																				
DISCLOSURE RELATING TO Ind AS-24 ON RELATED PARTY																						
The name of the transacting related party		M/s. Indo Avia Services Limited	M/s. Bae HAL Software Limited	M/s. Safran Aircraft Engines Private Limited	M/s. SAMTEL HAL Display Systems Limited	M/s. HAL Edge-wood Technologies Private Limited	M/s. HALBIT Avionics Private Limited*	M/s. Infotech HAL Limited	M/s. HATSOFF Helicopter Training Private Limited	M/s. International Aerospace Manufacturing Private Limited	M/s. Multirole Transport Aircraft Limited	M/s. Aero-space & Aviation Sector Skill Council	M/s. Helicopter Engines MRO Private Limited	M/s. Defence Innovation Organisation	M/s. SAFAHAL Aircraft Engines Private Limited	M/s. Naini Aero-space Limited	M/s Indo Russian Helicopters Limited	M/s Electronic Warfare Testing Foundation (EWDTF)	M/s Communication (Defence) Foundation (CDTF)	M/s Advanced Materials (Defence) Foundation (AMDTF)	M/s Systems Testing and Research for Advanced Materials Foundation (STREAM)	
(k)	Amount towards investment in shares	-	-	-	-	-	-	-	-	-	-	-	600	-	-	-	-	-	-	-	135	
(l)	Previous year	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(235)	(261)	(500)	(273)	
	Dividend on Investments	367	-	-	-	-	-	-	-	213	-	-	-	-	-	-	-	-	-	-	-	
(m)	Previous year	(332)	-	-	-	-	-	-	-	(159)	-	-	-	-	-	-	-	-	-	-	-	
	Outstanding balance in Investments to Related parties	94	294	1,140	-	-	-	-	-	4,250	4,669	13	2,483	1	65	-	356	235	261	500	273	
(n)	Previous year	(94)	(294)	(1,140)	-	-	-	-	-	(4,250)	(4,669)	(13)	(1,943)	(1)	(69)	-	(363)	(235)	(261)	(500)	(273)	
	Re-inbursement Salaries including KMP Salaries	78	84	-	-	-	-	-	13	-	16	-	-	-	-	215	26	-	-	-	-	
(o)	Previous year	(86)	(71)	-	-	-	-	-	-	-	-	-	-	-	-	-	(227)	(24)	-	-	-	
	Re-inbursement of Expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	2	-	-	-	-	-	-	
(p)	Previous year	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
	Allowances recognised in respect of Doubtful debts during the year	-	-	-	-	-	-	-	-114	-	-	-	-	-	-	-48	-40	-	-	-	-	
(q)	Previous year	-	-	-	-	-	(69)	-	(39)	-	-	-	-	-	-	(226)	-	-	-	-	-	
	Provision for doubtful debts related to the amount of outstanding balances	-	-	-	-	457	320	-	-	-	-	-	-	-	-	1,859	27	-	-	-	-	
(r)	Previous year	-	-	-	-	(457)	(321)	-	(114)	-	-	-	-	-	-	(1,907)	(66)	-	-	-	-	
	Grant outstanding	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
45A	Previous year	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
	Figures in brackets relate to previous year (31.03.2025)																					
The differences in the amount disclosed by the Company and JV's are due to reconciliation items.																						
* Does not include disgusted amount of ₹ 1686 lakhs (previous year - ₹ 1686 lakhs), as the same is shown under clause 2(b) in respect of M/s HALBIT Avionics Private Ltd.																						
Generally transaction with related parties are at arm's length basis. Wherever transactions are not at arm's length basis, like in single tender / nomination basis, will be approved by the Board of Directors.																						
Details of transactions and outstanding balance at Arm's length and not at Arm's length basis																						
(i)	Amount for Purchase of Goods and Services and other expenses																					
(ii)	Amount for Sale of Goods and Services and other expenses																					
(iii)	Amount outstanding for Purchase of Goods and Services and other expenses																					
(iv)	Amount outstanding for Sale of Goods and Services and other expenses																					
		Arm's length basis																Not at arm's length basis				
		31.03.2026																31.03.2025				
		9630																7032				
		3741																2998				
		3166																4237				
		11952																13809				
		1511																1933				

Generally transaction with related parties are not at arm's length basis, like in single tender / nomination basis, will be approved by the Board of Directors.

details of transactions and outstanding balance at Arm's length and not at Arm's length basis

l) Amount for Purchase of Goods and Services and other expenses

i) Amount for Sale of Goods and Services and other expenses

ii)	Amount outstanding for Purchase of Goods and Services and other expenses	
-----	--	--

v) Amount outstanding for Sale of Goods and Services and other expenses

Key Management Personnel of the Company in Joint Ventures are as follows:

Mr. D.K.Sunil - Chairman & Managing Director

hri Ravi K - Director(Operations)

Hri M G Balasubrahmanya - Director (HR)

the total salaries including perquisites drawn by the above key Management Personnel from Joint Ventures is Nil.

the total salaries including perquisites drawn by the above key Management Personnel from Joint Ventures is Nil.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars		
45A(i)	The Company makes monthly contributions to provident fund managed by “The Provident Fund of HAL” for eligible employees. Under the scheme, the Company is required to contribute a specified percentage of the payroll costs to fund the benefits. The Company contributed to PF Trust during the period is given below.		
	Name of PF Trust	31 st March 2026	31 st March 2025
	1. HAL - Bangalore Complex	16159	15422
	2. HAL - Nasik	4550	4323
	3. HAL - Koraput	2950	2823
	4. HAL - Hyderabad	1970	1805
	5. HAL - Lucknow	1596	1566
	6. HAL - Korwa	669	724
	7. HAL - Kanpur	1413	1386
	8. HAL - Corporate Office	584	675
Total	29891	28724	
45A(ii)	The Company maintains gratuity trust for the purpose of administering the gratuity payment to its employees (HAL Employees Gratuity scheme). Transaction /outstanding balance with gratuity Trust during the year is given below:		
	Fund transfer during the year	11970	14328
	Amount payable		8038
	Amount receivable	9520	11916
	Advance paid	5757	
45B	The Board in its 406th meeting held on 22nd September 2017, accorded in-principle approval for voluntary winding up / closure of the three Joint Ventures i.e. M/s. HAL-Edgewood Technologies Private Limited, M/s. Tata HAL Technologies Ltd and M/s. Multirole Transport Aircraft Ltd. enabling the Company to take further action in the matter. The Board authorized the Company to seek approval of Ministry of Defence (MoD), for short closure of the Contracts associated with the M/s Multirole Transport Aircraft (MTA) project and requested MoD, to initiate necessary action for closure of IGA, as it is a prerequisite for winding up of the MTA - Joint Venture Company. Further, MOD vide its letter dated 14th October 2021 notified the termination of the agreement between the Govt. of the Republic of India and Govt. of Russian Federation. In this respect the Russian Federation vide its letter dated 20th April 2022 intimated that the decision of the Indian side has been taken into consideration. Further in 435th meeting held on 16th March 2020, the Board has directed the Company to expedite the closure of M/s. Multirole Transport Aircraft Ltd at the earliest after taking clearance from Russian partners from their Board(REFER Clause No.10). The Board in its 440th meeting held on 9th December 2020, accorded in principle approval for voluntary winding up / closure of Joint Venture M/s. Infotech HAL Limited(IHL) enabling the Company to take further action in the matter. The petition has been filed by Infotech HAL Limited to the National Company Law Tribunal(NCLT) for Commencement of Corporate Insolvency Resolution process. The NCLT, Bangalore Bench order dated 22nd August 2025 has admitted the petition filed by Infotech HAL Limited under Section 10 of Insolvency and Bankruptcy Code, 2016. Further, NCLT ordered for the commencement of corporate insolvency resolution process of Infotech HAL Limited and appointed Interim Resolution Professional.		
45B(i)	The Company had signed an agreement with Safran Helicopter Engines SAS for setting up a joint venture to carry out business of design, development, certification, production, sale and support of helicopter engines. Pursuant to the same a Joint Venture Company with Safran Helicopter Engines SAS by name SAFHAL Helicopter Engines Private Limited has been incorporated on 09 November 2023. Each JV partner has subscribed for 1000000 equity shares of ₹ 10 each amounting to ₹ 100 lakhs.		



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
45B(ii)	During the financial year 2024-25, the Company has reversed the impairment provided in earlier years on its investment in the Joint Ventures for ₹ 855 lakhs for International Aerospace Manufacturing Pvt Limited and ₹ 61 lakh for BAe-HAL Software Limited. For this purpose, the investments made in IAMPL and BAeHAL were evaluated taking into account certain key financial parameters of the Joint Ventures. Based on the evaluation, it was assessed that there has been an overall improvement in the financial health of both the companies. The total financial effect of the reversal is ₹ 916 lakhs during 2024-25.
45C	Defence Innovation Organisation (“DIO”): A Section 8 Company has been formed (Under Companies Act 2013) in the name of “Defence Innovation Organisation” with M/s BEL with an authorised Capital of ₹ 100 lakhs (Paid up capital as on 31st March 2026 is ₹ 1 Lakh(HAL 50% Share and BEL 50% Share). The registered office of DIO is situated at Centre for Learning and Development, Bharat Electronics Limited, Jalahalli, Bengaluru – 560013, Karnataka, India. DIO was incorporated to implement the scheme of defence innovation fund initiative by creation of an ecosystem to foster innovation and technology development in defence. HAL Board in its 417th meeting held on 30th July 2018 had accorded approval for release of ₹ 5000 lakhs to DIO towards initial corpus fund in form of Grant in Aid in a staggered manner. Accordingly ₹ 500 lakhs has been released to DIO in the month of August 2018 and the balance amount of ₹ 4500 lakhs released during August 2024.
45D	The Board in its 434th meeting was informed that Government approval is not required for transfer of lease hold land to M/s Helicopter Engines MRO Private Limited (HE-MRO), as it is neither defence land nor it is a land owned by HAL. Board reconsidered the decision taken in its 431st meeting and approved transfer of land without Government approval to M/s HE-MRO. In line with the Board Approval in its 431st and 434th meetings, Tripartite Deed of Lease was executed on the 18th May 2023 between Goa Industrial Development Corporation (GIDC), M/s Helicopter Engines MRO Private Limited (HE MRO) and HAL MRO Division for transfer of Lease hold rights of industrial plot admeasuring 7.41 acres to HE MRO. Further, the Sale of Deed was executed between HAL-MRO Division and HE -MRO on 8th June 2023 for sale of Building and Plant & Machinery and Other Assets for a total consideration of ₹ 1029 lakhs. Accordingly necessary accounting treatment has been made in the Books of Accounts.
45E	The Company paid ₹ 950 lakhs towards subscription of 950000 equity shares of the face value of ₹ 100 each to its Joint Venture Company, Helicopter Engines MRO Private Limited, on 8 January, 2024 towards equity participation in Rights issue of the Joint Venture Company. Pursuant to the same, the investment of the Company in the Joint Venture was ₹ 2460 lakh. Further, the Company made an investment of ₹ 600 lakhs towards subscription of 600000 equity shares of the face value of ₹ 100 each to its Joint Venture Company, Helicopter Engines MRO Private Limited during 2025-26 towards equity participation in Rights issue of the Joint Venture Company. The investment of the Company in the Joint Venture has increased from ₹ 2460 lakhs to ₹ 3060 lakhs.
45E(i)	A Section 8 Company has been formed (Under Companies Act 2013) in the name of “Electronic Warfare (Defence) Testing Foundation(EWDTF)”. The total project cost ₹ 46.96 Crs comprising of Govt. Grant-in-Aid of ₹ 35.22 Crs and SPV partners contribution ₹ 11.74 Crs. Wherein M/s BEL will be the lead with equity contribution of 40%, HAL-20%, IOL-20%, BDL-10% & TIDCO-10%. EWDTF was incorporated for Development, Operation and Management of DTI for Electronic Warfare. EWDTF was incorporated on 21 st May 2024. HAL has made an investment of ₹ 235 lakhs (20% stake) towards subscription of 23480 Equity shares of ₹ 1000 each on 27 th June 2024.
45E(ii)	A Section 8 Company has been formed (Under Companies Act 2013) in the name of “Communication (Defence) Testing Foundation (CDTF)”. The total project cost ₹ 41.81 Crs comprising of Govt. Grant-in-Aid of ₹ 31.36 Crs and SPV partners contribution ₹ 10.45 Crs. Wherein M/s BEL will be the lead with equity contribution of 40%, HAL-25%, BEML-25%, & AWEIL-10%. CDTF was incorporated for Development, Operation and Management of DTI for Communication domain. CDTF was incorporated on 31 st May 2024. HAL has made an investment of ₹ 261 lakhs (25% stake) towards subscription of 26125 Equity shares of ₹ 1000 each on 27 th June 2024.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
45E(iii)	A Section 8 Company has been formed (Under Companies Act 2013) in the name of "UAS Testing Foundation (UASTF)". The total project cost ₹ 60 Crs comprising of Govt. Grant-in-Aid of ₹ 45 Crs and SPV partners contribution ₹ 15 Crs. Wherein M/s HAL will be the lead with equity contribution of 33.33%, BEL-20%, BEML-20%, YIL-10%, GIL-10% & Endure Air-6.6%. UASTF was incorporated for Development, Operation and Management of DTI for Unmanned Aerial Systems(UAS). UASTF was incorporated on 21 st June 2024. HAL has made an investment of ₹ 500 lakhs (33.33% stake) towards subscription of 50000 Equity shares of ₹ 1000 each on 18 th July 2024.
45E(iv)	A Section 8 Company has been formed (Under Companies Act 2013) in the name of "Advanced Materials (Defence) Testing Foundation (AMDTF)". The total project cost ₹ 54.36 Crs comprising of Govt. Grant-in-Aid of ₹ 40.70 Crs and SPV partners contribution ₹ 13.66 Crs. Wherein M/s MIDHANI will be the lead with equity contribution of 20%, HAL-20%, BDL-20%, YIL-20% & PTC-20%. AMDTF was incorporated for Development, Operation and Management of DTI for Mechanical & Material(M&M) testing. AMDTF was incorporated on 4 th June 2024. HAL has made an investment of ₹ 273.20 lakhs (20% stake) towards subscription of 27320 Equity shares of ₹ 1000 each on 8 th July 2024.
45E(v)	A Section 8 Company has been formed (Under Companies Act 2013) in the name of "Systems Testing and Research for Advanced Materials Foundation (STREAM)". The total project cost ₹ 49.68 Crs comprising of Govt. Grant-in-Aid of ₹ 36.864 Crs and SPV partners contribution ₹ 12.816 Crs. Wherein M/s Microlab will be the lead with equity contribution of 20%, BEML-20%, HAL-20%, Vaidheswaran Industries-10%, & TIDCO-30%. STREAM was incorporated with a vision of creating easy access and addressing the testing needs of domestic defence industry. STREAM was incorporated on 18 th September 2024. HAL has made an investment of ₹ 61.25 lakhs towards subscription of 61250 Equity shares of ₹ 100 each during 2024-25. Further HAL made an investment of ₹ 138.75 lakhs towards subscription of 138750 equity shares of ₹ 100 each during 2025-26.

45F

Key Management Personnel in the Company		For the year ended 31 st March 2026			For the year ended 31 st March 2025		
Name	Designation	Salary	Company Contribution to PF / Gratuity	Total	Salary	Company Contribution to PF / Gratuity	Total
Dr. D.K.Sunil	Chairman and Managing Director with effect from 9 th September 2024 upto 30 th April 2026	79	6	85	74	6	80
Dr. Barenya Senapati	Director(Finance) & CFO with effect from 22 nd October 2024	70	6	76	31	2	33
Shri K Ravi	Director (Operations) with effect from 26 th November 2024 (Chairman & Managing Director with effect from 1 st May 2026 with additional charge of Director(Operations) from 11 th May 2026)	76	6	82	25	2	27
Shri M.G. Balasubrahmanya	Director (Human Resources) with effect from 6 th May 2025	71	5	76			
Shri Ajay Kumar Shrivastava	Director (E and R&D) with effect from 15 th July 2025	53	4	57			
Shri Shailesh Bhansal	Company Secretary with effect from 28 th March 2023	51	4	55	48	4	52



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars		
45G(i)	Independent Directors (Non-Executive)		
		Sitting Fees	
		2025-26	2024-25
	1. Dr. Divya Gupta		9
	2. Shri Deepak Abasaheb Shinde	1	9
	3. CA Rakesh Bhawsar	8	
45G(ii)	Government Nominee Directors		
	Dr. Rajalakshmi menon, appointed as Director w.e.f.13.09.2024		
	Ms. Manisha Chandra, appointed as Director w.e.f. 15.07.2025		
45H	Apart from transactions reported above, the Company has transactions with other Government related entities, which includes but not limited to the following:		
	Name of Government:	Government of India	
	Nature of Transactions:	Sale of Products and Services	
	These transactions are conducted in the ordinary course of the Company's business.		

46 The disaggregation of changes to OCI is shown below:

For the year ended 31st March 2026

Particulars	Opening balance as at 1 st April 2025	Additions/ Reversal	Transferred to Retained earnings	Closing balance as at 31 st March 2026
Gains and losses arising from the financial statements of a foreign operations				
Re-measurement gains (losses) on defined benefit plans (Gratuity/PF)		28786	28786	
Total		28786	28786	

For the year ended 31st March 2025

Particulars	Opening balance as at 1 st April 2024	Additions / Reversal	Transferred to Retained earnings	Closing balance as at 31 st March 2025
Gains and losses arising from the financial statements of a foreign operations				
Re-measurement gains (losses) on defined benefit plans (Gratuity/PF)		2098	2098	
Total		2098	2098	



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars		
47	As per Ind AS-33 relating to Earnings per Share (Basic and Diluted)	For the year ended 31st March 2026	For the year ended 31st March 2025
	Profit Before Tax	1211208	1082001
	Provision for Taxation	303641	250321
	Net Profit After Tax	907567	831680
	Weighted Average Number of Equity Shares of Face Value of ₹ 5/- each fully paid up	668775000	668775000
	Earnings per Share (in Rupees) - Basic	135.71	124.36
	Earnings per Share (in Rupees) - Diluted	135.71	124.36

47A The Shareholders of the Company, at the 60th Annual General Meeting held on 31 August 2023, had approved the sub-division of one equity share of the face value of ₹ 10 each into two equity shares of face value ₹ 5 each. The record date for the said sub-division was 29th September 2023.

48A Buyback of Shares:

In accordance with the approval of Board of Directors at its 408th meeting held on 28th November, 2017 and approval of shareholders, the Company has bought back 2,71,12,500 fully paid equity shares of ₹ 10/- each equivalent to 7.5% of the paid-up share capital and Free Reserves of the Company, for an aggregate amount of ₹ 92150 lakhs (excluding tax of ₹ 20636 lakhs) at ₹ 339.88 per equity share from the President of India. The consideration amount for buy back of shares was paid to the Government of India on 19th December, 2017 and the shares so bought back were extinguished on 22nd December, 2017.

48B To achieve the mandatory threshold of 25% minimum public shareholding in the Company, Government of India (GoI) had offered 3.5% (1,17,03,563) equity shares of the Company to Non-Retail Investors, Retail Investors and employees during March and April 2023, out of its shareholding of 75.15% in the Company, through Offer for Sale (OFS) by Stock Exchange Mechanism. Consequent to the OFS, the Government of India shareholding stands at 71.64%.

49 Movement of provisions in the Books of Accounts during the year as required by Ind AS 37 "Provisions, Contingent Liabilities and Contingent Asset" is as follows:

Nature of Provision	Opening Balance 1 st April 2025	Provision made during the year	Utilisation during the year	Reversal during the year	Closing Balance 31 st March 2026
Provision for Warranty Charges	134439	38728	27536	2126	143505
	(126100)	(37015)	(26561)	(2115)	(134439)
Provision for Replacement and Other Charges	532379	2742	36160	61311	437650
	(468921)	(126373)	(34350)	(28565)	(532379)
Provision for Redundancy in Raw Material and Components, Stores and Spares, Construction Material and Loose Tools	243161	543	206	45418	198080
	(281566)	(7678)	(0)	(46083)	(243161)
Provision for Doubtful Debts	14411	108	1	2098	12420
	(16751)	(83)	1	(2424)	(14411)
Provision for Doubtful Contract Assets	21362	14338			35700
	(6392)	(15010)		(40)	(21362)



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars					
	Nature of Provision	Opening Balance 1 st April 2025	Provision made during the year	Utilisation during the year	Reversal during the year	Closing Balance 31 st March 2026
	Provision for Claims	26741	500	26	4127	23088
		(28943)	(635)	(116)	(2721)	(26741)
	Provision for Liquidated Damages	165106	72168	55495	386	181393
		(146331)	(65843)	(47068)		(165106)
	Provision for Impairment of Investments	18751	71			18822
		(19534)	(133)		(916)	(18751)
	Provision for Advances	638	1297			1935
		(1034)	(240)		(636)	(638)
	Total	1156988	130495	119424	115466	1052593
		(1095572)	(253010)	(108094)	(83500)	(1156988)

Figures in brackets relate to previous year - 31st March 2025

Nature of Provision	As at 31 st March 2026			As at 31 st March 2025		
	Non-current	Current	Total Provision	Non-current	Current	Total Provision
Provision for Warranty Charges	138	143367	143505	270	134169	134439
Provision for Replacement and Other Charges	37285	400365	437650	39937	492442	532379
Provision for Redundancy in Raw Material and Components, Stores and Spares, Construction Material and Loose Tools		198080	198080		243161	243161
Provision for Doubtful Debts		12420	12420		14411	14411
Provision for Doubtful Contract Assets		35700	35700		21362	21362
Provision for Claims	7456	15632	23088	8171	18570	26741
Provision for Liquidated Damages	10125	171268	181393	10047	155059	165106
Provision for Impairment of Investments	18822		18822	18751		18751
Provision for Advances	494	1441	1935	240	398	638
Total Provision	74320	978273	1052593	77416	1079572	1156988

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As required by Ind AS 36, the Company has accounted impairment losses based on the Assessment of Impairment assets committee carried out during the year and based on such assessment 'impairment loss' in the Statement of Profit and Loss has been recognised.

For the year ended
31st March 2026

For the year ended
31st March 2025

1237

2474



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
51	Sensitivity of estimates on provisions: The assumptions made for provisions relating to current period are consistent with those in the earlier years. The assumptions and estimates used for recognition of such provisions are qualitative in nature and their likelihood could alter in next financial year. It is impracticable for the Company to compute the possible effect of assumptions and estimates made in recognizing these provisions. Provision for replacement and other charges represents, amounts towards expenditure incurred from the date of Signalling Out Certificate (SOC) to date of ferry out, loan items taken from the customer which needs to be replaced etc. Warranty represents Performance Warranty for manufacture, repair and overhaul of Aircraft / Helicopters/ Engines / Rotables, supply of spares and development activities etc. Provision for Redundancy in Raw Material and Components, Stores and Spares, Construction Material, Loose Tools and Work in progress represents provision on redundancy of such materials, completed / specific projects and other surplus / redundant materials pending transfer to salvage stores etc. Provision for Liquidated Damages represents amounts provided for the period of delay between the due date of supply of the Goods / rendering of services as per delivery schedule and the expected Date of delivery of said Goods / rendering of service in respect of manufacture / repair and overhaul of Aircraft / Helicopters/ Engines / Rotables, supply of spares and development activities etc. Provision for doubtful debts and doubtful contract assets is being assessed on a case to case basis in respect of dues outstanding for a significant period of time. Debts from the Government departments are generally treated as fully recoverable and hence the Company does not recognize credit risk of such financial assets. Provision for doubtful claims represents provision on expected credit losses. Impairment in value of investment represents reduction in the share of net worth below investment. Provision for Onerous contract has been recognised as the cost of meeting obligations is over and above the economic benefits expected to be received under it.

- 52(a)** Advances from Customers of ₹ 3412603 lakhs and Milestone receipts of ₹ 3980990 lakhs disclosed in Note Nos. 29 and 33 as Non-Current and Other Current Liabilities (in terms of Schedule III to the Companies Act, 2013) represent gross amounts received. These amounts have been utilised for procurement of Special Purpose Tooling, Incurrence of DRE, Inventory Holding, Advances to Vendors etc. as detailed below:

Particulars	31 st March 2026		31 st March 2025	
	Note 29	Note 33	Note 29	Note 33
	Non - Current	Current	Non - Current	Current
Outstanding Advances from Customer				
- Defence	2591719	803351	1651671	967362
- Others	176	17357		11543
	2591895	820708	1651671	978905
Less: Utilisation of Advances				
- Inventory	783306	416869	355876	547114
- Advances against Goods & Services	255666	13070	185234	5818



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars			
Particulars	31 st March 2026		31 st March 2025	
	Note 29	Note 33	Note 29	Note 33
	Non - Current	Current	Non - Current	Current
- Intangible Assets		15249		20606
- Special Tools & Equipment	8920	24091	8920	38549
- Trade Receivables				6032
- Claims Receivables				6641
	1047893	469279	550030	624760
Net Outstanding Advances (A)	1544002	351429	1101641	354145
Outstanding Milestone Receipt				
- Defence	1876942	2028932	830315	1679500
- Others	72	75044	72	81424
	1877014	2103976	830387	1760924
Less: Utilisation of Milestone Receipts				
- Inventory	508639	950356	57604	705991
- Advances against Goods & Services	106190	442044	98729	284844
- Intangible Assets	5632	4052	5856	4466
- Special Tools & Equipment	111789	27275	79368	46562
- Trade Receivables	205		107265	98693
- Claims Receivables				26540
	732456	1423727	348822	1167096
Net Outstanding Milestone Receipts (B)	1144558	680249	481565	593828
Total (A+B)	2688561	1031678	1583206	947973
Summary				
Particulars	31 st March 2026		31 st March 2025	
(A) Gross Advances from Defence Customers				
Initial Advances from Defence Customers	3395070		2619033	
Milestone Advances from Defence Customers	3905874		2509815	
Gross Advances from Defence Customers (A)	7300944		5128848	
Advances from Others (B)	92649		93039	
Total (A+B)	7393593		5221887	
Less Advances / Milestone utilisation (C)	3673354		2690708	
Outstanding Advances / Milestone Receipts (A+B-C)	3720239		2531179	
Defence Customers	3651518		2443509	
Others	68721		87670	
Total	3720239		2531179	



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars				
52(b)	Particulars	31 st March 2026		31 st March 2025	
		Note 29	Note 33	Note 29	Note 33
		Non - Current	Current	Non - Current	Current
	A1. Opening Balance : Advances from Customers				
	- Defence	1651671	967362	455250	728283
	- Others	0	11543	0	7986
	Total Opening Balance	1651671	978905	455250	736269
	B1. Receipt during the year	1053530	372251	1330244	696319
	C1. Sub Total (A1+B1)	2705201	1351156	1785494	1432588
	D1. Advances utilised during the year out of opening balance	101434	409609	101294	371072
E1. Advances utilised during the year out of advance received in current year	11872	120839	32529	82611	
F1. Sub-total (D1+E1) Advances adjusted against Revenue recognised during the year	113306	530448	133823	453683	
G1. Closing balance : Advances from Customers - Defence & Others(C1-F1)	2591895	820708	1651671	978905	
A2. Opening Balance : Milestone Receipt					
- Defence	830315	1679500	598892	1422456	
- Others	72	81424	234	48784	
Total Opening Balance	830387	1760924	599126	1471240	
B2. Milestone Receipt during the year	1176225	1895639	348063	1088539	
C2. Sub Total (A2+B2)	2006612	3656563	947189	2559779	
D2. Milestone Receipts utilised during the year out of opening balance	106126	405655	116640	326984	
E2. Milestone Receipts utilised during the year out of Milestone receipts in current year	23472	1146932	162	471871	
F2. Sub-total(D2+E2) Milestone receipt adjusted against Revenue recognised during the year	129598	1552587	116802	798855	
G2. Closing balance : Advances from Customers - Defence & Others (C2-F2)	1877014	2103976	830387	1760924	



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
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53(a) Current Trade Receivables Ageing schedule (Refer Note - 15)

Particulars		As at 31 st March 2026							
		Outstanding for following periods from due date of payment					Unbilled	Not due	Total
		Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years			
(i)	Undisputed Trade receivables - considered good	273,560	50,763	55,052	20,983	6,271	-	-	406,628
(ii)	Undisputed Trade receivables - which have significant increase in credit risk	-	-	-	-	-	-	-	-
(iii)	Undisputed Trade receivables - credit impaired	37	-	-	-	12,383	-	-	12,420
(iv)	Disputed Trade receivables - considered good	-	-	-	-	-	-	-	-
(v)	Disputed Trade receivables - which have significant increase in credit risk	-	-	-	-	-	-	-	-
(vi)	Disputed Trade receivables - credit impaired	-	-	-	-	-	-	-	-
Less : Allowance for Doubtful Debts		37	-	-	-	12,383	-	-	12,420
Total		273,560	50,763	55,052	20,983	6,271	-	-	406,628

Particulars		As at 31 st March 2025							
		Outstanding for following periods from due date of payment					Unbilled	Not due	Total
		Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years			
(i)	Undisputed Trade receivables - considered good	269,010	82,251	62,716	44,359	6,418	-	-	464,754
(ii)	Undisputed Trade receivables - which have significant increase in credit risk	-	-	-	-	-	-	-	-
(iii)	Undisputed Trade receivables - credit impaired	-	-	-	170	14,241	-	-	14,411
(iv)	Disputed Trade receivables - considered good	-	-	-	-	-	-	-	-
(v)	Disputed Trade receivables - which have significant increase in credit risk	-	-	-	-	-	-	-	-
(vi)	Disputed Trade receivables - credit impaired	-	-	-	-	-	-	-	-
Less : Allowance for Doubtful Debts		-	-	-	170	14,241	-	-	14,411
Total		269,010	82,251	62,716	44,359	6,418	-	-	464,754

53(b) Current Contract Assets Ageing schedule (Refer Note - 15A)

Particulars		As at 31 st March 2026						
		Outstanding for following periods from due date of payment					Not due	Total
		Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years		
(i)	Undisputed Contract Assets - considered good	925,507	253,604	337,452	298,467	133,675	-	1,948,704
(ii)	Undisputed Contract Assets - which have significant increase in credit risk	-	-	-	-	-	-	-
(iii)	Undisputed Contract Assets - credit impaired	-	-	-	-	-	-	-
(iv)	Disputed Contract Assets - considered good	-	-	-	-	-	-	-
(v)	Disputed Contract Assets - which have significant increase in credit risk	-	-	-	-	-	-	-
(vi)	Disputed Contract Assets - credit impaired	-	-	-	-	-	-	-
Less : Allowance for Doubtful Debts		-	-	3	19	35,678	-	35,700
Total		925,507	253,604	337,449	298,448	97,997	-	1,913,004



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars						
Particulars	As at 31 st March 2025						Total
	Outstanding for following periods from due date of payment					Not due	
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years		
(i) Undisputed Contract Assets - considered good	799,583	152,395	334,365	193,396	130,540	-	1,610,278
(ii) Undisputed Contract Assets - which have significant increase in credit risk	-	-	-	-	-	-	-
(iii) Undisputed Contract Assets - credit impaired	-	-	-	-	-	-	-
(iv) Disputed Contract Assets - considered good	-	-	-	-	-	-	-
(v) Disputed Contract Assets - which have significant increase in credit risk	-	-	-	-	-	-	-
(vi) Disputed Contract Assets - credit impaired	-	-	-	-	-	-	-
Less : Allowance for Doubtful Debts	-	-	-	-	21,362	-	21,362
Total	799,583	152,395	334,365	193,396	109,178		1,588,916

53(c) Trade Receivables (Note -15)

Name of PF Trust	As at 31 st March 2026	As at 31 st March 2025
A1. Opening Balance : PY		
Considered Good - Unsecured	464754	461667
Credit Impaired	14411	16751
Total	479165	478418
B1. Less Allowances for doubtful debts	14411	16751
C1. Opening net Trade Receivable (A1-B1)	464754	461667
D1. Addition during the year	985002	731669
E1. Sub Total (C1+D1)	1449756	1193336
F1. Amount received during the year out of opening balance	397824	327261
G1. Amount received during the year out of current year balance	645303	401321
H1. Sub-total(F1+G1) Total amount received during the year	1043128	728582
I1. Closing balance : CY		
Considered Good - Unsecured	406628	464754
Credit Impaired	12420	14411
Total	419048	479165
J1. Less Allowances for doubtful debts	12420	14411
K1. Closing net Trade Receivable (I1-J1)	406628	464754



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars		
53(d)	Contract Assets(Note -15A)		
	Name of PF Trust	As at 31st March 2026	As at 31st March 2025
	A1. Opening Balance : PY		
	Contact Assets	1610278	1195788
	B1. Less Allowances for doubtful debts	21362	6392
	C1. Opening net Trade Receivable (A1-B1)	1588916	1189396
	D1. Addition during the year	1222324	998509
	E1. Sub Total (C1+D1)	2811240	2187905
	F1. Amount received during the year out of opening balance	504036	328123
	G1. Amount received during the year out of current year balance	394200	270866
	H1. Sub-total(F1+G1) Total amount received during the year	898236	598989
	I1. Closing balance : CY		
	Contact Assets	1948704	1610278
	J1. Less Allowances for doubtful debts	35700	21362
	K1. Closing net Trade Receivable (I1-J1)	1913004	1588916

54(a) Current Trade Payables Ageing schedule (Note - 31)

Particulars	As at 31 st March 2026						
	Outstanding for following periods from due date of payment				Unbilled	Not due	Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years			
(i) Micro enterprises and Small enterprises	12,156	-	7	292	531	3,190	16,176
(ii) Other than Micro enterprises and Small enterprises	387,455	21,367	5,226	4,534	-	8,861	427,443
(iii) Disputed dues - Micro enterprises and Small enterprises	-	-	-	-	-	-	-
(iv) Disputed dues - Other than Micro enterprises and Small enterprises	-	-	-	-	-	-	-
Total	399,611	21,367	5,233	4,826	531	12,051	443,619

Particulars	As at 31 st March 2025						
	Outstanding for following periods from due date of payment				Unbilled	Not due	Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years			
(i) Micro enterprises and Small enterprises	10,697	3	54	365	943	5,607	17,669
(ii) Otherthan Micro enterprises and Small enterprises	443,439	17,229	2,429	14,692	3,385	12,241	493,415
(iii) Disputed dues - Micro enterprises and Small enterprises	-	-	-	-	-	-	-
(iv) Disputed dues - Other than Micro enterprises and Small enterprises	-	-	-	-	-	-	-
Total	454,136	17,232	2,483	15,057	4,328	17,848	511,084



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
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55 Additional Regulatory Information:

55A The Company do not have any Benami Property, where any proceedings has been initiated or pending against the Company for holding any Benami property.

55B Loans or Advances in the nature of loans are granted to promoters, directors, KMPs and the related parties (as defined under Companies, Act, 2013) either severally or jointly with any other person that are:

- (a) repayable on demand; or
- (b) without specifying any terms or period of repayment.

Type of Borrower	As at 31 st March 2026		As at 31 st March 2025	
	Amount of loan or advance in the nature of loan outstanding	Percentage to the total Loans and Advances in the nature of loans	Amount of loan or advance in the nature of loan outstanding	Percentage to the total Loans and Advances in the nature of loans
Promoters	NIL	NIL	NIL	NIL
Directors	NIL	NIL	NIL	NIL
KMPs	NIL	NIL	NIL	NIL
Related Parties	NIL	NIL	NIL	NIL

55C Relationship with Struck off Companies(under section 248 of Companies Act, 2013 or section 560 of the Companies Act, 1956)

Name of struck off Company	Nature of transactions with struck-off Company	As at 31 st March 2026		As at 31 st March 2025	
		Balance outstanding in INR (Represents absolute figure)	Relationship with the struck off company	Balance outstanding in INR (Represents absolute figure)	Relationship with the struck off company
Close Links Security Services Pvt. Ltd.	Payables	367961	Vendor	367961	Vendor
Empire Aviation Private Limited	Payables	84163	Customer Airlines	84163	Customer Airlines
Caliban Software Solutions Pvt. Ltd.	Payables	188252	Vendor	188252	Vendor
Hunting Hawks security & facility Services Pvt. Ltd.	Payables	752073	Vendor	2363725	Vendor
Formula one solution Pvt. Ltd.	Payables	0		54005	Vendor
Guru Integrated Services Pvt. Ltd.	Retention	32959	Contractor		
AL-FALAH Stock Traders Private Limited	Shareholder	985	Shareholder		
Satidham Industries	Shareholder	2250	Shareholder		



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars					
		31 st March 2026	31 st March 2025			
55D	Registration of charges or satisfaction with Registrar of Companies(ROC) Where any charges or satisfaction yet to be registered with Registrar of Companies beyond the statutory period, details and reasons thereof shall be disclosed.	There is no Charges or Satisfaction yet to be registered with RoC beyond the statutory period.	There is no Charges or Satisfaction yet to be registered with RoC beyond the statutory period.			
55E	Compliance with number of layers of companies	NA				NA
55F	Ratios	Numerator	Denominator	31st March 2026	31st March 2025	% Change in Ratio
(a)	Current Ratio	Current Assets	Current Liabilities	2.61	2.04	27.94%
(b)	Debt-Equity Ratio	Total Debt	Shareholder's Equity	-	-	-
(c)	Debt Service Coverage Ratio	Earnings available for debt service	Debt Service	-	-	-
(d)	Return on Equity Ratio	Net Profits after taxes	Average Shareholder's Equity	23.98%	26.04%	-7.91%
(e)	Inventory turnover ratio	Sales	Average Inventory	1.21	1.73	-29.83%
(f)	Trade Receivables turnover ratio	Sales	Average Accounts Receivable	7.30	6.50	12.27%
(g)	Trade payables turnover ratio	Purchases	Average Trade Payables	5.06	4.56	10.99%
(h)	Net capital turnover ratio	Sales	Average Working Capital	0.54	0.83	-34.69%
(i)	Net profit ratio	Net Profit	Sales	29%	28%	3.33%
(j)	Return on Capital employed	Earning before interest and taxes	Capital Employed	30%	31%	-4.58%
(k)	Return on investment.					NA

- Current Assets = Inventories(Note-13) + Investments (Note-14) + Trade receivables(Note-15) + Contract Assets (Note-15A) + Cash and Cash Equivalents (Note-16) + Bank Balances other than Cash and Cash Equivalents (Note-17) + Loans (Note-18) +Other Financial Assets (Note 19)+Current tax Assets(net)(Note-20) + Other Current Assets (Note-21)
- Current Liabilities = Borrowings(Note-30) + Lease liability(Note30A) + Trade Payables(Note-31) + Other Financial liabilities(Note-32) + Other current liabilities (Note-33) + Provisions(Note-34) + Current Tax Liabilities(NeT)(Note-35)



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
iii.	Total Debt = Non-current borrowing(Note-24) + Current borrowing working capital loan - Cash Credit (Note-30) + Current borrowing from Banks - Commercial paper(Note-30)
iv.	Shareholders Equity = Equity Share Capital(Note-22) + Other Equity(Note-23)
v.	Earnings available for debt service = Profit after Tax +Depreciation and amortisation(Note-42)+ Finance Cost (Note-41) + Loss on sale of assets
vi.	Debt Service = Finance cost(Note-41) + Principal repayment
vii.	Net Profits after taxes = Profit(Loss) for the period
viii.	Average Shareholder's Equity = (Shareholder's Equity for current period + previous year) / 2
ix.	Average Inventory = (Inventories (Note-13) for current period + previous year) / 2
x.	Average Accounts Receivable = (Trade Receivables(Note-8 and Note-15) for current period + previous year) / 2
xi.	Average Trade Payables = (Trade payables (Note-25 and Note-31) for current period + previous year) / 2
xii.	Average Working Capital = (Total Current Assets - Total Current Liabilities for current period + previous year) / 2
xiii.	Net Profit = Profit(Loss) for the period from continuing operations
xiv.	Earning before interest and taxes = Profit Before Tax + Finance Cost (Note-41)
xv.	Capital Employed = Shares holder's Equity + Long Term Borrowings(Note-24) + Deferred tax liability(Note-28)
55G	Compliance with approved Scheme(s) of Arrangements NA
55H	Utilisation of borrowed funds and share Premium through intermediaries or for benefit of third party beneficiaries: No funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company, its subsidiary, associate to or in any other person(s) or entity(ies),including foreign entities (Intermediaries") with the understanding, whether recorded in writing or otherwise, that the Intermediary shall lend or invest in party identified by or on behalf of the Company , its subsidiary, associate, (Ultimate Beneficiaries). The Company have not received any fund from any party(s) (Funding Party) with the understanding that the Company, its subsidiary, associate, shall whether, directly or indirectly lend or invest in other persons or entities identified by or on behalf of the Company, its subsidiary, associate ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
55I	Undisclosed Income No transaction that has been not recorded in the books of accounts which are surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as search or survey or any other relevant provisions of the Income Tax Act, 1961), unless there is immunity for disclosure under any scheme and previously unrecorded income and related assets that have been properly recorded in the books of accounts during the year.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
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55J Corporate Social Responsibility

Particulars	31 st March 2026	31 st March 2025
(a) amount required to be spent by the Company on CSR activities as per Companies Act, 2013	18,326	14,605
(b) Amount of surplus generated from CSR activities through savings in energy charges from the Wind Power Plant and football stadium during the financial year 2024-25 to be spent by the Company during the year 2025-26	841	873
Less : Excess expenditure spent during the Previous year	2,300	1,067
Gross amount required to be spent by the Company during the Financial Year 2025-26	16,867	14,411

31 st March 2026			
Particulars	In Cash	Yet to be paid in Cash	Total
(a) Amount of expenditure incurred during the year on CSR activities			
(i) Construction / Acquisition of any Assets	1,023	1,495	2,518
(ii) On purposes other than (i) above	14,593	147	14,740
(b) Amount of surplus generated from CSR activities *	841	-	841
Total	16,457	1,642	18,099

31 st March 2025			
Particulars	In Cash	Yet to be paid in Cash	Total
(a) Amount of expenditure incurred during the year on CSR activities			
(i) Construction / Acquisition of any Assets	4,076	715	4,791
(ii) On purposes other than (i) above	9,974	1,074	11,048
(b) Amount of surplus generated from CSR activities*	873	-	873
Total	14,922	1,789	16,711

* The Company has spent an amount of ₹ 841 lakhs during 2025-26 (Previous year ₹ 873 lakhs) against the surplus generated of ₹ 841 lakhs (Previous year ₹ 873 lakhs) in financial year 2024-25 through savings in energy charges from the Wind Power Plant and football stadium as a CSR project. The details of Expenditure spent during the year is given below:

Particulars	2025-26	2024-25
1. On going projects	10,598	9,673
2. Other than on going projects	7,501	7,038
Total Expenditure incurred during the year	18,099	16,711



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars	31 st March 2026	31 st March 2025
	During the year 2025-26, an amount of ₹ 991 lakhs surplus, was generated through savings in energy charges from the Wind Power Plant & football academy. The surplus will be utilised for other CSR projects/ activities during 2026-27 over and above the 2% budget allocation as per the Companies Act, 2013. The same is disclosed under Note 32.		
	(a) Shortfall at the end of the year		
	(b) Total of previous years shortfall		
	(c) Reason for short fall		
	(d) Nature of CSR activities:		
	Particulars		
	Drinking Water	50	-
	Education	4,731	4,038
	Environment Sustainability	-	332
	Facilities for Senior Citizens	69	172
	Healthcare	5,007	4,658
	Livelihood Generation	453	223
	Rural Development	704	981
	Sanitation	404	1,709
	Sports Development	1,202	1,384
	Skill Development	3,225	2,557
	Others	2,254	657
	Total	18,099	16,711
	(e) Details of related party transactions(e.g. contribution to a trust controlled by the company in relation to CSR expenditure as per relevant Accounting Standard)		
	(f) Movement in CSR Provision:		
	Opening Balance		
	Additions		
	Deletions		
	Closing Balance		
55K	Details of Crypto Currency or Virtual Currency	NA	NA

55L

The Government of India has notified four Labour Codes, collectively referred to as New Labour Codes effective from 21st November 2025. The incremental impact of these changes assessed by the company, on the basis of the information available, consistent with the guidance provided by the Institute of Chartered Accountants of India is not material and has been recognised in the financial results of the company for the year ended 31st March 2026 based on actuarial valuation.



Notes to the Standalone Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Standalone Financial Statements for the year ended 31st March 2026

(₹ in Lakhs)

Clause No.	Particulars
55M	Recent pronouncements Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. On 13th August, 2025, MCA amended the Companies (Indian Accounting Standards) Second Amendment Rules, 2025, as below. The amendment will be effective from 01st April, 2025. Ind AS 1 – Classification of Liabilities – The Company does not have the right at the end of the reporting period to defer settlement of the liability for at least twelve months after the reporting period. Amendments clarify that covenants with which an entity must comply after the reporting period do not affect classification as current or non-current at the reporting date. The Company has evaluated the amendment accordingly modification to Material Accounting Policy on liability classification has been made. Ind AS7 & Ind AS 107 Supplier Finance Arrangement – New disclosure requirement introduced to enhance transparency regarding the effects of supplier arrangements on entity's liabilities and cash flows. The Company has evaluated the amendment and there is no implication in the financial statements. Ind AS 12 - International tax reform – Pillar Two model rules - This Standard applies to income taxes arising from tax law enacted or substantively enacted to implement the Pillar Two model rules published by the Organisation for Economic Co-operation and Development(OECD), including tax law that implements qualified domestic minimum top-up taxes described in those rules. The Company has evaluated the amendment and the impact of the amendment there is no tax implication in the financial statements.
56	The financial statements were approved for issue by the Board of Directors at their meeting held on 14th May 2026. These financial statements are presented in Indian rupees (rounded off to lakhs).

Material accounting policies and accompanying notes no.1 to 49 form an integral part of the financial statements

As per our report of even date attached

For and on behalf of the Board of Directors

For GUPTA NAYAR & CO
Chartered Accountants,
Firm Registration No: 008376N

Handwritten signature
CA NANDLAL AGARWAL
Partner
Membership No: 091272
Place: Bengaluru
Date: 14.05.2026

Handwritten signature
(Dr.BARENDA SENAPATI)
Director (Finance) & CFO
DIN: 08525943

Handwritten signature
(RAVI K)
Chairman & Managing Director
DIN: 10807781

Handwritten signature
(SHAILESH BANSAL)
Company Secretary
FCS No. 5064



Independent Auditor's Report

TO THE MEMBERS OF HINDUSTAN AERONAUTICS LIMITED

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Hindustan Aeronautics Limited ("herein after referred to as the Holding Company") and its subsidiaries (Holding Company and its Subsidiaries together referred to as "the Group"), its Jointly controlled entities, listed in **Annexure A**, which comprise the consolidated Balance Sheet as at March 31, 2026 and the consolidated statements of Profit and Loss (including Other Comprehensive Income), the consolidated statements of changes in equity and the consolidated cash flows Statements for the year then ended, and notes to the consolidated financial statements, including a summary of Material Accounting Policies and other explanatory information (hereinafter referred to as "the consolidated financial statements".)

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 ("Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended ("Ind AS") and other accounting principles generally accepted in India, of their consolidated state of affairs of the Group and its Joint ventures as at March 31, 2026 and their consolidated profit, their consolidated total comprehensive income, their consolidated changes in equity and its consolidated cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143 (10) of the Companies act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the group and its Joint ventures in accordance with the Code of Ethics issued by ICAI, and we have fulfilled our other ethical responsibilities in accordance with the provisions of the Companies Act, 2013. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the consolidated financial statements.

Emphasis of Matter

1) Attention is invited to Notes to the Consolidated Financial Statements extracted below:

Emphasis of Matter

(I) Attention is invited to Notes to the Consolidated Financial Statements extracted below:

Note 49: Clause - 21

Ministry vide OM dated 12.07.2023 has conveyed the approval for increasing the Company's contribution to the Pension Scheme of Executives from existing 7% to 10% of Basic Pay + DA w.e.f. 01.01.2017. Revision of Pension contribution from 7% to 10% of Basic Pay + DA w.e.f 01.01.2017 has been made in respect of Executives who are on the rolls of the Company as on the date of implementation of the revised ceiling i.e. 01.01.2017 implemented during 2023-24.

In respect of Workmen, Company issued Circular dated 24.04.2025 has conveyed the approval for increasing the Company's contribution to the Pension Scheme from existing 7% to 10% of Basic Pay + DA w.e.f. 01.01.2025. Revision of Pension contribution from 7% to 10% of Basic Pay + DA w.e.f 01.01.2025 has been made in respect of workmen who were on the rolls of the Company as on the date of implementation of the revised ceiling during March 2025.

The additional liability accruing to the Company due to the increased ceiling in respect of workmen is ₹ 4145 lakh pertaining to the year ended 31.03.2026 (previous year: ₹ 1051 lakhs [01.01.2025 to 31.03.2025]). Accordingly, employees cost for the current year 31.03.2026 is not comparable with the corresponding previous year 31.03.2025.



Note 49: Clause – 35

Exceptional item shown during 2024-25 represents ₹ 589 Lakhs received on 12th September 2024 for compensation received from the Office of Special Land Acquisition Officer, Bangalore under KIADB Act, on compulsory acquisition of 315 Sq. Mtrs (0.078 Acres) of HAL land at Beninganahalli Village, Bangalore by M/s Bangalore Metro Rail Corporation Ltd.

Note 49: Clause – 38

Inventory items (both Company and Customer owned) held at the LCA TD store were damaged due to flood in September 2022. In respect of Company-owned items, the actual loss was assessed at ₹ 1,033 lakhs, for which a provision was created in the books of accounts. Following the division's insurance claim, the Insurance Surveyor confirmed the loss at ₹ 1,033 lakhs, and the full and final settlement was received from the insurance company in March 2026. Consequently, as of March 31, 2026, there is no damaged Company-owned inventory remaining in the books.

Regarding Customer-owned items, the initial loss was assessed at ₹ 5,590 lakhs, and a provision for replacement charges was established. However, based on feedback from OEMs regarding the retrieval of these items, the loss was reassessed at ₹ 1,091 lakhs. Accordingly, the excess provision of ₹ 4,499 lakhs was reversed by March 31, 2026. A provision of ₹ 1,091 lakhs for flood-affected Customer-owned inventory is being maintained as a future liability.

Note 49: Clause – 36

Existing FPQ, arising out of 3rd PPRC, is up to 2022-23. 4th PPRC is under progress, due to which the prices for the year 2023-24 and onwards is yet to be firmed up.

For the year 2023-24, FPQ sales has been provisionally recognised by considering the approved FPQ price of 2022-23 and applying indices for 2023-24.

For the year 2024-25, FPQ sales has been provisionally recognised by considering the prices of 2023-24, as arrived above and applying indices for 2024-25.

For the year 2025-26, FPQ sales has been provisionally recognised by considering the prices of 2024-25 as arrived above.

Since FPQ finalisation has taken more than two years, on conservative basis the prices of 2024-25 has been considered for the financial year 2025-26 without any escalation.

Note 49: Clause – 39:

The Government of India has notified four Labour Codes, collectively referred to as New Labour Codes effective from 21st November 2025. The incremental impact of these changes assessed by the company, on the basis of the information available, consistent with the guidance provided by the Institute of Chartered Accountants of India is not material and has been recognised in the financial results of the company for the year ended 31st March 2026 based on actuarial valuation.

Note 31:

Notes specific to Joint Ventures

(i) In respect of HATSOFF Helicopter Training Private Limited

Going Concern

The Company has made a net profit of ₹ 2007.10 lakhs for the twelve months period ended 31st March, 2026 and, as of that date, the Company's current liabilities exceeded its current assets by ₹ 9262.04 lakhs. In addition to this, as at the balance sheet date, the Company has significant accumulated losses which have resulted in substantial erosion of network. The network of the Company as at 31st March, 2026 is ₹ 2,337.46 lakhs (31st March 2025 was ₹ 337.10 lakhs).

Further, OEM declared obsolescence of the current projector system and consequent to this, OEM stopped the product support. Anticipating the criticality of the situation, HATSOFF had procured sufficient spares in 2014-15 itself to support operations up to Sep 2018. As no viable resolution was found until September 2018, HATSOFF



found a local vendor who does repairs to the used projectors. The cost of replacement with new projector systems requires INR 28 Crores excluding duties and taxes and the lead time for supply and commissioning of new projector systems would be 6-8 months.

Under the Supply Contract 2008 with CAE Inc, Canada, the Company is still awaiting the delivery of the Military Dhruv Cockpit, with a price of USD 6,892,777. An amount of USD 4,892,777 was paid against proforma invoice, as per agreed milestones. Revised estimated price is USD 1,36,92,777 as per the cost escalation quoted by CAE Inc in June 2019, was valid up to March 2020. The Company is negotiating for the final quote and delivery schedules from CAE Inc. Funding for above cost escalations will be decided after agreeing with final price and delivery schedules.

However, these financial statements have been prepared on a going concern basis, notwithstanding the above factors in view of the following:

- 1) Board has affirmed that Company has the ability to meet all the obligations.
- 2) The Company has been able to get the multi-year contracts from Defence forces with increased training hours.
- 3) The Company along with the shareholders are presently pursuing several options with the Company's bankers, viz. ICICI Bank.
- 4) The Company has paid, ECB Principal of ₹ 7668.79 Lakhs (USD 85,60,733) during the reporting period and previous year ₹ 3,600.00 Lakhs (USD 4,217,066) against ECB overdue Installments at various dates and serviced interest up to 04th September 2023. Considering the promoters ability to fund the companies requirements and procure orders for execution, management is of the opinion that company is a going concern.

(ii) In respect of HALBIT Avionics Private Ltd

Material Uncertainty Related to Going Concern

The Company, as on March 31, 2026 has a net liability of ₹ 1279.95 lakhs (March 31st 2025: ₹ 1,015.30 lakhs) and a net current liability of ₹ 1355.33 lakhs (March 31st 2025 : ₹ 1,088.45 lakhs) indicating existence of an uncertainty that may cast doubt upon the Company's ability to continue as a going concern. However, the bulk of its current liability is subject to the satisfactory completion of the performance obligations by the supplier, who is also a shareholder of this joint venture Company. Besides this, the Company continues to generate positive cash flows from its operations and plans to liquidate the liability in a phased manner. The Company expects to fund its operating and capital expenditure and continue business operations. Accordingly, the management has determined that these actions are sufficient to mitigate the uncertainty and has prepared the financial statements on a going concern basis.

(iii) In respect of Multirole Transport Aircraft Limited

Board in its 47th Meeting held on 09th February, 2023, approved the following resolution: "Subject to the necessary approval being obtained from the Government of India, in principle approval of the Board was accorded for the Voluntary Liquidation of the Company in accordance with its Articles of Association, Shareholders Agreement and other relevant contracts, provisions of Section 59 and other applicable provisions of the Insolvency and Bankruptcy Code 2016 read with the Insolvency and Bankruptcy Board of India (Voluntary Liquidation Process) Regulations, 2017 and other provisions of the Companies Act 2013 and relevant rules and any other law as may be applicable. Hence, on fulfillment of the following steps, the Going Concern assumption will become inappropriate-

- i. Receipt of Government of India approval for closure of the Company,
- ii. Adopting unanimous resolution with affirmative vote by all the directors as per Para 9.4(h) of the Shareholders Agreement read with Para 147(2)(h) of the Articles of Association, recommending liquidation of the Company to the General Meeting.
- iii. Adopting necessary resolutions for Voluntary Liquidation of the Company in the Members General Meeting as per the provisions of Insolvency and Bankruptcy Code, 2016.



- iv. Adherence of procedures for closure of MTAL Moscow Branch in compliance with rules and regulations of Russian Federation.
- v. Compliance of all other necessary steps as per internal rules and regulations of the Company, as well as applicable statutory provisions of the respective country (i.e. India and Russian Federation) for closure of the company."

(iv) In respect of Infotech HAL Ltd

The Board in its 440th meeting held on 9th December 2020, accorded in principle approval for voluntary winding up / closure of Joint Venture M/s. Infotech HAL Limited (IHL) enabling the Company to take further action in the matter.

The petition has been filed by Infotech HAL Limited to the National Company Law Tribunal (NCLT) for Commencement of Corporate Insolvency Resolution process. The NCLT, Bangalore Bench order dated 22nd August 2025 has admitted the petition filed by Infotech HAL Limited under Section 10 of Insolvency and Bankruptcy Code, 2016. Further, NCLT ordered for the commencement of corporate insolvency resolution process of Infotech HAL Limited and appointed Interim Resolution Professional.

(v) In respect of HAL-Edgewood Technologies Private Limited

The Joint Venture Company, HAL-Edgewood Technologies Private Limited, has not prepared the financial statements for the twelve months period ended 31 March 2026, and accordingly not considered for consolidation. The impact of non-consolidation, however, is not material. The Board in its 406th meeting held on 22 September, 2017, accorded in principle approval for voluntary winding up / closure of HAL-Edgewood Technologies Private Limited enabling the Company to take further action in the matter.

- (II)** We draw attention that the Company is not complying with Regulation 17(1) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, and Section 149(4) of the Companies Act, 2013 pertaining to the required composition of its Board of Directors.
- (III)** We draw attention to the fact that, during the year, up to 1st June 2025, the Company was not in compliance with the provisions of Section 177 and Section 178 of the Companies Act, 2013 and Regulations 18(1), 19(1), 19(2), 20(2), 20(2A), 21(2) and 17(2A) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, relating to the constitution of the Audit Committee, Nomination and Remuneration Committee, Stakeholders Relationship Committee and Risk Management Committee, as well as the quorum requirements for Board Meetings, due to the absence of the requisite number of Independent Directors. Subsequently, the said Committees were duly reconstituted and the quorum requirements for Board Meetings were complied with.
- (IV)** One overhauled Su-30 Aircraft having tail no. SB-182 got crashed during a flight near Ozar, Nashik on 04th June 2024. HAL has taken an insurance policy for efforts and material used in overhaul, and preferred the claim with the Insurance Company for ₹ 14435 lakhs. An amount of ₹ 14071 lakhs have been advised for payment by Insurance Company after deducting policy Administration charges. The disbursement has been received by HAL Nasik on 17th January 2025.

Further, Brought on Charge (BOC) action of SB-182 was not completed and Aircraft was under custody & control of HAL. Board of Investigation (BOI) has been setup for finding the exact reason for the accident of aircraft. Customer is also demanding for the replacement of equivalent Aircraft. As there is no replacement aircraft (Cat-B) available, out of prudence, provision of ₹ 84336 lakhs for new aircraft have been created during 2024-25.
- (V)** During the year 2011, C&AG observed that the profits earned from short term deposits is an incidental activity and not a core activity of the Company and inclusion of the interest income from these deposits for PRP computation had led to excess of payment of ₹ 4318 lakhs to its executives. Based on HAL reply on difficulties in recovery, the C&AG vide letter dated 11th November 2024, suggested that the issue of difficulties in retrospective recovery of excess amount of ₹ 4318 lakhs paid on account of PRP for the year 2009-10 to 2011-12 be placed before the Board for obtaining waiver and disclose in the Financial statements.

In compliance with the C&AG letter, the issue of difficulties in retrospective recovery of excess amount paid on account of PRP for the year 2009-10 to 2011-12 to its Executives was placed before HAL Board in its 488th Meeting held on 16th December 2024.



After deliberation, HAL Board approved the waiver from recovery of ₹ 4318 lakhs of excess payment of PRP for the Year 2009-10 to 2011-12 to its Executives.

Necessary accounting treatment has been done in the accounts for the year ended 31.03.2025.

- (VI)** Balance shown under Trade Receivables, Trade Payable, Claims Receivable, Advance against Goods and Services, Capital Advances, deposits and stock / materials lying with sub-contractors / fabricators are under reconciliation. Since the Company is a Government entity under the control of Ministry of Defence (MoD), around 98% of the Company's turnover, around 99% of Trade receivables and Contract Assets, around 98% of Claims receivables and around 100% of the customer advances is with respect to Government and Government related entities. The bills are raised on the customers by the divisions located at various places and reconciliation is carried out on an ongoing basis. However, management does not expect to have any material financial impact of such pending confirmation / reconciliation.
- (VII)** The ceiling of Gratuity payable to Officers & Workmen was ₹ 20 lakhs w.e.f. 1.1.2017. In terms of the DPE OM dated 3.8.17, the ceiling of Gratuity shall increase by 25% whenever Industrial Dearness Allowance (IDA) rises by 50%. From 01.10.2025 IDA has been revised to 51.80% as notified vide Circular dated 8.10.2025. Accordingly ceiling of Gratuity to eligible Officers and Workmen of the Company have been revised from ₹ 20 lakhs to ₹ 25 lakhs from 01.10.2025.

The additional liability accruing to the Company due to the increased ceiling in respect of officers and workmen is ₹ 32733 lakh given effect in the year ended 31.03.2026 (previous year : ₹ Nil lakhs). Accordingly, employees cost for the year ended 31.03.2026 is not comparable with the corresponding previous year.

- (VIII)** During the audit of accounts for the financial year 2024-25, the Comptroller and Auditor General of India (C&AG) raised an observation regarding the accounting treatment of "Offset Credit benefits received free of charge as per the Purchase Order terms from foreign suppliers". Accordingly, the Company referred the matter to the Expert Advisory Committee (EAC) of the Institute of Chartered Accountants of India (ICAI) on 24 September 2025 for its opinion on the appropriate accounting treatment. The opinion of the EAC was received on 07 March 2026.

Based on the opinion received from the EAC and the fair valuation assessed by the duly constituted committee, the Company has accounted for the Offset Credit benefits during the current year. Considering the immaterial impact on earlier periods and the impracticability involved in retrospective application, the accounting treatment has been applied prospectively in accordance with the principles of Ind AS 8 relating to accounting policies, changes in accounting estimates and errors.

Accordingly, during the year, the Company has recognised Revenue amounting to ₹ 11,317 lakhs, Intangible Assets amounting to ₹ 10,841 lakhs, Amortisation on Intangible Assets amounting to ₹ 1,790 lakhs, Claim receivable amounting to ₹ 2944 Lakhs and Other Liability amounting to ₹ 3,831 lakhs. Consequently, the profit for the year has increased by ₹ 9,527 lakhs.

- (IX)** Revision of pay scales of executives and workmen, with effect from 01.01.2017 was implemented in accordance with the guidelines issued by Department of Public Enterprises vide OM dated 03.08.2017 for Executives and in accordance with the Wage Agreement entered into between Management and Employees Union representative in 2019-20 in respect of Workmen.

On an interpretation on pay refixation and pursuant to the directives of the Administrative Ministry, the pay fixation to be revised and the excess amount paid is to be recovered from the employees. Based on the directives Company issued a Circular dated 24.07.2021 and the communication dated 26.07.2021 for recovery of the excess amount.

While so, the Employees Union and Officers Association have filed Writ Petition with Hon'ble High Court of Karnataka to stay recovery of excess amount of salary paid by the Company. The H'ble High court given verdict in favour of Officers Associations by setting aside the Circular dated 24.07.2021 and the communication dated 26.07.2021 issued by the Management during 2024-25. The order of the H'ble High Court in favour of Officers was put up to the Board in its 490th Meeting held on 12.02.2025. Board has noted the judgement of the H'ble High Court and accorded approval to abide by the Court order. Accordingly, the differential amount withheld by the Management in respect of Ex-officers has to be released /refunded to the concerned Ex-officers / Nominees along with applicable interest. Further, in respect of officers an amount of ₹ 18565 lakhs credited to salaries and wages in the earlier years and kept under claims receivable has been reversed during 2024-25.



In respect of Workmen, The Hon'ble High court vide order dated 10.03.2026 has allowed the Writ petition filed by Employees Union. Accordingly in line with the orders of Hon'ble High Court of Karnataka, the differential amount withheld by the division along with Interest in respect of Ex-workmen to be released /refunded during FY 2026-27 to the concerned Ex-workmen / Nominees.

Further, in respect of workmen impact of one increment an amount of ₹ 16390 lakhs credited to salaries and wages in the earlier years (upto 31.03.2025) and kept under claims receivable has been reversed during 2025-26. Accordingly, employees cost for the current year is not comparable with the corresponding previous year.

Our opinion is not modified in respect of these matters.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated Financial Statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Key Audit Matters	Response to Key Audit Matters & Conclusion
a) Revenue recognition (Ind AS 115) The revenue standard establishes a comprehensive framework for determining whether, how much and when revenue is recognized. This involves certain key judgments relating to identification of distinct performance obligations, determination of transaction price of identified performance obligation, the appropriateness of the basis used to measure revenue recognized over a period. Additionally, the standard mandates robust disclosures in respect of revenue and periods over which the remaining performance obligations will be satisfied subsequent to the balance sheet date.	Our audit approach consisted testing of the design and operating effectiveness of the internal controls and substantive testing as follows: • Evaluated the appropriateness of the disclosures provided under the revenue standard and assessed the completeness and mathematical accuracy of the relevant disclosures. • Evaluated the design of internal controls relating to implementation of the revenue standard. • Selected a sample of continuing and new contracts, and tested the operating effectiveness of the internal control, relating to identification of the distinct performance obligations and determination of transaction price. We carried out a combination of procedures involving enquiry and observation, reperformance and inspection of evidence in respect of operation of these controls. • Selected a sample of continuing and new contracts and performed the following procedures: • Read, analysed and identified the distinct performance obligations in these contracts. • Compared these performance obligations with that of identified and recorded by the Company. • Considered the terms of the contracts to determine the transaction price including any variable consideration to verify the transaction price used to compute revenue and to test the basis of estimation of the variable revenue.



Key Audit Matters	Response to Key Audit Matters & Conclusion
	- Examination of the correspondence relating to price revision and ascertained the reasonableness of the estimates. - Sample of revenues disaggregated by type and service offerings was tested with the performance obligations specified in the underlying contracts. Due to detailed procedures, a portion of is recognised based on the most likely amount based on past experience and the consistent practices followed. We have verified the procedures related to revenue recognition including unbilled revenue.
b) Impairment of Trade Receivables In respect of receivables from Government the company does not make any impairment provision based on past experience. The amount involved being significant balance and management judgment we consider this as a Key Audit Matter.	We have verified the - Effectiveness of internal controls in place and procedures followed in identifying the recoverability of long outstanding dues. - The procedures and follow-up actions in ascertaining the impairment of receivables. Our audit procedures include evaluation of provisions made for impairment in earlier years. We also made test checks of invoice wise collection details provided made in respect of in the five preceding financial years and we concluded the management assumption is reasonable.
c) Contract Asset Contract asset represents the revenue recognized but yet to be invoiced to the customer.	Contract Assets represents the Company's right to receive the consideration in exchange for the Goods or Services that the Company has transferred to the Customer, when that right is conditioned on something other than passage of time.
d) Liquidated damages The Company's contract with the customers has standard clause for Liquidated damages for delayed delivery. The company's product has extended period of manufacturing; design approvals and inspection by customer at various stages which result in delay in certain cases leading to liquidated damages. The liquidated damages recognized being significant in the statement of profit and loss, is considered a key audit matter in our opinion.	We have verified the controls, period of delay, the expected days of delay as on 31.03.2026 and also the calculation for the liquidated damages recognized and found the system followed and calculation to be in order.



Key Audit Matters

e) Work - in - Progress (WIP) - Inventories

Inventories include Work in Progress which have been physically verified by the management based on physical verification instructions.

Response to Key Audit Matters & Conclusion

Our Audit Procedures generally include review of

- Physical Verification instructions
- Physical verification reports
- Roll back procedures
- Examining the basis of valuation on a test check basis

Currently, the verification of WIP is done on annual basis. The division wise WIP inventory was submitted from Divisions and consolidated at H.O. level.

Based on the above audit procedures we conclude that the valuation of WIP is proper

f) Impairment Assessment of Intangible Assets and Intangible Assets Under Development

The Company has recognised significant intangible assets comprising software, documentation charges, development expenditure, and license fees. In addition, the Company also has intangible assets under development representing ongoing development charges. These assets are recognised and measured in accordance with Ind AS 38 – Intangible Assets and are subject to impairment testing under Ind AS 36 – Impairment of Assets.

The assessment of impairment for both completed intangible assets and those under development involves significant management judgment. This includes evaluating technical feasibility, future economic benefits, project viability, useful life estimations, and expected completion and commercialisation timelines for assets under development.

The Company has instituted an Impairment Review Committee, which conducts a structured evaluation of all HAL-funded R&D projects. The review includes analysis of approvals, project status, expenditure incurred, estimated completion costs, future economic benefits, and other relevant technical and financial parameters. Based on this review, the Committee recommends appropriate accounting actions such as recognition of impairment, amortisation, or deferral of costs.

Our audit procedures included, among others:

- Understanding and evaluating the Company's policy and procedures for identifying and assessing impairment indicators for both recognised intangible assets and those under development.
- Reviewing the functioning and documentation of the Impairment Review Committee, including its evaluation of project status, economic viability, and accounting recommendations.
- Reviewing the basis for management's judgments and estimates, including technical reviews, projected benefits, and cost-to-completion assumptions for selected projects.
- Verifying whether the impairment testing methodology was in accordance with Ind AS 36 and that capitalization criteria under Ind AS 38 were met for assets under development.
- Evaluating the adequacy and appropriateness of disclosures in the financial statements relating to intangible assets and their impairment assessment.

Based on the audit procedures performed, we found that the impairment assessment process was reasonable, and the judgments and estimates made by the management were supported by appropriate documentation.

Information Other than the Consolidated Financial Statements and Auditors Reports Thereon

The Holding company's Management and Board of Directors are responsible for the other information. The other information comprises the information included in the Holding Company's Annual report but does not include the Consolidated Financial Statements, standalone financial statements and our auditor's report thereon. The Holding Company's Annual report is expected to be made available to us after the date of this auditor's report

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.



In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and Those charged with Governance for the Consolidated Financial Statements

The Holding Company's Board of Directors are responsible for the preparation and presentation of these consolidated financial statements in term of the requirements of the Act, that give a true and fair view of the consolidated financial position, consolidated profit and other comprehensive income, consolidated statements of changes in equity and consolidated cash flows of the Group, including its Joint Ventures, in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act. The respective Board of Directors of the companies included in the Group and of its Joint Ventures are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatements, whether due to fraud or error which have been used for the purpose of preparation of the consolidated financial statements by the and Board of Directors of the Holding Company, as aforesaid.

In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group and of its Jointly ventures are responsible for assessing the ability of the Group and of its Joint ventures to continue as a Going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the company or to cease operations or has no realistic alternative but to do so.

The respective Board of Directors of the companies included in the Group and of its Jointly controlled entities are responsible for overseeing the financial reporting process of the Group and of its Joint ventures.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatements, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatements when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also

- Identify and assess the risks of material misstatements of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatements resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management.



- Conclude on the appropriateness of the management's use of the going concern basis of accounting in preparation of Consolidated financial statements and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group and its Joint ventures to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and its Joint ventures to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group and its Joint ventures to express an opinion on the consolidated financial statements.

We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the consolidated financial statements of which we are the independent auditors. For the other entities included in the consolidated financial statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

Materiality is the magnitude of misstatements in the Consolidated Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Consolidated Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Consolidated Financial Statements.

We communicate with those charged with governance of the Holding company and such other entities included in the consolidated financial statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statements that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

1. The consolidated Financial Statements include the audited Financial Statements of two subsidiaries, whose interim financial statements / financial information reflect Group's share of total assets of ₹ 4315 Lakhs as at 31st March 2026, Group's share of total revenues of ₹ 2148 Lakhs and Group's share of total net profit after tax of ₹ 293 Lakhs for period from 01.04.2025 to 31.03.2026, as considered in the consolidated financial Statements, which have been audited by their respective independent auditors.

The Consolidated financial statements also include Group's share of Net Profit of ₹ 4362 lakhs for period from 01.04.2025 to 31.03.2026, as considered in the consolidated financial statements, in respect of Twelve Joint ventures (Financial statement not provided for two joint ventures), which have been audited by their respective independent auditors.

The independent auditors reports on financial statements of these entities have been furnished to us and our opinion on the consolidation Financial Statements, in so far as it relates to the amounts and disclosures included in respect of these entities, is based solely on the report of such auditors and the procedures performed by us are as stated in paragraph above.



Our opinion on the Consolidated Financial Statements is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the Financial Statements /financial information certified by the Board of the Directors.

2. The consolidated Financial Statements include, the audited Financial Statements / financial information of 26 Divisions of the Company, whose financial statements / financial information reflect the total assets of ₹ 135,35,704 lakh as at March 31, 2026, total income of ₹ 36,79,354 lakhs and Net profit before Tax of ₹ 12,11,208 lakhs for the year ended 31st March 2026, as considered in the Standalone Financial Statements which have been audited by the respective independent divisional auditors.

The Independent Auditors Reports on the financial statements of these Divisions have been furnished to us, and our opinion in so far as it relates to the amounts and disclosures included in respect of these Divisions, are based solely on the report of such auditors and the procedures performed by us are as stated in paragraph above.

Our opinion is not modified in respect of these matters.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143(3) of the Act, based on our audit we report, that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid Consolidated Financial Statements.
 - b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books and reports of the other auditors.
 - c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows dealt with by this Report are in agreement with the books of account maintained for the purpose of preparation of the Consolidated Financial Statements.
 - d) In our opinion, the aforesaid Consolidated Financial Statements comply with the Indian Accounting Standards prescribed under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015 as amended.
 - e) In terms of circular NO. GSR 463(E) dated 05th June 2015 issued by the Ministry of Corporate Affairs, Government of India, the company being Government Company, is exempt from the provisions of section 164(2) of the Act regarding disqualification of Directors.
 - f) Ministry of Corporate Affairs vide notification no 1/2/2014-CL-V dated 23rd February 2018 has exempted the companies engaged in defence production to the extent of application of relevant Accounting Standard on Segment Reporting. In view of the above, no disclosure is made by the company as required by Ind AS 108. Subject to the above, we state that, in our opinion, the aforesaid Consolidated Financial Statements comply with the Accounting Standards specified under Section 133 of the Act.
 - g) With respect to the adequacy of the internal financial controls with reference to Consolidated Financial Statements and the operating effectiveness of such controls, refer to our separate Report in **"Annexure B"** which is based on the auditors' reports of the Company, its subsidiary and joint ventures incorporated in India. Our report expresses an unmodified opinion on the adequacy and operating effectiveness of internal financial controls with reference to Consolidated Financial Statements of those companies.
 - h) Pursuant to the Notification No. GSR 463(E) dated 5th June 2015 issued by the Ministry of Corporate Affairs, Government of India, provisions of Section 197 of the Companies Act, 2013, are not applicable to the Group. Further, on the basis of the reports of the auditors of 10 (Ten) joint ventures out of 12(twelve) Joint Ventures incorporated in India, the managerial remuneration for the year ended 31 March 2026 has been paid / provided to their directors in accordance with the provisions of section 197 read with Schedule V to the Act.



- i) With respect to the other matters to be included in the Auditors' Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Consolidated Financial Statements disclose the impact of pending litigations on the consolidated financial position of the Group and its joint ventures except 221 cases pertaining to employee related issues for which the financial implication is not ascertainable. Refer Note 49 (4a), 49 (4b) to the Consolidated financial statements
 - ii. The Group and its Joint Ventures have made provision, as required under the applicable law or accounting standards, for material foreseeable losses, on long-term contracts. The Group and its Joint Ventures do not have any derivative contracts.
 - iii. There has been no delay in transferring amounts required to be transferred to the Investor Education and Protection Fund by The Group and its Joint Ventures incorporated in India.
- iv. (a) The respective Managements of the Group and joint ventures, which are companies incorporated in India, whose financial statements have been audited under the Act, have represented to us and the other auditors of such subsidiaries and its joint ventures that, to the best of their knowledge and belief, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Holding Company or any of such subsidiaries or joint ventures, to or in any other person or entity, including foreign entity ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company or any of such subsidiaries or joint ventures ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (b) The respective Managements of the Group and joint ventures which are companies incorporated in India, whose financial statements have been audited under the Act, have represented to us and the other auditors of such subsidiaries and joint ventures that, to the best of their knowledge and belief, no funds (which are material either individually or in the aggregate) have been received by the Company or any of such subsidiaries, or joint ventures, from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Holding Company or any of such subsidiaries or joint ventures, shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
- (c) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances performed by us and that performed by the auditors of the subsidiaries and joint ventures, which are companies incorporated in India whose financial statements have been audited under the Act, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
- v. (a) The final dividend paid by the Company, its Subsidiary and its joint ventures during the year, in respect of declared for the previous year is in accordance with Section 123 of the Act to the extent it applies to payment of dividend.
- (b) The interim dividend declared and paid by the Company, its Subsidiary and its joint ventures during the year and until the date of this audit report is in accordance with Section 123 of the Act.
- (c) The Company, its Subsidiary and its joint ventures have not proposed any final dividend for FY 2025-26 up to the date of our report.
- vi. Based on our examination which included test checks, performed by us on the Company, its subsidiaries and its joint ventures incorporated in India, have used accounting software for maintaining their respective books of account for the period ended 31st March 2026, which has a feature of recording audit trail (edit log) facility. The audit trail facility has been operating throughout the period 1st April 2025 to 31st March 2026 for all relevant transactions recorded in the software. Further, during the course of our audit we did not come across any instance of audit trail feature being tampered with.

Additionally, the audit trail has been preserved by the Holding Company and above referred subsidiary companies and joint ventures incorporated in India as per the statutory requirements for record retention.



2. With respect to the matters specified in paragraphs 3(xxi) and 4 of the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government in terms of Section 143(11) of the Act, to be included in the Auditor's report, according to the information and explanations given to us, and based on the CARO reports issued by the component auditors of the subsidiaries and joint ventures included in the consolidated financial statements of the Holding Company, to which reporting under CARO is applicable, provided to us by the Management of the Holding Company and based on the identification of matters of qualifications or adverse remarks in their CARO reports by the respective component auditors and provided to us, we report that, the auditors of such companies have not reported any qualifications or adverse remarks.

FOR GUPTA NAYAR & CO.

Chartered Accountants
Firm Reg. No. 008376N



Nandlal Agarwal

Partner

M No. 091272

UDIN: 26091272QVHSDV6624

Place: Bengaluru

Date: 14.05.2026



ANNEXURE-A

Sl. No.	Subsidiaries
1	Naini Aerospace Limited
2	Indo Russian Helicopters Limited (IRHL)
Joint Ventures	
1	BAe-HAL Software Ltd
2	Safran HAL Aircraft Engines Private Ltd
3	Indo Avia Services Limited (Erstwhile referred as Indo Russian Aviation Limited)
4	HALBIT Avionics Pvt. Ltd
5	SAMTEL HAL Display Systems Ltd
6	HATSOFF Helicopter Training Pvt. Ltd.
7	International Aerospace Manufacturing Pvt.Ltd.
8	Helicopter Engines MRO Pvt. Ltd
9	SAFHAL Helicopter Engines Pvt.Ltd
10	Multirole Transport Aircraft Ltd
11*	HAL Edgewood Technologies Private Limited
12*	Infotech HAL Limited

*Not considered in Consolidation as the financial statements were not made available till the date of our report. Please refer to Emphasis of matter paragraph in our Report.

FOR GUPTA NAYAR & CO.

Chartered Accountants
Firm Reg. No. 008376N

Nandlal

Nandlal Agarwal

Partner

M No. 091272

UDIN: 26091272QVHSDV6624

Place: Bengaluru
Date: 14.05.2026



ANNEXURE "B" TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE CONSOLIDATED FINANCIAL STATEMENTS OF HINDUSTAN AERONAUTICS LIMITED.

Report on the Internal Financial Controls with reference to Consolidated financial statements under Clause (i) of Subsection 3 of Section 143 of the Companies Act, 2013 ("the Act").

In conjunction with our audit of the Consolidated Financial Statements of the Company as of and for the year ended March 31, 2026, we have audited the Internal Financial Controls with reference to Consolidated financial statements of Hindustan Aeronautics Limited ("herein after referred to as the Holding Company") and its subsidiaries (Holding Company and its Subsidiaries together referred to as "the Group"), its Jointly controlled entities, which are companies incorporated in India, as of that date.

Management's Responsibility for Internal Financial Controls

The Board of Directors of the Company and its Subsidiary Companies and Joint Ventures which are companies incorporated in India, are responsible for establishing and maintaining Internal Financial Controls based on the Internal Control with reference to Consolidated financial statements criteria established by the Holding Company considering the essential components of Internal Control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013 ('the Act').

Auditors' Responsibility

Our responsibility is to express an opinion on the Group Company's and Joint Ventures Internal Financial Controls with reference to Consolidated financial statements based on our audit.

Based upon the audit conducted by the divisional statutory auditors on the divisions, our audit done for the overall position of the company and audit conducted by the IFC auditor.

We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and prescribed under section 143(10) of the Act, to the extent applicable to an audit of Internal Financial Controls, both applicable to an audit of Internal Financial Controls and, both issued by ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate Internal Financial Controls with reference to Consolidated financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the Internal Financial Controls system with reference to Consolidated financial statements and their operating effectiveness. Our audit of Internal Financial Controls with reference to Consolidated financial statements included obtaining an understanding of Internal Financial Controls with reference to Consolidated financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of Internal Control based on the assessed risk. The procedures selected depend on the Auditors' judgment, including the assessment of the risks of material misstatement of the Financial Statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors of the subsidiaries and joint venture companies incorporated in India, in terms of their reports referred to in the 'Other Matters' paragraph is sufficient and appropriate to provide a basis for our audit opinion on the Group's internal financial controls system over financial reporting with reference to Consolidated Financial Statements

Meaning of Internal Financial Controls Over Financial Reporting

A Company's Internal Financial Control with reference to Consolidated financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Company's Internal Financial Control with reference to Consolidated financial statements includes those policies and procedures that:

- pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company



- provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with Generally Accepted Accounting Principles and that receipts and expenditures of the Company are being made only in accordance with authorizations of Management and Directors of the Company; and
- provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use or disposition of the Company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to Consolidated financial statements

Because of the inherent limitations of Internal Financial Controls with reference to Consolidated financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the Internal Financial Controls with reference to Consolidated financial statements to future periods are subject to the risk that the Internal Financial Control with reference to Consolidated financial statements may become inadequate because of changes in conditions or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the Holding Company, its Subsidiary Companies and its Joint Ventures incorporated in India has, in all material respects, an adequate Internal Financial Controls System with reference to Consolidated financial statements and such Internal Financial Controls were operating effectively as at March 31, 2026, based on the Internal Control with reference to Consolidated financial statements criteria established by the Company, considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by ICAI.

Our opinion is not modified in respect of this matter.

Other Matters

Our aforesaid Reports under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the Internal Financial Controls with reference to Consolidated financial statements in so far as it relates to the Subsidiaries and Joint Ventures which are companies incorporated in India, is based on the corresponding Reports of the Auditors of such companies incorporated in India.

Our report is not modified in respect of the above matters.

FOR GUPTA NAYAR & CO.

Chartered Accountants
Firm Reg. No. 008376N

Nandlal Agarwal

Partner

M No. 091272

UDIN: 26091272QVHSDV6624

Place: Bengaluru
Date: 14.05.2026



Insp-II/2026-27/HALAcct&F-584/194

प्रधान निदेशक लेखापरीक्षा (रक्षा-वाणिज्यिक) का कार्यालय,
ऑडिट भवन - II
तृतीय और चौथा तल, 68/2, एच. सिद्धैया रोड
अर्चना कॉम्प्लेक्स के सामने,
एच. सिद्धैया रोड रेफरल हॉस्पिटल के बगल में,
दोड्डमावल्ली, सुधामा नगर, बेंगलुरु - 560002



OFFICE OF THE PRINCIPAL DIRECTOR OF AUDIT
(DEFENCE - COMMERCIAL),
Audit Bhawan - II
3rd and 4th floor, 68/2, H. Siddaiah Road,
Opposite Archana Complex,
Next to H. Siddaiah Road Referral Hospital,
Doddamavalli, Sudhamanagar, Bengaluru-560002

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By Speed Post

दिनांक / DATE 16/07/2026

To
The Chairman & Managing Director
Hindustan Aeronautics Limited
Corporate Office,
No.15/1, Cubbon Road,
Bengaluru-560001.

Sir,

Sub: Comments of the Comptroller and Auditor General of India under section 143(6)(b) of the Companies Act, 2013.

I forward herewith "Nil Comments Certificate" of the Comptroller and Auditor General of India under Section 143(6)(b) of the Companies Act, 2013 on the standalone accounts and consolidated accounts of Hindustan Aeronautics Limited, Bengaluru for the year ended 31 March 2026.

It may please be ensured that the Comments are:

- (i) printed in *toto* without any editing;
- (ii) placed next to the Statutory Auditors' Report in the Annual Report of the Company with proper indication in the index;
- (iii) Placed before the AGM as required under proviso to Section 143(6)(b) of the Companies Act, 2013.

The receipt of this letter may please be acknowledged.

Yours faithfully,

(Arun Kumar V. M.)
Director (Admin)

Encl: As above.



**COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA
UNDER SECTION 143(6)(b) READ WITH SECTION 129(4) OF THE COMPANIES
ACT, 2013 ON THE CONSOLIDATED FINANCIAL STATEMENTS OF HINDUSTAN
AERONAUTICS LIMITED, BENGALURU FOR THE YEAR ENDED 31 MARCH 2026.**

The preparation of consolidated financial statements of Hindustan Aeronautics Limited, Bengaluru for the year ended 31 March 2026 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the company. The statutory auditor appointed by the Comptroller and Auditor General of India under section 139(5) read with section 129(4) of the Act is responsible for expressing opinion on the financial statements under section 143 read with section 129(4) of the Act based on independent audit in accordance with the standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by him vide their Audit Report dated 14 May 2026.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit of the consolidated financial statements of Hindustan Aeronautics Limited, Bengaluru for the year ended 31 March 2026 under section 143(6)(a) read with section 129(4) of the Act. We conducted a supplementary audit of the financial statements of Hindustan Aeronautics Limited, Bengaluru and subsidiary Naini Aerospace Limited, Prayagraj but did not conduct supplementary audit of subsidiary Indo Russian Helicopters Limited, Bengaluru and of twelve Joint Venture Companies of Hindustan Aeronautics Limited (as per *Annexure*) for the year ended on that date. Further, section 139(5) and 143(6)(a) of the Act are not applicable to the twelve Joint Venture Companies (*Annexure*) being private entities, for appointment of their Statutory Auditor and for conduct of supplementary audit. Accordingly, Comptroller and Auditor General of India has neither appointed the statutory auditors nor conducted the supplementary audit of these companies. This supplementary audit has been carried out independently without access to the working papers of the statutory auditor and is limited primarily to inquiries of the statutory auditor and company personnel and a selective examination of some of the accounting records.

On the basis of my supplementary audit, nothing significant has come to my knowledge which would give rise to any comment upon or supplement to statutory auditor's Report under section 143(6)(b) of the Act.

**For and on behalf of the
Comptroller & Auditor General of India**

Sudha Rajan
(Sudha Rajan)

Director General of Audit (Defence-Commercial)

**Place: Bengaluru
Date: 16 July 2026.**



ANNEXURE

List of Joint Venture Companies of Hindustan Aeronautics Limited for which supplementary audit of the Financial Statements not conducted by this office

01. BAe-HAL Software Limited
02. Indo-Avia Services Limited
03. Safran HAL Aircraft Engines Private Limited
04. SAMTEL HAL Display System Limited
05. HAL Edgewood Technologies Private Limited
06. HALBIT Avionics Private Limited
07. INFOTECH HAL Limited
08. HATSOFF Helicopter Training Private Limited
09. International Aerospace Manufacturing Private Limited
10. Multirole Transport Aircraft Limited
11. Helicopter Engines MRO Private Limited
12. SAFAL Helicopter Engines Private Limited



पधान निदेशक लेखापरीक्षा-वाणिज्यिक, का कार्यालय
ऑडिट भवन- II
3rd और 4th फ्लोर, 68/2, एच.सिद्धैया रोड,
सिद्धैया रेफरल अस्पताल दोड्डामावल्ली के पास,
सुधामानगर बेंगलुरु - 560002



SUPREME AUDIT INSTITUTION OF INDIA
लोकहितार्थ सत्यनिष्ठा
Dedicated to Truth in Public Interest

No. TWS-P-II / 2026-27 / NAINA/C/2025-26/585/41
OFFICE OF THE PRINCIPAL DIRECTOR OF AUDIT
DEFENCE - COMMERCIAL,
Audit Bhawan - II
3rd and 4th Floor, # 68/2, H.Siddaiah Road,
Beside Siddaiah Referral Hospital, Doddamavalli,
Sudhamanagar, Bengaluru - 560002

Confidential
By Speed Post

दिनांक / DATE 24.06.2026

To

The Chairman,
Naini Aerospace Limited
Regd. office- 15/1, Cubbon Road,
Bengaluru- 560 001

Sir,

Sub: Comments of the Comptroller and Auditor General of India
under section 143(6) (b) of the Companies Act, 2013.

I forward herewith "Nil Comments Certificate" of the Comptroller and Auditor General of India under Section 143(6) (b) of the Companies Act, 2013 on the accounts of Naini Aerospace Limited, Prayagraj for the year ended 31 March 2026.

It may please be ensured that the Comments are:

- (i) printed in *toto* without any editing;
- (ii) placed next to the Statutory Auditors' Report in the Annual Report of the Company with proper indication in the index;
- (iii) Placed before the AGM as required under proviso to Section 143(6) (b) of the Companies Act, 2013.

The receipt of this letter may please be acknowledged.

Encl: As above.

Yours faithfully,

(Arun Kumar V. M.)
Director (Admin)



COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA UNDER SECTION 143(6) (b) OF THE COMPANIES ACT, 2013 ON THE FINANCIAL STATEMENTS OF NAINI AEROSPACE LIMITED, PRAYAGRAJ FOR THE YEAR ENDED 31 MARCH 2026.

The preparation of financial statements of **Naini Aerospace Limited, Prayagraj** for the year ended 31 March 2026 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 is the responsibility of the management of the company. The statutory auditor appointed by the Comptroller and Auditor General of India under Section 139(5) of the Act is responsible for expressing opinion on the financial statements under section 143 of the Act based on independent audit in accordance with standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 30.04.2026.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit of the financial statements of **Naini Aerospace Limited, Prayagraj** for the year ended 31 March 2026 under section 143(6)(a) of the Act. This supplementary audit has been carried out independently without access to the working papers of the statutory auditors and is limited primarily to inquiries of the statutory auditors and company personnel and a selective examination of some of the accounting records.

On the basis of my supplementary audit nothing significant has come to my knowledge which would give rise to any comment upon or supplement to statutory auditor's report under section 143(6)(b) of the Act.

**For and on behalf of the
Comptroller & Auditor General of India**


(Sudha Rajan)

Director General of Audit (Defence-Commercial)

Place: *Bengaluru*
Date: *24/6/26*



प्रधान निदेशक लेखापरीक्षा-वाणिज्यिक, का कार्यालय
ऑडिट भवन- II
3rd और 4th फ्लोर, 68/2, एच.सिद्दाय रोड,
सिद्दाय रेफरल अस्पताल दोड्डामावल्ली के पास,
सुधामानगर बेंगलुरु - 560002

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SUPREME AUDIT INSTITUTION OF INDIA
लोकहितार्थ सत्यनिष्ठा
Dedicated to Truth in Public Interest

OFFICE OF THE PRINCIPAL DIRECTOR OF AUDIT
DEFENCE - COMMERCIAL,
Audit Bhawan – II
3rd and 4th Floor, # 68/2, H.Siddaiah Road,
Beside Siddaiah Referral Hospital, Doddamavalli,
Sudhamanagar, Bengaluru - 560002

Insp-II/2026-27/IRHL A/P (25-26)/F-587/135

दिनांक / DATE 18.06.2026

To
The Chairman,
M/s. Indo-Russian Helicopters Limited
HAL Corporate Office
Cubbon Road,
Bengaluru – 560 001

Sir,

Sub: Comments of the Comptroller and Auditor General of India under section 143(6) (b) of the Companies Act, 2013.

I forward herewith Non-Review Certificate of the Comptroller and Auditor General of India under Section 143(6) (b) of the Companies Act, 2013 on the accounts of Indo-Russian Helicopters Limited, Bengaluru for the year ended 31 March 2026.

It may please be ensured that the Comments are:

- (i) printed in *toto* without any editing;
- (ii) placed next to the Statutory Auditors' Report in the Annual Report of the Company with proper indication in the index;
- (iii) Placed before the AGM as required under proviso to Section 143(6) (b) of the Companies Act, 2013.

The receipt of this letter may please be acknowledged.

Encl: As above.

Yours faithfully,

(Arun Kumar V.M.)
Director (Admin.)



**COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA
UNDER SECTION 143(6)(b) OF THE COMPANIES ACT, 2013 ON THE
FINANCIAL STATEMENTS OF INDO-RUSSIAN HELICOPTERS LIMITED,
BENGALURU FOR THE YEAR ENDED 31 MARCH 2026.**

The preparation of financial statements of Indo-Russian Helicopters Limited, Bengaluru for the year ended 31 March 2026 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 is the responsibility of the management of the company. The statutory auditor appointed by the Comptroller and Auditor General of India under Section 139(5) of the Act is responsible for expressing opinion on the financial statements under section 143 of the Act based on independent audit in accordance with the standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 29.04.2026.

I, on behalf of the Comptroller and Auditor General of India, have decided not to conduct the supplementary audit of the financial statements of Indo-Russian Helicopters Limited, Bengaluru for the year ended 31 March 2026 under section 143(6)(a) of the Act.

**For and on the behalf of the
Comptroller & Auditor General of India**



**(Sudha Rajan)
Director General of Audit (Defence-Commercial)**

Place: *Bengaluru*
Date: *18/06/2026*



Consolidated Balance Sheet as at March 31, 2026

		(₹ in Lakhs)	
Particulars	Note No.	As at 31 st March 2026	As at 31 st March 2025
ASSETS			
Non-current assets			
(a) Property, Plant and Equipment	1		
Gross Block	1A	1459741	1348731
Less: Accumulated Depreciation	1B	792908	701646
Less: Impairment	1C	50059	50059
Net Block		616774	597026
(b) Capital work-in-progress	2	102565	109108
(c) Investment Property	3		
Gross Block	3A	4	4
Less: Accumulated Depreciation	3B	2	2
Less: Impairment	3C	0	0
Net Block		2	2
(d) Goodwill	4		
(e) Other Intangible assets	5		
Gross Block	5A	573896	495732
Less: Accumulated Amortization	5B	395289	360707
Less: Impairment	5C	66048	64973
Net Block		112559	70052
(f) Intangible Assets under Development	6		
Gross Block	6A	294334	266103
Less: Accumulated Amortization	6B	58518	58518
Less: Impairment	6C	7080	6918
Net Block		228736	200667
(g) Investments accounted for using the Equity Method	7	28774	24472
(h) Financial Assets			
(i) Investments	7A	162632	150948
(ii) Trade Receivables	8	0	0
(iii) Contract Assets	8A	0	0
(iv) Loans	9	540	557
(v) Other Financial Assets	10	40687	38911
(i) Deferred tax Assets (Net)	11	113476	156799
(j) Other Non-Current Assets	12	250918	268683
Total non-current assets		1657663	1617225
Current assets			
(a) Inventories	13	3085068	2167570
(b) Financial Assets			
(i) Investments	14	0	0
(ii) Trade receivables	15	406631	464779
(iii) Contract Assets	15A	1913004	1588916
(iv) Cash and Cash Equivalents	16	376766	454855
(v) Bank Balances other than Cash and Cash Equivalents	17	4242913	3363370
(vi) Loans	18	1284	743
(vii) Other Financial Assets	19	150183	134693
(c) Current Tax Assets (Net)	20	13111	0
(d) Other Currents Assets	21	1394836	834534
Total current assets		11583796	9009460
Assets held for Sale		0	0
Total Assets		13241459	10626685



Consolidated Balance Sheet as at March 31, 2026

(₹ in Lakhs)

Particulars	Note No.	As at 31 st March 2026	As at 31 st March 2025
EQUITY AND LIABILITIES			
Equity			
(a) Equity Share capital	22	33439	33439
(b) Other Equity	23	4070673	3464722
Equity attributable to owners of the parent		4104112	3498161
Non-controlling interest	23	348	356
Total equity		4104460	3498517
LIABILITIES			
Non-current liabilities			
(a) Financial Liabilities			
(i) Borrowings	24	0	0
(ia) Lease Liabilities	24A	832	114
(ii) Trade payables	25		
A) total outstanding dues of micro enterprises and small enterprises		0	0
B) total outstanding dues of creditors other than micro enterprises and small enterprises		0	0
Sub Total- Trade payables		0	0
(iii) Other Financial Liabilities	26	52627	49665
(b) Provisions	27	183894	186806
(c) Deferred Tax Liabilities (Net)	28	0	0
(d) Other Non-Current Liabilities	29	4468909	2482058
Total non-current liabilities		4706262	2718643
Current Liabilities			
(a) Financial liabilities			
(i) Borrowings	30	0	0
(ia) Lease Liabilities	30A	265	2
(ii) Trade payables	31		
A) total outstanding dues of micro enterprises and small enterprises		16192	17709
B) total outstanding dues of creditors other than micro enterprises and small enterprises		426983	492858
Sub Total- Trade payables		443175	510567
(iii) Other Financial Liabilities	32	269746	282932
(b) Other Current Liabilities	33	2950094	2760327
(c) Provisions	34	767457	841736
(d) Current tax liabilities (Net)	35	0	13961
Total current liabilities		4430737	4409525
Total Equity and Liabilities		13241459	10626685

Material accounting policies and accompanying notes no.1 to 49 form an integral part of the financial statements

As per our report of even date attached

For and on behalf of the Board of Directors

For GUPTA NAYAR & CO

Chartered Accountants,
Firm Registration No: 008376N



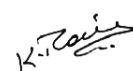
CA NANDLAL AGARWAL

Partner
Membership No: 091272
Place: Bengaluru
Date: 14.05.2026



(Dr. BARENYA SENAPATI)

Director (Finance) & CFO
DIN: 08525943



(RAVI K)

Chairman & Managing Director
DIN: 10807781



(SHAILESH BANSAL)

Company Secretary
FCS No. 5064



Consolidated Statement of Profit and Loss

for the year ended 31st March 2026

(₹ in Lakhs)

Sl. No.	Particulars	Note No.	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
	REVENUE			
I	Revenue from Operation	36	3308882	3098095
II	Other Income	37	369913	256169
III	Total Income (I+II)		3678795	3354264
IV	EXPENSES			
	Cost of Materials Consumed	38	2387062	1923446
	Purchases of Stock-in-Trade	38A	59112	67937
	Changes in Inventories of Finished Goods, Stock-in-Trade, Work-in-Progress and Scrap	39	-1002959	-762579
	Employee Benefits Expense	40	610768	573037
	Finance Costs	41	579	868
	Depreciation and Amortization Expense	42	135486	134037
	Impairment Loss	42A	1237	2474
	Other Expenses	43	209616	178462
	Direct Input to WIP / Expenses Capitalised	44	101825	37233
	Provisions	45	130488	252784
	Total Gross Expenses		2633214	2407699
	Less: Expenses relating to Capital and Other Accounts	46	165250	135507
	Total expenses (IV)		2467964	2272192
V	Profit/(Loss) before Share of Profit/(Loss) of Joint Ventures, Exceptional items and Tax (III-IV)		1210831	1082072
VI	Share of Profit/(Loss) of Joint Ventures accounted using Equity Method		4362	4065
VII	Profit/(Loss) before Exceptional items and Tax (V+VI)		1215193	1086137
VIII	Exceptional Items	Clause 35 of Note 49	0	589
IX	Profit/(loss) before tax (VII+VIII)		1215193	1086726
X	Tax expense:			
	(1) Current Tax		270000	288000
	(2) Earlier Year Tax Refund/Liability		0	-25608
	(3) Deferred Tax		33641	-12071
XI	Profit (Loss) for the period from Continuing Operations (IX-X)		911552	836405
XII	Profit/(loss) from Discontinued Operations			
XIII	Tax expense of Discontinued Operations			
XIV	Profit/(loss) from Discontinued Operations (after tax) (XII-XIII)		0	0
XV	Profit/(loss) for the period (XI+XIV)		911552	836405
XVI	Other Comprehensive Income (OCI)			
	A (i) Items that will not be reclassified to profit or loss	47	38466	2786
	(ii) Share of Other Comprehensive Income of JV's accounted using Equity Method		-6	-15
	(iii) Income tax benefit/(expense) on the items that will not be reclassified to Profit or Loss		-9682	-705
	B (i) Items that will be reclassified to profit or loss	48	0	0
	(ii) Share of Other Comprehensive Income of JV's accounted using Equity Method		0	0



Consolidated Statement of Profit and Loss

for the year ended 31st March 2026

(₹ in Lakhs)

Sl. No.	Particulars	Note No.	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
	(iii) Income tax benefit/(expense) on items that will be reclassified to Profit or Loss		0	0
	Total Other Comprehensive Income (A + B)		28778	2066
XVII	Total Comprehensive Income for the period (XV+XVI) (Comprising Profit/(Loss) and Other Comprehensive Income for the period)		940330	838471
	Profit/(Loss) for the period			
	Attributable to:			
	Owners of the parent		911560	836413
	Non Controlling interest		-8	-8
	Other Comprehensive Income for the period			
	Attributable to:			
	Owners of the parent		28778	2066
	Non Controlling interest			
	Total Comprehensive Income for the period			
	Attributable to:			
	Owners of the parent		940338	838479
	Non Controlling interest		-8	-8
XVIII	Earnings per Equity Share (for Continuing Operations):	Clause 1 of Note 49		
	(1) Basic (₹)		136.30	125.07
	(2) Diluted (₹)		136.30	125.07
XIX	Earnings per Equity Share (for Discontinued Operations):			
	(1) Basic (₹)			
	(2) Diluted (₹)			
XX	Earnings per Equity Share (for Continuing & Discontinued Operations):			
	(1) Basic (₹)		136.30	125.07
	(2) Diluted (₹)		136.30	125.07

Material accounting policies and accompanying notes no.1 to 49 form an integral part of the financial statements

As per our report of even date attached

For and on behalf of the Board of Directors

For GUPTA NAYAR & CO

Chartered Accountants,
Firm Registration No: 008376N



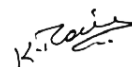
CA NANDLAL AGARWAL

Partner
Membership No: 091272
Place: Bengaluru
Date: 14.05.2026



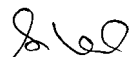
(Dr. BARENYA SENAPATI)

Director (Finance) & CFO
DIN: 08525943



(RAVI K)

Chairman & Managing Director
DIN: 10807781



(SHAILESH BANSAL)

Company Secretary
FCS No. 5064

Consolidated Statement of Changes in Equity

for the year ended 31st March 2026

A. Equity Share Capital

Particulars	Balance as at 1 April, 2025	Changes in Equity Share Capital due to prior period errors	Restated Balance as at 1 April, 2025	Changes in Equity Share Capital for the Year ended 31 st March, 2026	Balance as at 31 March, 2026
Equity Share Capital	33439	0	33439	0	33439

(₹ in Lakhs)

Particulars	Balance as at 1 April, 2024	Changes in Equity Share Capital due to prior period errors	Restated Balance as at 1 April, 2024	Changes in Equity Share Capital for the year ended 31 March, 2025	Balance as at 31 March, 2025
Equity Share Capital	33439	0	33439	0	33439

(₹ in Lakhs)

B. Other Equity (Refer Note 23)

Particulars	Other Equity				Total equity attributable to equity holders of the Company	Non- controlling interest	Total other Equity
	Research and Development Reserve	Capital Redemption Reserve	Reserves and Surplus	Other Comprehensive Income			
			Indigenization Fund Reserve	Retained earnings			
				Share of Other Comprehen- sive Income in Joint Venture			
Balance as at 1 April, 2025	384345	14761	36766	3028858	0	-8	3464722
Changes in Other Equity due to changes in accounting policy or prior period errors							0
Restated Balance as at 1 April, 2025	384345	14761	36766	3028858	0	-8	3464722
Changes in Other Equity for the Year ended 31 st March, 2026							
Profit for the Year ended 31 st March, 2026							
Remeasurements of the net defined benefit liability/asset Items that will not be reclassified to profit or loss							
Income tax relating to items that will not be reclassified to profit or loss							
Transfer to Retained Earnings							
Total comprehensive income for the year ended 31 st March, 2026				940344	0	-6	940338
Current year transfer							
Transfer to General Reserve on utilization	94506		18901				113407
Surplus Transferred from Statement of Profit and Loss	-8098		-14067				-22165
Transfer from Indigenization Fund Reserve				492550			492550
Transfer from Research & Development Reserve				14067			14067
Transfer to Research & Development Reserve				8098			8098
Transfer to Indigenization Reserve				-94506			-94506
Final Dividend (For FY 2024-25)				-18901			-18901
Interim Dividend (For FY 2025-26)				-100316			-100316
Transfer to General Reserves				-234071			-234071
Balance as at 31 st March, 2026	470753	14761	41600	3543573	0	-14	4070673

(₹ in Lakhs)





Consolidated Statement of Changes in Equity

for the year ended 31st March 2026

B. Other Equity (Refer Note 23)

Particulars	Other Equity					Total equity attributable to equity holders of the Company	Non-controlling interest	Total other Equity
	Research and Development Reserve	Capital Redemption Reserve	Indigenization Fund Reserve	General Reserve	Retained earnings			
Balance as at 1 April, 2024	299646	14761	28885	2537079	0	2880378	364	2880742
Changes in Other Equity due to changes in accounting policy or prior period errors								
Restated Balance as at 1 April, 2024	299646	14761	28885	2537079	0	2880378	364	2880742
Changes in Other Equity for the Year ended 31st March, 2025								
Profit for the Year ended 31 st March, 2025								
Items that will not be reclassified to profit or loss								
Remeasurements of the net defined benefit liability/asset					836413	836413	-8	836405
Income tax relating to items that will not be reclassified to profit or loss					2081	2081		2771
Transfer to Retained Earnings								2081
Total comprehensive income for the Year ended 31st March, 2025								-705
Current year transfer	92176							-2081
Transfer to General Reserve on utilization	-7477		18435			110611		838471
Surplus Transferred from Statement of Profit and Loss			-10554			-18031		110611
Transfer from Indigenization Fund Reserve				473748		473748		-18031
Transfer from Research & Development Reserve				10554		10554		473748
Transfer to Research & Development Reserve				7477		7477		10554
Transfer to Indigenization Fund Reserve					-92176	-92176		7477
Final Dividend (For FY 2023-24)					-18435	-18435		-92176
Interim Dividend					-86941	-86941		-18435
Transfer to General Reserves					-167194	-167194		-86941
Balance as at 31st March, 2025	384345	14761	36766	3028858	0	3464722	356	3465078

Material accounting policies and accompanying notes No. 1 to 49 form an integral part of the financial statements

As per our report of even date attached

For GUPTA NAYAR & CO

Chartered Accountants,

Firm Registration No: 008376N

Handwritten signature

CA NANDLAL AGARWAL

Partner

Membership No: 091272

Place: Bengaluru

Date: 14.05.2026

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(Dr. BARENYA SENAPATI)

Director (Finance) & CFO

DIN: 08525943

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(RAVI K)

Chairman & Managing Director

DIN: 10807781

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(SHAILESH BANSAL)

Company Secretary

FCS No. 5064

For and on behalf of the Board of Directors



Consolidated Statement of Cash Flows

for the year ended 31st March 2026

(₹ in Lakhs)

Sl. No.	Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
A	Cash flow from Operating activities		
	Profit After Tax	911552	836405
	Adjustments to reconcile net profit to net cash provided by operating activities		
	Income Tax expense	303641	250321
	(Gain)/Loss on sale of Property, Plant & Equipment	-207	-188
	Finance cost	579	868
	Interest Income	-308787	-228744
	Share of (Profit) or Loss of Joint Venture	-4362	-4065
	Dividend Income		
	Net (Gain)/Loss on Fair Value Adjustment	89	-168
	Other Adjustments	9	34
	Depreciation, amortization and impairment expense	136723	136267
	Provision / (Reversal of Provision) for Impairment in Value of Investments	64	-783
	Provision for Doubtful Debts	108	83
	Provision for Doubtful Contract Assets	14338	15010
	Provision for Doubtful Claims	500	409
	Provision for Doubtful Advances	1297	240
	Provision for Replacement and Other charges	2742	126373
	Provision for Warranty	38728	37015
	Provision for Raw Materials and Components, Stores and Spare parts, Loose Tools and Equipment, Construction Materials, Work-in-progress and Inventory - Warranty	543	7678
	Provision for Liquidated Damages	72168	65843
	Operating Profit Before Working Capital Changes	1169725	1242598
	Adjustments for:		
	(Increase)/decrease in Trade Receivables	-280386	-417707
	(Increase)/decrease in Loans, Financial Assets and Other Assets	-548458	-262031
	(Increase)/decrease in Inventories	-918041	-853494
	Increase/(decrease) in Trade Payables	-67392	169280
	Increase/(decrease) in Financial Liabilities, Provisions and Other Liabilities	2034051	1839515
	Cash generated from Operations	1389499	1718161
	Income Taxes Paid	-298861	-353815
	Net Cash (used in)/generated from Operating Activities (A)	1090638	1364346
B.	Cash flow from Investing activities		
	Purchase of Property, Plant & Equipment	-148520	-93009
	Purchase of Intangible Assets	-106395	-82683
	Proceeds from sale of Property, Plant & Equipment	8043	335
	Investment in Joint Ventures	-739	-1289
	Purchase of other non current Investments	-11504	-10690



Consolidated Statement of Cash Flows

for the year ended 31st March 2026

(₹ in Lakhs)

Sl. No.	Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
	Investment in short term deposits	-879543	-1145678
	Interest Received	304390	255455
	Dividend Received from Joint Ventures	580	491
	Share application money paid	0	-41
	Net Cash (used in)/generated from Investing Activities (B)	-833688	-1077109
C.	Cash flow from Financing Activities		
	Payment of Lease Liabilities	-132	-2
	Interest paid	-520	-3714
	Dividend Paid	-334387	-254135
	Net Cash (used in)/generated from Financing Activities (C)	-335039	-257851
	Net increase/(decrease) in Cash and Cash Equivalents (A+B+C)	-78089	29386
	Add: Cash and Cash Equivalents at the beginning of the year (Refer Note 16)	454855	425469
	Cash and Cash Equivalents at the end of the period (Refer Note 16)	376766	454855

Material accounting policies and accompanying notes no.1 to 49 form an integral part of the financial statements

Notes:

- The above Statement of Cash Flows has been prepared under the "Indirect Method" as set out in Indian Accounting Standard 7 "Statement of Cash Flow".
- Cash & Cash equivalent include Short Term Deposits with Bank.
- Cash and Cash Equivalents are available fully for use.

As per our report of even date attached

For and on behalf of the Board of Directors

For GUPTA NAYAR & CO

Chartered Accountants,
Firm Registration No: 008376N



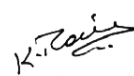
CA NANDLAL AGARWAL

Partner
Membership No: 091272
Place: Bengaluru
Date: 14.05.2026



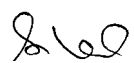
(Dr. BARENDA SENAPATI)

Director (Finance) & CFO
DIN: 08525943



(RAVI K)

Chairman & Managing Director
DIN: 10807781



(SHAILESH BANSAL)

Company Secretary
FCS No. 5064



Material Accounting Policies for the financial year 2025-26

CORPORATE INFORMATION:

Hindustan Aeronautics Limited (the Company) is a public company domiciled in India and is incorporated under the provisions of the Companies Act applicable in India with its registered office located at Bengaluru, Karnataka, India. The Holding Company's shares are listed on Bombay Stock Exchange (BSE) and the National Stock Exchange (NSE). The Company is a public sector enterprise and is under the administrative control of the Department of Defence Production, Ministry of Defence.

The Consolidated Financial Statements comprise of the financial statements of Hindustan Aeronautics Limited (the 'Holding Company') and its subsidiaries (collectively referred to as the 'Group') and the Group's interest in associates and joint ventures.

The Group is engaged in the design, development, manufacture, repair, overhaul, upgrade and servicing of a wide range of products including, aircraft, helicopters, aero-engines, avionics, accessories and aerospace structures.

Information on the Group's structure is provided in Clause 30 of Note-49, Consolidated Notes to Financial Statements.

1. BASIS OF PREPARATION OF FINANCIAL STATEMENTS:

- a) Hindustan Aeronautics Limited and its subsidiaries is collectively referred to as the "Group" or "Company" and its Joint Ventures are consolidated in this Financial Statement.
- b) The Financial Statements are prepared to comply in all material aspects with Indian Accounting Standards (Ind AS) as prescribed under Section 133 of Companies Act, 2013 read together with relevant rules of the Companies (Indian Accounting Standards) Rules, 2015 (as amended). The Financial Statements have been prepared under the historical cost convention, on the accrual basis of accounting except for certain financial instruments that are qualified to be measured at fair value.

The functional currency of the Company is Indian Rupee.

2. USES OF ESTIMATES:

- a) Preparation of financial statements in conformity with the recognition and the measurement principle of Ind AS requires the management of the Company to make estimates, judgments and assumptions that affects the reported balances of Assets and Liabilities, disclosure relating to contingent liabilities as on the date of the Financial Statements and the reported amount of revenues and expense for the reporting period.
- b) Estimates and the underlying assumption are reviewed on an ongoing basis. The revision to the accounting estimates, if material is recognized in the period in which the estimates are revised.
- c) Estimates and judgments made in applying accounting policies that have significant effect on the amounts recognized in the financial statements are as follows:

i. Employee Defined benefit plans

The liabilities and costs for defined benefit plans are determined using actuarial valuations. The actuarial valuation involves making assumptions. These assumptions include salary escalation rate, discount rates, expected rate of return on assets and mortality rates.

ii. Provisions and contingencies

Assessments undertaken in recognising provisions and contingencies have been made as per the best judgment of the management based on the current available information.

iii. Income Taxes

The Company's tax jurisdiction is India. Significant judgments are involved in estimating budgeted profits for the purpose of paying advance tax, determining the provision for income taxes, including amount expected to be paid/ recovered for uncertain tax positions.



Material Accounting Policies for the financial year 2025-26

3. CURRENT/NON-CURRENT CLASSIFICATION:

An asset is classified as current if it satisfies any of the following conditions:

- the asset is expected to be realized or intended to be sold or consumed in Company's normal operating cycle;
- the asset is held primarily for the purpose of trading;
- the asset is expected to be realized within twelve months after the reporting period;
- the asset is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting date;

All other assets are classified as non-current.

A liability is classified as current if it satisfies any of the following conditions:

- the liability is expected to be settled in Company's normal operating cycle;
- the liability is held primarily for the purpose of trading;
- the liability is due to be settled within 12 months after the reporting period;
- the Company does not have the right at the end of the reporting period to defer settlement of the liability for at least twelve months after the reporting period.

All other liabilities are classified as non-current.

The Company is having multiple business activities. For the purpose of current/non-current classification of assets and liabilities, the Company has ascertained its normal operating cycle, business activity wise as follows:

- For major manufacturing projects, repair and overhaul activities, spares, normal operating cycle is considered as the time period starting from the acquisition of assets for processing to their realization in cash or cash equivalents.
- In respect of Design and Development projects operating cycle is considered as the time period starting from the date of implementation of the project till the date of initial operational clearance.
- In respect of those activities/projects for which operating cycle cannot be determined or identified the same is taken as 12 months.

4. PROPERTY, PLANT AND EQUIPMENT(PPE):

- Items of Property, Plant and Equipment Property that qualifies for recognition as an asset is initially measured at its cost. Following initial recognition, the items of Property, Plant and Equipment are carried at their cost less accumulated depreciation and accumulated impairment losses if any.
- The cost includes purchase price, import duties and non-refundable purchase taxes after deducting trade discounts and rebates and any cost directly attributable including borrowing cost on qualifying assets to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by the management.
- Subsequent expenditure relating to PPE including major inspection costs, spare parts, standby and servicing equipment are capitalized only when it is probable that future economic benefits associated with these will flow to the Company and the cost of the item can be measured reliably.
- In accordance with Ind AS 101-First Time Adoption of Indian Accounting Standards, the Company had chosen to consider the carrying value for all its PPE as their deemed cost at the Opening Balance Sheet as at April 01, 2015.
- Depreciation is calculated on straight line basis over estimated useful life as prescribed in Schedule II of the Companies Act 2013. Where the useful life of the asset is not as per Schedule II of the Companies Act 2013, the same is disclosed under Notes to Accounts.



Material Accounting Policies for the financial year 2025-26

- f) PPE individually costing ₹ 50,000 and below are fully depreciated in the year of purchase.
- g) Where part of an item of PPE with a cost significant in relation to the total cost of the item and have different useful lives, they are treated as separate components and depreciated over their estimated useful life.
- h) Certain items like Special Tools are amortized over the number of units of production expected to be obtained from the asset based on technical assessment and management estimates depending on the nature and usage of the respective assets.
- i) CSR Assets are fully depreciated in the year of capitalization.
- j) The cost and the related accumulated depreciation are eliminated from the Financial Statements upon sale or de-recognition or retirement of the asset and the resultant gains or losses are recognized in the Statement of Profit and Loss of the relevant period.
- k) The estimated useful lives, residual values and depreciation / amortisation method are reviewed at the end of each reporting period with the effect of changes in estimates accounted for on a prospective basis.

5. CAPITAL ADVANCES AND CAPITAL WORK IN PROGRESS (CWIP)

- a) Advances given towards acquisition of PPE outstanding at each Balance sheet date are disclosed as other non-current assets.
- b) Cost of Assets not ready for its intended use as on the Balance sheet date is shown as CWIP. Such properties are classified to the appropriate categories of PPE when completed and ready for its intended use.
- c) Depreciation on such assets commence when the assets are ready for their intended use.

6. INVESTMENT PROPERTY

- a) A property is considered as investment property only if the same is held for earning rentals and /or for capital appreciation or both. Properties held by the Company (directly or indirectly) which are used in the production of supply of goods or services for administrative purposes are not considered as Investment Property.
- b) Investment Properties are measured initially at cost. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and accumulated impairment loss, if any. In accordance with Ind AS 101, First Time Adoption of Indian Accounting Standards, the Company has chosen to consider the carrying value for all its Investment Property recognized in its Indian GAAP financial statement as their deemed cost as at the transition date viz, April 01, 2015.
- c) Depreciation is calculated on straight line basis over estimated useful life as prescribed in Schedule II of the Companies Act 2013. Where the useful life of the asset is not as per Schedule II of the Companies Act 2013, the same is disclosed under Notes to Accounts.

7. INTANGIBLE ASSETS

- a) Intangible Assets controlled and from which future economic benefits are expected to flow and having useful life are initially measured at cost and subsequently at cost less accumulated amortization and cumulative impairment losses, if any.
- b) Development Costs having useful life and which will generate probable future economic benefits are recognized as an intangible asset and amortised over production based on technical estimate and to the extent not amortized are carried forward.
- c) Expenditure on license fees, documentation charges etc, based on the definition criteria of intangible assets in terms of reliability of measurement of cost and future economic benefits from the assets, are amortised over production based on technical estimates, and to the extent not amortised, are carried forward.



Material Accounting Policies for the financial year 2025-26

- d) The cost of software internally generated / acquired for internal use which is not an integral part of the related hardware, is recognized as an intangible asset and is amortised over three years, on straight line method. Amortisation commences when the asset is available for use.
- e) Expenditure on Research is recognized as expenditure in the period in which it is incurred.
- f) Wherever it is not possible to assess the useful life of an intangible asset (whether or not significant) the same is not amortised. Impairment on such intangible assets are reviewed annually and when there is an indication of impairment, the asset is impaired.

8. LEASE ACCOUNTING

The Company recognizes, at inception of a contract a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Company as a lessee

- a) At the date of commencement of the lease, the Company recognizes a right-of-use ("ROU") asset representing its right to use the underlying asset for the lease term and a lease liability for all lease arrangements in which it is a lessee except for leases with a term of 12 months or less (short term leases) and leases for which the underlying assets is of low value. For such short term and assets of low value leases, the Company recognizes the lease payment as an expense on a straight-line basis over the term of the lease.
- b) At commencement date the ROU asset is measured at cost. The cost of the ROU asset measured at inception shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred. The ROU assets are subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any.
- c) The ROU assets are depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of ROU asset. The estimated useful lives of ROU assets are determined on the same basis as those of PPE. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognized in the statement of profit and loss.
- d) At the commencement date, the Company measures the lease liability at the present value of the lease payments that are not paid at that date. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the Company's incremental borrowing rate.
- e) Lease liability and ROU asset are separately presented in the Balance Sheet and lease payments are classified as financing cash flows. Short term lease payments and payments for leases of low value assets are classified as operating cash flows.

Company as a lessor

At the inception of the lease the Company classifies each of its leases as either an operating lease or a finance lease.

I. Finance Lease:

- a) A lease that transfers substantially all the risks and rewards incidental to ownership of an underlying asset to the Lessee is classified as a finance lease. Title may or may not eventually be transferred.
- b) At commencement date, an amount equal to the net investment in the lease is presented as receivable. The interest rate implicit in the lease is used to measure the value of net investment in the lease.
- c) The finance income is recognized over the lease term in the statement of profit and loss account so as to reflect a constant periodic rate of return on the net investment in the lease.
- d) The de-recognition and impairment requirement of the underlying asset is tested as per Ind AS 109- Financial instruments.
- e) Any modifications in the lease are accounted as a separate lease when the recognition criteria specified in paragraph 79 of the standard are met.



Material Accounting Policies for the financial year 2025-26

II. Operating Lease:

- a) Lease other than finance leases are operating leases.
- b) The lease payment from operating leases is recognized as income on either a straight-line basis or another systematic basis, if required.
- c) The expenses including depreciation cost associated with earning of the lease income is recognized as an expense.
- d) Depreciation on underlying assets subject to operating leases are calculated on straight line basis over estimated useful life as prescribed in Schedule II of the Companies Act, 2013.
- e) Any modifications in the lease are accounted as a separate lease if the recognition criteria specified in the standard is met.

Transition to Ind AS 116

- a) Effective April 1, 2019, the Company has applied Ind AS 116 on Lease Accounting. Ind AS 116 replaces Ind AS 17. The Company has adopted Ind AS 116 using the cumulative effect method. The effect of initially applying this standard is recognized at the date of initial application (i.e. April 1, 2019) and the comparative information continues to be reported under Ind AS 17.
- b) The Company has chosen the practical expedient provided by the standard to apply Ind AS 116 only to contracts that were previously identified as leases under Ind AS 17 and therefore has not reassessed whether a contract is or contains a lease at the date of initial application.

9. NON-CURRENT INVESTMENTS

- a) In accordance with Ind AS 101, First time adoption of Indian Accounting Standards, the Company has chosen to consider the carrying amount of investment as their deemed cost as at the Opening Balance Sheet as at 01st April, 2015.
- b) The Company has elected to recognize its investments in subsidiary and joint venture companies at cost in accordance with the option available in Ind AS 27 'Separate financial statements'.
- c) Investments are carried individually at cost less accumulated impairment in the value of such Investments.
- d) Cost of Investment includes acquisition charges such as brokerage, fees and duties.
- e) The Company reviews the book value of the investment on a quarterly basis and provides for diminution in the value of the investment based on the net worth of the investee company.
- f) Impairment in the value of investment is made only if in the opinion of management when there is a permanent fall in value of investment.

10. IMPAIRMENT OF NON-FINANCIAL ASSETS

As at each reporting date the Company assesses whether there is any indication that an asset may be impaired. If any indication exists, the Company estimates the recoverable amount. If the estimated recoverable amount is found less than its carrying amount, the impairment loss is recognised and assets are written down to their recoverable amount.

11. FINANCIAL INSTRUMENTS

A financial instrument is a contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. The Company recognizes a financial asset or a financial liability only when it becomes party to the contractual provisions of the instrument.



Material Accounting Policies for the financial year 2025-26

I. Financial Assets

Initial recognition and Measurement

All financial assets are recognized at fair value on initial recognition except for trade receivables which are initially measured at transaction price.

Transaction costs that are directly attributable to the acquisition or issue of the financial asset, which are not valued at fair value through profit or loss (FVTPL), are added to the fair value on initial recognition.

Subsequent Measurement

For subsequent measurement, the Company classifies a financial asset in accordance with the below criteria:

- i. The Company's business model for managing the financial asset and
- ii. The contractual cash flow characteristics of the financial asset

Based on the above criteria, for purpose of subsequent measurement, financial assets are classified in the following categories:

- a) Financial assets carried at amortised cost:

A financial asset is subsequently measured at amortized cost if it is held within a business model whose objective is to hold the financial asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

This category applies to cash and bank balances, trade receivables, loans and other financial assets of the Company.

- b) Financial assets carried at fair value through other comprehensive income (FVOCI):

A financial asset is subsequently measured at fair value through other comprehensive income if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

- c) Financial assets carried at fair value through profit or loss (FVTPL):

A financial asset, which is not classified in any of the above categories are subsequently measured at fair value through profit or loss.

Derecognition

The Company derecognizes (i.e removes from the Company's balance sheet) a financial asset (or where applicable a part of a financial asset) when the contractual rights to receive the cash flows from the financial asset expire or it transfers the financial asset and the transfer qualifies for derecognition under Ind AS 109.

On derecognition of a financial asset, (except as mentioned in (b) above for financial assets measured at FVTOCI), the difference between the asset's carrying amount and the consideration received is recognized in the Statement of Profit and Loss.

Impairment of Financial Assets

In accordance with Ind AS 109, the Company applies the expected credit loss (ECL) model for measurement and recognition of impairment loss on financial assets with credit risk exposure.

- a) Debts from the Government departments are generally treated as fully recoverable, based on past experience, and hence in the opinion of Management there is no increase in the credit risk of such financial assets.
- b) In respect of dues outstanding for a significant period of time, impairment on account of expected credit loss is being assessed on a case-to-case basis.



Material Accounting Policies for the financial year 2025-26

- c) Suitable provision is made for dues which are disputed.
- d) ECL impairment loss allowance (or reversal) recognized during the period is recognized as expense/income in the Statement of Profit and Loss.

II. Financial Liability

Initial recognition and Measurement

All financial liabilities are recognized at fair value on initial recognition and in the case of liabilities subsequently measured at amortized cost, net of directly attributable transaction cost.

The Company's Financial Liabilities include trade and other payables, loans and borrowings. For trade and other payables liabilities are recognized for the amounts to be paid for the goods / services received whether billed by the supplier or not.

Subsequent Measurement

All financial liabilities of the Company are subsequently measured at amortized cost.

Derecognition

A financial liability (or where applicable a part of the financial liability) is derecognized from the Company's Balance Sheet when the obligation specified in the contract is discharged or cancelled or expires.

The difference between the carrying amount of the financial liability derecognized and the consideration paid is recognized in the Statement of Profit and Loss.

III. Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the Balance Sheet wherever there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis or to realize the asset and settle the liability simultaneously.

12. FAIR VALUE MEASUREMENT

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy that categorizes into three levels, described as follows, the inputs to valuation techniques used to measure value. The fair value hierarchy gives the highest priority to quoted prices in active markets for identical assets or liabilities (Level 1 inputs) and the lowest priority to unobservable inputs (Level 3 inputs):

Level 1 – quoted (unadjusted) market prices in active markets for identical assets or liabilities.

Level 2 – inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 – inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

The Company measures financial instruments, in its financial statements at fair value at each reporting date.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy

13. DEFERRED DEBTS

Unpaid installment payments under deferred payment terms for the cost of imported materials and tooling content of the equipment / products sold are accounted as deferred debts from the customer and are recovered as and when the installments are paid.



Material Accounting Policies for the financial year 2025-26

14. INVENTORIES

- a) Inventories other than Saleable / Disposable scrap are valued at lower of Cost and Net Realisable Value. Saleable / Disposable scrap is valued at net realisable value.
- b) The cost of raw material excluding Goods-in-Transit, components and stores are assigned by using the weighted average cost formula. Goods-in-Transit are valued at cost-to-date. In the case of Finished Goods, Stock-in-Trade and Work-In-Progress, cost includes costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. Cost includes Taxes and duties (other than Taxes and duties for which input credit is available).
- c) Provision for redundancy is assessed on ageing at a suitable percentage / level of the value of closing inventory of raw material and components, stores and spare parts and construction material. Besides, wherever necessary, adequate provision is made for the redundancy of such materials in respect of completed / specific projects and other surplus / redundant material pending transfer to salvage stores.
- d) Stores declared surplus / unserviceable / redundant are charged to revenue in the year of such identification.
- e) Consumables issued from stores and lying unused at the end of the year are not reckoned as inventory.

15. REVENUE RECOGNITION

I. Manufacturing of Aircraft/ Helicopter/Spares/Repair Contracts

- a) Revenue on Sale of Goods and Services is recognized at a point in time when the Company satisfies the performance obligation on transfer of control of the products to the Customer in an amount that reflects the consideration the Company expects to receive in exchange for those products pursuant to the Contract with customer. It is measured at transaction price. Revenue from service Warranty is recognized on straight line basis over the period of Warranty.

Transfer of Control happens on:

- i. Acceptance by the buyer's Inspector, by way of Signaling Out Certificate (SOC)
or
Acceptance by the buyer's pilot, by way of Certificate of Conformity (COC), wherever, specifically required in the contract, in the case of Aircrafts/Helicopters,
- ii. Acceptance by the Buyer's inspection agency/SOC or as agreed to by the Buyer, in the case of Repair & Overhaul of Aircraft/Helicopter/Engine, Rotables, Site repairs, Cat 'B' repair servicing etc.,
- iii. For other deliverables like Spares, Revenue is recognized based on the Acceptance by the buyer's inspection agency or as agreed to by the buyer.
- b) In case of Performance Based Logistic Contracts, Revenue is recognized over a period of time, based on Helicopter Availability Certificate, jointly signed by Seller and Buyer.
- c) Revenue is recognized based on the prices agreed with Customers. Where the prices are yet to be agreed/ determined, the revenue is recognised at the most likely amount based on past experience. Differential revenue, if any, is recognised on receipt of approval / sanction.

II. Development Contracts

- a) Revenue is recognized over a period of time on incurrence of expenditure identifiable to work orders:
 - i. where milestones have been defined, on achievement of milestone under the output method.
 - ii. where milestones have not been defined, on incurrence of expenditure under the input method.
- b) Where the customer's sanction for revision is pending, the expenditure incurred is retained in work-in-progress/ intangible asset. Subsequent revenue is recognized on receipt of revised financial sanction from the customer.



Material Accounting Policies for the financial year 2025-26

III. Significant Financing Component

- a) For the majority of the contracts, advance payments are received, prior to commencement of work and milestone payments are paid in accordance with the terms of the contract.
- b) Payments received from customers in advance are not considered to be a significant financing component as they are given with the objective to protect the interest of the contracting parties.

IV. Contract Modification

A contract modification exists when the change in scope is agreed but the corresponding change in price is not determined. In such circumstances, revenue is recognized, based on the Company's assessment of the estimated change in the transaction price arising from the modification.

V. Other Income

Interest Income is accrued on a time proportion basis, by reference to the principal outstanding and at the effective interest rate applicable.

Dividend income from investments is recognised when the right to receive payment has been established.

VI. Receivables

Receivables represent the Company's unconditional right to consideration under the contract. The right to consideration is considered unconditional, if only passage of time is required before payment of that consideration is due.

VII. Contract Assets

Contract Assets represents the Company's right to receive the consideration in exchange for the Goods or Services that the Company has transferred to the Customer, when that right is conditioned on something other than passage of time.

16. EMPLOYEE BENEFITS

I. Short Term Employee Benefits:

All employee benefits payable wholly within twelve months of rendering the related service are classified as short-term employee benefits and they mainly include wages & salaries, incentives, performance related pay, non-monetary benefits such as medical care, etc. They are valued on undiscounted basis and recognized as an expense in the statement of profit and loss of the period in which the employee renders the related service.

II. Post-Employment Benefits:

- a) The Company operates Defined Contribution Pension Scheme and Post Superannuation Group Health Insurance Scheme for employees which are considered as defined contribution plans. The schemes are managed by duly constituted trusts. The Company periodically contributes to the trust fund. The Company recognizes contribution payable to a defined contribution plan as an expense in the statement of profit and loss account. The Company's liability is limited to the extent of contribution made to these trusts.

- b) **Provident Fund Scheme**

Eligible employees of the Company receive benefits from a provident fund, which is a defined benefit plan. The Company makes specified monthly contributions towards Employee Provident Fund scheme to separate trusts established for the purpose based on a fixed percentage of the eligible employee's salary and the same is charged to the Statement of Profit and Loss.

The minimum rate at which annual interest is payable by the trust to the beneficiaries is being notified by the Government. The Company has an obligation to make good the shortfall, if any, between the return on investments of the trust and the notified interest rate. Such shortfall is determined at each Balance Sheet date based on actuarial valuation and charged to the Statement of Profit and Loss.



Material Accounting Policies for the financial year 2025-26

c) Gratuity Scheme

The Company provides for gratuity covering eligible employees. The same is considered as a defined benefit retirement plan. The Company contributes Gratuity liabilities to the Gratuity Trust.

Recognition and measurement of defined benefit plans:

The cost of providing defined benefits is determined on the basis of actuarial valuation using the Projected Unit Credit method with valuation being carried out at each Balance Sheet date.

The Company recognises the net obligation of a defined benefit plan in its Balance Sheet as an asset or liability. The net defined benefit obligations recognised in the Balance Sheet represent the present value of the defined benefit obligations as reduced by the fair value of plan assets.

The Company recognises the following changes in the net defined benefit obligation as an expense in the statement of profit and loss.

- i. Service cost comprising current service costs, past service costs.
- ii. Net interest on the defined benefit liability (asset). Net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of plan assets.

Gains and losses through re-measurements of the net defined benefit liability/(asset) comprising actuarial gains and losses and the return on the plan assets (excluding amounts included in net interest on the net defined benefit liability/asset), are recognized in the balance sheet with a corresponding debit or credit to retained earnings through other comprehensive income in the period in which they occur. Re-measurements are not classified to the statement of profit and loss in the subsequent period. The effect of any plan amendments is recognized in net profit in the Statement of Profit and Loss.

III. Compensated Absences:

The Company has a policy on compensated absences like Vacation leave which are accumulating in nature. Vacation leave can either be availed or encashed subject to restrictions on the maximum number of accumulations of leave. The Company determines the liability for such accumulated leaves using the Project Unit Credit method with actuarial valuations being carried out at each Balance Sheet date. The obligation is funded through qualifying insurance policies made with insurance companies.

17. FOREIGN CURRENCY TRANSACTION/TRANSLATION

Initial Recognition:

On initial recognition, transaction in foreign currencies, entered into by the Company, are recorded in the functional currency by applying to the foreign currency amount the spot exchange rate between the functional currency and the foreign currency at the date of the transaction.

Measurement of Foreign currency items at reporting date:

Foreign currency monetary items are translated at closing exchange rates. Non- monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of transaction. Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rate at the date when the fair value is measured.

Recognition of Exchange Difference:

Exchange differences arising on the settlement of monetary items or on translating monetary items at rates different from those at which they are translated on initial recognition during the period or in previous financial statement is recognized in statement of profit and loss in the period in which they arise.



Material Accounting Policies for the financial year 2025-26

18. INCOME TAXES

- a) Current Tax is the amount of tax payable on the taxable income for the year as determined in accordance with the provisions of Income Tax Act, 1961 (the "Act").
- b) Deferred Tax is recognized using the Balance Sheet method, providing for temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred Tax Assets in excess of Deferred Tax Liability are recognized to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilized. Deferred Tax Assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

19. CLAIMS BY THE COMPANY

Claims on suppliers / underwriters / carriers towards loss / damages, claims for export subsidy, duty drawbacks, and claims on Customs department for refunds are accounted when claims are preferred.

20. PROVISION AND CONTINGENT LIABILITIES

- a) A provision is recognised, when the Company has the present obligation as result of past events and it is probable that an outflow of resources will be required to settle the obligation in respect of which reliable estimate can be made.
- b) Where no reliable estimate can be made or when there is a possible obligation or present obligations that may, but probably will not, require an outflow of resources, disclosure is made as Contingent Liability. Expected reimbursement, if any, is disclosed under Notes to Accounts.
- c) When there is a possible obligation or a present obligation in respect of which the likelihood of outflow of resources is remote, no provision or disclosure is made.

I. PROVISION FOR WARRANTY

Provision for warranty is recognized on actuarial valuation for Manufacturing and Repair and Overhaul of Aircraft/Helicopter/Engine/Rotables and Spares and development activities etc.

II. PROVISION FOR LIQUIDATED DAMAGES

Provision for Liquidated Damages is recognized when the expected date of delivery of Goods / rendering of Service in respect of Manufacturing and Repair and Overhaul of Aircraft/Helicopter/Engine/Rotables, Spares and Development activities etc is beyond the due date as per delivery schedule and at the rates specified in the Contract with the Customer.

III. PROVISION FOR ONEROUS CONTRACTS

A provision for onerous contract is recognized when the expected benefits to be derived by the Company from the contract are lower than the unavoidable cost of meeting its obligations under the contract. Before a provision is established, the Company recognizes any impairment loss on the assets associated with that contract.

21. BORROWING COSTS

Borrowing cost includes interest, and other costs incurred in connection with the borrowing of funds and exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to the interest cost.

Borrowing costs, if any, directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale, are capitalized as part of the cost of the asset. All other borrowing costs are expensed in the period in which they are incurred.

22. ESTIMATES AND ERRORS

The Company revises its accounting policies if the change is required due to a change in Ind AS or if the change will provide more relevant and reliable information to the users of the financial statements. Changes in accounting policies are applied retrospectively unless it is impracticable to apply.



Material Accounting Policies for the financial year 2025-26

A change in an accounting estimate that results in changes in the carrying amounts of recognised assets or liabilities or to statement of profit and loss is applied prospectively in the period(s) of change.

When it is difficult to distinguish a change in an accounting policy from a change in an accounting estimate, the change is treated as a change in an accounting estimate.

Discovery of material errors results in revisions retrospectively by restating the comparative amounts of assets, liabilities, and equity of the earliest prior period in which the error is discovered. The opening balances of the earliest period presented are also restated.

23. EVENTS AFTER THE REPORTING PERIOD

Adjusting events are events that provide further evidence of conditions that existed at the end of the reporting period. The financial statements are adjusted for such events before authorisation for issue.

Non-adjusting events are events that are indicative of conditions that arose after the end of the reporting period. Non-adjusting events after the reporting date are not accounted.

24. EARNINGS PER SHARE

The Company presents basic and diluted earnings per share for its ordinary shares. Basic earnings per share is calculated by dividing the net profit or loss attributable to equity holders of the Company by the weighted average number of equity shares outstanding during the period.

Diluted earnings per share is determined by dividing the net profit or loss attributable to equity holders of the Company by the weighted average number of equity shares outstanding during the period adjusted for the effects of all dilutive potential equity shares.

25. CASH AND CASH EQUIVALENTS

Cash and cash equivalents for the purpose of Cash Flow Statement comprises Cash on hand, cheques and drafts on hand, bank balances and short-term deposits with banks which are readily convertible into known amounts of cash, are subject to an insignificant risk of change in value and where the original maturity is three months or less.



(DR. BARENYA SENAPATI)

Director (Finance) & CFO

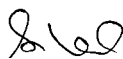
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(RAVI K)

Chairman & Managing Director

DIN: 10807781



(SHAILESH BANSAL)

Company Secretary

FCS No. 5064

Place: Bengaluru

Date: 14.05.2026



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 1 - Property, Plant and Equipment

Note 1A - Gross Block - Property, Plant and Equipment

The changes in the carrying value of property, plant and equipment for the year ended 31st March 2026 are as follows:

(₹ in Lakhs)

Particulars	Gross block As at 1 st April 2025	Additions	Reclassification / Adjustment	Disposals	Gross Block As at 31 st March 2026
Own Assets:					
Land -					
- Leasehold	34	0	0	0	34
- Freehold	1948	0	0	0	1948
Buildings	169268	9657	-23	8342	170560
Plant and Equipment	295140	44892	20	7157	332895
Furniture and Fixtures	12972	6467	-1	550	18888
Vehicles	11221	2194	0	209	13206
Office Equipment	30716	10930	4	807	40843
Others					
Assets used for CSR Activities	4525	0	0	0	4525
Roads and Drains	12128	5492	0	236	17384
Water Supply	7999	514	0	162	8351
Runways	4112	0	0	0	4112
Aircraft/Helicopters	38471	9	0	0	38480
Sub Total	588534	80155	0	17463	651226
Special Tools	750827	47279	0	0	798106
Total Own Assets	1339361	127434	0	17463	1449332
Right-of-Use Asset:					
Land	867	0	0	15	852
Buildings	8503	0	0	0	8503
Vehicles	0	1054	0	0	1054
Total Right-of-Use Asset	9370	1054	0	15	10409
Total	1348731	128488	0	17478	1459741

- (i) The amount of contractual commitments for the acquisition of Property, Plant and Equipment is disclosed under Clause 4 (c) of Note 49.
- (ii) There is no charge or lien on Property, Plant and Equipment.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note -1B-Accumulated Depreciation- Property, Plant and Equipment

(₹ in Lakhs)

Particulars	Provision As at 1 st April 2025	Additions	Reclassification / Adjustment	Disposals	Provisions As at 31 st March 2026
Own Assets:					
Land -					
- Leasehold	6	1	0	0	7
- Freehold	0	0	0	0	0
Buildings	40702	5184	-23	2241	43622
Plant and Equipment	179715	20795	21	6016	194515
Furniture and Fixtures	11036	3886	-1	420	14501
Vehicles	7502	1056	0	151	8407
Office Equipment	18511	7797	3	535	25776
Others					
Assets used for CSR Activities	4525	0	0	0	4525
Roads and Drains	6744	565	0	209	7100
Water Supply	4088	641	0	70	4659
Runways	2067	313	0	0	2380
Aircraft/Helicopters	20280	1716	0	0	21996
Sub Total	295176	41954	0	9642	327488
Special Tools	405181	58401	0	0	463582
Total Own Assets	700357	100355	0	9642	791070
Right-of-Use Asset:					
Land	130	12	0	0	142
Buildings	1159	398	0	0	1557
Vehicles	0	139	0	0	139
Total Right-of-Use Asset	1289	549	0	0	1838
Total	701646	100904	0	9642	792908

Above Includes:

	As at 31 st March 2026
Gross Value of Assets with M/s. Midhani	1195
Cumulative Depreciation in respect of Assets with M/s. Midhani	1195
	0

	As at 31 st March 2026
Gross Value of Assets retired from Active Use	821
Less : Cumulative Depreciated Value of Assets retired from Active Use.	821
WDV of Assets Retired from Active Use.	0



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note -1C - Impairment Loss - Property, Plant and Equipment

(₹ in Lakhs)

Particulars	Impairment Loss As at 1 st April 2025	Additions	Reclassi- fication / Adjustment	Disposals	Impairment Loss As at 31 st March 2026	Net Block As at 31 st March 2026	Net Block As at 31 st March 2025
Own Assets:							
Land -							
- Leasehold					0	27	28
- Freehold					0	1948	1948
Buildings					0	126938	128566
Plant and Equipment					0	138380	115425
Furniture and Fixtures					0	4387	1936
Vehicles					0	4799	3719
Office Equipment					0	15067	12205
Others							
Assets used for CSR Activities					0	0	0
Roads and Drains					0	10284	5384
Water Supply					0	3692	3911
Runways					0	1732	2045
Aircraft/Helicopters					0	16484	18191
Subtotal	0	0	0	0	0	323738	293358
Special Tools	50059	0	0	0	50059	284465	295587
Total Own Assets	50059	0	0	0	50059	608203	588945
Right-of-Use Asset:							
Land					0	710	737
Buildings						6946	7344
Vehicles					0	915	0
Total Right -of -Use Asset	0	0	0	0	0	8571	8081
Total	50059	0	0	0	50059	616774	597026



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 1 - Property, Plant and Equipment

Note -1A-Gross Block -Property, Plant and Equipment

The changes in the carrying value of property, plant and equipment for the year ended 31st March 2025 are as follows:

(₹ in Lakhs)

Particulars	Gross block As at 1 st April 2024	Additions	Reclassification / Adjustment	Disposals	Gross Block As at 31 st March 2025
Own Assets:					
Land -					
- Leasehold	34	0	0	0	34
- Freehold	1948	0	0	0	1948
Buildings	161139	8145	-16	0	169268
Plant and Equipment	271144	24038	243	285	295140
Furniture and Fixtures	11156	1924	0	108	12972
Vehicles	10266	1223	0	268	11221
Office Equipment	20299	10544	0	127	30716
Others					
Assets used for CSR Activities	4525	0	0	0	4525
Roads and Drains	11981	132	15	0	12128
Water Supply	7560	439	0	0	7999
Runways	4112	0	0	0	4112
Aircraft/Helicopters	38713	0	-242	0	38471
Sub Total	542877	46445	0	788	588534
Special Tools	705138	45689	0	0	750827
Total Own Assets	1248015	92134	0	788	1339361
Right -of -Use Asset:					
Land	867	0	0	0	867
Buildings	8503	0	0	0	8503
Total Right -of -Use Asset	9370	0	0	0	9370
Total	1257385	92134	0	788	1348731

- (i) The amount of contractual commitments for the acquisition of Property, Plant and Equipment is disclosed under Clause 4 (c) of Note 49
- (ii) There is no charge or lien on Property, Plant and Equipment



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note -1B-Accumulated Depreciation- Property, Plant and Equipment

(₹ in Lakhs)

Particulars	Provision As at 1 st April 2024	Additions	Reclassification / Adjustment	Disposals	Provisions As at 31 st March 2025
Own Assets:					
Land -					
- Leasehold	5	1	0	0	6
- Freehold	0	0	0	0	0
Buildings	35643	5060	-1	0	40702
Plant and Equipment	160399	19334	243	261	179715
Furniture and Fixtures	9604	1542	0	110	11036
Vehicles	6758	904	0	160	7502
Office Equipment	14880	3741	0	110	18511
Others					
Assets used for CSR Activities	4525	0	0	0	4525
Roads and Drains	5875	869	0	0	6744
Water Supply	3460	628	0	0	4088
Runways	1753	314	0	0	2067
Aircraft/Helicopters	18728	1794	-242	0	20280
Subtotal	261630	34187	0	641	295176
Special Tools	366440	38741	0	0	405181
Total Own Assets	628070	72928	0	641	700357
Right -of -Use Asset:					
Land	114	16	0	0	130
Buildings	875	284	0	0	1159
Total Right -of -Use Asset:	989	300	0	0	1289
Total	629059	73228	0	641	701646

Above Includes:

As at 31st March 2025

Gross Value of Assets with M/s. Midhani	1195
Cumulative Depreciation in respect of Assets with M/s. Midhani	1195
	0

As at 31st March 2025

Gross Value of Assets retired from Active Use	714
Less : Cumulative Depreciated Value of Assets retired from Active Use.	714
WDV of Assets Retired from Active Use.	0



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 1C - Impairment Loss - Property, Plant and Equipment

(₹ in Lakhs)

Particulars	Impairment Loss As at 1 st April 2024	Additions	Reclassi- fication / Adjust- ment	Disposals	Impairment Loss As at 31 st March 2025	Net Block As at 31 st March 2025	Net Block As at 31 st March 2024
Own Assets:							
Land -							
- Leasehold					0	28	29
- Freehold					0	1948	1948
Buildings					0	128566	125496
Plant and Equipment					0	115425	110745
Furniture and Fixtures					0	1936	1552
Vehicles					0	3719	3508
Office Equipment					0	12205	5419
Others							
Assets used for CSR Activities					0	0	0
Roads and Drains					0	5384	6106
Water Supply					0	3911	4100
Runways					0	2045	2359
Aircraft/Helicopters					0	18191	19985
Subtotal	0	0	0	0	0	293358	281247
Special Tools	50303	0	0	244	50059	295587	288395
Total Own Assets	50303	0	0	244	50059	588945	569642
Right -of -Use Asset:							
Land					0	737	753
Buildings					0	7344	7628
Total Right -of -Use Asset	0	0	0	0	0	8081	8381
Total	50303	0	0	244	50059	597026	578023

Note 2 - Capital Work in Progress

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Buildings	54209	49704
Plant and Equipment	36158	38377
Furniture and Fixtures	91	0
Office Equipment	1025	819
Water Supply	47	47
Roads and Drains	0	122
Plant and Equipment under Inspection and in Transit	5210	6303
Special Tools	5825	13736
TOTAL	102565	109108

- (i) Refer Clause 9 of Note 49 for further disclosures on capital work-in-progress
- (ii) The amount of contractual commitments for the acquisition of Property, Plant and Equipment is disclosed under Clause 4 (c) of Note 49



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 3 - Investment Property

The changes in the carrying value of investment property for the year ended 31st March 2026 are as follows:

Note 3A - Gross Block - Investment Property

(₹ in Lakhs)

Particulars	Gross block As at 1 st April 2025	Additions	Disposals	Gross Block As at 31 st March 2026
Buildings	4	0	0	4
Total	4	0	0	4

Refer Clause 6 of Note 49

Note 3B - Accumulated Depreciation - Investment Property

(₹ in Lakhs)

Particulars	Provision As at 1 st April 2025	Additions	Disposals	Provisions As at 31 st March 2026	Net Block As at 31 st March 2026	Net Block As at 31 st March 2025
Buildings	2	0	0	2	2	2
Total	2	0	0	2	2	2

Note 3 - Investment Property

The changes in the carrying value of investment property for the year ended 31st March 2025 are as follows:

Note 3A - Gross Block - Investment Property

(₹ in Lakhs)

Particulars	Gross block As at 1 st April 2024	Additions	Disposals	Gross Block As at 31 st March 2025
Buildings	4	0	0	4
Total	4	0	0	4

Refer Clause 6 of Note 49

Note 3B - Accumulated Depreciation - Investment Property

(₹ in Lakhs)

Particulars	Provision As at 1 st April 2024	Additions	Disposals	Provisions As at 31 st March 2025	Net Block As at 31 st March 2025	Net Block As at 31 st March 2024
Buildings	2	0	0	2	2	2
Total	2	0	0	2	2	2



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 5 - Other Intangible assets

The changes in the carrying value of other intangible assets for the year ended 31st March 2026 are as follows:

Note 5A - Gross Block - Other Intangible Assets

(₹ in Lakhs)

Particulars	As at 1 st April 2025	Additions	Adjustment*	As at 31 st March 2026
Licence Fees	148180	12023	-303	159900
Computer Software	14805	2090	-1	16894
Documentation	71995	4432	304	76731
Development Expenditure	260752	26393	33226	320371
Total	495732	44938	33226	573896

*The Intangible assets under development has been completed and transferred to other intangible assets (Refer Note 6A)

Note 5B - Accumulated Amortization - Other Intangible assets

(₹ in Lakhs)

Particulars	As at 1 st April 2025	Amortisation	Adjustment	As at 31 st March 2026
Licence Fees	85186	2192	0	87378
Computer Software	10508	2327	0	12835
Documentation	60015	2993	0	63008
Development Expenditure	204998	27070	0	232068
Total	360707	34582	0	395289

Note 5C - Impairment Loss - Other Intangible assets

(₹ in Lakhs)

Particulars	As at 1 st April 2025	Impairment Loss	Adjustment	As at 31 st March 2026
Licence Fees	18484	0	0	18484
Computer Software	0	0	0	0
Documentation	1081	0	0	1081
Development Expenditure	45408	1075	0	46483
Total	64973	1075	0	66048



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 5 - Other Intangible assets

The changes in the carrying value of other intangible assets for the year ended 31st March 2025 are as follows:

Note 5A - Gross Block - Other Intangible Assets

(₹ in Lakhs)				
Particulars	As at 1 st April 2024	Additions	Adjustment*	As at 31 st March 2025
Licence Fees	144899	3281	0	148180
Computer Software	11320	3485	0	14805
Documentation	69239	2756	0	71995
Development Expenditure	233947	26970	-165	260752
Total	459405	36492	-165	495732

*The Intangible assets under development has been completed and transferred to other intangible assets (Refer Note 6A)

Note 5B - Accumulated Amortization - Other Intangible assets

(₹ in Lakhs)				
Particulars	As at 1 st April 2024	Amortisation	Adjustment	As at 31 st March 2025
Licence Fees	84126	1060	0	85186
Computer Software	8489	2019	0	10508
Documentation	28174	31841	0	60015
Development Expenditure	179109	25889	0	204998
Total	299898	60809	0	360707

Note 5C - Impairment Loss - Other Intangible assets

(₹ in Lakhs)				
Particulars	As at 1 st April 2024	Impairment Loss	Adjustment	As at 31 st March 2025
Licence Fees	18484	0	0	18484
Computer Software	0	0	0	0
Documentation	1081	0	0	1081
Development Expenditure	44278	1130	0	45408
Total	63843	1130	0	64973

Note 6 - Intangible Assets under Development

The changes in the carrying value of intangible assets under development for the year ended 31st March 2026 are as follows:

Note 6A - Gross Carrying cost - Intangible assets under Development

(₹ in Lakhs)				
Particulars	As at 1 st April 2025	Additions	Adjustment*	As at 31 st March 2026
Development Expenditure	266103	61457	-33226	294334
Total	266103	61457	-33226	294334

* (i) The Intangible assets under development has been completed and transferred to other intangible assets (Refer Note 5A).

(ii) The amount of contractual commitments for the acquisition of intangible assets is disclosed under Clause 4 (c) of Note 49.

(iii) Refer Clause 10 of Note 49 for further disclosures on Intangible assets under development.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 6B - Accumulated Amortization - Intangible assets under Development

(₹ in Lakhs)

Particulars	As at 1 st April 2025	Amortisation	Adjustment	As at 31 st March 2026
Development Expenditure	58518	0	0	58518
Total	58518	0	0	58518

Note 6C - Impairment Loss - Intangible assets under Development

(₹ in Lakhs)

Particulars	As at 1 st April 2025	Impairment Loss	Adjustment	As at 31 st March 2026
Development Expenditure	6918	162	0	7080
Total	6918	162	0	7080

Note 6 - Intangible Assets under Development

The changes in the carrying value of intangible assets underdevelopment for the year ended 31st March 2025 are as follows:

Note 6A - Gross Carrying cost - Intangible assets under Development

(₹ in Lakhs)

Particulars	As at 1 st April 2024	Additions	Adjustment*	As at 31 st March 2025
Development Expenditure	219747	46191	165	266103
Total	219747	46191	165	266103

- *(i) The Intangible assets under development has been completed and transferred to other intangible assets (Refer Note 5A).
(ii) The amount of contractual commitments for the acquisition of intangible assets is disclosed under Clause 4 (c) of Note 49.
(iii) Refer Clause 10 of Note 49 for further disclosures on Intangible assets under development.

Note 6B - Accumulated Amortization - Intangible assets under Development

(₹ in Lakhs)

Particulars	As at 1 st April 2024	Amortisation	Adjustment	As at 31 st March 2025
Development Expenditure	58518	0	0	58518
Total	58518	0	0	58518

Note 6C - Impairment Loss - Intangible assets under Development

(₹ in Lakhs)

Particulars	As at 1 st April 2024	Impairment Loss	Adjustment	As at 31 st March 2025
Development Expenditure	5574	1344	0	6918
Total	5574	1344	0	6918



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 7 - Investments accounted for using the equity method

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
INVESTMENTS AT COST LESS PROVISION (UN-QUOTED)		
Investment in Joint Ventures		
BAe-HAL Software Ltd-29,40,000 (29,40,000-P.Y) shares of ₹10 FV each fully paid	294	294
+/-Interest in Joint Venture	717	407
Less Provision for Impairment in value of Investment	0	0
Net -BAe-HAL Software Ltd	1011	701
Safran HAL Aircraft Engines Private Ltd -11,40,000 (11,40,000-P.Y) Shares of ₹100 F.V. each fully paid	1140	1140
+/-Interest in Joint Venture	6424	5528
Net - Safran HAL Aircraft Engines Private Ltd	7564	6668
Indo Avia Services Ltd (Formerly Indo Russian Aviation Ltd) - 9,36,525 (9,36,525-P.Y) shares of ₹ 10 FV each fully paid	94	94
+/-Interest in Joint Venture	7348	7144
Net - Indo Avia Services Ltd.	7442	7238
HALBIT Avionics Pvt Ltd -3,82,500(3,82,500-P.Y) Shares of ₹100 FV each fully paid	383	383
Less Provision for Impairment in value of Investment	383	383
Net - HALBIT Avionics Pvt. Ltd.	0	0
HAL Edgewood Technologies Pvt Ltd 3,00,000(3,00,000-P.Y) Shares of ₹100 FV each fully paid	300	300
Less Provision for Impairment in value of Investment	300	300
Net- HAL Edgewood Technologies Pvt. Ltd.	0	0
SAMTEL HAL Display Systems Ltd-1,60,000 (1,60,000-P.Y) Shares of ₹ 100 FV each fully paid	160	160
Less Provision for Impairment in value of Investment	160	160
Net - SAMTEL HAL Display Systems Ltd	0	0
INFOTECH HAL Ltd - 20,00,000 (20,00,000-P.Y) Shares of ₹ 10 FV each fully paid	200	200
Less Provision for Impairment in value of Investment	200	200
Net- INFOTECH HAL Ltd.	0	0
HATSOFF Helicopter Training Pvt Ltd -3,84,04,205 (3,84,04,205 P.Y) Shares of ₹10 FV each fully paid	3840	3840
Less Provision for Impairment in value of Investment	3840	3840
Net- HATSOFF Helicopter Training Pvt. Ltd.	0	0
International Aerospace Manufacturing Pvt Ltd - 42,50,000 (42,50,000 - P.Y) Shares of ₹ 100 FV each fully paid	4250	4250
+/-Interest in Joint Venture	5237	3529
Less Provision for Impairment in value of Investment	0	0
Net- International Aerospace Manufacturing Pvt Ltd	9487	7779



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Multirole Transport Aircraft Ltd. - 1,13,46,564 (1,13,46,564 P.Y.) Shares of ₹ 100 FV each fully paid	11347	11347
+/-Interest in Joint Venture	-3335	-4047
Less Provision for Impairment in value of Investment	6678	6678
Net- Multirole Transport Aircraft Ltd.	1334	622
Helicopter Engines MRO Pvt Ltd - 30,59,986 (24,59,986 P.Y.) Shares of ₹ 100 FV each fully paid	3060	2460
+/-Interest in Joint Venture	-577	-517
Less Provision for Impairment in value of Investment	577	517
Net- Helicopter Engines MRO Pvt Ltd	1906	1426
SAFHAL Helicopter Engines Private Limited - 10,00,000 (10,00,000 P.Y.) Shares of ₹ 10 FV each fully paid	100	100
+/-Interest in Joint Venture	-35	-31
Less Provision for Impairment in value of Investment	35	31
Net- SAFAL Helicopter Engines Private Ltd	30	38
Total In Equity of Joint Ventures	28774	24472
TOTAL	28774	24472
Disclosure		
(i) Aggregate amount of Quoted Investment and Market Value.		
(ii) Aggregate amount of Unquoted Investments. (net)	28774	24472
(iii) Aggregate amount of impairment in value of investments	12173	12109
(iv) Refer Clause 30 (c) of Note 49 for further details on Investment in Joint Ventures		



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 7A - Financial Asset - Investments at Cost

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Investments in Structured Entities (UNQUOTED)		
a) HAE Co-operative Society of 25 (25 P.Y.) Shares of ₹ 100 FV each fully paid*	0	0
b) Satnam Apartment Ltd - 41 (41 P.Y.) Shares of ₹100 each at cost for acquisition of a Flat**	0	0
c) Aerospace & Aviation Sector Skill Council(AASSC) - 125 (125 P.Y.) Shares of ₹ 10000 FV each fully paid	13	13
d) Defence Innovation Organisation - 50 (P.Y 50) Shares of ₹ 1000 FV each fully paid***	1	1
e) Communication (Defence) Testing Foundation - 26131 (P.Y. 26131) Shares of ₹ 1000 FV each fully paid***	261	261
f) Electronic Warfare (Defence) Testing Foundation - 23480 (P.Y. 23480) Shares of ₹ 1000 FV each fully paid***	235	235
g) UAS Testing Foundation - 50000 (P.Y 50000) Shares of ₹ 1000 FV each fully paid***	500	500
h) Advance Material (Defence) Testing Foundation. - 27320 (P.Y. 27320) Shares of ₹ 1000 FV each fully paid***	273	273
i) Systyem Testing And Research For Advanced Materials Foundation - 200000 (P.Y. 20000) Shares of ₹ 100 FV each fully paid***	200	20
Total In Equity of Others (A)	1483	1303
B. Other Investments (UNQUOTED)		
LIC of India (For Funding Vacation Leave)	161149	149645
Total In Other Investments (B)	161149	149645
TOTAL (A+B)	162632	150948
* Total ₹ 2500 (P.Y. ₹ 2500) (absolute figure) are held by Kanpur division which is rounded off.		
** Total ₹ 7220 (P.Y. ₹ 7220) (absolute figure) are held by Nasik division which is rounded off.		
*** Refer Clause 32(i) to 32(vi) of Note 49 for further details.		
(i) Aggregate amount of Quoted Investment and Market Value.		
(ii) Aggregate amount of Unquoted Investments. (net)	162632	150948
(iii) Aggregate amount of impairment in value of investments	Nil	Nil

Note 8 - Financial Asset-Trade Receivables

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Trade Receivables	0	0
TOTAL	0	0



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 8A - Financial Asset-Contract Assets

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Contract Assets		
- Contract Assets	0	0
TOTAL	0	0

Note 9 - Financial Asset - Loans

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Considered Good-Secured		
a) Loans to Related Parties	0	0
b) Others		
Loans and advances to employees	10	10
Sub-Total (A)	10	10
B. Considered Good-Unsecured		
a) Loans to Related Parties	0	0
b) Others		
Loans and advances to employees	530	547
Sub-Total (B)	530	547
C. Loans which have significant increase in credit risk		
Sub-Total (C)	0	0
D. Loans - Credit Impaired		
Sub-Total (D)	0	0
TOTAL (A+B+C+D)	540	557

Note 10 - Other Financial Assets

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Claims Receivable Unsecured		
Receivable - Credit Impaired	7429	8171
Sub-Total	7429	8171
Less: Provision for Doubtful Claims	7429	8171
Sub-Total (A)	0	0
B) Security Deposit		
Govt Departments for Customs Duty and for Supplies	12	12
Public Utility Concerns	2719	2702
Others	992	1220
Sub-Total (B)	3723	3934



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
C. Balances with Bank		
Bank deposit with more than 12 Months maturity*	1624	725
Sub-Total (C)	1624	725
D. Others		
Deferred Debts	35340	34252
Sub-Total (D)	35340	34252
TOTAL (A +B +C+D)	40687	38911
(i) Above balances of Claims Receivable include balances with related parties (Refer Receivables of Clause No.3(i)(g) of Note 49)	522	521
(ii) Above balances of Provision for Doubtful Claims include balances with related parties (Refer Clause No.3(i)(p) of Note 49)	522	521
*(iii) Fully Earmarked for Committed Liabilities of more than 12 months	0	0

Note 11 - Deferred Tax Assets (Net)

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
The tax effect of significant temporary differences that resulted in deferred tax assets:		
As per last Balance Sheet	156799	145433
Add / (Less): Current Year's Assets	-43323	11366
TOTAL	113476	156799

Note 12 - Other Non - Current assets

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Capital Advances	36695	26429
Less: Provision for Bad and Doubtful	494	240
B. Advance Other than Capital Advances		
Advances against Goods and Services	6511	12623
Other Advances	899	918
	43611	39730
C. Others		
Balances with Revenue Authorities		
Income tax	194928	215623
Others-under dispute	12328	13310
Prepaid Expenses	51	20
TOTAL (A+B+C)	250918	268683



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 13 - Inventories

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
Inventories (At Lower of Cost and Net Realisable Value)#		
(i) Raw Materials and Components	585828	630878
Less: Provision for Redundancy	161187	207403
	424641	423475
(ii) Work-in-Progress	2556891	1553975
Less: Provision for Redundancy	26589	26589
	2530302	1527386
(iii) Finished Goods	0	0
(iv) Stock-in-Trade	1273	1494
(v) Stores and Spares	28067	23146
Less: Provision for Redundancy	4003	4980
	24064	18166
(vi) Loose Tools	7898	7022
Less: Provision for Redundancy	1585	1572
	6313	5450
(vii) Construction Materials	37	42
Less: Provision for Redundancy	10	10
	27	32
(viii) Disposable Scrap (at Net Realisable Value)	1094	830
(ix) Goods under Inspection and in Transit		
Raw material and Components	85431	179536
Stores and Spares	2015	556
Loose Tools	481	686
	87927	180778
(x) Inventory - Warranty	14133	12566
Less: Provision for Redundancy	4706	2607
	9427	9959
TOTAL	3085068	2167570
(#) (i) includes those issued to Sub-Contractors for Job Works	47270	36651

Note 14 - Financial Asset - Investments

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
INVESTMENTS AT COST LESS PROVISION (UN-QUOTED)		
TOTAL	0	0



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 15 - Financial Asset-Trade Receivables

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Trade Receivables		
Considered Good - Unsecured	406631	464779
Credit Impaired	12270	14261
	418901	479040
Less: Allowance for Doubtful Debts	12270	14261
TOTAL	406631	464779
(i) Above balances of trade receivables include balances with related parties (Refer Receivables of Clause No.3(i)(g) of Note 49)	1225	725
(ii) Above balances of Allowance for Doubtful Debts include balances with related parties (Refer Clause No. 3(i)(p) of Note 49).	0	0
(iii) Refer Clause 11 of Note 49 for ageing schedule of Trade Receivables		

Note 15A - Financial Asset-Contract Assets

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Contract Assets		
- Contract Assets	1948704	1610278
Less: Allowance for Doubtful Debts	35700	21362
TOTAL	1913004	1588916

Refer Clause 12 of Note 49 for ageing schedule of Contract Assets

Note 16 - Financial Asset - Cash & Cash Equivalents

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Balances with Bank		
In Current Account	206744	134852
Term Deposits with original maturity upto 3 months	170015	320000
B. Cheques, Drafts on Hand	0	0
C. Cash on Hand	0	0
Sub Total	376759	454852
D. Others		
In Other Short Term Deposits with Financial Institutions	7	3
Sub-Total (D)	7	3
TOTAL (A+B+C+D)	376766	454855



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 17 - Financial Asset - Bank Balances other than Cash and Cash Equivalents

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Term Deposits with original maturity for more than 3 months but less than 12 months	4242812	3363271
Earmarked balances with banks for Unpaid Dividend	101	99
TOTAL	4242913	3363370

Note 18 - Financial Asset- Loans

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Considered Good-Secured		
a) Loans to Related Parties	0	0
b) Others		
Loans and advances to employees	4	4
Sub-Total (A)	4	4
B. Considered Good-Unsecured		
a) Loans to Related Parties	0	0
b) Others		
Loans and advances to employees	1280	739
Sub-Total (B)	1280	739
C. Loans which have Significant Increase in credit risk		
Sub-Total (C)	0	0
D. Loans - Credit Impaired		
Sub-Total (D)	0	0
TOTAL (A +B+C+D)	1284	743

Note 19 - Other Financial Assets

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Claims Receivable		
Unsecured Considered Good	44154	56475
Credit Impaired	13923	16746
	58077	73221
Less: Provision for Doubtful Claims	13935	16759
Sub-Total	44142	56462
Security Deposit		
Public Utility Concerns	53	50
Others	206	184



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Interest Accrued and not Due on Term and Other Deposits	94809	67928
Current Maturities of Deferred Debt	10973	10028
Share Application Money Paid*	0	41
TOTAL	150183	134693
(i) Above balances of Claims Receivable include balances with related parties (Refer Receivables of Clause No.3(i)(g) of Note 49)	9831	12520
(ii) Above balances of Provision for Doubtful Claims include balances with related parties (Refer Clause No.3(i)(p) of Note 49)	255	371
* (iii) Refer Clause 32(vi) of Note 49		

Note 20 - Current Tax Assets (Net)

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Current Tax (Net)	13111	0
TOTAL	13111	0

Note 21 - Other Current Assets

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Advance Other than Capital Advances		
Advances against Goods and Services	980477	640862
Less: Provision for Bad and Doubtful	1441	398
Other Loans and Advances	18216	382
Less: Provision for Bad and Doubtful	2	2
Advances to Related Parties	8301	1
B. Others		
Prepaid Expenses	3258	2428
Balances with revenue Authorities		
Income tax	61	29
Others	57078	11
Balance with GST Electronic Ledger	328887	191220
Balances in Franking Machine	1	1
TOTAL	1394836	834534



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

EQUITY

Note 22 - Equity Share Capital

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
Authorised Capital 1,40,00,00,000 Equity Shares of ₹ 5 each (March 31, 2025: 1,40,00,00,000 Equity Shares of ₹ 5 each)	70000	70000
Issued, Subscribed and Fully Paid up Capital 66,87,75,000 Equity Shares of ₹ 5 each fully paid-up (March 31, 2025: 66,87,75,000 Equity Shares of ₹ 5 each fully paid-up)	33439	33439
Par Value per Share (₹)	5	5
Reconciliation of the number of shares outstanding at the beginning and at the end of the reporting period		
Opening Equity Shares (Nos.)	668775000	668775000
Add: additions during year (Nos.)		
Closing Equity Shares (Nos.)	668775000	668775000
Shares in the Company held by each shareholder holding more than 5 percent shares specifying the number of shares held		
President of India and Nominees	479102424	479102424
% of Shareholding of President of India and Nominees	71.64%	71.64%
Shares held by promoters at the end of the reporting period		
Promoters Name:		
President of India and Nominees		
No. of Shares	479102424	479102424
% of total Shares	71.64%	71.64%
% Change during the year	0.00%	0.00%

Terms / Rights attached to Equity shares

The Company has one (1) Class of Shares i.e Equity Shares

The Equity Shares rank Pari Passu in all respects including right to Dividend, Issue of New Shares, Voting Rights and in the Assets of the Company in the event of Liquidation.

Refer Clause 18 of Note 49 for details regarding buy back of shares.

Note 23 - Other Equity

(₹ in Lakhs)

Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Research & Development Reserve		
Opening Balance	384345	299646
Add: Current Year Transfer	94506	92176
Less: Transfer to General Reserve on utilisation	8098	7477
Closing Balance (A)	470753	384345
B. Capital Redemption Reserve		



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Opening Balance	14761	14761
Add: Current Year Transfer	0	0
Less: Written Back in Current Year	0	0
Closing Balance (B)	14761	14761
C. Indigenization Fund Reserve		
Opening Balance	36766	28885
Add: Current Year Transfer	18901	18435
Less: Transfer to General Reserve on utilisation	14067	10554
Closing Balance (C)	41600	36766
D. General Reserve as per last Balance Sheet	3028858	2537079
(+/-) Surplus Transferred from statement of Profit and Loss	492550	473748
Add: Transfer from Research & Development Reserve	8098	7477
Add: Transfer from Indigenization Fund Reserve	14067	10554
Closing Balance (D)	3543573	3028858
E. Retained earnings - Surplus in the statement of Profit & Loss		
Opening Balance	0	0
Add/(Less): Net Profit / (Net Loss) for the current financial year	911560	836413
Add/(Less): Remeasurement of the defined benefit plans	28784	2081
Sub total (i)	940344	838494
Less: Appropriations / Allocations		
Transfer to Indigenization Fund Reserve	18901	18435
Transfer to Research & Development Reserve	94506	92176
Interim Dividend	234071	167194
Final Dividend	100316	86941
Sub total (ii)	447794	364746
Transfer To General Reserves (i)-(ii)	492550	473748
Closing Balance (E)	0	0
F. Other Components of Equity		
Fair Value through Other Comprehensive Income (FVOCI) (\$)		
Opening Balance	-8	7
Add/(Less): Additions made during the current financial year	28778	2066
Add/(Less): Remeasurement of the defined benefit plans	-28784	-2081
Closing Balance (F)	-14	-8
Total attributable to Owners of the Company	4070673	3464722
G. Attributable to Non-controlling interest		
Opening balance	356	364
Profit/(Loss) for the year	-8	-8
Closing balance (G)	348	356
TOTAL (A+B+C+D+E+F+G)	4071021	3465078

\$Breakup is given separately in Statement of Changes in Equity



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Nature and Purpose of each Reserve:

1. Research & Development Reserve:

Research and Development Reserve is created by transfer from Retained Earnings an annual contribution of 15% of Operating Profit After Tax. Research & Development Reserve is created to bring technological superiority to the products in order to cope with the future technological challenges. The amount of utilisation for Research and Development purposes during the year is transferred from Research and Development Research to General Reserve.

2. Capital Redemption Reserve:

Capital Redemption Reserve is created on redemption/buyback of equity shares.

3. Indigenization Fund Reserve:

Indigenization Fund Reserve is created by transfer from Retained Earnings an amount equal to 3 % of Operating Profit After Tax which will be utilised to encourage Indigenization of items which are being sourced from foreign sources at present.

4. General Reserve:

General Reserve is created out of the profits of the Company and out of Research & Development Reserve on utilization of Research & Development purposes. This is a free reserve.

Note 24 - Borrowings

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
A. Secured		
a) Term Loans		
(i) From Banks	0	0
Sub-Total (A)	0	0
B. Unsecured		
Sub-Total (B)	0	0
TOTAL (A + B)	0	0

Note 24A - Lease Liabilities

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
Lease Liabilities	832	114
TOTAL	832	114

Refer Clause 5 of Note 49 for further disclosures on lease

Note 25 - Trade Payables

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
Trade Payables	0	0
TOTAL	0	0



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 26 - Other financial liabilities

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
Dues to Employees	24	48
Deposits	0	0
Deferred liabilities	35431	34387
Other Liabilities	17172	15230
TOTAL	52627	49665

Note 27 - Provisions

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
A. Provision for Employee Benefits		
Gratuity	498	785
Earned Leave	135848	135767
Sub-Total (A)	136346	136552
B. Others*		
Replacement and Other Charges	37285	39937
Warranty	138	270
Liquidated Damages	10125	10047
Sub-Total (B)	47548	50254
TOTAL (A + B)	183894	186806

*Refer Clause 14 of Note 49 for movement of Provisions

Note 28 - Deferred tax liabilities (Net)

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
TOTAL	0	0

Note 29 - Other Non current Liabilities

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
A. Advances from Customers (Contract Liability)		
Defence	2591719	1651671
Others	176	0
Sub-Total (A)	2591895	1651671
B. Milestone Receipt (Contract Liability)		
Defence	1876942	830315
Others	72	72
Sub-Total (B)	1877014	830387
TOTAL (A+B)	4468909	2482058



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 30 - Borrowings

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
A. Secured Short Term Borrowings:		
a) Loans Repayable on Demand		
(i) From Banks	0	0
Working Capital Loan-Cash Credit		
Sub-Total (A)	0	0
B. Unsecured Short Term Borrowings:		
Sub-Total (B)	0	0
TOTAL (A + B)	0	0

- (i) Refer Clause No. 15 & 16 of Note No.49 for further details on Borrowings.
- (ii) Working Capital Loan is secured by first charge on Current Assets (All kinds of Stocks and Receivables of the Company both present and future).

Note 30A - Lease Liabilities

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Lease Liabilities	265	2
TOTAL	265	2

Refer Clause 5 of Note 49 for further disclosures on lease

Note 31 - Trade Payables

(₹ in Lakhs)		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Trade Payables		
A) total outstanding dues of micro enterprises and small enterprises	16192	17709
B) total outstanding dues of creditors other than micro enterprises and small enterprises	426983	492858
TOTAL	443175	510567
(i) Above balances of Trade Payable include balances with related parties (Refer Payable of Clause No.3(i)(f) of Note 49).	3107	4123
(ii) Refer Clause 13 of Note 49 for ageing schedule of Trade Payables.		



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 32 - Other Financial Liabilities

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
Liability for Outstanding Expenses	51809	46100
Deposits	21178	15007
Royalty	9940	7548
Dues to Employees	81922	74634
Current Maturities of Deferred Debts/Liabilities	5485	5028
Due to Capital Creditors - Micro enterprises and small enterprises	3190	3557
Due to Capital Creditors - other than micro enterprises and small enterprises	38019	55015
Unpaid Dividend Account	101	99
Other Liabilities	58102	75944
TOTAL	269746	282932
(i) Above balances of Other Liabilities include balances with related parties (Refer Payable of Clause No.3(i)(f) of Note 49).	185	139
(ii) No amount is due and outstanding to be transferred to Investor Education and Protection Fund at the period end in respect of Unpaid Dividend.		

Note 33 - Other Current Liabilities

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
A. Advances from Customers (Contract Liability)		
Advances from Customers		
Defence	803351	967362
Others	17357	11543
Sub-total (A)	820708	978905
B. Milestone Receipt (Contract Liability)		
Defence	2028932	1679500
Others	75044	81424
Sub-total (B)	2103976	1760924
Advances from Customers (A + B)	2924684	2739829
C. Other Payables		
Taxes (Other than Taxes on Income)	9789	8265
GST Payable	1233	1817
Others	14388	10416
TOTAL (A+B+C)	2950094	2760327



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 34 - Provisions

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
A. Provisions for Employee Benefits		
Gratuity	10	8048
Earned Leave	11065	10998
Others (Performance Related Pay)	41382	41020
Sub-Total (A)	52457	60066
B. Others*		
Replacement and Other Charges	400365	492442
Warranty	143367	134169
Liquidated Damages	171268	155059
Sub-Total (B)	715000	781670
TOTAL (A+B)	767457	841736

*Refer Clause 14 of Note 49 for movement of Provisions

Note 35 - Current tax liability (Net)

Particulars	(₹ in Lakhs)	
	As at 31 st March 2026	As at 31 st March 2025
Current tax liability (Net)	0	13961
TOTAL	0	13961

Note 36 - Revenue from Operations

Particulars	(₹ in Lakhs)	
	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
A. Sale of Products		
(i) Inland Sales		
Finished Goods	922733	705636
Spares	490537	562234
Development	95147	109241
Miscellaneous	51621	53320
Total Inland Sale of Products	1560038	1430431
(ii) Export Sales		
Finished Goods	35481	19302
Spares	7508	10818
Development	0	103
Total Export Sale of Products	42989	30223
Total Sale of Products (A)	1603027	1460654



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
B. Sale of Services		
(i) Inland Sale of Services		
Repair & Overhaul	1561906	1534645
Other Services	7099	5401
Total Inland Sale of Services	1569005	1540046
(ii) Export Sale of Services		
Repair & Overhaul	6925	9644
Other Services	217	125
Total Export Sale of Services	7142	9769
Total Sale of Services (B)	1576147	1549815
Total Sales (A + B)	3179174	3010469
C. Other Operating Revenues		
(i) Disposal of Scrap and Surplus / Unserviceable Stores	1753	2164
(ii) Provisions no Longer Required*	115378	83499
(iii) Income from Overseas	11317	0
(iv) Others	1260	1963
Total Operating Revenues (C)	129708	87626
Revenue from Operations (A+B+C)	3308882	3098095

*Refer Clause 14 of Note 49 for movement of Provisions

Note 37 - Other Income

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Interest Income		
Short term Deposits / Loans / Others	296845	198067
Sundry Advances - Employees	46	43
Other Deposits	11895	11085
Sub-total	308786	209195
Other Non-Operating Income		
Gain on Foreign Currency Transaction and Translation	0	0
Gain on Sale of Property, Plant & Equipment (Net)	207	188
Gain on Fair Value Adjustment	2657	3117
Interest on Income Tax Refund	1	19549
Miscellaneous	58262	24120
TOTAL	369913	256169



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 38 - Cost of materials consumed

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Consumption of Raw Material, Components, Stores and Spare Parts		
Opening Stock	666632	737892
Add: Purchases	2357526	1876273
Add: Subcontracting, Fabrication and Machining Charges.	47835	32467
Less: Closing stock	628065	666632
	2443928	1980000
Less: Transfer to		
Special Tools and Equipment	45957	43905
Capital Works	576	588
Development Expenditure	943	2304
Expense Accounts and Others	9390	9757
	56866	56554
TOTAL	2387062	1923446

Note 38A - Purchase of Stock-in-Trade

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Purchase of Stock-in-Trade	59112	67937

Note 39 - Changes in Inventories of Finished Goods, Stock-in-Trade, Work-In-Progress and Scrap

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Changes in Inventories of Finished Goods, Stock-in-Trade and Work-in-progress		
Opening Balance		
(i) Finished Goods	0	0
(ii) Work-in-progress	1553975	788829
(iii) Stock-in-Trade	1494	4149
	1555469	792978
Closing Balance		
(i) Finished Goods	0	0
(ii) Work-in-progress	2556891	1553975
(iii) Stock-in-Trade	1273	1494
	2558164	1555469
Accretion / (Decretion) - A	1002695	762491
Change in Disposables Scrap		
Opening Balance	830	742
Closing Balance	1094	830
Accretion / (Decretion) - B	264	88
TOTAL (A+B)	1002959	762579



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 40 - Employee benefits expense

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Salaries and Wages	463474	463794
Contribution to Provident Fund and Others	85660	79334
Contribution to Gratuity	45628	12704
Others	17	18
Staff Welfare Expenses(Net)	15934	17110
Rent for Hiring Accommodation for Officers	55	77
TOTAL	610768	573037

Note 41 - Finance costs

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Interest on Cash Credit	0	0
Interest on Lease Liabilities	59	8
Interest on Income Tax	0	277
Interest on micro and small enterprises	0	0
Interest - Others	520	583
TOTAL	579	868

Note 42 - Depreciation and Amortization expense

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
A. Depreciation on Property, Plant and Equipment	42503	34487
B. Amortisation		
Intangible assets- Development Expenditure	27070	25889
Other Intangible assets		
Licence Fees	2192	1060
Computer Software	2327	2019
Documentation	2993	31841
Special Tools	58401	38741
Sub-Total (B)	92983	99550
TOTAL (A+B)	135486	134037

Note 42A - Impairment Loss

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Impairment Loss on Intangible Asset	1237	2474
TOTAL	1237	2474

Refer Clause No.8 of Note 49



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 43 - Other expenses

Particulars	(₹ in Lakhs)	
	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Shop Supplies	11399	10282
Power and Fuel	20313	19019
Less: Savings in energy charges from Company owned wind & solar power plant	3235	3314
Net Power and Fuel	17078	15705
Water Charges	5697	5493
Rent for Office Premises etc.	104	84
Travelling (includes Foreign Travel)	9288	8829
Training (includes Foreign Training)	560	1505
Repairs:		
Buildings	14003	11228
Plant, Machinery and Equipment	23106	20022
Others	5858	5012
Expenses on Tools and Equipment	4328	5528
Insurance	6930	4842
Rates and Taxes	3044	3848
Postage and Telephones	1516	812
Printing and Stationery	1043	1204
Publicity	2095	3271
Advertisement	558	462
Bank Charges	1771	1294
Loss on Foreign Currency Transaction and Translation	16132	2479
Legal Expenses	272	468
Auditors' Remuneration:		
For Audit Fee	71	64
For Tax Audit Fee	7	6
For Other Services-Interim Audit & Other Certification fees	83	82
Selling Agents Commission	45	18
Handling Charges	128	256
Write Off:		
Fixed Assets	0	0
Stores	5048	3097
Shortages / Rejections	88	5
Others	1471	4318
Freight and Insurance	2479	2233
Corporate Social Responsibility	17258	15838
Loss on Fair Value Adjustment	2746	2949
Miscellaneous Operating Expenses	55410	47228
TOTAL	209616	178462
(i) Miscellaneous Operating Expenses includes Director's Sitting Fees, excluding GST for the current financial year is ₹18 Lakh (For the year ended 31 st March 2025 is ₹18 Lakh)	18	18



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 44 - Direct Input to Work in Progress / Expenses Capitalised

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
A) DIRECT INPUT TO WIP		
Project related Travel	1148	1075
Project related Training	167	160
Project related other Expenditure	2697	1397
Royalty	1711	1369
Foreign Technician Fee	1096	1673
Ground Risk Insurance	3758	2958
Quality Audit Expenses	4	12
Design and Development	68551	19067
Sundry Direct Charges - Others	4148	0
Sub-Total (A)	83280	27711
B) EXPENSES CAPITALISED TO INTANGIBLE ASSET		
Licence Fees	12023	3281
Computer software	2090	3485
Documentation	4432	2756
Sub-Total (B)	18545	9522
TOTAL (A + B)	101825	37233

Note 45 - Provisions

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Replacement and Other Charges	2742	126373
Warranty	38728	37015
Redundancy provision - Raw Materials and Components, Stores and Spare parts, Loose Tools and Equipment, Construction Materials, Inventory - Warranty and Work-in-Progress	543	7678
Liquidated Damages	72168	65843
Doubtful Debts	108	83
Doubtful Claims	500	409
Impairment of Investments	64	133
Doubtful Advances	1297	240
Doubtful Contract Assets	14338	15010
TOTAL	130488	252784

Refer Clause 14 of Note 49 for movement of Provisions



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 46 - Expenses relating to Capital and Other Accounts

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Expenses allocated to:		
Other Intangible assets	18545	9522
Special Tools	1320	1784
Capital Works	0	0
Development Expenditure	86907	70857
Others	58478	53344
TOTAL	165250	135507

Other Comprehensive Income

Note 47 - Items that will not be reclassified to Profit or Loss

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Remeasurements of the defined benefit plans	38466	2786
Share of Other Comprehensive Income in Associates and Joint Ventures, to the extent not to be classified into profit or loss	-6	-15
TOTAL	38460	2771

Note 48 - Items that will be reclassified to profit or loss

(₹ in Lakhs)

Particulars	For the Year ended 31 st March 2026	For the Year ended 31 st March 2025
Exchange differences in translating the financial statements of a foreign operation	0	0
TOTAL	0	0



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

1. Earnings per Share (EPS)

(₹ unless otherwise stated is in lakhs)

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Profit before tax (₹ in Lakhs)	1215193	1086726
Provision for taxation (₹ in Lakhs)	303641	250321
Profit after tax as per Statement of Profit & Loss (₹ in Lakhs)	911552	836405
Weighted Average Number of Equity Shares	668775000	668775000
Basic Earnings per Share in Rupees (Face Value of ₹ 5/- each fully paid up)	136.30	125.07
Diluted Earnings per Share in Rupees (Face Value of ₹ 5/- each fully paid up)	136.30	125.07

2. Principles of Consolidation:

Sl. No.	Particulars
i	The Consolidated Financial Statements (CFS) of Hindustan Aeronautics Limited (HAL), Joint Ventures and its Subsidiaries are prepared in accordance with Ind AS 28 (Investments in Associates & Joint Ventures), Ind AS 110 (Consolidated Financial Statements), Ind AS 111 (Joint Arrangements) and are presented to the extent possible in the same manner as the Company's Standalone Financial Statement.
ii	Subsidiaries are all entities over which the Group has Control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the relevant activities of the entity. Subsidiaries are fully Consolidated from the date on which Control is transferred to the Group. They are de-consolidated from the date when control ceases.
iii	The Group combines the financial statements of the parents and its subsidiaries line by line adding together like items of assets, liabilities, equity, income and expenses. Inter company transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. Accounting policies of Subsidiary have been changed where necessary to ensure consistency with the policies adopted by the Group.
iv	Under the equity method of accounting, the investments are initially recognised at cost and adjusted thereafter to recognise the Group's share of the post acquisition profits or losses of the investee in profit and loss, and the Group's share of other comprehensive income of the investee in other comprehensive income. Dividends received or receivable from Joint Ventures are recognised as a reduction in the carrying amount of the investment. When the Group's share of losses in Joint Ventures equals or exceeds the Group's interest in the entity, including any other long-term unsecured receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the other entity. In accordance with Equity method of consolidation of Joint Venture, where investment is fully impaired and impairment loss is recognised, further share of lossess is not considered in CFS Similarly, contingent liabilities in respect of those Joint Ventures are also not disclosed as there is no further liability/ lossess to the parent. Unrealised gains on transactions between the Group and its Joint Ventures are eliminated to the extent of the Group's interest in these entities. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of Joint Ventures have been changed where necessary to ensure consistency with the policies adopted by the Group. The carrying amount of equity accounted investments are tested for impairment.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

2. Principles of Consolidation:

Sl. No.	Particulars
v	Interests in Joint Ventures are accounted for using the equity method after initially being recognised at Cost in the Consolidated Balance Sheet.
vi	As per the Shareholders' Agreements entered by the Company relating to all the Joint Ventures which clearly specifies the intent of the Company to subscribe and hold the specified percentage of the equity from the beginning, no pre-acquisition profits/losses arose on Consolidation.
vii	In respect of contingent liabilities and commitments proportionate share of the Company's and others entire amount as shown by Joint Ventures has been considered for disclosure.
viii	The figures of previous year have been considered based on audited financial statements of the Subsidiary / Joint Ventures.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 -Explanatory notes to the Consolidated Financial Statements

3 Related Party Transactions

(i) Details of Transactions with and balances outstanding of related parties

The name of the transacting related party	Country of incorporation	Indo Avia Services Limited	BAe HAL Software Limited	Safran HAL Aircraft Engines Private Ltd	SAMTEL HAL Display Systems Limited	HAL-Edgewood Technologies Private Limited	HALBIT Avionics Private Limited	Infotech HAL Limited	HATSOFF Helicopter Training Private Ltd.	International Aerospace Manufacturing Pvt. Ltd.	Multi-role Transport Aircraft Ltd.	Aero-space & Aviation Sector Skill Council	Heli-copter MRO Pvt. Ltd	Defence Innovation Organisation	SAFHAL Aircraft Engines Private Limited	Electronic Warfare (Defence) Testing Foundation	Communi-cation (Defence) Testing Foundation	UAS Testing Foundation	Advanced Materials (Defence) Testing Foundation	Systems Testing and Re-search for Advanced Materials Founda-tion
		India 48%	India 49%	India 50%	India 40%	India 50%	India 50%	India 50%	India 50%	India 50%	India 50%	India 50%	India 50%	India 50%	India 50%	India 20%	India 25%	India 33.33%	India 20%	India 20%
		Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture	Joint Venture
(a)	Description of the relationship between the parties	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services	Purchase and sale of goods and services
(b)	Country of incorporation	4,727	1,803	-	3,459	-	65	-	71	1	-	-	-	-	-	-	-	-	-	-
(c)	Description of the nature of the transactions	(4,168)	(618)	-	(2,073)	-	(50)	-	(34)	-	-	-	-	-	-	-	-	-	-	-
(d)	Amount for Purchase of Goods and Services and other expenses	-	-	-	-	-	-	-	3	3,741	-	-	-	-	-	-	-	-	-	-
(e)	Previous year 31 st March 2025	-	-	-	-	-	-	-	(19)	(2,984)	-	-	-	-	-	-	-	-	-	-
(f)	Amount outstanding for Purchase of Goods and Services and other expenses	2,320	307	-	311	-	335	-	7	12	-	-	-	-	-	-	-	-	-	-
(g)	Previous year 31 st March 2025	(3,482)	(90)	-	(348)	-	(329)	-	(1)	(12)	-	-	-	-	-	-	-	-	-	-
(h)	Amount outstanding for Sale of Goods and Services and other income	6	29	-	-	457	320	-	13	1,224	8	-	-	-	-	-	-	-	-	-
(i)	Previous year 31 st March 2025	(8)	(41)	-	-	(457)	(321)	-	(114)	(908)	(1)	-	-	-	-	-	-	-	-	-
(j)	Income on Rent, Water and Electricity	5	123	-	-	-	80	-	277	315	12	-	-	-	-	-	-	-	-	-
(k)	Previous year 31 st March 2025	(5)	(117)	-	-	-	(134)	-	(221)	(295)	(10)	-	-	-	-	-	-	-	-	-
(l)	Advances Outstanding on Purchases of Goods and Services	-	-	-	2,543	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(m)	Previous year 31 st March 2025	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(n)	Advances Outstanding on Sale	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(o)	Previous year 31 st March 2025	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

The name of the transacting related party	Indo Avia Services Limited	BAe HAL Software Limited	Safran HAL Aircraft Engines Private Ltd	SAMTEL HAL Display Systems Limited	HAL-Edgewood Technologies Private Limited	HALBIT Avionics Private Limited	Infotech HAL Limited	HATSOFF Helicopter Training Private Ltd.	International Aerospace Manufacturing Pvt. Ltd.	Multi-role Transport Aircraft Ltd.	Aero-space & Aviation Sector Skill Council	Helicopter MRO Engines Pvt. Ltd	Defence Innovation Organisation	SAFHAL Aircraft Engines Private Limited	Electronic Warfare (Defence) Testing Foundation	Communication (Defence) Testing Foundation	UAS Testing Foundation	Advanced Materials (Defence) Testing Foundation	Systems Testing and Research for Advanced Materials Foundation
(k) Amount paid towards investment in shares	-	-	-	-	-	-	-	-	-	-	-	600	-	-	-	-	-	-	139
Previous year 31 st March 2025	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(235)	(261)	(500)	(273)	(61)
(l) Dividend on Investments	367	-	-	-	-	-	-	-	213	-	-	-	-	-	-	-	-	-	-
Previous year 31 st March 2025	(332)	-	-	-	-	-	-	-	(159)	-	-	-	-	-	-	-	-	-	-
(m) Outstanding balance in Investments to Related parties	94	294	1,140	-	-	-	-	-	4,250	4,669	13	2,483	1	65	235	261	500	273	200
Previous year ended 31 March 2025	(94)	(294)	(1,140)	-	-	-	-	-	(4,250)	(4,669)	(13)	(1,943)	(1)	(69)	(235)	(261)	(500)	(273)	(61)
(n) Re-imbursement Salaries including KMP Salaries	78	84	-	-	-	-	-	13	-	16	-	-	-	-	-	-	-	-	-
Previous year 31 st March 2025	(86)	(71)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(o) Allowances recognised in respect of Doubtful debts during the year	-	-	-	-	-	-1	-	-114	-	-	-	-	-	-	-	-	-	-	-
Previous year 31 st March 2025	-	-	-	-	(69)	-	(39)	-	-	-	-	-	-	-	-	-	-	-	-
(p) Provision for doubtful debts related to the amount of outstanding balances	-	-	-	-	457	320	-	-	-	-	-	-	-	-	-	-	-	-	-
Previous year 31 st March 2025	-	-	-	-	(457)	(321)	-	(114)	-	-	-	-	-	-	-	-	-	-	-
(q) Grant outstanding as on balance sheet date	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Previous year 31 st March 2025	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Figures in brackets relate to previous year (31.03.2025)

The differences in the amount disclosed by the Company and JV's are due to reconciliation items.

Generally transaction with related parties are at arm's length basis. Wherever transactions are not at arm's length basis, like in single tender / nomination basis, the same will be approved by the Board of Directors.

Key Management Personnel of the Company in Joint Ventures are as follows:

Dr. D.K.Sunil - Chairman & Managing Director

Shri Ravi K - Director (Operations)

Shri M G Balasubrahmanya - Director (HR)

The total salaries including perquisites drawn by the above key Management Personnel from Joint Ventures is NIL.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

(ii) Details of Transactions with Key Management Personnel

₹ in Lakhs

Sl. No.	Particulars	Designation	For the year ended 31 st March 2026			For the year ended 31 st March 2025		
			Salary	Company Contribution to PF / Gratuity	Total	Salary	Company Contribution to PF / Gratuity	Total
1	Dr. D.K.Sunil	Chairman and Managing Director with effect from 9 th September 2024 upto 30 th April 2026	79	6	85	74	6	80
2	Dr. Barenya Senapati	Director(Finance) & CFO with effect from 22 nd October 2024	70	6	76	31	2	33
3	Shri K Ravi	Director (Operations) with effect from 26 th November 2024 (Chairman & Managing Director with effect from 1 st May 2026 with additional charge of Director (Operations) from 11 th May 2026)	76	6	82	25	2	27
4	Shri M.G. Balasubrahmanya	Director (Human Resources) with effect from 6 th May 2025	71	5	76			
5	Shri Ajay Kumar Shrivastava	Director (E and R&D) with effect from 15 th July 2025	53	4	57			
6	Shri Shailesh Bhansal	Company Secretary with effect from 28 th March 2023	51	4	55	48	4	52

(iii) Sitting Fees paid to Independent Directors (Non-Executive)

₹ in Lakhs

	For the year ended 31 st March 2026	For the year ended 31 st March 2025
1 Dr. Divya Gupta		9
2 Shri Deepak Abasaheb Shinde	1	9
3 CA Rakesh Bhawsar	8	
4 Dr. S.D.Premkumar (Resigned on 05.04.2026)	9	

- (iv) The Company makes monthly Contributions to provident fund managed by "The Provident Fund of HAL" for eligible employees. Under the scheme, the Company is required to Contribute a specified percentage of the payroll Costs to fund the benefits. The Company Contributed to PF Trust during the year is given below.

₹ in Lakhs

Name of PF Trust	31 st March 2026	31 st March 2025
1. HAL - Bangalore Complex	16159	15422
2. HAL - Nasik	4550	4323
3. HAL - Koraput	2950	2823
4. HAL - Hyderabad	1970	1805
5. HAL - Lucknow	1596	1566
6. HAL - Korwa	669	724
7. HAL - Kanpur	1413	1386
8. HAL - Corporate Office	584	675
Total	29890	28724



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

- (v) The Company maintains gratuity trust for the purpose of administering the gratuity payment to its employees (HAL Employees Gratuity scheme). Transaction /outstanding balance with gratuity Trust during the year is given below:

	31 st March 2026	31 st March 2025
Fund transfer during the year	11970	14328
Amount payable		8038
Amount receivable	9520	11916
Advance paid	5757	

- (vi) Apart from transactions reported above, the Group has transactions with other Government related entities, which includes but not limited to the following:

Name of Government:	Government of India
Nature of Transactions:	Sale of Products and Services

These transactions are conducted in the ordinary course of the Group's business

4 (a) Claims / Demands against the Group contested and are not acknowledged as debts (Gross)- as reimbursements are available from the customers as per Contract*.

Particulars	₹ in Lakhs	
	As at 31 st March 2026	As at 31 st March 2025
In respect of the Group		
(i) Sales Tax/ Entry Tax [#]	85440	85440
(ii) Goods & Service Tax	7079	2389
(iii) Service Tax	22728	23156
(iv) Customs Duty	83209	64720
* In terms of Pricing Policy agreed with Indian Defence Services, prices approved are exclusive of taxes and duties i.e. Sales Tax, Entry Tax, Goods and Service Tax, Service Tax, Customs Duty etc. In case, the customer do not submit an exemption certificate, taxes would be levied and the same would be re-imbursed by the customer.		
# Sales Tax disputes for the year 1986-87 to 2017-18 was pending in various Authority/Tribunal /Courts in the state of Maharashtra. During the year 2024-25, an out of court settlement was reached between the Company, Government of Maharashtra and the Customer. As per the settlement the disputed tax demand of ₹ 1001841 lakhs have been reduced to ₹ 273724 lakhs. In view of the above, the Company paid an amount of ₹ 247097 lakhs in March 2025 after adjusting an amount of ₹ 26627 lakhs deposited in earlier years with the revenue authority. The amount so paid has been claimed by the Company and reimbursed by IAF in the month of March 2025.		
Total	198456	175705



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

(b) Contingent Liability not acknowledged as debts (Gross)

Particulars	₹ in Lakhs	
	As at 31 st March 2026	As at 31 st March 2025
In respect of the Group		
(i) Income Tax	43124	47392
(ii) Others**	6771	6970
** ₹ 6771 lakh does not include ₹ 1686 lakh (P.Y. ₹ 1686 lakh) of Contingent liability to M/s Halbit Avionics Private Limited.		
Total	49895	54363

Employee related 221 cases (31.03.2025 : 218) against HAL pertaining to employee related issues in various forums. The financial impact of the same not ascertainable as on date. Hence, the financial impact are not included in "others" above.

(c) Commitments

Particulars	₹ in Lakhs	
	As at 31 st March 2026	As at 31 st March 2025
In respect of the Group	262650	215016
Estimated amount of contracts remaining to be executed and not provided for on Capital Account		
Total	262650	215016

In view of the nature of business, being long term contracts there may be other commitments for purchase of material etc., which has been considered as normal business process, hence not been disclosed.

5 Pursuant to Ind AS-116-Leases, the following information is disclosed:

a) Group as a Lessee:

Sl. No.	Particulars	₹ in Lakhs	
		As at 31 st March 2026	As at 31 st March 2025
1	depreciation on right-of-use assets for the year ended (Refer Note 1 B)	549	300
2	interest expense on Lease liabilities for the year ended (Refer Note 41)	59	8
3	total cash outflow for leases for the year ended	132	2
4	additions to right-of-use assets (Refer Note 1 A)	1054	0
5	carrying amount of right-of-use assets as at (Refer Note 1 C)	8571	8081

One Avro Aircraft (BH 572) is on lease from Indian Air Force for a period of 1 year for an amount of ₹ 322 lakhs. The charges for the same has been accounted as expenditure for the year ended 31st March 2026. The company has an option to renew the lease subject to increase of 9% over previous year.

b) Group as a Lessor:

The Group leases out its Investment property and Property, Plant and Equipment. The Group has classified these lease as operating leases, as there is no transfer substantially all the risks and rewards incidental to the ownership of the assets. Clause 6 of Note 49 gives information about the operating leases of Investment Property.

Operating Lease	₹ in Lakhs	
	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Lease income	1831	1581



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

The Property, Plant and Equipment disclosed under Note 1A includes the following assets given on Operating Lease

₹ in Lakhs

Particulars	As at 31 st March 2026				As at 31 st March 2025			
	Gross Block	Accumulated Depreciation	Net Block	Depreciation for the year	Gross Block	Accumulated Depreciation	Net Block	Depreciation for the year
Land - Freehold	85	0	85	0	85	0	85	0
Buildings	272	142	130	6	14	12	2	0
Aircraft/Helicopters	6182	2627	3555	356	6173	2271	3902	356
Total	6539	2769	3770	362	6272	2283	3989	356

The maturity analysis of lease payments (including payments from Investment Property) showing the undiscounted minimum lease payments to be received over the remaining non-cancellable term on an annual basis are as follows:

₹ in Lakhs

Term	As at 31 st March 2026	As at 31 st March 2025
Less than one year	830	1035
One to Two years	731	345
Two to Three years	615	332
Three to Four years	235	218
Four to Five years	228	226
More than Five years	4422	4381
Total undiscounted lease payments	7061	6537

Credit Risk

The Group has leased out its properties to joint ventures and other agencies. Lease payments are structured with periodic escalations consistent with the prevailing market conditions. Based on the Credit Risk in lease payments, suitable provision has been made in the books of accounts.

6 Information regarding income and expenditure of Investment property as per Ind AS 40 - Investment property:

₹ in Lakhs

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Rental income derived from investment properties	885	783
Direct operating expenses (including repairs and maintenance) generating rental income	-	-
Direct operating expenses (including repairs and maintenance) that did not generate rental income	-	-
Profit arising from investment properties before depreciation and indirect expenses	885	783
Less – Depreciation	-	-
Profit arising from investment properties before indirect expenses	885	783



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

Fair value of investment property

As at 31st March 2026, the Fair value of the investment properties is ₹47087 lakhs as valued by a Registered valuer as defined under rule 2 of Companies (Registered Valuers and Valuation) Rules, 2017.

7 Segment Reporting

The Ministry of Corporate Affairs vide notification No. 1/2014-CL-V dated 23rd February 2018 has exempted the Government companies engaged in defence production to the extent of application of Ind AS 108 on "Operating Segment".

₹ in Lakhs		
8	As required by Ind AS 36, the Group has accounted impairment losses based on the assessment of impairment assets committee carried out during the period and based on such assessment 'impairment loss' in the Statement of Profit and Loss has been recognised.	For the year ended 31 st March 2026
		For the year ended 31 st March 2025
	Impairment Loss	1237
		2474

9 Capital work-in-progress (CWIP) (Refer Note-2)

(a) Movement in Capital work-in-progress

₹ in Lakhs		
Capital Work-in-progress	As at 31 st March 2026	As at 31 st March 2025
Opening Balance	109108	93688
Additions	89391	84964
Deletions	95934	69544
Closing Balance (refer clause No. 9(b) and 9(c))	102565	109108

(b) Ageing of Capital work-in-progress

CWIP		As at 31 st March 2026					As at 31 st March 2025				
		Amount in CWIP for a period of				Total	Amount in CWIP for a period of				Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years		Less than 1 year	1-2 years	2-3 years	More than 3 years	
(i)	Projects in progress	36914	23947	28228	13476	102565	39319	44591	14701	10497	109108
(ii)	Projects temporarily suspended	0	0	0	0	0	0	0	0	0	0
Total		36914	23947	28228	13476	102565	39319	44591	14701	10497	109108



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

(c) CWIP assets where completion is overdue and/or cost has exceeded its original plan

₹ in Lakhs

CWIP	As at 31 st March 2026				As at 31 st March 2025			
	To be completed in				To be completed in			
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Less than 1 year	1-2 years	2-3 years	More than 3 years
Projects in progress								
(i) SU-30	0	0	0	0	0	0	0	0
(ii) LCA	0	0	0	0	0	0	0	0
(iii) General purpose CWIP	0	0	0	0	794	0	0	0
(iv) Project pertaining to Subsidiary Company								
Projects where activity has been suspended	-	-	-	-	-	-	-	-
Total	0	0	0	0	794	0	0	0

10 Intangible assets under development (Refer Note-6A)

(a) Ageing of Intangible assets under development

₹ in Lakhs

Intangible assets under development	As at 31 March 2026					As at 31 March 2025				
	Amount in intangible assets under development for a period of				Total	Amount in intangible assets under development for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years		Less than 1 year	1-2 years	2-3 years	More than 3 years	
(i) Projects in progress	28231	48480	31269	186354	294334	46880	32869	29319	157035	266103
(ii) Projects temporarily suspended	0	0	0	0	0	0	0	0	0	0
Total	28231	48480	31269	186354	294334	46880	32869	29319	157035	266103

(b) Intangible assets under development where completion is overdue and/or cost has exceeded its original plan

₹ in Lakhs

Intangible assets under development	As at 31 March 2026				As at 31 March 2025			
	To be completed in				To be completed in			
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Less than 1 year	1-2 years	2-3 years	More than 3 years
Projects in progress								
(i) VHF and DAMS	0	0	0	0	0	0	0	0
Projects where activity has been suspended	-	-	-	-	-	-	-	-
Total	0	0	0	0	0	0	0	0



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

11 Trade Receivable ageing schedule is as given below:

Current Trade Receivables (Refer Note-15)

₹ in Lakhs

Particulars	As at 31 st March 2026							
	Outstanding for following periods from due date of payment					Un billed	Not due	Total
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years			
Undisputed Trade receivables - Considered good	273563	50763	55052	20983	6271	0	0	406631
Undisputed Trade receivables - Credit impaired	37	0	0	0	12233	0	0	12270
Less : Allowance for Doubtful Debts	37	0	0	0	12233	0	0	12270
Total	273563	50763	55052	20983	6271	0	0	406631

₹ in Lakhs

Particulars	As at 31 st March 2025							
	Outstanding for following periods from due date of payment					Un billed	Not due	Total
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years			
Undisputed Trade receivables - Considered good	269035	82251	62716	44359	6418	0	0	464779
Undisputed Trade receivables - Credit impaired	0	0	0	170	14091	0	0	14261
Less : Allowance for Doubtful Debts	0	0	0	170	14091	0	0	14261
Total	269035	82251	62716	44359	6418	0	0	464779

12 Contract Asset ageing schedule is as given below:

Current contract Assets (Refer Note-15A)

₹ in Lakhs

Particulars	As at 31 st March 2026						Total
	Outstanding for following periods from due date of payment					Not due	
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years		
Undisputed Contract Assets - Considered good	925507	253604	337452	298467	133675	0	1948704
Less : Allowance for Doubtful Debts	0	0	3	19	35678	0	35700
Total	925507	253604	337449	298448	97997	0	1913004



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

₹ in Lakhs

Particulars	As at 31 st March 2025						Total
	Outstanding for following periods from due date of payment					Not due	
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years		
Undisputed Contract Assets - Considered good	799583	152395	334365	193396	130540	0	1610278
Less : Allowance for Doubtful Debts	0	0	0	0	21362	0	21362
Total	799583	152395	334365	193396	109178	0	1588916

13 Trade Payable ageing schedule is as given below:

Current Trade Payables Ageing schedule (Refer Note-31)

₹ in Lakhs

Particulars		As at 31 st March 2026						
		Outstanding for following periods from due date of payment				Un billed	Not due	Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years			
(i)	Micro enterprises and Small enterprises	12172	0	7	292	531	3190	16192
(ii)	Other than Micro enterprises and Small enterprises	386995	21367	5226	4534	0	8861	426983
Total		399167	21367	5233	4826	531	12051	443175

₹ in Lakhs

Particulars		As at 31 st March 2025						
		Outstanding for following periods from due date of payment				Un billed	Not due	Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years			
(i)	Micro enterprises and Small enterprises	10737	3	54	365	943	5607	17709
(ii)	Other than Micro enterprises and Small enterprises	442882	17229	2429	14692	3385	12241	492858
Total		453619	17232	2483	15057	4328	17848	510567



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

14 (a) Movement in provisions for the year as required by Ind AS 37-Provisions, Contingent Liabilities and Contingent Asset is as follows:

Nature of Provision	₹ in Lakhs				
	Opening Balance as at 1 April 2025	Provision made during the year	Utilisation during the year	Reversal during the year	Closing Balance as at 31 March 2026
Provision for Warranty	134439	38728	27536	2126	143505
(Previous Year-31.03.2025)	(126100)	(37015)	(26561)	(2115)	(134439)
Provision for Replacement and Other Charges	532379	2742	36160	61311	437650
(Previous Year-31.03.2025)	(468921)	(126373)	(34350)	(28565)	(532379)
Provision for Redundancy in Raw Material and Components, Work in progress, Stores and Spares, Construction Material and Loose Tools	243161	543	206	45418	198080
(Previous Year-31.03.2025)	(281566)	(7678)	(0)	(46083)	(243161)
Provision for Doubtful Debts	14261	108	1	2098	12270
(Previous Year-31.03.2025)	(16601)	(83)	1	(2424)	(14261)
Provision for Contract Assets	21362	14338			35700
(Previous Year-31.03.2025)	(6392)	(15010)		(40)	(21362)
Provision for Claims	24930	500	26	4040	21364
(Previous Year-31.03.2025)	(27357)	(409)	(116)	(2720)	(24930)
Provision for Liquidated Damages	165106	72168	55495	386	181393
(Previous Year-31.03.2025)	(146331)	(65843)	(47068)		(165106)
Provision for Impairment of Investments	12109	64			12173
(Previous Year-31.03.2025)	(12892)	(133)		(916)	(12109)
Provision for Advances	640	1297			1,937
(Previous Year-31.03.2025)	(1036)	(240)		(636)	(640)

* Figures in brackets relate to previous year.

Nature of Provision	As at 31 st March 2026			As at 31 st March 2025		
	Non-current	Current	Total Provision	Non-current	Current	Total Provision
Provision for Warranty Charges	138	143367	143505	270	134169	134439
Provision for Replacement and Other Charges	37285	400365	437650	39937	492442	532379
Provision for Redundancy in Raw Material and Components, Work in progress, Stores and Spares, Construction Material and Loose Tools		198080	198080		243161	243161
Provision for Doubtful Debts		12270	12270		14261	14261
Provision for Contract Assets		35700	35700		21362	21362
Provision for Claims	7429	13935	21364	8171	16759	24930
Provision for Liquidated Damages	10125	171268	181393	10047	155059	165106
Provision for Impairment of Investments	12173		12173	12109		12109
Provision for Advances	494	1443	1937	242	398	640



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

(b) Sensitivity of estimates on provisions:

The assumptions made for provisions relating to current period are consistent with those in the earlier years. The assumptions and estimates used for recognition of such provisions are qualitative in nature and their likelihood could alter in next financial year. It is impracticable for the Group to compute the possible effect of assumptions and estimates made in recognizing these provisions.

Provision for replacement and other charges represents, amounts towards expenditure incurred from the date of Signalling Out Certificate (SOC) to date of ferry out, loan items taken from the customer which needs to be replaced etc.,

Warranty represents Performance Warranty for manufacture, repair and overhaul of Aircraft / Helicopters/ Engines / Rotables, supply of spares and development activities etc.

Provision for Redundancy in Raw Material and Components, Work in progress, Stores and Spares, Construction Material and Loose Tools represents provision on redundancy of such materials, completed / specific projects and other surplus / redundant materials pending transfer to salvage stores etc.

Provision for Liquidated Damages represents amounts provided for the period of delay between the due date of supply of the Goods / rendering of services as per delivery schedule and the expected Date of delivery of said Goods / rendering of service in respect of manufacture / repair and overhaul of Aircraft / Helicopters/ Engines / Rotables, supply of spares and development activities etc.

Provision for doubtful debts is being assessed on a case to case basis in respect of dues outstanding for a significant period of time. Debts from the Government departments are generally treated as fully recoverable and hence the Company does not recognize credit risk of such financial assets.

Provision for doubtful claims represents provision on expected credit losses.

Impairment in value of investment represents reduction in the share of net worth below investment.

Provision for Onerous contract has been recognised as the cost of meeting obligations is over and above the economic benefits expected to be received under it.

15 Borrowing Cash Credit (Refer Note-30)

Details of lender	A Consortium of 7 banks comprising of State Bank of India (lead bank), Bank of Baroda, Indian Bank, Canara Bank, Punjab National Bank, Union Bank of India and Indian Overseas Bank.
Limit	₹ 400000 lakhs as Cash Credit (including ₹ 240000 Lakh of Commercial Paper)
Purpose	Working Capital Requirements
Security	Paripassu first charge on stocks and receivables of the Company with other consortium banks
Interest Rate	Interest rates ranging between TBLR to MCLR based at monthly rests.
Credit Rating (other than Commercial Paper)	[ICRA]AAA/Stable/ICRA A1+ by ICRA & CARE AAA/Stable/ CARE A1+ by CARE

16 Working Capital Facilities

The total Cash Credit limits ₹ 400000 lakhs including ₹ 240000 lakhs of Commercial Paper(previous year: ₹ 400000 lakhs including ₹ 240000 lakhs of Commercial Paper) and Corporate Loan of ₹ NIL lakhs and Non-Fund based limits ₹ 205000 lakhs (previous year: ₹ 205000 lakhs) sanctioned by consortium of bankers. The said limits are secured by hypothecation of inventories and receivables.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

17	Where the Company has borrowings from banks or financial institutions on the basis of security of current assets	As at 31 st March 2026	As at 31 st March 2025
	Quarterly returns or statements of current assets filed by the Company with banks or financial institutions are in agreement with the books of accounts.	The Company has been sanctioned working capital limits of ₹ 400000 lakhs, non fund based limit of ₹ 205000 lakhs and Corporate loan of ₹ Nil lakhs by the consortium bankers. As at 31.03.2026, no fund based limit were utilised and non fund based limits of ₹135296 lakhs were utilised by the Company against the sanctioned limits. The Quarterly stock statement filed by the company and the books of Accounts are in agreement.	The Company has been sanctioned working capital limits of ₹ 400000 lakhs, non fund based limit of ₹ 205000 lakhs and Corporate loan of ₹ Nil lakhs by the consortium bankers. As at 31.03.2025, no fund based limit were utilised and non fund based limit of ₹ 124035 lakhs were utilised by the Company against the sanctioned limits. The Quarterly stock statement filed by the company and the books of Accounts are in agreement.

18 Buyback of Shares:

In accordance with the approval of Board of Directors at its 408th meeting held on 28th November, 2017 and approval of shareholders, the Company has bought back 2,71,12,500 fully paid equity shares of ₹10/- each equivalent to 7.5% of the paid-up share capital and Free Reserves of the Company, for an aggregate amount of ₹92150 lakhs (excluding tax of ₹20636 lakhs) at ₹339.88 per equity share from the President of India. The consideration amount for back buy of shares was paid to the Government of India on 19th December, 2017 and the shares so bought back were extinguished on 22nd December, 2017.

- 19 To achieve the mandatory threshold of 25% minimum public shareholding in the Company, Government of India (GoI) had offered 3.5% (1,17,03,563) equity shares of the Company to Non-Retail Investors, Retail Investors and employees during March and April 2023, out of its shareholding of 75.15% in the Company, through Offer for Sale (OFS) by Stock Exchange Mechanism. Consequent to the OFS, the Government of India shareholding stands at 71.64%.

20 HAL Employees Group Life Insurance Trust:

As per the approval accorded by the Board, the Company has notified an insurance scheme namely the HAL Employees Group Life Insurance Trust to cover its employees, in case of death due to any reason other than suicide. The contribution towards the scheme are borne equally by employees and the Management. In the event of Death of an employee due to any reason other than suicide, the dependent family members will be paid the sum assured (₹10 lakhs). The Company has made contribution of ₹147 lakhs (previous year : ₹118 lakhs) to the trust for the year ended 31.03.2025 with employees contributing an equal amount.

- 21 Ministry vide OM dated 12.07.2023 has conveyed the approval for increasing the Company's contribution to the Pension Scheme of Executives from existing 7% to 10% of Basic Pay + DA w.e.f. 0.1.01.2017. Revision of Pension contribution from 7% to 10% of Basic Pay + DA w.e.f 01.01.2017 has been made in respect of Executives who are on the rolls of the Company as on the date of implementation of the revised ceiling i.e. 01.01.2017 implemented during 2023-24.

In respect of Workmen, Company issued Circular dated 24.04.2025 has conveyed the approval for increasing the Company's contribution to the Pension Scheme from existing 7% to 10% of Basic Pay + DA w.e.f. 01.01.2025. Revision of Pension contribution from 7% to 10% of Basic Pay + DA w.e.f 01.01.2025 has been made in respect of workmen who were on the rolls of the Company as on the date of implementation of the revised ceiling during March 2025.

The additional liability accruing to the Company due to the increased ceiling in respect of workmen is ₹ 4145 lakh pertaining to the year ended 31.03.2026 (previous year: ₹1051 lakhs [01.01.2025 to 31.03.2025]). Accordingly, employees cost for the current year 31.03.2026 is not comparable with the corresponding previous year 31.03.2025.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

₹ in Lakhs

22.1 Value of Imports calculated on CIF basis:	For the year ended 31 st March 2026	For the year ended 31 st March 2025
(i) Raw Materials	538073	513258
(ii) Components and Spares	1381012	1043215
(iii) Capital Goods	2087	3202
(iv) Special Tools	9008	11927
Total	1930181	1571602

₹ in Lakhs

22.2 Raw Materials, Spare Parts and Components consumed :	For the year ended 31 st March 2026	For the year ended 31 st March 2025
(i) Imported (including Customs Duty)	1945871	1527110
(% to total)	80	77
(ii) Indigenous	498057	452890
(% to total)	20	23
Total (Gross)	2443928	1980000
(Total %)	100	100

23 The aggregate amount of Research and Development Expenditure recognised as expenses during the year is as below:

₹ in Lakhs

Expenditure on R&D included in :	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Raw Material Consumption	59588	54101
Direct Expenses	73526	21456
Salaries and Wages	82117	86028
Other Expenses	64216	86648
Total R & D Expenditure	279447	248233

₹ in Lakhs

24 The Property, Plant and Equipment does not include assets funded by the customer for use of their jobs but held by the Company on their behalf.	As at 31 st March 2026	As at 31 st March 2025
Opening Balance	218429	215344
Additions	1012	3085
Closing Balance	219441	218429



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

₹ in Lakhs

25.1 Joint Ventures	For the year ended 31 st March 2026		For the year ended 31 st March 2025	
	Capital Expenditure of Joint Venture	Share of the Company	Capital Expenditure of Joint Venture	Share of the Company
BAeHAL Software Limited	31	15	329	161
Safran HAL Aircraft Engines Private Limited	747	374	1245	622
Indo Avia Services Limited	5	2	3	1
HATSOFF Helicopter Training Private Limited	15	8	11	5
International Aerospace Manufacturing Private	12333	6167	10929	5465
Helicopter Engines MRO Private Ltd	711	356	1700	850
SAFHAL Helicopter Engines Private Limited			3	2
Total	13842	6922	14220	7106

₹ in Lakhs

25.2 Joint Ventures	For the year ended 31 st March 2026		For the year ended 31 st March 2025	
	Revenue from Export Sales Joint Venture	Share of the Company	Revenue from Export Sales Joint Venture	Share of the Company
BAeHAL Software Limited	373	183	291	143
Safran HAL Aircraft Engines Private Limited	24625	12313	21559	10780
HATSOFF Helicopter Training Private Limited			2	1
International Aerospace Manufacturing Private	45863	22932	35219	17610
Helicopter Engines MRO Private Ltd			4	2
Total	70861	35428	57075	28536



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

26 Financial instruments by category

(a) The carrying value and fair value of Financial instruments by each category as at 31st March, 2026 were as follows:

₹ in Lakhs

Particulars	Financial assets/ liabilities at amortised costs	Financial assets/ liabilities at FVTPL	Financial assets/ liabilities at FVTOCI	Total Carrying Value	Total Fair Value
Assets:					
(i) Investments	162632			162632	162632
(ii) Loans	1824			1824	1824
(iii) Other financial assets	190870			190870	190870
(iv) Trade receivables	406631			406631	406631
(v) Contract Asset	1913004			1913004	1913004
(vi) Cash and Cash equivalents	376766			376766	376766
(vii) Bank balance other than Cash & Cash equivalents	4242913			4242913	4242913
Liabilities:					
(i) Trade payables	443175			443175	443175
(ii) Other financial liabilities	322373			322373	322373
(iii) Borrowings	0			0	0
(iv) Lease Liabilities	1097			1097	1097

(b) The carrying value and fair value of Financial instruments by each category as at 31st March, 2025 were as follows:

₹ in Lakhs

Particulars	Financial assets/ liabilities at amortised costs	Financial assets/ liabilities at FVTPL	Financial assets/ liabilities at FVTOCI	Total Carrying Value	Total Fair Value
Assets:					
(i) Investments	150948			150948	150948
(ii) Loans	1300			1300	1300
(iii) Other financial assets	173604			173604	173604
(iv) Trade receivables	464779			464779	464779
(v) Contract Asset	1588916			1588916	1588916
(vi) Cash and Cash equivalents	454855			454855	454855
(vii) Bank balance other than Cash & Cash equivalents	3363370			3363370	3363370
Liabilities:					
(i) Trade payables	510567			510567	510567
(ii) Other financial liabilities	332597			332597	332597
(iii) Borrowings	0			0	0
(iv) Lease Liabilities	116			116	116



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

(c) Interest income/expenses, gain/loss recognised on Financial assets and liabilities in the Consolidated Statement of Profit & Loss are as follows:

Particulars	₹ in Lakhs	
	For the year ended 31 st March 2026	For the year ended 31 st March 2025
(i) Financial assets at amortised cost		
- Interest income from bank deposits	296845	198067
- Interest income from other financial assets	11941	11128
- Gain/(Loss) on amortisation of financial assets	2657	3117
(ii) Financial liabilities at amortised cost		
- (Gain)/Loss on amortisation of financial liabilities	2746	2949

27 Financial Risk Management

The Group is exposed to market risk, credit risk and liquidity risk which may impact the fair value of its financial instruments. The Group based on its business operation evaluated the following risks:

a) Foreign currency risk:

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in exchange rates. The Group's exposure to the risk of changes in exchange rates relates primarily to the Group's imports for which the payment has to be done in currencies other than the functional currency of the Group. The fluctuation in exchange rates in respect to the Indian rupee may have very restricted impact on Group as any fluctuations in foreign exchange are in general reimbursed by the customers of the Group in terms of the contractual obligations which the Group has with its customers.

b) Credit Risk

Credit risk is the risk of financial loss to the Group if a customer or counter party to a financial instrument fails to meet its contractual obligations resulting in a financial loss to the Group. Credit risk arises principally from trade receivables, loans & advances, advances given to suppliers (for procurement of goods, services and capital goods), cash & cash equivalents and deposits with banks and financial institutions. The Group for the Financial Year (FY) derived 97% (Previous year: 97%) of its total sales from sales to the Indian Defence Services. The Group expects to continue to derive most of its sales from the Indian Defence Services under the contracts of the Ministry of Defence (MoD), Government of India (GoI) the Group's principal shareholder and administrative ministry.

Ageing Analysis of the Trade Receivables

Ageing	₹ in Lakhs						Total
	0-30 days past due	31-60 days past due	61-90 days past due	91-120 days past due	121-180 days past due	more than 181 days past due	
Net carrying amount as at 31.03.2026	133323	29447	11332	75162	24299	133068	406631
Net carrying amount as at 31.03.2025	149047	30774	38811	31576	18826	195744	464779

c) Provision for expected credit losses:

As the Group's debtors are predominantly the Government of India (Indian Defence Services, Ministry of External Affairs), Central Public Sector Undertakings where the counter-parties have sufficient capacity to meet the obligations and where the risk of default is NIL/negligible. Accordingly, impairment on account of expected credit losses is being assessed on a case to case basis in respect of dues outstanding for significant period of time as per the accounting policy of the Group. Further, management believes that the unimpaired amounts that are due is collectable in full, based on historical payment behaviour and extensive analysis of customer credit risk.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

d) Liquidity risk:

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. Typically, the Group ensures that it has sufficient cash on demand to meet expected operational expenses including the servicing of financial obligations. The Group's standard contract terms provide that, the Group receives advance payments from customers pursuant to the applicable contracts, including the Government of India and the Indian Defence Services at the time of signing of any contract and milestone payments on achievement of physical milestones. These payments are utilized to meet the Group's working capital needs (for the Group required to maintain a high level of working capital because the Group's activities are characterized by long product development periods and production cycles). A majority of the Group's research, design and development costs are funded by the Indian Defence services. Services and supply of spares are governed by the Fixed Price Quotation (FPQ) policy for fixation of the prices wherein the prices are fixed for the base year with escalation parameters for a pricing period of 5-7 years. The process of fixation of prices and approvals takes a minimum period of two years after the expiry of previous pricing period. In the interim, the approved prices of the previous pricing period are continued and payments are accordingly realised and on finalisation of the revised prices, the differential prices are paid to the Group. Further, certain costs not forming part of selling price are reimbursed by customer on incurrence of expenditure. The reimbursement is based on verification and issuance of audit certificate by the payees. There are delays in the above process due to unanticipated variations/adjustments in the scope and schedule of the Group's obligations due to subsequent modifications by the customers and delays in receipt of approvals from the customer. Further, payments to the Group by the Indian Defence Services are reliant on the continuing availability of budgetary appropriations by Government of India and any disruptions to the availability of such appropriations could adversely affect the Group's cash flows.

e) Market risk:

The Ministry of Defence (MoD) and the Government of India (GoI) have continued efforts to reform Defence related policies such as the Defence Acquisition Procedure 2020 ("DAP 2020") to promote private participation, a level playing field and the domestic Defence manufacturing Industry and eco-system. While the MoD has given the highest priority to Indigenously Designed, Developed and Manufactured ("IDDM") products for capital procurement, the Group faces competition to be selected as the Indian production agency for such contracts. These policies have raised the level of market competition in the areas in which the Group operates.

f) Risk Mitigation Process:

As a step of institutionalizing the risk management in the Group, an elaborate framework has been developed and the Group's top management has overall responsibility for the establishment and oversight of the Group's risk management framework. An important purpose of the framework is to have a structured and comprehensive risk management system across the Group which ensures that the risks are being properly identified and effectively managed. The Group has a risk management policy to manage & mitigate these risks. The risk management process includes risk identification, risk assessment, risk evaluation, risk mitigation and regular review and monitoring of risks. The Group's risk management policy aims to reduce volatility in financial statements while maintaining balance between providing predictability in the Group's business plan along with reasonable participation in market movement.

28 Capital Management:

For the purpose of the Group's capital management, capital includes issued equity capital and all other equity reserves attributable to the equity holders of the parent. The primary objective of the Group's capital management is to maximise the shareholder value.

The Group manages its capital structure and makes adjustments in light of changes in economic conditions and requirements. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

The Group monitors capital by using debt equity ratio, which is borrowings divided by Equity.

₹ in Lakhs

Particulars	As at 31 st March 2026	As at 31 st March 2025
Debt	0	0
Equity	4104460	3498517
No of times	0.00:1	0.00:1

No changes were made in the objectives, policies or processes for managing capital during the Year ended 31st March 2026 and Year ended 31st March 2025.

29 UN-HEDGED FOREIGN CURRENCY EXPOSURE

RECEIVABLES	As at 31 st March 2026		As at 31 st March 2025	
	Foreign Currency	Amount in INR (in Lakhs)	Foreign Currency	Amount in INR (in Lakhs)
GBP	55027	67	14019	15
EURO	4783879	5067	1388955	1260
USD	28354988	26414	24633256	20877
PAYABLES				
GBP	52719455	66300	25864609	29108
EURO	66178544	72353	60950747	57197
USD	153553988	145337	244265765	210679
CHF	775225	929	290220	287
NOK			1543750	127
CAD	348025	238	826458	501

30. In Compliance with Ind AS 112 - Disclosure of Interest in Other Entities, the required information is as follows:-

a) Information about subsidiaries

The consolidated financial statements of the Group includes subsidiaries listed in the table below:

Name of the Subsidiary*	Nature of Business	Equity Interest (in %)	
		As at 31 st March 2026	As at 31 st March 2025
Naini Aerospace Limited	Manufacture of Looms for Helicopter and Aircrafts and support for second line manufacture of Helicopter at TAD, Kanpur	100%	100%
Indo-Russian Helicopters Limited	Production, maintenance, operation, repairs modernize and upgrade the Ka-226 T Helicopters. The company will also do marketing for third countries export and provide technical support for these Helicopters	50.5%	50.5%

* All Subsidiaries have been incorporated in India and the principal place of business is in India.

Proportion of equity interest held by non-controlling interests:

Name of the Subsidiary	As at 31 st March 2026	As at 31 st March 2025
Indo-Russian Helicopters Limited	49.5%	49.5%



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

b) Summarised financial information of Subsidiary

The summarised financial information of the subsidiaries are provided below. This information is based on amounts before inter-company eliminations.

Summarised Balance Sheet:

₹ in Lakhs

Particulars	Naini Aerospace Limited		Indo-Russian Helicopters Limited	
	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025
Current assets	1176	1734	68	67
Current liabilities	2556	2399	29	70
Net Current assets	-1380	-665	39	-3
Non-current assets	2406	1788	665	725
Non-current liabilities	812	1216		2
Net Non-current assets	1594	572	665	723
Net assets	214	-93	704	720
Accumulated Non-Controlling Interests	-	-	348	356

Summarised Statement of Profit & Loss:

₹ in Lakhs

Particulars	Naini Aerospace Limited		Indo-Russian Helicopters Limited	
	For the year ended 31 st March 2026	For the year ended 31 st March 2025	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Revenue	2097	1886	51	52
Profit for the year	309	138	-16	-16
Other Comprehensive Income	-2	-17		
Total Comprehensive Income	307	121	-16	-16
Profit/(Loss) allocated to Non-Controlling Interests	-	-	-8	-8
Dividends paid to Non-Controlling Interests	-	-	-	-

Summarised Cash Flow:

₹ in Lakhs

Particulars	Naini Aerospace Limited		Indo-Russian Helicopters Limited	
	For the year ended 31 st March 2026	For the year ended 31 st March 2025	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Cash flow from operating activities	191	-2	-76	-51
Cash flow from investing activities	-252	110	51	52
Cash flow from financing activities				
Net increase/(decrease) in cash and cash equivalents	-61	108	-25	1



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

c) Details of interest in Joint Venture is as under:

Name of the Joint Ventures*	Nature of Business	Proportion of Ownership Interest (in %)	
		As at 31 st March 2026	As at 31 st March 2025
International Aerospace Manufacturing Private Limited (IAMPL)	Manufacturing of compressed rings, turbine blades.	50%	50%
BAeHAL Software Limited (BAeHAL)	Develop, Improve, Market, Sell, Lease or Loaning of Computer Softwares	49%	49%
Safran HAL Aircraft Engines Private Limited (Formerly known as Snecma HAL Aerospace Private Limited)	Produce Engine Parts & Components	50%	50%
Samtel HAL Display Systems Limited (SAMTEL)	Design, Develop & Manufacture of various types of display systems for airborne, military & Ground Applications.	40%	40%
Infotech HAL Limited (INFOTECH)	Engineering Services work in aero engines field, Technical Publications, Works from OEM.	50%	50%
HAL Edgewood Technologies Private Limited (HAL-EDGEWOOD)	Hi-tech aerospace & Defence Product Design, Development, manufacturing & Technology Transfer.	50%	50%
Halbit Avionics Private Limited (HALBIT)	Design, Develop, Market & Support (Operations & Maintenance) Products. Provide support and maintenance services	50%	50%
Indo Avia Services Limited (Formerly known as Indo Russian Aviation Limited))	Overhaul & Repair of Aircraft, Engines	48%	48%
HATSOFF Helicopter Training Private Limited (HATSOFF)	Military & Civil Helicopter Pilot Training Services, Marketing about Training Services	50%	50%
Multirole Transport Aircraft Limited (MTAL)	Preliminary & Detail Design of MTA, MTA Prototypes Prod., Factory Testing of MTA, Flight Aircraft Tests of MTA	50%	50%
Helicopter Engines MRO Private Ltd	To provide support, maintenance, repair and overhaul of Helicopter engines	50%	50%
SAFHAL Helicopter Engines Private Limited	To carry out business of design, development, certification, production, sale and support of helicopter engines.	50%	50%

* All Joint Ventures have been incorporated in India and the principal place of business is in India.

- Hindustan Aeronautics Limited has invested in seven companies i.e. Aerospace and Aviation Sector Skill Council, Defence Innovation Organisation, Communication (Defence) Testing Foundation, Electronic Warfare (Defence) Testing Foundation, UAS Testing Foundation, Advance Material (Defence) Testing Foundation and Systyem Testing And Research For Advanced Materials Foundation. The companies are incorporated under Sec 8 of the Companies Act 2013. As per Ind AS 110, the Company does not exercise any control over these companies. Hence they have not been considered for consolidation in Consolidated Financial Statements.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

- ii. The Board in its 406th meeting held on 22nd September 2017, accorded in-principle approval for voluntary winding up / closure of the three Joint Ventures i.e. M/s. HAL-Edgewood Technologies Private Limited, M/s. Tata HAL Technologies Ltd and M/s. Multirole Transport Aircraft Ltd. enabling the Company to take further action in the matter.

The Board authorized the Company to seek approval of Ministry of Defence (MoD), for short closure of the Contracts associated with the M/s Multirole Transport Aircraft (MTA) project and requested MoD, to initiate necessary action for closure of IGA, as it is a prerequisite for winding up of the MTA - Joint Venture Company. Further, MOD vide its letter dated 14th October 2021 notified the termination of the agreement between the Govt. of the Republic of India and Govt. of Russian Federation. In this respect the Russian Federation vide its letter dated 20th April 2022 intimated that the decision of the Indian side has been taken into consideration.

Further in 435th meeting held on 16th March 2020, the Board has directed the Company to expedite the closure of M/s. Multirole Transport Aircraft Ltd at the earliest after taking clearance from Russian partners from their Board (refer Clause No.10).

The Board in its 440th meeting held on 9th December 2020, accorded in principle approval for voluntary winding up / closure of Joint Venture M/s. Infotech HAL Limited(IHL) enabling the Company to take further action in the matter.

The petition has been filed by Infotech HAL Limited to the National Company Law Tribunal (NCLT) for Commencement of Corporate Insolvency Resolution process. The NCLT, Bangalore Bench order dated 22nd August 2025 has admitted the petition filed by Infotech HAL Limited under Section 10 of Insolvency and Bankruptcy Code, 2016. Further, NCLT ordered for the commencement of corporate insolvency resolution process of Infotech HAL Limited and appointed Interim Resolution Professional.

- iii. The name of the Joint venture company Indo Russian Aviation Limited has been changed to Indo Avia Services Limited with effect from 08.05.2023.
- iv. The Company had signed an agreement with Safran Helicopter Engines SAS for setting up a joint venture to carry out business of design, development, certification, production, sale and support of helicopter engines. Pursuant to the same a Joint Venture Company with Safran Helicopter Engines SAS by name SAFHAL Helicopter Engines Private Limited has been incorporated on 09 November 2023. Each JV partner has subscribed for 1000000 equity shares of ₹10 each amounting to ₹100 lakhs.
- v. The Company paid ₹950 lakhs towards subscription of 950000 equity shares of the face value of ₹100 each to its Joint Venture Company, Helicopter Engines MRO Private Limited, on 8 January, 2024 towards equity participation in Rights issue of the Joint Venture Company. Pursuant to the same, the investment of the Company in the Joint Venture was ₹2460 lakh. Further, the Company made an investment of ₹600 lakhs towards subscription of 600000 equity shares of the face value of ₹100 each to its Joint Venture Company, Helicopter Engines MRO Private Limited during 2025-26 towards equity participation in Rights issue of the Joint Venture Company. The investment of the Company in the Joint Venture has increased from ₹2460 lakhs to ₹3060 lakhs.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

d) Summarised Financial information in respect of each of Group's Joint Ventures is set out below:

The summarised financial information below represents amount shown in the Joint Venture's financial statements prepared in accordance with Ind AS adjusted by the Group for equity accounting purpose.

Summarised Balance Sheet

Particulars	B Ae-HAL Software Ltd.		Safran HAL Aircraft Engines Private Ltd.		SAMTEL HAL Display Systems Ltd.	
	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025
Current assets						
- Cash & Cash equivalents	194	161	691	366	46	7
- Other assets	3065	2868	14338	10705	10851	4053
Total current assets	3259	3029	15029	11071	10897	4060
Total non-current assets	487	465	7623	7644	206	44
Current liabilities						
- Financial liabilities (excluding trade payables)			1747	1499		
- Other liabilities	1378	1699	5468	3638	11552	4862
Total current liabilities	1378	1699	7215	5137	11552	4862
Non-Current liabilities						
- Financial liabilities (excluding trade payables)	185	255	16	16		
- Other liabilities	115	103	293	226	38	34
Total non-current liabilities	300	358	309	242	38	34
Net assets	2068	1437	15128	13336	-487	-792

₹ in Lakhs



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

Summarised Balance Sheet

Particulars	HALBIT Avionics Pvt. Ltd.		Indo Avia Services Ltd.		HATSOFF Helicopter Training Pvt. Ltd.	
	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025
Current assets						
- Cash & Cash equivalents	1609	1571	13817	12956	1484	1760
- Other assets	2853	2701	4156	5746	3037	4129
Total current assets	4462	4272	17973	18702	4521	5889
Total non-current assets	95	91	71	70	12314	13348
Current liabilities						
- Financial liabilities (excluding trade payables)					13253	18128
- Other liabilities	5817	5360	1094	2141	530	375
Total current liabilities	5817	5360	1094	2141	13783	18503
Non-Current liabilities						
- Financial liabilities (excluding trade payables)						
- Other liabilities	20	18	454	453	714	397
Total non-current liabilities	20	18	454	453	714	397
Net assets	-1280	-1015	16496	16178	2338	337

₹ in Lakhs



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

Summarised Balance Sheet

Particulars	International Aerospace Manufacturing Pvt. Ltd.		Multirole Transport Aircraft Ltd.		Helicopter Engines MRO Pvt. Ltd.		SAFHAL Helicopter Engines Private Limited	
	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025
Current assets								
- Cash & Cash equivalents	147	299	5594	3096	523	114	128	132
- Other assets	20214	18653	9287	10358	107	42	20	13
Total current assets	20361	18952	14881	13454	630	156	148	145
Total non-current assets	32165	23292			4515	3920	28	52
Current liabilities								
- Financial liabilities (excluding trade payables)	8217	8013			7		19	19
- Other liabilities	10185	9440	11	8	86	104	17	5
Total current liabilities	18402	17453	11	8	93	104	36	24
Non-Current liabilities								
- Financial liabilities (excluding trade payables)	13509	8510			79	79	10	34
- Other liabilities	1413	515	2	2	8	7		
Total non-current liabilities	14922	9025	2	2	87	86	10	34
Net assets	19202	15766	14868	13444	4965	3886	130	139

₹ in Lakhs



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

Summarised Statement of Profit & loss

Particulars	BAe-HAL Software Ltd.		Safran HAL Aircraft Engines Private Ltd.		SAMTEL HAL Display Systems Ltd.		HALBIT Avionics Pvt Ltd.		Indo Avia Services Ltd.	
	For the year ended 31 st March 2026	For the year ended 31 st March 2025	For the year ended 31 st March 2026	For the year ended 31 st March 2025	For the year ended 31 st March 2026	For the year ended 31 st March 2025	For the year ended 31 st March 2026	For the year ended 31 st March 2025	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Revenue	4004	3239	24764	21648	3201	2194	287	358	4912	5186
Interest Income	76	36			4	2	137	79	955	976
Depreciation & amortisation	82	114	971	897	4	5		1	5	6
Interest expense	39	50	70	152	9	20				
Income tax expense	307	138	657	689	-176			4	365	393
Other Expenditure	3015	2457	21256	17785	3063	2156	690	424	4414	4621
Profit from continuing operations	637	516	1810	2125	305	15	-266	8	1083	1142
Profit from discontinued operations										
Profit for the year	637	516	1810	2125	305	15	-266	8	1083	1142
Other comprehensive income	-5	1	-18	-7				-1		
Total comprehensive income	632	517	1792	2118	305	15	-266	7	1083	1142
Dividends Received (HAL share)									367	331

₹ in Lakhs



Notes

to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

Reconciliation of the summarised financial information to the carrying amount of interest in Joint venture

Particulars	BAE-HAL Software Ltd.		Safran HAL Aircraft Engines Private Ltd.		SAMTEL HAL Display Systems Ltd.		HALBIT Avionics Pvt. Ltd.		Indo Avia Services Ltd.	
	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025
Opening net assets	1437	911	13336	11218	-792	-807	-1015	-1022	16178	15726
Restatement of financial statement by JV										
Profit for the year	637	516	1810	2125	305	15	-266	8	1083	1142
Other comprehensive income	-5	1	-18	-7			1	-1		
Dividends paid									-765	-690
Appropriation										
Share Capital issued		9								
Closing net assets	2069	1437	15128	13336	-487	-792	-1280	-1015	16496	16178
Group's share in %	49%	49%	50%	50%	40%	40%	50%	50%	48%	48%
Group's share in INR	1011	704	7564	6668	-195	-317	-640	-508	7920	7767
Unrealised Gain/ Loss									-478	-529
Unrecognised Losses (Net of subsequent profits)					355	477	1023	891		
Provision for Diminution					160	160	383	383		
Goodwill										
Carrying amount	1011	704	7564	6668	0	0	0	0	7442	7238

₹ in Lakhs



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

Summarised Statement of Profit & loss

Particulars	HATSOFF Helicopter Training Pvt. Ltd.		SAFHAL Helicopter Engines Private Limited		International Aerospace Manufacturing Pvt. Ltd.		Multirole Transport Aircraft Ltd.		Helicopter Engines MRO Pvt Ltd.	
	For the year ended 31 st March 2026	For the year ended 31 st March 2025	For the year ended 31 st March 2026	For the year ended 31 st March 2025	For the year ended 31 st March 2026	For the year ended 31 st March 2025	For the year ended 31 st March 2026	For the year ended 31 st March 2025	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Revenue	8098	6768	15	8	46984	35626	401	371		4
Interest Income	141	130	8	8	5	5	1208	1061	3	40
Depreciation & amortisation	1040	1040	19	21	2773	1933			41	40
Interest expense	1284	1649	3	4	1434	990			7	7
Income tax expense	666	220			1516	1333	42	80	2	4
Other Expenditure	3242	2080	9	12	37415	28568	143	108	74	229
Profit from continuing operations	2007	1909	-8	-29	3851	2807	1424	1244	-121	-236
Profit from discontinued operations										
Profit for the year	2007	1909	-8	-29	3851	2807	1424	1244	-121	-236
Other comprehensive income	-7	-7			10	-24				
Total comprehensive income	2000	1902	-8	-29	3861	2783	1424	1244	-121	-236
Dividends Received (HAL share)					213	160				

₹ in Lakhs



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

Reconciliation of the summarised financial information to the carrying amount of interest in Joint venture

Particulars	HATSOFF Helicopter Training Pvt. Ltd.		SAFHAL Helicopter Engines Private Limited		International Aerospace Manufacturing Pvt. Ltd.		Multirole Transport Aircraft Ltd.		Helicopter Engines MRO Pvt. Ltd.	
	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025	As at 31 st March 2026	As at 31 st March 2025
Opening net assets	337	-1565	139	168	15766	13302	13443	12199	3887	4123
Restatement of financial statement by JV										
Adjustment for Ind AS 116										
Profit for the year	2007	1909	-8	-29	3851	2807	1424	1244	-121	-236
Other comprehensive income	-7	-7			10	-24				
Dividends paid					-425	-319				
Appropriation										
Share Capital issued									1200	
Closing net assets	2337	337	131	139	19202	15766	14867	13443	4966	3887
Group's share in %	50%	50%	50%	50%	50%	50%	50%	50%	50%	50%
Group's share in INR	1169	169	66	70	9598	7882	7434	6722	2483	1943
Unrealised Gain/ Loss					-111	-102				
Unrecognised Losses (Net of subsequent profits)	2672	3672					578	578		
Provision for Diminution	3840	3840	35	31			6678	6678	577	517
Goodwill										
Carrying amount	0	0	30	39	9487	7780	1334	622	1906	1426

₹ in Lakhs



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

e) Commitments and Contingent Liabilities in respect of Joint Ventures

Particulars	₹ in Lakhs	
	As at 31 st March 2026	As at 31 st March 2025
In respect of Joint Ventures (Group Share)		
(i) VAT / GST	160	161
(ii) Income Tax	210	211
Total	370	372
In respect of Joint Ventures (Group Share)		
Estimated amount of contracts remaining to be executed and not provided for on Capital Account	2895	3270



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

f) Additional information pursuant to para 2 of general instructions for the preparation of consolidated financial statements

Name of the Entity in the Group	Net Assets, i.e. Total Assets minus Total Liabilities		Share in Net Profit or Loss		Share in Other Comprehensive Income		Share in Total Comprehensive Income	
	As at 31 st March 2026		As at 31 st March 2026		As at 31 st March 2026		As at 31 st March 2026	
	As % of consolidated net assets	Net Asset	As % of consolidated profit or loss	Profit/-Loss	As % of consolidated other comprehensive income	Other Comprehensive Income	As % of consolidated total comprehensive income	Total Comprehensive Income
Parent								
Hindustan Aeronautics Limited	99.45	4081773	99.49	906897	100.03	28786	99.51	935683
Subsidiaries								
Naini Aerospace Limited	-0.15	-6286	0.03	309	-0.01	-2	0.03	307
Indo-Russian Helicopters Ltd	0.00	-149	0.00	-8			0.00	-8
Non Controlling Interest in Subsidiaries	0.01	348	0.00	-8			0.00	-8
Joint Ventures (Investment as per the equity method)								
BAe-HAL Software Ltd.	0.02	1011	0.03	312	-0.01	-2	0.03	310
Safran HAL Aircraft Engines Private Ltd.	0.18	7564	0.10	905	-0.03	-9	0.10	896
Indo Avia Services Ltd.	0.18	7442	0.06	572			0.06	572
International Aerospace Manufacturing Pvt Ltd.	0.23	9487	0.21	1925	0.02	5	0.21	1930
Multirole Transport Aircraft Ltd.	0.03	1334	0.08	712			0.08	712
Helicopter Engines MRO Pvt Ltd.	0.05	1906	-0.01	-60			-0.01	-60
SAFHAL Helicopter Engines Private Limited	0.00	30	0.00	-4			0.00	-4
Total	100	4104460	100	911552	100	28778	100	940330

Note: The above figures are after eliminating intra-group transactions and intra-group balances as at 31st March, 2026.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

Additional information pursuant to para 2 of general instructions for the preparation of consolidated financial statements

Name of the Entity in the Group	Net Assets, i.e. Total Assets minus Total Liabilities		Share in Net Profit or Loss		Share in Other Comprehensive Income		Share in Total Comprehensive Income	
	As at 31 st March 2025		As at 31 st March 2025		As at 31 st March 2025		As at 31 st March 2025	
	As % of consolidated net assets	Net Asset	As % of consolidated profit or loss	Profit/-Loss	As % of consolidated other comprehensive income	Other Comprehensive Income	As % of consolidated comprehensive income	Total Comprehensive Income
Parent								
Hindustan Aeronautics Limited	99.48	3480423	99.50	832218	101.55	2098	99.50	834316
Subsidiaries								
Naini Aerospace Limited	-0.19	-6593	0.02	138	-0.82	-17	0.01	121
Indo-Russian Helicopters Ltd	0.00	-141	0.00	-8			0.00	-8
Non Controlling Interest in Subsidiaries	0.01	356	0.00	-8			0.00	-8
Joint Ventures (Investment as per the equity method)								
BAe-HAL Software Ltd.	0.02	701	0.03	253	0.05	1	0.03	254
Safran HAL Aircraft Engines Private Ltd.	0.19	6668	0.13	1063	-0.19	-4	0.13	1059
Indo Avia Services Ltd.	0.21	7238	0.10	857			0.10	857
International Aerospace Manufacturing Pvt. Ltd.	0.22	7779	0.17	1403	-0.58	-12	0.17	1391
Multirole Transport Aircraft Ltd.	0.02	622	0.07	622			0.07	622
Helicopter Engines MRO Pvt. Ltd.	0.04	1426	-0.01	-118			-0.01	-118
SAFHAL Helicopter Engines Private Limited	0.00	38	0.00	-15			0.00	-15
Total	100	3498517	100	836405	100	2066	100	838471

Note: The above figures are after eliminating intra-group transactions and intra-group balances as at 31st March 2025.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

31 Notes Specific to Joint Ventures

(i) In respect of HATSOFF Helicopter Training Private Limited

Going Concern

The Company has made a net profit of ₹ 2007.10 lakhs for the twelve months period ended 31st March, 2026 and, as of that date, the Company's current liabilities exceeded its current assets by ₹ 9262.04 lakhs. In addition to this, as at the balance sheet date, the Company has significant accumulated losses which have resulted in substantial erosion of networth. The networth of the Company as at 31st March, 2026 is ₹ 2,337.46 lakhs (31st March 2025 was ₹ 337.10 lakhs).

Further, OEM declared obsolescence of the current projector system and consequent to this, OEM stopped the product support. Anticipating the criticality of the situation, HATSOFF had procured sufficient spares in 2014-15 itself to support operations up to September 2018. As no viable resolution was found until September 2018, HATSOFF found a local vendor who does repairs to the used projectors. The cost of replacement with new projector systems requires INR 28 Crores excluding duties and taxes and the lead time for supply and commissioning of new projector systems would be 6-8 months.

Under the Supply Contract 2008 with CAE Inc, Canada, the Company is still awaiting the delivery of the Military Dhruv Cockpit, with a price of USD 6,892,777. An amount of USD 4,892,777 was paid against proforma invoice, as per agreed milestones. Revised estimated price is USD 1,36,92,777 as per the cost escalation quoted by CAE Inc in June 2019, was valid up to March 2020. The Company is negotiating for the final quote and delivery schedules from CAE Inc. Funding for above cost escalations will be decided after agreeing with final price and delivery schedules.

However, these financial statements have been prepared on a going concern basis, notwithstanding the above factors in view of the following:

- 1) Board has affirmed that Company has the ability to meet all the obligations.
- 2) The Company has been able to get the multi-year contracts from Defence forces with increased training hours.
- 3) The Company along with the shareholders are presently pursuing several options with the Company's bankers, viz. ICICI Bank.
- 4) The Company has paid, ECB Principal of ₹ 7668.79 Lakhs (USD 85,60,733) during the reporting period and previous year ₹ 3,600.00 Lakhs (USD 4,217,066) against ECB overdue Installments at various dates and serviced interest up to 04th September 2023. Considering the promoters ability to fund the companies requirements and procure orders for execution, management is of the opinion that company is a going concern.

(ii) In respect of HALBIT Avionics Private Ltd

Material Uncertainty related to Going Concern

The Company, as on March 31, 2026 has a net liability of ₹ 1279.95 lakhs (March 31, 2025: ₹ 1,015.30 lakhs) and a net current liability of ₹ 1355.33 lakhs (March 31, 2025 : ₹ 1,088.45 lakhs) indicating existence of an uncertainty that may cast doubt upon the Company's ability to continue as a going concern. However, the bulk of its current liability is subject to the satisfactory completion of the performance obligations by the supplier, who is also a shareholder of this joint venture Company. Besides this, the Company continues to generate positive cash flows from its operations and plans to liquidate the liability in a phased manner. The Company expects to fund its operating and capital expenditure and continue business operations. Accordingly, the management has determined that these actions are sufficient to mitigate the uncertainty and has prepared the financial statements on a going concern basis.

(iii) In respect of Multirole Transport Aircraft Limited

Board in its 47th Meeting held on 09th February, 2023, approved the following resolution: "Subject to the necessary approval being obtained from the Government of India, in principle approval of the Board was accorded for the



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

Voluntary Liquidation of the Company in accordance with its Articles of Association, Shareholders Agreement and other relevant contracts, provisions of Section 59 and other applicable provisions of the Insolvency and Bankruptcy Code 2016 read with the Insolvency and Bankruptcy Board of India (Voluntary Liquidation Process) Regulations, 2017 and other provisions of the Companies Act, 2013 and relevant rules and any other law as may be applicable. Hence, on fulfillment of the following steps, the Going Concern assumption will become inappropriate-

- i. Receipt of Government of India approval for closure of the Company,
- ii. Adopting unanimous resolution with affirmative vote by all the directors as per Para 9.4(h) of the Shareholders Agreement read with Para 147(2)(h) of the Articles of Association, recommending liquidation of the Company to the General Meeting.
- iii. Adopting necessary resolutions for Voluntary Liquidation of the Company in the Members General Meeting as per the provisions of Insolvency and Bankruptcy Code, 2016.
- iv. Adherence of procedures for closure of MTAL Moscow Branch in compliance with rules and regulations of Russian Federation.
- v. Compliance of all other necessary steps as per internal rules and regulations of the Company, as well as applicable statutory provisions of the respective country (i.e. India and Russian Federation) for closure of the company.

(iv) In respect of Infotech HAL Ltd

The Board in its 440th meeting held on 9th December 2020, accorded in principle approval for voluntary winding up / closure of Joint Venture M/s. Infotech HAL Limited (IHL) enabling the Company to take further action in the matter.

The petition has been filed by Infotech HAL Limited to the National Company Law Tribunal (NCLT) for Commencement of Corporate Insolvency Resolution process. The NCLT, Bangalore Bench order dated 22nd August 2025 has admitted the petition filed by Infotech HAL Limited under Section 10 of Insolvency and Bankruptcy Code, 2016. Further, NCLT ordered for the commencement of corporate insolvency resolution process of Infotech HAL Limited and appointed Interim Resolution Professional.

(v) In respect of HAL-Edgewood Technologies Private Limited

The Joint Venture Company, HAL-Edgewood Technologies Private Limited, has not prepared the financial statements for the twelve months period ended 31 March 2026, and accordingly not considered for consolidation. The impact of non-consolidation, however, is not material. The Board in its 406th meeting held on 22 September, 2017, accorded in principle approval for voluntary winding up / closure of HAL-Edgewood Technologies Private Limited enabling the Company to take further action in the matter.

32 Defence Innovation Organisation ("DIO"):

- (i) A Section 8 Company has been formed (Under Companies Act, 2013) in the name of "Defence Innovation Organisation" with M/s BEL with an authorised Capital of ₹ 100 lakhs (Paid up capital as on 31st March 2026 is ₹ 1 Lakh (HAL 50% Share and BEL 50% Share). The registered office of DIO is situated at Centre for Learning and Development, Bharat Electronics Limited, Jalahalli, Bengaluru – 560013, Karnataka, India. DIO was incorporated to implement the scheme of defence innovation fund initiative by creation of an ecosystem to foster innovation and technology development in defence.
HAL Board in its 417th meeting held on 30th July 2018 had accorded approval for release of ₹ 5000 lakhs to DIO towards initial corpus fund in form of Grant in Aid in a staggered manner. Accordingly ₹ 500 lakhs has been released to DIO in the month of August 2018 and the balance amount of ₹4500 lakhs, released during August 2024.
- (ii) A Section 8 Company has been formed (Under Companies Act, 2013) in the name of "Electronic Warfare (Defence) Testing Foundation (EWDTF)". The total project cost ₹46.96 Crs comprising of Govt. Grant-in-Aid of ₹35.22 Crs and SPV partners contribution ₹11.74 Crs. Wherein M/s BEL will be the lead with equity contribution of 40%, HAL-20%, IOL-20%, BDL-10% & TIDCO-10%. EWDTF was incorporated for Development, Operation and Management of DTI for Electronic Warfare. EWDTF was incorporated on 21st May 2024. HAL has made an investment of ₹235 lakhs (20% stake) towards subscription of 23480 Equity shares of ₹1000 each on 27th June 2024.
- (iii) A Section 8 Company has been formed (Under Companies Act 2013) in the name of "Communication (Defence) Testing Foundation (CDTF)". The total project cost ₹41.81 Crs comprising of Govt. Grant-in-Aid of ₹31.36 Crs and SPV partners



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

contribution ₹10.45 Crs. Wherein M/s BEL will be the lead with equity contribution of 40%, HAL-25%, BEML-25%, & AWEIL-10%. CDTF was incorporated for Development, Operation and Management of DTI for Communication domain. CDTF was incorporated on 31st May 2024. HAL has made an investment of ₹261 lakhs (25% stake) towards subscription of 26125 Equity shares of ₹1000 each on 27th June 2024.

- (iv) A Section 8 Company has been formed (Under Companies Act, 2013) in the name of "UAS Testing Foundation (UASTF)". The total project cost ₹60 Crs comprising of Govt. Grant-in-Aid of ₹45 Crs and SPV partners contribution ₹15 Crs. Wherein M/s HAL will be the lead with equity contribution of 33.33%, BEL-20%, BEML-20%, YIL-10%, GIL-10% & Endure Air-6.6%. UASTF was incorporated for Development, Operation and Management of DTI for Unmanned Aerial Systems(UAS). UASTF was incorporated on 21st June 2024. HAL has made an investment of ₹500 lakhs (33.33% stake) towards subscription of 50000 Equity shares of ₹1000 each on 18th July 2024.
- (v) A Section 8 Company has been formed (Under Companies Act, 2013) in the name of "Advanced Materials (Defence) Testing Foundation (AMDTF)". The total project cost ₹54.36 Crs comprising of Govt. Grant-in-Aid of ₹40.70 Crs and SPV partners contribution ₹13.66 Crs. Wherein M/s MIDHANI will be the lead with equity contribution of 20%, HAL-20%, BDL-20%, YIL-20% & PTC-20%. AMDTF was incorporated for Development, Operation and Management of DTI for Mechanical & Material(M&M) testing. AMDTF was incorporated on 4th June 2024. HAL has made an investment of ₹273.20 lakhs (20% stake) towards subscription of 27320 Equity shares of ₹1000 each on 8th July 2024.
- (vi) A Section 8 Company has been formed (Under Companies Act, 2013) in the name of "Systems Testing and Research for Advanced Materials Foundation (STREAM)". The total project cost ₹49.68 Crs comprising of Govt. Grant-in-Aid of ₹36.864 Crs and SPV partners contribution ₹12.816 Crs. Wherein M/s Microlab will be the lead with equity contribution of 20%, BEML-20%, HAL-20%, Vaidheswaran Industries-10%, & TIDCO-30%. STREAM was incorporated with a vision of creating easy access and addressing the testing needs of domestic defence industry. STREAM was incorporated on 18th September 2024. HAL has made an investment of ₹61.25 lakhs towards subscription of 61250 Equity shares of ₹100 each during 2024-25. Further HAL made an investment of ₹138.75 lakhs towards subscription of 138750 equity shares of ₹100 each during 2025-26.

- 33** (i) The Board in its 434th meeting was informed that Government approval is not required for transfer of lease hold land to M/s Helicopter Engines MRO Private Limited (HE-MRO), as it is neither defence land nor it is a land owned by HAL. Board reconsidered the decision taken in its 431st meeting and approved transfer of land without Government approval to M/s HE-MRO.

In line with the Board Approval in its 431st and 434th meetings, Tripartite Deed of Lease was executed on the 18th May 2023 between Goa Industrial Development Corporation (GIDC), M/s Helicopter Engines MRO Private Limited (HE MRO) and HAL MRO Division for transfer of Lease hold rights of industrial plot admeasuring 7.41 acres to HE MRO.

Further, the Sale of Deed was executed between HAL-MRO Division and HE -MRO on 8th June 2023 for sale of Building and Plant & Machinery and Other Assets for a total consideration of ₹1029 lakhs. Accordingly necessary accounting treatment has been made in the Books of Accounts.

- (ii) The Company paid ₹950 lakhs towards subscription of 950000 equity shares of the face value of ₹100 each to its Joint Venture Company, Helicopter Engines MRO Private Limited, on 8 January, 2024 towards equity participation in Rights issue of the Joint Venture Company. Pursuant to the same, the investment of the Company in the Joint Venture was ₹2460 lakh. Further, the Company made an investment of ₹600 lakhs towards subscription of 600000 equity shares of the face value of ₹100 each to its Joint Venture Company, Helicopter Engines MRO Private Limited during 2025-26 towards equity participation in Rights issue of the Joint Venture Company. The investment of the Company in the Joint Venture has increased from ₹2460 lakhs to ₹3060 lakhs.

34 Additional Regulatory Information

- (a) The Group has not given any loans or advances in the nature of loans to promoters, directors, KMPs and the related parties (as defined under Companies, Act, 2013), either severally or jointly with any other person that are repayable on demand or without specifying any terms or period of repayment.
- (b) The Group does not have any Benami Property, where any proceedings has been initiated or pending against the Group for holding any Benami property.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

(c) Wilful Defaulter

No entity in the Group has been declared a wilful defaulter by any bank or financial institution or other lender (as defined under the Companies Act, 2013) or consortium thereof, in accordance with the guidelines on wilful defaulters issued by the Reserve Bank of India.

(d) The Group has following outstanding balances with struck off companies under Section 248 of the Companies Act, 2013 or Section 560 of the Companies Act, 1956).

Name of struck off Company	Nature of transactions with struck-off Company (ex: Investment in securities, Receivables, Payables, shares held by struck off company, Other outstanding balances (to be specified))	As at 31 st March 2026		As at 31 st March 2025	
		Balance outstanding in INR	Relationship with the struck off company, if any, to be disclosed	Balance outstanding in INR	Relationship with the struck off company, if any, to be disclosed
Close Links Security Services Pvt. Ltd.	Payables	367961	Vendor	367961	Vendor
Empire Aviation Private Limited	Payables	84163	Customer Airlines	84163	Customer Airlines
Caliban Software Solutions Pvt. Ltd.	Payables	188252	Vendor	188252	Vendor
Hunting Hawks Security & Facility Services Pvt. Ltd.	Payables	752073	Vendor	2363725	Vendor
Formula one Solution Pvt. Ltd.	Payables			54005	Vendor
Guru Integrated Services Pvt. Ltd.	Payables	32959	Contractor		
AL-FALAH Stock Traders Private Limited	Payables	985	Shareholder		
Satidham Industries	Payables	2250	Shareholder		

(e) Compliance with number of layers of companies Not Applicable

(f) Compliance with approved Scheme(s) of Arrangements Not Applicable

(g) The Group does not have any charges or satisfaction which is yet to be registered with Registrar of Companies (RoC) beyond the statutory period.

(h) Utilisation of borrowed funds and share Premium through intermediaries or for benefit of third party beneficiaries:

The Group has not advanced or loaned or invested funds to any other person or entity, including foreign entities (Intermediaries) with the understanding that the Intermediary shall:

- directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries); or
- provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

The Group has not received any fund from any person or entity, including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Group shall :

- directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries); or
- provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

(i) Undisclosed Income

No entity in the Group has any transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961), unless there is immunity for disclosure under any scheme and previously unrecorded income and related assets that have been properly recorded in the books of accounts during the year.

(j) Details of Crypto Currency or Virtual Currency

The Group has not traded or invested in Crypto currency or Virtual Currency during the financial year.

35 Exceptional item shown during 2024-25 represents ₹ 589 Lakhs received on 12th September 2024 for compensation received from the Office of Special Land Acquisition Officer, Bangalore under KIADB Act, on compulsory acquisition of 315 Sq. Mtrs (0.078 Acres) of HAL land at Beninganahalli Village, Bangalore by M/s Bangalore Metro Rail Corporation Ltd.

36 Existing FPQ, arising out of 3rd PPRC, is up to 2022-23. 4th PPRC is under progress, due to which the prices for the year 2023-24 and onwards is yet to be firmed up.

For the year 2023-24, FPQ sales has been provisionally recognised by considering the approved FPQ price of 2022-23 and applying indices for 2023-24.

For the year 2024-25, FPQ sales has been provisionally recognised by considering the prices of 2023-24, as arrived above and applying indices for 2024-25.

For the year 2025-26, FPQ sales has been provisionally recognised by considering the prices of 2024-25 as arrived above.

Since FPQ finalisation has taken more than two years, on conservative basis the prices of 2024-25 has been considered for the financial year 2025-26 without any escalation.

37 A fraud involving misappropriation of funds by Company official in collusion with six contractors has been noticed by the management and referred to Vigilance department for further investigations. The Vigilance department based on the investigations has lodged FIR with Central Bureau of Investigation (CBI), Bhubaneshwar. An amount of ₹ 1892 lakhs has been provisionally assessed and fully provided in the financials of 2018-19 and 2020-21 as fraudulent payments made to contractors and others during the period from May 2011 to September 2018 and reported in the FIR with CBI. Adjustment of expenses relating to capital and other accounts in the financial year 2018-19 and 2020-21 includes the above mentioned amount. The matter is under investigation by CBI.

38 Inventory items (both Company and Customer owned) held at the LCA TD store were damaged due to flood in September 2022. In respect of Company-owned items, the actual loss was assessed at ₹ 1033 lakhs, for which a provision was created in the books of accounts. Following the division's insurance claim, the Insurance Surveyor confirmed the loss at ₹ 1,033 lakhs, and the full and final settlement was received from the insurance company in March 2026. Consequently, as of March 31, 2026, there is no damaged Company-owned inventory remaining in the books.

Regarding Customer-owned items, the initial loss was assessed at ₹ 5590 lakhs, and a provision for replacement charges was established. However, based on feedback from OEMs regarding the retrieval of these items, the loss was reassessed at ₹ 1,091 lakhs. Accordingly, the excess provision of ₹ 4499 lakhs was reversed by March 31, 2026. A provision of ₹ 1091 lakhs for flood-affected Customer-owned inventory is being maintained as a future liability.

39 The Government of India has notified four Labour Codes, collectively referred to as New Labour Codes effective from 21st November 2025. The incremental impact of these changes assessed by the company, on the basis of the information available, consistent with the guidance provided by the Institute of Chartered Accountants of India is not material and has been recognised in the financial results of the company for the year ended 31st March 2026 based on actuarial valuation.

40 Changes have been made in the Accounting Policies to comply with the MCA notification dated 13th August 2025, Financial Reporting Review Board (FRRB) of ICAI's observations on Financial Statements and Auditors Report of the Company and to bring the better clarity in disclosure and to the accounting practices that are followed by the Company. Proposed changes in the Accounting Policies were placed before the Board in its 499th meeting held on 22nd December 2025 and the same was approved by the Board. Financial impact of these changes is nil in the Accounts.



Notes to the Consolidated Financial Statements for the year ended March 31, 2026

Note 49 - Explanatory notes to the Consolidated Financial Statements

- 41** During the audit of accounts for the financial year 2024–25, the Comptroller and Auditor General of India (C&AG) raised an observation regarding the accounting treatment of “Offset Credit benefits received free of charge as per the Purchase Order terms from foreign suppliers”. Accordingly, the Company referred the matter to the Expert Advisory Committee (EAC) of the Institute of Chartered Accountants of India (ICAI) on 24 September 2025 for its opinion on the appropriate accounting treatment. The opinion of the EAC was received on 07 March 2026.

Based on the opinion received from the EAC and the fair valuation assessed by the duly constituted committee, the Company has accounted for the Offset Credit benefits during the current year. Considering the immaterial impact on earlier periods and the impracticability involved in retrospective application, the accounting treatment has been applied prospectively in accordance with the principles of Ind AS 8 relating to accounting policies, changes in accounting estimates and errors.

Accordingly, during the year, the Company has recognised Revenue amounting to ₹ 11,317 lakhs, Intangible Assets amounting to ₹ 10,841 lakhs, Amortisation on Intangible Assets amounting to ₹ 1,790 lakhs, Claims Receivable amounting to ₹ 2,944 lakhs and Other Liability amounting to ₹ 3,831 lakhs. Consequently, the profit for the year has increased by ₹ 9,527 lakhs.

42 Recent pronouncements

Ministry of Corporate Affairs (“MCA”) notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. On 13th August, 2025, MCA amended the Companies (Indian Accounting Standards) Second Amendment Rules, 2025, as below. The amendment will be effective from 01st April, 2025.

Ind AS 1 – Classification of Liabilities – The Company does not have the right at the end of the reporting period to defer settlement of the liability for at least twelve months after the reporting period. Amendments clarify that covenants with which an entity must comply after the reporting period do not affect classification as current or non-current at the reporting date. The Company has evaluated the amendment accordingly modification to Material Accounting Policy on liability classification has been made.

Ind AS7 & Ind AS 107 Supplier Finance Arrangement – New disclosure requirement introduced to enhance transparency regarding the effects of supplier arrangements on entity's liabilities and cash flows. The Company has evaluated the amendment and there is no implication in the financial statements.

Ind AS 12 - International tax reform - Pillar Two model rules - This Standard applies to income taxes arising from tax law enacted or substantively enacted to implement the Pillar Two model rules published by the Organisation for Economic Co-operation and Development (OECD), including tax law that implements qualified domestic minimum top-up taxes described in those rules. The Company has evaluated the amendment and the impact of the amendment there is no tax implication in the financial statements.

- 43** The financial statements were approved for issue by the Board of Directors at their meeting held on 14th May 2026.

These financial statements are presented in Indian rupees (rounded off to lakhs).

Material accounting policies and accompanying notes no.1 to 49 form an integral part of the financial statements

As per our report of even date attached

For and on behalf of the Board of Directors

For GUPTA NAYAR & CO

Chartered Accountants,
Firm Registration No: 008376N



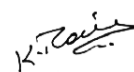
CA NANDLAL AGARWAL

Partner
Membership No: 091272
Place: Bengaluru
Date: 14.05.2026



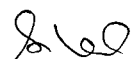
(Dr. BARENYA SENAPATI)

Director (Finance) & CFO
DIN: 08525943



(RAVI K)

Chairman & Managing Director
DIN: 10807781



(SHAILESH BANSAL)

Company Secretary
FCS No. 5064



Form AOC-1

Statement containing salient features of the financial statement of subsidiaries/Associate companies/ joint ventures
(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014)

Part "A" : Subsidiaries

Sl. No.	Particulars	₹ in Lakhs	
1	Name of the Subsidiary	Naini Aerospace Limited	Indo-Russian Helicopters Limited
2	Reporting period for the subsidiary concerned, if different from the holding company's reporting period	NA	NA
3	Reporting currency and Exchange rate as on the last date of the relevant Financial year in the case of foreign subsidiaries.	NA	NA
4	Share capital	6500	1000
5	Reserves & surplus	-6286	-296
6	Total assets	3582	733
7	Total Liabilities	3368	29
8	Investments	758	0
9	Turnover	2023	0
10	Profit/loss before taxation	309	-16
11	Provision for taxation	0	0
12	Profit/loss after taxation	309	-16
13	Proposed Dividend	0	0
14	% of shareholding	100%	50.5%

1 Names of subsidiaries which are yet to commence operations – Indo Russian Helicopters Limited

2 Names of subsidiaries which have been liquidated or sold during the year- NIL

As per our report of even date attached

For and on behalf of the Board of Directors

For GUPTA NAYAR & CO

Chartered Accountants,
Firm Registration No: 008376N

Handwritten signature

CA NANDLAL AGARWAL

Partner
Membership No: 091272
Place: Bengaluru
Date: 14.05.2026

Handwritten signature

(Dr.BARENYA SENAPATI)

Director (Finance) & CFO
DIN: 08525943

Handwritten signature

(RAVI K)

Chairman & Managing Director
DIN: 10807781

Handwritten signature

(SHAILESH BANSAL)

Company Secretary
FCS No. 5064



Form AOC-1

Part "B" : Associates and Joint Ventures

Sr. No.	Name of Joint Venture	Latest audited Balance Sheet Date	M/s Bae-HAL Software Ltd	Safar HAL Aircraft Engines Private Ltd	M/s SAMTEL HAL Display Systems Ltd	M/s HALBIT Avionics Pvt. Ltd.	M/s Indo Avia Services Ltd	M/s HATSOFF Helicopter Training Pvt. Ltd.	M/s International Aerospace Manufacturing Pvt. Ltd.	M/s Multirole Transport Aircraft Ltd.	M/s Helicopter Engines MRO Pvt. Ltd.	SAFHAL Helicopter Engines Private Limited
1			31.03.2026	31.03.2026	31.03.2026	31.03.2026	31.03.2026	31.03.2026	31.03.2026	31.03.2026	31.03.2026	31.03.2026
2	Date on which the Associates or joint venture was associated or acquired		Feb-93	Oct-05	Jan-07	May-07	Sep-94	Jan-08	Jul-10	Dec-10	Aug-16	Nov-23
3	Shares of Associate/Joint Ventures held by the company on the year end											
	a) No.		2,940,000	1,140,000	160,000	382,500	936,525	38,404,205	4,250,000	11,346,564	3,059,986	1,000,000
	b) Amount of Investment in Associates/Joint Venture		294	1140	160	383	94	3840	4250	11347	3060	100
	c) Extent of Holding %		49%	50%	40%	50%	48%	50%	50%	50%	50%	50%
4	Description of how there is significant influence		NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
5	Reason why the associate/joint venture is not consolidated		NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
6	Networth attributable to Shareholding as per latest audited Balance Sheet		1011	7564	-195	-640	7920	1169	9598	7434	2483	66
7	Profit / Loss for the year		637	1810	305	-266	1083	2007	3851	1424	-121	-8
	i) Considered in Consolidation		312	905	0	0	520	0	1925	712	-60	-4
	ii) Not Considered in Consolidation		325	905	305	-266	563	2007	1926	712	-61	-4

1 Name(s) of joint venture(s) which is/are yet to commence operations:-

- Helicopter Engines MRO Pvt Ltd
- SAFHAL Helicopter Engines Private Limited

2 Names of associates or joint ventures which have been liquidated or sold during the year: NIL

As per our report of even date attached

For GUPTA NAYAR & CO

Chartered Accountants,

Firm Registration No: 008376N



CA NANDLAL AGARWAL

Partner

Membership No: 091272

Place: Bengaluru

Date: 14.05.2026

For and on behalf of the Board of Directors



(BARENYA SENAPATI)

Director (Finance) & CFO

DIN: 08525943



(RAVI K)

Chairman & Managing Director

DIN: 10807781



(SHAILESH BANSAL)

Company Secretary

FCS No. 5064



NOTES

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Tejas

Light Combat Aircraft (LCA)



Hindustan

Turbo Trainer-40 (HTT-40)



CATS

Combat Air Teaming System



RUAV

Rotary Unmanned Aerial Vehicle



— A Maharatna CPSE —

Hindustan Aeronautics Limited
15/1, Cubbon Road, Bengaluru-560 001. Karnataka
CIN: L35301KA1963GOI001622
Phone : (080) 2232 0001, Fax: (080) 2232 0758
Website: www.hal-india.co.in